Bank of Baroda (BANKBARODA)

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The Vice-President,
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Dear Sir / Madam,

Re: Disclosure under Regulation 46(2)(LODR)

We enclose transcript of Analyst Meet held on 01.08.2022 for Q1(FY2022-23) Financial Results.

We request you to take note of the above pursuant to relevant regulation of SEBI (LODR) Regulations, 2015 and upload the information on your website.

Yours faithfully,

P K Agarwal
Company Secretary

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ANALYSTS' MEET Q1FY2 3
1st August 2022

Participating members from the Management Team of the Bank

- Mr. Sanjiv Chadha, Managing Director & CEO
- Mr. A K Khurana, Executive Director
- Mr. Debadatta Chand, Executive Director
- Mr. Joydeep Dutta Roy, Executive Director
- Mr. Ian Desouza, Chief Financial Officer (CFO)

2 Moderator: Good Morning everyone and welcome to the Analysts' Meet for Bank of Baroda's financial results for the quarter ended June 30, 2022. Thank you all for joining us. We have with us today , Shri. Sanjiv Chadha – Managing Director & CEO of Bank of Baroda who will be leading the call. He's also joined by the Bank's Executive Directors. We will start with brief opening remarks by Mr. Chadha and a short presentation, followed by the Q&A session. Mr. Chadha, over to you sir.
Mr. Sanjiv Chadha: So, thank you very much Phiroza and a very good morning to everybody. Thank you very much for joining us. Let me just begin by introducing my colleagues on the call. We have Mr. Ajay Khurana - our Executive Director, Mr. Debadatta Chand - Executive Director in charge of Corporate, International and Treasury, Joydeep – our Executive Director who looks after all our platform functions including HR, Risk, Compliance and much more actually, and then of course, our CFO – Ian Desouza , with whom many of you would be very familiar. So, let me just begin , with just maybe 5-7 minutes going through 5-6 slides which to my mind, are the highlights for us, and also might in some ways, anticipate some of the discussion , as we go forward.
So, from the perspective of the Bank, the standout point for this particular quarter was the return of growth for the Bank. All of you have been tracking the Bank for many quarters, and you would have observed that we actually had reasonable progress in terms of credit costs coming down, in terms of margins improving. But if there was one challenge, it was that our performance and growth was

good, but not really an outlier by any standards. This was largely driven by the fact that we had chosen to protect our margin in corporate and till last year at least the choice was very stark, either you grow your margins or your grow your business in corporate. Given the fact that corporate is the largest part of our balance sheet, tepid growth in corporate meant that the overall growth for the bank was moderate.

At the beginning of this quarter, we had guided that in our view, the time had now come where it might be possible to grow corporate along with making sure that our margins remain intact. I think that's what we are now beginning to see and largely again, powered by that, we have seen global advances for the bank grow by 18% . In part of course , this is due to the fact that the corresponding quarter of last year, the 1st quarter, was impacted very seriously by COVID and we actually had had a significant degrowth in corporate loans. But even apart from that, I think in every subsequent quarter, we have had good quarter on quarter growth and that momentum continues.

You'd also see on your screens that International also has contributed very handsomely to the growth. We had been discussing that how last year because of the fact that corporate margins were under pressure, it was profitable for the Bank to also focus on the international book which too is corporate, but gave us better margins. So, International has grown by about 30% YoY.

Within domestic growth, which was 15.7%, again, the standout performance has been in Retail where organic Retail has grown by 23.2%. Now, through most of the last few quarters, there were areas in Retail where we had grown fairly quickly. I think car loans were the case in point , where for many years , we have had more than 20% growth. But, where we were held back was the fact that, relatively speaking, our home loan growth was less fast. Given the fact that home loans are 70% of the book, if your home loans

are not really growing very quickly, the overall growth does tend to get dampened.

So, the fact that home loans actually have moved up by more than 15% YoY for us, and then if you add to that car loan growth which is now 25%, education loans have been doing well, they have accelerated further to about 20% growth, and personal loans which were powered again by the digitalisation of the bank and by bob World, have grown by nearly 150%. So, this, along with again,
3 reasonable growth in other segments including agriculture, MSME has meant that we have actually had a very good growth figure s to report.

Again, if we were to just go back to the previous slide, one last point I wanted to add is that, when it comes to agriculture, again, the quality of the growth is improving very significantly because gold loans are growing at two times the rate of overall agriculture loan growth. Also, within Retail, apart from home loans, mortgage loans and car loans, now gold loans again have started adding a significant bit to that. So again, I think that should speak well for the asset quality there also, as we go forwa rd.

Now, coming to deposit growth, I think it has been decent. We again have had consistent CASA growth which has been in double -digits which we continue to see. In terms of the international deposits, they have kept a pace with the loan growth, which again, I think is significant to the extent that the growth in international loans has been funded in large measure by deposits rather than wholesale funding, which again, has challenges in terms of the risks that might be there because of the volatility in interest rates and the upward trend that we have seen.

So, this is where again, the summary in terms of where we stand in terms of deposit growth. Our CASA continues to improve. You might recall that we had begun with a CASA ratio of 37% about 3 years back, this has now moved up to 44%. And, as interest rates harden, the fact that the bank now has good CASA ratio, pretty much in line with the best in the business, should mean that we should actually be seeing improvement in margins, because at least a signif icant proportion of loan growth will be funded by low-cost CASA deposits.

If we look at credit deposit ratio, we had, because of discipline in terms of matching deposit and credit growth, had a decent CD ratio right through the pandemic also, where it was mostly upwards of 75%. Now we see it has gone up to 80%. There, of course, would be the question in terms of what implications it has in terms of funding growth? So, to my mind, there are two parts to it. One is that, as we see deposit rates start normalis ing, not remaining negative in real terms, I think we should see some pick up in deposits. The second part is, even today as we speak, despite making sure that we are as optimally placed in terms of mix in the balance sheet, there is still a substantial amount of loans which are sub-optimally priced given where the direction of interest rates are. So, I think there's scope to reshuffle the portfolio also to make sure that we optimise yields on the portfolio.

So, coming to profitability, the NII again has grown by about 12%. So, if you were to juxtapose this against the 18% growth in loans, the difference is largely, because as I mentioned earlier, the quarter 1 of last year actually had negative growth in corporate loans , in particular. Therefore, in terms of average growth, which is what is responsible for NII that would be a little lower. Net Interest Margins are steady. The main reason why they're a bit lower as compared to the

last quarter of the previous
year is, there were some items which were there through recovery which went to the interest line. But we expect again and this is what our guidance has been, that there is scope for further improvement in margins even as we grow the loan book. We have guided that we should expect

about 10 bps improvemen t in margins over last year and we stand by that guidance.

The operating profit piece is something which all of you are well aware of, and I don't believe it merits too much explanation. But just again to emphasise, the degrowth in operating profit is largely on account of the fact that as per current RBI guidance now, the marked to market now comes above the operating profit line. If we were to exclude treasure gains and also interest on IT refund, which is a one-off, actually the growth in core operating profit corresponds pretty much to the growth in net 4 interest income. So, in consequence, we have seen profit record a good growth of about 80% YoY and even if we were to compare it with the last quarter of last year, it's a reasonable growth.

Coming to asset quality, I think we have seen this trend in terms of improving asset quality sustained right through the pandemic. As we have discussed before, this has largely been driven by the improvement in the corporate credit cycle that continues abyss. As a consequence, there is continued reduction in Gross NPAs and Net NPAs. Net NPA is now actually down to about 1.5%, which to my mind is a good position in terms of indicating limited downside from the existing NPA book of the bank, as also indicated by the provision coverage ratio of nearly 90%. And equally, the slippage ratio again has been reducing as per guidance. We are guided that slippage ratio would be between 1.5% and 2%. So, it has come out at 1.71%, and I think there is again scope for that to improve further.

Credit cost, of course, are at possibly record lows that is partly because we had taken some accelerated provisioning last year. But equally, it is also because of what I mentioned earlier, that there is an improvement in the corporate credit cycle which is being sustained and that improvement will outweigh any negatives which might be there, say on account of any issues with the MSME book. So therefore, we have guided that the credit cost this year should be between 1.25% and 1.5%. For the momen t, we stand by the guidance. Possibly, there might be scope again for some improvement there, but we'd like to see the improvement sustained over the next 2 quarters.

Coming to SMAs and collection efficiency, to my mind, this is the best indication in terms of an advanced indicator of asset quality. As we have seen, the improvement in the CRILC -SMA 1, 2 is stark as compared to the previous year, and the fact that this is not something which is one-off or not representative, is indicated by the fact that the collection efficiency also has improved in tandem and now stands at about 98%.

In consequence of the improvement in profitability, the capital adequacy ratio of the Bank continues to be in a very comfortable range of between 15.5 to 16%. We believe that this year also, our internal accruals should be adequate to fund growth. While we might be looking at accessing markets for replacing maturing AT1 bonds and maybe some Tier 2 issuance, but otherwise, we believe there may not be an occasion for us to acces s the markets for pure equity this year.

Lastly, in terms of digital, which in so many ways, underlines a lot of efficiency gains that we have seen. bob World now has 22 million users, and this is within 1 year; we ha

d launched bob World in August of last year. Also, in terms of active users, now it is 38% of our non-FI customers. We believe there's scope to take it to nearly 50% by the end of this year, which would pretty much bring us in line with the best in the business in terms of using mobile interfa ce as the primary interface with customers.

So, that's all from me by way of opening remarks. I'd be very happy to receive any questions.

Moderator: Thank you sir. We are now ready for questions from the attending analysts. I request anybody who wishes to ask a question raise their hand. You may also type your question in the Q&A box. The first question is from Mahrukh Adajania. You may unmute yoursel f and ask your question.

Ms. Mahrukh Adajania: Hello sir.

Mr. Sanjiv Chadha: Good Morning Mahrukh.

5 Ms. Mahrukh Adajania: Good Morning sir. Sir, my first question is on the personal loans. Sir, what is the ticket size? Would it have increased QoQ, and wha t would be the rate you would be lending your personal loans at? The growth has been very sharp for the last 3-4 quarters. So, that's my first question.

Mr. Sanjiv Chadha: Yeah. So, Mahrukh, I think the reason why we have seen the acceleration in the pers onal loans is that this was an under -exploited franchise for us. Now, with good data lake in place, and more importantly, with an efficient digital interface through bob World, we are able to access our customer base to offer them these opportunities. When we'd begun about a year back, we had a ticket size which was restricted to Rs. 50,000, now we are going up to, I think, Rs. 5 lakh in that. So, it is an impact of both the facts that the penetration is increasing and also that the ticket size has increase d. The sharp growth of course is because we had started off with a low base, but now the kind of growth that we see even quarter to quarter and YoY, is significant enough to add to overall retail loan growth and also to the margins that we make on our retail business.

Ms. Mahrukh Adajania: And sir, what would be the salaried to non-salaried breakup and any yield that you can give? Some colour on that?

Mr. Sanjiv Chadha: Yeah. So, I'll just request if Joydeep has any ready answer on that, otherwise, we'll supply that to you offline.

Ms. Mahrukh Adajania: Okay sir. Sir, my next question is on International. Again, that book has grown very well over the last 3 quarters. In the last 1-2 quarters, would it largely be term loans or is it still trade finance only ? And which sectors sir?

Mr. Sanjiv Chadha: Yeah. So, I think we have been cognizant that the growth should also be accretive in terms of margins. So, a large percentage of the growth is coming from term loans. As I mentioned earlier, this is in the contex t of the fact that in India, corporate loan margins were very very weak over last year, and therefore it made sense for us to access the possibilities in the international market. The second part which again is important to appreciate is that, since it's a wholesale business that we run internationally, the cost to income ratio there is actually well below 25%; less than half of what it is in India. Therefore, while margins may not compare with India, but if you add along with the margins which are availabl e, the lower operating cost and also what has been over very many years, an average lower credit cost also, these make lot of sense, particularly at the present juncture. But, I would again like to emphasise that for us, the international book offers an opportunity for risk diversification, for tapping opportunities given where we are in the interest rate

cycle, but ultimately
the bottom line is that we would want to allocate capital where it's most efficiently used. There was an opportunity for us to do that in the international operations last year, which is why we have had such good growth. I believe, there's still an opportunity to grow the book further this year. It may not necessarily be by a similar percentage, but I believe there's still an opportun ity to grow that book reasonably smartly. So, that's how we would be looking at seeing things. Wherever we believe that we can get the best return on capital, that's the area we'd like to focus on.

Ms. Mahrukh Adajania: Any sectors over the last 1-2 quarters?

Mr. Sanjiv Chadha: So, this is a very deep market, right, the international syndicate loan market. Therefore, you are largely guided by your risk appetite making sure that, particularly in a rising interest rate regime, the interest rate coverage ratios are good. I think, so those are the kind of things that you look at, but not any specific sector as such.

6 Ms. Mahrukh Adajania: Got it. And sir my last question, sorry what did you say the margin guidance was?

Mr. Sanjiv Chadha: So, the margin guidance is that we expect that NIM should improve further this year. We had, at the beginning of the year, said by about 10 bps in terms of where they stood at the end of last year.

Ms. Mahrukh Adajania: Okay sir, thank you.

Mr. Joydeep Dutta Roy: Just to add Mahrukh, on that personal loan question, the breakup of salaried and non-salaried that you had asked, I think largely it's salaried for us. Around 70-75% is salaried component, rest is non-salaried. The average ticket size is currently around 2.5 lakhs on personal loans.

Ms. Mahrukh Adajania: Okay sir, thank you so much.

Moderator: The next question is from Jay Mundra. Please ask your question.

Mr. Jay Mundra: Hi sir, good morning and thanks for the opportunity. On the overseas book, if you can provide a breakup of 1.44 trillion loan book into buyer's credit, ECB, India linked corporate, non-India Linked corporate and local credit?

Mr. Sanjiv Chadha: I don't know whether we have that readily available . I'll just request Chand saab if he can give some broad indication, or again, he might provide the figure to you offline. Chand saab?

Mr. Debadatta Chand: We'll give you the data separately. But, the acquisition in terms of the incremental business by and large is out of the term loans and trade finance and assets are typically picked up in countries where the country rating has been fairly high.

Mr. Jay Mundra: Sure. The second question is on your restructured book. If you can provide how much is the outstanding restructured book, COVID and including any legacy, 5:25, etc. How much has come out of moratorium, and what were the slippages from the restructured book this quarter, and was there any normal repayment from that book?

Mr. Sanjiv Chadha: So, Khura na saab will answer that question. Khurana saab?

Mr. Ajay Khurana: The total restructured book , all inclusive , is 19,666 crore. Slippage, there has been a slippage of around 1,000 crore this quarter. Largely , we are getting good repayment, only 15-16% is stressed, SMA 1 and 2, you can say. Otherwise we are hopeful that in these 3 quarters, around 3,000 -4,000 crore, 3,000 crore approximately should come out of it.

Mr. Jay Mundra: Okay, sorry. So just to confirm, 3,000 -4,000 crore should come out of moratori um?

Mr. Ajay Khurana: Yeah, exactly you can say in 4 quarters, yes.

Mr. Jay Mundra: Sorry, so barring 3,000 -4,000 crore, everything should come out of moratorium in 2-3 quarters?

Mr. Ajay Khur

ana: No, my dear. See, moratorium has been given even up to now. So, repayment is
getting started. What I'm saying is that, stress is only in 15-16%. We are hopeful that rest will come slowly out of stress.

7 Mr. Sanjiv Chadha: I think what Mr. Khurana's point is that there may be about 3,000 -4,000 crore where there is some stress. The other is likely to come out intact at the end of this year.

Mr. Jay Mundra: Sure, understood sir and out of this 19,600 crore, how much has restarted the billing, and how much could be under moratorium broadly?

Mr. Ajay Khurana: By June end, almost all have started payment now.

Mr. Jay Mundra: Right, understood and 15-16% is in SMA category, right? You have not included NPA here?
Mr. Ajay Khurana: Yes, NPA has already been excluded.
Mr. Jay Mundra: Correct and the last question sir is on your salary cost this quarter. There is no additional family pension that we have done. Instead, the provisions for salary has increased by few hundred crores. I was under the impression that if yields were to go up, then the bank should have some benefit in terms of staff retiral provisions. So, if you can elaborate sir, why has the staff provisions for salary gone up?
Mr. Sanjiv Chadha: I request Ian to take that question.
Mr. Ian Desouza: Yes. So, Jay, you would see in the last quarter i.e. the final quarter of FY22, you would see that we had a good favourable tailwind in terms of these provisions, which are likely for retirals and we were able to show a much lower provision. But, essentially, there's a countervailing factor in terms of the inflation. So, the dearness allowance also has a role to play because that gets projected into our assumptions. So, as a result you would see a provision that is in line with the same quarter last year, but on account of a different factor .
So, you're quite right, if we have a further repo rate hikes, the discount factor that we use for these calculations is likely to go up, but at this point we are not sure how much of it will go up, so you will see a positive movement perhaps towards the end of the financial year as we get further clarity on the discount rate moving up and hence giving us a benefit here.
Mr. Jay Mundra: Great Sir. Thank you so much Sir and all the best.
Mr. Debadatta Chand: Jay, just to update you on the trade finance on the international book, the book is around 20%.
Mr. Jay Mundra: Sure Sir, yeah. Thanks Sir.
Moderator: The next question is from Ashok Ajmera. Please unmute yourself and ask the question.
Mr. Ashok Ajmera: Good morning, Sir. Am I audible?
Mr. Sanjiv Chadha: Yes, Ajmeraji, you're very audible, very good morning to you.
Mr. Ashok Ajmera: Compliment s Sir for another great quarter of the good set of numbers specially in case of net profit, at least on the books it has gone up as compared to the last quart er to 2,168 crore. Having said that Sir, I've got a couple of observations and some questions. Sir, on the treasury front like the revaluation of investment continuously in the last quarter also of 819 crore, in this 8 quarter 1,168 crore, so going forward because overall treasury entire operations except the trading profit is there is overall negative, which of course is basically understood because of the hardening interest rate, but going forward where do we stand on account how much are we cushioned even if it goes by 20 basis point or 50 basis point by RBI as compared to the Fed there, so can I get a view on the treasury operation going forward in the next three quarters , is my first question please?
Mr. Sanjiv Chadha: So, Ajmeraji, I'll just give you a broad se

nse and then I'll hand it over to Mr. Chand
to again give you a more detailed answer. The fact that this particular MTM loss that we have incurred right, this represents about again I think 60 to 70 basis points increase that happened in long term treasury rates. Now , it seems to be the market prognosis that while repo rate hikes would happen, but most of the increase has been factored in already in terms of long term rates and therefore the increase in long term rates over the rest of the year is likely to be less as compared to what we saw in a single quarter in this current quarter, so I think that's what we need to bear in mind.
The other part of course is that you might argue that this is always part of normal interest rate cycles that when interest rates increase, the economy improves, you will see better loan growth, you will see better net interest income, and you'll see some correction as far as the treasury evaluations are concerned. Now, the improvement in NII and the benefit of the impr ovement in terms of credit cost is likely to sustain for a fairly long period of time . But the impact that we had to see in terms of MTM, normally is compressed and this particular instance has got compressed or very short period of time, so overall I think as we go ahead the balance should work positively for the Bank. The second part of course is that how does it even work in the short term, so even when we had again a sharp market correction the fact that we have seen a significant improvement in the profitability, I think should possibly indicate that on balance it should work out well for the Bank going ahead also, but let me hand it over to Chand Sir in terms of an informed analysis of what are we likely to see as we go ahead.
Mr. Debadatta Chand: Good morning, Ajmeraji. The fact that last quarter had a significant yield increase, but in the rising intere st scenario two things happen. One, is a negative impact on the depreciation side at the same time there is a positive income also. If you look at the interest income on investment has gone up significantly high in this quarter and the bank having a larger FRB component that positive offset is still there for subsequent quarters. Coming to the valuation side going forward, if you look at the levels at this point of time both on the 10-year G-Sec, even if there is a likelihood of some realignment on the short -term rates in terms of repo and all, but then the long term doesn't seem to be very likely to go significantly high that is what the outlook most of the market participants do have at this point of time.
So, taking all these thing s in consideration, as MD Sir has rightly said, the incremental impact of depreciation the subsequent quarter we see very less as compared to the kind of depreciation we've provided for in the June quarter and if the outlook comes true possibly there would be write back

also quite possible maybe in Q3 and Q4 that's a view, but market can go anywhere. So, to sum up that whatever negative impact of the rising interest scenario has been , the book has taken that impact and subsequent quarters would be, we are quite positive.
Mr. Ashok Ajmera: Thank you, Sir. Point well taken. Sir, my second point is on the profitability again on the employee cost, which has gone up in this quarter by almost about 270 crore, Sir out of that, if you see note #10, I mean a provision of 73 crore on the revision in the family pension has been done only in this quarter, rest 1,091 crore has been carried forward as per the RBI dispensation over the 9 next four years or so. So, still I mean this 1,091 some banks

are prudent and providing little more on
this, what is our view on that and secondly coupled with that the provision is lower this time overall and that is adding to our profitability that maybe because of the your transferred some NPA accounts and there is a provision reversal of 2,355 crore, so going forward whether this trend of NPA selling is going to continue or do we see the similar kind of provision and reversing in the next coming quarter so as to have a clear idea of the profitability of the bank you know at the bottom line?
Mr. Sanjiv Chadha: So, Ajmera ji, I will again give you a broad sense again in terms of how I look at it and then again Khuranaji will give you a more detailed response. So, you're right, that we actually have a low provision this quarter, but that largely is because we had taken acce lerated provisions in the previous quarter right. So, whenever you have got good profit, the Bank has a choice of doing some advanced provisioning, building some cushions. So, what we have done is we have chosen to do it in terms of creating credit provi sions and that's why again we see that whenever , the Bank actually had a bit of a challenge in terms of mark to market, the fact that there were some advanced provisioning has helped again in terms of making sure that the credit provision is correspondingl y lower .
But more importantly I think they are broad trends, which are there to see. For instance, if you look at the slippage ratio right, it has been coming down. If you look at the gross net NPAs they have been coming down, if you look at the guidanc e for credit cost, we have indicated this year that the credit cost is going to be between 1.25% to 1.5%, which is significantly lower as compared to previous years, so I think there are some broad trends which are there and we have had occasion to discuss earlier. Then this is largely to do with the fact that the corporate cycle is now working very well, which is why we saw this improvement even through COVID . So, therefore to my mind even as we go ahead, the trend of lowering of credit costs is likely to continue and is likely to add to the bottom line, but it is not because we are stinging in anyway on provi sioning . If you see the PCR for the Bank right, it is at 90% even if you take technically written off accounts out, it is still more than 75% and this is among the highest in the industry. So, I think the point is that the Bank is very well provided as far as the NPA book is concerned and therefore as we see the growth, the benefit of the growth will accrue more and more to the bottom line. But in terms of your question I'll just request Khuranaji, if he has anything more to add in terms of specific figures.
Mr. A K Khurana: Yes Sir. Ajmeraji , as far as any selling is concerned, we have not sold anything or transferred any NPAs, credit cost is reduced as MD Sir has informed that because one we have gone for escalated the provisioning earlier. Second, is if you look at our slippage and our recovery, they're almost equivalent, because recovery is also good, so that is why our credit cost is getting reduced, so these are the main reasons, anything else is not there, yeah.
Moderator: The next question is from Mahesh MB. Please ask your question. Mahesh, you may unmute yourself and ask the question.
Mr. Mahesh MB: Yes Sir. Sir, first question is on the power sector
Moderator: Mahesh, I'm sorry you're inaudible, can you please be loud.
Mr. Sanjiv Chadha: I think a bit closer to the mic, Mahesh, you are very faint, your voice is very faint actually.
10 Mr. Mahesh MB: Yeah, is it better now?
Mr.

Sanjiv Chadha: Yeah, much better.
Mr. Mahesh MB: Sir, I just wanted to understand this power sector demand revival that you're seeing for the last couple of quar ters, where is it coming from?
Mr. Sanjiv Chadha: Sorry, could you repeat that. I think we lost you at the end.
Mr. Mahesh MB: The demand that you're seeing on the power sector side, if you could explain where is it coming from?
Moderator: The question he asked is, demand in power sector where it is coming from?
Mr. Sanjiv Chadha: Yeah. So, I think there are two parts to again the growth in terms of power assets. One of course is that there is a lot of Greenfield activity, which is there in the renewable sector. So, that's what has been actually been responsible for a fair bit of increase as it was the last few quarters . But then again there are some good quality assets, which are there even in terms of thermal power, which are mature, well performing with modest levels of leverage that is also something that we have been looking at. But let me again hand it to Mr. Debadatta Chand to amplify that.
Mr. Debadatta Chand: Power sector, typically the book increases out of the demand we had in couple of months from now in the entire economy and that can typically be the higher input cost, new

energy efficiency measures, lot of renewable energy, new projects coming in. So broadly we're riding on those demands and our book also significantly seeing that way a good movement therein.
Mr. Mahesh MB: Okay. Sir, second question, what is the visibility now on the corporate NPL book that you have for about 13,000 crore in terms of recovery?
Mr. Sanjiv Chadha: So, I think in terms of the corporate book, the large recoveri es have largely happened. The book is also almost completely provided. So, to that extent, I think there's an upside which still remains, but I think now onwards the large ticket resolutions which had to happen have happened . So therefore , the kind of spikes that you used to see at times in one quarter, they are unlikely and we should be seeing steady recovery still substantial recoveries, but steady recoveries as we go ahead.
Mr. Mahesh MB: Perfect and last question, what is the total number of customers that you have, if I were to just look at slide 27, which says 22 million activated users and 40 million downloads, what is the opportunity which is still pending?
Mr. Sanjiv Chadha: So, I think we have we can divide our customer base into two parts. We have a total about I think 130 odd million customers as far as I recall, out of that about 50% -55% are FI customers. We have about 60 million customers who are non-FI customers; non-financial inclusion customers, so you can argue that BoB world is again an application which is largely targeted at this segment. Now, if you look at private sector banks, which do not have as many FI customers, then the kind of penetration rate that they have achieved with mobile banking at time moves up about 50% -55%, so I think that is I think the kind of upside which is still there, so we are currently at 38%, I 11 believe it should be possible for us to take this penetration to about 50% of the non FI customer base by the end of the year.
Moderator: The next question is from Pritesh Bamb. Overall deposit growth was lower QoQ despite the same interest expenses are up 5% QoQ and domestic cost of deposit is down by 4 bps. Can you comment on that sir?
Mr. Sanjiv Chadha: Can you just repeat that once more.
Moderator: Overall deposit growth was lower QoQ despite the same interest expenses are up 5% QoQ and domestic cost of deposit is down 4 bps. An

y comment?
Mr. Sanjiv Chadha: So, I think the two factors are at play, it is I think really normal seasonality that you see higher growth of deposits at the end of the financial year right, as compared to the first quarter. So, that's number one. Number 2, again in terms of actually deposit costs being lower, so if we were to look at YoY that is because for most of the last year, we actually had a lowering of deposit costs . Now, what we are seeing is, we are seeing some kind of stabilization, so I think that's what is likely to be the position. We should see now deposit costs pretty much leveling off and possibly start increasing modestly as we go ahead.
So, therefore what we have seen is entirely consistent with what you would expect that, A - that deposit growth in the first quart er of the year is lower as compared to last quarter of last year. Number two, overall since out of the four quarters we are now measuring at least there were 2-3 quarters where deposit costs were coming down significantly you still have a little bit of benefit from that even as we speak today.
Moderator: Thank you, Sir. The next question is from Anand Dama. You may unmute yourself and ask the question.
Mr. Anand Dama: Yeah. Sir thank you for the opportunity. Sir, what is the overall growth run rate that you would look at by the year end, so should we have about 12%, 13%, 14%, what kind of run?
Mr. Sanjiv Chadha: So, I think we are at the beginning of the year and we had guided at the beginning of the year that we believe that the industry might grow about 10% to 12% and we would expect to grow faster than industry or at least industry or maybe faster if we can help it. I think we stand by that guidance, very obviously the growth momentum of this quarter is significantly quicker, but then I think for the moment since it's just one quarter, we'd like to see how it goes, so we retain that guidance. Industry growth rate probably up to about 12% and are targeting a slightly faster rate while keeping a margin impact or improving them as we go ahead.
Mr. Anand Dama: Any in the overseas book, is there any short term loans that we would have given basically, which would run off as you move ahead?
Mr. Sanjiv Chadha: So, I think Chand Sir had clarified that, that the proportion of short trade finance is relatively low, it's relatively low it's about 20% book, I think he has clarified, so therefore we have a fairly stable book and therefore again we believe that we don't expect any contraction of the book in the near future.
12 Mr. Anand Dama: Sir NARCL transfer, so whe n do you expect that to happen and what will the quantum of transfer?
Mr. Sanjiv Chadha: So, I think there are some formalities that need to be completed which again are not entirely in our hands, but we have guided earlier also that because of the nature of our book and the resolution that have happened over the past period, the figure for us is not going to be very substantial.
Mr. Anand Dama: Okay and Sir lastly you have significant stake in the insurance company India Life any plans to sell stake in that insurance company, anything which has come from RBI or from

government basically to cut down your stake in to the non-bank holding space?
Mr. Sanjiv Chadha: Sure. I think but we have put in the public domain the current position. I think now going forw ard, in terms of what might be plans that would be really for the company to answer.
Mr. Anand Dama: Okay. Thanks a lot.
Moderator: The next question is from Rakesh Kumar, please unmute yourself and ask the question.
Mr. Rakesh Kumar: Hello.
Mr.

Sanjiv Chadha: Yes, Rakesh.
Mr. Rakesh Kumar: Yeah. Thank you. Thank you, Sir. Thanks for taking the question Sir. Sir, as you mentioned Sir the credit growth guidance that we have is slightly higher than the industry growth for this year correct?
Mr. Sanjiv Chadha: Yeah. So, we have guided that we would want to grow at industry or higher.
Mr. Rakesh Kumar: Sir our retail term deposit growth is around 3.5% for this quarter on a year -on-year basis, so with this kind of retail term deposit growth, would it be you know easy for us in a rising interest scenario to reach that kind of a credit growth number?
Mr. Sanjiv Chadha: So, I think even what you have indicated along with that record in terms of CASA growth would pretty much again match up with what is the current estimate, but again as I mentioned in my opening remarks, the fact also is that as interest rates , real interest rates become positive that should positively impact deposit growth for all players. Number two, even today as we speak because of the overhang of liquidity which was there for most of last year, in terms of composition of book, there is scope to reshuffle that to optimize yields. So, I think that's also some of the things that we're likely to see.
Mr. Rakesh Kumar: Okay and so just last question pertaining notes of accounts number 12, if I see the similar number in the Q4, there is a bit of a reduction in the additional provision that we are holding on the stress ed standard asset, so is it that because of some delinquency in the restructure d book, we have reduced that provision, we have reversed that provision, or there is some other reason for this provision number you know having come down from 598 crore to 465 crore?
Mr. Sanjiv Chadha: So, I'll just request Khurana saab to take that question.
13 Mr. A K Khurana: No that is correct because of delinquency in the standard asset those have been restructured have become NPA, so that provision has been shifted there.
Mr. Rakesh Kumar: Okay. Thank you. Thank you, Sir. Thanks a lot.
Moderator: Our last question comes from Abhishek Tandon, you may unmute with yourself and ask the question. Abhishek please go ahead and ask your question. We will move to Mona Khaitan to ask the question. Mona , you may ask your question.
Ms. Mona Khaitan: Hello.
Mr. Sanjiv Chadha: Yes Mona.
Ms. Mona Khaitan: Yeah. Hi Sir and thanks for taking my question. So, on the gold book what would be your yields both on the Agri and the non-Agri side?
Mr. Sanjiv Chadha: So, I think is that somethin g that Joydeep you might want to take that question?
Mr. Joydeep Dutta Roy: So, we don't have the ready figures right now, but we can supply it offline maybe. I will arrange to send that figures to you.
Ms. Mona Khaitan: Sure Sir. Thanks. Secondly, what would be the outstanding disbursements on the ECLGS portfolio and what sort of slippage we've seen from the same?
Mr. Sanjiv Chadha: So, I think as far the ECLGS portfolio is concerned, I think the sanctions are about 10,500 crore to 11,000 crore, 19,500 crore as outstandi ng, some repayments are there. My own sense is that now disbursements should be more exceptional rather than the rule. In terms of the quality of the portfolio it seems to be holding up fairly well. As of now the NPAs probably are less than 10%, so on current evidence I think the ECLGS portfolio is performing reasonably well also we had occasion to discuss in the past that since the ECLGS loans were priced actually very often at rates lower than the main book right for a lot of borrowers , so it was not necessarily, again t

here was no
necessary correlation between stress and the ECLGS book, so therefore we expect this portfolio to continue to be reasonably strong.
Ms. Mona Khaitan: Sure, and just lastly on the restructured portfolio you mentioned 19,600 crore, so this is standard book right?
Mr. Sanjiv Chadha: This is the standard restructure book indeed.
Ms. Mona Khaitan: Okay and so far, if I have to look at the cumulative slippages from the same, it's been around for 40 billion or so, 4,000 crore?
Mr. Sanjiv Chadha: So, I think it depends on what timeline are you really looking at when you say what is the cumulative slippage from that, but again maybe Khurana saab might have some indication on that.
Mr. A K Khurana: No, around 4,000 crore is in last 1 to 1½ year.
14 Ms. Mona Khaitan: Yeah. So, that would be the case for this COVID restructured book right, the total slippages so far?
Mr. A K Khurana: Yes, in fact this entire 4,000 crore not COVID, the earlier restructure also is included.

Ms. Mona Khaitan: Yeah, right. The COVID and the MSME restructuring.
Mr. A K Khurana: Not MSME, even the corporate big accounts are also there.
Ms. Mona Khaitan: Okay the FBRs and so on.
Mr. A K Khurana: I will not name, but yeah there are few.
Ms. Mona Khaitan: Sure, okay, thank you.
Moderator: Thank you everybody for participating. I now request Mr. Ian De Souza to give vote of thanks.
Mr. Ian Desouza: I'd like to thank all the analysts on the call. As usual, it has been a very engaging set of questio ns and look forward to seeing you in our next quarter call. Thank you very much.

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Call: Nov 2022

BCC:ISD:114:16:266 11.11.2022

The Vice-President,
B S E Ltd.,
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
BSE CODE-532134

The Vice-President,
National Stock Exchange of India Ltd.
Exchange Plaza,
Bandra Kurla Complex, Bandra (E)
Mumbai – 400 051
CODE-BANKBARODA

Dear Sir / Madam,

Re: Disclosure under Regulation 46(2)(LODR)

We enclose transcript of Analyst and Media call held on 05.11.2022 for Q2(FY2022-23) Financial Results.

We request you to take note of the above pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015 and upload the information on your website.

Yours faithfully,

P K Agarwal
Company Secretary

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ANALYSTS' MEET Q2FY23
5th November 2022

Participating members from the Management Team of the Bank

- Mr. Sanjiv Chadha, Managing Director & CEO
- Mr. Debadatta Chand, Executive Director
- Mr. Joydeep Dutta Roy, Executive Director
- Mr. Ian Desouza, Chief Financial Officer (CFO)

2 Moderator: Good afternoon, everyone, and welcome to the Analysts Meet for Bank of Baroda's financial results for the quarter ended 30th September 2022. Thank you all so much for joining us. We have with us today, Mr. Sanjiv Chadha, the Managing Director and CEO of the Bank of Baroda. He will be leading the call and he is also joined by the Bank's Executive Directors and the CFO. We will start with brief open ing remarks from Mr. Chadha. We have a short presentation for you and followed by that we will have the Q&A session. Over to you, sir.
Mr. Sanjiv Chadha : Thank you very much, Phiroza , and a very good afternoon to everybody. First of all thank you very much for joining us. Frankly , we would have preferred that from now on, we can have physical interactions. But we understand that there would have been a rather difficult clash, we thought that this quarter we might do it in virtual mode and hopefully again we will be seeing you with us from next quarter onwards.
So, let me just begin by introducing our team on the call. We have Mr. Deba datta Chand, our Executive Director on the call who looks after International , Corporate for us and also Treasury. We have Joydeep Dutta Roy, Execu tive Director, who looks after Digital , IT and a lot of our platform functions. Ian, is our CFO with whom most of you would be familiar.
So let me just begin by a few opening remarks. I have a few 3-4 or 5 slides for you and then we can open it up for questions. I understand that the presentation would have been uploaded, the full

presentation maybe an hour or more back so that may not have been enough time. So I think it would be useful to just go through the key highlights. So we will have the first slide.

So, our focus again has been on four areas for the Bank. One has been growth, the other is to make sure that even while we grow we pres erve our margins, third has been to keep costs under control and fourth has been in terms of improving asset quality. I think this is a quarter where all the four elements seem to have come together rather well. So, starting with growth as you would see on the screen , if it is visible to you that our overall advances growth has been 19%, a little better than the industry. Within that domestic advances have grown 15% and international by as much as 41%.

The other good part of course, is that the growth has been well spread out as has been our emphasis for the last few quarters , retail has had the most robust growth at nearly 28% with agricultural, MSME, corporate all having double digit growth. The corporate is actually the slowest which also again shows that there is still some upside in terms of as corporate credit picks up, demand picks up, I think there is scope for us to maintain or even better this rate of growth. The other interesting point again is that pools have grown by a slow 3.9% which would mean that the organic growth of the Bank's loan portfolio would be a tad bit higher as compared to the headline growth that we have just discussed.

Within retail advances again for the last few quarters we have seen unsecured personal loans which was relative ly new area of emphasis for us, continues to grow at a very, very good pace with growth now coming to this quarter at about 170%. We believe that we actually can have triple digit growth this year given the kind of pace we have set. Auto loans which has been a strength of the Bank is nearly at 30%. Education loans is again good at 23%. But Home loans and Mortgage loans which if you might recall last year , has been an area of some concern for us that we were not really

growing

in line with the fastest in the industry that also is nearly at 20%. So, I think overall it looks good in terms of growth.

3 If you look at the disbursement YoY figures in terms of growth they are even better with growth ranging from 50% in terms of growth in disbursement for education loans to more than 100% for home loans and mortgage loans.

When it comes to deposits , I think for the industry, the deposit growt h is a little slower as compared to loan growth, so is the case with us. Although our growth again at 13.6% is a bit better than the system. Within that international deposits have grown in tandem with the growth in loans at 38%. Domestic deposits have grown 10.9%. The change of course is that now finally as term deposit rates have started increasing, term deposit growth rates have moved a little ahead of the growth rate for CASA which is something which is understandable and that's what we expect to contin ue.

In terms of the prospect of the bank continuing to support robust growth in advances, I think what is interesting is while our overall global CD ratio is 80% but in the domestic market it is actually at about 73% which leaves some room for us to contin ue to grow our loans at a pace faster than our deposits. The international CD ratio of course are above 100% because a large part of loans there , are funded by instruments like medium term notes and money market borrowings.

Again, what has been a matter of emphasis for the Bank is that even while you grow it is not at the cost of margins. Last year we had tamped down our growth just to make sure that we protected our margins. This year as we had guided in the first quarter we believe that it is possible both to grow in an aggressive manner and also to improve margins. We had guided that we would be improving our net interest margins by about 10 basis points during the year. The growth that you see in the net interest margins is at 3.33 substantially better than that although I must caution that there are some recoveries which are there. So, our overall guidance continues to be that we would be improving our margins by about 10 basis points or maybe a little better than that as compared to last year during the current year.

Just to the previous slide I think another just we can go back to the previous slide, another interesting part is that if you compare the cost of deposits and yield on advances you would find that the cost of deposits has remained pretty much constant over the half year. It has moved by about 7 basis points as compared in a quarter -to-quarter comparison. But for the half year at 3.53 it is exactly the same as last year. On the other hand for the half year the yield on advances have moved up by 21 basis points. Our sense is that, as is generally expected , you would expect loan margins to improve as compared to deposits which would increase with a lag in terms of costs. I believe there is possibly another quarter or two to run, where we will have the advantage of loan re-pricing outpacing deposit re-pricing.

In terms of costs, I think this is again one part of the story which is underappreciated, you will find that whil e growth has been good for all Banks but in the case of some Banks you will find that costs also have increased largely in line. I think for us the good part is that the costs have again been under very, very tight control. You might notice employee cost is up only 1% half year and 2% for the quarter. The other operating expenses are higher in terms of 17% growth but a significant part of that is on account of depreciation because we revalue assets once in

3 years and therefore that

results in a higher depreciation charge. But overall if you would see even despite this depreciation

impact the overall cost growth is just about 8% for the half year and 9% for the quarter. So, we do expect that over next few quarters we should be able to maintain a significantly higher growth rate in both the asset levels as well as in terms of income as compared to costs.
4 The collection efficiency has been again one of the things which have had a significant improvement over the last few quarters, it continues to improve and it stands at about 98%. SMAs which you might argue are the best lead indicator of any stresses that might be developing are now down to again a historical low of 0.42% which would seem to suggest fairly positive prognosis for the future.
The asset quality again has continued to improve, it did so even through the COVID period and now even more so. We have been aggressive in terms of taking provisions because of the fact that the profits have been good, and as a consequence net NPAS are now down to 1.16% while gross NPAs are down by nearly 300 basis points about 280 basis points on a YoY basis. The provision coverage ratio , in consequence , including TWO is at a high of 92 % and if you were to exclude that it is nearly at 80%.
Similarly, slippage ratio has been trending downwards. We had guided for the slippage ratio to be between 1.5 to 2%, so it has come out at the bottom of the range for the half year. And as far as credit costs are concerned, so they are also lower than what we had expected. Going ahead also we would expect credit costs to trend downwards. We had earlier been guidi ng at between 1.25 to 1.5%, now possibly we would want to revise that to between 1 to 1.25% even taking into account some mishaps in the coming quarters. But for the moment we believe that the book is robust and things are pretty much under control so cred it costs should continue to trend downwards through the coming quarters of the year.
In terms of profitability, the net interest income has had a very smart increase of nearly 34% which again is automatically a corollary of the robust growth we have seen in loans as well as the improvement in terms of margins. Fee income at 12.3% , we normally expect fee income to target a growth of about 15% here or thereabouts. Core operating profit that is excluding items like treasury gains, losses, interest on IT refun ds, that's come up at nearly 44%. I think this is a figure which to my mind is significant in terms of the sustainability of the improvement in operations and operating profit that we have seen.
Of course, in terms of the reported operating profit that is again something which there's a little bit of a qualification. The figure is 6%, but that is depressed by one item where there was an asset which was upgraded and because of that there was an equity valuation impact which was there. If we would discount that operating profit growth even taking everything else into account is about 20%. Our net profit, of course, as you would see is again at a record quarter level is at Rs. 3,313 crores an increase of 60% over what was a good quarter last year for us also.
These are the half year corresponding figures which pretty much show again figures which are pretty much in line in terms of the quarter, the quarterly figures of course being better because the second quarter has been better for us even as compared to the first quarter.
As a consequence, the capital position continues to be robust. The CRAR is 15.25% but in case you also add the accumulated profits it comes t

o about 16.1%. So, we are in a position now where despite
having very, very good loan growth our internal accruals are enough to fund that loan growth.
The last point again is in terms of digital. The fact that we have been able to contain costs is largely on account of the fact that we have made great progress in terms of digitalizati on of the Bank. It means that you can grow your business without growing your physical footprint without growing your staff numbers. So, I think this in really so many ways is the foundation for cost control and for
5 making sure that increasingly, there are widening jaws between our income as compared to our costs.
That's pretty much it. Thank you very much and open to questions now.

Moderator: Ladies and gentlemen, we are now open to take questions from the participants. I request everybody to restrict to two questions per participant. Please unmute yourself to ask the question or type your question in the Q&A box.
The first question is from Ashok Ajmera, please unmute yourself and ask the question.
Mr. Ashok Ajmera : Good afternoon, Chadha saab.
Mr. Sanjiv Chadha : Good afternoon, Ajmeraji, my apologies we are not having you in person. Next quarter we will make sure.
Mr. Ashok Ajmera : Yes sir, no, no it was required because immediately after this, the State Bank meeting is also there which is physical this time. So, any way thank you very much for having considered it, but definitely we will meet physically in next quarter.
Sir, I will begin with very rich compliments to you and your team for showing, I mean, not showing but for giving us fantastic results in spite of all these prob lems which are being faced. Not only on operating profitability or profitability but other parameters also the Bank has worked very well, even the asset quality has improved a lot. I have got just a couple of observations and questions.
Sir, our international book has grown little higher , which in most of the other Banks we have seen . But ours being the next largest internat ional Bank next to State Bank of India , having the maximum overseas branches, where do you see this growth is coming in and what kind of yield , with the interest

rate going up there also, are we in a better position to make more money on the international business.

And secondly, we must be having large investment in our international branches or subsidiaries, so with the provision of mark -to-market of 100% on those investments , what kind of a hit you have taken in this quarter and the half year on that account. So, a little bit clarity on the entire international book, this is my first thing.

Secondly, sir, you know last time I had mentioned that our auditors are giving emphasis for those two notes which are basically allowed as per the RBI policy only and which every Bank is doing it. But why a special emphasis is required for that because it is as per the RBI circulars. And I don't think, like for additional pension liability of amortize of 1018 crores and also that fraud amortization of about 91-92 crore s, I think we can have a little discussion on that, why emphasis is required. Because this is generally you know treated as I mean emphasis are generally for the negative points not for the positive or for standard points. So, this is something.

And one is on the note no. 3 on the hedge policy which the Bank has adopted. Profit on the derivatives contract would have been lower by 63 crores, so is this only this quarter phenomenon now started as per the approved policy or it was a regular event in the past also. Because we have not seen this note in the past.

6 So

, a couple of othe r things if I may be permitted. On the treasury front , our treasury has performed well in fact even in the segment wise profit also there is a profit of 1460 crores against a loss of 169 crores in last quarter, and I think in trading book has also been good. But, now going forward this further pressure coming in now with in fact increase in 75 basis points we might also see 50-60% basis points increase, where do we, where are we place d as far as the I mean how much are we cushioned for our AFS book or other investments.

So, these are a couple of questions and observations . I have many more but then my other colleagues are also there. If permitted in the second round I will come back, but if you can answer some of these questions.

Mr. Sanjiv Chadha: Thank you, Ajmeraji. I will just again try to answer a couple of them and then hand it over to my colleagues. In terms of the internati onal book, I think we have for the last few quarters been reporting high growth. The reason for that was two-fold, one was that we found that in the domestic market , particularly in the corporate segment, the margins were very depressed. So as compared to the margins in domestic markets we were finding better margins in the internation al book.

The second part to your question is how our NIMs are, so, actually if you were to look at our NIMs and the trajectory over last few quarters, our NIMs in the international book have increased from over 1.3% to more than 2% now. Now , if you juxtapose this 2% NIM against the fact that as against 50% cost to income ratio domestically on an average you will have less than 20% cost to income ratio abroad. You end up making again a margin after cost of operations internationall y which is higher than what we have done domestically. So, it is on a net basis margin accretive rather than margin dilutive. So, it is something that was an opportunity for us because of the fact that we have a fairly good international footprint and ther efore what we have built up is a very diversified granular portfolio which again is reasona bly well protected in terms of credit risk. So, it achieves diversification, it also improves the margins for the Bank on a net basis.

Now the second part was in terms of the international investment book. So, there we have tried to be disciplined. I think the fact that interest rates were likely to increase was something that we were aware of, for some time. So, we have made sure that either we are fully hedged or again the duration is kept at an appropriate level to protect the books of the Bank. So, we see very little downside there as far as investm ent portfolio is concerned. In most jurisdictions , except for one or two, the investment portfolio is largely to take care of regulatory requirements , for instance by way of high - quality liquid assets. There is not a very large investment portfolio which might be there , besides that.

In terms of the point of emphasis , I think you can almost take it as a good news , that if auditors believe that this is something that is to be emphasized, it would give you comfort that apart from this there's nothing much , which is to be emphasized. But I will again request our CFO to give his take. But of course in terms of your point this is something which is entirely routine and can be dispensed with and we will see whether we can take it up with the auditors.

In terms of the 63 crores derivative figure and of course the treasury I think I will request Chand saab and Ian to take it forward.

Mr. Ian Desouza : Yes, sir, I will just take the points of emphasis matter, so largely Mr. Ajmera is rig

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it is a very routine matter. But essentially this is a dispensation provided by RBI which overrides the 7 generally accepted accounting standards. So it is permitted by regulators , so with the auditors consensus and the contention we have accepted that it is non-standard but permitted by regulations. So, as Chadha saab said given that this is the only thing that they need to bring to attention, it is a good thing.

The second thing in terms of the international book we have adopted the ICAI guidance note on derivatives, as per that it is permitted that the hedges that we have taken on international investme nts can be used to offset any losses in the underlying book. So, that is that note that you see, this is a board approved policy and hence the disclosure to indicate that if we had not adopted this policy. So, this disclosure will be there till the end of the year, wherein from next year it will become business as usual ly, but essentially it is IRS swaps which are offsetting losses in the investment book of the international territories .

And lastly just as an additional point in this quarter we did have an impairment in international territories in terms of mark -to-market but that was more in terms of a corporate bond which had to be valued as per RBI norms and hence there was a loss. But otherwise largely there was no significant loss in our investment book in international.

Mr. Sanjiv Chadha: Chand Saab?

Mr. Debadatta Chand : Just to give outlook with regard to the domestic treasury and also international treasury book, you would have seen that this quarter the income on investment has been quite strong, and that is rather higher than the increase in book , in that way. So, in rising interest scenario typically this happens in terms of higher income at the same time the trading profit is lower. So, going forward also considering the interes t rate will still be elevated , we will try to optimize on income side more . As earlier we already articulated that growth in FRB book which is a substantial portion. So, that component that delta is going to be there in the book for the coming quarters .

On the international side, Ian has rightly clarified on that, our normal investment is totally hedged in terms of hedging instrument so any profit/loss out of that would be duly controlled except barring one investment which was a loan plus investment kind of thing out of restructuring which was appearing below the line earlier in June, it has only moved above the line. So, in terms of net impact on the book net profit hardly anything because it is only accounting because September the loan was upgraded at the same time the NPI, I mean the valuation and the investment continued to be there in the same way which has just gone from below the line to above the line, otherwise remaining invest ment we do have adequate cushion in terms of value instrument and these are all duly covere d.

Moderator: The next question is from Saurabh Kumar, please unmute yourself and ask your question.

Mr. Saurabh Kumar : Sir, a few questions, one is you said that there were some one-offs in the interest income, could you comment on what the magnitude of those one-offs is. Second is 808 crores charge you have taken, could you comment on what's that. And the third is basically could you comment on the ROA which is 1%, obviously great, do you think there is sustainability around this number from hereon. Than k you.

Mr. Sanjiv Chadha : Thanks, Saurabh. I think the first part, sorry, I lost track. Saurabh, if you can just repeat the question, I will make a note of it, if you don't mind.

Mr. Saurabh Kumar: Yes, the first

is on the interest income, you said that there are one-offs in the interest income, could you comment on that. Second is 808 crores write -off, if you can comment on 8 that. And the ROA 1% how sustainable is it do you think. I will probably just add one more, sorry. What is your restructured book. Thank you.

Mr. Sanjiv Chadha : Okay. So, I will just take two of these, this 808 crores write -off I think I will hand it over to Chand saab or Ian to take that and also the restructuring one. So, in terms of the interest income normally again I did say one-off and that is correct, you have at times slightly chunky items, so there was a large upgradation on account which was there. On account of that there was an accretion to the interest line. You can argue that that is something which would happen every quarter, but again I think just to sound a note of caution we believe it is always good to mention that because there's always a possibility that in the next quarter you might not have as much accruing as in terms of that particular line.

So, if we were to take that figure, so there's again that recovery and also what Ian mentioned that I think there was one swap that we unwound which again added to the interest line, both taken together would be about 20 basis points, 18-20 basis points which were there. Some of this could come again in future particularly in terms of recovery, but may or may not, so that's what the quantum is.

Even if we were to entirely remove that we would still be pretty much in line with our guidance that we expect a 10 basis points improvement in the net interest margins. What we see this quarter is a substantially larger improvement, therefore we thought that in terms of disclosure it is best to qualify that.

Now in terms of the sustainability of the return on assets I think we have been guiding that we expect to hit a 1% ROA and a 15% plus return on equity in the next year. Now because of the fact that is a good quarte r, we have hit that figure in the current quarter. We expect improvement to continue. But as of now, we would be guiding that we should end up with an ROA, maybe a little below 1% this year and cross the 1% threshold next year. But in terms of trajectory, we expect to maintain the upward trajectory and fairly strong reporting in terms of results. Over again to Chand saab and Ian in terms of a) that write off that we spoke of and b) the other part which was in terms of restructuring.

Mr. Debadatta Chand: The restructured book, if I talk about it, it is something around 17,000 crores as compared to 20,000 in March 2022. So, it has gone down. With regard to the one off that we

talked about in terms of we already clarified with regard to a provision impact whic h is below the line and above the line in the other income which is appearing is actually the revaluation investment which is minus because of this particular impact, although there is nil impact on the Net Profit, because it was earlier appearing in June below the line.
With regard to the IRS, as sir has already said, that's a one off. But the remaining again, whatever international investment we do have, we're adequately cushioned in terms of having proper hedges against that. So, given a scenario of further rate hike happening and there being depreciation on both investments, we do have also on the IRS, covering of those depreciations. So, in a broad sense the book is quite stable.
Again, on the income side, if I focus on investment more, the growth in investment income has been almost 27%, which is higher than the book increase . And, this is a rising interest scenario wher

e
typically you're trying to optimise on the income side more as compared to the trading profit, and that would continue for this quar ter also, that is what our hope is. Ian, do you want to add anything further?
9 Mr. Ian Desouza: No, nothing sir.
Moderator: The next question is from Jay Mundra. Please ask your question.
Mr. Jay Mundra: Hi sir, good afternoon. Sir, I wanted to check on the sustainability of the growth. So far in last quarter and this quarter, we have clocked 19.6 and 20.6 kind of a number, part of that could have been because of the lower base. So sir, I wanted to check your thoughts on as to how do you see the growth by March end?
Mr. Sanjiv Chadha: So, I think we can see it in two contexts. One is of course, you're right, that the first two quarters for us was bad, putting the 1st quarter of last year where we had negative growth in terms of loans. 2nd quarter I think QoQ we grew by about 5%. But, if we were to take the full year growth last year, it was, I think below 10%; maybe 7-8%. So, if we have grown 20% in this 1st half, then you pretty much have grown at equivalent to what we did last year. So, anything which comes after this is a plus. So therefore, we can safely say that we should grow at a substantially higher rate as compared to last year. Now, that we compared last year.
Then if we were to look at this quarter, and how could things be in the next quarter, I think the kind of rates we have seen in some segments, I think they are exceptional to my mind , 20% home loans, 30% car loans, some moderation is possible because there was pent up demand. For instance in cars, because there was semiconductor crisis, there were availability issues. But, I think there is some upside for us in the fact in terms of the composition of our growth.
Now, our corporate loan growth continues to be slightly depressed at 10%. That is the segment which is the slowest growing segment, and it is 50% of our book. Now, as pricing power is returning, I think there is scope for us to increase that substantially. We have continued to be disciplined in terms of pricing, which is why our corporate loan growth is slower as compared to some of the Banks. But, we believe that is something that could translate into an upside in terms of yields also as interest rates are moving up. And remember, interest rate increase has not got translated into MCLR in any substantial manner yet. It will get translated into that over the next few quarters. So to my mind, if we were to backend the corporate growth a little bit, which I think will work out in our case, you have an upside both in terms of growth , as also in terms of margins.
Mr. Jay Mundra: Understood sir. So, is it fair to say that we would be growing as much as the system? Right now we are growing slightly ahead of the system. But, if the system were to end at 15-16%, can we expect a similar growth for BOB?
Mr. Sanjiv Chadha: I would believe that is something which you should expect, yes.
Mr. Jay Mundra : Sure sir. And secondly, on your EBLR transmission and also if you can give the breakup of the loan book by EBLR and MCLR and maybe the fixed rate and others? And, on 30th September, what is your EBLR transmission policy sir? The 30th September rate hike by RBI, when you would have, would you have passed on immediately or does that come after a certain lag?
Mr. Sanjiv Chadha: To my mind immedia tely, but let me again pass it on to Chand saab in terms of the full breakup on in terms of how is our benchmark – EBLR, MCLR and the rest.
Mr. Debadatta Chand: Yeah, we'll provide you the exact data, but all the retail loans

are on the BRLR
or the EBLR rate. And, the remaining, the corporate loan mostly, because earlier there used to be T-10 Bill, etc, but these are now largely MCLR linked. So in that way, the pricing transmission is also happening, but the exact breakup we'll provide you.
Mr. Sanjiv Chadha : So Jay, broadly as far as I know, close to 30-35% is linked to EBLR. About 50% is nearly MCLR, and then you have other benchmarks, some of them including old BPLR and all. That's the rough thing. But, I think we'll give you the exact figures.
Mr. Jay Mundra: Okay sir. And secondly, on your overseas slippages, this quarter there seems to be a slight increase in the overseas slippages. If you can comment on the nature of these slippages? Because, we have grown our overseas book rapidly, is this some chan ge in the NPA trajectory there?
Mr. Sanjiv Chadha: So, I think we continue to guide that our overseas book is very good; there are no surprises which are there. This was not a surprise. So, this was an asset which was restructure d.

It was also partially provided. Now it has slipped and it is fully provided. So again, we will continue to guide. We don't see too many surprises in the overseas book.
Mr. Jay Mundra: Right. And last question sir, on standard assets provisioning requirement, there were few sover eign, quasi sovereign, state government accounts for which other Banks seem to have provided an accelerated standard assets provisioning. Has that been the case with Bank of Baroda also, or do you expect accelerated standard assets provisioning for some of these state government or FCI or civil supply kind of an account?
Mr. Sanjiv Chadha: So, let me first give you a small answer and then I will pass it on to Mr. Chand again to give a more complete thing. So, to the extent it is required, we actually have done all provisioning which is required; either required by Reserv e Bank or by our own auditors. But, if there's anything more to add to that, I'll request Chand saab to do that.
Mr. Debadatta Chand: See, standard assets provisioning we do have, but the reference that you're making in terms of the government accounts, we do have a higher provision therein, but not to the extent impacting anyway with regard to our already held provision or impacting the further provisioning for the Bank as a whole. Does it clarify?
Mr. Sanjiv Chadha: Jay, let's put it this way. There's nothing which we were supposed to provided, which we have not provided.
Moderator: Thank you sir. The next question is from Mahrukh Adajania. Please ask your question.
Ms. Mahrukh Adajania: Yeah, hello sir. Congratulations. Sir, I just have a couple of ques tions. Firstly to clarify, compared to the one off or slightly lumpy margin from one off in this quarter, what would it be last quarter? Roughly any idea, 1st quarter?
Mr. Sanjiv Chadha: So in terms of margins, I'm not sure whether I've understood you correctly. What we have been guiding that we would expect a 10 bps improvement in margins in this. So, we continue to stand by that guidance. But I'm not entirely certain whether you were implying something else. You can just clarify please.
Ms. Mahrukh Adaj ania: Yes yes. So, what I'm saying is, you said that 20 bps of this quarter's margins could be attributed to reversals and swap unwinding. So, was there any such reversal or unwinding in the last quarter, the 1st quarte r of 2023, that's my question and how much was it?
11 Mr. Ian Desouza: We would have disclosed that sir and Mahrukh. So there was no such lumpiness in last quarter's margins.
Ms. Mahrukh Adajania: Okay thanks. And my other question sir is

on the New Wage Bill. When will
you start providing towa rds it? And basically, when do we have to calculate? Even if you assume a 10-12% increase, what do we apply that increase on? On what proportion of the employee expenses? 60%? 70%? So, just some clarity on the New Wage Bill, and what kind of per quarter provision you could see? Just a ballpark number.
Mr. Sanjiv Chadha: Ian, do you want to come in on that?
Mr. Ian Desouza: Yeah. So basically, if we go by the past trends, it could be something like a 200-250 crore provision per quarter. This provision will only be largely for the last quarter in a major chunk, because it will apply to full of Q4 of partly to Q3. So, it's not going to be a significant dent on the operating expenses of the company, but yes, it will have to be made.
Ms. Mahrukh Adajania: Okay, got it. And, just one clarification on the outstanding restructured book. The 17,000 crore is the all inclusive number including MSME restructuring of prior schemes?
Mr. Ian Desouza: Yes, it is.
Ms. Mahrukh Adajania: Okay, thank you so much.
Mr. Debadatta Chand: Jay, if you're still connected, you wanted that breakup on the different pricing, right? We have MCLR almost to the extent of 53%, the EBLR /BRLR that we talk about, that is almost 28%. The remaining are either a small component of fixed rate at 7%, remaining are all T-Bill and G-Sec based. So, roughly around 28% is the EBLR and 53% is the MCLR.
Moderator: Thank you sir. The next question is from Rakesh Kumar. Please ask your question.
Mr. Rakesh Kumar: Just few questions. We have done quite well on the margin front this quarter. Looking at some of the unamortised provisions that we carry, what is the reason that we are not in the family pension thing? We have not cleared it off instead of showing the kind of ROA we have done. Just a kind of a suggestion and just to understand from you why we are carrying it still?
Mr. Sanjiv Chadha: Ian, would you want to take that?
Mr. Ian Desouza: Yeah. So one is, these are not items which would help strengthen the company from a risk perspective. So, if you see, it's not that we have tried to take one-offs and overstate the profit of the company. For eg. when we had this large state -owned entity which was privatised, we released more than 2,500 crores of provision in Q3 and Q4 of last year, against which we built up our provisioning cover significantly.
Again, in this quarter, we had a significant release from one chemical international account which got upgraded. In the NPA line, we had a significant release though we made some provision in the MTM for the corporate bond. So, given any large release, we always build up provisions that will counter cyclically help the financial position of the company. So, this particular thing is a permitted accounting treatment. It is more accounting in nature. It doesn't either way strengthen or diminish the strength of the balance sheet of the firm or the financials of the firm. So, I hope I have answered

your question.

12 Mr. Rakesh Kumar: Got it sir. Sir, another question was pertaining to Notes of Accounts no. 16. So, we have delinquency from RF 1 and 2 to an extent of around 16-17% in the 1st half, and we have an outstanding of close to around 8,400 crores now. So, what is the provision just of this number that is outstanding? The outstanding provision on this number?

Mr. Ian Desouza: We'll come back to you on this exact provision number, but your numbers are right. We have about 8,000 crores in RF 1 and 2, and we have NPAs also in that. We'll come back to you on the provisions.

Mr. Rakesh Kumar: Sure sir. Thanks a lot and tha

t's it from my side.

Moderator: The next question is from Anand Dama. Please ask your question.

Anand, please unmute yourself and ask your question.

Mr. Anand Dama: Hello, am I audible ?

Mr. Sanjiv Chadha: Yes Anand.

Mr. Anand Dama: So the first question is, basically how much is our LCR, and what is the strategy going forward on the deposit growth front? Our credit growth is pretty strong, but we also need to accelerate the deposit growth. And, if the rates are going to go up, then basically your guidance of the 10 bps margin expansion hereon, does it hold good going forward?

Mr. Sanjiv Chadha: Broadly again, we believe that it is normal for advance s growth to lag deposit growth when the economy is slow and liquidity is abundant. And, vice versa when the economy is improving and liquidity is tightening, right? So, this is exactly what we see now. And to my mind, again, the continuation of this trend for a few quarters is far for the course and should not give us any reason for disquiet. Having said that, we are focused on deposit growth. And, as we saw in the numbers, our deposit growth has been possibly a little better than the system.

We'll continue to focus on deposit growth while being fully conscious that this is a time where discipline in terms of rates could give disproportionate benefit in terms of impact on the bottom line, because to the extent that the re-pricing of loan stays ahead of depos its, I think there is profit again, which is likely to accrue. So, without again in anyway compromising our efforts in deposits mobilisation, we would want to make sure that any increase in rates is directed wherever there is a rate elasticity in terms of deposit growth. So, I think we'll try to be very intelligent about it, but try to maximise deposit growth. So we are fully conscious of that.

The second point I'd want to draw your attention to is another figure that, in my brief presentation that we had made, that while our overall CD ratio is 80%, when it comes to the domestic book, it is about 73%. So, we have some scope in terms of allowing advances growth to be a little faster than deposit growth.

Mr. Anand Dama: Yeah. Sir, your LCR number.

Mr. Sanj iv Chadha: LCR is about 135% I believe. Ian, if you could confirm that.

Mr. Ian Desouza: Yes. It is 135%.

Mr. Anand Dama: Sir, second is that your term is going to end in January 2023, but I think you have an option to take an extension. Are you going to exercise that option?

13 Mr. Sanjiv Chadha: I believe that the option is more with the government than with me. But yes, shou ld that possibility be there, you might probably see me for another quarter or two.

Mr. Anand Dama: Sure, great sir. Thanks a lot.

Moderator: The next question is from Abhishek. Please ask your question.

Mr. Abhishek: Hello.

Mr. Sanjiv Chadha: Yes Rahi l.

Mr. Abhishek: Sir, this is Abhishek.

Mr. Sanjiv Chadha: Okay Abhishek, please.

Mr. Abhishek: Sir, my question is back to wage revision. I think Ian said 200-250 per quarter in couple of quarters, Q3, Q4. But my question is, what is the overall impact? I'm sure it will be amortised over several quarters. So, what will be the overall impact and what is the assumption you would be taking? Is it going to be around 10-12% or is it likely to be higher maybe 15-16%? So, just some clarity around that.

Mr. Ian Desouza: To begin with, let me talk about the accounting perspective before Chad ha saab comes back in terms of his expectation. So, this is not an amortisation. This is actually a current period cost. It's just that the wage arrear amount will be crystall ised afte

r negotiation that would stretch

over 6-12 months. So, at that point, it will be a back -dated payment. So, it's not wage arrears as of now, it will become wage arrears maybe 2 years from now. So at that point, Banks would not like to take a hit all at one go. So, on a prudential basis, they start making the provisions from now. So, there's no amortisation involved.

Mr. Abhishek: Yeah Ian, that I understand. I just wanted to understand the total hit or total provision that you would estimate. Beca use of course, when the actual comes, you will make the balance provisions, but the overall estimate is what I wanted to…

Mr. Ian Desouza: No no, this is per quarter, right? So basically, if you presume there is no long lengthy negotiation and it all got sorted out in one day…

Mr. Abhishek: Oh, okay.

Mr. Ian Desouza: We are presuming the Wage Bill per quarter would go up by 250-300-350 crores. So that's the way…

Mr. Abhishek: Okay, so till it happens.

Mr. Ian Desouza: We are building a kitty that will work that way.

Mr. Joydeep Dutta Roy: Just to add to what Ian was saying, this is just an estimate, this is not an actual figure. So, 12-15% is basis what has happened in the past wage negotiations. So, we take a cue from that and make a conservative estimat e of 12-15%.

Mr. Abhishek: Understood. My second question is, this NARCL, approximately how much would you be selling and what kind of realisation do you expect or provision release.

14 Mr. Sanjiv Chadha: So, I think last few quarters I've been saying don't hold your breath. It is of no large significance for us. So again, given the nature of our balance sheet and how it has evolved, for us it's not going to be a very large figure. So, marginal impact.

Mr. Abhishek: Okay sure. And finally, just how much addit ional liquidity are you carrying? Approximately how many quarters until this runs off, because that's the space you have from even raising deposit rates; you can hold off till that.

Mr. Sanjiv Chadha: Chand saab, would you want to take that.

Mr. Debadatt a Chand : Yeah, we do have adequate liquidity and that would continue. See, liquidity is a management. It's not like keeping liquidity for something, it's management of liquidity and we are adequately cushioned. We do have adequate liquidity, and depending on the loan growth and our resource strategy, accordingly it will be managed . So, absolutely , on liquidity we run in a very optimised way or a very efficient way.

Mr. Sanjiv Chadha: And, just again, I think we probably come back to our previous question. I don't believe that this pace of loan growth is something which is likely to be sustained indefinitely, and also, I think in terms of deposit growth again, I think that's also likely to pick up as rates get revised. So, I think, at some point in time, we'll find a convergence.

Moderator: Sir, we will now take some questions from the Q&A chat. The first question is – What is the value standard restructured book and how much repayment of restructured book and ECLGS book happened this quarter? And, outlook for restructured book and ECLGS. What percentage of restructured book is either SMA 1 or SMA 2? And the second question is, what is the outstanding standard loan provision including standard restructured provision? And the final question is, what is the latest outstanding ECLGS?

Mr. Sanjiv Chadha: So, Joydeep or Chand saab do you want to take it? Otherwise, the detailed questions I think we can always provide answers in writing, because it's a bit of complex information set that is required. But, if there is any heads up you want to give, please do th

at.

Mr. Debadatta Chand: Joydeep ji, would you like to add something?

Mr. Joydeep Dutta Roy: Right now, the standard restructured book as we had said earlier, was around 17,725 crores. And, the SMA 1 and 2 there is actually very negligible. It's around 0.4% of the total standard advances in percentage terms if you look at it; the SMA 1 and 2. So, from that perspective, again, it's not very significant. The ECGLS book that we have currently is around, the outstanding is 10,000. We had sanctioned around 16,000 of ECGLS book, of which around 14,000 was disbursed. The current outstanding right now is around 10,453 crores.

Mr. Debadatta Chand: And just to add, the SMA 1 and 2 is very insignificant compared to the outstanding; very very insignificant.

Moderator: Thank you sir. Now we take the last question for the evening from Mona Khaitan. Mona, please ask your question.

Ms. Mona Khaitan: Hi sir, good evening. Just two clarifications. If you could share slippages from the restructured book for each of the last 3 quarters. And on the EBLR loans, what is the typical reset period?

15 Mr. Sanjiv Chadha: Chand saab, anything?

Mr. Debadatta Chand: The slippage in the restructured is only something around 18% that we have seen as an average of the past couple of quarters. But quarter wise we'll provide you in case you require that data.

On the EBLR reset, it is scheme driven. So, absolutely when the scheme due date would be there, it would reset. But the benchmark rate would pass on the moment there is a REPO rate increase happening. So, in case, typically you're looking at re-pricing, the re-pricing has immediately when there is a REPO rate hike. At the same time, the reset would happen depending upon the scheme that we have announced for different schemes.

Ms. Mona Khaitan: Okay, so it's typically T+1?

Mr. Sanjiv Chadha: Yeah.

Ms. Mona Khaitan: Okay, thank you.

Moderator: Ian sir, now we request you to do the vote of thanks please.

Mr. Ian Desouza: Thank you everyone. We've had an excellent set of results as usual. Thank you for spending time. It has been quite engaging interacting with all of you. Looking forward to meet you

again in the near future. If you have any questions, you can reach out to me or Rakesh Shinde who is on this call, for any follow up questions. Thank you so much.
Moderator: With this, we announce the end of this quarter's analyst meet. Have a grea t weekend ahead. Thank you.
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Bank of Baroda Media Conference for Quarter ended 3 0th September , 2022
5th November 2022

Participating members from the Management Team of the Bank
- Mr. Sanjiv Chadha, Managing Director & CEO
- Mr. Deb adatta Chand, Executive Director
- Mr. Joydeep Dutta R oy, Executive Director
- Mr. Ian Desouza, Chief Financial Officer (CFO)

Moderator: Good afternoon everyone and welcome to the Media Conference for the Bank of Baroda's financial results for the quarter ended 30th September, 2022. Thank you all for joinin g us. We have with us Mr. Sanjiv Chadha – Managing Director and CEO of Bank of Baroda. He will be leading the call tod ay and he's also joined by the B ank's Executive Directors and the CFO. We'll start with brief opening remarks by Mr. Chadha and a short presentation. F ollowed by that, we'll have the Q&A session. Mr. Chadha, over to you.
Mr. Sanjiv Chadha: Thank you very much Phiroza and a very good afternoon to everybody. Thank you very much for joining us. I would have much preferred, now that things are back to normal, that we would've met face to face. But, we were conscious that there's a bit of a clash today and therefore, it may not work very well. So, I hope we can, next time ar

ound,
do a face -to-face discussion, but thanks once again for joining us.
So, I'll just with, first of all, introducing my colleagues on the call. We have Debadatta Chand our Executive Director who is in charge of Corporate, International and Tr easury. Mr. Joydeep Dutta Roy, Executive Director who is in charge of IT, Digital a nd all our platform functions, including HR. And, of course, many of you would be familiar with Ian Des ouza our CFO. I'll just have maybe abo ut 6-7 slides. We'll again the B ank's results in context, because I do understand that we've had a busy afternoon a nd we not have had full time to look at the results. So, just a few slides there.
So, the B ank's focus, again, has been as it should be, probably on 4 main themes. One is growth. The other is to make sure that while we have growth , we protect and improve our margins. The third is to contain costs and the fourth is to make sure that as set quality works well for the B ank. And, I'm pleased that in this particular quarter, all the 4 elements, which is rare, have come together, and that is responsible for the r easonably good result.
Now first of all, in terms of growth, I'm looking at the advances growth. So, our global advances have grown by 19%. Within that, domestic by 15% and international by 41%. But what is equally heartening is that the growth has been w ell spread out over various segments, with retail, which has been a focus for the B ank for quite a few quarters, clocking a growth as high as 28% and other segments having double -digit growth.
Within retail, again, it's a broad -based growth on personal lo ans, which is something that we have been pushing with BOB World over the last few quarters, growing by as much as 170%. Auto loans has been an area of particular strength for the B ank for very many years now, and there the robust growth continues at about 30% YoY. Education loan, again, has grown well by 23%. But, to my mind what's remarkable is that, home loans which are 70% of the retail portfolio and where we had pretty much system growth but not much bette r, have grown probably faster than the system t his time by nearly 20%. If you look at disbursements, the disbursements growth rate over last year is even more robust, which ranges between 50 t o 100% in most of the segments, auguring well for the future.
Moving on to deposits no w, I think it is true fo r most B anks that the deposit growth has lagged behind advances growth, which we believe is perfectly normal. Whenever liquidity is abundant and economic growth is slow, you will find that deposits growth runs ahead of advances growth. And, it is quite nor mal for that to be the opposite when the economy

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improves. So, we are perfectly comfortable with the advances growth running a bit ahead of the deposit growth for a few quarters.

Particularly as you see in our CD ratio, while the overall CD ratio is 80%, but when it comes to domestic, it's about 73% now, although it's moved up by nearly 400 bps. Having said that, deposit growth is fairly okay, better than system, and we will continue to make sure that we focus on deposit growth while again, taking advantag e of that window when you can actually have better margins with re -pricing of loans happening a bit faster than deposits.

So, the growth in loans and also again, the fact that deposit costs have been under a reasonable tight leash, has helped Net Interest Margins. If you look at cost of deposits and compare the 1st half of this year with last year, you'll find that deposit costs are exactly flat at 3.53%. As against that, in the similar period, the yield on advances has moved on by 21 bps, which is why you see a pickup in terms of Net Interest Margins.

In terms of employee cost, th at's been an area in which our B ank has performed better than the industry. While with some B anks you'll find that the growth in business has come in tandem with growth in c

ost, for us the costs have been under tight control, particularly employee costs which have grown only by 1% in the half year, and by 2% for the quarter. Similarly, in other operating expen ses, the physical build of the B ank, the growth is, on the face of it, a little high at 17%. But, actually this is exaggerated by the depreciation charge which is inflated because there's a revaluation of assets which happens once in 3 years which produces a higher depreciation charge. Otherwise, operating costs also are under control. And overall if you combine the two, you have a single -digit growth in terms of operating expenses.

One of the focus areas for the B ank has been collection efficiency and the SMAs also , which are the lead indicator in terms of any kind of build -up of stress. So again, the collection efficiency continues to be very high at 98%, and the SMAs, they continue to trend downwards indicating that even in terms of any kind of prognosis for the medium term, the bank is fairly well placed in terms of asset q uality.

This improving asset quality is something which has been apparent for the past very many quarters, even during COVID. But, I think that improvement has now gathered pace, and that is particularly clear in the Net NPA ratio which has now come down to 1.16%. So, I think this is something which, to my mind, is important, because it would mean that in terms of any kind of provisioning, the B ank is well provided. Incremental provisioning ought to be low. The provision coverage ratio overall is about 92% , and if we were to discount the TWOs, it's about 80%. Similarly, slippage ratio has continued to trend downwards. We had guided that the slippage ratio should be somewhere between 1.5 to 2%. So, for the half year it has come at about 1.53%. The credit cos ts also continue to trend downwards. We had guided for a credit cost of between 1.25 and 1.5%. This half year it has been significantly better; we have had very good recoveries. But, for the full year, we would still wish to be conservative and our guiding for a credit cost between 1 to 1.25%.

In terms of profitability, it has been an outstanding quarter, with NII up 34%. Fee income continues to grow at a reasonable pace at about 12%. But what is significant is, that if we exclude the impact of treasury ga ins/losses, the cor e operating profit of the B ank has

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actually gone up by 44%. The headline operating profit has gone up by 6%, but that's because there is a single item which is a little bit of anomalous. So, there was an upgrade in an account which happe ned and account of that there was an equity provision which moved up from below the line to above the line impacting operating profit. But for that, even the operating profit, including after taking into account treasury, would have been about 20% growth Y oY. The profit before tax and profit after tax have moved up by about 50 to 60%.

So, I think it's been a good quarter on top of what was actually a good quar ter in the same quarter last year also. So, wi th a reasonably high base, the B ank has shown about a 60% growth in terms of net profit.

It's a similar trend for the half year, where we again find robust growth in Net Interest Income, and also growth in core operating profit actually being better than the reported operating profit and PAT and PBT are up about 60%.

So, all in all, this has translated into a strong capital position. While the capital position is about 15.25% overall capital adequacy, if you were to add back the profit that has accrued in these 6 month s, the capital adequacy of the B ank is about 16%. So, we remain well capitalised equally. I think it is important to note that despite having robust growth in loans , the internal accruals of the B ank are enough to fund that growth.

The last point, again, would be in terms of the digital isation of the B ank. The fact that we have been able to grow at this pace whil e keeping costs under control, is largely because of the progress in the digitalisation agenda of the Bank, which has meant that increasingly customers are being serviced by digital mea ns. W e do not have the kind of requirement that normally would have occurred in terms of increasing either the manpower o r the physical build of the B ank. We believe that this digitalisation progress that we have seen, in particularly success of BOB World, will over the next few quarters and years, continue to help us in terms of pursuing our growth agenda while keeping costs under a tight leash.

So, that was pretty much from me in terms of general remarks. I'd be very happy to have questions from all of y ou now.

Moderator: Ladies and gentlemen, we are now open to take questions from the participants. I request everybody to restrict to two questions per participant. Please unmute yourself to ask the question, or you may also type your question in the Q&A b ox. We will wait for a couple of minutes for the line -up to populate.

The first question is from Saloni Shukla of ET. Please ask your question.

Ms. Salo ni Shukla: Hi sir, good afternoon. Sir, I just wanted to understand, on this entire wedge between depo sit and credit, now we are seeing B anks play catch up and a lot of Banks have raised deposit rates, which is why we have seen , especially for this quarter, Banks seeing higher margins. Do you see that is something that will p lay out in the coming quarters or do you feel that margins could take a hit because now we are seeing almost on a system level, a big wedge between deposit and credit?

Mr. Sanjiv Chadha: So, it is my view that I think for maybe another quarter or two, we should again see margins being b etter as compared to normal, because of the lag effect which is there in terms of deposits costs going up. Of course, eventually, deposit costs will

go up, but I think equally we are likely to see the impact of the normalisation of interest rates.

The fac t that, as you said, deposit growth is lagging, that would mean liquidity returns to normal, and that would also mean that pricing power in some measure returns to the bank. So, to the extent that the margins are being exaggerated by the lag effect between advances being re -priced and deposits being re -priced, to some extent, yes, that would moderate. But on the other hand, the upside in terms of the normalisation of liquidity and the pricing power coming back, that should also begin to asse rt itself.

If you look at our loan growth, you would find that the slowest loan growth is still in corporate where it is about 10%. That is because we continue to exercise a strong discipline in terms of pricing of loans, and therefore to my mind, there's an upside which is still there, particularly in the corporate segment in terms of better margins.

Ms. Salo ni Shukla: Sir, that was my next question. Your growth is obviously much better compared to what it was in the last quarter. And, I know you've spoken multiple time s in the past where you've said that you don't want mispricing of loans to happen. But, now do you see that market improving on the corporate credit?

Mr. Sanjiv Chadha: Yes indeed. I think it is much better as compared to the previous years. But even now I would believe that the full impact in terms of pricing power as far as corporate segment is concerned, that is still to play out, no. 1. No. 2, if you see how the external benchmark rates have moved vis -à-vis the MCLR right, so the EBLR -linked loans have got re -priced, but the MCLR normally moves up with a lag in line with deposit growth and corporate loans are priced as per MCLR. Therefore, in terms of corporate pricing, we have still not seen the full ben efit as far as accruing to the B anks are concerned . So, to my mind, there's an upside and given the fact that our corporate book is about 50%, I think that should be advantageous to us as

we move forward.

Ms. Salo ni Shukla : Okay. Sir, just one last question. There is a very strong growth on the internati onal book. Is it one segment which is contributing to this? Where is it coming from?

Mr. Sanjiv Chadha: So, I think, this is really an outcome of what the situation was over the last 1 ½ to 2 years, where in India, when it came to corporate loans, a) there was slow growth, and b) there was pricing pressure because of the abundant liquidity. Therefore, we found that capital was better deployed in international corporate exposures.

Given our network, we were well placed to take advantage of that. So, if were to see the growth in international, it is of course very high at 41%, but what is equally important is, that YoY margins also would have improved by nearly 50 bps. So, margins were south of 1.5%, now they are above 2%. So, I think that is what is remarkab le, that we have been able to have high growth along with margin improvement. And that's why, again we thought that capital was better allocated there. Now, as again things normalise in India, it is quite possible again, that there might be a change in emp hasis again. But for the moment, we find good opportunities in the international book also.

Ms. Salo ni Shukla: Okay, thank you sir.

Mr. Sanjiv Chadha: Thank you.

Moderator: The next question is from Pinak Ghosh of the Telegraph. H e has written the quest ion on the Q&A. Bank has total exposure of 51,000 crores to accounts referred to NCLT. What kind of recovery are you expecting this fiscal? What is your view on the pace of recovery from NCLT accounts? Do you expect write -offs to increase?
Mr. Sanjiv Chadh a: Joydeep, would you want to take that?
Mr. Joydeep Dutta Roy : So in NCLT, this year we have had a recovery of almost around 950 crores in the last 2 quarters. As compared to last year, I think it was around 2,500 and we are well poised to make almost a similar figure in the next two quarters also. So, that's on the NCLT accounts.
Mr. Sanjiv Chadha: Just one more point I'd add to that. If you look at the provisions that we hold in NCLT accounts, they are well above 90%, nearly I think 98% now. Now, histo rically we have seen that, on an average, you get about at least 25 -30% in terms of recovery on NCLT accounts. So, I think there's a significant upside which is sitting there in terms of recovery, as and when that recovery comes.
Moderator: Thank you sir. The next question is from Rajesh Yadav. Please ask your question.
Mr. Rajesh Yadav: Hello. I have two questions. One is, the bad loan seg ments are the highest in which segment , corporate, retail, MSME or individual. Secondly, how much loan has been writt en off by the B ank in this segment and what would that amount be? And, I have a personal question to you Mr. CEO. Can I ask you a question on a personal level?
Mr. Sanjiv Chadha: What would you like to ask me on a personal level?
Mr. Rajesh Yadav: Person al level in the sense, for the ones looking to avail a loan from the branch, what kind of help would they receive if a branch doesn't support them? What would you like to say on that?
Mr. Sanjiv Chadha: Definitely. I'll try to answer both your questions. A s far as our NPAs are concerned, if we see historically, our NPAs are more in corporate. As you all may be aware, in the last 5 -7 years there's been a considerable stress in the corporate segment. However, that stress has reduced, and if we were to look at slippages, it is the least in corporates. Since the impact on COVID was more on the small and medium segment, the MSME slippages have been more than expected. So that's as far as NPAs are concerned.
As far as taking loan from the network is concerned, ou r branches are available for that. Along with that, as far as small loans are concerned, you can avail a long from the website without having to visit a branch. If you want to take a sma ll MSME loan,

there's a website
psb59 which is for all Government bank s. You can apply through that and you'd be able to find out the status of your application too from there. If you want to avail of an unsecured personal loan and if you're a depositor of the Bank, then you can apply through BOB World too.
Mr. Rajesh Yadav : My second question was about how much loan has been written off.
7
Mr. Sanjiv Chadha: We'll answer that to you later in writing.
Mr. Rajesh Yadav: Okay. I had a complaint on a personal level too. This is related to the Ghatkopar branch. I need about Rs. 4 lakh for an education loan. It's been 6 months since I applied and the loan has not been disbursed yet.
Mr. Sanjiv Chadha: As far as education loans are concerned, you must have seen that our growth rate it is almost 23%. So the Bank is doing education loans and there is quite good growth . As far as your application is concerned, we'll check on it. If it's as per our documentation and is still being delayed, then we assure you that we'd sort it out.
Moderator: Thank you sir. The next question is from A parna Iyer. Aparna, please unmute yourself and ask your question.
Ms. Aparna Iyer: Am I audible?
Mr. Sanjiv Chadha: Yes Aparna, you're audible.
Ms. Aparna Iyer: Hi sir. I wanted some colour on the corporate loan growth side. The general discourse is tha t we have seen some recovery over there, but what kind of growth is being seen? Is it still working capital? Are capex term loans coming in, demand from capex is coming in? How much of capex pipeline do you have? And, if it is still largely working capital , we hear that this is mostly because companies take this working capital so that they have been seeing input cost increases and all that. So, when those things subside, what happens to these loans?
Mr. Sanjiv Chadha: So, I think in our case, most of the growth actually has been investment led and it has come in growing cross section of segments. For some time we have seen good growth, for instance, in the road sector, in renewable energy. Now , increasingly again you are seeing growth in other sectors also . What is interesting again is, that this growth is coming from relatively larger corporates because we have seen a fair bit of consolidation over the last few years, we have also seen a fair bit of deleveraging over the last few years. So, the growth is c oming from well -rated corporates, good quality growth.
As far as working capital is concerned, from our perspective, we believe that the increase in

working capital utilisation is still to play out. For us it is still in the range of about 55 -60%. I think it has not really taken off to the extent that would suggest that the growth that we have is actually volatile and is on account of the fact that commodity prices have gone up, and therefore companies need to stalk up. To my mind, there is still upside in terms of corporate loan growth through increased working capital utilisation. But, I would request Mr. Chand again, if he would want to amplify the point.

Mr. Debadatta Chand: Yes sir, you said right. The growth has been, if you look at the corporate gro wth this time, it was around 10% and if you look at December 2021 vis -à-vis September 2021, the quarter -to-quarter growth was 6%. We believe that this is start of the business season and a bit of utilisation happening on the working capital also. So, we'll be in a position to deliver similar kind of growth for the December quarter also. And, the demand is coming across all sectors and may not be to a very large extent, but the demands are

there. W e're quite hopeful in this current scenario that we'll be in a position to deliver a similar growth like we've given in September and December also.

Ms. Aparna Iyer: Okay. So, I'm just confirming that this is not just sanctions, but also disbursals that are happening?

Mr. Debadatta Chand: I'm talking about disburs ements only.

M

s. Aparna Iyer: Disbursements, okay. Can you give us a sense of what kind of pipeline do you have on capex related? For eg. If today you're giving a Rs 100 loan, how much of it is towards capex or how much of it is coming from working cap?

Mr. Debadatta Chand: See, we have term loan and working capital, typically, and term loan we give for a capex reason.

Ms. Aparna Iyer: Yeah.

Mr. Debadatta Chand: So, working capital as Sir has said that it has increased a couple of percentage vis -à-vis th e last quarter in terms of utilisation. And if I believe that this is the start of the business season and the utilisation is normally high, so we see traction out of that in the December quarter. That would be one comfort that we're looking for a better growth in December. But at the same time, term loan again are all disbursed for a period of time depending upon the project cycle, the implementation time. So, if you compare the December 2021 growth vis -à-vis September 2021 for Bank of Baroda, the quarter to quarter growth was almost 6%. That's a normal cyclical thing that can happen. So, considering that, we're quite hopeful that December also our corporate growth would be around the growth that we have given in September.

Mr. Sanjiv Chadha: Aparna, just t o confirm you r point, the growth that we have seen so far, largely again is project growth, more term loan growth. As far as working capital is concerned, that is more again cyclical linked to the busy season, and we expect to see more of that in the next quarter.

Ms. Aparna Iyer: Okay, fair point. Thank you sir.

Mr. Sanjiv Chadha: Thank you.

Moderator: The next question we've received from Mayur Shetty of Times of India. What is the reason for revising deposit rates through limited period special deposi t scheme? And the second question is, is there any migration from REPO linked rates to MCLR among the borrowers? Thank you.

Mr. Sanjiv Chadha: I think in terms of deposit rates, I think the fact is, it is a changing scenario. It is yet to stabilise in ter ms of where would deposit rates end up? So therefore again, it does make sense that you are a little bit flexible in terms of the increasing deposit rates so that you can align to whatever is again the stable state in the coming months. So therefore, I wou ld believe that as we go through this cycle, till such time again as we re ach a stable state, the growth, the change in deposit rates will be again to make sure that you're able to attract incremental deposits, and also to align with whatever loan growth m ight be.

For the moment, the loan growth has been very robust this quarter. But, I think for us to assume that that is going to be indefinitely extrapolated to the future may not be fair. So therefore, we would want to be guarded and also calibrated in te rms of deposit growth, for the moment at least. That is what our sense is. So that is the first part. What was the second part of the question? If you don't mind, please repeat that.

Moderator: Mayur is asking, how many people have migrated from REPO linke d rates to MCLR among borrowers?

Mr. Sanjiv Chadha: Yeah. So, normally the migration is more again in terms of corporates who would tend to migrate from say T -Bill rates to MCLR, because when the liquidity was abundant, a lot of corporates again, since MCL Rs tend to be more sticky, they had the bargaining power to actually migrate to lower T -Bill rates. Now, as T -Bill linked rates actually are a little more volatile, and there's larger transmission there, now there's a trend to migrate from those T -Bill rat es to MCLR. So, that is the movement that we have seen. But

again, I would just want to confirm my understanding with Chand saab.
Mr. Debadatta Chand: Sir, you are right. Particularly corporate because retail loans are all EBLR or REPO rates, so there is no question of m igration there. O nly corporate wherein, as a Bank we had larger se

gment in terms of T -Bill linked as compared to REPO . In the same scenario currently, the percentage of T -Bill linked is less than 3.5% of the book . So, mostly they migrated to MCLR. So, migration we have seen, but MCLR migration from a T -Bill would be quite income positive for the bank. So, in that way, we appreciate that kind of a movement and that would happen because of rising interests in a normal scenario that people wou ld try to migrate to MCLR, and that happened to our portfolio also.
Moderator: Thank you sir. We have Kumud Das asking the next question. Please ask your question.
Mr. Kumud Das: Hello, am I audible?
Mr. Sanjiv Chadha: Yes Mr. Das, you’re audible.
Mr. K umud Das: Good evening sir. I just wanted to know, B ank of Baroda was one of the 9 Banks who have launched the digital Rupee. I mean, you have participated in the launch of the digital Rupee off late by RBI. So, what has been the response? And what accordi ng to you, are the pros and cons of the digital Rupee?
Mr. Sanjiv Chadha: My understanding is that, for the moment, what is launched is a pilot project, right? So, therefore, we should not be talking in terms of response for the moment. But, there is a tec hnical capability w hich has been established. T hat is what the current status is, but again, this was a deal which was done, the first deal was done between SBI and BOB. So, I would request Chand saab again, if he would want to add to that.
Mr. Debadatta Chand: Sir, that’s right. Actually, it’s a pilot thing going, so let’s wait for the time to come to gauge the response. RBI is monitoring everything with regard to this. So, we’ll wait for the outcome and communication from RBI on the matter.
Mr. Kumud Das : Thank you sir.

Moderator: The next question is from Falaknaaz . Please ask your question. Falak , please ask your question. Sir, we have received another question on the chat. The question says – Congratulations on your record quarterly results. Many cong ratulations to the management. The question is, as per news reports and your notification to stock exchanges, IPO of insurance subsidiary is expected to hit the market by the end of this year, and that has been filed and it has filed the DRHP. Can you elab orate upon the plans to include primary and secondary issuance proposed? Further to that question, are you aware of any government plans to dilute their stake in the bank?
Mr. Sanjiv Chadha: I think we are aware that In diaFirst Life has filed its DRHP. An d once the DRHP is filed, I would suppose that India First Life is best placed to answer questions in terms of their plans. For t he moment, in terms of our own B ank, we are not aware of any plans in terms of divestment of stake by the government.
Moderator : Thank you sir, thank you so much. That was the last question that we’ll be able to take today. Thank you all for joining us. Thank you.
Mr. Sanjiv Chadha: Thank you.

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Call: Feb 2023

BCC:ISD:11 5:16:32 09.02.2023

The Vice -President,
B S E Ltd.,
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
BSE CODE- 532134

The Vice -President,
National Stock Exchange of India Ltd.
Exchange Plaza,
Bandra Kurla Complex, Bandra (E)
Mumbai – 400 051
CODE -BANKBARODA
Dear Sir / Madam,
Re: Disclosure under Regulation 46(2) (LODR)
We enclose transcript of Analyst Meet and Media Conference held on 0 3.02.202 3
for Q 3 (FY2022- 23) Financial Results.

We request you to take note of the above pursuant to Regulation 46 of SEBI
(LODR) Regulations, 2015 and upload the information on your website.

Yours faithfully,
P K Agarwal
Company Secretary

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Bank of Baroda Analyst Meet for Quarter ended 31st December , 2022
3rd February 2023

Participating members from the Management Team of the Bank
- Mr. Sanjiv Chadha, Managing Director & CEO
- Mr. Ajay Kumar Khurana, Executive Director
- Mr. Debadatta Chand, Executive Director
- Mr. Joydeep Dutta Roy, Executive Director
- Mr. Lalit Tyagi, Executive Director
- Mr. Ian Desouza, Chief Financial Officer (CFO)

2 Moderator: We have with us today, Mr. Sanjiv Chadha, the Managing Director and CEO of Bank of Baroda and he's joined by the Banks' EDs and the Banks' Chief Financial Officer. We will start with brief opening remarks by Mr. Chadha . We then have a brief presentation for you and followed by that by the Q&A session. Over to you, Sir.
Mr. Sanjiv Chadha : Thanks very much , Phiroza and a very warm welcome to all of you. A great pleasure to see you after a long time . I think it's been three years since we met in person , so thank you again for taking the trouble . Let me just begin by introducing my colleagues with many of whom you might be familiar . So, starting on my right we have Mr. Ajay Khurana, who looks after retai l for us. To his right , we have Lalit who you might be seeing for the first time , so Lalit was heading our US operations and is now handling our international operations and also a lot of our platform functions including HR. To my left, Mr. Debadatta Chand who's handling Corporate and also Treasury for us. To his left, we have Joydeep Dutta Roy who looks after digital , IT, and also wealth and subsidiaries for us right and to his left you have somebody with whom you are most familiar , Ian Desouza , our Chief Financial Officer. Also , I'll just again make a small presentation , not take more than 10 minutes 15 minutes and then open up to questions , try to make sure that I cover enough ground so that some of the questions which we anticipate are addressed and then we can take it from there on.
Moderator: Yeah . Can we have the PPT please?
Mr. Sanjiv Chadha : So, thank you once again . We'll just start with the first slide . Yeah , so I think I just want to hark back again to the beginning of the year . So, we had started the year by saying that finally it might be possible this year for us to actually both grow our book and also to have the margins . The last few year s were a challenge . The choice was either to grow or to retain your margins

and this year you will find that we have delivered largely on both counts . If you look at loan growth , it continues to be robust at about 20% and the good news of course is that now this seems to be spread pretty evenly across segments . There is no segment which is not growing in double digits . The standout performance is of course in retail where organic retail growth is 30% where the slowest growing segment is home loans , which are now growing at nearly 20% and unsecured personal loans of course are growing much faster .

This is something which has positive implications for the composition of the retail portfolio and also for yields as we go ahead . Now , we have reached the stage where unsecured loans actually are contributing significantly even in terms of composition to the retail portfolio . They still are a relatively small increase for us and I believe this is something which has scope to grow at almost an equal pace for a few more years before the growth really moderates .

If you look at the right hand of the slide , you'll find that the disbursement growth is mostly significantly higher than the overall growth . So, I think that would again augur well for the sustainability of this growth in the future . What has worked well for us is that the gap that you see with most banks between deposit and loan growth is relatively small for us.

So, overall deposit growth is 17.5% , which is just a little bit short of the 20% in terms of loan growth and if you look at the domestic piece also, there again it is 14.5 %, that has meant that the CD ratio for us continues to be moderate . In fact, the CD ratio now is n

ot much higher as com pared to what

it was three years back , so which means there were apparent upper heads , the loan growth and
3 deposit growth roughly stacks up and it means that it is possible for us to continue to grow for some time our loans at a pace significantly faster than our deposits .

So, because of the fact that we have been able to grow loans significantly faster and most of the growth has come from the retail segment where you have got good pricing upside margins continue to strengthen , we had guided last quarter that our margins were a bit overstated and they ought to be again about 3.17% on the adjusted basis . So, if you see that, then our margin improved by 20 basis points over the last quarter .

Now , this is because you find that the gap between yield on advan ces and cost of deposits is still there , about 20 basis point this quarter . It was about 40 basis points the previous quarter , it's about 20 basis points plus now and I would believe there might still be a quarter or so when we can still profit from the lag effect between the re-pricing of loans and deposits as we go forward .

In terms of profitability , you would find that the biggest jump has come in terms of net interest income , which is a logical corollary of the fact that our loan growth is about 20% and there is a margin improvement along with that. Fee income is a bit tepid because in terms of private sector capital investment and term loans that come on account of that, that is still not where it would be when the cycle is completely back and that should improve as that improves .

You would also see that there's a third column in the operating profit row and the profit after tax. There were some one offs which were there . The operating profit difference is largely because of certain security receipts from ARC's where the treatment recommended by Reserve Bank has changed and therefore provisions which were above the operating profit line have come below the line and therefore the increase in operating profit on adjusted base is about 37% . On the profit after tax, it is also on account of the fact that there were some one off tax provisions which were made , which meant that our effective taxation rate was a little high as per this quarter is concerned , but the good part is that if you look at the last line, it would seem to suggest that we should be able to sustain this improvement as we go ahead .

The nine -month profitability again demonstrates that what we have seen in this quarter is not necessarily again one off and we have seen a full nine month s of significantly improved performance . All of this again the fact that you had profits to make sure that the balance sheet is strengthened is again reflected in the asset quality.

So, on the one hand of course the credit cost has come down substantial ly, much lower as compared to what we anticipated , this is because the corporate credit cycle is possibly in the best place possible . All NPA 's are fully provisioned and also on account of the fact that there were enough profits to take care of any requir ement that might have been there . So, I would believe that we are now at that stage where we can again look at the existing book and be reasonably reassured that there are no downsides there .

In terms of sustainability of this improvement , to my mind this is the slide that would give us reassurance . Now , for the last four quarters the SMA position continues to be very stable and improving . So, therefore , I think there's nothing , as of now on the horizon , which would suggest that there might be any serious issues with impairments

or asset quality , as we go forward and the

collection piece again is something which is now stabilized at a very high rate.
4 Because of the strong internal accruals, the Banks' capital position continues to be good . Normally, it is expected with 20% loan growth that there might be a requirement for external capital infusion s, but the fact is this, that even with this loan growth , the internal accruals are so strong that we will end up with a capital adequacy ratio at the end of the year which is better than what it was at the

beginning of the year .
Now , if we were also to suppose that there might be some moderation in loan growth next year and also that this kind of internal accrual s should sustain or improve , I think the Bank is in a good position to also sustain its growth through internal accruals in the coming year too. So, as of now we do not believe that there may be a reason for us to approach the capital markets excepting of course for the fact that growth is much , much faster as compared to what we anticipate today .
Last couple of slides again we want to discuss again where do we stand vis-à-vis again peer banks . So, I think there's a cyclical upturn which has benefited most banks , but I think there are also some factors which are particular to Bank of Baroda.
Largely it stems from I think how we, yeah, can you please go back to the previous slide if you don't mind. Previous slide, yeah , so, largely again they stem again from the Banks' own position , so what you would see is that our physical build actually again has not expanded . So, the number of branches are much lower as compared to what they were three years back , number of employees are lower , but there's very robust growth that we have seen and this growth in some ways is understated because we had two years of very low growth . Now , that we are growing at 20% and let's assume that, that trend continues and also the physical build also is largely where it was, you will see that there is an expansion of margins because finally we have been able to really sunder what was the symbiotic link between costs and also in terms of revenues . So, I think we should see an expansion of margins on account of the fact that we probably would be able to continue costs better than peer banks .
Some of the impact in terms of what we are talking of is already visible . I mentioned that our deposit growth again is probably better than peers . So, if you take the average of the top nine banks which have declared results , our deposit growth is 3 percentage points higher , advances growth is also one percentage point higher. So, this should again translate into sustained outperformance .
Again , movi ng on to profitability , whichever measure you look at as compared to the same set of nine banks , private sector and public sector , we outperform competition by significant margin most importantly in terms of what I mentioned on the slide previous to the previous one, which in terms of costs , where the gap between the cost – the OpEx increase between us and peer banks is the widest . Our OpEx is increasing at half the rate right and as again this current growth that we have seen it sustains you will see it getting inflected in profit margins even more as we go forward .
Before I close , let me again address one question which I believe otherwise might come from multiple sources that is again our exposure to a large group , which again has been under discussion . So, I'll just put two or three factoids before you. I normally refrain again from talking in terms of specific accounts , but I believe you have a legi

timate right to ask a question about our portfolio. So, I will talk
about in the context of our portfol io. So, in the context of our portfolio , this particular group exposure does not figure among the top 15 by way of again exposure to groups as per LEF norms .
Now , as you are aware LEF norm s by the RBI take into account outstandings , they take into account 5 non-fund -based limits , and they also take into account also undisbursed loans right . Based upon the LEF norms , the group does not figure in the top 15 large exposures of the Bank, that is factoid #1.
#2, as per the LEF framework , you can put out a certain percentage of your capital to a particular group . What we have put out is about 1/4th of what we can as per our capital right . So, that again would give some reassurance .
3rd, of the exposure that we have , 30% is either in joint venture with the public sector company or is backed by a guarantee of a public sector company . So, therefore I would want to again give you that comfort and reassurance that whatever you have seen in the previous slides by way of performance , by way of profit trajectory , by way of credit costs is likely to continue regar dless of the circumstances that we see either in the context last few days or in the next few months . Thank you very much .
Moder ator: Thank you, Sir. We are now open for questions . If you have a question please raise your hand and we will get our mic to you. If you can please limit your questions in the first instance to just one or two and we will come back to you if we have time. We also have a few people on zoom, so we'll take a few questions from here and then we'll go to zoom as well and we also have - also if you could just before you ask your question , if you could just briefly introduce yourself , thank you.
Mr. Ashok Ajmera : Thank you. I am Ashok Ajmera . So Sir, having said that, yeah you have given some clarification Sir, but especially in this kind of situation which are absolutely extraordinary situations most of the banks are giving little more information . If we can talk in the absolute terms and say like the way Punjab National Bank has given 7,000 crores of exposure, can you give some color on that?
Mr. Sanjiv Chadha : The Reserve Bank of India allows you to lend a certain percentage of tier 1 capital . Whatever is the maximum allowed by Reserve Bank it is 1/4 of that.
Mr. Ashok Ajmera : Yeah so 2.5%.
Mr. Sanjiv Chadha : Yeah, see I have studied history in colle ge, my math's is weak. So, please don't ask more figures.
Mr. Ashok Ajmera : Sir, if you could talk more in absolute terms of the exposure & outstanding to the particular group and how confident you are going forward.
Mr. Sanjiv Chadha : So, I think what factors here is the beauty of the LEF framework and we must

complement the Reserve Bank in terms of how it has been devised that this takes care of everything that you're asking right . What is the current exposure ? What is the non-fund -based exposure ? What are the undisbursed limits ? All of these are factored in and on that basis again the Reserve Bank of India asks you again to limit your exposure . So, all these things are there . I think the rest is very frankly a matter of detail .

I think what is of interest to you and everybody else is that could there be any future impact on the Bank? Because ultimately the interaction that is going on between us is about the Bank. So, you have to understand what effect it will have on the Bank. So, what I can assure you is that from the figures that I have given you, they should give sufficient reassurance that the kind of trajectory that you have

6 seen from the Bank in terms of improved performance that will be sustained , there's nothing in terms of this exposure that can have any significant impact on that.

Mr. Ashok Ajmera : Okay. Sir, how much percentage of your total credit is the expos ure into this group ?

Mr. Sanjiv Chadha : How much ? See again I will say, ultimately

Mr. Ashok Ajmera : Alright, alright, I give a pass to it. Sir, thank you. Sir, if you look at your composition of the credit book now the recent latest figures on the composition of the book is changing with 43% in corporate and 57% in RAM, do you see 60/40 mix going forward what is your outlook on the corporate book?

Mr. Sanjiv Chadha : Yeah . I think it's a very fair point and we have been conscious that while it will be - it's a very good time to be a corporate bank , but corporate banking does again experience cycles and when those cycles are there , the impact on the Bank is very large . So, therefore , a granular portfolio is something which is to the benefit of the Bank. To my mind if we progress towards a 60:40 proportion that might be a good place to be in.

We have been guiding that whatever A - our growth should be in line with industry or better . B - of this growth , we would want our retail to grow at 1.5X , so which means that if we want our growth to be at 15% , retail should grow at 22% and corporate should be 0.7X, so that while you take full advantage of the opportunities in corporate , at the same time you are able to progressively achieve a change in the portfolio which would mean that the kind of return that we are seeing are sustainable .

Mr. Ashok Ajmera : Sir, one point on recovery and another one on treasury, just small two question s. On the recovery front , I think we have slowed down in the quarter, if you can elaborate more

Mr. Ajay K. Khurana : Yes. Actually as far as run rate is concerned of recovery , it is almost the same , in fact it is little bit improved. But there was one case in our international book, which got upgraded and with some recovery that is why we can see the gap between the last quarter and this quarter , otherwise our run rate is improving month -on-month .

Mr. Ashok Ajmera : Sir, anything on NARCL front , how many account s? What is the amount gross or the net or the realization and looking forward in the next quarter ?

Mr. Ajay K. Khurana : No, NARCL see, so far, whatever they have identified and they have gone , only one account was there and that too we don't have that, but in other accounts the progress as of now seems like everything will be moved in this quarter.

Mr. Ashok Ajmera : Can you give some color on movement on treasury income ?

Mr. Debadatta Chand : There are 2-3 aspects to it. One is with regard to the interest income on treasury right . So, if you look at the book increase quarter -to-quarter and year -to-year , my income growth has been higher than the book increase . So, in a rising interest scenario typically this is the best -case scenario . I think I can generate more income than what I put money in terms of investment . So, that has seen a significant increase in terms of the interest income and investment .

7 The secon d aspect is with regard to the valuations scale . So, as far as on the valuation side is concerned on the overall book rather there is a write back , but there was one investment where there is a treatment in terms of pushing that from above the line to below the line. So, because of this, that is finally release d and the treasury income is getting influenced by that, so otherwise we are placed perfectly the book is doing extremely well and they are quite good in terms of increasi

ng

income at the same time containing MTM impact going forward .

With regard to future outlook , what we see again today is that globally , also here in India if you take OIS as proxy, possibly the levels are elevated. Now, it is picking out in that way and at the same time there is a reversal also that people are looking at because 5 year OIS is less than 3% by 6 months OIS right and the US also the call got inverted. So, there maybe some kind of reversal happening possibly at the end of this financial year . So, in that progresses the book looks quite good on the MTM impact is also quite manageable .

Mr. Ashok Ajmera : What is the modified duration?

Mr. Debadatta Chand : 1.79 .

Moderator: Thanks , Sir. We will just take a few online questions , Sneha . Hello ? Mahrukh , I request you to unmute yourself and ask the question . Mahrukh Adajania , please unmute yourself and ask the question . Go to the next question , Sneha.

Ms. Mahrukh Adajania: Hello . Can you hear me?

Moderator: Yes, Mahrukh.

Ms. Mahrukh Adajania: Yeah , hi. So, my first question is Sir when you talk about capital Tier 1, it's the standalone capital right ?
Moderator: Is it standalone capital ?
Ms. Mahrukh Adajania: Hello ?
Moderator: Mahrukh , you are request ed to speak your question .
Ms. Mahrukh Adajania: Yes. When you are talking about exposure limits , you're talking about standalone capital, right ?
Mr. Sanjiv Chadha : We are talking in terms of how the Reserve Bank of India defined that right . So, that would be in terms of a Tier one capital .
Ms. Mahrukh Adajania: Tier 1 and standalone capital?
Mr. Sanjiv Chadha : Standalone capital. Okay sorry , pardon me, yes.
Ms. Mahrukh Adajania: Okay. Thank you.
Moderator: The next question is from Adarsh . Please unmute yourself and ask the question .
8 Mr. Adarsh: Yeah . Sir, I'm Adarsh from CLSA. So, you adequately answered , so the 25% of what was allowed under LEF takes care of undisbursed limits , non-fund exposure , overseas exposure as well, is that a correct clarification Sir?
Mr. Sanjiv Chadha : That's correct.
Mr. Adarsh: Okay and Sir one more thing just wanted to check right , one is about Adani being a group and lending to a particular group right, I just wanted to understand there are various related parties some SPVs around related parties, just wanted to check if you have lend to any of them that would be part of this exposure, if at all?
Mr. Sanjiv Chadha : So, I think I mentioned to you again that 30% of the exposure is by way of joint ventures again along with the group right also some which are guaranteed , so all poss ible exposures which can be clubbed in books have been taken care of.
Mr. Adarsh: Perfect Sir and I just wanted to understand now the second question was on margins . The sector has seen a very strong improvement in margins . Next year obviously deposits will catch up, it's a little bit of a fight for gathering deposits . So, with our loan mix improvement assuming some normalization in credit growth , what will be a fair sense of a sustainable margin for the Bank and just to be a little bit on the conservati ve side?
Mr. Sanjiv Chadha : So, I think where we are now , I think seems to be a sustainable level . As you said that there is some benefit that you have received this year from the fact that there is a lag effect between the re-pricing of loans and deposits that is already diminishing . I mentioned in my opening remarks that was 40 basis point difference was there , now that's come down to 20 basis point difference , that will also vanish over a period of time , but I think that when it comes to our book, there are some positives that

should continue to protect us.
Now , one is as we discussed in the beginning , the changing composition of the book right . The fact that retail loans are expanding proportion and retail loans actually are benefiting from the change in interest rates very substantially that is going to be till such time that we actually go back into another cycle that might be some time off. Within that the composition I think is again something which is important . So, you see that unsecur ed personal loans now are a very significant proportion of the retail book . It was almost nothing , now it already might be 15% to 20% odd right . So, our total unsecured personal loans are about 17,000 crore plus probably or so, I think that is and there's scope for this to improve . So, I think the upside that you will get in terms of margins from the rising proportion of retail loans A and within retail loans rising proportion of unsecured loans , I think should help in margins as we move ahead .
Third , in terms of the re-pricing of the corporate portfolio that is still in process . It is still in process in two ways . One is loans which are benchmark to one-year MCLR right . Over a one-year period, they get re-priced . So, that is improvement that will continue for some time . The second part is that still again , you'll find that a lot most investments are coming really from the largest groups who have great pricing power . So, you're not still fully able to price again the new rates when it comes to lending to the best corporates . This of course augur s very well for the quality of credit , but in terms of the benefit of rates I think it will continue in the corporate segment in the next year .
9 Mr. Adarsh: Got it, Sir and when you say sustainable margins , you're referring to the nine -month number ?
Mr. Sanjiv Chadha : I'm referring to the nine -month number . This is not very different from the quarterly number , so I would venture to say the quarterly number also.
Mr. Adarsh: Perfect , Sir. This is super helpful and thanks for the clarification on the group . Thank you, Sir.
Moderator: The next question is from Kunal Shah . Please unmute yourself and ask the question .
Mr. Kunal Shah: Yeah. Hi Sir. This is Kunal Shah . So, firstly when we look at in terms of the overall corporate trade group, a significant part of it almost like 2/3rd of it is coming from lending to NBFC So, are these a short tenure, long tenure, and we have given some qualitative aspects in respect to NBFC, but do we expect the run down also to come through .
Mr. Sanjiv Chadha : So, I think what you're probably asking , I think your voice was a bit distorted . So, let me just repeat what I've understood . I think what you are saying is that how sustainable the

corporate credit growth might be because there might be some short -term loans which again might actually run off right ? I think that's what I understood .

So, to my mind actually we are and we have tried to be fairly strategic about it right . We are conscious that liquidity is still shrinking , pricing power is likely to move in favor of banks as we move forward , therefore where you are getting the kind of pricing which you believe is very fair regardless of where you are in the liquidity cycle that would be something where you might want to make commitments which are longer term . Where you believe that still pricing power is not fully with you right and with certain sets of borrowers that will be the case , you would want to make sure that, that exposure again is capable of being re-priced as you move ahead in this cycle . So, there will be some short -term exposure

s , but we see it again more as strategic intent to fully profit from the interest rate cycle .

Mr. Kunal Shah: Sure , and given the environment how are we seeing the pricing on the corporate side, is it like the competitive pressure has eased up or it is still equally competitive say with the rating profi le which we are doing on NBFC side?

Mr. Sanjiv Chadha : So, every quarter is better than the last quarter .

Mr. Kunal Shah: Okay. Got that and secondly when I look at it in terms of the retail term deposits in fact that's down on quarter -on-quarter basis , so again what would be our strategy in terms of trying to - I think major part of the deposit growth has come by building up the bulk deposits over here , so what would be the strategy in terms of mobilizing the retail?

Mr. Sanjiv Chadha : So, ultimately you want to manage your costs to make sure again that you maximize this time period where you are actually getting some kicker from again the pricing differential and also you would want to protect yourself from the possibility that the present spike in rates may not be a permanent increase in rates . Therefore , if you look at what is the published highest rate of the Bank right , which you might see on the Billboard when you drive through Mumbai , it is 399 days 7.8% to our senior citizens becaus e we believe that we can be fairly sure that for next 12 to 15 months rates might be where they are, but there may be a possibility just when we talk of 10 again the Reserve Bank of India possibly reappraising rates maybe a year from now , there could be a possibility that retail deposit rates also the current again trend might again reverse or get stabilized . So, therefore , you find that growth is coming A - from this deposit scheme that we have talked of. B - It is coming again from wholesale deposit , whic h also coincidentally are a maximum of one year right . So, what we are trying to make sure again is that we do not commit the Bank to an interest rate cycle about which we are not confident today and as we move forward , there may be again enough confidenc e for us to broaden the time segments where we believe we have fair visibility of again stable rates . If you again go back to two or three years back , most of our growth again came from long term deposits three years , five years because we believe d that was a good time to lock into longer term rates . So, effectively this works pretty much in a deliberate manner to make sure that you A - take into account the uncertainties of the future and B you also make commitments to the extent that you have visibility .

Mr. Kunal Shah: Sure . Thanks . Yeah , that's very helpful .

Moderator: Thank you, Sir. We'll take the question here from the gentleman .

Mr. Chandani: At outset, great transformation since last five years and very, very successfully and you are being benchmarked among the best PSUs like Indian Bank , Cana ra Bank , PNB , and among the best performances to date , hats off to you and your whole team . Now , a couple of very specific very, very important questions . We have seen in the last couple of day's major development particularly the Finance Minister speech on giving a major biggest impetus to infrastructure . It is being titled as CapEx budget and the largest boost by government spending 4.9% of the GDP . Here a bigger push is required together you know private public sector which has been mentioned , so how do we see in this Bank the push to infra lending and would it be among the whole time highest growth particularly in FY24 because that is being addressed a pre-election because it has to work toge

ther

and how do we see the risk management framework because infrastructure is we have to take long -term needs , short -term needs - short -term in terms of last mile funding the Finance Minister talked about foreclosure of over 100 projects and also long -term sustainable development which takes about you know 15 to 25 years and the risk management framework looking at the asset liability mismatch also because of the period , of course one year could be a walkthrough and risk assessment in terms of cash flows and business groups and we have to address this, it gives us actually a tremendous opportunity . How do we look at it?

#2, is the boost to savings which has come particularly in the last two days , the new default regime , the new regime become the default , so after a long time the banks have got what they wanted , level playing field . So, these 80C and all suppose there's are not discouraged , Finance Minister talked about 35,000 crores a boost savings and do we see a big impetus to deposit growth because of that. It's an opportunity you have to strike from day one, how we see deposits growing particularly post new default regime of income tax, it gives us a great opportunity .

#3, is particularly we talked about a few quantitative indicators like return on equity , how do we see because we are looking at the peer banks here of course SBI results also I think you will be seeing

closely that was missed out in the industry versus BOB and the other banks , could we achieve ROE of
20% soon and we see a lag in the results , you have given very good new growth and operating profit
growth on your lending also, but the fee income is lagging behind normally it goes hand to hand , so
11 were there any particular issues and how do we intend to correct it in this coming year and what we
are looking at it in this particular year ?
Mr. Debadatta Chand : The first aspect you talked about the CapEx led budget and our role therein ,
so if you look at the infras tructure here , our growth in terms of the industry growth has been the
highest right and particularly two sectors doing extremely well; one is the power sector and secondly
the road sector right and going forward also the kind of budget that we have where there is a
substant ial push for infra and we as a Bank typically move with the economy right , so in that way the
more the growth on the infra side, the Bank would be again growing on those sectors and the book
is quite long and its outlook is also quite long in infrastructure right .
On the second aspect that we talked about in regard to on the retail segment , I mean on the money
be available in the masses and whether that will lead to a deposit growth , it can lead to, yes it can
lead to a deposit growth or it can be consump tion led which is good for my normal loans, all my retail
loans and all. So, overall, we are quite positive both in terms of the outlook of the budget and that
has the impact on the economy at the same time specific to two points like infra , yes, we are going
to be long . With regard to the retail deposit , yes, it is going to supplement the retail deposit .
Similarly , also the retail advances also because that would conventionally lead to creat e more
demand at the lower level and that would also be good for my book in that way. I hope I answered
all, you know , because it was long question in that way.
Mr. Chandani: Yeah. One very important thing on the deposit side, in the last couple of weeks we
have seen a major private bank has come out with a repo linked product where they are giving
interest rate of 8.3% and it is a fantastic repo linked product and th

at attract a certain class of
depositors, so how do you look at such products and these are very innovative and this is what the
market wants particularly in terms volatility in interest rate worldwide, which has become the norm
actually now post COVID and are we also looking at such a product, what is the interest rate we will
offer for any category and what you feel could be the market size of such repo linked products totally ?
Mr. Debadatta Chand : See it is a broader industry level issue because you are talking about a floating
rate deposit as compared to a floating rate advances right , so there would be a market for that.
Earlier these bank s used to offer a MIBOR linked product also, but then these are more sort of
product with the institution than the retail that is what our earlier experience is. So, we will just map
it out and if there is a requirement we'll have a look on that, but currently because product per say,
but there is a floating like, our deposits are typically up to one year right , so it gets reset at the end
of one year . So, the requirement of resetting the liquidity everything would be mapped out and we
need to see that market developing although on the loan side, these are all floating rate, deposit side
should be floating rate deposit , but then you need to see the market on that.
Mr. Chandani: Thank you. Wishing you all the best .
Moderator: Thank you. We have one question I think at the back .
Mr. Samir: Yeah. Thanks for the opportunity. Sameer this side, Mr. Desouza can you just explain the
treatment of provision prescribed by RBI for SR.
Mr. Ian Desouza : Yeah . So, there was a recent circular of RBI that required security receipts
particularly above a certain tenor to be provided as loss assets . So, we are already carrying provision
12 for the security receipts , but they were being held as part of the revaluation provisions , which we
actually reflect above the line. So, in this quarter we reverse d those provisions and we provided for
them below the line in provision for nonperforming investments . In addition , there was a one-off
investment for which we took provision , so the net of the two is what you see there and on P&L only
the impact is about 632 crores , because one is a reclassification .
Mr. Samir: Sure, and Sir second ly on the personal loans book as MD sir said it will continue to grow,
can you shed some light on the composition of this segment .
Mr. Sanjiv Chadha : So, currently the entire book almost entire book is existing bank customers right .
We are considering and that we should look at now that we have some comfort with the product
that we might look at new to bank customers for the simple reason that what is your existing
customer right ? A customer for whom you have data , which you can analyze and, on that basis , you
can take a decision . Now that distinction in terms of data availability is potentially shrink ing. Once
you have comfort and confidence that you have a similar quality data available for a non-customer ,
you might want to diversify that portfolio , but for the moment nearly 100% of the portfolio is of
existing bank customers who have accounts with us and then you can analyze those accounts and
then make them offers in terms of the kind of exposure you can take on them and also at what kind
of rate. I think this is something which could grow again for some more time at a fast pace because
even for us, I think the current book might be given the size of the Bank probably fourth of what is
the potential size if you would look at peers, so that's why there's some runway there .
Moderator: Thank you. We'll take

a couple of questions from the online audien ce please . Thank you,
Sir. Saurabh Kumar, I request you to please unmute yourself and ask the question .
Mr. Saurabh Kumar: Thank you, Sir. Sir, two questions . One is on this large group , has your team been able to do any credit assessment over the last week and Sir could you share your thoughts as to what is your view of the credit of this group and any other latest assessment that you've been able to do? Second is, what is the total pool of restructured assets and the provision you carry now on the same ? The third is on the OpEx, is there any provision on wage revision that you have done ? Thank you.
Mr. Sanjiv Chadha : So, we'll go in the wage revision, yes, we have made the provision which has been required of us, with effect from 1st November right . In terms of the large group you mentioned , I think as I mentioned that for all large group exposures , we try to make sure that it is as diversified as possible . In this case also this would be spread over a numb er of companies maybe a dozen of them . Also , I mentioned to you again that a significant proportion of that is in joint ventures , also I think there is nothing at all which would seem to suggest that any operating company , we should have any kind of issues . As I mentioned , we are the most comfortable time in terms of the corporate credit cycle . The environment is very comfortable .
Third in terms of where the Bank stands , I think in term s of the corporate credit cycle , I don't think there's anything for us to worry about . I would only want to reassure that both in terms of this particular exposure and also in terms of the corporate book in general , we are likely to continue to see the improvement that we have seen in terms of lower slippages , lower credit costs , and therefore more and more of the operating profit getting reflected to the Banks bottom line.
13 Moderator: Thank you, Sir. The next question is from Jay Mundra . Please unmute yourself and ask the question .
Mr. Jay Mundra: Yeah . Hi Sir. Good evening . Sir, firstly on this large group exposure again , if you can sort of specifically mention the exposure through bonds right , so what you have mentioned is the total exposure . A - Could there be significant difference between exposure and outstanding as of third quarter or later and you know what could be the bond exposure , could it be like negligible bond exposure or there could be still some sizable bond exposure ?
Mr. Sanjiv Chadha : So, again I think we are treading into territory which I fear to tread upon right because at the end of the day we'll be getting into specifics . What I would want to again say is that look at the end of the day, we are here to analyze the possible impact of this or any other develop ment on the Bank, right . I don't think there's anything which can significantly alter the trajectory we have seen of the Bank and all the questions that you asked , there is nothing in any potential answers which would give you any discomfort , let me put it this way.
Mr. Jay Mundra: Sure , understood Sir. Secondly , I think CFO Sir mentioned that you know this NPI and the MTM reversal in the other income if you can quantify you know the nature of this NPI, I mean which was one off you know , whic h was the usual NPI and the rest would be security receipts and what is the - and do we now and what is the PCR on security receipts now ?
Mr. Sanjiv Chadha: Yeah. So, first let me just - I think first refer to - I think they were a question that you asked from restructured loans right , I think which I omitted to answer and then we'll pass it along

to the CFO.
Mr. Ajay K. Khurana : Yeah , restructured, I think previous ly there was a question . Total book is 16,700 crores and then provi sion in that is 2000 crores?
Mr. Ian Desouza : Yeah. So, the so the provision for the NPI that we took incrementally this quarter is 632 crores.
Mr. Jay Mundra: That is the usual non-performing investment not the security receipts , right ?
Mr. Ian Desouza : No, no, this is for the investment . The security recei pt reclassification was 680 crores .
Mr. Jay Mundra : And what is the PCR now on security receipt , Sir?
Mr. Debadatta Chand : It's 100% .
Mr. Jay Mundra: Sure . 100% , right ?
Mr. Ian Desouza : Right.
Mr. Jay Mundra : Yeah . Okay and last question Sir, if you can share the loan book by benchmark , I mean MCLR, base rate, sorry, MCL R, EBLR, fixed etc.?
14 Mr. Ian Desouza : Yeah . So, the MCLR is almost 50% . In terms of EBLR, it's around 30% , and we have a very small proportion of 6%-7% fixed rate. The remaining is floating rate but benchmark to rates like T-bill and etc.
Mr. Jay Mundra: Sure . Thank you and all the best , Sir.
Mr. Ian Desouza : Thank you.
Mod erator: Thank you. Do you have any questions here? If you can give the mic.
Mr. Nitin Agarwal : Ian, while you indicated that we are not having a very clear view on the rate cycle which is why we are raising bulk deposits, but given that the liquidity scenario is tightening and there is going to be competition in terms of deposit growth, is there any threshold that you are looking at for growth of bulk deposits? .
Mr. Sanjiv Chadha : So, I think this is what you normally see right . Whenever interest rates go down , the first thing that you pay off is your bulk deposits and that's what you would have seen also if you

were to analyze our books last two-three years that is what you might have seen and again as they move up, this is possibly a way of ensuring that your marginal rate in what you pay is a little different from what you might be paying on the portfolio right , it makes sense to do that. Now , as again that difference between the marginal rate and the portfolio rate narrows , it probably will make a lot more sense to actually start focusing on the other part also. So, I would believe we might reach that stage sometime in the coming financial year .
Mr. Nitin Agarwal : Right Secondly , Sir again on the large exposure , so not looking for any data point or as such , but you think that there can be any re-financing risk, which can come through and the risk will eventually devolve onto banks because a large part of the exposure is outside the banking loans , it's through bonds and the other ways , so that doesn't get renewed, so can that like eventually devo lve into Bank, do you think that is a possibility of that?
Mr. Sanjiv Chadha : So, look again at the end of the day we can only look at our own books right given where we are in terms of point in time . To comment anyt hing beyond that, I think it's just possibly not - again it's not feasible . When you look at our own books , I would only say that look our books are not related to anything which has changed over the last few days . We lend on the basis of book value . There's a leverage ratio that you accept . There is certain cash flow that you accept to make a credit decision , that leverage ratio has not changed . The equity that we have assumed again that equity value has not changed by a single paisa . So, therefore , as of now I would believe that there should be very little reason , also whatever independent commentary that we have again heard , none of it would suggest that any of these things should really become a problem . So, I thi

nk we are where
there's a lot of noise which is there that noise is something that impacts certain parts of the financial sector more , certain parts less. I would believe that structurally given the nature of the issue , banks are likely to be the least impacted at least we are very, very comfortable with our own portfolio .
Mr. Nitin Agarwal : Sure , Sir. Sir, lastly on the, while you talked about the wage provisions of the Bank, has the Bank started making , have you also worked out the linked pension liability and what are the plans to provide for that?
Mr. Sanjiv Chadha : Ian.
15 Mr. Ian Desouza : Yeah . You're talking about the family pension liability or about the wage arrears?
Mr. Nitin Agarwal : The pens ion in respect to the wage hike, potential wage hike ?
Mr. Ian Desouza : So, as of now we have started taking provisions for the estimated wage hike . We will in the due course look at the pension also - the possible pension .
Mr. Nitin Agarwal : Okay, sure. Thank s, Sir. Thanks.
Moderator: Thank you. We will take a last couple of questions. If we have anybody here , otherwise, we will go to online ? Okay, I think we can ask a couple of online participants. Harshwardhan, I request you to please unmute yourself and ask the question.
Mr. Harshwardhan: Hi, Sir. Sir, regarding the large group exposure that we were talking about just want to confirm that this includes an investment book in the domestic and international entities, right ?
Mr. Sanjiv Chadha : Confirmed .
Mr. Harshwardhan: Sure , sure . Thanks a lot Sir. That's all.
Moderator: The next question is from Rakesh Kumar . Please unmute yourself and ask the question .
Mr. Rakesh Kumar: Hi. Am I audible Sir?
Moderator: Yes, you are.
Mr. Rakesh Kumar: Yeah. Thank you. Thank you, Sir. Sir, just one question with respect to loans proportion on MCLR , so have we increased the proportion on MCLR or in coming quarter or so are we further going to increase the MCLR proportion , to enhance the margin ?
Mr. Debadatta Chand : Yeah . If you look at the composition means prior to that there was a bigger component in terms of external linked benchmark under the corporate like T-Bill linked or the Gsec linked , so now the shifting is happening to MCLR, so going forward the componen t would definitely go up.
Mr. Rakesh Kumar: Sir, just a related thought , would the regulator wish to you know discontinue the MCLR and is there a possibility that you know the corporate loans also being benchmarks to you know some external benchmark is that a possibility in the near future ?
Mr. Debadatt a Chand : No, we have no idea on that. Currently , the regime is MCLR , so that is continuing . So, absolutely no idea on that, right .
Mr. Rakesh Kumar: Okay. Thank you, Sir.
Mr. Sanjiv Chadha : So, even as Chand saab said, the choice is available to the borrower right and what is the benchmark they might choose . So, even today the choice is there and ultimately the borrowers will determine what banks do.
16 Mr. Rakesh Kumar: No, but like Sir, like in the case of you know floating rate loans in the retail and MSME, we are mandated to give loans on EBLR, so if there is a similar kind of you know guideline coming from the regulator , then we don't have any option ?
Mr. Sanjiv Chadha : True.
Mr. Debadatta Chand: As per the regulatory guidance , we have to act on that. So, as of today we have no idea .

Mr. Rakesh Kumar: Got it. Got it. So, because you know like maybe after some time , not now , we will you know we will stabilize the interest rate and then we will set into the declining rate scenario , and MCLR will help us you know in that scenario , but if there's

a change in the regulatory guideline
then situation can be different .
Mr. Debadatta Chand : You're right , absolutely you're right on that.
Mr. Rakesh Kumar: Thank you, Sir. Thank you.
Moder ator: The last question is from Adarsh . Please unmute yourself and ask the question . Adarsh , you're requested to unmute yourself and ask the question .
Mr. Sanjiv Chadha: We have somebody here , otherwise we could ask
Moderator: If you have the last question , please unmu te yourself and ask the question . Okay, we will just take one last question from you, Sneha and then we'll close . Thanks .
Participant : Hi, Sir. Thanks for the opportunit y. Sir, just one question , Sir as we are seeing that 4Q because they're kind of the QQ margin expansion that we are seeing probably there is another quarter where some bit of margin expansion , but FY24, where your cost of funds will catch up, can we say like an FY24 margin would be closer to the average of the full year of FY23 because of the product mix improvement towards unsecured and some bit of retail share improvement can drive that, but the margins for a full year for FY24 would be closer to the average of what we are able to deliver on FY23?
Mr. Sanjiv Chadha : So, I think really, it's getting into speculation . I can only say that we have tried to exercise discipline even when the environment was unfavorable to make sure that we don't compromise on margins right . So, now that when the environment is more favorable , pricing power has finally returned to the banks in some measure after three years . I think particularly in the corporate book where we - which is nearly 45% of the book . I think there is scope for some expansion and margins there that will flow on acco unt of two reasons A - is because as was mentioned in the previous question , there is a normal cyclical play out of the MCLR which will continue to happen . #2, as I mentioned there are still large groups where again which have great pricing power , great bargaining power , I think to some extent there's still a bit of a regress of balance which is likely . So, I think we remain fairly confident that the improvement in margins that we have seen should continue , certainly where we are maybe some scope for improvement as we go ahead .
Participant: Yeah . Sure , thanks .
17 Moderator: I'd like to now invite , Mr. Ian Desouza to please give the vote of thanks .
Mr. Ian Desouza : So, good evening everyone thank you all, for making it to our first physical event in over three years . It's a real pleasure to see all of you here and for all of you who participated online , thank you as well. If there are any further questions due to paucity of time , we couldn't address them , please feel free to reach out to me and my team. We are happy to interact with you offline. Thank you so much .
Moderator: Thank you.

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Bank of Baroda Media Conference for Quarter ended 3 1st December , 2022
3rd February 2023

Participating members from the Management Team of the Bank
■ Mr. Sanjiv Chadha, Managing Director & CEO
■ Mr. Ajay Kumar Khurana, Executive Director
■ Mr. Deb adatta Cha nd, Executive Director
■ Mr. Joydeep Dutta Roy, Executive Director
■ Mr. Lalit Tyagi, Executive Director
■ Mr. Ian Desouza, Chief Financial Officer (CFO)

Moderator: Welcome to the media conference of Bank of Baroda’s financial results for the quarter ended 31st December, 2022. Thank you for joining us. We have with us today Mr. Sanjiv Chadha – Managing Director & CEO of Bank of Baroda, and he’s joined by the Banks’ Executive Directors and the B anks ’ Chief Financial Officer. We’ll start with a brief presentation . So Mr. Chadha will have a
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mall presentation that he'll make followed by the media Q&A. Over to you sir.
Mr. Sanjiv Chadha: Thank you very much Phiroza. Very warm welcome to all of you on behalf of the Bank. It's been 3 years I think since we actually h ave got together here in physical form. So, we're very grateful to you that you have been able to come over.
Let me begin by introd ucing my colleagues on the dais, to my right I'll begin, Mr. Ajay Khurana who looks after our Retai l business, t o his right you have Mr. Lalit Tyagi , who you'd probably be meeting for the first time. He has ta ken over as Executive Director and h e is in charge of International Operations and a lo t of platform functions of the B ank, including Human Resources, Risk, Compliance, et c. To my left is Mr. Debadatta Chand – Executive Director who is in charge of Corporate Bankin g and our Treasury Operations and to his left we have Mr. Joydeep Dutta Roy who is looking after Digital, IT and the subsidiaries of the B ank. And to his left of course , is somebody who you are very familiar with, Mr. Ian Des ouza – Chief Financial Officer.
Moderator: Sir, before we go to the PPT, the photographers just want one group photograph. If you'll can please stand.
If you could keep the PPT ready please?
Mr. Sanjiv Chadha: So, we'll try to keep it brief so that there's enoug h time for questions. As usual, we have about 8 -10 slides which capture the key highlights for the Bank. In any case, you'll have a copy o f the B ank's results and also the press releas e which captures things in more detail. Just by way of introduction, I think for us if you look at the Bank's journey for the last 2 -3 years, I think the year before last , the challenge was that if you really had to grow, you had to compromise margins and we chose margins over growth. But this year, at the beginning of the year, we had guided that finally we are at that inflection point where it is possible for the Bank to grow aggressively while keeping margins intact, or possibly improving margins also. S o, I think what you will see in the results actually is what we though t was a fair prognosis that the Bank can grow aggressively and also again can make sure that we have margins and profits which would grow along with that.
So we go to the 1st slide. Thi s 1st slide is really the 1st slide of the presentation that you will see on our website. This is a fair summary in terms of where we are as a B ank. You would see that both deposits and advances have grown well. I think it is a fact that when we look at ad vances gr owth, it is broadly something t he industry has profited from the cyclical upturn. We of course have grown probably a little better than the market advances. But what is equally remarkable is, along with that, the deposit growth is fairly good . And the challenge that we always discuss for the banks, that there is an expanding gap between deposit and advances growth, is less of an issue for us. So you'll see that our deposits have actually grown by as much as 17.5%, within that domestic deposits by a bout 14.5%. An d, if you look at our CD ratio and we'll discuss it as we go fo rward, it's not very different from what it was 2 -3 years back. So, the Bank is well placed in terms of business growth.
If you look at the margins, the margins continue to impro ve. The net interest income is up handsomely at about 26%. That largely is on account of the fact that you have had both, growth of business, as well as growth in margins. In this slide, what would be the other thing that you might again want to focus on, is again the profitability of the bank, which has possibly now reached benchmarks which we had promised for about a year later, but more as we go ahead with the presentation.
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So this is again when we talk about advances growth. So, for us, I think wh at wa s important was, that the B ank really begins to fire on all engines. For us there were tw

o challenges, if we were to go
back a year. One was that a lot of segments were growing fast, but home loans, which is the mainstay of retail loans was not growing as fast. And the second part of course was, that as a matter of deliberate strategy, the corporate loan growth was a bit tepid. As we have discussed in the past beat s, there was a choice – either you grow your corporate advances or you keep your margins intac t. But now you would see again that the corporate loan growth is catching up and every single segment is double -digits.
But, when you to go retail advances that is where you see that there's a transformation of the balance sheet which is in progress. So, the overall organic retail growth is nearly 30%. And within that, home loans, which is about 70% of the retail book, is nearly about 20%. And the other extreme of the graph, you have unsecured personal loans which is growing at more than 150%. As we had guided earlier, this is the segment, unsecured personal loans, which is relatively new for us, and which is benefitting most from the digital intermediation whic h actually has transformed the B ank. And, this is something which is having a very salutary impac t, not only on growth now, because now it is very substantial , I think our retail loan growth will actually on YoY be more than 10,000 crores. So, it's contributing handsomely to overall retail growth, but also in margins, it has a disproportionate impact. And also if you see the right side of the slide, you'll see on the top the growth, as far as segments are concerned, and on the bottom side again the disbursements. So, disbursements actually have grown much faster, which would mean that as we go ahead, w e should see this growth sustain.
So, this is where the deposit piece is there, where I believe we are a little bit of an outlier in terms of what we have been able to achieve here. So as I pointed out, total deposit growth is 17.5%. So now, if you look a t overall loan growth 20%, deposit growth 17.5%, which is a margin of just about 2.5%

which is there. And therefore, what you find is that our domestic CD ratio is still about 74%, which means that even as we go ahead, there is enough scope for us to make sure that we can actually keep our foot on the accelerator. If you look at the CASA growth also, it is reasonable. But quite expectedly, as the difference between the rates that we offer on CASA deposits and that we give on our term deposits, as that grows , people would likely move their deposits from savings to term deposits, which is why you are seeing this in an accelerated manner.
International, again, is something which has been growing well, but here also the deposit growth actually is supporting tha t mostly as we go ahead. So, if you look at the overall global CD ratio, it is somewhere in the region of 80%. So 80% is quite reasonable, being that there's still scope for us to push it up by few more percentage points.
The margins continue to strengthe n. If you see the yield on advances and what is the uptick as compared to the cost of deposits, the improvement in yields is still higher as compared to deposits. Which means, we might still have a quarter or two run of getting advantage of the fact that t here's a rising interest rate regime, which will help margins as we go along. And if you look at the NIMs and also recall our conversation in the last quarter, we had disclosed that our NIMs for the last quarter had some one -offs that the NIMs on an actual basis were in the region of 3.17%. So there actually is an improvement of ab out 20 bps on the NIMs. I think, given the trajectory of yield and cost of deposits, I would believe that this is largely a sustainable number as we go ahead. This is also ahead of the guidance that we gave at the beginning of the year, when we had said that there will be a 10 bps improvement.
This is the profitability slide where you see again significant imp

rovements right across the slide. The
net interest income has grown, as I mentioned in the opening remarks, 26%. Given the fact that you have loan growth at 20% and margins have improved by about 20 bps, that's what translates into NII

growth of 26%. Fee income growth is a little tepid, and I think that's something which I hop e can improve going ahead. There has been a little bit of an issue in terms of where the growth has been coming from. So in terms of project finance, that gives you upfront piece. I think that is still something which is yet to take - off, and I hope this i s something that should improve as we go ahead.
The Profit before Tax and Profit after Tax have both grown by about 100%. The bit of correction that you see on the right hand side that is again some adjustments which were there, some one -offs which were t here. You'd find that as a result of the one -offs, the Operating Profit is actually a little lower than the figure which is there and the PAT is higher. So, there's actually a Reserve Bank of India dispensation which said that holding one's SRs, the securi ty receipts which you get from ARCs, that needs to be accounted differently. So, the provision used to actually happen before the Operating Profit, now it is after the Operating Profit. So that is the correction which is there. Similarly, there were some o ne-offs in terms of taxation, which should not get repeated, which is why you see that the PAT, apart from these one -offs, would have been a bit higher. But I think what is important is that it will show you that there's a reasonable possibility of these k inds of margins, this kind of profitability persisting in the future.
So, this is the 9 month figure which again is important, because again, it's important to see that whether the quarter that we see is something that is in line with trends. And you will see that the performance is something that has been gathering pace over the last few quarters. Each quarter our profitability has gone up, and therefore even when you look at the 9 month figures, they pretty much replicate what you have seen in the quarte r under review.
This is asset quality, where I think we see the most stark improvement. We had, very frankly, expected that we would reach these kind of numbers possibly by the end of the year. But I think the improved profitability of the B ank has allow ed us to be even more aggressive, again making sure that we provide for all unforeseen situations in the future. Which is why you'd find that the Gross NPAs have dipped well below 5% and Net NPAs are now below 1%. Which means, that the downside that can co me to the Bank s' portfolio from the existing stock of loans, is extremely limited. Equally again, you would see that the slippage ratio is pretty much towards the lower end of our guidance. We had guided that we might be having a slippage ratio between 1.2 5 to 1.50%. We had 1.22%. So, I believe now something between 1% to 1.25% should be a more reasonable guidance for the year. Similarly, the credit cost actually has fallen far more sharply than we had anticipated and it is far below the figure of about 1.2 5%, we had guided for . We believe now we should be guiding for possibly 1% and under.
This is again a slide which demonstrates the longevity of the improvement that we have seen. The collection efficiency and the SMAs again, have seen now quite a few quar ters of very steady improvement and levels which again seem to augur well for the future, particularly SMAs, because this is the lead indicator for any stress which might be developing in the balance sheet.
So, as a consequence of the profits, you find th at the capital position is fairly robust. And the actual capital position, if we would take into account the B ank's accumulated profits, is still better. So our assessment as of now is that we will end up with a capital adequacy ratio at the end of the yea r which

will be north of 16%. It will be higher than what we started the year with. And, this is in a year where we have seen very very strong loan growth at 20%. Now , if you were to extrapolate that to the future, which means that loan growth possibly mig ht again moderate a little bit as we go ahead and profitability might improve a little bit, I think we are at that stage where we can see whatever we see as the foreseeable growth for the future and also be confident that that can be funded entirely from t he Bank's internal accruals. We may not need go to the capital markets unless we see growth which is much much larger than what we expect as of now.

So, a couple of things which again are important to see in the longer term perspective. We are trying to answer the question – are we simply benefitting from a cyclical uptur n or is there much more to the B ank's performance? Now if you look at the left side of the slide, you'll see that our branches actually have come down over the last 2 ½ years by a substant ial number, our number of employees has come down. But in each of the metrics on the right side, you actually have very very good growth. And, mind you, this very very good growth is when we actually had very slow 2 years; it's only this year that the grow th has accelerated. Now if you were to extrapolate this trend to the future, which means that you keep on gaining from the fact that your physical build actually is not growing and has actually come down over a 3 year period, and you see the acceleration t hat you're seeing now, I think augurs well for the Bank and for us to say that what you're seeing in terms of performance of the B ank is not only the advantage of the tailwinds by way of cyclical recovery, but also in terms of relative performance if you c ompare to peers we should actually be doing substantially better, which we'll demonstrate in the next 2 slides.
So this is again how our growth measures up with the 9 major banks – private and public sector, who have declared their results so far. As I ha ve told you, it is our deposit growth which actually stands out really very much in comparison. So these 9 banks have an average deposit growth of 6.8%, we have grown by nearly 10%. Our advances growth is also 1 percentage point faster, which is again wher e the last slide comes in, that what we are seeing is much more than a cyclical recovery, the Bank actually is now outperforming peers by a reasonable margin. And this is again how it translates into profit.
Similarly, you will see that whether it is in t erms of NIM growth, costs, credit costs, profit, we are substantially outperforming peers. And it is here that the operational piece is the most important, because this tends to be rigid. It is very difficult to remove these rigidities from the system. So, the fact that our operating expenses are growing only half that of peers which our growth rate actually is faster. In fact if you were to look at th e total business growth of the B ank in this 9 month period, it is the fastest among all banks – private and public sector. So , there are two things to see together a) Opex is growing by a very very low number as compared to peers and b) our growth rate top line is actually fastest or faster than everybody. I think HDFC pretty much compares in terms of growth, b ut nobody else. So , it think these are the things which give us comfort that as we go ahead, we should possibly be seeing that this trend is sustainable.
Before I close, I will just address one question, which I believe that if I don't address it, it will come from at least 10 of my friends here. This is something that you might know from our past interactions that we do not at all comment on any specific accounts. But, I do believe that you have a right to ask questions about the B ank, its portfolio and al so what it means for the B ank. I think that's a very legitimate question that you would ask.

So, I would just put a few facts before you, few
numbers before you, that should give you enough reassurance that wh at you see here in terms of trend lines is unli kely to change.
So with regard to the business conglomerate that has been under discussion, our exposure there is currently 1/4th of the Large E xposure Framework (LEF) ceiling of RBI. So , the LEF ceiling normally says that you take into account what are y our outstandings, what are your undisbursed loans, what a re your non -fund based limits a nd the RBI puts a fact to that, that counts as the LEF exposure. So our LEF exposure here , is 1/4th of what is the permitt ed figure for us. So, that is factoid no. 1 th at you might want to take into cognisance.
Number 2, as a percentage of our balance sheet, this exposure has come down over the last 2 year period. That's again something that you might want to bear in mind.

Number 3, of the exposure that is there, 30% i s either in joint venture with a public sector company or is secured by guarantee of a public sector company. So, 3 things I would again repeat because I will not be really saying much beyond that. You're of course free to ask as many questions as you migh t.
I'll again repeat: Our exposure again to the group is 1/4th of what is permissible under LEF guidelines. It is spread over a large number of companies. Within that 30% is either in joint venture with public sector companies or secured by a guarantee of public sector companies and this exposure as a percentage of our book has actually come down over the last 2 years. So thank you very much for your patient listening. We are open to questions now.
Moderator: Thank you sir. This is the Question & Answer se ssion now. If you have any questions, please raise your hand. Please try and limit your questions to just one.
Ms. Siddhi Nayak : Hi sir, this is Siddhi from Reuters. I want to first ask about your credit and deposit

growth guidance . This is my first questi on, then I'll come to the next.
Mr. Sanjiv Chadha: So actually, our guidance was that our credit growth should be in line with the industry or little better. When we began the year, we thought that credit growth would be in the region of 15 -20%. It obvious ly has surprised us on the upside. But what is good is, that it continues to be a little higher than the industry growth rate and that's how we would want to position ourselves. This is what we have consistently held that for us in terms of order of import ance, the most important is asset quality, second come margins and third come growth. But, we still want to protect our market share while keeping the other two intact.
The deposit growth again is something which we anticipated is going to be slower than credit growth this year, which is again very normal, because there are periods when credit growth is faster and there are periods when deposit growth is faster. In aggregation if you look at 3 years or 4 years as I mentioned, you'll find that our CD ratio is pretty much where it was 3 years before. So in aggregation, deposit and credit growth has largely matched up, there's not too much of a difference. And that's how we would like to keep the next year also – make sure we grow better than the industry in t erms of loans, make sure deposit growth is again something which our CD ratio allows us to do. And as of now, given where the CD ratio is, I would anticipate we can still have another year of faster loan growth as compared to deposit growth.
Ms. Siddhi Nayak: Okay. Sir my second question is, as you expect, it's on the Adani Group. Sir, if you could help me understand, is there any concern right now about payment? You said 30% are public sector ventures, right?
Mr. Sanjiv Chadha: So what is the question th ere?
Ms. Siddhi Nayak : Sir, is there any problem?
Mr. Sanjiv Chadha: Not at all. As far as we are concerned, given how the portfolio is, we are completely rea

ssured in terms of the quality.
Ms. Siddhi Nayak : And, has there been any issue ?
Ms. Sanjiv Chadh a: Absolutely there is no issue for the moment, these are early days. But again, the fact is that, if we look at our portfolio… and now I'm not going to again refer to the group, let me again put it in a broader context – whenever you look at large groups, one of the ways you manage the risk is to make sure that in a large group, particularly if it has the advantage of being a diversified group, that you make sure that exposure is spread over a number of companies. And in a large diversified group, these co mpanies normally belong to different market segments. Those market

segments tend to behave differently, again. So, there's a risk mitigation which is there in that diversification strategy.
So I would again say that as of now if you look at our broader loa n portfolio, including this group, I think corporate is something which is performing outstandingly well. This quarter our slippage in corporate, which used to be thousands of crores, is something like 13 crores. If you look at our SMA figures, they are ju st 0.4%. So the fact is, I think all of us, and I would say this applies to certainly for BoB because I can that unambiguously, but certainly even for the banking sector, given where we are and given the nature of business that the diversified groups do, I don't think the corporate loan portfolio is going to be a matter of concern for banks at all.
Ms. Siddhi Nayak, Reuters: Okay. And one last question, has there been any communication from the group to the banks?
Mr. Sanjiv Chadha: The group's communicatio n is something, I must apologise, I cannot discuss.
Mr. Abhishek Pandey: Sir, this is Abhishek Pandey, what is exposure to the conglomerate in discussion and the composition of portfolio.
Mr. Sanjiv Chadha: See, I've told you this before, if anyone asks u s for information, we will provide that. But what information you have worked on, that we cannot comment on . My request to you is, you can ask me another 5 -7 questions regarding this, but kindly do that towards the end of this meeting, as we need to attend to other questions too.
Mr. Abhishek Pandey: This time the concern is share price
Mr. Sanjiv Chadha: See, I will not talk about any group in particular, but if we were to talk in general, then any loan that we sanction/disburse is on the basis of their b ooks and balance sheet. We don't consider what their stock price in the stock market is . We calculate your leverage ratio, how much have you borrowed from ou tside an d how much is your capital, the group value is determined by the balance sheet. The shares keep fluctuating every day. Our leverage ratio is not dependent on the share price fluctuations of any corporate, that's one.
The second thing is, the loans that we sanction are most of the times secured. Since we give term loans and mostly working capita l loans, our loans are also secured by the cash flow. So that's why bank's situation is a bit different. I understand, that you if you sanction a big amount to one company and if that company is in trouble, then that would affect you too. But if you take a ny big group like the Tatas, where we have sanctioned loans to 10 -20 individual companies, if one company is in trouble, the others tend to balance it out. So I want to assure you, that in corporate banking and in the corporate sect or and not any particula r group, I have never seen the corporate sector in such a good condition in my 30 years of banking.

Hence, I would not want you to quote someone disproportionately or out of context, because ultimately, we in one way play the role of the press and the anal yst too. It is our duty to do things the right way. So when you talk about the banks and the effect it would have on the banks, let me tell you that banks have corporates, agri sector, SMEs and we see it all on a consolidated

basis.

Besides, corporate bank ing is very important to us as it constitutes 50% of our balance sheet. I would like to reiterate, the corporate banking has never been in a better position than it is today. So we don't have to worry about anything.

Mr. Abhishek Pandey: My second questio n is different from this. Pre -COVID when the banking sector was working, and the banking experience post COVID, what difference have you noticed, and which sector's in banking has improved?

Mr. Sanjiv Chadha: That's a very deep question and I have two expl anations to that. If you see the situation pre -COVID and now, there's been a cyclical improvement. The bank's balance sheets are better than what they used to be because all the problems in the last 10 -15 years have been provided for , now. If you see our P CR (Prov ision Coverage Ratio), it is 92 %. It means that if Rs. 100 of my loans are bad, I have provided for that. So if we recover 20 -25% that would be accounted for in our profits.

Secondly, th ere's a lot of difference since COVID as banks has become mor e digitalised. For e.g. the number of customers using bob World in our 8,000 branches has increased 5 times. This happened during COVID itself because all of us changed our way of working during COVID. That has had a very positive impact on the bank's financial results and the bank's future. You must have noticed in one slide that despite a fall in the number of branches and employees, th e business has grown 30 -40% and we're talking about growth in business that was effected during COVID. Now as businesses are growing but our expenses aren't, that will have a very positive impact on the bank's books.

Moderator: Thank you. Amol, sitting in the front.

Mr. Amol Dethe : Thank you. I think Sir, the profit numbers are really good. Thanks. I think, congrats on that part. Sir, as mentioned the corporate loans is tepid and we had seen that ma in major CapEx was done by the large corporates in last one or two years but still your profit i s really high. What are the major drivers behind your profit ? Is it higher from t he retail side? Also , the external factors added maybe the Insurance sell or the cross sells which the B ank has made.

Mr. Sanjiv Chadha: So, I think the improvement that you see is, I think, part of the transformation of the Balance Sheet. The fact that has become much more Retail -led, I think , is possibly the single biggest ch ange that has occurred for the B ank and I think that was important because with corporate, given the fact that you have chunky loans, there's always a downside should things go wron g. So, I think there's a de-risking in which has happened but fortunately also along with the de - risking, given the fact that we are on the rising interest rate regime, we have also benefited by way of better margins, right .

So, even today it is tough to actually get pric ing in corporate loans but in retail loans there has been a significant improvement as far as the pricing is concerned . And if you look at our figures , our retail loans have organically grown by 30% YOY and this is a trend that you have se en over the last few quarters. Within that you see , it is spread over all the categories. The lowest growing segment in retail loans for us is Home Loans which is 20%, right . That shows you how , again , diversified the growth is . So, to my mind this is the single biggest change.

The second part whic h to my mind particular to the B ank is , again , how we executed the merger. The figure that you saw in terms of branches and in terms of number of staff is because we delivere d on our promise that when the B ank un dergoes amalgamation w e'll make sure that we get synergies worth Rs.10,000 crores over a 5-year period. It is those synergies which are now being reflected on the profit results of the Bank.

Mr. Amol Dethe : Okay. Thank you , Sir.

Moderator: I think behi nd.

Mr. Ankur Mishra : Hi, Sir. My name is Ankur Mishra. I am from ET Now. O ne question regarding international deposits and advances that have grown handsomely, in fact robust growth is there, so whether there is any reason for that? If you can explain th at?

Mr. Sanjiv Chadha: So, I'll just pass the question to my colleague . Actually , Lalit was heading ou r

New York operations which has given probably most of the growth. So , he is best place d to answer that and then maybe if I need to supplement that I'll do that.

Mr. Lalit Tyagi: So, good afternoon once again and thank you for your question. The deposits in the international is driven by the asset creation. So , basically, unlike domestic operations banks do not raise deposit first in the international b anking , they just go for the assets and once they find the asset , the deposit simultaneously they raise and fund it. And as MD said that our international book has grown on the asset side handsomely for the reason is that we found the opportunities across geographies and that's how we tap the market and we raise the resources to fund them. We are present across various leading centres U.S., U.K. U.A.E., Singapore , Australia and there were different, different opportunities and we went to that .

Mr. Sanjiv Chadha: And also I request Chand sahab to supplement it, actually , much of the growth has happened during his stewardship.

Mr. Debadatta Chand : See, a couple of facts that International B anking earlier , slightly we wanted the business to stabilize. So , major part of the action has gone in terms of stabilizing the book and that is what the growth that you're seeing . See, there was a de -growth till March ’21 and there was a growth since then. So , it's more like stabilizing the operation in terms of and that' s what the growth you're looking at.

Secondl y, look at the absolute number, i t's something also needs to account for the rupee depreciation part which also accounted in the growth. So , in that we have gained robust growth in that and it is basically sligh tly changing on the mix of the portfolio . More on the syndication space we have acted on and that has given a very robust growth and very composite and you would have seen the new growth also has been very robust.

So, broadly, that’s a strategy in terms o f stabilizing the operation and tak ing to a growth path and that is what we have achieved as on today.

Mr. Sanjiv Chadha: I’ll just supplement that in terms of giving you a flavour in terms of what to expect for the future, right ; that's something which i s important. So , there was a context to , again , where why we grew international . To my mind it is true that in most times the margins that you get on the domestic books are better, right . This is true in most cases. But the last two years, the margins on our Corporate Lending business domestically had compressed because of the liquidity situation . You're not making money on the Corporate Lending business and the margins on the International Corporate Business were better. So, it makes strategic sense to dep loy capital there. Now , as margins normalize in India that is something which may not necessarily be true to the same extent. So, you'll find that the out performance of international might come down, not because international cannot perform but because yo u might find better opportunities in India.

Number two, as Chand Sahab said, there is an overstatement about 10% because of the rupee depreciation factor.

Third is , again , the base effect that he talked of that we actually had shed some lo w yield assets and, therefore , the base had come down and therefore you see a YOY figure which is higher. Now, that base effect will start dissipating from March onwards. So , I think what you will be seeing in the international book is a growth which is mor e in line with the Banks over

all loan book rather than
much higher than that.

Mr. Ankur Mishra: Another question . You have met certain parameters including ROA, ROE ahead of schedule as you mentioned, n ow what is the target for the year and if you want to talk about t he next year as well?

Mr. Sanjiv Chadha: So, I think what we are seeing is , we had said that ‘Look, the guidance was that from next year onwards we would sustainably deliver return which is more than 1% in terms of ROA and more than 16% odd in terms of ROE’ and as you mentioned we have hit it one year earlier. Going ahead, I think , there's enough room for optimism because the growth that we have seen this year to some extent will yield the income results in the next year. Having said that , it is also a f act that we have profited by the gap which has increased between the cost of deposits and yields on advances. Now, that rate of increase will come down. In fact, if you look at the last quarter the gap was actually 40 basis points which means our yields on loans had gone up by 40 basis points higher as compared to the increasing cost of deposits. Now , that gap has come down to about 20 basis points this quarter. Now , over a period of time this gap will come down , right . To that extent, that will be a little bit of a corrective which will be there.

But, I think , in terms of the fact that we made progress in terms of asset quality, the fact what I mentioned in terms of the opera ting costs of the B ank being actually very low. If you look at the detailed Analyst Presentation, our costs are grow ing only by about 6 %-7%, right . If you now juxtapose that 6 %-7% against likely growth in the Balance Sheet to the B ank, we should be seeing good margins.

So, we may not see improvement really of the order of what we saw th is year but, I think , we are confident we can sustain this as we go forward .

Mr. Ankur Mishra: One last question on Adani Group . As you mentioned that it is one -fourth of the ceiling of large exposure framework limit, can you also quantify in terms of yo ur loan book, how much of it is? Or you can give the exact exposure you have. Thank you.

Mr. Sanjiv Chadha: I am saying the same thing to you again that I can't give you the exact figure now. You are an intelligent person, so I think you will be able to calculate it on your own.

Moderator: I think, Preeti, you had a question? Yes. Yeah, the second row, Aneet .

Ms. Preeti Singh: Hi, Sir. T his is Preeti Singh from Bloomberg. So , I had two questions. One was , I saw that the Collections efficiency is really improved , so if you can comment on that ?

Mr. Sanjiv Chadha: Yeah . So, I think , one is of course , Collections. I think the second is what the B ank is doing in a larger context. So , we recognize that as Public Sector Bank s we have some advantages but there are also areas in which we had lagged behind . Collection was one area and our stance has been that if we have to build new competencies , we will actually go and hire talent from the market and see how we can make sure it delivers for the B ank and that's w hat has happened in the Collection department. We actu ally went out to the market, hired a very senior professional to run

the Collection department for us and who has built the department which is why you see not only there is an improvement but there's a sustained improvement and I think there's scope for it to actually improve further .

Another area , where I think that has delivered results for us , again is the Wealth Management. Virendra from the Wealth Management department is sitting here. This is aga in an area which is not the traditional competency of Public Sector Banks but we believe that , a, we must have the humility to accept where we are not as good as some of our competition and, b, we must also access talent and not just be providers of talent to the market.

If we put thes

e two things together, we can actually make sure that Public Sector Banks can perform as well and even at times outperform Private Sector Banks .

Ms. Preeti Singh: Great. My second question is related to like we just had the budget and I'm just curious how you're thinking about some of the provisions in the budget and how that can impac t negatively or positively the B ank's growth in the coming year.

Mr. Sanjiv Chadha: So, look , normally when it comes to budgets, I don't thin k there's much which impacts banks directly. It's always a second order impact which is there and the key areas which impact banks are again , a, CapEx , right , because the last three or four years we have seen a Capital Expenditure deficit as far the privat e sector is concerned . The government has had to do all the heavy lifting. I think there's still some room before the private sector investment really takes off and the fact that the budget provides for such a handsome increase in the outlay for CapEx , I think , is going to have a very salutary impact .

To some extent what you see in term s of numbers of growth for the B ank is because of that , right . Areas like Roads and all have performed exceedingly well and that's largely been driven by government CapEx through the NHAI.

The second , again, is environment which is predictable and which is stable both on the fiscal side and the monetary side and, I think , that has been one standout feature over the last few years . When the entire world has seen cataclysmic c hanges, ups and downs , government opening their purse strings and then struggling to see how they can meet their budgets. We have had an environment which has been very calibrated, very stable and, I think , what you see in terms of the performance of the b anking sector is in large part attributable to that.

Ms. Preeti Singh: Thank you.

Participant : Sir, question related to budget for a common man is, because in the budget for start -ups or for semi -scale industries and SMEs many things were there, what is expected opportunities after this budget for the small -scale businessmen in B ank like yours?

Mr. Sanjiv Chadha: Yes. See, in my opinion the announcement of policies where MSME up to Rs.2 lakhs will have government guarantee is very important. I am sayin g this because during COVID a new thing was in talk and that was ECLGS where banks were told that 'You give money to MSMEs because this is a hard time for them. We take the guarantee for them'. So, in my opinion that has been a very successful scheme from two viewpoints. One, MSMEs got support of that. Second, it proved that when we extend loans to them it is not necessary that those are bad loans. In current date , if we see ECLGS scheme, so earlier in that we had advanced loans of Rs.14000 crores and in

current date that Rs.14000 crores is now reduced to Rs.10000 crores; we have received back Rs.4000 crores. In this Rs.10000 crores, the count of MSMEs is just 4%.

So, in my opinion giving guarantee for the MSMEs by the government will be very profitable. Because in current date the problem is, as far as Retail is concerned, banks are offering many loans for that. Corporates never had an issue related to loans. It is just MSME segment who will either go to NBFCs and will pay high rate of interest or they have no other alternative. So, in my view this policy will be very successful and it will have a very good impact.

Moderator: Aneet, you can give the mic to J oel here on the first . And just one note to online participants, if you have a question please raise your hand on Zoom.

Mr. Joel Rebello: Sir, this is Joel Rebello. I write for The Economic Times . I just wanted an outlook on asset quality. I think , it's simple, it's improved for the whole sector as such. I mean, we've been seeing this trend . If you can give us an outlook for next year ? I think if I have heard you r

ight, in your
presentation you mentioned you should now look at credit cost below 1%. So , if you could give us some outlook on NP As credit cost and slippages, Sir? T hank you.

Mr. Sanjiv Chad ha: So, thanks, Joel. Good to again see you. I think we've been speaking for the last one year. Good to see who Joel is, right.

Mr. Joel Rebello: Thank you.

Mr. Sanjiv Chadha : Great.

Mr. Joel Rebello: Thank you so much.

Mr. Sanjiv Chadha: So, I think , there are three or four parameters which we can use to make a prognosis in terms of what asset quality is likely to be , right. One is , again , in terms of your current book what is the downside. Now as far as the current book is concerned , with a 92% prov isioning there is no downside and probably an upside , right , as and when you get recovery which we're already seeing now .

Second, I think , you see again the credit cost which you saw has come down to 0. 37% for this particular quarter. I think that's a fai r representation in terms of how things are going to be going forward.

Third is , again, how does your present book look like? Are there any issues which might be developing? We might be in good times but, again, are there any problems around the corner ? That is when you look at your SM As and see how they have been . They have come down precipitously and now for four quarters they have been coming down marginally each quarter - 0.48% , 0.42% , 0.40%. So , I think , that's something which is working very well.

Fourth, as I mentioned to you, there are things that have been put in place . The Collection mechanism, that's again something which is going to stand you in very good stead.

And lastly, which is probably the most important factor , is the fact that corporate is always the elephant in the room and the fact that in slippages, corporate slippages are by far the lowest segment even among others. I think that should give us reasonable reassurance.

And last I'll mention more, although I said last, is that , again, when it comes to Retail which is growing aggressively and legitimately people can ask the question ‘Look, could this become a problem in the future? ’. I think our experience in COVID is one which is most reassuring because the COVID period when it came to Retail segment was the most testing time . People lost their jobs, right , their salaries were delayed and despite that we are where we are today. So , I think we should actually look at the future with a fair degree of reassurance.

Mr. Joel Rebello: Number s?

Mr. Sanjiv Chadha: Numbers are the things that ought to be better tomorrow than they are today.

Mr. Joel Rebello : So, lower than 5%?

Mr. Sanjiv Chadha: I would believe so , yes. So , I think gross NPA is really a function of how you again handle write offs. You see that gross NPA have come down by 275 basis points over the last one year. I think there's room for it to come down substantially. Thank you.

Moderator: Vishwanath. Aneet, right there. Yes.

Mr. Vishwanath : Hi, Sir. Since you mentioned the quality of the corporate portfolio and you said that it's been the best it has been in years , I'm just curious to understand I was looking at the presentation sectors like Power , NBFC and Iron and Steel are the segments where a large part of the growth has come from and each of these segments have also led to the last cycle of problems that the we have faced. What has changed now ? I mean, I saw that things your ratings are better in terms of the co rporate but the se were great the last time also, so I don't know how relevant that is in terms of future credit quality ? So, I just wanted to u nderstand that .

Mr. Sanjiv Chadha: I think very fair question. So , I think , some thing s have changed. So , the biggest growth actually has come from the Road sector where w e actually had a really rough time in the last cycle . That r
ough time came from two major sources. One was , that Road projects were launched without land being completely acquired. The other was , that the traffic did not really come the way it was supposed and the new schemes under which you have now lent , the HAM projects , actually have taken care of both those risks. So , projects can now be launched only if 90% of the land acquisition is complete. And , again, since there is a Hybrid Annuity Model projects , once the completion is done then in terms of traffic risk it becomes a non -factor. So , I think that is what is most heartening . Any crisis from which you don't learn is a wasted crisis, right .

The other question is , why is it that Roads actually have bo omed and so many other sectors have not? It is because the kind of issues that there have been taken care of . Similar ly, in the Power sector you will hardly find any project under implementation which is on our books . All of them are running , yielding proj ects. The issue was if you had looked at our books 10 years back, P ower projects might have been the same percentage but there would have been all projects under implementation, right . That's something which has changed.

Third, as we go ahead there'll be hardly any Greenfield capacity which is going to come from Thermal Power Projects. Most of it is coming , again , from Solar Power Projects which means you are also aligned to the future.

So, I think there are a lot of reasons why we should be much more san guine in terms of future as compared to the past.

Mr. Vishwanath: And, Sir, thoughts on economics of renewable powers?

Mr. Sanjiv Chadha: Actually, the fact is the economic s of renewal powers are making so much sense that the economics of thermal power a re being challenged.

Moderator: Thanks, Vishwanath. I think, Ajay had a question. Ajay, do you have a question? No? Okay, Shahid has one question . Aneet, here on the right.

Mr.Shahid : Hi. I am from Financial Express. So, nice to be here. Just a couple of questions. First, somebody mentioned CapEx, what is the demand of capacity utilisation from corporates and the outlook? Will this expansion be different from previous instance ?

Mr. Sanjiv Chadha: So, I think , probably the time of i rrational exuberance is gone, right , where you assumed that demand would come anyway, right . That , I think , is not going to be there. So , there's going to be calibrated expansion of capacities.

B, this is going to come from larger players who are able to absorb the uncertaint y that might still be there.

C, you now have a new class of sponsors . Earlier you had the family groups which , again, we're putting out their money and n ow you have Private Equity funds which have again global standards in terms of due diligence and in te rms of return expectations. So, I don't think you're going to see the same kind of , again, the cycle that we saw maybe 10 -12 years back .

Having said that , we now are reaching a level where capacities are reaching about 75 %-80%. So , it is natural that the pace of growth will be much more in the next three or four years as compared to the last three or four years . Also , we are seeing that the number of sectors where capital investment is happening has started broadening. So , I think we can be confident that there will be a significant uptake to private sector investment but what we saw 10 years back, I don't think that is likely nor is that healthy . Rather than happening in sp urts, if it happens on a sustained manner, I think , it is good , again, both in terms of managing the supply -demand gap and also in terms of the health of banks .

Mr. Ajay Ramanathan : Fair enough. Just another question on the personal loan side of things everything seems to be increasing ly digital , can you give some colour on that?

Mr. S anjiv Chadha: Yeah. So, let me again pass this on to Joydeep and then I mi

ght supplement if it
is required.

Mr. Joydeep Dutta Roy: So, personal loan growth basically has been on the digital side and it has continuously increased in the last 1 -1.5 years. So, with that base of customers as we look into th eir balances and look at the data in terms of the ir spending s and the balances that they keep with us ,

their income levels etc. , we have quite a few data points on which we can actually give them offers. So, that's be en sort of a good improvement that we have seen in the personal loan space where we have been able to give out offers for pre -approved to our customers and there has been a good uptake on that. So, that has been a significant proportion of our p ersonal loan growth . Since, we started on a small base the bas e the percentage growth t hat we're seeing is as high as 160%.

Apart from that, we are now also looking into the NTB segment. So , apart from the existing bank customers we are also looking at new to bank customers. So , that's again a space which we see there's a lot of potential for growth in the future because the data points are available publicly and as we use those data points and with digital, I think , there's a lot of traction that we can s ee there.

Moderator: So, I would le to just take one last question from online.

Mr. Sanjiv Chadha: Yeah, I think, there…

Moderator: Okay, thanks.

Mr. Sanjiv Chadha: That lady, yeah, I think she has been…

Moderator: Okay. I will just ask Hitesh’s quest ion. Hitesh is from The Indian Express. His question is, one is, CASA ratio falling and what is the outlook on CASA?

Mr. Sanjiv Chadha: Yeah , I beg your pardon . I'm sorry, I thought the question was coming from there. I forgot it is online. So , I think wh en it comes to the CASA ratio, it's important to remember the ratio, right . It's a ratio between what is your Term Deposit and what is your Current Account and Saving Account deposit. So, two things to appreciate , a, CASA has gone up, right , so about 7 %-8% which is pretty much in line with what is the overall deposit growth for a lot of banks . What has happened is that because of the fact that now Term Deposit rates are substantially higher as compared to Saving Bank rates , there's a movement which is happe ning from Saving Bank to Term Deposits . At a time when you would get 3.5 %- 4% on a Term Deposit and Savings Bank was 3% why would you take the trouble of moving th at deposit? But where the differential now is 3% and 7.5% , it makes a lot of sense to do that .

So as long , again, rates remain a little elevated, I think , it is quite natural. So , I don't see this as a surprise. I think it is something that also helps the B ank because if you see again where the growth is coming from , it's coming from, again, larg ely Term Deposits w ith maturity period of between 1 to 2 years which means we are able to make sure that we are able to match the expectations in the current interest rate regime but we are not committing funds at rates which might become out of market aft er two or three years.

So, this kind of growth that we are seeing , to my mind , is at pa r for the course , it works well and as long as you find that the Net Interest Margins are improving, I think , it's som ething that works well for the B ank. But request Khurana Sahab , if he might want to just supplement that.

Mr.Ajay K. Khurana : Yeah . I think MD Sir has covered what actually is the issue . Overall we have been growing , our CASA is growing, but this ratio is a concern because our Term Deposits have increas ed; that is how it has happened .

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Moderator: Okay. I think we will take that one last question.

Participant: Yeah. Sir, would you be looking at raising capital this year, next year ? This year, this calendar year?

Mr. Sanjiv Chadha: So, this calendar year, I don't think that there's a possibility because as w

e saw
that even with the kind of growth we have had. Sorry, my mic is off. Yeah , so I will just repeat hat. So, I think this calendar does not seem to be or this financial year does not seem to be a possibility because as we mentioned we had about 16% in terms of Capital Adequacy .

Going ahead also, if our current prognosis that there may be a little bit of a slowdown in terms of loan growth as compared to what we saw this year . We have seen loan gro wth of about 20%. I think there might be a little bit of a slowdown there and if profitability were to sustain or to improve then I think we should be self -sustaining in terms of funding our growth.

Ms. Han sini: I have one last question. Hi, I am Hansini from Hindu Business Line. Your presentation gives me split of all the NPAs on the retail side but can I get an overall number? So, R etail NPA, t hat's one. The second part of the question is , slippages from retail and Agri loans seem quite sticky at that 500-550 odd crore levels and at 700 , is that the trend that you are you likely to see through FY24 as well?

Mr. Ajay K. Khurana : Overall number of Retail NPA is Rs.4000 crores; Rs. 4100 crores

Ms. Han sini: As a percentage of asset, Sir?

Mr. Sanjiv Chad ha: That is 2.35.

Ms. Han sini: 2.35?

Mr.Ajay K. Khurana : Yes. A nd the second question was slippages . See, when the rates were increasing and that there could be , delinquency could increase. But if we look at our last three quarters how our agriculture o r retail , the NPA addition is almost the same. So , there is no increase in these two sectors as far as NPA is concerned .

Mr. Sanjiv Chadha: So, just to supplement that. So , if you look at two things, right, one we underwent two years of COVID and n ow we are seeing a time of rising interest rates. So , even with these two changes, you have seen that actually retail NPAs, accretion has not gone up. As you said, it is stable.

Number two, it is stable on a book which is grow ing very fast. So , you have a 30% g rowth rate in the overall book but the accretion you're seeing has not gone up . So, to my mind , again, it is something that works well from the Bank's viewpoint.

Third, normally what you find is that the stock of corporate NPAs gets impacted by write offs . The stock of retail NPAs does not. So, what you're seeing is also an accumulation of the past.

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Ms. Han sini: Okay. If I can ask one more question, Sir? You spoke about a large corporate group , has any of the group companies slipped into even in SMA level for a fortnight or whatever in the past two years ?

Mr. Sanjiv Chadha: So, as I said nothing specific in terms of group and companies but if you look at our figures of SM As, right, which you can see for the last four quarters, if there had been any larg e corporate movement that would have got refl ected very clearly. Apparently, it's not there.

Ms. Han sini: Thank you.

Moderator: Okay. Thank you. I'm sorry, we have to close now . Thank you everyone for joining us . Some tea , coffee outside , so please join us. Thank you.

Mr. Sanjiv Chadha: Thank you very much and look forward to seeing you next quarter.

Mr. Lalit Tyagi: Thank you very much.

Mr. Joydeep Dutta Roy: Thank you.

Moderator: We have the Analyst Meet at 3.30, so request all the CGMs, GMs, and Heads of Departments to please come back at 3:30. Thank you.

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Call: May 2023

BCC:ISD:115:16:108 22.05.2023

The Vice-President,
B S E Ltd.,
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
BSE CODE-532134

The Vice-President,
National Stock Exchange of India Ltd.
Exchange Plaza,
Bandra Kurla Complex, Bandra (E)
Mumbai – 400 051
CODE-BANKBARODA

Dear Sir / Madam,

Re: Disclosure under Regulation 46(2) (LODR)

We enclose transcript of Analyst and Media Meet held on 16.05.2023 for Q4 (FY2022-23) Financial Results.

We request you to take note of the above pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015 and upload the information on your website.

Yours faithfully,

P K Agarwal
Company Secretary

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Bank of Baroda Analyst Meet for Quarter ended 31st March 2023
16th May 2023

Participating members from the Management Team of the Bank
➢ Mr. Sanjiv Chadha, Managing Director & CEO
➢ Mr. Ajay Kumar Khurana, Executive Director
➢ Mr. Debadatta Chand, Executive Director
➢ Mr. Joydeep Dutta Roy, Executive Director
➢ Mr. Lalit Tyagi, Executive Director
➢ Mr. Ian Desouza, Chief Financial Officer (CFO)

2 Moderator: Good afternoon, everyone and welcome to the Analyst Meet for Bank of Baroda's Financial Results for the Quarter and Year Ended 31st March 2023. Thank you all for joining us.

We have with us Mr. Sanjiv Chadha, the Managing Director and CEO of Bank of Baroda; and he is joined by the Bank's Executive Directors and the Chief Financial Officer. We'll have a few opening introductory remarks by Mr. Chadha, and we have a short presentation, followed by the Q&A session. Over to you, sir.

Sanjiv Chadha: Thanks very much, Phiroza. So let me just begin by introducing my colleagues, you will be familiar, but let me do that. On my right, we have Mr. Ajay Khurana, Executive Dire ctor in charge of Retail Banking for us. On his right is Mr. Lalit Tyagi, in Charge of International Banking and all our platform functions like Risk, Compliance and Audit. To my left, Mr. Debaddata Chand, who is Executive Director in Charge of Corporate and Treasury and also who is our Managing Director designate. To his left, we have Joydeep Dutta Roy, who is ED in Charge of Digital, IT and all our subsidiaries. And to my extreme left, Ian Desouza, who most of you know, our Chief Financial Officer. Thank you.

Moderator : Can we have the PPT, please.

Sanjiv Chadha: So thank you very much for joining us this afternoon. I think it's after a long time, we have been able to get together without the pressure of all of you having to rush to another meeting. So thanks again for that. So we'll just start the presentation by a small focus on the growth numbers. I'm completely aware that you received these numbers at the beginning of the quarter, but just to put in perspective the profitability piece that we've decla red today. So we have been guiding right through this period that from our perspective, in order of priority, we believe that the most important thing is underwriting standards and credit quality. Once we ensure that we try to protect our margins or improv e them. And if it is possible after that to actually go for growth.

We had also guided at the beginning of the year that finally, after very many, many years, we believe it is possible for us to have margins and also to grow at a reasonable pace. So we are really, therefore, very satisfied with the kind of growth figures we have seen after a long period. What is equally encouraging again is that this growth that we see has come from almost all business segments. First of all, between domestic and interna tional, domestic has grown by more than 16%, which is faster than the industry, while international has grown by 30%. As some of you might recall, we have been discussing that this robust growth in international was partly because of the fact that margins were depressed in corporate lending the last year. And therefore, we found better margins in the international book. Nevertheless, the growth has now moderated from about 40% to 30%. And we believe that as we go ahead as opportunities in domestic market improve, the growth in the international book should be pretty much in line with the overall growth as we go forward.

Equally important , if you look at the segmental growth, it is driven largely by retail. So organic retail continues to grow at a very robus t pace by about 27%. This, again, is part of our Board -mandated strategy, which requires us to have a larger proportion of our balance sheet in retail. So this year itself, we have increased the percentage of retail loans by about 2 percentage points. We expect to continue to do that as we move forward. We have been guiding that if our growth is x, we would want our

retail growth to be 1.5x, corporate about 0.7x. So that over a period of time, we can achieve this portfolio composit ion change that we would want to do. But what is equally satisfying is that 3 corporate, which had been under pressure in terms of margin, therefore, we chose not to grow that very aggressively. This year has turned up a smart growth about 13%. And going ahead, we believe that corpor ate will be contributing more to the growth and also while ensuring that margins are intact or improved.

Within retail, the sustainability of this growth is largely predicated upon the fact that this growth is coming from a large number of business segmen ts, which are largely unrelated. So you have growth from home loans, which is about 19%, which is the slowest of the segments, but the others are growing even faster, which means auto loans, education loans, personal loans, all of these are growing much faster, which means that as we move ahead, we can be a little more confident about sustaining this pace of growth, which is also something that is indicated by the disbursement momentum, which is again gathering pace.

The challenge for this year, of course , next slide, has been more by way of deposit growth, I think, for all banks. And there also, I think for us, it has been a relatively benign outcome. The gap between deposit growth and advances growth is possibly one of the least for us. So overall deposi t growth is 15%, loan growth is 19%. And if you look at the lower quadrant, you will find that the credit deposit ratio and particularly the domestic credit deposit ratio, which really is key because international growth very often gets funded by instrumen ts like medium -term notes. So the domestic credit deposit ratio is just about 75%. So there's a lot of room, which is still there in terms of growth, and we are under no pressure whatsoever in terms of liquidity as we move ahead.

Within the deposit growth , CASA growth is about 8%, and domestic term deposit growth is 17%. And this is something which is pretty much par for the course because as the differential between the saving rate, which is about 2.75 -odd percent for us or 2.8% for us and the term deposi t rates, which have moved north of 7%. As it expands, I think you would expect that more and more customers, who have been maintaining savings account deposits, would like to move them to term deposits to the extent possible.

In terms of -- next slide, please. Yes. So in terms of how we compare with the industry, you will again find that we compare fairly well with the industry. So our growth is better than both industry and scheduled commercial banks by a fairly significant margin. When we talk of industr y, we have a set of 10 banks, public and private sector, who have declared results so far. So it's about 4 percentage points higher. Similarly, advances growth again is higher than both industries, the set of 10 banks as well as SCBs by a significant margi n. So we have been gaining market share while keeping our margins intact or improving. In fact, margins have been improving as you will see in the next slide.

So if you look at margins again, we have had improvement in both yields as well as having a reas onably tight lid on cost of deposits. So NIMs for this quarter, actually, domestic NIMs were something like 3.6%, which is a record for us. And overall NIMs exiting this quarter was 3.5%. For the full year, it was about 3.31%. So given the fact that the exiting quarter NIM is significantly higher than the overall for the full year, we believe that we can be fairly positive about mainta

ining our year -end
net interest margin into the new year also as we go ahead.

Next slide, yes. So if you were to again have a look at how much have we really bettered the industry in terms of margins. So industry has improved margins by about 4 basis points for the quarter. Some banks did have a bit of a slippage. For us, they have improved by 16 basis points during the current 4 quarter. Similarly, NII expansion has outstripped the industry, both in the quarter as well as in the full year. In terms of profitability, as a consequence of both growth and margin expansion, we have had a very robust increa se in the quarter -on-quarter, quarter Y-o-Y growth, which is about 34%. Operating profit, again, has gone up very smartly during the quarter with a concomitant increase in profit before tax and profit after tax. So profit after tax at INR 4,700 plus crores plus is again a record for us.

Moving to the annual numbers, you'll find that this quarter was not too much of an outlier. And probably almost every quarter, we have been able to have a significant improvement as we have moved ahead with NII for the full year moving up by 27% and operating profit by 20%. I think this operating profit 20% is significant because, while we had been reporting profitability increases, it was mostly driven by credit costs coming down. Now we see the operating metrics also kick in. This is a function of both costs as well as revenues as we will see as we move ahead. For the full year, the profit has come out at about INR 14,000 crores, which again is the highest ever by a very, very big margin for us.

Now how do we compare in terms of profitability vis-a-vis industry? There again, whether we look at NII growth, OpEx credit costs, PAT, everything, I think, has worked out well for us. What I would particularly like to draw your attention to is the operating cost increase. I think this really has become the competitive strength of the Bank. I think there is, of course, this year's business environment is very favorable, credit costs have been trending downwards. But what was key difference for us was that while most, again, competing banks, have increased both revenues and costs in tandem, we have been able to contain our costs.

In fact, the number that you see, 13% vis-a-vis 19.6% understates the difference between us and other banks. This is because that this number -- our number is inflated, a, by the wage increase, which fully kicked in, in this particular quarter, and there were certain other one-offs, which Ian will take you through as we move along. But again, to reemphasize, we believe that the key competitive strength for us as we go through the cycle is, a, that we are growing faster than our competitors; and b, by very large margins, our cost growth is very well contained.

In terms of improving asset quality, this is something that we have seen even as we had gone through the COVID cycle. The gross net NPAs continue to trend downwards. Provision coverage ratio is very high. Slippage ratio, we had guided between 1% to 1.25%, I believe. So we are at the lower end of the range. And the credit cost, of course, has come down signif icantly below where we expected to at about 0.5%. I think the next slide is again something which is important because it gives you something of insight into what are we likely to see as we move ahead. So if you see the SMA figure, this used to be as high as 2%, has then been stabilized at about 0.44% - 0.48%. And this quarter, this CRILC figure has come down to 0.32%, which means that the improving trend when it comes to credit quality

, in terms of future prognosis continues. And this is again driven large ly by collection efficiency now stabilizing at a very high level.

So as a consequence of all this, the capital position is very, very healthy. What I would want to draw your attention to is the fact that this year was exceptional in terms of the asset growth that we saw. Despite that asset growth, despite our earmarking 20% of our profits as dividend, we have ended the year with a capital adequacy ratio and a CET1 ratio higher than what we started the year at. So if we were to now look at any circumstance in the next few years, I think we might probably again be 5 agreed that this year's credit growth was probably the highest which we are likely to see. So assuming a moderated credit growth and profitability, which again seems to be strong, we are likely to be self-sufficient in terms of generating funds for our growth as we move ahead. And the CET1 ratio equally importantly, has actually moved up by 1 percentage point despite the dividend payment that we have done.

The next couple of slides are on, again, how we are doing in terms of digital. I think this has been the key enabler, which has allowed us to attain the twin objectives; a, to have growth, which is better than industry; and b, to have costs, which are lower than industry, and the lower costs, in particular, have been enabled by digital. Today, we have a physical footprint, which is substantially less as compared to what it was 2 or 3 years back. In terms of manpower roles, it is also lower, but nevertheless, we are able to have industry beating growth, and that's largely because a growing proportion of work is getting done through digital. It is through digital that we are able to reach our customers.

Today, bob World has got 30 million active customers. And we have done, I think our team has done a great job in terms of the penetration. But I think in terms of the leveraging of that penetration to get better cross -sell, better revenue opportunities, we are just about scratching the surface. So I think there's a lot of upsides, which is left as far as leveraging this digital footprint is concerned. Equally importantly, I think in term s of some things that we have, the metrics that we see. For instance, the best proxy for a straight through process digital loan is the e-sign, and we are #1 there. So we're the fourth largest bank, but counting all banks, public and private sector, we are #1 in terms of e-sign. So a lot of, again, positives when it comes to the digital story of the Bank.

So that's in terms of opening remarks. Thank you very much and now open to questions.

Moderator: Thank you. If you can please raise your hand, if you have a question, we'll get the mic to you and you can ask, and if you can please also introduce yourself. Yes.

Ashok Ajmera : Compliments to you, Chadha Sahab and the entire team here for the fantastic results of Bank of Baroda. I think it is befitting to congratulate and complement you. Even personally also, I think you will be presenting the results of this quarter as your last results of Bank of Baroda, and you have done a fantast ic job, sir. Not only made the Bank very, very strong, the balance sheet very strong, but even the business grow th in this environment where barr ing some small public sector banks, others could not reach this kind of credit growth and this kind of asset quality. So my compliments to you.

Sir, now the question comes, number 1 is that on the Treasury front, like I think this -- especially in this quarter, our Treasury income is INR 297 crores as against I

NR 1,142 crores. So going forward now
when the things are easing out, I mean, the rates are also softening or rather stable, where do we see the profitability coming and the Treasury contributing to this profit more. So some color on that, our book, H2M, HTM and AFS book? And what do we see in the coming quarter the Treasury performing? How do we see it? This is one.

Second is, sir, on the employee cost, it is increasing in every bank because of the wage revision and also the additional pension. So going forward, now here it is, I think, INR 3,000 crores in this quarter as against INR 2,520 crores as far as salary is concerned, and total employee costs also increased by 6 about INR 500 crores. So whether it is stabilized now at this, like can we take that every quarter, it will be around INR 3,800 crores or some more provisioning is to come because the -- you, of course, you control the cost overall, you said as compared to the business, but still in absolute terms, it is increasing. And similarly, the other expenses also, which is from INR 2,800 crores to INR 3,100 crores. So whether going forward is stabilized.

Now third one is on the slippages, which is more or less under control, but in this quarter increased a little bit, so -- and slippages and vis-a-vis the recoveries also. So on the NCLT, now when the things are progressing, though, of course, we again read there is some problem with the government guarantee and some issues are still there. So with the NARCL and NCLT. So some color on the, going forward on the recoveries and credit grow th sustainability. So these are the few observations and some questions, sir, in this round.

Sanjiv Chadha: So I think that pretty much covers the full presentation. Thank you very much for those questions. So I'll just make a general remark and then I'll hand over to my colleagues to answer specifically in terms of Treasury, employee costs, slippages, NARCL and the rest of it. The general remark, again, I would make is only this that we have tried to construct a business and a balance sheet, which can absorb certain one-offs, which might be there because of the environment. This year, the one-off was on account of the Treasury losses because of the fact that rate increases, which normally happen for a 12-month period, pretty much got compressed in the first quarter and the results that you see are despite those Treasury losses, right?

So I think as we move ahead, and if interest rates were cycled worse to reverse, which seems to be likely, I think that is an additional upside, which is available to the banks. But as far as we are concerned, we would want to make sure that we plan again for the future without accounting for these positive one-offs. You might want to take into our negative one-offs, but the positive one-offs are what you don't normally accoun t for when you plan for your future. Now coming to the specifics, I'll again hand it over to my colleague, Treasury first, Chand Sahab.

Debadatta Chand: If you look at Treasury, there are 3 components, which are charged to the PL, one is the interest inco me on the investment and then the trading profit, and third is the depreciation. If you look at the current financial year that we have declared, the increase in interest income is almost INR 5,000 crores, which is 25% increase as compared to a book increa se of roughly around 15%. The trading profit is something around INR 1,100 crores, and the depreciation provided is something around INR 900 crores. So as a Bank, what you're looking to a different scenario is to how do I optimize all 3 components, right? So the m

oment you sum it up, the depreciation is only the negative
item out of this 2 positive item. As a Bank, the only last time also we articulated that, can I create a, what you can say, delta vis-a-vis the book increase? And precise ly, we have done that in this year. The interest income increase is so substantial, even if there is a dip in terms of trading profit vis-a-vis last year, the income is far more than the dip in the trading profit, right?

So that is what actually we are going to optimize. And earlier also in one of the conversations we articulated that we do have a higher FRB book, right? So that gives me a substantial upside in our interest scenario. So going forward also, 2, 3 scenarios can happen. If the interest rate goes down, then the trading profit would go up, but the interest income, again, would take slightly a beating. If the other scenario, the same way it would continue. So broadly, the contribution out of Treasury would continue the same. And our strategy would be to how do I optimize the, I mean combined 7 contribution vis-a-vis the book increase, and that has to be higher than the book increase that you heard the stance , we carry.

Sanjiv Chadha : Employee cost, I think, Joydeep, again, this year you can comment.

Joydeep Dutta Roy: So on the employee cost, I think, while there has been an increase in the last quarter, largely, that's because of the wage revision that kicks off every 5 years for public sector banks. So we have started taking provisions for that in the last quarter and in the December quarter also. So that is a new thing which has got added. Secondly, there is -- as per the service conditions, depending on the increase in the operating profit, employees are eligible for a performance -linked incentive of some days of the year. So that again has been factored in this time in this quarter's results.

So both these are new things which have got added in this quarter because of which you would probably see a little bit of increase in the employee expenses of the staff cost for this quart er. But for the year, if you see the 11.5% increase , the net of these 2 being the one-off expenses or the expenses that have come this quarter itself, and the increase is only 5%. So that way, we are very, very well contained as far as the empl oyee cost increases are concerned, and we see that being able to be maintained. And going forward, since now we have started the provisions on the wage increase, et cetera, and PLI also has been taken into account. So that's also baked in for the future, for the coming year also. So any abnormal increase, won't happen now.

Sanjiv Chadha: Slippages. Khurana Sahab.

Ajay Khurana: Regarding slippages and recovery. If you have seen our overall whole year, 10,100 is our total recovery as against INR 8,100 our total slippages. And in fact, the recovery in written off accounts has also increased substantially around 27% from the last year. So going forward, the trend is going to remain the same. Our recovery will be -- that is what is the guidance recovery will be more than the slippages. And also the recovery in written off account also will be almost a similar amount. And as far as NCLT and NARCL is concerned. NARCL, as of now, our -- there is no account we got settled in our bank in '22 - '23. So '23 - '24, there are 5, 6 accounts, which are under process. The process, which includes even the other ARCs also because of method it has to run through. So we are not sure that how many accounts are going to -- actually going to NARCL as of now. This is the status.

Moderator: We'll take the next question at the back.

Ni

tin Aggarwal: This is Nitin Aggarwal from Motilal Oswal. A few questions. One is around the loan growth. You talked about that FY '24 can be relatively moderate in terms of growth. But FY '23, we have already grown like 5% higher than the system. So do you want to talk about as to what levels of growth are you looking at in FY '24?

Sanjiv Chadha: So our sense is that the system growth might be about 12% to 13%. We would want to make sure that if it is possible, keeping the other 2 metrics of underwriting standards and margins in perspective, we might want to grow a bit faster than the system. So I think if the syste m is 12%, 13%, we might be 13% - 14% there or thereabouts. That's what we are as of now putting in our projections.

8 Nitin Aggarwal: All right, sir. And secondly, on margins, is it fair to say that margins have peaked out this quarter? And you can see the trajectory reversing from Q1.

Sanjiv Chadha: So I think what you are saying is probably correct, although let me also confess that this quarter, the margin surprise d me on the upside . But our sense is that we have the overall margin over 3.31% for the full year. And we have an existing margin of 3.53%. So even allowing for some moder ation, I think we should be able to protect our margins as far as the full year margins are concerned.
Nitin Aggarwal: Right. And sir, over here, if you can also talk about your international book yields and as well as the cost of deposits, overseas deposi ts, because there is a very big change that is happening quarter -on-quarter on both the aspects. So where do you see this settling somewhere and what is really driving this big move?

Sanjiv Chadha: So I think when we look at our overseas book, we look at it in 2 perspectives. One is, of course, in terms of how the overseas opportunities are in the context of the domestic market. Last 1.5 years, the overseas opportunities were more attractive. So we allocated more capital there. I think now possibly time has come when we're looking at in line growth. But as far as the profitability is concerned, the broad calculation that we have is, we have a net interest margin of 2% there, right? But our operating cost there is less than 20%, which means you are left with 1.6% post operating cost. Credit costs are negligible, right? And we have seen this right through. We have tested our portfolio in terms of interest coverage. We're very confident of that. So effectively speaking, you are ending up with an ROA, which is higher than the domestic book. So as the domestic conditions become more benign, there are more opportunities, particularly on the corporate side, we believe that probably on the domestic side, the opportunities are going to be as good or better. So we woul d expect in-line growth as far as the international book is concerned, but the international book for us is not margin dilutive at all.

Nitin Aggarwal: All right. And sir, lastly, we have been having a very strong asset quality. This quarter, we reported a very sharp decline in provisioning, so did we not think to make some extra contingent provisions this quarter because the ECL requirement will be taking in some time and even the troubled airline and the other exposures are there. So did you not think about making some extra provisions.

Sanjiv Chadha: If you have think, then we have to think also. But let me put it this way, I did again, I omitted to mention it. So this year, we have made INR 500 crore provision for the airline account, although it is a standard asset for us. So we normally do not discuss specific accounts. But in this case, there is

an NCLT filing. So there's information in the public domain. Apart from what is guaranteed by the government, our exposure is about INR 1,300 crores. And we hold again tangible collateral security, not primary security. Primary security coverage is full. We have tangible collateral security and corporate guarantee, which is nearly about INR 1,000 crores, so we have made sure that we are more than well provided for any possible downside as far as that account is concerned. So we have taken your advice. Thank you very much.

Nitin Aggarwal: And do you also want to clarify the ECL provision requirement number also?

Sanjiv Chadha: So I think that's something which is still in the realms of future RBI dispensation in terms of what do you calculate, how do you allocate provisions, whether you can hold them and then 9 draw upon them when the requirements come in? So we shall wait for that. But let me just put it this way. So in our view, the normal cycle credit cost should be about 1% for us, right? As of now, we are below that. I believe that whatever ECL requirements might be there, we should be able to absorb them within this figure so that the current trajectory of profitability that we have that remains intact.

Moderator: Saurabh had a question.

Saurabh Kumar: Just one question. On the subsidiary business, there was some news that you are looking to do something with the credit card business. Can you talk about that?

Sanjiv Chadha: So Joydeep?

Joydeep Dutta Roy: So the credit card subsidiary, I think we have started a process to get in some investors. We're looking at both strategic as well as financial investors, who could add value to the company as it moves on its growth path. And I think the company has been doing pretty well over the last 1 or 2 years, as you would have seen. And in the last year, I think our credit card company in terms of growth, registered the highest growth in the industry, among all the credit card issuing banks in terms of growth percentages. So its growth rate was somewhere around 76%, but as industry average was maybe just around 14% or so. So that's the growth that the company has shown. And in terms of the investor process, I think we are in the midst of the process. We have got a fair amount of interest from the market. There have been some investors who have applied. We are going through the diligence process . Our data room has been crea ted where the financial and the legal diligence, et cetera, are going on. And after completion of that process, we will probably be able to announce the investor. Thank you.

Moderator: We'll take a couple of questions from Zoom, Mahrukh, you had a questio n.

Mahrukh Adajania: Sir, congratulations to you and your team on a very strong set of numbers. Sir, just had a couple of questions. Firstly, in terms of your personal loans, of course, that portfolio has done very well in terms of growth. But are there any niche segments or niche areas that you cater to? Of course, I am looking for the breakdown between salaried and non-salaried, but even within that, if there's any particular geography or any segment of customers that you would be targeting because this is a very competitive segment already?

Sanjiv Chadha: So thank you, Mahrukh. Thank you for joining us. So I think for us, this is still a portfolio, which is in its infancy. So the Bank had invested again in a data lake, some years back. Now we are able to put all that data to use to identify the right customer and also to determine the kind of exposure we might want to take on that customer. So it is pretty much driven by d

ata analytics,
which takes into account everything, including, again, the profile in terms of employment, the kind of transactions that you have, et cetera. For the moment, again, we are fairly satisfied with how this portfolio is performing. I think if you would look at the analyst presentation, you will find one data point which might be useful that if we look at NPAs in the home loan segment, they are about 1.5%. Currently as we speak, we do acknowledge that this is a growing portfolio, not fully seasoned but currently, as we speak, the NPAs there are about 0.89% odd. So for the momen t, the portfolio is performing very well. And our loans are limited only and only to our existing customers, who have their accounts with us as we speak. As the account aggregator opportunities presents itself, we might want to go beyond our customer base. But in terms of our own customer base, to my mind, there 10 are enough opportunities for growth in the next few years. So for the moment in terms of customer profile, all of these are BOB customers, and our choice is based upon the analytics that we derive from our data lake.

Mahrukh Adajania: Okay, sir. And I just had one more question. On this particular airline account, was it in SMA category in the previous quarter because you talked about a stress group in the previous quarter.

Sanjiv Chadha: So I think, to the best of my knowledge, there were no irregularities in the past. But the fact is that I think all of us are aware that this sector has been under stress. There are some airlines, which again are either backed by a large group or again, our market leaders. So there were some vulnerabilities that we were aware of. But I think the current challenges have come in some ways, from circumstances, which actually go beyond our market. I think the company has gone on record talk in terms of engine availabili ty and those kinds of issues.

Moderator: Rakesh Kumar, if you can please unmute yourself.

Rakesh Kumar : Sir, just a couple of questions. One is relating to a couple of notes of accounts there. And just to reconfirm, what is the total standard stressed account number that is INR 10,000 crores approximately.

Sanjiv Chadha: Yes, I think, Khurana Sahab?

Ajay Khurana: Yes, INR 11,000 crore.

Rakesh Kumar : INR 10,700 crore approximately.

Ajay Khurana: Yes, it is INR 11,000 crore.

Rakesh Kumar : Okay. And the provision thereon is 10.7%, sir? Provision outstanding on those standard accounts?

Ajay Khurana: Those standard account provision, total provision...

Rakesh Kumar : No, the stressed standard account provision is 10% -- around 10.7%?

Ajay Khur ana: See, are you talking about restructured account or the standard stressed account, SMA? SMA, we do not provide anything.

Rakesh Kumar : No, restructured numbers, what is there in the notes of accounts, couple of notes accounts. So there, the outstanding provision is 10.7%, just to reconfirm, sir.

Ajay Khurana: Total standard provision is INR 5,800 crore.

Rakesh Kumar : So excluding the provision for the standard account, the provision?

11 Ajay Khurana: It is all inclusive. All inclusive, accounts, which are standard, and the provision is INR 5,800 crores. Specifically, for SMA, we do not provide any account -wise, no provision is provided.

Rakesh Kumar : Okay. And secondly, sir, referring to the notes accounts number 15, there is a lot of reduction that we have seen from Q2, so similar notes of accounts, number 15 in Q2 and for Q4, there is a lot of reduction that we have seen in the exposure. So do we see further reduction in that number, the stre

ssed account number, which was under resolution? And what is the impact of this reduction on the interest income line in this quarter?

Ajay Khurana: No. As far as restructure is concerned, restructure our book is reducing. Last year , it was INR 18,500 crore last quarter. This quarter, this is INR 16,000 crores. Overall, the stress, which was 4.67%, other than NPA, it has been reduced to 2.97%.

Rakesh Kumar : Correct, sir. So we see that there is a lot of reduction in the provision also that we have seen. So is there any impact on the interest income line also of this reduction?

Ajay Khurana: No interest income because provision is here , these are all standard accounts and interest is booked, so there is no risk of any impact on interest income.

Rakesh Kumar : Correct. Okay. Got it, sir. And sir, on this wage revision thing, like a total provision outstanding is only INR 500 crores. So we have made an additional INR 300 crores this quarter. That's it.

Ajay Khurana: Yes.

Moderator: Thanks, Rakesh. Who else has -- I think right, there.

Unknown Analyst: Hats off for an excellent performance to the whole team. A couple of things. In fact, you answered most of the questions. A few things on this wage revision, which comes every 5 years, you mentioned you have made a provision of INR 800 crores. What is the expected hike? And when is the agreement going to happen, if you can give an indication itself?

Sanjiv Chadha: So I think, Lalit, possibly? This toughest question goes to the new est ED.

Lalit Tyagi: So it goes like that. So there is one calculation, which goes into mind as what was the percentage in the last hike and what are the expectations going forward? That is one. The second one is that the provision, which we have booked in this financial year is for the 5 months only because the wage revision is due from first November 2022. So going forward, as the discussions progresses, we may build in the incremental provisioning as the discussion with the industry progresses. But as of now, we believe that we are adeq uately provided in terms of the anticipated wage hike.

Unknown Analyst: What was the last increase 5 years ago?

Lalit Tyagi: It was, if I am correct, around 15%.

Unknown Analyst: Okay. No inflation coming down, possibly it could be lower, right?

12 Lalit Tyagi: It's difficult to conjecture on that point.

Unknown Analyst: Sir, next is very excellent deposit growth rate 15.1%. What do you expect in the coming year because sustainability is the key here, advances is very easy to give, and what is the cost trends for the deposit growth?

Sanjiv Chadha: So we are conscious that we might be coming towards the end of the rate increase cycle. So we have tried to make sure that the incremental deposits are such that they can, again, get repriced should the interest rate cycle turn. So most of our deposit growth which has happened, CASA apart , has come from deposits with a maturity of 399 days, which is a flagship scheme, where we offer the highest rates or lower, which means that even if the interest cycle were to change, we have not tied ourselves into a scenario where we might, again, find that loan yields are coming down and deposit yields are stuck. So we have enough flexibility built into the balance sheet.

Unknown Analyst: So the number for the deposit growth ahead, some kind of indication.

Sanjiv Chadha: So I think for us, we would expect that again, as a general proposition, you would want to fund your loan growth entirely from deposit growth. This year also, despite the fact that deposit growth was challenged, rupe

e to rupee, our loans have been funded entirely by incremental deposits, and that's what we would want to continue, which is why you find that the domestic CD ratio, despite the tightness in the market, is just 75%, and there's enough room for growth there.

Unknown Analyst: On this airline account, which we mentioned, we have been very ultraconservative. In fact, you gave the number. And being a standard account, and in fact, the industry is doing well. Now looking at a worst -case scenario, what the company says, there are a lot of collaterals you mentioned, corporate guarantee, of course, is difficult to implement but this collaterals and land. What will happen is what you have provided, ultimately, it'll come off in write - backs and recover ies with the actual profits in the coming year, right? These collaterals they have, what is the time frame it takes to monetize this collateral because they're talking about land, primary land in prime areas, like Worli, plus extra, you may be having speci fic known to you. What is the time frame to monetize this thing? Particularly the real estate cycle is very good now.

Sanjiv Chadha: Yes. So I think that's a hypothetical question. But from our perspective, we just try to make sure that whatever is the downside since you have room to make provisions, you do that. If this account had not been there, we probably may have made a general provision anyway. So it's really, again, so why our credit cost at 0.53% today. It is because whatever you could anticipate for the future, you took care of it in the past. So that's what we continue to do. But in terms of specific recovery cycles, I think that might be possibly a too detailed discussion for this quarter, okay?

Unknown Analyst: Now lastly, on a very important subject of ECL, which was raised. Now some of the banks – this is a very sweet spot in the cycle with very low credit cost. It's the best time to make provisioning, and RBI is making us ready for it. Although they had prepared us several years back and asking, regular financial models from us compared by IFRS 9. Now other banks, like Bank of India, Can Bank, Union Bank have given us a number to ponder. Now if you can also be transparent and share the number based on the models you have been report ing. Although we know we are the best bank compared to all the banks, and we have been doing accelerated provisions, including some 13 account we mentioned. This is excellent provision. But number, again, given the number, so what we have prepared for, that transparency we expect from you.

Sanjiv Chadha: Normally, we would not give this number. You praised us so I can't refuse so I just hand over question to our CFO.

Ian Desouza : So we believe it's a bit premature to come out with a crystallized number because the regulations itself are in discussion with RBI. As you're aware, there's a discussion paper out. Banks have responded to the discussion paper. But I'd like to make 2, 3 points and attempt to answer your question in a different way.

One is if you look at our overall financial from an asset quality perspective, you would see NNPAs have been steadily declining. They are about 0.89% is the NNPA ratio. So the un-provided NPAs are very low. Secondly, in terms of our provision coverage is around 92%. And thirdly, the stress book, which is the SMA CRILC 1 and 2, where your ECL will actually hit you is at all-time lows at 0.32 basis points.

The other thing in terms of restr ucture d book is around our standard restructured book is around 1.5%. So these are all elements where your ECL will push

and create pressure. So all these elements,
I think, are working well and should track better. And having said that, maybe our number, it's an estimate right now would be in the range of 1% to 1.5% of loan book at this juncture.

Unknown Analyst: Okay. This is really very good. I have one point on this, I'll just add. You're having consultation with RBI on that. No, there are lots of thoughts, which are coming on IFRS 9, ECL and the secular -based system. Now we are moving forward from a secular -based system to a principal -based system. But we should have clearly one, secular -based system is working very well or that IFRS 9 ECL. But if there's a thought process of a hybrid system, which has not been implemented anywhere in the world. So there should be one system. I feel if you do that, it will help a uniformity across the system and wishing you all the best.

Moderator: Thank you, sir. There in the second row. There's a..

Sharath Chandra : Yes. This is Sharath Chandra, Investment Adviser. Good that this year has been extraordinarily well. Your deposit growth has grown at 15%. Your bulk deposit rates, I don't know whatever they are, you have been able to grow at 65%. Credit, obviously, you have been able to match the industry. You showed comparison about industry and how your growth has been better. Now looking as a shareholder with a longer -term perspective, in the last 10 years, a full decade, your return on equity has been low-single digit. This is the first time that you have shown 15% return on equity, which is our expectation because as a risk capital holder, I expect a higher rate of return vis-a-vis my fixed deposit rate.

So I would like to ask you, why are you running after growth? Because bulk deposit at 65% growth is basically to match your credit growth. Why don't you just be more choosier about what things I will lend and what things I will not lend? And can you tell me that has the Board discussed and probably the management team has discussed is target return on equity, which you have in mind because if that is not in mind, this is a good period. And so that's how you've made good money. And so that's why the stock price has gone up and it's first time trading at more than 1x price to book. If you can
14 tell me if there is a target which you have set in, what are the cultural and structural changes which has happened in the last couple of years in the bank that I'll be confident that you'll be able to maintain that double -digit return on equity. Thank you and all the very best. Apologies if I have been slightly blunt.

Sanjiv Chadha: No, not at all. I think, you're most welcome. So I think in terms of the mandate from the Board and also what we have been guiding, the mandate from the Board is that we would want to insulate the Bank from the cyclical development that we have seen, which was, as you said, responsible for extended period where returns were subpar. And if you were to go back and see what produced those subpar returns, it was largely the corporate credit cycle. So today, the corporate credit cycle is very good. It is working in our favor, but there's no doubt it will change again.

So as a Bank, what you can do is you prepare for the next cycle by making sure that you are less dependent on corporate loans as compared to what you were. So our corp orate loan book used to be 47% - 48% of our book , to date it is down to 43%. So we believe that before the next cycle comes, if we can have a more balanced portfolio, then the kind of challenges that we saw the last time around, they are likely to be addressed. So

that's number 1. Number 2, again, in terms of growth, we
actually started again in my opening remarks by saying that for us, priority number 1 is underwriting standards; number 2, margins; number 3, growth. And we do not chase growth , which is why in the corporate book last year, we had a growth of only 5% because the conditions were not conducive to having growth with margins.

Third, we never take a growth target for the year. But also in my opening remarks, I mentioned that we will like to grow at industry or better, right? So maybe 1 or 2 percentage points more than that. So you try to make sure that you are not setting yourself targets where, as you said, by chasing your targets, you end up in a situation that you had not bargained for.

And in terms of the changes that have happened in the Bank, which should give us confidence for the future. I think, first of all, is the technology piece, which I think where the Bank over the last few years has emerged at par or better than probably any other bank, and we had some metrics that we spoke about . The second to my mind, apart from technology and more importantly, applying that technology again to do business is really talent. That is what distinguishes one bank from the other.

And I can say it without hesitation that this Bank, public and private sector, included, is the best example of a bank, which is able to attract quality talent, retain it and use it to build businesses.

Particularly, I think the biggest risk for any bank is the CEO, right, even if I say it myself. And how do you mitigate that risk by making sure that people like the Chief Risk Officer, again, are experience d, they have industry standing, and they can give advice without hesitation. But today, as we speak, our Chief Risk Officer is a market professi onal with enormous experience. Our Chief Financial Officer, again, is a market professional with an enormous experience. So we have tried to build a team, which can insulate ourselves from this cycle, but we welcome any feedback, and we believe it will help us become better.

Sharath Chandra : -- target.

15 Sanjiv Chadha: So as you said, you give targets again and you get into the trap that you outlined for us, right? But we will try to make sure that we outperformed the market. We bow to market conditions, but we believe in any market condition, we can try to outperform the market.

Moderator: Thank you, we will take last couple of questions , I think Saket Kapur is online, Saket if you can unmute yourself and ask your question.

Saket Kapur : Sir, you spoke about the net interest margin for the next year to be in the trajectory higher than what the average for this year was. So we are looking for a band above 3.31%, and it will be lower than 3.6% that we exited for this year, that should be the number we should work for the next year?

Sanjiv Chadha: Yes. So I think what you are saying is correct. We believe that the 3.31% average NIM that we had, we should be able to protect that, which means we should end up there or maybe a little better than that, and we do believe that the 3.53% exiting NIM that we saw gives us a little bit of room to, again, make sure that we can absorb a moderating interest margin regime.

Saket Kapur : Okay. And sir, on the ROA front, sir, wha t should be the trajectory, we exited this year with 1.34 annualiz ed number for the quarter and 1.03 was for the year, so what should be the ROA trajectory?

Sanjiv Chadha: So I think we had guided that we would want to hit a 16% ROE and a 1% ROA in '23-'24. We have hit that one year in advance. Now we believe we should

be consolidating around those
levels. So I would believe that our guidance continues to be 1%. And as a consequence, the ROE, which is as of now about 18%.

Saket Kapur : Come again, sir. I missed the number, sir, what it should be?

Sanjiv Chadha: 1% and between 16% - 18% ROE depending on what a capital base is.

Saket Kapur : Sir, now for your equity investors, sir, I think so the dividend payout is also significantly higher. Thank you to the Board for declaring a dividend of INR 5.50 per share. Could....

Sanjiv Chadha: I hope I'm speaking to analyst, not a shareholder.

Saket Kapur : I'm a shareholder.

Sanjiv Chadha: Okay. Both hopefully.

Saket Kapur : Sir, no, sir, I'm a mere shareholder, but I'm trying to learn the language and the terminologi es. So the moot points as an investor, I would like to understand, firstly, sir, in the current banking cycle from where the NPA to the cleaning up exercise and now with the credit cycle and the higher interest regime, what should investors look forward in terms of they being investing in the equity of the bank, particularly Bank of Baroda in particular because these stock prices have not been the normal course. We have not seen these prices for a very long time. So how sustainable are your earnings, what is the quality of the number that will continue so that investors can contain with remaining invested. Am I connected, sir?
16
And sir for the ECL point also, sir, I would just like to understand, sir, what should investors keep in mind when this ECL implemen tation has been spoken about. There is a lot of ifs and buts about it. If you could just give for the benefit of investing communities. There's some basic understanding of what is this all about, and these were the only points.

Sanjiv Chadha: So thank you very much. I think from our perspective, we believe that as far as the banking environment is concerned, it is very benign, and we should continue to see good returns from banks as we move ahead. Speaking of Bank of Baroda, I think, while, of course, we benefit from the broader conducive environment, as I mentioned in my opening remarks, there are some special circumstances, which make BOB again, a particularly good investment. And the key differentiator as far as BOB is concerned, is on the cost side, whe re we have been able to contain our costs far better as compared to our competitors. So therefore, I think there's a delta, which is available to investors in BOB, which should give them confidence as far as the future is concerned.

As far as ECL is conce rned, to my mind, given where we are in the cycle, and particularly, the corporate credit cost cycle is likely to sustain for the next few quarters and years. I think this has got implications which are, again, very positive, both in terms of the historica l book to also in terms of ECL, in terms of the historical record on which losses might be estimated. So I think we should be able to continue to report decent profitability numbers, notwithstanding whatever guidelines come in from the RBI in terms of ECL.

Moderator: Thank you. I'm sorry, we'll have to close now. It is 4:30...

Sanjiv Chadha: I think there’s one at the back

Sushil Choksey : Congratulations to team BOB for an excellent performance. Sir, we've done a lot of transformation, whether it is digitization, human resource and we are reaping rewards today. You highlighted that we are touching a few numbers of customers from our existin g base where all the loans are concerned. So if you can highlight a little -- elaborate that 5%, 10%, having reached the capabilities far higher. Se

condly, a lot of facilities with BOB started over a number of years, led to this transformation. So without getting into details, can it lead to a subs tantially higher income within Bank. Second thing, we are doing a lot of digitization where SME loans up to INR 1,500 crores are concerned and most of the PSU banks have lost their market share in the last 3 years in that business segment. How are we reenergizing that BOB captures those loans back from private sector and our earnings get better?

Sanjiv Chadha: So thank you very much. So I think in terms of the capabilities in the bank and what that -- how that could actually translate into better earnings and revenues. First of all, I think, as you very correctly have said there have been a lot of investments that happened in the Bank, not now, not in the last 3 years, but over the last 5-7 years, which actually are paying dividends now. Among them, I would again like to highlight two. One was, again, the investment that we made in creating a data lake, which we have been able to leverage now. If we had not made the investment then, there's no way we could have prod uced these results today.

Similarly, again, investments we talked in terms of the fact that in the physical footprint, manpower, we are efficient and able to contain costs. That again was because the Bank had the foresight and 17 the management team then had the foresight to, again, invest in a shared services company, which again is taking a large part in terms of making sure that we are efficient and our expenses remain under control.

In terms of the upside of what we are doing, I'll just give you the example that today as a proportion of our loan book, unsecured loans are probably just about 2% or there or thereabout about 3%, right? About INR 25,000 crores as against the loan book, INR 9 lakh crores. Now the correspo nding figure in SBI might be 5-6x higher because SBI was able to start that very many years before we did. So that is again an upside, which remains unexplored as far as we are concerned. So there's still a long runway, which is there in terms of, again, reshuffling our book, making better margins. So today, we have a 3.6% domestic NIM, but that is despite the fact that, a, the credit card business sits outside the bank; and two, the unsecured loan book is far lower as compared to some of the competing banks. So these are upsides, which are still there for us to explore as we move forward.

Third is, again, what you alluded to in terms of technology, which has now been brought to bear, mostly on the retail book. But in terms of it having a transformative impact on MSMEs that is still to play out. We have started doing that, but that is still, again, something which we are targeting relatively smaller micro MSME loans. Now for us to move that to the mid-segment, again, is an enormous upside that is available to the Bank.

Sushil Choksey : Sir, my next question is based on the global market outlook and domestic outlook, which RBI and the government is saying, the interest rate cycle you already highlighted. Do you anticipate that the loan book growth, what we see with the view of election next year would be more front -ended in the current year first half rather than the second?

Sanjiv Chadha: So tough to say. Maybe again, we have our Chief Economist, Madan there. He has been sitting quietly for a long time. Maybe we can ask him to give his views.

Madan Sabnavis : In fact, for the current financial year, we are looking at overall credit growth being in the region of around 11% to 13%. If you're asking whether it's goi

ng to be loaded in the first half
or in the second half? Is that the question? Yes, we would tend to believe it will happen more during the second half. The reason being that both in terms of the consumption cycle as well as the investment cycle, whatever turnaround is going to happen, it's going to happen more likely in the second half. Okay?

So that's when we would see the demand for credit really picking up, if at all, I mean, when we are talking in terms of one half being better than the second half. So therefore, it will be happening more in the second half. This will be based on the assump tion that when we are talking of consumption increasing because probably of a good monsoon that is the basic consumption, which you're making, there will also be good rural demand coming in. So as your consumption increases, there'll be higher capacity utilization, which in turn will generate greater demand for investment. That's how bank credit would keep increasing. So it will be more in the second half rather than in the first half.

Sushil Choksey : We have a lot of news about our credit card, insurance and other related services about IPOs. RRB also being spoken about. Anything we are likely to monetize partnership in the credit card, I understood. But the other wings?

18 Sanjiv Chadha: Joydeep?

Joydeep Dutta Roy: So I think on the life insurance subsidiary, we are on the path of an IPO. We have received the DRHP approval from SEBI in March. We have a 1-year runway to get it on the IPO. But of course, given the conditions in the market, et cetera, we are again seein g when is the right time. So we will be taking analysis of what is the right time to enter the market and then we'll go for the IPO in the insurance side. BFSL and Nainital Bank, I think the processors are on for getting a partner into both these entities. And I think we should be shortly seeing some positive results there also. So that's on the monetization side.

Moderator: We will request our Chief Financial Officer...

Sanjiv Chadha : At the end, one more, I think, we can...

Ramesh Bhojwani : Sir, Ramesh Bhojwani from Mehta and Vakil. 2 important things. One, today, the wholesale price inflation has fallen to negative, and the retail price inflation has come down to 4.9. And RBI on June is very likely to announce a rate reduction, maybe 25 basis points, if not 50. And if we have a good monsoon, this reduction of rate cycle will continue going forward. In this situation, how is the Bank looking at the overall rate cut scenario, number one. And the second question is little elementary or little away from this. Sir, no bank has taken steps to reevaluate their assets, which are long -standing in their books when they were made. Are we looking at revaluation of our assets?

Sanjiv Chadha - Managing Director and CEO: So I think the first question, I'm not sure whe ther June is the time when there might be a cut, maybe Madan can talk about that. But you're right that we probably are again at that inflection point where the cycle is going to turn. And it's a very relev ant question, how are we, as a Bank, prepared for that cycle. Now this is something we have been acutely conscious of when we were constructing our liability portfolio. So today, the major part of the incremental growth that we have seen in our liability book that has come from liabilities, which have tenors of 399 days and below, right? So which would mean that should the interest rate cycle change, we are very well insulated from any adverse impact on our book, right? So the second part again was, I'm sorry, just lost th

at.

Unknown Analyst: The revaluat ion of assets.

Sanjiv Chadha: Revaluation, I think that's something the CFO can, along with his thank you, maybe he can address the question.

Ian Desouza: So, like all the organization, you mentioned, we do have a policy for that, and we do it once in three years.

So coming to my closing remarks. Thank you, everyone, for coming for our in-person session. It's not always easy to travel in Mumbai. Thank you for being here. And look forward to seeing you again in the next quarter. Thank you so much.
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Bank of Baroda Media Conference for Quarter ended 3 1st March 2023
16th May 2023

Participating members from the Management Team of the Bank
➢ Mr. Sanjiv Chadha, Managing Director & CEO
➢ Mr. Ajay Kumar Khurana, Executive Director
➢ Mr. Deb adatta Chand, Exec utive Director
➢ Mr. Joydeep Dutta Roy, Executive Director
➢ Mr. Lalit Tyagi, Executive Director
➢ Mr. Ian Desouza, Chief Financial Officer (CFO)

Moderator: We have with us Mr. Sanjiv Chadha – Managing Director and CEO of the B ank. He is joined by the Bank's E xecutive Director and the Chief Financial Officer. We'll start with brief opening remarks by Mr. Chadha, and we have a short presentation, followed by the Q&A session. Over to you sir.
Mr. Sanjiv Chadha: Thank you very much Phiroza, and a very warm welcom e to everybody here. Very grateful that you have been able to make it and join us. So, let just begin by introducing my colleagues.
To my right we have Mr. Ajay Khurana - Executive Director who i s in charge of Retail Banking. To his right Mr. Lalit Tyagi who looks after International Business and most of our platform function s, including Risk & Compliance.
To m y left is Mr. Debadatta Chand, Executive Director in charge of Corporate and Treasury, and ou r Managing Director designate. To his left we have Joyd eep Dutta Roy who looks after Digital, IT and also all our subsidiaries and to my extreme left we have Mr. Ian Desouza, our Chief Financial Officer.
So, I'll just take maybe about 7 -10 minutes max of your time, and then we'll open it to questions .
Modera tor: Show the PPT please.
Mr. Sanjiv Chadha: So, we did, for the first time this quarter, declare the number in terms of business in advance, immediately after the quarter ended. So, you would be familiar with them. But just to refresh your memory, and to bring both, the business numbers and the margins in context, I'll start with the business numbers that you see before you. So, we have been guiding that for us, in order of priority, the most important is underwriting standards and credit quality. Thereaf ter, margins and thereafter, growth. We'd also guid ed at the beginning of the year that we believe in this year it should be possible to not only have a margin, but also to get growth . So, we are pleased that at the end of the year, we have growth which ha s been good, better than our guidance, and also better than the average for the industry.
If you look at the advances in particular, they have grown very handsomely. The global advances have grown by 18.5% and international has been an outstanding perform er here growing by 30%. For those of you who have been following numbers in detail, would recall that international had grown by 40% towards to middle of the year. It has come down a little bit, and we believe that the trend should accelerate. The reason w hy the international book grew faster was, that last year, the opportunities of getting margins on corporate business were limited. So, we grew international more. Going ahead, next year we would believe that international would grow broadly in line with t he overall loan growth as we go ahead.
What is equally gratifying for us is that, in terms of the composition of growth, Retail is the one which is the standout performer for us, right thro

ugh the year, growing by nearly 28%
YoY over the full year. This i s something, which again, has been a matter of deliberate strategy and our board mandate. We have been guiding that it would be our endeavour, that is growth is X, we should make sure that our Retail growth is about 1.5X, and Corporate

0.7X. As you will se e in the numbers, the numbers have panned out exactly on that basis, which has meant that progressively, our balance sheet has become more retail oriented.

This, I think, will de -risk the balance sheet as we go ahead also, because relatively speaking, the proportion of retail was low for us. The second part is, even if you look at delinquencies, delinquencies have been the lowest in the Retail segment for a long long time. So, this also means that if you were to look ahead, the asset quality should also imp rove as the composition of the growth changes.

If you look at Retail growth, again, it is very diversified, and each of the segments is growing pretty fast. That's again a matter of much satisfactio n, because we recognise that there are cycles. There may be times when some segments growth is fast, but you have all cylinders firing, you can be much more sanguine in terms of the fact that the growth is sustainable. The slowest growing segment is really mortgages and home loans, which is again at 18% plus. An d, some areas like retail personal loans, continue to grow extremely fast at 100%, that's at a relatively low base. But nevertheless, it has now become a size where it is contributing to margins very handsomely.

If you look at the last quadrant, you'll f ind that the growth in disbursements is even quicker, which again augurs well for the longevity of this growth. Next slide.

Deposits has been a challenge for all of us this year. Here again, the B ank actually has outperformed the market by a significant ma rgin. And equally importantly, the difference between deposit growth and loan growth , which for some B anks has been a proportion of 2:1, is marginal for us. Deposits have grown by 15% against a loan growth of 19% odd. This means that, if you look at the C D ratio at the end of the year , and the material CD ratio is the domestic CD ratio, because that is driven largely by deposits as a resource, unlike international business where you actually raise MTN and the like to fund the business. So, domestic CD rati o, even at the end of this year, is just about 75% w hich means, there is plenty of headroom for us to grow our loans without being constrained by deposits , in any manner whatsoever.

The international growth, again, has been funded almost on a 1:1 basis by deposits, which is remarkable. So, you'll find that the CD ratio in international has remained constant through this period. Domestic CASA, again, has grown by about 8%, which might be system or little better than that, and term deposits growth has been f aster, which is completely understandable when rates are picking up, because the differential between the savings rate, which is sub 3% and the term deposit rates which move up to 7.5 -8% is very substantial, and even lazy people like me, might want to move their deposits from savings bank to term deposits. Next slide.

So, if we were to now compare our growth with industry, just in terms of numbers, what we have done is, we have compiled the results of all the banks which had declared their results up to yes terday, and you find that we have outperformed the industry significantly. Again, you might recall our guidance, that it is our endeavour to make sure that we grow at industry plus. We don't target a particular number in terms of growth, but we are very ve ry keen that we protect our market share, and we have, again, outgrown the industry by a substantial margin, when it comes to schedule commercial banks. So, the middle slide is the

top 8 banks, pub lic and private sector. The slide on the side is all banks. So, I t

hink the

outperformance is significant there. Next slide.

So the good part again is that we have been able to protect and improve our margins along with growth. As I told you, for us in order of priority, margins come first, growth comes later, and therefore, again, the margins are something which actually have improved. In some ways, the margins have been a bit of a surprise for me. You might recall, when we had met at the end of the last quarter, my own sense was that, now that the lag between the deposit pricing and the loan pricing is gone, we should find again margins stabilising. But, we actually have been surprised by the continued improvement this quarter also. While some banks actually have reported a sequential decline in margins, we have s een a very very smart uptick in margins this quarter also. Next slide.

So again, if you see the margins compared to the industry, just to put the numbers in stark relief, so our margins sequentially have grown by 16 bps as compared by industry, again top 10 banks, private and public sector by 4 bps. Similarly, the NII expansion is also substantially faster as compared to our peer group. Next slide.

This is the quarterly profitability. So, as a consequence of the smart growth and also the margin improvement, profitability again has shown a very sharp improvement. And for the quarter, you'll find it in all operating metrics, whether it is Net Interest Income, Operating Profits, Profit Before Tax, Profit After Tax. We actually have had a record quarter by some margins. The Profit After Tax is about 4,800 crores, which again, given that we are exiting the year, gives us some comfort in terms of how the next year might be for us. And, the Operating Profit also, that is up significantly, and even again as we see, Y oY by 20%. So, the uptick that we see is derived from very very strong growth and operating metrics.

This is the annual profitability figure. So, we ended up with a Net Interest Income growth of

28%, Operating Profit, as I mentioned, 20%, and PBT and PAT again are up by a very handsome margin, Profit After Tax by nearly 94% at 14,000 crores, which for us, by a very very long margin, is best we have ever done. And we see, in terms of ROA and ROE, it translates into very significant numbers. Next slide.

So, if you were to compare us again with the industry, here again you'll find that almost in every metrics, we are outperforming the industry, including again, Operating Expenses. I think this is something which is really significant for us. I think we are on e bank which have not grown our physical footprint. In fact, it has substantially shrunk as compared to 3 years back. Our manpower numbers are also very well contained, which is why, consistently, the growth in Operating Expenses has been much lower as com pared to the industry. And, this, you might say, is still a bi t of an overstatement in terms of the Operating Expenses, overstated on two accounts. One is, that of course, the wage revision which happens once in 4-5 years for public sector banks. This quar ter was the first quarter where it was fully reflected. And then also, again, there are some other one-off expenses. But, even if we take this, I think we are pretty successful in making sure that even as we grow better than the industry in terms of reven ues, the growth in expenses is much lower as compared to industry.

The last piece, if we can just go back to the last slide, is of course, the credit cost, which is the single biggest determinant in terms of the performance of a bank. We had been guiding for a credit cost of about 1%. Again, we have surprised ourselves very pleasantly, and credit cost has come out at about 0.5%. W e have been guiding that while there were some residual challenges when it came to the MSME sector, but the benign corporate cyc le would far outweigh those challenges, and that is what has been borne out. In our view, again, th

e

corporate credit cycle continues to be very very favourable. In fact, if you were to look at our composition of balance sheet, corporate along with interna tional business is about 60% of the balance sheet. And, that is where we are seeing credit cost as virtually negligible. So, I think, this improvement that we see, we believe is sustainable as we move ahead.

This is the asset quality number, where again, we have seen consistent improvement right through the cycle, even during COVID. Now we have reached a stage where, because of the fact that credit cost is low, we are finding that NPAs have almost stopped growing. Which means that, even if you were to igno re any write -offs, the recoveries we are getting are more than the slippages which are there. Slippages have come down to about 1%, they used to be as high as 3%. So, I think in every way, whether you look at Gross NPAs, Net NPAs, Credit Costs, Slippages, in all metrics, the quality of the book is absolutely first rate. There is an additional metric which is there, which I think we'll discuss again, in terms of how the numbers look like in terms of SMAs, which would again tell us that not only are we curren tly in a very good place, but even if we can peer into the future as far as we see, we seem to be in a good place in terms of future trends.

So, this is again, what I was alluding to. You might remember that in terms of the CRILC numbers, they used to be pretty high, as high as 2% about 1.5 -2 years back. This has come down progressively a nd today stands at 0.32%. And, this largely is on account of the fact that we have put in again a very efficient collection machinery. We brought in a market professional who has built a very very efficient department, and therefore, you find that quarter after quarter, the collection efficiency is 98% and above.

Because of the improved profitability and despite the fact that the growth we have seen is record, we find that our capital ratios are better as compared to the beginning of the year. Let me re -emphasise that. When you are growing your balance sheet very fast, you would expect again, that you would need to go to the market for capital. But, what find is, that witho ut going to the market for capital, and despite paying 20% of our profit as dividends which we have, we find that the year end capital adequacy ratio is better than what it was at the beginning of the year. So, what does it say for the future? What is says for the future is, that we expect loan growth to moderate a little bit, as long as we can keep our profitability intact. We need not go to the market to raise capital. And which again, augurs well in terms of dividend capital for the future also.

The sec ond piece that I would want to draw your attention to, is the CET -1, which is the key ratio, and which is again, boosted only by profits or by raising of capital. So, without raising capital, and despite paying 20% dividend, there's been a 1 percentage poi nt increase in the CET ratio. This is something that we'd expect to continue as we go ahead.

This is again, in terms of our digital business. You might argue that if there is one single factor which has allowed us to grow our business at the pace at which it has grown, without

increasing the costs. I t is the c hange that has happened in the B ank through the digitalisation agenda. We are today the fourth largest bank in the country. But in terms of e - signing, which is the best proxy possible to the digitalis ation of the bank, we are no. 1. No. 1, including all public and private sector banks. Similarly again, if you are looking at other infrastructure usage, debit cards, fourth largest bank, second in terms of debit card issuance. So more and more, we are fin ding that we are able to service our customers very efficiently without depending solely on the branch network. The branch network will remain very important. But in terms of the ability

of the B ank to reach o ur customers without them
having to come to you , I think it has enormous benefits. Benefits in terms of costs, benefits in terms of customer service, benefits in terms of customer engagement, because normally, you depend upon the customer to come to you to a branch in order to cross -sell. But since you can now engage with a customer digitally through BOB World, you actually can engage with them on an ongoing basis.

So, these are the other milestones which are there in terms of what we have been able to do. And today, in terms of active customers, we hav e 30 million active customers on BOB World. So, that's something which is growing. Now, it is for us to see how we can leverage this connect with the customer more efficiently. To my mind, over the last 2 years, we have made great progress in achieving penetration of BOB World. But, in terms of using BOB World to sell to the customer, we probably have only scratched the surface, and there's a lot more which we can do with this instrument of customer engagement.

That's it! So good! Thank you very much.

Mod erator: We'll now open it up for Q&A. So, if anybody has a question, please raise your hand, we'll get a mic to you. I think Joel.

Mr. Joel Rebello : Hi Sir, I'm Joel Rebello, I work for The Economic Times. Your credit costs have come down, slippages were e xpected to come down. I think you mentioned in your presentation that it's sustainable because of your large corporate and international book. Can you please elaborate on what is the expectation going forward? Is this 0.5% really sustainable?

Mr. Sanjiv Ch adha: So, I think the point was that, if you see where we are in the credit cycle and where is improvement coming from, and for most banks, the corporate cycle is benign. For our international business, if you'd look at the last 2 -3 quarters, there were vi rtually no slippages. So, since in terms of our composition of balance sheet as compared to some others, it was, you might say, a handicap when the corporate cycle was adverse to have a balance sheet which was 60% corporate and international. Today, it's a n advantage. So therefore, it becomes a competitive advantage for us. We're not saying this is what we want to be forever.

We do recognise that cycles turn, and in the long -term it makes much more sense for us to have a more retail -oriented balance sheet. In fact, the composition, if you look at the balance sheet and if you look at the detailed presentation, you'll find that the percentage of retail has gone up by 2 percentage points. But, given where we stand in the cycle today, it is something that gives us enormous comfort and support when we look ahead at the medium term, that we can actually sustain this kind of credit costs or this kind of slippage ratios.

Mr. Joel Rebello : In the next 6 -8 months, do you think it will be at 0.5%? Do you think that there could be some increase in the cost?

Mr. Sanjiv Chadha: So credit co sts, we are, as of now, guiding should be sub 1% and we believe that should be the lon g-term structural rate for the Bank. That is what we are guiding and we believe that's something we can deliver.

Mr. Joel Rebello : Just a sense on your recoveries, because the drop in provisions, increase in credit costs has played a very important part in the results today, besides of course, the loan growth. So, just a sense on your recoveries, your u pgrades and what are the trends that you're seeing, if you can drill down a little bit on that?

Mr. Sanjiv Chadha: Khurana sahab,

Mr. Ajay K Khurana: This year, the recovery is of 10,000 crores and TWO recovery is 3,200 crores. And, our upgradation is more than the previous year, and we are expecting that , one is, overall our target is, our recovery and upgradation should be more than the slippages. So, if slippages are g oing to be controlled, this is of course, it will be a lesser one, but still i

t will
be more than that, is what is our overall target. Last quarter recovery? Overall slippages? 2,800 was the recovery, and 2,100 is the slippages.

Mr. Sanjiv Chadha: So effectively, the implication is that, even if there were no write -offs, the Gross and Net N PAs keep on down, because your recoveries are more than slippages, which is what Khurana Saab is guiding.

Moderator: Thanks Joel. Vishwanath, you had a question?

Mr. Vishwanath Nair : Sir, in one point in your presentation you said that the NIM as a surpri se, the NIM growth was a bit of a surprise. I'm just curious to understand where this is coming from? Is this your personal loan book adding to the margins, is it largely that? And the other part of that question is also that, there is going to be some amo unt of deposit rate increases still, right? Going ahead, you still have to raise deposit rates. How soon will this growth sort of normalise, according to you

Mr. Sanjiv Chadha: Why again it has surprised us is, because I think, in terms of the pressure for rate of deposit growth, I think it had eased a little bit. If you were to see announcements of banks in terms of deposit rate increases, there are not as many as you saw a couple of quarters back. The other part is, if you also look at the stance of the c entral bank, that also seems to indicate that we might be somewhere near the tip of the cycle. Third, apart from the pricing of deposit and advances, there are other levers which are there, which you cannot predict, again, because they depend upon the macr o economy. For instance, in our case, the fact is that, corporate loans, where there was a challenge in terms of pricing, now we are able to get much better pricing power. Also, we are able to grow the corporate loans much faster. The growth was about 6% I think, last year, now this year it's about 13%.

Third, in terms of the out pacing of the international book vis -à-vis the domestic book, that is something which is likely to dissipate. The international NIM today is about 2%, the domestic NIM is about 3. 6% in the last quarter. So, proportion wise, if the proportion of growth coming from international comes down, the overall Net Interest Margins ought to

increase. Fourth is, the point you made in terms of the unsecured personal loans, which again, is contr ibuting very significantly in terms of margins now. So, this year, the growth in unsecured personal loans, was I think at the odd of 15,000 crores there or thereabouts. So, 15,000 crores of unsecured personal loans will probably give you a Net Interest Inc ome which might be equivalent to maybe 50,000 crores of home loans. So, it's a very significant benefit that we are deriving from that. And, this is because the proportion is going up. And, this proportion is likely to keep on increasing over the next few years.

Fifth, it is on account of the fact that 60% of the book is priced at… sorry, 60% of the book is priced at 1 year MCLR. Now 1 year MCLR, you get the benefit of that for a full 12 months after the last rate increase, right? So, that is again, somethi ng which is likely to play out as we go ahead. So, we believe that there are some levers which are there, but again, the fact is that that major benefit that was to come from the lag effect is gone. Which is why, what are guidance was, we have been pleasan tly surprised. But we believe, that going ahead, margins growth will now moderate. The only reason why we remain optimistic is that, our full year Net Interest Margins is 3.3 odd. The existing Net Interest Margin for the quarter is 3.5. So, we believe that even if there's some moderation, we should be able to protect this 3.5 exit margin that we have.

Mr. Vishwanath Nair : The other question I had was with regard to your NBFC credit, and that's shown some amount of growth as far as the corporate book is con cerned. You've given the breakup of what is AAA and what is AA and all of tha

t, great! I just wanted to understand still, if this push to NBFC credit is something that is going to continue for a fairly long period of time, or is that something where you'll probably take a call in the coming quarters?

Mr. Debadatta Chand: See, NBFC as a segment has the intermediary business in terms of reaching out to customers where we aren't present. And, this is one way, but we're quite conscious of the fact that there is a percentage we need to keep in our book. So, in that way, we do have the risk metrics therein. It can grow definitely, but again, on the overall portfolio we need to be quite balanced. If you look at the last growth vis -à-vis the outstanding growth, the growth has been balanced. Yes, in NBFC the percentage is slightly higher, but in terms of other sectors of the industry, the growth has been fairly stable. So, it would continue, but not to the extent where you think that it would be slightly outpacing any other growth in any other segment.

Mr. Sanjiv Chadha: So, I think, as Chand Saab said, if you look at the detailed presentation, you'll find that the percentage NBFC loans to the overall portfolio is exactly the same at 13.7% odd. So, the stance remains that this is an important business, we would want to do that. But, we are not dependent upon this particular segment for growth. So, we want to make sure that it remains moderate, calibrated approach to NBFC lending.

Moderator: We have few people who have joined us on Zoom. If you have a question, please raise your hand on Zoom or type the question in the Q&A box, and we'll come to you. Anybody else? I think Ankur has a question.

Mr. Ankur Mishra : Hello everyone. Ankur Mishra from ET now. Sorry for my bad throat. I want to know about the lending growth. You have mentioned that there will be a

moderation next year. But given the fact you have also said that you are not looking to raise capital, how much of the loan growth is actually possible with the curre nt capital?

Mr. Sanjiv Chadha: So I think this year, as you might say the base case, right, so we have grown our loans by 19%, not raised capital. But nevertheless the C ET ratio has gone up by

one percentage point. So the corollary is that even if you wer e to grow at 18 -19% we can actually generate the accruals internally to fund that growth. Next year, I think the market consensus is that probably growth will be near 12 -13%, early teens. We would want again to make sure that we grow a percentage point two faster than that. So that takes us to about 13-14% range, which we can very clearly fund ourselves through int ernal accruals .
Mr. Ankur Mishra: Okay. Another question I wanted to ask about your exposure in Go First which, ever since the company has filed for insolvency, I want to know that have you already made provision for that. How are you guiding for that?
Mr. Sanjiv Chadha: I think my apologies, I had promised myself I'll address the question right at the beginning, so we don't have question on that . But I forgot that. So our stance always has been that we are proactive in taking any provisioning which is requi red, which is why you find credit cost has come down. Because we again identify issues in advance and make sure we take provisions. Now, norma lly we do not comment on any specific account. In this case we will make an exception because the company has made a filing and therefore again the re are figures which are public knowledge. So the company has indicated that they have exposure to BOB about 1300 crores. This does not count exposure which is guaranteed by the government. And of this exposure about Rs. 1000 crores is collateralized by way of tangible collateral security and by way of corporate guarantees, right? And we have in this quarter, gon e ahead and made a provision of Rs. 500 crores for this account, which means any potential downside has been fully taken to account and we are completely p

rotected as
far as this account is concerned.
Mr. Ankur Mishra: Thank you so much.
Moderator: Thank you. Hamsini?
Ms. Hamisini Karthik: Sir most of my questions would be around the pages 11 and 12 of your presentation. If I look at your deposit growth, bulk deposits on a Y -o-Y basis have grown up by about 60%. Retail deposit growth is in single digit, about 2 -3% or so. Would this change as a strategy for you all in FY24? And is that also another reason which helped you maintain NIM at around 3 ½%?
Mr. Sanjiv Chadha : So at the end of the day, your strategy, whether it is on the asset side or on the liabi lities side, is a function of market conditions. One is of course, that we tried to make sure that you calibrate the bulk deposit to what the market conditions are. So two years back, we were surplus in terms of liquidity, so we quickly paid down our bulk deposits. So the growth you now see is pretty much a replenishment of the bulk deposit figures that might have been there about a couple of years back. That's one.

Number two, as a strategy, we have tried to make sure that the current elevated interest rate regime does not compromise t he future profitability of the B ank. Now, how you can do it is through two ways. One is, you make sure that the term deposit growth is targeted relatively at the short end, so that sho uld there be a correction, the B ank is not hooked into a high interest rate regime. So our flagship scheme in terms of retail term deposits is 399 days, which you might see again on the posters. Now, that means that within one year you can reprice those deposits.
Similarly, bulk deposits by defin ition actually have tenure up to one year and you are able to get it at rates which are pretty much similar to retail deposit rates. So bulk deposits have been again a matter of conscious strategy because the maturity profile of these deposits suits us and the cost is also something that works well for us, which is why you find the margins where they are.
Ms. Hamisini Karthik: So is it a part of your ALM strategy then that you decided to grow your PL and Gold loan faster? Because these are short running bo oks. PL, I presume, has doubled in over a year, although on a very low base, relatively.
Mr. Sanjiv Chadha: Yeah. So again, actually for us, the home loan of course, is the core of the retail franchise. That's 70% of all retail loans, and unless you grow these quickly, you cannot grow overall. This was the Achilles heel for us. A year back we were growing home loans at 12 -13% and therefore that put a ceiling to our growth in retail loans. Now that home loans are growing at 19%, you can actually have a reta il organic growth at 27%. So that's strategy because that's core for us. In terms of retail personal loans, this was an outcome of the technological advances that we have been able to make as a B ank over the last few years. The fact that you actually have Bob World and you can reach out to customers without again, they coming to your branches meant that you can actually reach out to a far bigger body of customers. That's A.
Secondly, again, the B ank had invested in data lake quite a few years back. Now we have been able to leverage that data lake to again analyse a customer base and make offers to customers while making sure that although they are unsecured, the credit risk is something which is well contained. I think somewhere in the presentation, we have also given the delinquencies in our portfolio. Home loan NPAs are 1.5% as far as I recall from that slide and

in the case of unsecured personal loans, around 0.89% or something, right? So which means that you are able to have good margins, you are able to have, as you said very correctly, a favourable ALM profile and you also, again are having good growth there.
Ms. Hamisini Karthik: Last question sir. There is a little bit of trouble in the fintech space. I'd like to understand what

would be BOB's exposu re to fintech, both through equity as well as debt on a consolidated basis. Are you beginning to become a little prudent on your exposure to the fintechs as well?
Mr. Sanjiv Chadha: So I think we don't really have too much exposure to fintechs again at all as far as I'm concerned. But we do believe that fintechs are very important partners for us in terms of growth, and whatever challenges we have seen first in the NBFC sector and then the fintech sector, it means we have reached a modus vivendi where again , both partners,

the banks as well as fintechs know that the best option for them is to work together. So for us actually, in terms of a lot that we have been able to do, it is because of collaboration with fintech. Bob World became possible because of col laboration with fintech. Today, if we are able to have straight through processing in MSME loans or in retail loans, it's because we collaborated with fintechs again to get various data points. So we see it as a very collaborative cooperative relationship, which works well both for the fintech and for us.
Moderator: Thank you. Siddhi?
Ms. Siddhi Nayak: Hi Sir, Siddhi here from Reuters. Sir my first question is on the corporate loan growth. You said 13% was your year -on-year growth. Where are you seeing dem and coming from? What sectors are you seeing this demand coming from?
Mr. Debadatta Chand: The sectors are diversified in terms of , if you look at the slide that we have given in terms of the industry growth, it is fairly balanced. Sectors like road, some of the power sector, even chemicals is doing well. There are multiple sectors where the demand is coming. Let me again, when we see the projection for next year, there is a huge in terms of the on run, actually these are all term loans given, sanction dis bursement would happen in phases. So with that , the kind of growth outlook that we are giving for the next financial year, that is quite achievable. There is demand all along, may n ot be to the extent, but then, slightly a lower projection we have given be cause now we are at an elevated base and that can slightly…keeping the same growth would be a challenge. So that is what, slightly a marginal lower growth we have forecasted for the current financial year.
Ms. Siddhi Nayak: Okay. Sir my second question wa s on the stake sale in Bob Financial Services. What is the update on that? By when can we expect it to be concluded?
Mr. Joydeep Dutta Roy : So right now the process is on. We have actually issued an expression of interest and called for some interested in vestors who are interested in this. So we have got a good participation, we have got a good interest from the market. The process for the diligence etc. is going on - the legal diligence and the financial diligence. So it will take approximately a month an d a half to two months or so, and that is when we want to conclude the process.
Ms. Siddhi Nayak: So by one month, two months you are expecting…
Mr. Joydeep Dutta Roy : Two months or so, the diligence part will get concluded, and then we'll have the final i nvestors who could be taken on board.
Ms. Siddhi Nayak: Okay. So my last question is how many vostro accounts has the B ank opened and what is the amount of trade that has been facilitated with Russia?
Mr. Debadatta Chand: As far as Vostro, we do have qui te a lot of Vostro opened now. But these are again on a bilateral basis. So as things goes in terms of those transactions, in case opportunity arrive then we'll let you know at that stage.

Mr. Richard Fargose: Hi, Sir Richard from Informist Media. Sir, any update on a strategic partner on Nainital Bank?
Mr. Joydeep Dutta Roy: So Nainital also, I think the same process has been adopted, as I just mentioned, for the credit cards company. So there also I think we have got interests, the diligence part is g oing on right now. Another two months or

so of the diligence and then we'll have some answers as to who is the final investor.
Mr. Richard Fargose: Sir one more on ECL. ECL norms are on discussion now. S o is the B ank prepared for the ECL?
Mr. Sanjiv Chadh a: So actually, we'll have to wait for the final guidelines from the Reserve Bank to come. At the outset, I mentioned that on a stable basis, 1% credit cost is what we should normally assume for a bank. My sense is that with given where credit costs are an d given where the trend is, we should be able to absorb any ECL provisions within a

normalized credit cost and which means that the trajectory of i mprovement we have seen in the B ank's profit that should not get impacted by the production of ECL norm becau se the RBI has also said that it will be implemented over a period of time. But I think we'll have to wait for the exact norms to come to have more definitive answers.
Mr. Abhijit Lele: Your capital is quite healthy but coming to th e AT -1, additional tier and tier 2 how much of it is coming from maturity in the current financial year and is there a plan to replace that and how much that it would be?
Mr. Sanjiv Chadha: We'll have our CFO answer the question.
Mr. Ian De souza: So, effectively we plan to rai se about Rs. 2000 crore through bonds in this financial year.
Mr. Abhijit Lele: The other is on your life insurance subsidiary filed for the listing. What would be the time frame to go ahead?
Mr. Joydeep Dutta Roy: So we have received the DRHP approval fr om SEBI in March and post the DRHP approval , of course now the final market, of course it depends on the market conditions. So organization wise we are ready, but again, depending on the market conditions we'll select a suitable time. We have a year from t he SEBI approval so within this year we'll decide depending on the market.
Mr. Abhijit Lele: Coming to the international side, you spoke about that there will be certain degree of substantial moderation. Will it also go through some kind of a change in the composition?
Mr. Sanjiv Chadha: So, I think the composition is likely to remain as it is. We have been very clear that we value the risk diversification that the in ternational book brings to the B ank. So therefore a large proportion of the growth that we have seen in international book that has

come from global companies, not Indian companies, because then the diversification benefit is lost.
The second thing is that in terms of credit cost, I think this model has worked very well. As I mentioned in the b eginning, credit costs on the international book are negligible. So if you were to look at it in terms of net terms, we today have a net interest margin of 2%. The operating cost in that portfolio is sub 20%, which means they are left with about 1.6% and on that, credit cost is very minor, maybe 25 basis points. So we actually have a return on assets which is as good or better than the domestic book. So it remains very important for us as we go forward.
But nevertheless, there's improvement in the domestic economy, in the possibilities which are there. We believe that in today's market we can possibly generate as good or superior returns. So therefore, again we would want to make sure that the share of international is moderated but the composition will rem ain the same because it seems to have stood the test of time. But I would again request L alit, who's actually not only our executive director who's in charge of international banking, but he also was fundamental to the improvement you have seen. So he was in New York branch which probably has contributed 75% of the growth that you have seen. So we'll request him for his comments.
Mr. Lalit Tyagi: So continuing from where MD has left is that because of our wide geographical presence we leverage the opportuni ties available across various geographies and that's how we are able to generate a higher delta, what we we

re not able to earlier, and
going forward also, the strategy will remain same. Whenever we get the opportunity to spread our margins, we will tap tho se opportunities.
Mr. Sanjiv Chadha: Just one additional point , I'll make, that in terms of the composition of portfolio it is the same but the geographical composition has changed. So we are emphasizing very significantl y on GIFT City as a major locus for our international business. Even as we speak today, after New York, Dubai and London, GIFT City is our fourth largest international geography today. We expect that within this year it will become the third largest, outstripping London.
So that's a great opportunity because it gives us tremendous advantages. One, when it comes to our domestic clients who take dollar loans, you are nearer to them, right? Two, you are able to actually recycle the talent which has come back from international postings. You c an post them to the GIFT City. It works very well for us. Third again, even in terms of other banks, all of them are making GIFT City again as a very important part of their business. So there is almost a critical mass which has developed. So, quite apart from tax efficiencies, I think Gift City is going to be an important focus for us as we go forward. So GIFT City, in terms of the overall book, I think it's about if you take deposits and loans combined, it's about $5 billion nearly now.
Moderator: We'll t ake one last question from here. Mayur, I think you had a question.
Mr. Mayur Shetty: Yeah, it is more of a clarification. On ECL did you all have a pro forma exercise? And are you saying that it will below 1% even if the framework was there?

Mr. Sanjiv Chadha: So the fact is that it is, again, something which is still not crystallized, right? But our sense is it's probably in the one and a half percent odd range. That is how we see it as things stand today. But as we move forward in terms of time, I thin k this is a figure which is likely to moderate, given where we are in the cycle. And also, since ECL provisions are dependent upon past history, as we put more distance between the exceptional COVID period and the current benign outlook that also should be a positive. Just to see again if Chand sir wants to again contribute to that apart from mine.
Mr. Debadatta Chand: No, that's fairly articulated, sir. Actually, ECL as a framework need to evolve over a period of time, right? As a B ank, the time you consi der my GNPA at a much lower level and net NPA much lower, my restructured book as a book also is quite low, the stage two in terms of SMA two book also quite low. So a s a B ank, we're quite prepared to have that framework, but then we'll get a lot of clarit y the moment the real framework chips in. right?
Mr. Mayur Shetty: And on international, are you saying that the growth has been driven by GIFT City? I was trying to understand how your strategy is different from the past when you all had a bad experience earlier, a few years back.
Mr. Sanjiv Chadha: So I think international has two components, right? One is international as in international clients, which means global companies with India. So most of that gets funded out of New York. That is one major focu s of international business. And then there is international as in Indian companies who are taking dollar loans. Now it is very advantageous to conduct that business from GIFT City. So I would believe that is how the future is likely to evolve with these t wo pivots really accounting for a major proportion of the wholesale business for us.
Moderator: Thank you. We'll just take a couple of questions from Zoom. There's one question from Dharini of Mint. Could you provide the breakup between floating and fixed loan book?
Mr. Ian De Souza: So, fixed loans are a very small proportion of our book. It's about 6 -7% in quantum. Otherwise, it is largely floating.
Mr. Sanjiv Chadha: There wa

s one question which was there I think in the row there.
Participant: Sir, I just wanted to understand you know how…Mr. Chand was mentioning about undrawn sanctions limits. How big is that portfolio actually?
Mr. Debadatta Chand: See that's why again, whatever term loans that we give it's not necessarily that would be availed fully in the next year, but the pipeline is quite strong.
Participant: How big is it? If you can quantify?
Mr. Debadatta Chand: We will not articulate in that way. But then I can say that the growth of let's say 11 -13% that we are talking about on the corporate , half of it can come out of that on run also. There is such a large pipeline with us. Secondly, on the capacity utilizing

and the working capital, there is scope for withdrawal therein. So considering the overall scenario in terms of my pipeline cases and the growth that we look for in terms of new to bank customer, a growth of 11 to 13% can be kind of outlook that we are carrying for this financial year.
Participant: And can you throw some light on N ARCL? How much you recover from the accounts last finan cial year and going forward, what is the outlook actually?
Mr. Ajay K Khurana: NARCL in 2022 -2023, there is no account from Bank of Baroda and in coming year we have 4 -5 account s in pipeline but the process is on. So we cannot give any figure for that.
Participant: Thank you.
Moderator: Okay, thank you. I'm sorry we'll have to close it now. Thank you all for joining us. Please do join us for high tea which is in the executive canteen. There'll be people to show you around. And thank you very much. We hav e the analyst meet at 03:30 PM, please. Thank you.
Mr. Sanjiv Chadha: Thank you very much.

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Call: Aug 2023

BCC:ISD:11 5:16:179 11.08.2023

The Vice -President,
B S E Ltd.,
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
BSE CODE- 532134

The Vice -President,
National Stock Exchange of India Ltd.
Exchange Plaza,
Bandr a Kurla Complex, Bandra (E)
Mumbai – 400 051
CODE -BANKBARODA
Dear Sir / Madam,
Re: Disclosure under Regulation 46(2) (LODR)
We enclose transcript of Analyst and Media Meet held on 05. 08.2023 for Q 1
(FY202 3-24) Financial Results.

We request you to tak e note of the above pursuant to Regulation 46 of SEBI
(LODR) Regulations, 2015 and upload the information on your website.

Yours faithfully,
P K Agarwal
Company Secretary

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Bank of Baroda Analyst Meet for Quarter ended 30th June 2023
5th August 2023

Participating members from the Management Team of the Bank
■ Mr. Debadatta Chand , Managing Director & CEO
■ Mr. Ajay Kumar Khurana, Executive Director
■ Mr. Joydeep Dutta Roy, Executive Director
■ Mr. Lalit Tyagi, Executive Director
■ Mr. Ian Desouza, Chief Financial Officer (CFO)

2 Moderator: Thank you all for joining us. We have with us today, Mr. Debadatta Chand, the Managing Director & CEO of Bank of Baroda and he's joined by the Bank's Executive Directors and the Chief Financial Officer. We will start with a short presentation followed by opening remarks by Mr. Chand followed by the Q&A session. Over to you Chan d Sir.

Mr. Debadatta Chand: Good evening all. I'm D. Chand. I'm the MD & CEO of Bank of Baroda. To introduce you to the management team, we have , Mr. Ajay K. Khura na - he's the Executive Director looking after the Recovery vertical and also the MSME and Agri along with other platform function. We have with us Mr. Joydeep Dutta Roy. He's the Executive Director. He looks after the Digital and also the Retail Asset and Retail Liability. We have Mr. Lalit Tyagi. He is the Executive Director. He looks after the Corporate Credit, the International Banking, the Treasury and the HR function. We have Mr. Ian Desouza , the CFO of the Bank, I believe that you know him from last many quarters now.

So, with this, I request Ian to run through the presentation. Thereafter, I will have my opening address and then we'll go for the Question -Answer.

Mr. Ian Desouza: Thank you, Sir. Good evening, everyone. So, we'll start with the headline numbers in terms of business growth. In terms of Advances, we had a strong growth in global advances of 18%. So, this was largely broken down into Domestic Advances growing by close to 17%, International has grown 23%. There is some element of exchange movement there that resulted in a little murkier growth than would have been reported. Otherwise in terms of Retail, we have Retail growing 25%

leading the growth and advances across the board. Agri has been growing at 15%, MSME at close to 13%, Corporate Advances growing strongly at close to 15%. Within Retail, we've had the entire secure book growing strongly, Home Loans at 18.5%, Mortgage growing 16%, Education growing 21% and Auto Loan growing 23%. While Personal Loan has been a small base for us, that too has grown very strongly but it continues to be a little more than 2% of the overall book size.

In terms of Total Deposits, Total Deposits grew at 16% led by international and domestic which is the bulk of our deposits growing at close to 16%. As has been a secular trend across the industry, CASA has been growing at a little lower rate and we'll talk more about it as we get into our discussion as to what we plan to do on our CASA growth. Term Deposits grew around 24%. In terms of Domestic CD ratio, we have adequate headroom and you would see our CD ratio gradually inching up over the last few quarters. Global CD ratio is at 84%.

In terms of yield of advances, year -on-year our yield of advances has gone up smartly . But in terms of the exit Yield on Advances , if we normalize that for the more than expected recoveries that we had in Q4, you would actually see a 10 basis points increase in Yield on Advances. In terms of cost of deposits, as has been for the sector that has been inching up over the last few quarters, this quarter the cost of deposits at 4.7% almost. Our exit NIM at the end of FY23 was around 3.53 %. If we normalize this for the strong recoveries, I spoke about in Q4 of last year that would be a normalized NIM of 3.41 %. Against the normalized NIM of 3.41 %, we've seen some compression of around 14 basis points to end this quarter at around 3.27 %, slightly below the full year NIM of 3.31 %.

3 In terms of NII, we've grown strongly at almost 35% year -on-year a quarter ago. In terms of Operating Profit, it's up by

73% over the last year. Profit Before Tax is 106% up and Profit After Tax is almost 88% up.

In terms of GNP A that has been steadily coming down and it is almost halved to end the quarter at 3.51 %. NNPA, we're happy to report, is below 0.8% at 0.78 %. We've strengthened our PCR and our PCR including TWO advances is now at 93.23%. Our slippage has been coming down quarter -on-quarter and is now at 1.05 % against a slippage of 1.71 % a year ago. In terms of credit cost, our reported credit cost is 70 bps and it's on account of the fact that we took a floating provision of INR 200 crores in the June quarter as well as we made certain account specific provisions of around INR 420 crores to strengthen our PCR. Combined together, if you adjust for that, the credit cost on a normal basis would be 44 basis points.

In terms of SMA 1 and 2 for CRILC loans above INR 5 crores, we've seen that ratio coming down steadily. It was more than 2.5% about more than a year ago but consistently we've been reporting it below 50 basis points. This quarter as well adjusted for one large aviation account, which we spoke about last quarter and which we have prudentially provided for, adjusted for that which is an SMA 2, we would be just at 0.29% SMA 1 and 2 above INR 5 crores. In terms of collection efficiency, we've seen that strengthening quarter -on-quarter and maintaining a level of around 98%. This quarter there was just one account which got collected after the quarter end and if that account had been collected on the last day of the quarter, as was scheduled, we would have reported a collection efficiency of above 98% at 98.86%.

In terms of CET, the Bank continues to be strongly capitalized. And this quarter we reported a CET1 ratio of 11.94 %. If he had added back the profits of the quarter, we would have been at 12.39 %; at a CET1 higher than the exit CET1 of FY23. This is despite the fact that our RWAs grew by almost INR 20,000 crores. Similarly, overall CRAR while reported at 15.84 %. If the profits had been added back CRAR would have been 16.3 %, a tad above exit March 2023 CRAR.

With that, I come to the end of my presentation and hand it back to, Phiroza, the Moderator.

Moderator: Thanks, Ian. Chand Sir, will you make your opening remarks, please?

Mr. Debadatta Chand: Yeah. So, once again, all ladies and gentlemen, good evening to all of you. And, again, we are thankful to all of you for sparing your Saturday afternoon for us. Let me have my opening remarks on the entire presentat ion run through by Ian.

Normally, the June quarter is considered as a moderate quarter but as a Bank I'm quite delighted that we have shared a very strong all-round performance for the Bank that has focused on the profitability and also some aspect of the Balance Sheet strengthening. We maintain our journey towards the asset quality that is a very core as far as the Bank is concerned. We are also reinforcing our commitment towards excellence and sustainable growth.

4 If I have a credit outlook, the quarter has seen a strong quarter to quarter growth of 2.2%. And normally in many quarters of June quarters you would have seen last or earlier years, there is a sequential decline normally happens but then this is one of the strong June quarter where in our loan book has gone up by 2.2% quarter to quarter and also on 18% YoY, which is a very strong growth. At the same time, the retail growth has been 3.4% quarter to quarter and the full year is 24.8%, highlighting our emphasis on the retail loan book growth as a portfolio mix. We continue to have the same guidance that of last quarter to

grow above the industry by 1%-2% and on the retail side we
wish to grow almost 4%-5% above the industry average. The full year FY24 estimate would be, we expect the loan growth to be in the range of 14% -15%, the corporate growth would be 12% -13%, the retail growth would be 18% -20% and can be higher also whereas the international, which is one of the strong growth we have seen in the earlier year, would grow in line with the book grow th i.e. at 15%.
The strategy, as I said, will continue to pursue our retail strategy to grow significantly on the retail side of the book and in a couple of years from now we look for a corporate share of 35% and non-corporate would be as high as 65% , pursuing the same growth in all segments of 15% on the corporate and slightly higher in the non-corporate segment.

On the NIM side, the last full year NIM was 3.31%. If you compare the last full year NIM, there is a marginal dip in the quarter ending June and this is obvious because of the trend that we have seen in the market also, bit of cost push in terms of deposit has come up to the books and that has resulted in marginal dip. But if I compare the NIM of that of last June quarter of last financial year, there is a significant improvement . So, we keep our guidance of putting a NIM of 3.3% for the FY24 estimate also.

On the cost to income, although we have not given any guidance but again as a Bank, as a strategy we tend to pursue a lower cost to income ratio. We have seen some traction in this quarter itself on the cost to income and pursue the lower trending of cost to income in the consequent quarter also.

On the corporate side, we have introduced the concept of Share of Wallet and Relationship Manageme nt. We have created Relationship vertical for the corporate and we are again getting the same Relationship Management vertical and Account Planning concept to mid-corporate and MSME customer also.

One important strategic initiative that we have taken that this year is a year of Fees and Flows i.e. F&F. What exactly I mean by Fees and Flows, the Fees talks about channelizing the Bank's entire resources to augment the fees side of the book. At the same time, Flows talks about capturing the flows of each customer, whether it is a retail customer or corporate customer. Another tool to capture that, we do have a very strong CMS tool. We have on-boarded large number of customer this financial year and also last year and we will be aggressively pursuing for more and more CMS onboarding of customer. At the same time, the retail customer who are transacting with us will try to capture the more flows of those retail customer. The idea is to have more cash flows in the system so that I can customize product to the requ irement of the customer.

5 The profitability has been very strong. As I said that 88% jump in the YoY growth for the June quarter is a substantial growth that we see. At the same time, we continue to maintain our guidance of 1% ROA going forward. Another important thing I'm happy to announce, that if you compare the last full year profit of INR 14,110 crores the first quarter profit is almost 30% of the last full year profit.

Asset quality is one of the important aspect of it and as we said that we are also making efforts to strengthen the balance sheet further. The PCR is at all time high up almost above 93%. The GNPA improved by 275 bps YoY. The NNPA is now less than 0.8%. As we said earlier, saying that we had uniquely created the Collection vertical and because of the efforts in terms of close monitoring and collection on the asset quality, the trending is po

sitive. And the net slippage, we have talked about
in terms of less slippage and also the cash recovery plus upgradation, it would be very less or negligible in that respect.

Deposit is one of the core area for this financial year as far as the Bank is concerned. This is the same trend that we see in across the industry. The CASA growth has not been very strong for most of the banks and this is obvio usly because of the rate cycle we are in. But having taken note of the lower CASA growth, a lot of focus would be on the CASA growth going forward. We have taken a lot of initiative in terms of extending our franchisees, strengthening the relationship mana gement on CASA so that at least we wish to grow higher than the growth that we have achieved for this quarter.

With this, I close my initial comment s and then I open the forum for question and answer. Thank you.

Moderator: Since there are no questions at the moment, we will wait for 30 seconds for the lineup to populate. Thank you.

The first question is from Nitin Agrawal. Please, unmute yourself and ask the question.

Mr. Nitin Agrawal: Yeah, hi. Good evening everyone and congrats on good quarter, Sir. So, first question is on the margins. You are suggesting that NIMs will remain stable here on at 3.3% for the year, so are we not looking at any further compression at all, say in the second quarter? Has the cost of deposits peaked out? And, Sir, what is the extent of asset repricing and the deposit repricing that you are looking at when you make the guidance?

Mr. Debadatta Chand: Thanks, Nitin, for asking this question. When you say the guidance of 3.3% for the full year, it's for the full year, point 1. Secondly, the cost of deposit, the impact would be there in this financial year but there are two positive up sides we have in the book. One is with regard to the resetting of the MCLR book. All the book has not reset as on today because there is a one year resetting time period. So, there is a bit of upside available there and that typically compensate part of the cost matrix, cost push; what do you can say the impact of the cost push on the deposit side.

Secondly, if you look at because earlier also we articulated that we typically try to have a high cost deposit on a lower tenure. So, thinking through a scenario wherein there is a rate cycle reversal happening maybe something in Q3 or Q4, we will be one of the banks taking advantage of the repricing because of that. So, to sum up the entire thing and if you look at my international book the 6 NIM is rather increasing in that way because you have seen the global market how it is behaving and we do have a 15% significant international book in the entire book. So, considering all the factors we are still hopeful to maintain the 3.3% NIM margin. But any update further, will let you know in subsequent quarters but we are quite hopeful that we'll maintain the 3.3% NIM for the FY24.

Mr. Nitin Agrawal: Right, Sir. And, Sir, related to it the other question is on the yields. Now this quarter, the yield improvement has been very calibrated and I believe MCLR linked loans would have got repriced this quarter also but probably the improvement is looking small because of the one-off recoveries that you had in the fourth quarter. So, how much benefit did you really get? And are you able to pass on the MCLR linked rates to the borrowers?

Mr. Debadatta Chand : I think MCLR linked it is, like the entire resetting see, there is a lag in terms of the book, in terms of MCLR and BRLLR, right. BRLLR is the external repo linked portfolio but at some point of time both will converge,

right, that is what the lag effect of that. So, in terms of passing on the MCLR impact, we are fully able to pass on the impact to the customers and that is how the market is at this point of time. But, Ian, anything further you want to supplement on this question?

Mr. Ian Desouza: Yes, Sir. So, in terms of if you normalize the Q4 yield on advances then we actually see a 10 basis points of sequential quarter increase in Yield on Advances. So, I just wanted to add that point to give you a context.

Mr. Nitin Agrawal: Okay, sure. Sir, if you could just quantify the restructured assets number as to how much it is outstanding?

Mr. Debadatta Chand: Yeah, I'll pass on to Khurana Sahab. Can you take this question?

Mr. Ajay K. Khurana: Total restructure book is INR 13,000 crores.

Mr. Nitin Agrawal: INR 13,000 crores?

Mr. Ajay K. Khurana: Yes, and around INR 2,800 crores has been reduced from there and almost 90% is upgraded or closed.

Mr. Nitin Agrawal: Right, Sir. Okay -okay, thank you. And, Sir, the last question is on the tax rate. This quarter the tax rate was slightly elevated, so what has driven that?

Mr. Ian Desouza: Can I take the question, Sir?

7 Mr. Debadatta Chand: Yeah -yeah -yeah, please.

Mr. Ian Desouza: So, actually, from time to time we have been strengthening our Balance Sheet. So, we had certain tax provisions which we had taken, which we prudentially chose to take this quarter. That has slightly taken up the effective tax rate from aroun d 27% which we used to see earlier to around 29% which you see this quarter.

Mr. Nitin Agrawal: Okay, sure, Sir. Thank you so much, Sir.

Mr. Debadatta Chand: Yeah.

Moderator: The next question is from Saurabh Kumar. Please, unmute yourself and ask the question.

Mr. Saurabh Kumar: Yeah, Sir. First on the restructured book, what is the provisions you're carrying against this? The second is, you know, the specific provisions you did highlight why it's gone up but any, I mean, any other reason which is driving the specific provision increase? And third is basically on the credit card subsidiary. I mean any plans of, you know, when we can consummate the transaction? These are the 3 questions. Thank you.

Mr. Debadatta Chand: So, Khurana Sahab, can you take the first two questions?

Mr. Ajay K. Khurana: For restructuring, restructure provisioning total is around INR 1154 crores and the standard assets we have INR 5981 crores . Few accounts, we have provided specific provision also.

Mr. Debadatta Chand: So, just to add to Khurana Sahab’s statement, on a strategic basis we wish to strengthen the Balance Sheet. The PCR is almost at 93% plus at this level. And on the standard provisioning also, we do have a significant amount but going forward also we would like to strength en Balance Sheet more so that any headwinds subsequently can be handled well.

And, Credit cards, Joydeep ji can take this question?

Mr. Debadatta Chand: Yeah. Saurabh, just give a minute.

Mr. Saurabh Kumar: Yeah.

Mr. Debadatta Chand: Joydeepji, can you take the credit card question? Yeah?

8 Mr. Joydeep Dutta Roy: Yeah. So, the credit card divestment process that was already initiated by the Bank, the process is still continuing. We have gone into the financial due diligence and the legal due diligence portion completion and the prospective investors who have evinced interest or expressed interest, they are evaluating those reports and the data that has been provided to them and with the strength of those data points, etcetera they will come back with their final bids or offers which we can consider and tak

e forward; number one. But, again, as we go through the process it has a sort of a regulatory and a market element also which we will have to look at and then go forward. So, the entire process which is the usual processes of diligence and the RFP and the binding offers , et cetera coupled with the market as well as the regulatory. So, that is how we are planning to take it forward.

Mr. Debadatta Chand: Saurabh, if I add to what Joydeep ji said, all our decision would be based on the valuation, the market conduciveness and also subject to regulatory approval.

Mr. Saurabh Kumar: Right. Got it, Sir. Sir, if I can ask, how much is the airline account provided for now versus your exposure?

Mr. Debadatta Chand: Yeah, if you look at the book, last time we said there was almost a 30% exposure which was backed by the ECLGS . Out of the balance, 70% we have a collateral backup almost to the extent of 35% means half of that. And the balance, again, we had provided last time and this quarter also we have provided and that provision is exceeding the balance portion, right. So, in terms of accou nting provision, everything we are well provided on this point of time. As far as the recovery is concerned , we are expecting it's a good asset and we recover amount in full based on the primary and also on the collateral.

Mr. Saurabh Kumar: Got it. Thank you, Sir.

Moderator: The next question is from Kunal Shah. Please, unmute yourself and ask the question.

Mr. Kunal Shah: Hello? Yeah, can you hear me?

Mr. Debadatta Chand: Yeah, Kunal. Go ahead.

Mr. Kunal Shah: Yeah. So, firstly, with respect to the deposits, if we look at it between the wholesale and retail, how would have been the growth this quarter? Last time we have shared between the wholesale and retail, actually, I'm not able to see that. So, how much of the term deposits maybe what has grown almost like 3.6% odd sequentially, how would be the wholesale and the retail TD? And what would be the rate differential on an incremental basis between the two?

9 Mr. Debadatta Chand: See, you said right that if you look at the system the growth has been more on the term rathe r than the CASA. So, that’s a point we've taken note and in my initial address also I said that going forward we will be focusing on the CASA.

In terms of term deposit, there is not much of a difference at this point of time because you have seen a lot of retail scheme; there are a lot of scheme that many of the banks are running. So, in terms of the cost matrix I don't think there is any difference between the cost of raising a wholesale deposit and retail deposit at this point of time. The only differenc e would be that the retail deposit of that cost would be slightly for a longer tenure as compared to wholesale deposit of that cost. Suppose, going at the rate outlook at this point of time, thinking through some kind of a rate reversal happening maybe in Q3 and Q4. The benefit because we are not carrying a high cost deposit for a longer tenure and in that way the Bank would be benefitting in terms of repricing all this deposit at a cheaper cost in case the rate reversal is happening.

But you are right, the growth in term deposit is high and within the term deposit the growth of let's say the retail and the rate of wholesale, wholesale is higher than the retail but tenure is much less as compared to the retail. In terms of cost matrix, there is not much difference at this point of time because most of the banks on retail also having large number of schemes, like we do have the Tiranga Plus kind of a scheme. Many other banks have their different

scheme.

Mr. Kunal Shah: Okay -okay. But this 3.6%, so if we have to look at exact number in terms of the wholesale TD growth on a sequential basis, last quarter also it was quite high, so would that be upwards of 6%-7%? How would that be?

Mr. Debadatta Chand : The cost side you mean to say?

Mr. Kunal Shah: No-no-no, overall growth quarter -on-quarter, so what would be the amount of bulk deposits? Like last time we have clearly highlighted, so what would that number be?

Mr. Joydeep Dutta Roy: Yeah, I can take this.

Mr. Debadatta Chand: Yeah, please.

Mr. Joydeep Dutta Roy: Yeah. So, the 3.6%, Kunal, that you are seeing on the sequential side, the bulk is around 11% and retail term is largely flat.

Mr. Kunal Shah: Okay, got that. So, bulk is 11% and retail TD flat.

Mr. Joydeep Dutta Roy: Yeah.

10

Mr. Kunal Shah: Okay, yeah. Yeah, thank you. And in terms of fee income, so again, good traction on what we are focusing. Maybe that's one of, again, the strategic focus area of Fees and Flow. But in terms of the ROA contribution, how do we see the delta coming through over the next 12-18 odd months particularly from the fee income side?

Mr. Debadatta Chand: See, that's a very fair point and as a strategy, actually, the strategy has been done through in the first quarter, right. So, a lot of journey has to be traveled on that but the traction is clearly positive. The growth in fee income this time is 18% and this is one of the highest in the last five or six quarter I could see where the growth has been 3.5-4-4.5% kind of a level. So, the traction is there but how much delta it would generate to the ROA we cannot quantify at this point of time but defini tely it would be ROA accretive but the overall guidance that we are giving ROA more than 1%, so in a worst case scenario going forward, let's say not this year or next year but a couple of years going forward, if there is a bit of NIM squeeze happening also, this would compensate to a substantial scale for ROA. So, although our guidance is 3.3%, we will maintain that and if you look at the ROA this quarter, it is 1.11 % although our guidance is above 1%. So, it has created some delta, right. So, in that way the delta will continue to accretive but the quantification we are not in a position to do at this point of time.

Mr. Kunal Shah: Sure, yeah. Okay -okay, yeah. Thank you.

Mr. Debadatta Chand: Thank you.

Moderator: The next question is from Jai Mundra of ICICI Securities. Please, unmute.

Mr. Jai Mundra: Yeah. Hi, Sir.

Mr. Debadatta Chand : Hi, Jai.

Mr. Jai Mundra: Yeah, hi.

Mr. Debadatta Chand: Good evening.

Mr. Jai Mundra: Sir, first question is on your floating prov isions that we have created of INR 200 crores this quarter, is that in preparation to Ind-AS or what is the rationale here? And is this going to be a recurring quarterly phenomena?

11 Mr. Debadatta Chand: I have a couple of comments, then I'll hand it over to you Ian. As far as, strengthening Balance Sheet is concerned, I mean, that's a clear glide path will be looking forward, going forward. ECL is not an immediate necessity but then it is yet to evolve. And in terms of the impact migration on my book, I'm better prepared because my PCR is 93% and above, I'm holding substantial standard asset provisioning with floating provision also one of that. So, I'm better prepared to migrate to that scenario. One of the guidance that we have given last time if there is an ECL impact, we said our credit cost would be maintained below 1% i.e. the guidance that we had given. So, that's a broader thing. Anything further, Ian, you w

ant to supplement?

Mr. Ian Desouza: Yes, Sir. So, I think what we had called out in the last quarter when we were doing the Analyst Call is, there are several things going in our favor. For example, we have a stand ard assets provision of almost INR 7200 crores and in terms of the floating provision, I think, it is more in terms of our own policy which requires us to make floating provisions if our profit estimate for the year is above a certain level. So, at that stage we are following our policy as to whether we will be able to utilize this floating provision towards ECL from a regulatory standp oint it's still not clear. But once that clarity comes, we'll be able to tell you whether this can be utilized towards ECL. But at this juncture, there's no regulatory prescription saying that floating provision can be used towards ECL. Though the regulato r lays out various scenarios in which floating provision can be drawn down on.

And as to the future outlook in terms of quantum, it will depend on our risk appetite and if we feel that the credit cost is trending, you know, much below what we estimate then we may take further full provision given that our PCR is at all-time high but we may take some floating provision.

Mr. Jai Mundra: Right. Coming back to yields again, right, so loan yields even adjusted for the recovery or the differential in recovery has increased at 10 basis point but that rise seems substantially lower if we compare to last two quarters wherein we had witnessed 50-60 or even 70 basis point rise in the yields. So, would it be safe to assume that 10 basis point rise will flatten furthe r as we go ahead into the coming quarters? Or would you say it is too early to say that glide path?

Mr. Ian Desouza : See, as Chand Sahab said, the MCLR books still has to fully reset. So, as of now, that is one of the levers. Another lever would be the change in mix of the retail portfolio. So, that would contribute, though it wouldn't greatly contribute, but there would be some 5 basis point we estimate on that regard. So, I wouldn't say it's totally flattened but you can't compare it to last year. Last year you had a whole sequential quarter -on-quarter increase in repo, so you can't really compare this year's outlook with last year unless there's a further repo hike. So, it's not comparable at all.

Mr. Jai Mundra: Okay. And, Sir, in that context if you can quantify the MCLR book, which got repriced in Q1 and which is likely to reprice in Q2 in rupees crores? I mean, that that will help us.

Mr. Ajay K. Khurana: I'll speak to you offline and give that to you.

Mr. Jai Mundra: Yeah, that’s fine.
12
Mr. Ajay K. Khurana: But still there’s a significant portion which is yet to reprice.

Mr. Jai Mundra: Sure. And last questi on is, Sir, on staff cost, right. So, I see that we have provided

INR 460 crores wage bipartite in this quarter. But if I look at the slide wherein we give salary and the provisions, I'm not able to understand where these INR 460 crores have been shown.

Mr. Ian Desouza: Yeah, I'll explain you. So, there are two lines. One is Provisions. Provisions is largely a retirement provision, which is your AS15 that is in line with previous quarter. So, essentially it is in the main first line itself where it is factored. Then you will notice a significant increase year -on-year and quarter -on-quarter . So, if you normalize for the INR 460 crores of wage revision provision, then the employee cost only increases by around 6%-7% year -on-year.

Mr. Jai Mundra: Right. And, Sir, in your broader context when you intend to push more retail versus wholesale, right, 4

00-500 basis point differential, do you also see a case where OpEx because when you do more retail, you know, it is a more cost intensive. So, how do you look at your OpEx growth for FY24 and beyond because when we are more focusing on Retail, it sometimes tend to have more cost intensive?

Mr. Debadatta Chand: No, that's a very fair question. See, the retail in terms of growing at 4.5% -5% extra doesn't require much on the HR resources, on the underwriting side. The only requirement that we are adding with regard to more of Relationship management side, more tie ups. So, one thing that we said that we need to have more project approval for a housing loan kind of stuff. The digital penetration in terms of retail is significantly going up. So, now we have a couple of products which are entirely end-to-end digital on the retail side. We, again, intend to make to a large subject to a particular ticket size, more of digital in case the attributes, everything can be digitally processed and the sanction can be given.

So, one way when there would be an additional requir ement of OpEx, at the same time, as I said also earlier, we are also carrying out a huge process automation journey. So, it would be a balancing out to a very large extent but the only thing that retail we try to get is a margin more accretive as compared to corporate, right. So, any bit of extra spent on the OpEx would be well compensated by a higher margin on the retail. So, that fairly would maintain my NIM and also the ROA going forward.

Mr. Jai Mundra: Sure, Sir. Thank you and all the best.

Mr. Deba datta Chand: Thank you.

Moderator: The next question is from Rakesh Kumar of BMK. Please, unmute yourself and ask the question.
13
Mr. Rakesh Kumar: Yeah, hi. Thank you, Sir. So, Sir, firstly, related to this stressed loan number which is there in the notes of accounts from 11 to 14, total number was coming to around INR 81 billion around INR 8100 crores and the provision if I see like notes of accounts in 10, we have given provision of around INR 1100 crores that we have made. And there is another provision of INR 296 crores that is also there that we have made in the notes of accounts number 12 or 13. So, here on the stressed asset number, standard asset stressed number, provision is around 17%. So, apart from that the restructure d number that you have, which you have mentioned just now, on that how much is the provision, Sir??

Mr. Ian Desouza: Sir, can I just take one item?

Mr. Debadatta Chand: Yeah -yeah, please. Yeah.

Mr. Ian Desouza: So, I'll talk about note of accounts number 10. So, largely we spoke about a couple of large accounts which we have provision for. One is a power account, one is the whole Go First account. So, we have INR 639 crores of Go First and one par account, which I will not name since it is not in the public domain, we have around INR 255 crores. Then we have taken one hospitality account INR 87 crores. So, largely, broadly that gives you the texture. These are not restructured accounts, these are accounts where we felt there could be imminent stress including the Go First. So, that largely explains you that INR 1100 crores . So, this is nothing to do what we talked about restructure d.

Mr. Rakesh Kumar: Got it. So, total standard asset stress number is around INR 8100 crores if we take the summation from 11 to 14 details. If we take the summation of numbers, the stressed asset number from notes of accounts number 11 to 14, so total the stress number is INR 8100 crores. Correct?

Mr. Ajay K. Khurana: No, total SMA 1 and 2 that is that is around I

NR 15,000 crores and our
restructure book is INR 13,000 crores but the entire restructure book is not under stress. Most of the accounts are getting, you know, paid. Earlier also if we look at that, only INR 5,000 crores which have already been slipped to NPA and now stress is very less in that. So, this stress book includes restructure as well as the SMA 1 and 2 i.e. 2.95% of total book.

Mr. Rakesh Kumar: Okay, Sir. Second question was pertaining to the Power sector expos ure like, you know, in the presentation that we have given, so there is a reduction like, you know, we have seen constant reduction in that number, the outstanding exposure in the Power sector. So, is there any guideline coming from the regulator that, you know, to reduce exposure in a specific state, SCBs or is there anything pertaining to that or what is the reason for the same?

14 Mr. Debadatta Chand: See, as far as the exposure to Power sector, we will continue to be long on Power sector. So, absolutely, there is no kind of any pull back on that. And, secondly, there is no instruction from anywhere with regard to any particular state or so. Thirdly, normally portfolio churn happens depending upon on the timing of all these loans. Tyagiji, anything further you want to add on this?

Mr. Lalit Tyagi: So, in fact, there is no specific assets we can talk about right now. The only thing is that, as MD said, that there can be some portfolio churning, some redemptions or lack of drawdowns on the working capital side. But other than that the portfolio is behaving normally.

Mr. Rakesh Kumar: Got it. See, pertaining to like, you know, Bank of India management stated that they have got some guideline from the regulator saying that they have to reduce exposure in som e of the states and there is some category also where the RBI has put different states in different category. So, have we also received any such guideline, notification from the RBI?

Mr. Lalit Tyagi: No, we have not received.

Mr. Debadatta Chand: That’s what we said that, see that would be linked to the portfolio concentration. So, if you look at our concentration, it's fairly balanced. So, absolutely, nothing like that.

Mr. Rakesh Kumar: Okay, thank you. Thanks for the clarification, Sir. Thanks a lot.

Mr. Debadatta Chand : Yeah.

Moderator: The next question is from Ashok Ajmera. Please, unmute yourself and ask the question.

Mr. Ashok Ajmera: Thank you for giving me this opportunity and compliments to you, Chand Sahab and the entire team, especially to improve the asset quality of the bank. Like if you have taken the Gross NPA come down substantially to 3.51 %, Net NPA 0.78 %, PCR 93.23 % and you also have a buffer of the prov ision as per note number 10 of INR 1107 crores though you are puttin g it into some specific accounts but actually it is beyond the IRAC norm, which is strengthening the overall Balance Sheet of the Bank. Having said that, Sir, I've got a couple of questions and some observations. Sir, on the recovery front, especially in this quarter, if you compare with the last quarter our performance is a little dismal because our overall recovery in this quarter has come down to INR 986 crores against INR 1795 crores in the March quarter and as well as the recovery in the written -off account also has come down to INR 663 crores again st INR 1447 crores. So, on the recovery front, though we got the figures of the restructured account and all that but what are our efforts and why did this quarter did not perform so very well? On the recover y side, maybe some breakup towards like any change in the
15 OTS scheme

or any change in the, you know, so, some color on that, Sir. And going forward, where do we stand the recoveries? Where we see the recoveries?

Mr. Debadatta Chand: So, thank you, Ajmera Sahab. Actually, I was expecting you be the first in asking question but then I mean based on the last time, physically…

Mr. Ashok Ajmera: Sir, I was there right from the beginning. My hand was raised first but I don't know.

Mr. Debadatta Chand: Okay -okay.

Mr. Ashok Ajmera : But anyway.

Mr. Debadatta Chand: Okay -okay. So, next time we will catch up physically. So, giving a color on the aspect. Thank you very much for complimenting the entire management team on the performance.

And, secondly, before I hand over to Khurana Sahab just to let me give you some color. Typically, if you look at the June quarter vis-a-vis the quarter of last year, I mean, previous year, they are typically not compatible because this is the beginning of the slack seaso n and then all those things do happen and these are time when a lot of transfer happens, lot of processes happens and it impacts what you can say the normal momentum on the recovery kind of a drive. But one guidance that we are clearly giving when looking at the fresh slippages vis-a-vis the cash recovery plus upgradation , the net would be very minimal going forward for the full year. But specific point, Khurana Sahab, you can answer the question.

Mr. Ajay K. Khurana: Yeah, I would like to add what MD Sir told. Actually, last quarter there were some very big accoun ts which were settled. INR 1700 crores came from some big accounts and then it also depends upon the addition which is happening in the previous quarters. So, quarter by quarter this slippages have been reducing. If we look at Q1 of last year, in the March quarter the slippage was INR 4300 crores which has been reduced to INR 2200 crores in last quarter and now to INR 2452 crores in this quarter. So, because slippages are also reducing, the recove ry also is reducing.

In addition to that, what we MD Sahab told, because of the season and the staff but otherwise our efforts are on and whatever targets we have already fixed for the recovery, we will surely achieve them and so many other OTS scheme and many other processes are going on for recovery. Every step, whatever is possible to recover, we have been taking very efficiently.

Mr. Ashok Ajmera: What is the target, Sir, for FY24 for the overall recovery?

Mr. Ajay K. Khurana: INR 12,000 crores.

16 Mr. Ashok Ajmera: INR 12,000 crores?

Mr. Ajay K. Khurana: Yes.

Mr. Ashok Ajmera: So, out of that INR 986 crores has come only in this quarter, so remaining INR 11,000 crores in the next three…

Mr. Ajay K. Khurana: No-no, it includes upgradation as well as the recovery in return of accounts. That comes to around INR 2600 crores as of now.

Mr. Ashok Ajmera: Sir, my one small question, just a point which I saw in the note number 18, there is some penalty by RBI of INR 57 lakhs. So, is it a routine kind of a penalty or some specific incident has taken place or some violation has taken place, Sir?

Mr. Debadatta Chand: Yeah. Ian, can you take this point or otherwise offline we can clarify on the matter? Ian?

Mr. Ian Desouza: Yes, we'll clarify it offline, Sir. I will get back to him.

Mr. Ashok Ajmera: Sir, my other point of information is, given that the entire Fraud account in this quarter have been provided for but the number has not been given that how much was the Fraud account and how much so that we come to know that exactly in this quarter how much provision on account of the fraud was made, S

ir.

Mr. Ian Desouza: There are two things. One is the opening balance of Fraud at the end of March that was about INR 13 crores. Second is, incremental fraud during the quarter was around INR 16 crores. So, not a very significant number if you treat both together.

Mr. Ashok Ajmera: Sir, coming last to the Aviation account. Of course, you have given some color on that, that how much has been provided for and the collateral but in absolute terms, Sir, I understand that it is around INR 1400 crores to INR 1500 crores our total because you and Central Bank are the two main banks and I think Central Bank is around INR 2000 crores and yours is about INR 1400 crores to INR 1500 crores. So, in absolute terms if we understand, then according to you 30% of the provision was made in the last year itself on this account, then some provision is under note number 10 and that INR 1107 crores which is extra and some provision which has gone into the provision of, I think, it is SMA 2, into the regular provision also. So, overall provision out of this INR 1500 crores is how much , so far stands in our book?

Mr. Ian Desouza: Sir, can I take that?

Mr. Debadatta Chand: Yeah, please.

Mr. Lalit Tyagi: So, there's a non-ECLGS component for INR 1200 crores , out of which we have made a provision of INR 639 crores .

Mr. Ashok Ajmera: How much?

Mr. Lalit Tyagi : INR 639 crores . INR 509 crores in the March quarter and INR 130 crores this quarter.

Mr. Ashok Ajmera: Then you said that you have got a substantial collateral of almost 60% -70% of the value. So, is it the consortium collateral or there is some standalone separate collateral also to you?

Mr. Debadatta Chand: It's consortium collateral.

Mr. Ashok Ajmera: It's all consortium collateral only which may fetch almost about 50% of the total…

Mr. Debadatta Chand : 50% of the balance of the ECLGS exposure.

Mr. Ashok Ajmera: Balanc e? All right, Sir. The point well taken. Sir, now going forward like we have grown our credit book well in this quarter…

Mr. Debadatta Chand: But just I add also on this point, although accounting provision we have made but as far as the recoverability is concerned, we expect full recovery out of this account. That is what our management view on that.

Mr. Ashok Ajmera : And you see the airline flying again? I mean the…

Mr. Debadatta Chand: No, I am not commenting. I'm only commenting as far as the collateral, primary collateral. ECLGS, we expect a full recovery but accounting we have provided what is required.

Mr. Ashok Ajmera: So, anyway, we are also concerned with that only that whatever recovery you are expecting. Sir, coming to the now this credit side, we have grown our book very well in this quarter, 2.1 or 2.2% for the global, as compared to some of the other bank which couldn't carry the same as compared to the last quarter. So, now going forward your guidance is around 14% -15% 18 overall of the credit book. Looking at Bank of Baroda and the way you all are, I mean, like major thrust you are putting on retail as well as you have also open ed up the corporate, you have started the Relationship Managers, the full-fledged concept and this thing, don't you think that our target though is good it's a little more than the industry norm but can be still increased to say 16% -17% up the range?

Mr. Debadatta Chand: I said in one of the conversation that we have bit of trend of over performing vis-a-vis guidance, so you take it in that way.

Mr. Ashok Ajmera: All right, Sir. Thank you very much for giving me this opportunity.

Mr. Debadatta Chand: Thank you and pleasure interac

ting.

Mr. Ashok Ajmera: Just one small end of this thing. We have the pension, you know, revision in the pension amounting to almos t about, I think, it was about INR 880 crores something balance of the last year. We have provided in this quarter about INR 72 crores, if I'm not wrong. So, this INR 799 crores has been carried forward to be amortized which an auditor has mentioned that had this been provided, our profit would have been lower net of tax of INR 589 crores. So, was there any need of mentioning that when it is allowed as a dispensation by RBI and you are permitted to do so? Was there any talk with the auditor on that because I don't see some of the other banks this point coming that had this been 100% provided the profit would have been lower by INR 589 crores? So, this is number one and going forward if the ECL guideline comes then I think all this kind of, you know, amortized or to be amortized or un-provided thing also will have to be taken into consideration.

Mr. Ian Desouza: Sir, can I take that question?

Mr. Debadatta Chand: Yeah, Ian, please.

Mr. Ian Desouza: So, Ajmeraji, there are two things. One is, it is permitted as per regulations but this is a special dispensation given by RBI, but this is a carve out from the accounting standards. So, as per the audit requirement, since it is a carve out from accounting standard, we need to mention it and quoting the regulatory reference. That is the reason why it is mentioned. Secondly, this is something that we are evaluating on a regular basis and well before the Ind-AS guidelines come in, this will probably no longer be there.

Moderator: Thank you, Sir. We are taking a question from M.D. Mahesh of Kotak. The overall cost of deposit that increased QOQ was 25 bps QOQ but the July interest rate disclosure does not see an increase in MCLR. The June disclosure saw an increase only in one bucket. Why is there a poor transmission of cost of deposit into MCLR? Thank you.

19 Mr. Debadatta Chand: See, as far as MCLR computation is there, that depends upon a lot of other metrics. So, it's not typically linked, it depe nds on the cost of deposit the Bank has, right. So, that is one point.

The second aspect is, some of the upside that we see on the loan MCLR book is a resetting of MCLR. Even when the MCLR was increased earlier but the reset has not happened. So, that's the upside available quarter to quarter. And this typically, I believe, is the answer to it. Anything Tyagiji or Ian can take further or supplement furthe r.

Mr. Ian Desouza: Yes. So, the MCLR formula as defined by RBI is different. It is not typically taking it as we typically see it from a commercial sense. So, I think, what Chand Sahab said is correct and it is a reset of the one yearbook that we are seeing as a guidance that we are giving that there is an upside still left.

Mr. Lalit Tyagi: Yeah, nothing to add, Sir. Thank you.

Mr. Debadatta Chand: That’s fine.

Moderator: We have another question in the Q&A box from Krishna Kumar Srinivasan. What is the mix of growth plan for FY24 and FY25 in terms of corporate and retail? What's the pipeline looking like in terms of loan approvals and sanctions? Thank you.

Mr. Debadatta Chand: Sure. I'll first just answer and then give it to Tyagi Sahab on this. See, we set a broader guidelines with regard to the portfolio mix of 35-65 in a couple of years from now. If you look at the current corporate, it is almost at 42%. So, while our target, let's say three year target, of 35% so that trend would be pro rata you can that way reduce it down. But anything, Tyagi Sahab, further you want to add on th

is?

Mr. Lalit Tyagi: So, in terms of the pipeline in corporate, there are good traction from the infra, renewable and some of the industrial sectors where working capital demand is now coming up. So, whatever our goal projections are there in corporate, we are pretty confident that we will be able to make. And as MD said, in terms of the retail growth we are consistently growing our retail book to rebalance our mix of corporate and retail and we are confident to maintain the guidance which we gave at the beginning of the year. Yeah.

Moderator: Thank you everyone. I'm sorry but we're running out of time. So, this is the last question. I'll now invite Ian to please give the vote of thanks.

Mr. Ian Desouza: Thank you, everyone, for joining us. And as usual, these questions had all given us food for thought and we will, you know, be building some of them into the way we interact with you 20 going forward. Look forward to interacting with you some on a one on one basis. I think many of you have interacted with us on a one on one basis, looking forward to those interactions from Monday onwards. Thank you very much for joining us on a Saturday. I know it's already 5.30 on a Saturday. Thank you for being engaged with us. Take care.

Mr. Debadatta Chand: Thank you, all. Thank you very much.

Mr. Ajay K. Khurana: Thank you very much.

Mr. Debadatta Chand: Thanks.

Mr. Lalit Tyagi: Thank you, ever yone.

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Bank of Baroda Media Conference for Quarter ended 3 0th June 2023
5th August 2023

Participating members from the Management Team of the Bank
■ Mr. Deb adatta Chand , Managing Director & CEO
■ Mr. Ajay Kumar Khurana, Executive Director
■ Mr. Joydeep Dutta Roy, Executive Director
■ Mr. Lalit Tyagi, Executive Director
■ Mr. Ian Desouza, Chief Financial Officer (CFO)

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Moderator: Good Afternoon everyone. Sorry for the short delay. Thank you everyone for joining us for the Media Conference for Bank of Baroda's financia l results for the quarter ended 30th June, 2023. Thank you all for joining us. We have with us today our MD and CEO – Shri. De badatta Chand, and he is joined by the B ank's Executive Directors and the CFO. We will start with a short presentation, followed b y brief opening remarks by Mr. Chand, and then we will have the Q&A session. Over to you sir.

Mr. Debadatta Chand: Yeah, good afternoon ladies and gentlemen. Let me introduce the management team of Bank of Baroda. I'm D. Chand – MD and CEO of Bank of Baro da. Along with me is Mr. Ajay K. Khurana, who is the Executive Director looking after Recovery, MSME and Agri vertical, along with the p latform function. Then we have Mr. Joydeep Dutta Roy, who looks after the IT and the Digital piece, along wi th Retail As sets, Retail Liabilities and some p latform functions. Along with him, Mr. Lalit Tyagi, who looks after Corporate Credit, Industrial Banking, Treasure and some of the HR functions. And as you know, Mr. Ian Desouza, the CFO of the B ank; you know him well. So , for this conversation, we all are available. Over to Ian for taking you through the presentation, and thereafter, I'll have my opening remarks.

Mr. Ian Des ouza: Thank you so much sir. First off, we've had a very good set of numbers in terms of business. Our global advances grew at 18%, domestic grew at close to 17% and international advances grew at around 23%. In terms of our domestic numbers, they were led by strong growth in our Retail, of close to 24%, and also supported by growth in Agri, MSME and C orporate. As you will see, across segments, we have grown in Retail, le d by home loan, mortgage, educa tion and auto loans. In terms of unsecured, our book size is quite small compared to some of our larger peers, in terms of total proportion, but we grew at

82%.

In terms of our deposit growth, ou r total deposits grew at 16.2% and our domestic deposits grew at close to 16%. As you will see our domestic CD ratio is very comfortable, we are still at around 75 -76% levels. But it has improved in terms of deploy ment from a year ago. We are about close to 3% higher than a year ago. Our global CD ratio also improved significantly demonstrating that we have put to work our deposits.

In terms of yield on advances, from a year ago, we have smartly grown our yield on advances to 8.4%, and this is higher than our full year average for FY23 of 7.54%. In terms of cost of deposits, as you probably know, cost of deposits have gone up in the market, and the same has happened at BOB as well. However, if you see the net outcome of all this, which is our Net Interest Margin, that has gone up by 25 bps year on year.

In te rms of our Net Interest Income that has grown by close to 25%, Operating Profit is up by close to 73%, Profit Before Tax is 106% up and Profit After Tax is almos t 88% up year on year.

Now we come to some of the asset quality and balance sheet strength ratios. Our GNPA has come down tremendously, it's almost half to reach 3.51%, and NNPA is below the 0.8 % mark. We've seen our provision coverage go up smartly, it's now almost 93.23 % for all our loans, including the technically written off loans. In case of slippage, that ratio has come down. So basically, lesser loans have slipped during the quarter as compared to the quarter

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a year ago. So, our slippage ratio is 1. 05%. Our credit cost, our reported credit cost is 70 bps, but we have taken significant provisions for strengthening our balance sheet, and we've taken a INR 200 crore floating provision. Net of these, our adjusted credit cost would be just 44 bps.

In ter ms of SMA, we've been reporting lower SMA numbers trending quarter on quarter. This quarter, there was one large account, an aviation account for which we'd already taken provisions last quarter, and have ramped up those provisions this quarter. Excluding that one account, our SMA 1 and 2 above 5 crores would be 29 bps. In terms of collection efficiency, our collection efficiency has been 98% throughout, and this quarter as well, there was just one account which was collected a day after the quarter end, wh ich pulled down our collection efficiency. But for that one account, our collection efficiency would have been little above 98% at 98.86%.

Another number to look for is the capital adequacy. That has continued strengthening on the back of internal accrual s. As of the end of the quarter, our capital adequacy was reported at 15.84%, but however, if you include the profits of the quarter, net of the dividend pay-out percentage, our capital adequacy would'v e been higher than the last quarter , and would've been 16.29 % and our CET would be 12.39 %.

Thank you very much for being part of our presentation. I'll ha nd it over back to Phiroza .

Moderator: Thank s Ian. Cha nd saab, would you like to make some opening remarks?

Mr. Debadatta Chand: Yeah. So, once again, go od afternoon ladies and gentleme n, and thanks for sparing your Saturday afternoon for us. Though the June quarter is normally considered a moderate quarter, but then, I'm very happy and delighted that we have a very strong all -round performance, focus on r obust profitability and a strong growth momentum. And also, we are maintaining our journey towards asset quality. The result is reinforcing our commitment for excellence and sustainable growth.

If I talk about the credit growth in our loan book, the growt h has been 2.2% sequentially, quarter to quarter, and 18% YoY with a retail growth of 3.4% quarter to quarter and 24.8% YoY. We continue to maintain our guidance of growing above the industry by 1 -2% on the overall book , and also 4 -5% higher on the retail book. Our overall guidance for FY24 estimate is that loan growth would b

e almost at 14 -15%, corporate growth would be around
12-13%, retail would be 18 -20% and international would be around 15% in line with the book growth. As far as the mix of the book is concerned, we have also earlier given guidance that, we wish to grow robustly on the retail side. So, on a medium -term, we're looking at a corporate 30% and non -corporate 65%.

As far as NIM is concerned, we have seen, a marginal reduction on a quarter to quarter . But, the NIM margin still continues to be very strong. Last year, the full year NIM was 3.31 %, and far as our guidance is concerned, we continue to maintain the guidance of the NIM to be around 3.3%.

Cost to income is one of the prime focus as f ar as our strategy is concerned going forward. We have seen a reduction in the cost to income ratio, where although not giving any guidance in terms of numbers, but then we strongly believe that the process automation

journey that we've undertaken, it woul d give us a substantial leeway to reduce the cost to income ratio.

Another important aspect for the corporate book is that, we have introduced the concept of Share of Wallet (SOW). And, we also announced the year FY24 as the year of Fees and F lows i.e. F& F. We are focusing significantly on the CMS business. We are also focusing on the wealth side of the business, and also the c ommission and fee business. T his quarter has also seen some kind of significant movement on the fees and flows, and will drive the fees and flows concep t this year very aggressively. The branches are also getting into a bit of sales culture, and we're moving away from transactional banking to more of an engagement - based relationship banking.

The profitability almost doubled, the grow th has been 88% as you've seen in the presentation. Our profit is INR 4,070 crores. And, for consecutively two quarters now, the March quarter and the June quarter, we maintain a net profit of about INR 4,000 crores. And also, we're happy to note that, in terms of the full yea r profit, this quarter profit is almost at 30% of the last full year profit.

Asset quality is a very important aspect as far as the B ank is concerned. Ian already made a comment that we are trying to strengthen the balance sheet also at this point of time. The net NPA improved to less than 0.8%, the GNPA improved by 275 bps YoY.

As we said earlier, we do have a collection vertical, which is one of the important aspects as far as the recovery and collection mechanism that is yielding p ositive dividend. And, because of that, the target for the net slippage, which is the fresh slippage and the recovery and upgradation, would be very negligible or very minimal. Rather, we'd like to pursue more recovery as compared to the slippages.

Deposi t growth is one of the important aspects in this financial year; that's an industrial trend. And, most of the banks have a lower CASA this time, so do we. We'll be pursuing very strongly on the CASA side by trying to leverage our corporate relationship for CASA. We're augmenting our distribution channel, at the same time we're also augment our relationship business based deposits. And, we hope that we'll improve the CASA growth going forward. The deposits, although being behind the asset growth in this quar ter, but we expect some kind of a growth of 12 -13% as the FY24 estimate.

With this, I once again, thank all of you for joining us on a Saturday afternoon, and we'll now go for the Question & Answer session.
Moderator: We now open the floor for Question & Answer session. I request everybody to limit their questions to two, and we will give you the chance to ask your question. You may also ask your question in the Q&A section. Thank you.
The first question is from Joel Rebello. Please unmute yourself and a sk your question.
Mr. Joel Rebello: Sir, if you could elaborate a bit more on this fees and flows model which you'll will concen

trate on this year and what has been the growth? If I'm not wrong, I think
the fee income has grown by about 18% year on year this quarter . So, in fees and flows

what is the target like? How quickly do you'll expect it to grow this year? Can you tell us anything?
Mr. Debadatta Chand: That's the concept that we have driven in this financial year. If you look at the fee -based income growth, which is part of the PPT, the growth is 18%, and this is the highest growth in any quarter, if you compared the past 5 -6 quarters. So, the focus is with regard to leveraging on the relationship side. We're pursuing the Cash Management Business bec ause we do have the CMS application which is very strong.
Recently, we on -boarded a very large customer also who is part of CMS. CMS earlier was more of a corporate product, but now we're pushing it to mid -corporate and MSME also. So when we have CMS, flo ws are part of CMS; all the cash flow of that company would be routed through the CMS. So, this is the flows that we're talking about, that my systems would capture the maximum flows that company would have. So, the drive for that is fees and flows. So, th e fees concept is to augment the fee side of it, and the flows concept is to augment the entir e cash flow of any entity who are banking with us. So, this is precisely the fee and flow. There's no target in terms of achieving any number, but the trend would be positive, because the outcome is in terms of a higher fee -based income, at the same time, higher cash flow within the system. Thank you.
Mr. Joel Rebello: Okay. A couple of clarifications on the numbers. Is there any prudential provisions that you'll have done or extra provisions that you'll have done, that you'll can share, in this quarter? I think, I heard that there's been some extra provisions done on a prudential basis. Can you explain that? And also, because the bank attrition has been in the new s for some time, I just wanted to understand, what has been your attrition for the last year, if you can tell us? Thank you.
Mr. Debadatta Chand: Before I hand it over to Ian, I just want to give a comment that, we made efforts to strengthen the balance s heet. So, that has typically been our focus, and Ian will tell you the numbers on that.
The second aspect, in terms of attrition, we don't have ready data, but I think it's very negligible or absolute NIL at this point of time, that is what my belief is. But, Ian, if you can share on the provisioning side?
Mr. Ian Desouza : Yes sir. So Joel, on the strengthening of provisions, what we did is, account specific provisions were around INR 420 crores, and we made a floating provision of around INR 200 crores. S o totally, around INR 620 crores of additional provisions were made.
Mr. Joel Rebello: Okay. Attrition, if I've seen your Annual Report, it shows 1%. I just want to cross -check whether that number is correct?
Mr. Debadatta Chand: No, it would be correct, but then, it's very negligible in terms of that. Any further data, I'll update you, but then, you go by the percentage you took a note of.
Mr. Joel Rebello: Okay. Thank you so much sir. All the very best for this year.
Mr. Ben : This is Ben from PTI. Can I have my question?
Mr. Debadatta Chand : Yeah Ben, please go ahead.

Mr. Ben: I would like to know, that your wage talks are over and that would be hopefully effective by November, w hat is the provision that you made for wage increase?
Mr. Debadatta Chan d: That's already listed therein. So, that is a total provision that we've made. I believe, that is INR 760 crores, Ian?
Mr. Ian Des ouza: Yes, correct. So, we have made provision in this quarter of around INR 460 crores. In the prior year, we made provisio ns of around INR 500 crores.
Mr. Ben: Okay. And, how much was your recovery, and how much was cash recovery?
Mr. Debadatta Chand: Khurana saab, can you just respond to this question?
Mr.

Ajay Khurana: Yes. Cash recovery is INR 986 crores towards the NPA accounts.
Mr. Ben : Okay. And total recovery?
Mr. Ajay Khurana: Total recovery is INR 1,937 crores, and INR 663 crores is for written off accounts.
Mr. Ben: Sorry, what is the total?

Mr. Ajay Khurana: INR 1,937 towards NPA, and another INR 663 crores from written off accounts.
Mr. Ben: And what is your recovery target for the year?
Mr. Ajay Khurana: INR 12,000 crores.
Mr. Ben: Okay. Anything that you have planned or identified for sale to NARCL?
Mr. Ajay Khurana: Yeah. Two accounts we have already identi fied and selected. Rest others are under process.
Mr. Ben: How much is that sir?
Mr. Ajay Khurana: Total amount a ctually, from the earlier list, all now have gone. New list, new accounts are getting identified and then they are getting evaluated. So, the exact data cannot be given at this juncture.
Mr. Ben: And how much is your exposure to Go Air ?
Mr. Debadatta Chand: See, that was clarified last time. Actually, already data was given last time. Out of that, we had a substantial ECLGS provision. Out of th e balance amount also, there is a hard collateral to the extent of 50%. Balance, we have already provided more than that. But, as far as the acco unt is concerned, going forward, we expect full recovery.
Mr. Ben: Do you have exposure to Bombay Metro Line 1 ? Ambani Group Metro Line 1?
Mr. Debadatta Chand: I mean, that’s a bilateral thing, we don’t discuss, neither we share the exposure therein, sorry.
Mr. Ben: Either way, there is NCLT. That has gone to NCLT, so, why not?

Mr. Debadatta Chand: There is hyg iene around that, but then, I would say that, bilateral things we normally don’t discuss. So, NCLT, the details would be available to you otherwise, right?
Mr. Ben: Okay. And, what is your treasury income?
Mr. Debadatta Chand: So, treasury income , the en tire treasury is INR 1,152 crores, out of which, the recoveries are roughly around INR 625 crores , treasuring trading profit INR 331 crores , exchange profit is INR 196 crores . So, it’s summing up to INR 1,152 crores .
Mr. Ben: Okay.
Moderator: I request y ou to join the question queue.
Mr. Ben : Yeah, I’m done.
Moderator: The next question would come from Vishwanath Nair of BQ Prime.
Mr. Vishwanath Nair: Hi, the question I had was with regard to your corporate portfolio. Now, the composition of the portfo lio shows that A and above rated is over 85%, I think 87%, if I’m not wrong. Is that one of the reasons why your margins have dipped also, because pricing in those segments is becoming finer and finer?
Mr. Debadatta Chand: No. See, the issue is, NIM bit o f around 3 bps is not because of anything on the loan side. In fact, it is mostly because there is a cost push happening on the liability for all banks. See, all the liability that we raised last year, the impact would not have been full year for the last year. So, that’s a trend for all banks in this year where the cost is catching up, because the cost of deposits slightly moves with a lag time. So, that’s precisely the reason for a bit of compression that is on the NIM side. But, as far as full year’s pro fit is concerned, if you compare the NIM vis -à-vis June quarter last year, it has improved substantially, right? If you look at the exit NIM of March 2023, then there’s a bit of compression there. But then, overall NIM of 3.3 %, we’re holding that guidance 3.3% for FY24 also.
Mr. Vishwanath Nair: Okay. The other part is on the international book. Now obviously, that is growing faster than your domestic portfolio. Just yesterday, the largest lender in the market highlighted lot of evolving scenarios in the i nternational markets, and they are going to go slow as far as their lending is concerned. I’m trying to understand what Bank of Baroda’s strategy is?
Mr. Debadatta Chand: See, we’ve also aligned a similar strategy. In my openin

g address
also, I said the gr owth in international would be in line with the domestic growth. So, the growth we are expecting for FY24 is around 15%, which is the domestic growth also, unless and until the currency fluctuation impacts that growth. But on an organic scale, we’d like to grow at around 15%.
Mr. Vishwanath Nair: So, are you saying that going ahead, it might slow down a little bit? Maybe this is just a quarterly…
Mr. Debadatta Chand: Slow down as compared to last year, yeah.

Mr. Vishwanath Nair: Understood sir, okay. And, one last question on the asset quality outlook. You said INR 12,000 crores were the recovery targets, but overall by the end of the year, where do you want your GNPA and NNPA to be at?
Mr. Debadatta Chand: Khurana saab, can you take this?
Mr. Ajay Khurana : Yes, it is INR 12,000 crores. Any question on that?

Mr. Vishwanath Nair: My question was, on your GNPA and NNPA targets for the year?
Mr. Ajay Khurana: See, GNPA and NNPA level you are asking about?
Mr. Vishwanath Nair: That's right.
Mr. Ajay Khurana: See, th e guidance for gross NPA is , total recovery is INR 12,000 crores. Guidance will be around 3 and a half. And, for ne t NPA also, we're presently at 0 .78%, so 0.75 %, is what we initially thought of, that was our plan.
Mr. Vishwanath Nair: Would you be r evising these guidance going ahead?
Mr. Ajay Khurana: No, this Go Air has already hit for us. So, let us see. This we can do in Q3. Q2 of course not, Q3 we might consider that.
Mr. Vishwanath Nair: Alright. Thank you so much.
Mr. Debadatta Chand: If I su pplement Khurana saa b, the overall guidance is trending downward is the guidance we give, both on the GNPA and NNPA, but this is based on the outlook as on today, right? So, depending on the scenario, it can change, but the efforts would be to trending bot h GNPA and NNPA downwards.
Mr. Ian Des ouza: If I may just supplement sir?
Mr. Debadatta Chand: Yeah, please.
Mr. Ian Des ouza: In terms of guidance, typically what we do is, we give you a credit cost guidance and we give you a slippage guidance. I think, GNPA and NNPA are more an outcome. So, I think if you look, our guidance is consistent of slippage of between 1 to 1.25 %, and you already have a guidance on recovery. So, whatever else, will be more an outcome rather than a metric.
Mr. Debadatta Chand: See, as far as the credit cost is concerned, last year it was 0.53 %. But, the guidance also we'd given last time that was maintained below 1% and that guidance would continue. And, as far as slippage is concerned, the guidance that we'd given last time, we'r e maintaining the same guidance of 1 to 1.25 %.
Mr. Vishwanath Nair: Alright sir. Thank you so much.
Moderator: The next question is from Abhijit Lele of Business Standard.
Mr. Abhijit Lele: With regard to the international territory, you will align it, t hat is clear. But in terms of the territories, which ar e the ones which will see a marked slow down and you will recalibrate the strategy?

Mr. Debadatta Chand: I'll make my initial comment and then I'll ask Tyagiji to supplement that. The initial part is t hat, our major growth territories have been the US, UK and UAE, and to some extent Singapore and Australia. So, as on today, as far as the outlook is concerned, all the territories which I mentioned, in terms of NIMs are doing pretty well. In Africa, we have the entire business on the subs idiary mode. Wherever, but the Bank is very clear, wherever we are not getting the requisite return on capital, possibly may look for downsizing or puttin g less focus therein. But, where we are getting substantial return, both in terms of ROA and NIM, we'll continue to grow in those markets. So Lalit ji, anything you want to supplement on this?
Mr. Lalit Tyagi: One thing I could say is that, you would've noticed, that as we progress in the year, probably the base effect will also have

its own course. That will moderate the
growth in terms of percentage. And also last year, some amount of growth in Rupee terms was witnessed due to the Rupee depreciation vis -a-vis the Dollar and other major currencies. And, we hope that this ye ar, probably this may not be that large. So, all in all, we maintain that our international book should grow around 15%, what we have guided.
Mr. Abhijit Lele: Okay, fair enough. In terms of the CASA, yes, it is a secular banking phenomenon. But, are you w itnessing some kind of a slow movement of money from the SA to the term, now that interest rates are more or less stabilizing?
Mr. Debadatta Chand: No, that's very fair thing for a market . But, as far as the outlook on interest rates in Indian conditions, as on today, it's very stable now . But the focus, as far as the B ank is concerned, because we do have large digital penetration and also networking, we'll try to augment with regard to CA SA growth. So, Joydeep ji, if you can slightly highlight with regard to st rategy we have on the CASA side that would be useful.
Mr. Joydeep Dutta Roy: So, just to add, on the CASA, of course, as we'd already discussed earlier, the guidance on the NIM is there of maintaining that NIM. So, we are looking on the deposit front, strategies which would be NIM accretive. So, on that side, CASA and the low cost deposits, assume a lot of importance. So, from that point of view, even though the CASA growth that we have seen is around 5.5 %, but the focus of this year is to get it to double -digit growth on CASA through a combination of a few strategies that we would like to implement throughout the year, and that will definitely help us in improving the CASA. So, one of the strategies that we are looking at, is as again, what MD sir was mentioning on the fees and flows concept. In the fees and flows concept, the flows again, come through a lot of the merchant flows that happen. So, on the merchant flow side, the current accounts become very important. So, we are targeting the merchant fl ows in a very active manner

this year. The POS, IPG penetration, etc., we are looking to penetrate in a much more deeper way this year.
Apart from that, the salary accounts, institutional accounts, we are creating sales teams across branches, across vario us outreach points, etc. wh ich would help us canvas more salary accounts and institutional accounts. Again, there's a flow concept here, and that again adds to the fee and flow concept that we have been speaking about.
And plus, the Relationship Manager c oncept at various vertical s, whether it is corporate, whether it is MSME, because each of the corporates, MSMEs, there's a CASA leg there also

for all the corporates, all the MSMEs also. So, the Relationship Manager would look at those aspects also and tie it all in as we look at the growth for CASA for this year. So, those are some of the strategies that we're working on, and I think, all those strategies would be very NIM accr etive for the B ank also. So, that's how we plan to take it forward.
Mr. Debadatt a Chand: Just to add to Jo ydeep's view, see, currently the current structure is that the branches are the retail branches, but there is no adequate sales support therein. So, the orientation we were trying to change is towards sales support so that they gr ow. And that, typically would generate the delta that you're talking about, slightly growing higher than the market.
Mr. Abhijit Lele: Okay. Last is a small about the state of Manipur. It has been in the state of disruption for long. What exactly is the e xposure across altogether to the customers or entities there? And, how much has come for restructuring? Is there any data there that you can share?
Mr. Debadatta Chand: Sure. Nothing much to add at this point of time. Like any market participant, we are al so a market participant, and frankly, I don't have that data as of this time.

So, if there's anything that we can share, then we'll share. But, we're one of the market participants and we're playing in line with what the market does vis -à-vis the reference that you're making.
Mr. Abhijit Lele: Okay. Thank you.
Moderator: The next question is from Piyush Shukla of Financial Express.
Mr. Piyush Shukla: Thank you for taking my query. Firstly, I wanted to ask Joydeep sir if there's any update on the BOB finan cial solution stake sale that we're looking to do? Any update there?
Mr. Joydeep Dutta Roy: So Piyush, like we also shared last quarter, the process has gotten started. And, as part of the process, we had created a data room etc . where we had engaged cons ultants for doing the legal due diligence and financial due diligence. Those processes have been completed, and the data, etc. has been shared with the prospective strategic investors and bidders. S o with that, the process has started. But again, there is a time which the investors would probably take to evaluate and come back with firm binding proposals or offers. And with that, I think we would be able to take it forward. So, that's where we are in the process. The process is on, very much.
Mr. Debadatta Chand: Just to add on this. See, all our decision triggers to all this would be based on two factors. One is, the valuation and the m arket conduciveness, right? So, that adding to in terms of evaluating everything. Thank you.
Mr. Piyush Shukla: Would it be possible for the sale to go through this year in H2, or will it take more time?
Mr. Debadatta Chand: My last statement was more towa rds that. All would depend upon, we are on track with regard t o what Joydeep ji said on that, and it looks very positive at this point of time. But, everything would depend upon the valuation and the conducive market

there in. So, that may crystallise into the timelines that you're talking about, and it may also not be also in that way .
Mr. Ian Des ouza : Can I add one point h ere? There would also be a regulatory process that we need to follow. So, this would all be subject to what Chand saab already said, and the regulatory permissions that is require d. So, it's not something we can actually put a date to.
Mr. Piyush Shukla: Okay, fair enough. Just two queries. Firstly on treasury income, what is your guidance for the full year, because like you said earlier, 4 -5 quarters was really negligible in terms of growth? And, we were actually saying the treasury income being in minus. So, what's your outlook there? And secondly sir, as a percentage of your OpEx, how much of spends will you make in the digital side on your app and upgrading your digital capabilities, sir?
Mr. Debadatta Chand: So, if I respond to the first point with re gard to treasury, again, you know that treasury, both in terms of income and trading income, are both market -linked. So, it all behaves the way the market, the rate of interest structure moves, the income moves. But if you look at the last full year, where the treasury income in terms of profit not being very high, but the income growth has been very robust, if you look quarter to quarter.

And, as a normal yardstick, what we follow within the treasury, is that my income growth has to be higher than the book increase. And, that's the delta that we talk about. And all the quarters, we are following this yardstick of the growth in income being higher than the book increase, at the same time, optimising on the trading profit.

So, if I see, as on today, the rate outlook looks very stable, as far as India is concerned, but, there are global headwinds in terms of the regulators in other markets may increase their rates. So, it's a very mixed kind of a scenario, but it's very stable at this point of time. Any rate re versal happening this year, then possibly, the trading income in terms of profit would go up. Otherwise, we'd hold the same kind of guidance i

n terms of the performance that we have done for the 1st quarter. And on the OpEx side, Ian can take this question . No, Joydeep ji, can you take this question.

Mr. Joydeep Dutta Roy : I'll take this question. So, on the digital front, see Piyush, I think investments in techn ology is actually now very much almost an imperative. All banks run huge technology infrastructu re and a lot of the banking is now moving into technology platforms, etc. So, with that, our investments in technology, infrastructure, processes, security, all that is also going up very substantially. So, we will be making significant investments as far as the technology is concerned, both on the automation side, as well as on the infra side. So, both are being given almost a very disproportionate, sort of, share in the overall expenditure increase that we have for the Bank.

Mr. Piyush Shukla: Do you hav e any figure in percentage terms, sir?

Mr. Ian Des ouza: So I would say, maybe a 50% increase is definitely there for this year, given that we are running very large projects on the technology side this year. We are having a very expa nsive project on the ov erall digital architecture for the B ank. We are also running a project for the entire cloud migration. So all that, again, have large investments. So, I think, at least around a 50% increase is definitely there.

Mr. Debadatta Chand: Just to add to the poi nt, see, the current budget outlay on the IT and IT infrastructure is the existing strategy on the IT and IT platform. This year again, we have taken a task of a process automation. Lot of processes which are not fully automated, we'll try to automate that . So, any additional budgeting also required for that purpose, we'll be doing that. And secondly, when I took a call with regard to cost to income ratio, actually the delta that you're looking at, which would be lowering cost to income, ca n also come to a large extent from the process automation.

Mr. Piyush Shukla: Okay sir. Thank you so much, and good luck.

Moderator: The next question is from Ram Kumar of Hindu Business Line. He has typed his question, I'm reading it out. Why is the consolidated net pro fit down? Can you give us an update on divestment of Nainital Bank? And third, is the current level of capital enough to support 14% credit growth? Thank you.

Mr. Debadatta Chand: So, let me take the second and third point. The third first. The level of capital is quite adequate to take a 14% growth requirement. And, the current level of capital is almost at 15.85 %, and if you add back the profit of t his quarter minus some kinds of assumption on dividend, it is way above 16%. So, it's fairly capitalised at this point of time. Rather, we do have a mandate to raise INR 5,000 crores of tier 1 and tier 2, but that we are not doing because of the level of capital. So, as far as the growth capital is concerned, within the existing capital level, there is substant ial com ponent for growth capital; the B ank would be in a position to sustain.

On Nainital Bank, again I say, these are all on track. But, all would again, depend upon t he market conduciveness, the kinds of regulatory permissions . So, definite timelines wo n't be possible, but the bank would be making all efforts to do that. Joydeep ji, do you want to supplement anything further on Nainital Bank?

Mr. Joydeep Dutta Roy: Yes, of course. It would be very difficult to give a timeline to Nainital Bank, because the re's regulatory permissions, etc. required. So, while the process is on, it will again require regulatory clearance, etc. So, we cannot put a timeline to that.

Mr. Debadatta Chand: And Ian, can you take this point, why the consolidated profit has been low er than the standalone profit?

Mr. Ian Des ouza: Yes. So, there are two things. One is, if you look year on year, the consolidated profit is significantly higher. But, if you see quarter on quarter, there is

a dip in the consolidated profit. A year ago the consolidated profit was INR 1,943 crores, and this quarter it is INR 4,452 crores. So, there's a significant increase.

But, if you see sequential quarter, it was INR 5,255 crores in the March quarter. But if you realise, Bank of Baroda is the biggest com ponent of the consolidated profit. And, in th e consolidated profit of INR 4,452 crores, Bank of Baroda itself is INR 4,070 crores. So, QoQ, Bank of Baroda profit was sequentially a little down, it was INR 4,700 in March, and now it is

INR 4,070. So largely , that explains the sequential quarter dip. But, year on year, there's a significant increase.

Moderator: Thank you. Now we are moving to Ankur Mishra from ET Now.

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Mr. Ankur Mishra: Hi, I just wanted to understand more on your retail strategy. You've men tioned in your guidance as well that you want to grow at least 3 -4% there, and even the results in the current quarter shows that number. So, what steps are you taking for tha t kind of growth? Is your digital strategy working on that front?

Mr. Debadatta C hand: Thanks Ankur for asking this question. The strategy is very clear for us. Actually, a co uple of things that we've done, yes, digital is also one of the main channels for the growth of this one.

Secondly, on the retail asset side, there are couple of new things that we're trying to do. One is, with regard to revisiting all our channels for that. The channe l can be a branch, the channel can be some kind of a DST model, and the channel can be in terms of the way we look at the entire business growth to happen. So currently, if you look at the momentum for the last couple of quarters, clearly the momentum is on the upswing. Supposing, I give a guidance continuing the same momentum, the existing channel would be sufficient to drive that kind of a momentum. Secondly, as I said initially also, how do I look at the entire organisation to be? We are putting a lot of re -orientation towards sales focus. So, currently, we do have sales channel to support the growth in retail, but now we're going to augment the sam e.

Secondly, when I talked about fees and flows, particularly the aspect of flows, we are trying to capture that wholesomely for many of the customers. And the moment you get the flows, then you have the data points to customise products for the customers . So, there are couple of strategies wherein, possibly, if I say that I contain to maintain the momentum, that is already there for the last couple of quart ers. But beyond that also, the B ank would be trying to create that so called delta, by initiating so me new strategy to augment the grow th on the retail front. Joydeep ji, do you want to supplement anything further on this?

Mr. Joydeep Dutta Roy: Yeah. So, just to supplement what the MD said, I think on the retail growth, we have been growing very well. O f course, the market is also buoyant. And as guided, we will go higher than the market, at least 4 -5% which we have been doing over the last couple of quarters also. Some of the steps, I think on the processing centres, we are making some changes in the wa y we used to process the loans, etc. We had a centralised processing centre. We are now making it much more decentralised, which will speed up the amount and volume of loans that we can handle, and also in much quicker time than earlier. So, we are going i nto a concept called RAPC – Retail Asset Processing Centres, across all these zones and regions. So, that itself will be a sort of a big milestone in our efforts to decentralise and have a much more quicker processing of the retail loans, and with that we'll be able to help our retail growth strategy also.

Plus, as the MD mentioned, there are various channels we'r e looking at, the DSA channel, DST. Project approval is a very big piece which we are looking at. We are revamping how we do project approvals wi th creating small teams f

or project approvals at various levels, which again will help us take the number of approved projects in the B ank from the current figure to almost three times. So, those are some of the strategies that we are putting in this. I think, we'll continue the growth momentum as we have showcased in the last few quarters.

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Mr. Debadatta Chand: Just to add to what Joydeepji has said, actually, it's not exactly decentralisation, but we're trying to have more processing centres in different geographies with the same control mechanis m in place. So, to that extent, please take it in that way.

Mr. Ankur Mishra : Okay, got that point. And, another thing at the risk of repetition, I would like to ask about net interest margins sir? What has been th e reason for a decline QoQ? And, can you also elaborate a bit on how you'll be able to maintain the margins at this level or even better?

Mr. Debadatta Chand: So, that's a very fair question. As we initially also said, June is normally a modera te quarter. But, we booked the trend and have given very fantastic numbers this time for June. Typically, the Q4 of last financial year and Q1 are typically not comparable, because the NIM also, to a large extent, depends on lot of income that we booked in the last qu arter, a one -off kind of thing. So typically, it is not comparable, because, if you see, the last quarter NIM on a global scale was 3.51 %. So, that is typically not comparable with Q1. So, Q1 should be compared with Q1 of last financial year, particularly on aspects related to income and cost side of it, one.

Secondly, there is no denying the fact that, the cost of deposit would catch up with a lag. But, there are two numbers which typically can satisfy your requirement. That's as far as the repri cing of l arge components of M CLR loans are concerned, these are not fully repriced as on today, because there is a reset that has to happen after one year. So, there's a bit of

offside available on that count also.
Thirdly, when I talked about NIM and cost to inco me, these are both linked, and we are making substantial efforts to reduce the cost to income ratio. So taking all together, I believe that the NIM can be maintained, but we sai d it's around 3.3 %. And, also as Joydeepji said, we have taken lot of measures with regard to NIM accretive measures. NIM accretive measures, one can be slightly growing higher on the CASA front. I mean, slightly also, when I talked about fees and flow, overall profitabili ty, beyond NIM if you go to the RoA level , then we're augmenti ng the fee side as a focus area for this year. So, to sum it off, we maintain the NIM. At the same time, our guidance of ROA above 1 %, I believe, is a sustainable one going forward.
Moderator: Thank you sir. We have a couple of questions in the Q&A box ag ain. This is from Kshipra Petkar of Informist. Could you please repeat the target for advances in FY24? Also, where are you seeing slippages coming from? Our fresh slippages inc reased on quarter. What is the B ank's outlook on cost of deposits? When do you see it falling? Thank you.
Mr. Debadatta Chand: Thanks Kshipra. The target of advance, already I said, although we have a track record , because of the good market conditions we are in, delivering more than the guidance. But then, the target loan growth wo uld be overall book size 14 -15% for FY24 estimate. The corporate out of the entire book would be growing at 12 -13%. The retail would be growing, 18 -20%. The international, which is also a subs tantial book as far as we as a Bank is concerned, would be growi ng at 15%. On the slippages part, I think, Khurana ji, would you want to take this up?
Mr. Ajay Khurana: Yes. Actually, if we look at YoY, slippages have reduced from 1.71 % to 1.05 %. Sequentially, from March, there's a little increase i.e. a few accounts in corporate

and few slippages in retail, which we could control in March, they have

slipped. Otherwise,
there is no big increase in any slippages.
Mr. Debadatta Chand: Just to add, if you look at the absolute slippage, always the book has gone up. Because the book has gone up, absolute also, marginally somewhere it would increase, somewhere it would decrease. So, in that way, we don't foresee much of slippage going forward.
And the third aspect, cost of deposit, again, cost of deposit is all a factor of th e rate cycle in the entire economy. But I believe, it has stabilised at this point of time, because you are seeing no further movement for the last 3 -4 months, and we believe it will continue to be so. One thing last time we said is that, as far as the hig h-cost deposits that we have raised, these are all short -term in nature. Rather I would say, there's much more traction in terms of the reduction in cost of deposits the moment there's a reversal happening on the rate cycle.
Moderator: Thank you sir. I'm now going to Hamsini Karthik from HBL.
Ms. Hamsini Karthik : Hi sir. You gave a very nice strategy on your approach to corporate banking. This is pretty much at par with what most private banks do. There is a bit of CMS, CASA, everything that banks buy. So in that case, where does BOB really sort of get its right to win? Is it just on the pricing part? How else do you find yourself differentiated sir?
Mr. Debadatta Chand: I believe, this is a very fair and strategic question. Again, CMS is part of my overall strategy with regard to fees and flows, right? So, if you look at most of the PSU peers, the fees as a percentage of the total income is slightly lower in comparison to some other private sector banks that you talked about. So, my corporate banking now le verages me in terms of both, fees and also flows. Flows would give me slightly more data points to move away from asset -based finance into cash -flow based financing. Those are all important for me.
So, the winning strategy here, I believe, is not only the strategic part, but also on the delivery side mode. On the delivery side mode, when I talked about process automation, the entire corporate process credit delivery is under focus now to improve efficiency there. The second is the service side. Mr. Joydeep also talked a bit on the TAT side. So, TAT is one aspect that we're very closely looking at.
The t hird is with regard to the more, we have segregated the relationship management from the underwriting side. We have hired a market professional on the relat ionship management side. So, the relationship management concept is not only going to be on the corporate side, it's going to be on the mid -corporate side too. Last year, we also announced one strategy saying that we opened 19 odd mid -corporate branches. T his year again we'll be scaling that up. These are couple of strategies, which I think, would be a winning strategy to create that delta right for me, and that differentiation that you're talking about, in terms of me or any other bank in that comparison.
Ms. Hamsini Karthik : Thank you sir. The second question is, this is also your first quarter that you're addressing media post results, and first quarter since you've taken charge.
Would you wan t to redefine the focus of the B ank? That's because, BOB has s een a massive

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overhaul in terms of approach, etc. in the last 3 years. Where do you think there is still gaps to be filled here?

Mr. Debadatta Chand: Absolutely. Let me also say that, I was part of the earlier management also. So, I've spent alm ost more th an 2 ½ years in the B ank. And, everything that we have done with regard to creating efficiency in the B ank, all this strategy stance would continue. So absolutely, since I was part of the earlier management and now MD & CEO, the focus on the same would con tinue. However, the dividend has been very positive for the B ank.

There are two aspects that we talked about, slightly giving some kind of an ext

ra focus.

What is that extra focus we're talking about? One is the fees and flows. So, this is a concept that we built in this year with regard to fees and flows. The second aspect we talked about is the p rocess automation. See, we have the best of products, best of people, but at the same time, I need to look back at the process part of it. So, we are trying to c reate a huge journey in terms of creating the process automation. So, I believe, with these two extra focus, we can still create the right. See, the market is always in some kind of an agile mode, competitive mode. We as a bank also need to be agile and co mpetitive, and are trying to change ourselves to the extent of the market demand changing. So, I think this is a combination of few things; continuation of all strategies which are giving very positive dividend at this point of time, changing my requiremen t of strategy depending on the market condition evolving, and also keeping in mind some of the structural things like process. Fees and flows would give us the right dividend, is what I think, going forward. And thank you, this is my first press release. I 'm very happy that we've given very strong results in the first press meet. Thank you very much.

Ms. Hamsini Karthik : Great sir. Sir, one more question as an add -on. You've also slipped in terms of your business size post the HDFC merger. Now you are in t he No. 3 level, and the differential with PNB is also sort of gapping down. Is that something that, at a strategic level, you would want to get back to the position? You'd held it for quite a bit of years now.

Mr. Debadatta Chand : So, this is a fair quest ion. Actually, if you look at the earlier articulation which my predecessor also mentioned multiple times, in terms of business strategy, we clearly look at three building blocks. The first thing is the asset quality and the underwriting scheme. The second block is with regard to the profitability and the margin, and the third is the growth. So, growth has never been our key target, but then, sometimes it's an outcome of the first two strategies. So in that way, we'll maintain the position. We'l l continue t o guide the market, guide us with regard to all these three pillars. And in the process, suppose we again get some more market share, we'd be very happy to do that. But, there is no specific strategy to be getting into No. 2 or any other position, for that matter. But, I believe, our focus has been quite strongly on sustainable business, our focus is quite strong with regard to all the three building blocks that we talked about, and that would help us to possibly close the gap in the near future.

Ms. Hamsi ni Karthik : One last question sir, this is more from an understanding perspective. What would be the differential in interest cost on your SA over INR 1 crore and your lowest tenure TD, term deposit?

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Mr. Debadatta Chand: Can you come again?

Ms. Hamsini Kar thik: Sure. What would be the pricing or the rate differential between a savings account more than INR 1 crore, and your lowest tenure term deposit? I'm trying to see if there is a narrowing of rates

Mr. Debadatta Chand: Yeah. You're talking about 7 -14 day s deposit cost and the SA cost, right?

Ms. Hamsini Karthik : Yes.

Mr. Debadatta Chand: It may be 0.25 to 0.5% at best.

Ms. Hamsini Karthik : Okay. Thank you sir.

Moderator: Thank you everyone. We'll have to leave it here. Thank you all for joining us. There are few questions we couldn't take, sorry about that. Thank you all for joining us. Have a good day!

Mr. Debadatta Chand: Thank you all. Thanks for sparing your Saturday afternoon, and hope that we'll meet physically sometime later. Thank you very much.

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Call: Nov 2023

BCC:ISD:115:16:248 09.11.2023

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Mumbai – 400 051
CODE-BANKBARODA

Dear Sir / Madam,

Re: Disclosure under Regulation 46(2) (LODR)

We enclose transcript of Analyst and Media Meet held on 04.11.2023 for Q2 (FY2023-24) Financial Results.

We request you to take note of the above pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015 and upload the information on your website.

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Bank of Baroda Analyst Meet for Quarter ended 30th September 2023
4th November 2023

Participating members from the Management Team of the Bank
■ Mr. Debadatta Chand , Managing Director & CEO
■ Mr. Ajay Kumar Khurana, Executive Director
■ Mr. Joydeep Dutta Roy, Executive Director
■ Mr. Lalit Tyagi, Executive Director
■ Mr. Lal Singh, Executive Director
■ Mr. Ian Desouza, Chief Financial Officer (CFO)

2 Moderator: Good afternoon everyone and welcome to the analyst meet for Bank of Baroda's financial results for the quarter and half year ended 30th September, 2023. Thank you all for joining us. We have with us Mr. Debadatta Chand, the Managing Director & CEO of Bank of Baroda and he's joined by the Bank's Executive Directors and the CFO. We have a short presentation followed by brief opening remarks by Mr. Chand and then the Q&A session. Chand Sir, over to you.

Mr. Debadatta Chand : Yes, good afternoon all. Before we start, let me introduce the entire team. I'm D. Chand, the MD & CEO. Along with me we have , Mr. Ajay K. Khurana, he looks up at the entire MSME vertical alon g with other platform function. Then, we have Mr. Joydeep Dutta Roy. He's the Executive Director looking after the retail part of the entire book, both on the Retail Asset and Liability. Then, we have Mr. Lalit Tyagi. He is the Executive Director. He is looking after the entire corporate book of the bank along with the International Banking and Treasury, and again pleasure to introduce for the first time Mr. Lal Singh, who joined as Executive Director and he is looking after most of the platform functi ons, including the IT and the HR. We have the CFO, Mr. Ian Desouza, whom you know since long. So, over to you, Ian.

Mr. Ian Desouza : Thank you, Sir. Can we have the PPT please? Can we move ahead? Good afternoon, everyone. So, to take you through highlights of our results. During the quarter, our global advances grew 17% supported by strong growth in domestic at 16.5% and international at 21%. Within our domestic advances, retail advances grew 22%, Agri grew 13%, MSME continue d the trend of growing 12% to 13%, and corporate advances after a long time showed strong growth at 16.5 %. In terms of our diversified retail loan book, our home loan book is growing at 16%. Education and auto loans are growing at 18% and 21% respectively. Personal loan growth has been 67%, but here on, our growth may moderate a bit.

Next , in terms of our liabilities, our total deposits grew almost 15%. Our CASA, growth was a little muted at 4.5% year -on-year. Domestic term deposits grew at 17.7%. A notable fact here is term deposits on the retail side have shown sequential growth and the growth in bulk deposits from double digits last quarter

sequentially has moderated down to single digits.
In terms of our CD ratio, our domestic CD ratio is more or less in line with the CD ratio we printed in last quarter, though it is about 450 bps higher than a year ago.
Moving ahead please. NII for the half year has grown close to 15% year -on-year. Operating profit strongly printe d at 50% higher year -on-year. Profit after tax is also around 52% higher. ROA is a metric that we've been tracking ourselves on and for many quarters we have been at 1% plus ROA and this half year is no exception. We had 1.12% ROA as compared to a ROA of 0.84 % for the same period in the previous financial year.
Next please. The same metrics if you look at from a quarterly perspective, operating profit is up 33% on a YoY basis . Profit after tax almost close to 30% and ROA is further strengthened. It was 1.01 the same quarter a year ago and 1.14 now.
Moving ahead. In terms of deposit costs, we have seen some spike given the continuing liquidity scenario. We had expected the scenario to start to abate, but it looks like given the signals from the Fed and the regulators that this liquidity scenario will continue and elevated rates will continue for a while. So, we've seen deposit costs go up

quarter -on-quarter, but if you see H1 to H1, we have maintained the NIM, but, however,
given the steep deposit hike and the advances yields being in line with the previous quarter, we have seen some NIM compression and NIM has on a quarterly basis has come down by around 20 basis points.
Please go ahead. In terms of asset quality, you see that the asset qualit y has strengthened almost 200 bps have been shaved off our GNPA as compared to a year ago position. NNPA remains benign at 0.76 %, almost 2 basis points sequentially down. Provision coverage ratio including TWO accounts remains high at 93%. Our
3 slippage ratio looks elevated at 1.81 % as compared to the previous quarter sequentially, but however, this includes the slippage of a large aviation account of almost INR 1,773 crores. If that were to be excluded, this slippage would be just 1.08 %, which is just about 2 bps higher than the slippage in the previous quarter and within the range of guidance that we had given for slippage. Similarly, if we look at the cost of credit, it is a bit elevated at 0.92 %, but however, we'd like to call out on the non-guaranteed portion of the aviation account, we have provided 100%, so we've taken almost INR 534 crores of extra provision on that account. We've also taken prudential provision to maintain our NNPA and coverage ratios, so put together, that's almost INR 1,000 crores of provision that has been taken to strengthen the balance sheet. If that were excluded, our credit cost could be around 0.52 %. That is in line with the adjusted credit cost for the previous quarter of 0.44 %. This 0.52 % would also include a provision of INR 639 crores for the aviation account that slipped.
Please go ahead. In terms of our collection efficiency, that continues to be strong at close to 99%. The SMA 1 and 2 CRILC above INR 5 crores is at 0.22% indicating that there's no large account that's on the horizon for slippage.
Please go ahead. Our capital position remains strong. Our capital position as compared to a year ago is about 5 basis points stronger in terms of CET 1, we have 11.57%. But as you probably know, these numbers don't include the profit for the half year. If the profit for the half year was to be included ex-dividend, our CET 1 would have been at 12.47 % and our CRAR would have been at 16.20 %, which is very close to the number we ended the previous financial year at, which was 16.24 %. That brings us to the end of my opening remarks. Back to you, Phiroza .
Moderator: Thanks, Ian. Chand Sir, can I request you to give your opening remarks, please?
Mr. Debadatta Chand : Yeah. Once again, good afternoon to all and the current quarter performance is a consistent in terms of the performance we had for the earlier quarter and also the last full financial year where the bank had a very healthy profit of INR 14,100 crore. So, mos t part of the presentation has covered the financial for this quarter, but let me make couple of comments with regard to the overall financial s.
If you look at our loan growth book, the loan grew by 3.4% quarter to quarter and 17% on YoY with the retail growth of 22.2% YoY and 5.2% sequentially. We continue to maintain our guidance of growing above the industry by 1% to 2% on the overall loan book. At the same time on the retail side, we need to grow 3% to 4% higher than the industry average on the retail book. We continue to maintain that the overall loan growth would be 14% to 16% and last time also I guided the market that we will be growing at 15% and this quarter it has been 17%. With the guidance of 14% to 16% for the overall loan book,

the corporate would continue to
grow at 12% to 13% and the retail would grow 20% to 22% and international would be around the Banks growth that is 15%. That is what the guidance is, going forward.
Our loan book strategy has been to increase our retail business aggressively. Currently, the retail is around 27% on the retail book and we intend to take it to 35% in next two to three years' time and the corporate book would come down to 35%. In terms of the NII or the Bank, already you have seen that the YoY growth is 6.5% backed by a strong loan book growth of 17% despite bitter margin compression in this quarter that we have seen.
On the NIM outlook, although on H1 scale, we maintain the H1 of last year on the NIM, but there is a NIM compression and the outlook or the guidance that we are going to give it now is around 3.15% plus minus 5 bps going forward. We had guided the market earlier that we will have a full year NIM of 3.3% as against that the guidance is now 3.15% with a plus minus 5 bps around the guidance number. On the cost to income, we
4 are again guiding the market to be around 45%. We have not added much cost with regard to the branches

or man power in this quarter.
The good part of this quarter , as you would have seen in the numbers that there is a strong fee-based income and also non-interest income. It's precisely as per the last time where we outlined a strategic initiative in terms of the year of fees and flows. We are seeing significant traction on this concept. We have implemented a couple of particularly for large corporate and mid corp orate the concept of Share a Wallet, account planning, and relationship management. We're trying to have the culture of sales in branches and we're driving the bank from engagement or relations hip banking to drive across sell.
In terms of profitability, it was a heal thy profit that you have seen, a net profit of INR 4,253 crore for this quarter and this is the consistently the third quarter we are posting in excess of INR 4,000 crore. The H1 profitability grew by 52%. In terms of the last year full profit by Q2 half year of current financial year, we have almost achieved 60% of last year's full year profit. The good part is that the ROA has been more than 1% consistently for last one year and our endeavor is also to maintain this ROA guidance of more than 1% going forward.
On the asset quality, NNPA improved to 0.76% with GNPA improving by 199 bps on YoY basis. We have dedicated collection vertical for RAM which is unique in the entire PSB space.
Deposit has been growing in line with the industry. We can expect going forward deposit growth of 12% to 13%. We have calibrated the retail term deposit and wholesale deposit. We have given the breakup this time and you can see the wholesale growth in this quarter is around 3.4% sequentially, which continue to be 11% to 15% for last many quarters from now. So, considering the overall scenario we are trying to contain the growth of wholesale deposit.
Couple of things which are very important for the first time in the entire festive campaign which is normally on, during the festival time , we have started a campaign with regard to BOB Ke Sang Tyohaar Ki Umang and it is not only a campaign on the asset side, but also on the liability side. There are five new products that we introduced on the liability precisely to give boost up to the CASA, particularly the saving. BOB, Light, BOB Bro, BOB Parivaar Family Account, and BOB SDP Account and Baroda NRI Pack Account. We are seeing significant traction on all these deposits and I feel that this campaign

going forward would push up my CASA further at
the same time allow me to contain the bulk deposit and consequently improve or optimize on the NIM side. Thank you very much. We'll go for the question answer now.
Moderator: We now open the floor for question and answer. I request everybody who has to ask questions to raise their hand. Please restrict yourself to two questions at a time, so that everybody gets a chance to ask. We'll wait for five seconds for the line up to populate. The first question is from Jay Mundra. Please unmute yourself and ask the question.
Jay Mundra: Yeah. Hi, good afternoon, Sir. First question, Sir is on your international slippages. So, that has also increased in this quarter at around INR 500-crore plus. So, A - if you can provide some details as to where that is coming from and you know, could this be a bit of a recurring nature?
Mr. Debadatta Chand : So, good afternoon Jay. Its one account which slipped during this quarter and this is one account which is fully asset based. So, it's typically because of some liquidity issue, the account has slipped. We are hopeful that maybe in the coming quarters the asset is a good qual ity asset and it will be upgraded also.
Jay Mundra : And which segment would this account be, Sir? I mean which sector?
5 Mr. Debadatta Chand : It is on the typically, the real estate sector.
Jay Mundra : Okay, okay. Sure. Secondly Sir, you have revised your NIM guidance. Is this more, I mean we can see that the yields have started to flatten whereas cost of deposit is still rising? So, would that trend sustain , that yield, you know, barring the loan mix thing, barring the loan mix improvement, the yields would be more or less flattish and the cost of deposit could keep rising. Is that the way to look at it?
Mr. Debadatta Chand : A couple of things happened last time. We gave a guidance of 3.3% on the backdrop where there was an outlook at that time that the rate of interest would reverse in Q3 or Q4, but since then, the outlook has completely changed and currently if you look globally also in here in India, the outlook is higher and going to stay for longer. So, on that particular outlook, there was a cost impact therein, but if you clearly see the cost impact mainly came out of the term deposit. So, if you look at the current numbers that you have declared, we are going to have a containment on the wholesale deposit and cost on that.
So, now if you look at the outstanding, the entire cost impact has come in this quarter. So, going forward, I don't expect any further cost impact on the cost of deposit because of the higher rate in the term deposit. At the same time, as a strategy we have pushed aggressively with regard to the saving and CASA. Saving , I've already announced a couple of schemes where there is traction going on and on the CASA front also there is relationship manager again on the entire retail liability piece, we have changed the structure in terms of how do you deliver this product. So, we implemented a relationship management concept therein. So, I'm thinking that going forward the CASA would grow slightly better than what we are looking at currently. At the same time, clearly we will contain the wholesale deposit and I don't see any impact of further rising on the cost of deposit going forward and at the same time, maintaining our asset quality and the return on the asset and then possibly the NIM guidance that we are doing is going to be maintained.
Jay Mundra : Understood Sir. And Sir, just if I can ask this account which has slipped in the overseas? This is from which country I mean

because you know we have grown overseas book at a rapid pace in the last year.
So, just wanted to check you know if there is any country which I mean you men tioned the real estate, so if you can also share the country where this had slipped?

Mr. Debadatta Chand : It is in the Middle East. It is not in the US market or any other market, it is in the Middle East.

Jay Mundra: Right, right, right. So, okay and this is no India linkages, right, the group would be Middle East based only or this is like you know India based or having some JV kind of a thing?

Mr. Debadatta Chand : No, I don't think much of India exposure , they are in, but then it's basically a UAE entity. Khurana saab, anything you want to add on this?

Mr. Ajay K Khurana : No, it's a company having business everywhe re, but they're based in UAE only, not here.

Jay Mundra : Okay. Thank you, Sir. I'll come back in the queue.

Mr. Debadatta Chand : Thank you.

Moderator: The next question is from M B Mahesh from Kotak Securities. The Bank has reported a strong income in recovery from write off. How should one look at the contribution in second -half of FY24?

Mr. Debadatta Chand : Okay. Khurana saab, can you take this question?

6 Mr. Ajay K Khurana : Yeah, few one offs were there during this quarter, but you know maybe little bit here and there, but we are expecting the next two quarters also, a little less than this in write off accounts.

Moderator: The next question is from Rikin Shah of IIFL. Would you please elaborate on what is driving the strength and fee income growth and is it going to be reoccurring in nature?

Mr. Debadatta Chand : Yeah, it's very good , this typically is the strategy that we last time said that the Bank is keenly focused on the initiative called fees and flows. So, the aspect of fees that we have seen this year is particularly on the large corporate, in the mid corporate we implemented the concept of relationship manager and the idea of relationship manager is to measure the SOW, the share of wallet of all these accounts and try to leverage the main relationship for multiple other engagement and that's seeing now good traction therein. So, it's something strategic, it's someth ing structural now, and we expect going forward , the growth would continue to be there in this particular front.

Moderator: Thank you. The next question is from Kunal Shah from Citi. Please unmute yourself and ask the question.

Kunal Shah : Yeah. Hi, Sir. So, particularly on the recoveries from write off, so, the only question was when you look at it significantly higher amount this quarter , so was there any particular maybe particular account which is leading to that, so I think MB also asked that quest ion, but didn't get the reply in terms of what has led to almost like INR 1,230 odd crores kind of recovery and in terms of the outlook, should we expect that to normalize to less than INR 500 crores kind of a number or we should see this kind of trend because that is supported the earnings this quarter in particular?

Mr. Debadatta Chand : Khurana Saab can you take it and then CFO can join then.

Mr. Ajay K Khurana : Some INR 400 to 500 crores was one off in this quarter that is one ILF account was there, but what we see is in next two quarters also there are few accounts lined up. So, we are expecting almost whatever we have recovered in half year overall. For 10% here and there we should, we are expecting this.

Mr. Ian Desouza : I agree with Khuranaji's view. So, we should see around 2,000 crore level for the H2 of financial year 24 similar to H1.

Kunal Shah : Okay. So, that kind of a recovery will continue in

H2 as well?

Mr. Ian Desouza : Yes.

Kunal Shah : Okay. Great. Yeah. Thank you.

Moderator: The next question is from Sushil Choksey. Please unmute yourself and ask a question.

Mr. Sushil Choksey : Congratulations to BOB team for excellent result. Sir, my first question is our new mantra is to grow more on retail. What are the new initiatives which you would take to sustain a growth with a good margin on a year -to-year basis and does bank view that every bank is looking at retail as a priority sector in terms of growth engine? So, housing loan is concerned, auto loan is concerned, education loan is concerned, competition may not give you that kind of a healthy margin, which Bank has initiated so far. So, what would be the difference which BOB would do it if you can publicly speak about it, which would make your product more viable compared to competi tion?

Mr. Debadatta Chand : No, that's fair. Thanks for the question. On the retail asset side, consistently we're growing higher than the market. I mean that is what , it's not one quarter, it has been almost now seven, eight 7 quarters where our growth is higher than the industry average. The second aspect is very important. Recently in terms of structure of all these branches, we have segmented branches in the entire Bank now in terms of retail oriented branches, priority sector oriented branches, corpo rate branches, and all these branches as I said also initially there is a clear sales focus now and the sales focus in terms of implementing some kind of a relationship management concept about their RMs should be there now in all these branches more than what it used to be earlier, one.

The second is clearly in terms of generating bulk leads also one separate section looking into bulk leads in all these segments like if I'm talking about housing loan or a car loan or an education loan or personal loan, we are more going for bulk also.

Thirdly, if you look at Bank of Baroda in terms of other digital delivery, particularly I'm talking about the digital lending platform. So, the delivery in terms of all these loans are, I mean very competitive service the market. So, I'm typically referr ing the TAT in terms of the delivery. So, already we do have a bit of delta over the market average. Best Bank can be growing much higher than me. I know the bank that we are talking about,

but in terms of market average, I am slightly growing above the market average and that's already the USP as far as Bank of Baroda is concerned and I think the new initiative that we started to make the organization more sales focused and more of a digital orientation in terms of process delivery, one thing also last quarter we announced that we have now the regional processing centers for retail asset sanction at the regional level, which earlier used to be at a centralized level. So, that is a bit of decentralization they are in, but the same time we have ensured that the underwriting standards are clearly maintained in those centers. So, a lot of churn also happening within the Bank to drive it further and I think the market is growing also across this segment across all banks and since we have a guidance of growing slightly higher than the market, I believe we're going to sustain this going through. Anything , Joydeep ji you want to supplement to this or?
Mr. Joydeep Dutta Roy: No, I think you have covered beautifully. Just to add one more thing that on the asset side, we are also giving due focus to various channels even within a product, for example within housing loan also we are looking at different types of

channels through which we onboard customers and give more loans
etc. So, there's a builder channel, the DSA channel, the aggregator channel, the branch channel. So, all of these are now given proper focus and teams have been created, whic h again would help us, do much better business and also that guidance of doing better than the industry in terms of retail being 4% to 5% above industry, that continues and the focus on relationship at the branch level, which has been a recently introduced concept and which MD was talking about that again would help us even though the margins may be small, may be competitive in terms of the competition also giving very fine rates etc., but at the same time these are loans which have a lifetime value and customers are there for longer tenure. We need to build the relationship and through cross sell etc. there is a lot of value that we can generate. So, that relationship management also helps us in that direction.
Mr. Sushil Choksey : So, basically, you're saying that formalization of economy and Indian economy going to 5 trillion would enhance the potential on a consumer demand far larger than where we stand today?
Mr. Debadatta Chand : Very fair, very fair.
Mr. Sushil Choksey : Secondly Sir, based on current Fed outlook which has emerged post Wednesday meeting, the answer you are expert at treasury don't you see what was the turm oil going into the next second -half and based on RBI govern ors speech at Business Standard event and the way world is transformed between Wednesday and Friday for yields are concerned, don't you see second -half being a little different compared to what the fear in the street is?
Mr. Debadatta Chand : See anyway being a market person also I belie ve we normally anticipate the market, not predict the market. So, in that way my current anticipation is that the levels have already peaked out
8 because market moves ahead of most of this event. In terms of the stance part, everything, I think the yield is a lead indicator to give direction to the market. So, in that way particularly from the treasury side, I do not expect yield to go up further. Already it is finding near peak level that is what my sense is. Market has resilience. We have seen a different scenario also particularly our bond market is much more resilient, much more robust, not that volatile like any other market globally is. So, in that way if I find not much of what you can say any adverse impact come out of the yield movement in the next quarter or going to be the next half year.
We are broadly at this level discounted most of the factor at least for near future subject any geopolitical issue not disturb, I mean disrupt ing the market globally also Indian market. Otherwise fairly balanced level of the 10-year yield and I don't think in terms of rate of interest anything is going to be much of change in the coming quarters, rather in case you get fair lead with regard to the rate reversal then possibly the levels will start discountin g that and start moving in a positive direction.
Moderator: Thank you, sir. The next question is from Abhishek Murarka from HSBC. What is the breakup of your loans by MCLR, EBLR at fixed rate? How much of MCLR linked loans are likely to re-price in the second half of financial year? Can that lead to increase in your yield specifically?
Mr. Debadatta Chand : I believe, Ian, you can correct me, the MCLR link is almost now 52% now.
Mr. Ian De Souza : Yes
Mr. Debadatta Chand: There is a bit of book still left to be repriced at the MCLR but then going by the cost metrics I believe there is still upside

for MCLR going . Because normally MCLR moving with a lag vis-à-vis cost
of deposit. So, still there is upside rather than the repriced book giving me a better ROA . I believe possibly the level of MCLR is going to give me a higher yield on advances. So, that's the sense correctly , in terms of repriced books there is upside but then that may not be significant to offset the cost of deposit which we have seen this quarter. But I believe the level of MCLR needs to re-align and then possibly can give further income pushing up the yield further. Is there anything, Ian, you want to supplement on it?
Mr. Ian Desouza : So, there is a very small proportion of less than 30% which is probably up for repricing. Bulk of the book is already repriced. And it is the cost pressure that has to be transmitted to the MCLR.
Moderator: Thank you, sir.
The next question is from Prakhar Agarwal of Elara Capital. His questions are in 3 parts – what explains strong growth in international deposits? Second question, can you please explain the product differentiation on the new products that you ment ioned. Is it rate or something else? And third question is given that have to give our NIM guidance how you look at ROA guidance now?
Mr. Debadatta Chand : Okay, so let me address the last first, in terms of NIM and ROA as far as the Bank is

concerned, we have put NIM and ROA on the same platform. Rather if you want me then I will flip it, the ROA and NIM combination that is what strategy the Bank is going with forward. We continue to hold our ROA guidance in excess of 1 because NIM is purely driven by the interest expenses and income earned whereas ROA is driven by a lot of fee and non-interest income that you are generating based on our concept of fees and flows. So, apart from the normal income which is captured in the NIM, I believe my fee income and non-interest income the growth is going to be significant in the coming quarters. And in that sense slightly because of the cost pressure that we have seen this quarter, we have revised the NIM guidance. But ROA continues to be in excess of 1% rather the last quarter is at 1.14 % which is a very healthy one, not only for us for the entire industry also. So, we will continue to have ROA in excess of 1%, and at the same time try to optimize NIM based on the evolving scenario which the market will offer to us.
9 The second is regarding the new products that we have talked about. In terms of the pricing - there is no differentiation therein, but the differentiation is more on the offerings. The offerings are like the first product BOB LITE we talked about is 0 bala nce. So, in terms we are slightly looking at a growth with 0 balance. But then with certain balance then a lot of advantage will accrue to the customer in case they maintain the balance. These are all on the services and offerings rather than the pricing, the pricing will continue with the same like a general saving product in that particular segment. Joydeepji, do you want to add anything on this – the product side?
Mr. Joydeep Dutta Roy: Just to add that this time the focus has been on bringing out a very comprehensive offering in the festival campaign, not just focusing on the asset side but also on the liability side. And in the liability side, there is a range of products that have been introduced, not just one or two products addressing different segments of customers. As our MD was mentioning about BOB LITE, this is again sort of a requirement that many customers themselves responded in a survey that they don't want any minimum balance requirement etc. But at the same time they want offers

and very attractive offers, etc., on various
transactions that they do. This account is basically a 0 balance with no minimum balance required, but at the same time very high on offers and if people have to, sort of take advantage of the offers they automatically end up keeping balances which also helps the banks.
There is a BOB Bro account which is targeted to the student population. There is a Parivar Concept account which has been introduced which is like a family plan in a telecom or in normal phone accounts that we have, we have this concept of a family plan. Similarly, here we have introduced a family plan for group of accounts belonging to the same family where there is no individual balance requirements for each individual family member but for the family as a whole if they meet some total balance requirements then they get advantages in terms of various benefits, etc., from the Bank.
Then there is a re-positioning of our RD product as SDP or Systematic Deposit Plan which is both possible for a fixed amount or a flexible amount. So, a lot of product features and innovations have been brought about which are not on the pricing side but in terms of giving what the customer wants and addressing some of the customer needs. And I think that would be much more help ful for the bank as a part of its CASA strategy also in the CASA and deposit build up, plus also addressing the needs of the customers.
Mr. Debadatta Chand : So, addressing your first point with regard to the international deposit growth typically in intern ational market we raise the deposit based on our asset growth. But this quarter the growth in the deposit is slightly higher than the asset so as to fund the asset, point one, and secondly to make some interbank operation therein because that gives a bit of differential rate of interest. And some part of global market on the investment side also looking very, very attractive. Just typically a mix of the asset strategy, investment strategy and international operation for that matter. But broadly we guided the market both in terms of asset and liability international book. There is a moderation that happened vis-à-vis Q2 over Q1, and going forward it will converge to domestic growth. So, maybe Q3 and Q3, the numbers would almost converge to domestic growth excluding the USD and differential, it would normalize to the domestic growth.
Moderator: The next question is from Manish Shukla from Axis Capital, please unmute yourself and ask your question.
Mr. Manish Shukla: Good afternoon and thank you for the oppor tunity. The previous three quarters you had a very decent growth in bulk or short term deposits. Now in Q2 obviously you have not grown but these past deposits will come up for repricing over the next two quarters. So, what kind of cost of funds impact they are likely to have.
Mr. Debadatta Chand : That is a fair question, if you look at current quarter, the growth in bulk has been much lower as compared to earlier quarters, and this is a conscious strategy to grow slightly lower in that. But you
10 are right, there is going to be a repricing of all these deposits mobilized in earlier quarters. But if you look at the retail term deposit also the growth is now higher as compared to earlier quarters.
So, my first objective would be to reprice the position of deposit not in a bulk segment but in the segment of other retail or on the CASA segment because we are pushing CASA aggressively now. At the same time on the level of bulk deposit cost I think now levels are peaking out now. Actually, I don't think much further costs are co

ming on the bulk segment rather I would think going forward subject to the liquidity being consistent then there can be a moderation also possible, in that case I will get the repricing benefit.
But the third aspect which is very import ant for bulk segment like that, thinking through maybe in Q1 of the next financial year or Q2 of next financial year if there is a rate reversal coming then one of the biggest

beneficiary of that would be Bank of Baroda because then we have this bulk segme nt going to repriced in those quarters. So, it is a combination of multiple things. But then on the cost side, I am not expecting or not anticipating any significant change vis-à-vis the current cost on bulk deposits.
Mr. Manish Shukla: Sure, my next question is post the RBI restrictions related to the BOB World App what are the steps you have taken within the Bank and can it have any near medium term business impact.
Mr. Debadatta Chand : No, that we have clarified, if you see one of the notes to account , it is amply clarified by the auditor also. So, a scenario like this where there are basically two impacts, one is service another is account opening. If you look at my account opening through BOB World the percentage was very, very less, less than 3% or less than 2.5%, so it not going to impact me. And normally a scenario where in for a new customer I am onboarding into a platform then there are multiple channels where these channels go up significantly high. So, if you look at my depo sit that let's say 10th October is the date and today, my all segment deposits have been much higher compared to the level at that time. So, business is as usual for us, so we don't see any impact because again, yes, there are certain services we are unabl e to provide to new customer. But then they have multiple channels available to do their transaction. So, in that way the impact is minimized or impact is very less.
So, going forward again if you go to the main part of it, there is a regulatory action and there is a compliance for the Bank on the regulatory action. So, a lot of action we have already done in terms of compliance and we are hopeful that the ban is revoked at the earliest on the matter. But in terms of business the business is as usual. We have strengthened channels to compensate any loss that is accruing out of bringing on new customers, existing customer having seamless service, rather the number of financial transactions and non-financial transactions through all digital platforms have significantly gone up during this time. My other channels are working very strongly at this point of time.
Mr. Manish Shukla: Okay. So, the last question is on fees, I mean fees have been a very big growth engine as you mentioned , but if I see over the last one year six months the rating profile of your corporate book has gone up and you are saying that the fees is coming from the corporate channel. So, can you give a specific example in terms of either the type of the product or the type of the corporate which are driving these fees. Because typically what we understand is that making fees from large corporate is a difficult task. You seem to be doing it, so, what is it that is working for you.
Mr. Debadatta Chand : So, generally what happens there are couple of things that we implemented, you are precisely right on that. My asset quality in terms of earlier also multiple times we have said on the corporate book, underwriting is a very key aspect for Bank of Baroda in terms of underwriting standard. At the same time when we implemented the SOW concept or the relationship management concept we are aggress

ively
pushing for the cash management business now.
11 And I will just give you a data point without actually sharing the data, the number of customers we would have on boarded in the last 6 months are almost equal to the number of customers we have on boarded for the last many years. So, a significant push is on the CMS, the moment you push the cash management service there are a lot of flows being captured and there are charges therein. So, this is pushed up significantly. Thirdly, when we do all this processing fee and all, let's say a year back or a year and half back all these customers the base pricing used to be a particular level but then all these charges also because liquidity was abundant was very competitive and the charges also are very low, now we are revisiting all those charges in terms of what is the actual you need to charge in the current market. So, even if your base price may not go up signific antly high but at the same time the charges are being reviewed and they are getting captured. So, in that way ther e is a good traction therein. Tyagi saab, anything add on this further?
Mr. Lalit Tyagi : In fact, you have covered all, all I can say that right now we are able to capture more share of the flows of the customer and we have been able to engage them bit more and that's where the income is getting added up.
Moderator: Thank you, sir.
The next ques tion is from Rakesh Kumar of B & K, please unmute yourself and ask the question.
Mr. Rakesh Kumar: Thanks, sir. So, a couple of questions I have, firstly with respect to term deposit being in the bucket of more than two years, could you quantify the proportion of that term deposit sitting in more than two years' bucket.
Mr. Debadatta Chand : See, we will provide you the data exactly but then if you look at the duration of my term deposit portfolio , I am excluding the behavioral pattern of getting rolled over again and again. But it is almost like one year two months kind of a number that talks about deposit below one year and deposit above one year. Exactly, Ian, you have the data , you can share otherwise you can share it later.
Mr. Ian Desouza : We will share it offline, sir.
Mr. Rakesh Kumar: Because see the reference to the question is that RBI says that in the term deposit more than 2 years in the fresh deposit transmission is only 130 bps as compared to repo rate rise around to 250 bps. So, I think there is a quite large amount of repricing is yet to be done on the term deposit side for the industry and for you also. I wanted a clarification on that front. But anyways if you can help me with that data later on it will be help ful.
Mr. Debadatta Chand : Actually, I can respond to that, most of the deposits particularly on the term segment the preference is on the one year, around one year, I mean that's the normal preference, it would do higher means slightly a tendency to put long term then they put in the higher buckets. In 2-3 years' segment let me say that recently we were offering a peak rate in that bucket now, that revision we have made it just two

months back I believe. There is one segment where again we are trying to bit of more deposit because that adds to my liquidity stability, right, so in that way there is a very clear strategy as far as we are concerned but the fair data we will provide.
Mr. Rakesh Kumar: Sure, sir. Can you share the NPA what we have sold this quarter so there is a reversal of provisions of close to around INR 150-160 crores in this quarter, is it correct.
Mr. Debadatta Chand : No, that's typically because of that classification. Ian, can you just clarif

y that.
Mr. Ian Desouza : Yes, in terms of slippage are you asking about?
12 Mr. Rakesh Kumar : NPAs sold to ARC, so there is a reversal of provision of INR 160 crores as per the notes to account.
Mr. Debadatta Chand : Khurana saab
Mr. Ajay K Khurana : Yeah, this is correct, the figure is correct.
Mr. Rakesh Kumar: And secondly, sir, there is another reversal of provision of around INR 82 crores as per the notes to accounts No. 17, so if you can just reconfirm if that is also correct.
Mr. Debadatta Chand : Mr. Khurana, otherwise you can provide him offline.
Mr. Ian Desouza : We will provide this offline.
Mr. Rakesh Kumar : Sure, sir. There is another, you know, we saw that from certain accounts….
Mr. Ian Desouza : We will take your questions offline, you can contact me because we have one more panelist who wants to ask a question.
Mr. Rakesh Kumar: Just the last question, sir, just a clarification again on the notes to accounts. We had close to around INR 1100 crores provision on certain accounts and now that provision has come down to INR 810 crores. So, what has…?
Mr. Ian Desouza : Correct, I will take that question. It is included provision on the aviation account, that account has slipped and that provis ion has now shifted to NPA provision. It is no longer standard account so we have released that provision and the provision has been made under the NPA provisions.
Mr. Debadatta Chand : Can we go to the next person?
Moderator: The last question of this evening is from Mr. Chintan Shah of ICICI Securities, please unmute yourself and ask the question.
Mr. Chintan Shah: Thank you for the opportunity. Just two questions from my end. Firstly, on the domestic LDR, sir, currently CD ratio is 78% on the domestic side. So, is there any scope for taking it further out from here or would it stabilize at these levels that is the first question.
Mr. Debadatta Chand : So, obviously we would like to, for a NIM accretive measur e we would like to have higher CD ratio , but then again all would depend on the kind of growth that you are looking at in all the segments. Would you improve yes, we would definitely like to have higher CD ratio .
Mr. Chintan Shah: But sir, is there any upper ceiling or something like you are ….
Mr. Debadatta Chand : There is no upper ceiling, it is only optimizing the CD ratio that is how we look at. Because CD ratio is not the only parameter that we look into, it is the combination of many parameters we evaluate CD ratio . There is no upper ceiling but obviously we try to optimize on the CD ratio .
Mr. Chintan Shah: Sure. Sir, secondly on the slippages we had one large aviation account and one international book, there would be some interest reversal also on account of these slippages. So, if you could quantify the amount and what would be the margins which is 3.07, what would be that if those two slippages were not there. How much would that be?
Mr. Debadatta Chand : Khurana saab or Ian, could you?
13 Mr. Ian Desouza : We will come back to you, you can ask me this question separately but these accounts were in stress for quite some time so it should not be a big amount but we will come back to you on this.
Mr. Chintan Shah: Sure, that's it from my side, thank you.
Moderator: Thank you, everyone, that's the last question we will be able to take today. Ian, can I request you to give the vote of thanks, please.
Mr. Ian Desouza : So, thank you everyone for joining us on a Saturday afternoon and as always it has been a pleasure to have you with us, look forward to seeing you the next time around, thank you so much.
Mr. Debadatta Chand: I thank all of you, thank you.

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Bank of Baroda Media Conference for Quarter ended 3 0th September 2023
4th November 2023

Participating members from the Management Team of the Bank
■ Mr. Deb adatta Chand , Managing Director & CEO
■ Mr. Ajay Kumar Khurana, Executive Director
■ Mr. Joydeep Dut ta Roy, Executive Director

■ Mr. Lalit Tyagi, Executive Director
■ Mr. Lal Singh, Executive Director
■ Mr. Ian Desouza, Chief Financial Officer (CFO)

Moderator: Good afternoon, everyone and welcome to Bank of Baroda's financial results for the quarter and half year ended September 30th, 2023. Thank you all for joining us. We have with us today, Shri Debadatta Chand, the Managing Director and CEO of Bank of Baroda a nd he's joined by the B ank's Executive Directors and the CFO. We have a short presentation, follow ed by brief opening remarks by Mr. Chand, and then the Q&A session. And sir, over to you.

Mr. Debadatta Chand: Good evening, all. I'm D. Chand, I'm MD and CEO. So along with me, Mr. Ajay K. Khurana, the Executive Director, he looks afte r the MSME vertical, including R ecovery and some of the platform function. Then we have Mr. Joydeep Dutta R oy who is the Executive Director, he is looking after the retail asset, the retail liability and some of the platform function . Then we have Mr. Lalit Tyagi, he's the Ex ecutive Director looking after the corporate credit, international banking and Treasury and also, I have pleasure to introduce our new Executive Director, Mr. Lal Singh. He looks after most of the platform function including the HR and the IT. And with us again, you will know Mr. Ian D esouza, who is t he CFO of the B ank and has been interacting with you for quite a many quarters now. So, with this over to Ian.

Mr. Ian Desouza: Thank you, sir. So, in this quarter happy to report that our global advances grew 17% year on year, supported by domestic growth at almost 17%, international grew at around 21%. In terms of our segment wise growth in domestic, retail organic grew close to 23%, Agri grew 13.7 %, MSME continued with the trend of going 12 to 13%. C orporate has picked up growth at 16.5% .

In terms of our segment -wise retail book, our mortgage book grew around 13 to 14%, home loan grew 16%, education loan at 18% and auto loan at 21%. While we'll continue to see strong growth in personal loan, this may stabiliz e or moderate as we go forward. Next slide, please.

On the deposit front, our total deposits grew close to 15% supported by growth in our domestic book at around 12% . Domestic CASA deposits growth was little softer than usual at 4.4% year on year. Term de posits, domestic term deposits were strongly supported at close to 18%. One highlight of the domestic term deposit growth is the moderation in the sequential quarter growth of bulk deposits, which was sequentially growing at 11% last quarter. It is now gro wing substantially lower in single digits. And we've seen sequential growth of around 3 to 4% in the normal retail term deposits. Our CD ratio, though, elevated as compared to a year ago, is more broadly in line with the CD ratio we saw last quarter that i s the end of Q1. Can you go ahead please.

In terms of our net interest income for the half year, we saw net interest income growth of close to 15%, NII growth close to 15%. Our operating profits supported by NII and other income grew at close to 50%. Our profit after tax for the half year grew 51% as compared to the same period a year ago. And ROA is a metric that we like to emphasize for tracking our performance, which we had said more than a year ago will be 1% and higher, continues to trend at 1.12% for the half year as compared to a little below 1% for the same period a year ago. Can we go ahead please.

If you look at the same metrics for the quarter comparing it to a quarter a year ago, the NI I grew at around 7%, operating profit grew at 33%, profit a fter tax at 28%. And ROA

, the metric that I spoke
about earlier, is very smart at 1.14%. Can you go to the next slide .

In terms of the yield on advances , you would see on a half year basis, yield of advances have gone from last year for the first half of 6 .91% to 8.42 %. Yields have been flattish in terms of sequential quarter moving in just about 3 bps higher. C ost of deposits have expectedly caught up and are around 24 basi s points higher than the same a quarter ago. But if you see the NIMs, the net intere st margin, which is interest income minus the interest expense that has sustained for the half year at around 3.17 %. The sharp pressure on cost of deposits due to the prolonged situation on the liquidity

front. We had expected the liquidity to start improv ing by quarter three, but due to various regulator and geopolitical tensions, it looks like the liquidity scenario is unlikely to loosen up very soon. So, we've seen on a Q -on-Q basis a 20 bps compression in, but that has been supported by other income, an d we've had our ROA higher than the previous quarter.

Can we go ahead please. In terms of asset quality, we'll see asset quali ty continues to improve. O ur GNP ratio has declined by almost 2% and is at 3.32 % this quarter. NNPA also is 0.76 % as compared to 1.16%, a year ago. A provision coverage ratio including TW O accounts remains strong at 93%. Our slippage ratio looks elevated here, it's at 1.81 %. But this includes one large aviation account of 1,773 crores , if we exclude that account, then our slippage wo uld have just been 1.08%. On the credit cost, credit cost looks a little too elevated at 0.92 %. But if we normalize this credit cost or the fact that we took a full provision on the aviation account, it's 100% provided for , on an INR 1200 crore exposure. And we've taken in additional provisions to strengthen our balance sheet ratios. If we exclude that our credit cost would just be 0.52 %.

Please go ahead. O n the CRILC SMA for loans above five crores that continues to improve . We have just 0.22 % of our loans above five crores which are i n SMA 1 and 2. Collection efficiency continues to

improve and is currently at 99%.
Please go ahead. In terms of our capital ratios, our capital ratios are significantly strong and are significantly better than a year ago peri od at 11.57%, on CET -1, tier one is 13.19 % as compared to 12.81 %. And our overall capital adequacy is 15.3 % which is better than 15.25 % reported a year ago. These numbers do not include the profit for the half year. And if you consider the profit for the h alf year 'x' is a portion that we have to set aside for proposed dividend. Our CET -1 would have been 12.47 % as of 30th, September, and CRAR would have been 16.2 %, which is comparable to the CRAR we had at the end of March of the financial year ended 23 of 16.24 %. You can just quit.
Now I'd like to talk a bit about the festival schemes. We have for the first time launched a festival scheme both on the liability side as well as asset. We have launched schemes that have a lot of features. We have a BOB LITE s cheme, which requires lesser or no minimum balance but a lot of features as you start to transact with the bank. We have a BOB BRO for new gen students. We have a new salary account. We have a systematic deposit plan which is rebranding or kind of a SIP fo r term deposits. We have an NRI package and we have a family account taking off from the family accounts proposed by utility companies. A family plan as it is called.
On the advances side, the retail asset side we have attractively priced loans, both from the home loan which starts as low as 8.4 % to car loans priced at 8.7 %. Special offers for women, salaried, government salaried and Defense salaried and again we have a Parivar account. That brings us to the end of the presentation.
Back to you Phiroza.
Moderator: Thanks Ian. Chand sir - If you could please give us your opening remarks

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Mr. Debadatta Chand: Yeah, thanks Phiroza. See, media friends, it's already said that this quarter has a strong top line and also bottom line. Our asset growth has been i n excess of 18% whereas, the net profit has grown by 28.4% YoY. The operating profits has grown by 33% YoY. So, in terms of profitability and the business growth we have had a very strong numbers this quarter. Let me give some of the outlook that we have g oing forward. So, as you have seen that the loan book grew by 3.4% sequentially and 17% YoY, with the retail growth of 2 2.2% YoY and 5.2% sequentially. We continue to maintain our guidance that we will be growing above the industry by 1 to 2% where the overall book is concerned. At the same time, the retail growth would be 4 to 5% higher than the

market. Our overall guidance is that , on the overall loan book, we will continue to grow above 15%, the corporate growth would be something 12 to 13%, retail would be in excess of 20% and international growth would be aligning to the domestic growth of 15% going forward. On the loan mix again, we articulated earlier also, current retail book is 27%. We intend to take it to 35% in two to three years' time and a corp orate book although gre w very strongly but would come down as a mix to 35%.
The NI I of the bank grew by 6.5% YoY led by a strong loan book growth in spite of a margin compression. The NIM outlook which we had given last time, at 3.3% for the full year, we' re revising the new outlook now. So, the current guidance we're going to give is 3.15% with plus minus 5 BP S going forward. This is because of the cha nge in the cost matrix for the B ank, depending on the market scenario. Although we have a very tight contr ol on the cost to income in terms of not adding much on the branch side or the manpower side.
As we articulated last time, we declared a strategic initiative of the year of f ee and flows . We have seen a significant increase in the f ee side. We have been pursuing concepts l ike account planning, relationship management, share wallet and that has given a good increase in a fee as you would have seen in this quarter. Cash Management is also a ver y important area as far as the B ank is concerned. So, we are purs uing the cash management services not only for the corporate sector, but mid corporate accounts, and also MSME acc ounts. We are trying to have a culture of sales. We are moving from the transactional banking to the engagement or relationship banking.
On t he profitability side, as I've already said, this is the first time like not only the first time, consistently three quarters we're posting , in excess of INR 4,000 crores of net profit. And our full half year profit has been INR 8323 crore , which is a grow th of YoY 52%. We have been consistently delivering on the ROA. So, for last five quarters the ROA has been excess of one. We are maintaining our guidance of having ROA more than 1% going forward. There's a good increase in the asset quality, and NNPA impr oving to 0.76%. The GNP A improving by 199 bps YoY in the H1 of FY2024. We have a dedicated collection vertical that works both for retail and other segment. That 's also unique amongst the PSB space.
On the deposit side, clearly for last couple of quarters , not only in the entire banking industry but Bank of Baroda also, the growth has been lagging behind asset growth. So going forward, although we have posted 14.6% YoY on that deposit, but we are projecting a 12 to 13% guidance on the growth on the deposit front. One clear thing you would have noticed this time that we have given the breakup of term deposit. And the growth in the wholesale term deposit is 3.4% sequentially, which has been lower than almost 11 to 15% growth we have seen in many of the quarter s in the past. So clearly, we're trying to optimize on the bulk deposit front, moderate that growth so that we can maintain margin and revert the strate

gy going forward.
As Ian rightly said, this is the first time in the festival time we have both on the asset side and also on the liability side different offering s for customers. We've seen in market a good traction on all these offering s. And going forward with this offering we wish to improve our CASA higher than the current percentage at the same time m oderating on the bulk deposit. Thank you very much for all of you for joining today. We're open to question & answer now.
Moderator: Thank you, sir. We will discuss the two questions per person. Please raise your hand before asking the question, please ann ounce the publication before asking the question. We will wait for five seconds for the lineup to populate.
The first question is from Siddhi Nayak from Reuters, please unmute yourself and ask the question.
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Ms. Siddhi Nayak: Hi, Sir. Siddhi here. I just wa nted to ask you.
Mr. Debadatta Chand: Please go ahead.
Ms. Siddhi Nayak - Reuters: So, your CASA growth is around 4%, wanted to get your sense of you said you're going to see it moving. Also wanted to understand how you would do that. Would you prefer rai sing rates or what how would that be? It's my first question.
Mr. Debadatta Chand: Siddhi, slightly I could not hear the full part. Can you just repeat that?
Ms. Siddhi Nayak: The CASA growth, I wanted to understand how are you planning to tap the CASA growth? How would you grow that that particular segment and would you prefer raising CASA rates?
Mr. Debadatta Chand: No. If I answer your second question first, there is no plan immediately anything on the CASA on the rate side. But if you will see the fest ival campaign, the offerings have been many as far as targeting CASA is concerned. So clearly, one structural change that we have made in entire banking in terms of CASA that on the retail liability also n ow we're going to have relationship manager. Typica lly, we had the relationship manager concept typically for large corporate and mid corporate.
Now going forward, we're trying to have the relationship manager for the retail liability a lso. We had a segment of Radiance customer having a balance as more th an 25 lakhs now we're trying to have that concept below INR 25 lakhs also. So that typically will improve the CASA and same time the offerings and the tie ups we have made like all this product that we have said there are a lot of tie ups at the back end s upporting all these product. So, the moment customer goes for that you will be getting multiple benefits out of those accounts. So, in that sense, we are thinking of slightly improving the CASA. Actually, the current CASA percenta ge is 39.6% but the aspira tion is to reach around 41% in near future.
Yes, Siddhi are you there or…
Moderator: Siddhi, do you have another question?
Mr. Ian Des ouza: You can go to the next person in the queue.
Moderator: The next question is from Ajay Ramanathan of Financial Expres s, please unmute yourself and ask the question.
Mr. Ajay Ramanathan: Good evening, sir. Am I audible?
Mr. Debadatta Chand: Yeah, you are audible, Ajay.
Mr. Ajay Ramanathan: A couple of questions that I had, first is of course, we heard the news about the Chief Digital Officer having resigned. So, are you on the lookout for a new person in that post and what would be your strategy on digital going ahead?
Mr. Debadatta Chand: Okay, you said that the CDO, see, as we have said earlier , also a couple of things came in the media also, we have taken action on the large set of people in the field . So, as far as the CDO is concerned, it is a cessation of service induced by the Bank and that's termination right. And currently, we are putting somebody as a CDO. So, if time come s, then we will look out for any new CDO.
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Mr. Ajay Ramanathan: Okay , also on your recovery from write offs, I see that it has improved sharply in this quarter. Are you taking any spe

cific steps to improve recoveries, and also is there any
large a ccount that you have been able to recover.
Mr. Debadatta Chand: Mr. Khurana, can you take up this question?
Mr. Ajay K Khurana: Yes. Our recovery campaigns are going on continuously . That is for smaller recoveries below one crore. But as far as , this good recoveries in write off accounts are there, there are certain big accounts where we got recovery and few other accounts are also lined up in next two quarters. So, this whatever our half year, whatever we have we recovered in writ ten off accounts similar t o that we are going to recover in next half year.
Mr. Ajay Ramanathan: Okay. Sure. Thanks.
Moderator: The next question is from Dhiraj Tiwari of Economic Times, how much recovery you have done from written off accounts in the last two quarters, please giv e breakup. Are you working on any strategy to attract large size bulk deposits? Thank you.
Mr. Debadatta Chand: I will take the second question then I'll hand it over to Mr. Khurana. See the bulk deposit it's a large size so anything curren tly deposit abov e two crore is bulk deposit. So, we do have slabs there in bulk deposit which start from anything from 2 to 20, 20 to 50. So, lo t of slabs over there. So, the B ank is always in all the slab so that depends upon the level of, what you can say,

the level of all these bulk deposit rates. And that's an ongoing, all the banks do. So, as we also on the bulk deposit. So, Mr. Khurana, could you take the first question with r egard to the recovery of written off in the last two quarters?

Mr. Ajay K Khurana: Recovery in written off accounts in last two quarters. First quarter, it was INR 663 crores and in the second quarter is INR 1231 crores.

Moderator : Thank you, sir. The next question is from Abhijit Lele of Business Standard. Please unmute yourself and ask the ques tion.

Mr. Abhijit Lele: Good afternoon. Are you able to hear me?

Mr. Debadatta Chand: Yeah, I can hear you please go ahead.

Mr. Abhijit Lele: Now, taking ahead from this 'bob World', now one was there is a RBI curb on you. What steps you have taken for th e corre ction and what time that have you committed to RBI, to complete it and be open for its audit, so that you get permission to resume the work.

Mr. Debadatta Chand: Yeah, as far as the 'bob World' is concerned, all of you know that there is a regulator y action and the regulatory action, we need to comply on some of the action point s which the regulator has given. Already, we also clarified at that we have started working on some of the action points long back. And there is substantial compliance on all those parameters. It's a regulatory action. We have been engaged with the regulator in terms of compliance of all the se action point. And I can't give a timeline, but then obviously, we hope that the ban is revoked and we need to satisfy to the RBI, the re gulatory requirement of all these at some point, we're working sincerely on that a lot of compliance has happened. About going forward, we hope that we will fully comply with the action point s of the regulator, we are a regulated entity and we need to comp ly fully on the regulatory action and thereafter hope that the ban will be revoked.

Mr. Abhijit Lele: Sir, one thing is what RBI gives a clearance that I understand we can't give a timeline, but what timeline you have set for yourself to correct yourself a nd present to RBI's audit, that part I'm asking?

Mr. Debadatta Chand: See as far as the processes are concerned, all the processes have been rectified, corrected, strengthen, made robust, there are multiple checks now. So, these are all cured and this is w hat we need to satisfy the regulator with regard to the robust mechanism. See the RBI action is on the customer onboarding process. So, already we are in process and we are curing data, we are complying and we will present. We need to satisfy the

RBI, so t hey will give the comprehensive review on the matter and that RBI, the regulator has to be satisfied thereon, right.

Mr. Abhijit Lele: Okay, another question is about, yes, that one airline account you have made a full provision what is the outlook for tha t industry of Bank of Baroda because not that all of them are in bad shape.

Mr. Debadatta Chand: No, as far as outlook is concerned, we have a positive outlook, we do have exposure in other accounts. So absolutely, this is specific account only. The Airlin e, if you look at their profitability outlook, everything is improving. So, absolutely, no issue with regard to any other account that exposure we do have. The outlook is quite positive o n that but the specific account is on the legal process. So, that has to be cleared in the legal process itself. So, we can't comment further on that .

Mr. Abhijit Lele: Okay, I'm through with my queries. Thank you.

Moderator: The next question is from Mayur Shetty of Times of India. Please, unmute yourself and ask the q uestion.

Mr. Mayur Shetty: Yeah. Thank you, Sir. My question was also on bob World . I wanted to know what impact has it had on your customer acquisition, both on the liability and the asset side? And also I wanted to understand whether this RBI action pr ohibits you from launching any new apps, whether you can launch any app other than bob World?

Mr. Debadatta Chand: No, on the first ques tion with regard to the impact. See, bob World is the service in terms of customer on boarding into bob World, in terms of account opening the percentage was very less earlier. It was less than 3% -4% because I do have multiple channels like branch banking, the tab banking; multiple channels to on board customer. So, in terms of impact, normally it so happens that because o f any technical reason or a regulatory action one channel goes down, other channels do pick up significantly and that is what we are seeing now that in terms of business it's as usual for us but definitely for new customer some of the services we wish to p rovide through bob World is not available at this point of time but they can do the same activity that was being done in bob World through different platforms, different channels and they get the same seamless service. And that precisely in terms of cust omer acquisition, we are tracking the numbers. The number s are looking all pretty good rather more than what it was the day the ban was done.

At the same time with regard to any further app, we do have all the apps at present. This is a very robust platfo rm, bob World. It has sound, secure system, active users seeded with unique number. So, absolutely no plan to have any new app and I don't think that's a requirement at this point of time. The app is a robust, secure platform that's the bob World and we ha d issues in terms of regulatory action on the customer on boarding process, please read that regulatory action clearly,

and there we had some gaps and that we have strengthened and that's the process which we need to satisfy to the regulator with regard to our strengthening process and with the satisfaction, obviously, the regulator is going to have a view on that.

Mr. Mayur Shetty: Thank you, Sir.

Moderator: The next question is from Gopika from Mint. Please, unmute yourself and ask the question.

Ms. Gopika: Hi, Chand Sir. Can you hear me?

Mr. Debadatta Chand: Yeah, I can hear you, Gopika. Please, go ahead.

Ms. Gopika: Okay. I wanted to ask you, so with respect to this particular aviation account now you're the second bank which is classified it as an NPA, could you tell me what is the general COC outlook on this account? Is there a potential to turn around this account since it has a major economic impact? Or are you seeing this going into liquidation mode?

Mr. Debadatta Chand: See, as a manage men t of a B ank, I can't pre -empt the COC dec

ision. COC
decision is COC where multiple banks are there. But clearly as far as the account is concerned, it's under a legal process. There are again litigation outside the legal process also and there is also a viability issue that needs to be vouched. So, it would be the COC decision based on the all the factors which will be presented before the COC by the administrator. So, we can't give you any directional outlook in this account. Khurana Sahab, anything fur ther you want to add on this?

Mr. Ajay K Khurana: No, you are right, Sir. It is difficult to tell because bidding process was on and there were bidders. So, as of now, it's difficult to say whether it will go for liquidation.

Ms. Gopika: Sure. Sir, one question on the festive demand, how are you seeing the festive demand both on the Retail and Deposit, Sir?

Mr. Debadatta Chand: On the Retail deposit?

Ms. Gopika: Both Retail Loan and Deposit.

Mr. Debadatta Chand: Yeah, the demand is very strong. Ac tually, schemes that we have announced also for the festival campaign is generating a good number therein. Overall economic scenario is pretty good, there are demands both happening on the consumption side and also on the festival purchase side. I think th e industry is also doing pretty well on both on the demand side for Retail Loan and at the same time also on the cash flow coming in terms of deposit form. So, if you look at the outlook, we are very optimistic and the impact would be, I mean, known in thi s quarter and we're very, quite positively, what you can say, see this outlook or the current d emand translating into more bu siness and more profit for the B ank.

Ms. Gopika: And one more question, if I could squeeze in, your outlook on the whole unsecure d loan portfolio? How much a percentage of your retail book is your unsecured loan book? And also below 50,000, which is potential risky portfolio if you can say, how much that is?

Mr. Debadatta Chand: See, already CFO in the initial presentatio n outline d that we as a B ank slightly would be moderating on the unsecured and personal loan, precisely for the reason that now we do have the aging of almost 2.5 -3 years of data now and this data will be analysed and then we'll figure out the next strands of our p ersonal loan. The growth was almost like 60% -70% year -on-year but the outlook that the growth we are targeting for this year is 35% beca use the base is quite small . So, we are just moderating the growth.

As far as the portfolio is concerned, portfolio is still very strong. The NPA percentage is very low at this point of time. There are cash flow happening as far as Bank of Baroda is concerned, these are all my 95% -96% is my existing customer, any new customer bringing a salary account and then taking a personal loan only allowed to be on boarded into that. So, portfolio quality is fairly good. But because a lot of issues are being talked about in the market, so we have decided to slightly moderate the growth. In the meantime, we'll put a new strategy, do a portfolio analysis and then articulate to the market going forward. Growth would continue to be strong but then slightly will be moderating in terms of the YOY or quarter to quarter growth we had in this particular segment.

Moderator: The next question i s from Dipankar Kumar from PTI. Please, unmute yourself and ask the question.

Mr. Dipankar Kumar: Sir, good afternoon.

Mr. Debadatta Chand: Yeah, good afternoon.

Mr. Dipankar Kumar: Sir, on the recovery side, I just wanted to understand what is the H2 target for recovery and…

Moderator: Sorry, Dipankar, but you are breaking. Can you please …?

Mr. Dipankar Kumar: …talking which ARC sale that you are planning in H2? Is it audible now?

Moderator: I am sorry, Dipankar, your network is pretty shaky. Can y ou please repeat the question?

Mr. Dipankar Kumar: In written off account recovery, wh

at is the H2 target for recovery? And how
much ARC sale that you are planning in H2?

Mr. Debadatta Chand: Khurana Sahab, can you take this question?

Mr. Ajay K Khur ana: Yeah, H2 target is similar to what we have got earlier. That is around INR 6000 crores but as far as ARC sale is concerned, we do not have any plans so far as of now. That, of course, it keeps on changing whenever there is a demand and then, you kn ow, the B ank takes a call but as of now we do not have any plan.

Mr. Dipankar Kumar: And can I squeeze in one? Sir, on bob World side …Hello?

Mr. Debadatta Chand: Yeah, please go ahead.

Moderator: Please, go ahead.

Mr. Dipankar Kumar : What is the los s th at B ank is anticipating with regard to bob World manipulation ?

Mr. Debadatta Chand : No, first of all, let us be clear that the issue is with regard to customer on boarding where some SOPs were not followed. So, there's no manipulation per se. It's an iss ue with regard to adequacy of document or the data errors or some wrong feeding of data. So, currently it's a regulatory action. We are, I mean, engaged with the regulator. So, I won't share any data. It's between when the issue being discussed with the re gulator on the matter. But as we clarified also, there is a disclosure in the notes to account that very insignificant and immaterial, not very material at this point of time and maybe very, very less at this point of time.

Moderator: The next questi on is from Shilpy Sinha of Economic Times. Please, unmute yourself and ask the question.

Ms. Shilpy Sinha: Sir, I have two questions. One is on your fresh sl ippages, if I see the investor presen tation you have said that some INR 4331 crores you had fresh sli ppages. If you can tell us where exactly did this come from like the sectors and if there is any particular account?

And the second one is on your fund raise, earlier this year we actually got the Board approval to raise some foreign currency funds. So, if there is any progress on that?

Mr. Ian Des ouza: Sir, can I take that first question?

Mr. Debadatta Chand: Yeah, you take the first question. Yeah -yeah, please.

Mr. Ian Des ouza: So, in terms of the slippage, mainly it has happened in two big chunky places. One is an i nternational account of around INR 500 crores and the second one was the aviation account, which was in stress last quarter itsel f, but it slipped this quarter INR 1773 crores. So, this put together is almost to INR 2000 crores of the sl ippage. If you normalize for this, you would see the slippage in line with the slippage that we've reported in earlier quarters and is in granular accounts across Retail, MSME and Agri. So, if you discount for this, it's in line with past quarters.

Ms. S hilpy Sinha: Okay.

Mr. Ian Des ouza: And to your second question on the capital raise, it is more in terms of either sub debt which is Tier 2 capital or AT -1 bonds. It is not equity capital raising that we are taking permission for. It's likely that we'll do some part of it this quarter and some part of it next quarter. We will make a Stock Exchange notification before we take a final decision.

Ms. Shilpy Sinha: Okay, thank you.

Moderator: The next question is from Vishwanath Nair of BQ Prime. Please, u nmute yourself and ask the question.

Mr. Vishwanath Nair: Hi, Mr. Chand. Vishwanath here. I just wanted to clarify something you mentioned earlier about your CDOs exit. Did you say that th ere was a termination from the B anks end? Is that what happened?

Mr. Debadatta Chand: See, as I said, we have given an exchange filing with regard to cessation of service and that was B ank induced. Obviously, bank induced is like the termination of the contract for the matter and this is a larger action that we initia ted both at the branch and also at the corporate office level, right.

Mr. Vishwanath Nair: Okay. Because the

way the problem has been described in other news
reports, I know you have not clarified as to what exactly happened but the way it has been descr ibed it seems like a branch level issue. So, I'm not sure why the CDO is facing an exit?

Mr. Debadatta Chand: No-no, it's comprehensive. First of all, actually, currently because there is a regulatory action and we are engaged with the regulator on multi ple counts on this, I'd not like to discuss further on that. Actually, once the entire process is over, we can clarify to the market. But then these are the due process followed and everything and the actions have been initiated.

Mr. Vishwanath Nair: Okay. One other question with regard to the aviation account that you mentioned, I understand that you can't really decide for the COC but you are a significant lender and there seems to be just one bidder at least according to market reports and it doesn't s eem to be very serious. So, I'm not entirely sure what is the hesitancy in calling it a case of liquidation?

Mr. Debadatta Chand : No, it's a legal process. Actually, the COC would decide based on all the facts. Actually, it's not like taking a directiona l call at this point of time. Things are evolving and there are pending litigation therein, we are getting news of that. So, appropriately, we'll take a call on that actually. I'm not telling that any action is out of the table. All actions are there but t he action would be taken based on the appropriate timing of that. So, let us not prejudge with regard to what is going to happen to this account.

Mr. Vishwanath Nair: Fair enough. One last point on the unsecured, if I can squeeze that in. You said that y ou'll undertake a portfolio analysis and see if there are any issues but are you seeing any signs of stress at this point in time?

Mr. Debadatta Chand : No-no, my idea of portfolio analysis is to put a new strategy therein. Absolutely, we're not talking a bout the issues therein. Because a lot of concern is being expressed in different forum with regard to the growth of unsecured for the country as a whole, the banking system as a whole, so then it's always wh at you can say prudent for the B ank to have anal ysed the portfolio and that is what we're trying to do. Absolutely, as far as the Bank of Baroda portfolio is concerned, absolutely the portfolio is sound, the percentage of NPA is very, very less, and these are all my existing customer s, cash flow. So, ab solutely no concern with regard to Bank of Baroda portfolio. Just because there is a hygiene discussion happening in the market, we thought it fit to go for a portfolio analysis.

Mr. Vishwanath Nair: Thank you. Thank you.

Moderator: The next question i s from Harsh Kumar o f Money Control. What is the B ank's strategy to open branch network ahead by the end of this year?

Mr. Debadatta Chand: See, that's a very fair question. We intend to open branches but then in this financial year I can't quantify beca use we have gone for a comprehensive segmentation of all branches in terms of branches which are predominantly Agri, MSME, Corporate, and Retail . So, once that exercise is over, we'll go for opening of new branches. We have planned to open new branches to cater to segment where the business profile has shifted like in most of the metro the outskirt is now a very good market for doing business. So, it would be more of rearranging the branches in terms of location and also expanding the market. So, we have pl anned to open new branches but then we can't say how many would be in this year. But directionally, yes, we are inclined to open new branches.

Moderator: Thank you, Sir. The next question is from Ekta Suri of Zee Business. Please, unmute yourself and ask the question.

Ms. Ekta Suri: Am I audible?

Mr. Debadatta Chand: Yes, Ekta. Please, go ahead.

Ms. Ekta Suri: Sir, actually, I wanted to ask that aft er this RBI regulat

ion, is the B ank facing a kind of issue where the customer has lost the trust? And also on certain platforms RBI Governor did mention that how banks are basically misusing technology and kind of showing inflated numbers for the same and that's why governance is very important these days in the banking system. So, yes, the name of Bank of Baroda wasn't taken at the platform but since because the news happened very recently and then this comment was made. So, I wanted to take your comment on the same and also on the mistrust from the customer side.

Mr. Debadatta Chand: Let me clarify, the re is absolutely no mistrust or lack of trust or any dilution of trust. As far as Bank of Baroda is concerned, this is an organization of 117 years having full trust of customer. And I have also said earlier, in terms of business, the financial transaction , it has gone up significantly high because other channels are doing. So, it's a wrong narrative anyway to put any trust issue here. The bank is very strong, the platforms are very strong. The issue with regard to regulatory action is mostly with regard to customer on boarding processes, not with regard to the platform per se, right. So, absolutely, we have a sound platform. The bob World itself is a sound and robust platform seeded with unique mobile number. Absolutely, no concern at all at any point of time and customer trust has gone up in terms of our action to improve the system. That is what when any such issue comes, the reaction is to improve the system.

Let me tell you one thing very clearly, I'm growing at 17% YOY and in case I have to grow for ne xt 5-6 years I'll be doubling the business of the bank. So, in that sc enario if I improve my processes , system, make it more robust that would be a huge comfort. So, that is what the direction that we are moving at.

Ms. Ekta Suri: And on the regulator's comment, Sir?

Mr. Debadatta Chand: No-no, always we are a regulated entity and regulators comments always we look into our system, processes. So, we respect any regulator comment on the matter but then as

far as we are engaged on the particular piece with the regulator, that's why some of the data points people asked and I didn't provide because we are engaged with the regulator on the issue. So, absolutely, no issue with regard to that.

Ms. Ekta Suri: Okay. Sir, my one more question was on Go Air. Would you be open to give more funding, additional funding to Go Air right now at this point? There was some media reports which said that, so would you clarify on that?

Mr. Debadatta Chand: So, no, it's a COC call based on the information they do have with r egard to the litigation piece, the viability piece. So, COC would take appropriate calls. So, I would not like to react to any media news with regard to funding or no funding.

Ms. Ekta Suri: Okay, Sir. Thank you.

Moderator: The next question is from Amo l Dete of Economic Times Online. Please, unmute yourself and ask the question.

Mr. Amol Dete: Hi, Sir. Good evening. Amol here.

Mr. Debadatta Chand: Yeah, good evening.

Mr. Amol Dete: Yeah. So, initially you spoke about the new CDO is in the pipeline, specifically for the BoB after whatever has happened. So, could you please tell us by any chance will you reveal the name who's going to be the next CDO? And if not the name, perhaps you could tell us whether he will come from inside or he will be an outs ider? How do you look at it?

Mr. Debadatta Chand: No-no, currently the exchange filing that we have given and the new CDO name is already, i t's not a CDO role now, it's the Head of Digital Banking and the Digital Business, right. So, already we have disc losed the name. She's an internal candidate, quite capable, qualified to run the process. Going forward if need be, then we need to further scale up the digital business of the B ank and then we can look for a CD O maybe from outside o

r maybe f rom inside. Bu t, currently,
there is no immediate plan for anything of that sort. The B ank has internal capacity to handle all this responsibility an d precisely what we have done that particular exchange filing.

Mr. Amol Dete: Okay, sure. Sir, in a couple of quarters previously specifically the BoBs growth in the road and infrastructure segment was quite robust. So, currently, if you could give me an outlook specifically for the next 2 -3 quarters? Which are the sectors that you are betting on heavily?

Mr. Debadatta C hand: Yeah. Mr. Tyagi, can you take this question up?

Mr. Lalit Tyagi: Yeah. So, as the country is also witnessing a significant investment from the government side in the infrastructure, so we are also riding that. Of course, there is no such aggressive plans to grow higher than the industry. There are good traction in the renewable sector, road sector and some of the associated infrastructure and we believe that the kind of growth we have witnessed in the past and the project pipelines are there and the monetization of the existing assets also. So, there are decent opportunities and we believe the growth will remain what we have witnessed in the past.

Mr. Debadatta Chand: See, just to add to what Mr. Tyagi said, that if you look my segment growth that we published along with the analyst presentation, I have a very balanced growth in all segments. There is no excessive growth in one segment. It's a very balanced growth. Somewhere it may be 6%, somewhere it may be 10%. So, that you have the portfolio, wha t you can say, construct in the strategy that we normally follow to diversify the risk.

Mr. Amol Dete: Yeah, sure -sure. So, you already clarified a lot on bob World but , you know, since the regulator has come into the picture and earlier also every B ank has pitched their app so aggressively. You know, if you could highlight one more point here is this that the BoB branches and specifically the bob World, you know, allowed people to route their loans or maybe loan generation and all the loan related activi ties through the through the bob World app , so do you think by any chance it will have some or minimal impact at least on the digital lending side because all the digital loans were routed through the bob World, if I'm not wrong?

Mr. Debadatta Chand: No-no, actually we do have a digital lending platform independent of above bob World, point on e. Secondly, bob World was a sourcing point and also some kind of end -to-end to sanction for personal loan. So, in terms of sourcing of leads for digital platform, b ob World has a small percentage therein, right. And typically most of the loans, again, existing customer do apply. So, the sourcing is as robust as it was earlier.

The second aspect with regard to the personal loan, which was end -to-end digital and was t hrough bob World other than the branch channel or any other channel, as such I said that based on the discussion we have in the entire economy slightly while moderating the growth still is very strong. Suppose, I say on the personal loan we intend to grow at 35%, the growth is still strong but considering the earlier growth of 60% -65% on a low base anyway, this would be slightly in moderation. In that way it is not going to impact me in terms of my strategy on the personal loan vis - a-vis the issue of bob World that we are discussing.

Moderator: We will take last two questions. The second last question is from Anil Pandey of Jagran. Out of the INR 1.89 lakh crores of international advances, could you please give a breakup of the type of loans including the ECB loans and other type of loans from foreign offices? Thank you.

Mr. Debadatta Chand: So, we have loans and local assets. ECB is not a very significant percentage therein. We do have trade asset, high -quality asset, assets in local market like U.S., A ustralia and these are well balanced, w

ell structured, well diversified. But, Mr. Tyagi, anything further you want to add on this?

Mr. Lalit Tyagi: Yeah. So, our international loan book comprises of ECBs, as MD said, local corporate book as well as the t rade assets. It's a fairly balanced book and we time to time continue to diversify our loan book. We have wholesale market presence in various geographies and all these branches are doing well in terms of the loan acquisition and the disbursals.

Moderato r: Thank you. The last question is from Praga tti Oberoi of Bloomberg. Please, unmute yourself and ask the question.

Ms. Pragatti Oberoi: Yeah. Hi, Mr. Chand. I have a couple of questions. One is that, again, on Mr. Akhil Handa's termination of the contra ct, so just getting a clarity on this. That was in response to the bob World app fiasco t hat entirely went down and the B ank took a call to end his contract, right?

Mr. Debadatta Chand: See, Pragati, normally we don't discuss employee specific issue in a platform like this but then there was an exchange filing. I just clarified that exchange filing that's it. Like beyond that, I would not like to discuss further because normally we don't discuss employee specific because actions have been initiated agains t the set of people both at the branch and at the supervisory level. So, these are all part of that. Actually, we can't exclusively identify one individual against any other. It's a group action being initiated, right.

Ms. Pragatti Oberoi: Okay -okay. Fai r enough, Mr. Chand. Actually, my question just stemmed from the fact because after the call was taken and after the news that broke out, there was from the employee side or from the particular person side of narrative as well that said that, you know, 'I am stepping down from the role'. So, there was something that was not joining the dots and hence I thought I would seek the clarity from you.

Mr. Debadatta Chand: Okay. That's correct.

Ms. Pragatti Oberoi: Yeah. Yeah, okay. Second thing, Sir, I wanted t o ask, I understand that the Bank has not yet given us a clarification on what exactly happened and you have reiterated that the issue was in the customer on boarding process there. But, Sir, there are rules in place, there are compliances in pla ce and tha t's exactly what the B ank is trying to do now, from what previous reports have come in it was basically one SIM or like one mobile number being linked to several accounts or what is it? How is that exactly possible that one mobile number can be linked to f ive different people? Like something has to be a problem in the app, right?

Mr. Debadatta Chand: Actually, let me again, because that is what when there is a regulatory action and we are satisfying the regulator, I would not like to discuss further on th at. The only issue that I'm telling is that the customer on boarding process that we refer to is for deactivated users, right. So, there are gaps in terms of adequacy of documents, data error, and wrong data feeding. That is what all that and this process has been strengthened further. So, when a particular customer having a deactivated user status and there is an on boarding process which was not followed by branches then we have strengthened the system. Materiality impact is very less. If you talk about p ercentage of this on the overall customer on boarded , the percentage is very, very less. But there are instances where there was compliance gap and that's where the actions have been taken by the Bank on a group action basis. So, this is all but once the r egulatory action is through then when we meet next, possibly we can clarify further on that because see the current action is on a regulatory action and we are satisfying to the regulator with regard to the compliance and all those action part. So, further details, I'll not be in a position to provide to you.

Moderator : The last question is, what is the percent

age of bulk deposits in your total deposits? And has it increased in the last two quarters or stayed the same?

Mr. Debadatta Chand: See, that's ag ain as a strategy. I very clearly articulated, there is a percentage, the data also we have provided in the analyst presentation , and you can very well make it out. As a strategy going forward, the bulk was increasing at a faster rate as compared to the gr owth in Retail term deposit. This is not only specific to Bank of Baroda, the entire industry has a similar trend but we a s a B ank decided that going forward let us not grow on the bulk segment like the same rate at which the bulk was growing. So, if you look at this quarter, the sequential growth is only 3.4% and if you multiply 4 into that, it is almost like 15% which will align with my deposit growth in the entire like the grow sequentially on the deposit growth that we have given. So, it is aligning to the deposit growth.

So, there are two advantages also like bulk also get repriced very quickly. That's a scenario where there is a rate reversal happening, then the benefit would come to bulk more quickly whereas in Retail, normally, the tenure will be l onger than the bulk.

So, all this, our ALM aspect which are duly taken in terms of a strategic input in the ALCO as done in all the banks and adequate care taken in terms of managing the book so that we grow in a very, what you can say, the pace of the gr owth is very steady and robust in that.

Ms. Pragatti Oberoi: Thank you, Sir.

Moderator: That is the last question that we'll be able to take today. Thank you all for joining us. Have a great evening ahead.

Mr. Debadatta Chand: Thank you very much and I thank all media friends. This is on a Saturday we called all of you. So, thank you very much for that.

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Call: Feb 2024

BCC:ISD:116:16:56 06.02.2024

The Vice-President,
B S E Ltd.,
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
BSE CODE-532134

The Vice-President,
National Stock Exchange of India
Ltd.
Exchange Plaza,
Bandra Kurla Complex, Bandra (E)
Mumbai – 400 051
CODE-BANKBARODA

Dear Sir / Madam,

Re: Disclosure under Regulation 46(2) (LODR)

We enclose transcript of Analyst and Media Meet held on 31.01.2024 for Q3 (FY2023-24) Financial Results.

We request you to take note of the above pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015 and upload the information on your website.

Yours faithfully,

P K Agarwal
Company Secretary

1
Bank of Baroda Analyst Meet for Quarter ended 31st December 2023
31st January 2024

Participating members from the Management Team of the Bank
- Mr. Debadatta Chand , Managing Director & CEO
- Mr. Ajay Kumar Khurana, Executive Director
- Mr. Lalit Tyagi, Executive Director
- Mr. Lal Singh, Executive Director
- Mr. Ian Desouza, Chief Financial Officer (CFO)

2 Moderator: Good afternoon, everyone and welcome to Bank of Baroda's financial results for the quarter ended 31st December 2023. Thank you for joining us for the Analyst Meet. We have with us today our MD and CEO – Shri. Debadatta Chand, and he is joined by the Bank's Executive Directors and the CFO. We have a short presentation which will be followed by brief opening remarks by Mr. Chand, and then we will open it up for the Q&A session. Chand sir, over to you.
Mr. Debadatta Chand: Good afternoon, all. Thanks all of you for sparing your time and joining us today. So, I am D. Chand, I am the MD and CEO. And with me, we have Mr. Ajay K. Khurana who is a familiar face, and he has been there in the Bank for more than four years, and he looks after our MSME vertical and also the recovery vertical, importantly the recovery vertical. Then we have Mr. Lalit Tyagi who is the Executive Director looking after the Corporate Credit, the International Banking and Treasury. And possibly Mr. Lal Singh is joining for the first time. The third Executive Director is Mr. Lal Singh. He is looking after the IT, the HR and all platform functions, most of the platform functions. So, with this Ian, please make the presentation and thereafter I will come with some qualitative remarks after that.
Mr. Ian Desouza: Good evening, everyone and I would like to take you through the key highlights of our results

for this quarter.
So, in terms of global advances, we grew our global advances a little shy of 14%, at 13.6% . Domestic advances grew at 13.4%. International grew at 14.4%. We have been guiding that international advances will moderate in terms of growth, and this has started to track from this quarter onwards, wherein international advances have been growing in line with the domestic advances. Domestic advances had grown at a little faster clip in the last quarter. But, you will see on the graph on the right -hand side that we have moderated our wholesale advances from 16% in the last quarter to around 10.2%. In terms of retail, we continue to grow very strongly and continue to grow at 22%. Agri and MSME also are growing well at a little shy of 13%.
Within retail, you will see the education, auto and personal loans are growing strongly, whereas our core retail, which is our home loan secured book, is also growing well at a little shy of 16%. In terms of personal loan, you will see that the growth, as we had guided, has moderated a bit from what we had reported in the last quarter . The sequential growth is also arou nd 8% as against the sequential growth of 16% that we had reported in the September quarter.
In terms of our deposit franchise, we had called it out in our stock exchange filing, that we have de-grown bulk deposits. So, bulk deposits, excluding CD, had come down by around INR 20,000 crores and including CD, bulk deposits have come down by around INR 14,000 crores. If we had done bulk deposits to that extent, our growth in total deposits would have been around 9.5%, a little shy of 10%. In terms of domest ic deposits, we grew at 6.3%. And overall if you see, as I was calling out earlier, bulk deposits have de-grown quarter -on-quarter 6.6%. So, this is a NIM accretive measure we believe, and you will see in a later slide that our NIM has improved sequentially. Domestic CASA as well has grown by around 81 basis points quarter -on-quarter.
So largely the key P&L metrics, NII has grown around 10.5% year -on-year on 9-month basis. Operating profit is up by 22%, profit after tax is up by 38% and return on assets is up by 22 basis points and is tracking well above the 1% guidance that

we had given for return on assets.
The same numbers, if you look at from a quarter lens, a year -on-year quarter lens, operating profit while it may look optically down, if from the same quarter in the previous year you exclude the reversal of mark -to-market provisions that we have done of around INR 750 crores, you would have a normalized operating profit for Q3 FY23 of INR 7,482 crores. If you view the normalized operating profit of Q3 FY23 versus this, there is a gap of around INR 400 crores. In terms of profit after tax, we are up by 19% and ROA is at 1.2% for the quarter, up by 7 basis points.
In terms of yield on advances, essentially on a sequential quarter base, we have actually improved our yield on advances by around 8 basis points, where our cost catch -up has moderated down to around 4 basis points. We believe that the impact of re-pricing deposits will be lower going up year on out, unlike the last 2 quarters 3 where we saw a quick catch -up on re-pricing of deposits. Our deposit tenure is generally around 1 year. So, we believe the deposits that will be maturing now will already have the deposit high -cost priced in. So, we will not see sudden catch -ups on deposit costs year on out. In terms of net interest margin, we had guided that it will be around 3.15 % plus or minus 5 basis points. If you see the 9-month figure, it is tracking to that at 3.14 %. Whereas, for the quarter, it has increased by 3 basis points to print at 3.1%.
In terms of asset quality, the asset quality of the Bank continues to strengthen, and GNPA has dropped sharply to print at 3.08 %. NNPA is at 0.7%. Our provision coverage ratio remains strong on TWO loans, it is close to 94%. In terms of slippage, our slippage guidance had been between 1 to 1.2%. We are well below that at 0.95 %. In terms of the sequential quarter also, which is not mentioned on this page, the slippage was higher optically because of one large aviation account which slipped in that quarter and one large mortgage loan from overseas territory of around INR 500 crores. So, INR 2,200 was the slippage in the last quarter just because of these two loans. Otherwise, slippage s has been tracking well across quarters. Our credit cost has printed at 0.39 % for the quarter.
Largely, if you see SMA 1 and 2, has been well below the 40 basis points for a long time now. And now it has printed at 0.24 % for the quarter ended December ‘23. This is the CRILC above 5 crores SMA 1 and 2. So that's an indicator of that there's no large buildup of non-current loans which have not yet become an NPA in our book. In terms of the collection efficiency, it is tracking very well at 99%.
In terms of our capitalization position, as you are all aware, there were new RBI norms on risk weighting of loans to NBFC and personal loans, unsecured loans. Taking that impact into account, we've seen our RWAs go up and we have had some ding on our capital adequacy from 15.3 to 14.72 in the quarter ended as of 31st December. However, CET-1 conti nues to be at 11% and Tier-1 is at 12.67 %. However, if you include the profit for the 9-month period and exclude the dividend, which we have been paying, net of dividend, the profit would have increased our CET-1 to 12.44 % and our CRAR would be 16.05 %. If you look at our LCR, that is our liquidity coverage ratio, it is comfortable at 133%.
That's all from me in terms of opening remarks. I will now hand it over to our CEO, Mr. Debadatta Chand for his comments.
Mr. Debadatta Chand: So, thanks Ian, and once again, a very good afternoon to all of you. So, I'll make some qualitative remarks with regard to the performance

we had. As you know, we had a good quarter for the Q3.
The net profit has been at INR 4,579 crore, which is a YoY 18.8% growth. On a 9-month basis, the net profit has been INR 12,902 crore up by 38%. And with this quarterly profit, for last four quarters consecutively we'r e posting profit in excess of INR 4,000 crore. And on a run rate scale, if I say that, the cumulativ e 9-months profit

has been almost 91% of the last full year profit.
As we said earlier also, we pursue NIM and ROA as a twin objective to achieve. And there have been a lot of discussions last quarter when we announced the Q2 results. So, I'm happy also to share that the NIM part, not only we sustained that, rather we have increased the NIM vis-a-vis the last quarter. So, the NIM for Q3 has been at 3.10 % and for 9 months it has been at 3.14 %. This is exactly in line with the guidance that we had given to the market on the NIM where we said that, for the full year NIM would be 3.15 % plus minus 5 bps. So, we hold the same guidance for the full year. And as also I said last time while discussing on the NIM part, we wanted to slightly moderate on the growth of bulk deposit or the dependency on the bulk deposit that we have done for this quarter. I'm talking about the Q3. At the same time, the international NIM, obviously, the NIM is not at the same level like the domestic NIM. So, the growth of international is also being moderated. Now, the growth of international also will align with the domestic growth. So, otherwise, if you take the domestic NIM, it is at a very good level of 3.23 % for the quarter and for 9 months , it is 3.27 %.
See, on the bulk deposit, Ian already highlighted and that we announced also while publishing the unaudited numbers, that the reduction in bulk deposit vis-a-vis the Q2 outstanding is almost INR 20,000 crores, and something around INR 6,000 crore we got it repri ced through a CD route. So, the bulk and CD has gone down 4 by INR 14,000 crores. So, that's something NIM accretive and that is what something we intend to pursue for optimizing with regard to the bulk deposit. At the same time, as I said, the international growth also around 15% which is aligning with the domestic growth. As I said, NIM and ROA, both are a twin objective for the Bank. The ROA has been pretty well placed at 1.20%. We have the guidance at more than 1. We continue to hold that guidance. Now, for six quarters consecu tively, we are maintaining ROA in excess of 1%.
On the balance sheet side, on the domestic advance, the growth has been 13.4% and global is at 13.6%. As we shed a bit of bulk depos it at the same time also shedding a bit of low yielding corporate asset. You have seen the corporate asset growth is almost at 10% as against 16% growth in the earlier quarter. So, without this, the growth would have been much higher. So, we hold to the same guidance of the increase in advances by the 14 to 16 % range.
At the same time, deposit has been at 6.3% for domestic and 8.3% for global . And normally what we see in this quarter, that is I'm talking about the January -February -March quarter, is normally a very productive quarter for all the banks. And a scenario like that, although we also acknowledge that there is a tight liquidity condition prevailing in the market and systematically also all banks are having a lower growth on the deposit, we are optimistic to optimize on the deposit front. And typically, you would have seen that, we as a Bank, we have come out with large number of differentiated products, both on the saving s and also on the current account. If I outline some of them, we have introduced differen

tiated the saving s account, which we
introduced the last time during the festival time, that is a bob LITE, bob BRO, bob Parivar account, bob Salary account, bob NRI account, on the saving s front side.
At the same time, current account, we introduced seven new differentiated products a couple of days back . These are all bob Lite, bob Women Power, bob Smart, bob Gold, Rhodium, Platinum, Diamond. These are all differentiated products just to meet the needs of different customer segments in this market and try to get them by offering some differentiated products or differ entiated offer based on their customer profiling. So, we hope that the March quarter will be a better quarter in terms of the growth of deposit s. In case we have not reduced the bulk deposit, the growth would have been much higher on the deposit front, but then we are hopeful of optimizing in this quarter.
On the asset quality, we have been, as per the guidance which Ian already highlighted. We guided the market for a slippage ratio between 1 to 1.2%. On the credit cost to less than 1%. And I'm happy to share that as already we have highlighted, the slippage ratio has been at 0.95% for Q3 and 1.06 % for 9 months. The credit cost has been at 0.39 % for the Quarter and 0.69 % for 9 months. And in terms of GNPA and Net NPA also, you have seen the movement on the positive side. So going forward, the stance of the Bank is very clearly to have a tight leash on fresh slippages, at the same time optimizing on the recovery efforts.
Apart from the normal guidance, we said a couple of things last quarter while talking to all of you. One is, already highlighted that, aligning the international growth in line with the domestic growth. Let me again say that we are a unique bank in terms of, almost 16% of the book coming out of international exposure. Although the ROA in international has been better than that of domestic, but the NIM is obviously because of the market has been lower than the domestic NIM. At the same time also, I said about reducing our dependency on bulk deposit to a large extent, and that also we have done in this quarter. The third thing which also we said last time against multiple question, is to moderate on the personal loan segment. So, if you see as Ian already highlighted, as against more than 100% growth YoY, the growth has gone down to 60% this quarter YoY. But what important is that, I announced this measure in last quarter, and the sequential growth in this quarter i.e. Q3 over Q2 has been 8%. And in case I annualize, it would come in the range of 30 to 35%.
So, these are a few of the thoughts that I thought let me make some qualitative remarks. So, now we are open for questions.
Moderator: The first question is from Ashok Ajmera. Please unmute yourself and ask the question.
5 Mr. Ashok Ajmera: Thank you very much for giving me this opportunity. Compliments Chand saab and the entire team of Bank of Baroda. Am I audible?
Mr. Debadatta Chand: Yeah you are audible. Please go ahead.
Mr. Ashok Ajmera: Sir, a very good set of numbers. Especially if you look at the profits and all the asset quality and recoveries, as well as slippages control, your credit cost. So, comp lement for the same. I have few

questions based on these results. Number one is that in the employee's cost, can you comment that what is the impact in this quarter which we had to have because of the increase in the revision in the expected increase from 15% to I think 17%? So how much amount or how much hit we have taken in this quarter in the employee's cost? And why the same is not being reflected if you compare with t

he last quarter? So, this is one
on this.
Second sir on the operating profit side also. Even though it is explained in the initial note presentation, that reversal of M2M provision of INR 750 crore account, but still the operating profit is almost about INR 1,000 crores down as compared to the last quarter. So there definitely would have been some growth in the operating profit with this difference. Where is the difference of another INR 300 or 400 crores? Is it because of the because of the gap or because of certain increase in the cost? Because I couldn't go through in detail, every breakup of the cost. So this is my second point.
And sir my third point is sir, that you are now launching many more new digital products. So are we behind that bob World episode? Are we totally cleared from Reserve Bank of India, and no penalty or no major consequences are there of that, and we are moving away ahead now normally as was before that episode? So, these are a few just questions and thoughts sir. If you can just do some kind of colour on that.
Mr. Debadatta Chand: Yeah. Let me take the second first and then come to the employee last. As far as operating profit is concerned, you would have seen that the change vis-a-vis on the MTM , I mean on the investment portfolio is almost in excess of INR 500-600 crore now, because last time there was a write back as far as the mark -to-market is concerned, and this time we have provided depreciation in the book. So that's a change of INR 500-600 crore.
Another is, if we look at the commission and income, that we have provided under non-interest income, there is a dip there. Our normalized commission and interest income is roughly around INR 700 crores to 750 crores. But last quarter we had some kind of a one-off in terms of few underwriting bills which we had done in the international, giving us a substantial fee out of those transactions, which was not in this quarter. So, if you normalize both the things it would match vis-a-vis the operating profit of last quarter and this quarter. And if you compare the year back, the MTM change is more than INR 1,000 crores. So, it would all normalize into a normal operating profit in excess of INR 7,000 crores that you are talking of, going forward.
On the second on the bob World thing, bob World is a digital platform, so nothing to do with regard to the scheme that we are introducing. Last time also when we interacted, we said that if bob World is only one of the channels, we have significantly scaled up the other channels for acquiring customers. The other channels can be multiple in terms of tab banking, branch banking, multiple channels we do have . So, there is no impact in that way. And these are all the schemes where these are typically to be sourced at the branch level. So, this independent product has nothing to do with regard to bob World. With regard to the restriction of RBI, we are already on the compliance mode between the regulator and the regulated entity’s discussion going on, and I hope that the ban is revoked at the earliest.
On the employee cost, we are maybe one of the banks where we have adequately provided in terms of the revision of wages and salary, and rather they have disclosed that. We have more than adequately provided in terms of the increase that we are talking vis-a-vis the settlement. Ian anything further you want to add on this?
6 Mr. Ian Desouza: Yes sir. So Mr. Ajmera, we have taken in the quarter a provision of close to INR 425 crores for the wage arrears, and this is tracking in line with the provisions we made in earlier quarters. It is only marginally higher by around INR

50-60 crores. That is why you cannot spot it as a huge variation. So, we've
been providing at a high level for almost 9 months now. So, you cannot actually spot it out in the QoQ sequential. So cumulatively, just for your knowledge, as we have disclosed in the Notes to Accounts, we have a cumulative provision for wage arrears of INR 1,745 crores.
Mr. Debadatta Chand: Sure, Ajmera saab, just to add again, because I know you track the treasury quite closely, in terms of the depreciation, as we said earlier also, we run a large FRB book. And although the 10 year G-sec is almost the same level vis-a-vis September and December, but the FRB, because you have to take the market price in terms of valuation, there is a dip there in. So, because of that, the additional depreciation.
Moderator: I request everybo dy to stick to two questions per person. The next question is from Rikin Shah. Please unmute yourself and ask the question.
Mr. Rikin Shah: Thank you for the opportunity. I had two questions. First one was, the CASA growth for the system in general is weak, and for us this quarter we de-grew the bulk deposits. Now with the LDRs of 83-84 percent and the CASA problem for the system persisting, so in that context do you still expect to keep running down the bulk deposits, or would you be looking to mobilize it going ahead? That's number one. And second is pertaining to the reversal of the provisions on the standard loans that we are seeing in the P&L in the last two quarters. Why are they reversing and how long this reversal will continue? Thanks.

Mr. Debadat ta Chand: Okay, so let me address the CASA, this is a systemic phenomenon , considering the tight liquidity the growth in CASA has been low. In terms of our guidance if you look at couple of things that allowed us to slightly de-grow on the deposit because last quarter, also, I raised almost INR 7500 crores through the bond route, that is the infra and also the tier two route. And the same way we also have 7500 planned for this quarter. Out of that, INR 5000 already we have raised on the infra bond and the pricing would have seen that has been very good, the market has good response vis a vis the Bank of Baroda brand. So, it again, a mix and match of multiple sources just to support the credit growth. As we are guiding, that we will grow at 14 to 16% credit growth. Then to the extent the required amount of liquidity required, whether it is a CASA growth or a bulk deposit growth or some kind of a borrowings in the form of bond, these are all the options available. But the fact that we are conscious of, while doing all this, that also we discussed last time, is the impact on the NIM. So, to the extent we manage both in terms of how do you manage the NIM at the same time, optimize the cost will keep doing. We said dependency on the bulk, going forward, just we see the market and also may raise bulk but at the same time clearly conscious of the fact that the NIM impact is more important in terms of how do you see the growth, on the bulk.

On the standard reversal of provision, what I understand that because the restructured book is going down, there is a reversal happening. Khurana Saab, anything further you want to add on this?

Mr. Ajay Khurana: Yes sir, this is the same thing, because this standard book also contains a restructured book. So, there is a reduction of INR 2200 crores in restructured book. So, because of that, this provision has been reduced.

Mr. Rikin Shah: Sir just two follow ups on the same question, the restructured book, if you could quantify what is the outstanding number today and assuming that t

his continues to trend down for how many more quarters do we expect a reversal on the standard loans? That's the first follow up. And the second one, going back to my first question Chand Sir is, are you targeting any particular level of credit deposit ratio?

Mr. Debadatta Chand: Just to address on the credit deposit. See, we earlier also I said, we have a very unique, in terms of that may not be true for many of the banks here in India. We have almost 16, 17% of the exposure coming out of international. And there are two things that happen in international - one is a NIM is low, at the 7 same time, credit deposit is much higher. So, in a scenario like that, if you look at my credit deposit on a normalized basis, it is normally higher than any other bank. So, if you look at the domestic credit deposit, we are almost trending at 80%. Right. So, that is something again, we intend to continue with that level of around 80%, but international, because of that, it goes above 80%. But then we have aligned, moderate d the international growth and don't think the impact would come much from that. So, there is no specific, what you can say, targeting level for the credit deposit ratio but we like to operate within, around 80% level. And the earlier thing, Khura na Saab can you just take it up on the restructured.

Mr. Ajay Khurana: Yes. Regarding this restructured, present restructured book, at this, now we are around 9900 crores. So, every quarter there is a reduction between 15 to 20%. So, this is what we are expecting that this is going to happen even the next quarters also. So accordingly, the provision also will be reduced.

Mr. Debadatta Chand: Just to add one point while giving particularly on the asset quality, see we normally mimic the economy in that way. If you look at the current the economic cycle is in a very good form. So, the asset quality concern ed, I do not see stress for many quarters now, but all these are guidances basis on how the economic cycle will behave and then accordingly adjusting those guidanc es.

Moderator: The next question is from Mahrukh Adajania. Please unmute yourself and ask the question.

Ms. Mahrukh Adajania: Yeah. Hello. Congratulations.

Mr. Debadatta Chand: Thank you, thank you, Mahrukh.

Ms. Mahrukh Adajania: Yeah. So, I have a couple of questions you did mention about….

Mr. Debadatta Chand: We can't hear you Mahrukh, can you repeat your question?

Ms. Mahrukh Adajania: Sir, can you hear me now?

Mr. Debadatta Chand: Now I can hear you. Please go ahead.

Ms. Mahrukh Adajania: Yes, sir. So, Sir my question was on deposit growth, you did mention on your deposit growth that your deposit growth will pick up in the fourth quarter. There was bulk repayment, etc. so that would be true of loan growth as well. Right? As in that maybe corpora te loan growth picks up a bit and then your sequential loan growth would be higher than what we saw this quarter. It was 2.5% this quarter on a sequential basis. So, the same holds true of loan growth as well. Correct.

Mr. Debadatta Chand: Now if I reply, my loan growth guidance has been 14 to 16%. That is what we said earlier and this time it is marginally below 14% because of a precise strategy that we talked about. So, for as far as the Q4 is concerned, we'll operate in the 14 to 16% band. And if the resources are quite strong, then possibly the growth can be higher. But all will depend upon how the resources side mapping up.

One thing that clearly we said to the market or to you is that I'm not only dependent on the deposit now, I have the bond route also to strengthen my ALM

structure. Right. So last quarter we raised INR 7500 crore.
This quarter we are going to raise INR 7000 crore , already INR 5000 crore is raised. So, these are all supporting me in terms of how do I again look at the loan growth. So, I think we'll operate within that band of 14 to 16% for the entire loan growth. If you have seen the components of the loan growth, also the retail, MSME and Agri continue to be at the same rate, which was in September. The only what you can say the change thing in the corporate growth. So that's a number which can be aligned very well. So, if there is a pick up further in the corporate growth, we'll look at the resources and raise money accordingly. Right.

8 Ms. Mahrukh Adajania: Okay, sir. Sir, and what do you do in terms of yield on loans then, do you see a further pickup, especially in domestic yields, of course, international is difficult to predict, but do you see do you see margins expanding in the fourth quarter? Since, your deposit growth would have stabilized.

Mr. Debadatta Chand: My guidance as we sad that full year guidance is 3.15 %. So again, the quarter NIM is around 3.10 %. So another five bps to cover on a quarter and sequentially, I mean, for nine months, we are almost at that level. So, two things can I say that in terms of the MCLR book still can be a component in the book, which can be repriced, because everything happens with a lag that can be quite a possibility. Secondly, on the NBFC book, because there was RBI guidelines where there was a high er risk weight . So, a bit of resetting happening on the NBFC book. So that can also be an upside therein. And I think a very stable outlook in terms of the NIM structure, because the cost of deposit already like my entire deposit is now repriced in one year time because the incremental rate, the new rate is only on the incremental deposits. So already one year has been lapsed, and the duration of deposit in banks are almost like at one year. So, I don't think much of cost pressure coming out of deposit in any way. At the same time, bit of upside is there in the income side. So, we'll maintain the same guidance and operate within the NIM of 3.15 %.

Moderator: The next question is from Nitin Agarwal. Please unmute yourself and ask the question.

Mr. Nitin Agarwal: Yeah. Hi. Thanks for the opportunity. And congrats on a good set of numbers. So, first question is on the fee growth. While other incomes I understand is down because of the Treasury and the revalue of investments related effect. But even the fee growth, which has been a focus area for us, and we talked about it in the prior quarters, has been running a bit slow. So how do you see that shaping up in the coming year?

Mr. Debadatta Chand: Okay, so fee, as I said earlier, the Bank is focusing very strongly on the concept called fee and flows. So, flows is talking about capturing the cash flow, whether it is a retail customer or corporate customer, at the same time on the fee side. So, you are right on that. Actually, the growth has been almost 16% on the fee side on a YoY basis. We want to optimize that and try to make it more higher. We have instituted some kind of a structural change within the Bank in terms of how do you look into particularly the charges, the commission and all those stuff. So going forward , we are going to have a comprehensive look. In terms of the relationship, corporate side things have started doing well.

One small component that may not be, but that is a decision already we have taken because a lot of fee and commissio n is to come out of the personal loan segment. And there as a strategy, we

told to slightly de-grow
impacting on the fee or the processing fee side more. So, these are small what you can say impact as on today but then Bank would short term, medium term and long term continue to focus very strongly on the fee and our concept of fee and flows, we want really to see that coming into real, what you can say value for the Bank in that way. So, we'll continue our focus. I do agree that slightly this quarter has been low against our expected because of a small component of personal loan where we deliberately tried to pull the growth down. Otherwise, it would continue to be strong in that way.

Mr. Nitin Agarwal: Right Sir, sure. So that was my question. So, thank you so much.

Mr. Debadatta Chand: Thank you very much. Thanks.

Moderator: The next question is from Rakesh Kumar. Please unmute yourself and ask the question.

Mr. Rakesh Kumar: All right. Thank you, sir. So, most of the questions have been already aske d. Just one question I had that was with respect to, this margin again. So, in our view you know, correct us if I'm if we are wrong, so LDR, domestic LDR is already at 81%. And this quarter, as you also said in the opening remarks that we have shed a lot of wholesale numb er and we might have also shed some of the corporate asset also, so 9 that margin can be held up and there is an increase in the overseas yield also overseas margin also. So is that because of the, we are kind of going slightly slow on that. So, what is the headroom here in the margin like to my understanding, it like, we don't have much of space on the asset composition side. And if we can't do anything on the credit composition side, please kindly highlight just to understand the margin trajectory, possibly from here.

Mr. Debadatta Chand: See as far as, thanks Rakesh for asking this question. As far as margin is concerned will be sticking to the guidance of 3.15 % plus or minus five bps. In terms of composition of the asset side all would depend upon, as you have seen also last quarter on the balance sheet number on the bulk deposit and the corporate is one key driver in terms of how do I construct the book. But personal loan, we have said that we'll because that was a high margin product, we are slightly moderating that's given at this point of time. So not much I can see a change in composition in any way from the current and all would depend upon how the yield curve or the rates structure start moving off or going down for the next two month s. So, it's a strategy, balanced strategy in terms of how do you see a decent growth at the same time maintain the margin for the bank. On the cost of liquidity is a key factor while that you have seen that you have done in last quarter and going to do also in this quarter. On the cost side Tyagi Saab anything further you want to add based on the market scenario?

Mr. Lalit Tyagi: So, sir, we see that in terms of the RBI stance on the rates and globally also, rates appear to be have peaked unless and until there is any sudden market development on either side. So, we feel that going forward , rate either should stay for some time and then come down post second or third quarter. As far as liquidit y is concerned, we also think that after some time when the government spending comes to the market liquidity situation should also improve. So overall, we feel that deposit cost pressure, which is felt now by banks, including us, should get soften out probably from the next quarter onwards. This quarter, probably we may not, we do not think that much of ease. As far as the asset side is concerned, as MD Saab has already encapsulated, we also

feel that there is a slight upside in terms of the MCLR repricing book or some sort of upward movement. However, because the business pressure margins will always remain in pressure on the asset side. So that's why the NIM is going to stay where it is. And we have already said this. And from the next quarter onwards, probably there should be a softening on the deposit side.

Mr. Debadatta Chand: So just to add to that, actually we last time said that margin expansion is not the only objective for the bank. So, we also have a twin objective of both margin and also ROA. So, it's a balance in terms of how do you do the trade -off. So, to the extent the margin get impacted, then you add the fee income and others to improve the ROA. So, we'll continue to do that. And the margin is in a very tight spot as far as banks are concer ned at this point of time. So I'm also arranging a band of maximum five bps offside in that way. So, we are still sticking to a 3.15 % kind of a guidance for the current year.

Mr. Rakesh Kumar: Thanks. A very elaborate response, sir. Thanks very much, sir. Just one clarification we needed, sir. On the wage revision, what was the assumption that we had as on September' 23?

Mr. Debadatta Chand: Ian, can you take this question?

Mr. Ian Desouza: Yes. So, the assumption has been similar, so essentially from June onwards, we've been providing at 18%. So, no change. Only thing we had a small increase in the provision in December of around INR 65 crores. But essentially our assumption has been throughout been the same. In terms of wage areas where we seem to be sufficiently provided the only thing I'd like to call out since you asked the question, is that there may be some small catch up on the AS 15, which is the retirees and gratuity payments, but we will see that once the full details of the wage settlement are published in probably this quarter.

Moderator: The next question is from Jai Mund ra. Please ask your question.

10 Mr. Jai Mund ra: Yeah . Hi. Good evening, MD sir, ED sir and CFO. Sir, a small question on term deposits. So, in the presentation, we see that, we have introduced a new retail products, retail deposit products, which are priced at 7.6, 7.8, 7.9 and have a decent tenure also, which is clearly higher than the current outstanding cost of term deposit, right, if one were to assume something. So, and as you said that you want to focus more on retail term deposit side versus bulk deposit side. So, this should ideally move the pressure, I mean, this should ideally move the cost of deposits upward for the next, you know from next quarter onwards. Is that right understanding because you don't want to focus too much on the bulk, whereas the retail term deposit, you have hiked the price.

Mr. Debadatta Chand: Couple of things here. One is that the rate that you are talking about these are loaded rate. Right. So, loading with the senior citizen and all those stuff. The base rate on those are much lower as compared to the rate we are saying. So, the peak rate is always the all loading factors and the peak rate and that is how banks do announce, in the same way we announced. The two strategies clearly, we have done this is that we recently increased the interest rate for buckets below one year short term rates and moment I am getting any short term rates the cost would be definitely cheaper than the one year rate but higher than the

rate we had earlier. So, I am able to reprice those deposits at a lower cost.
Our sense is that possibly post May 2024 the liquidity scenario may completely change. And in that scenario, I'm not trying to lock in on a v

ery high on a longe r term. The second strategy was that while putting the 360
BOB deposit, which is the flagship deposit scheme now, on the base rate of that is 7.10. So even if we are getting the deposit on under that segment that will be much cheaper than the current bulk rate. Current bulk rate are really very high, higher level.
Thirdly we also in the presentation added 2 coming soon products on the term deposit and that will introduce as early as possible. One is with regard to MIBOR linked floating rate deposit for slightly HNI and institutional customer at the same time coming out with green deposit because green deposit is a different segment altogether. So, all the strategies possibly that we are thinking of would optimize the cost structure on the term deposit. Ther e is a big push going on in terms of, if you see the retail term deposit, the growth has been better than the last quarter. And that is something we want to optimize in this quarter fully. Rather, we are asking extensively asking the branches that let's say retail term deposit, CASA, these are the things we need to source considering the very tight liquidity scenario. So, it's a mix and match option in terms of how do we optimize. But the idea is to reduce the cost, not to add to the cost. Right.

Moderator: We are taking last question for the evening from M.B. Mahesh. There has been a drop in recovery and upgradation of loans. Could you let us know what is in the pipeline? From an accounting perspective, how are inter -quarter slippages and recovery or upgradation accounted for retail loans? The second question is break up of slippages in retail loan book. What would be the contribution from personal loan within the retail segment? And thirdly of the personal loan, is there co-lending also in this portfolio? What is the contribution and how is it risk shared?

Mr. Debadatta Chand: So Khurana Saab can you take a couple of them? I'll come at the last.

Mr. Ajay Khurana: Yes. As far as the drop in recovery is concerned, we are as per the target, the target, whatever we have fixed for the quarter, as well as for the till nine months, we have already achieved the targets. And similarly, whatever internal targets are there, those are going to be achieved for, even for the next quarter also. All the pipelines are there, although there is no big NCLT recovery in pipeline but the normal recovery, what we have been doing through our franchisees, through all the branches that and that we are going aggressively because this is a very, you know last quarter, mostly the you know, the everything gets activated. So, this is what we are expecting, that the entire recovery is going to happen.
As far as thes e retail NPAs are concerned, total it was around INR 553 crores, which includes co-lending but there is no NPA in co-lending. NPA in co-lending is zero as of now. And the majority, of course, it comes from personal loan a little bit it is higher than you know which is normal. The unsec ured personal loan remains 11 higher than the home loan or the other auto loan. So, but still within, the overall slippages is 1% in retail this is what is the status.

Mr. Debadatta Chand: So just to add to what Khurana Saab said as far as personal loan the NPA is quite low number as on today. And if you have the risk-based pricing, they are all covered up in terms of the risk based pricing. So absolutely no concern at this stage. And our book percentage to a very large extent is our existing customer, so there is no concern. But as a normally the regulatory guidance with regard to the, the risk weight and all we have decided

to moderate that is what we have outlined last quarter and continue to follow till we
come out with a new stance on the personal loan segment.

Moderator: Thank you, sir. That'll be it for the evening. Ian, if you can, please give the vote of thanks.

Mr. Ian Desouza: So, I'd like to thank everyone for engaging with us this evening and it's been a very constructive and engaging conversatio n. Look forward to seeing you in the following quarter. Thank you very much.

Mr. Debadatta Chand: Thank you. Thank you all. Thanks for joining.

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Participating members from the Management Team of the Bank

- ■ Mr. Deb adatta Chand , Managing Director & CEO
- ■ Mr. Ajay Kumar Khurana, Executive Director
- ■ Mr. Lalit Tyagi, Executive Director
- ■ Mr. Lal Singh, Executive Director
- ■ Mr. Ian Desouza, Chief Financial Officer (CFO)

Moderator: Good evening everyone and welcome to the media conference for Bank of Baroda financial results for the quarter ended 31st December 2023. We ha ve with us today the MD & CEO Shri Debadatta Chand and he is joined by the B ank's Executive Directors and the CFO. We have a short presentation followed by brief opening remarks by Mr. Chand and then the Q&A session. Chand Sir, over to you.

Mr. Debadatta Chand: So good evening to all. Thank you very much for joining this media interaction. I am D. Chand, MD & CEO of Bank of Baroda, with me Mr. Ajay K Khurana, who is the Executive Director and has been with the bank as a whole time director for more than 4 years now. He looks after the MSME vertical along with the recovery apart from other functions. Then we have Mr. Lalit Tyagi. He is the Executive Director looking after the corporate credit, the investment banking and also treasury. Then we have with us Mr . Lal Singh, possibly you are meeting him for the first time. He looks after the HR, the IT and other platform functions And Ian has been a familiar face with all of you for long. So before I hand it over to Ian to run through the presentation, let me agai n thank all of you because you must have seen a change for this quarterly media interaction. Earlier, many of the media interactions we used to do on Saturdays and there used to be a lot of feedback from all of you that Saturday is a non -working day. So th is change is because of all of you so I am thanking all of you on this. Over to you Ian.

Mr. Ian Desouza: Thank you Sir. So just want to take you through the highlights of our performance so far in terms of this quarter. In te rms of growth and advances Yo Y at a glo bal level has been close to 14% , domestic advances has been tracking at 13.4 %. One reason why domestic advances are tracking at a little below YoY growth we showed in September quarter is that we have consciously moderated our wholesale advances which is our corporate advances to 10.2 % as against 16 % in the last quarter. Our international advances also has been moderated from 20+ levels in the previous quarter to around 14% and this is as we have guided.

Retail on the other hand co ntinues to str ongly grow at 22% and the rest of the RAM that is Agri and MSME grew at close to 13% year on year. In terms of within the retail, the portfolio home loan which is our secured book and relatively safer advance is g rowing at a strong 16%. Education loan grow ing at 18%, auto loan 24% and from 67% growth that we showed in the last quarter year on year, personal l oans have moderated down to 60% .

In terms of deposit profile , in our stock exchange filing we had said we had reduced our bulk deposit by around INR 14000 crores and if we had not done that, our total deposits which are increasing by 8.3% would have increased by 9.6% year on year. Reducing the bulk deposits has helped us improve our ne

t interest margins. In terms of dom estic CASA, it is growing at 4% and domestic term deposits are growing at 8% . In terms of as I said bulk deposits have de -grown quarter on quarter by around 6.6%. In terms of the CASA ratio, CASA ratio has improved on sequential quarter basis by 81 basis points thus helping us in the NIM journey. Please go ahead.

So this is our 9 months profit matrix. In terms of net interest ma rgin, we have seen almost 10.5% NII growth versus the previous year's 9 months and in terms of operating profit, we are up by close to 22%. Profit after tax is up b y 38% and our return on assets which is an important matrix for us where we guided above 1% continues stand at 1.15 % which is 22 bps higher than the same period in the previous year. Can we go ahead?

When it comes to the quarter numbers, the operating pro fit optically looks a bit lower but if we exclude from the year ago period, reversal of mark to mark provision of INR 750 crore which is volatile item since it is linked to market conditions and not core operati ng profit of the B ank. If we

reduce that vola tile item of INR 750 crore from INR 8232 crore, you would arrive at an operating profit of a sustainable level of around close to INR 7500 crore . So this year's operating profit of INR 7000 crore has to be viewed in that light. In terms of the profit after tax for the quarter, it's been 4 quarters now since we have printed profit above INR 4000 crore and this is almost 19 % growth year on year. ROA for this quarter remains strong at 1.2 % which is 7bps higher than the year ago period in FY23.

If you look at our yield on advances in a sequential manner of quarter on quarter, yield on advances has grown by around 8 basis points whereas the cost of deposits has only grown by around 4 basis points. That is helping us accrete our NIMs and improve our NIMs from 3. 07% in the last quarter to 3.1%. We had given guidance for the full year NIM of 3.15 %, + or – 5 basis points and if you see the 9 month period, NIM is within that range of guidance. Can we go ahead?

In terms of our asset quality numbers, you would see our GNPA continues to reduce and we are at 3.08 % GNPA. NNPA is well below 1, at 0.7 %. Provision coverage continues to remain strong and sprints at almost 93.4 %. Slippage has moderated and is below 1 %, though we had given guidance in the range of between 1 and 1.2. Credit cost remains well below the 1 % guidance we gave at .4 %. Go ahead.

If we look at the CRILC SMA 1&2 which is loans above 5 crore which are not in the zero day bucket, that figure continues to trend very well and it is at just .24 % and it compar es well with the sequential quarter and is much below the same period in the last financial year. Collection efficiency is trending at an all -time high and is close to 99 %.

So in terms of balance sheet strength, we already saw the asset quality ratio. Th e other parameter for balance sheet strength is capital adequacy and liquidity coverage. In both these ratios, we are trending very well and we are at a capital adequacy of 14.72 % and our tier1 capital is close to 13 % and CET1 is 11 %. If we were to include the profit for the 9 month period excluding dividend, our CET1 would be well above 12 % and our capital adequacy will be at 16.05 %. LCR , as I mentioned is very well printed at 133 %.

With this, I come to the end of my presentation and I would hand it over back to Mr. Chand to give us his remarks.

Mr. Debadatta Chand: Thanks Ian and once again to all of you, a very good evening for joining us today and I would give some qualitative remarks with regard to the performance we had for this quarter. This quarter has been a good quarter. We have a profit of INE 4579 crore which is a YoY growth of almost 19 %. For the 9 months cumulative profit, the growth has been 38.2 %. By posting a profit of more than INR 4000 crore for the last

consecutively 4 quarters, we are n ow posting a net
profit in excess of INR 4000 crore and with the 9 months profit of INR 12,902 crore , we have almost achieved 91 % of the profit in the last full year. So that talks about the su stainability of profit for the Bank going forward.

Also, I sa id last time, when I talked about the margin, we said that we as a Bank pursue NIM and ROA as twin objective to optimize and also happy to see the NIM for Q3 has been at 3.10 % as against 3.07% in the last quarter and for 9 months, it is at 3.14 %. So we gav e a guidance earlier to maintain NIM at around 3.15 %, +/- 5bps. Now we are holding the same guidance for th e full year, based on the performance that we are going to have for this quarter.

At the same time, we also last time said that we are a unique B ank because on the international book, we have almost 16 -17% of the global book and internationally we operate at a much lower margin, almost at less than 2 %. So we last time also said that we are going to moderate on the international growth aligning with t he domestic growth and we have done this also in this quarter. If you look at the domestic NIM, it is at a very good level of 3.23 % for this quarter and for 9 months at 3.27 %. So at the same time, as I said that NIM and ROA, we are pursuing as a twin objec tive. We gave a guidance of maintaining ROA in excess of 1 % so in this quarter, the ROA has been 1.20 % and for 9 months, it is at 1.15 % and with this, for the last 6 consecutive quarters, we are maintaining ROA in excess of 1 % which is considered as a good benchmark performance.

On the balance sheet side, Ian already said that the growth in advances has been at 13.4 % for domestic and global at 13.6 %, which is marginally below our guidance of 14 -16%, precisely because of the result that we already outlined when we announced the unaudited numbers saying that in this quarter, we reduce our bulk deposits to the extent of INR 20,000 crore and bulk and CD composite by INR 6000 crore. Because of that, we had to realign our corporate book so precisely for that rea son, the growth is slightly lower than the guidance of 14 -16% but again for looking forward for this quarter in the full year, we maintain our guidance of growing at 14 -16%.

On the deposit side, you have seen the growth has been, global growth has been at 8.3%. Had that earlier s trategy of not de -growing the bulk deposit, our growth would have been higher. But again going forward, if you look at the industry scenario also, this is one aspect we are concentrating heavily to augment the retail in the deposit franchise of the B ank. You would have seen that in the last 2 quarters, we would have announced host of differentiated saving s and current account products which are having different offers for other segmented customers in both the segments. If I talk abo ut savings account, then we have a BOB LITE that we announced. We have BOB BRO accounts, we have BOB PARIVAR accounts, we have BOB SALARY account, we have BOB NRI account which we announced in the last quarter.

Couple of days back, on the current account we announced now in the BOB LITE account, BOB WOMEN POWER account, BOB SMART account, BOB GOLD RODIUM PLATINUM and DIAMOND account. On the fixed deposit front, we have announced a deposit scheme of BOB 360 deposit. At the same time, in the presentation al so I mentioned that we are going to announce 2 more deposit products. One is, with regard to the green deposit, which is a different segment alt ogether and also some kind of a floating benchmark link ed product also in this quarter. The focus clearly for th is quarter is on the resource because all of us know that we are in a tight liquidity scenario and at the same time, we need to opti mize on the retail base of the B ank.

Asset quality, whatever we guided last time, we have come through on all the guidance s. We said that on

the slippage rate, our guidance has been 1 -1.2% and the credit cost is less than 1 %. For this quarter, the slippage ratio is .95 % and for 9 months, it is at 1.06 %. The credit cost for this quarter is .39% and for 9 months, it is .69 % both in terms of training of GNPA and NNPA, you would have seen a reduction sequentially in the last quarter. But while going forward, we as a stra tegy, we will keep a tight leash on the slippages and at the same time would optimize on the recovery front.

Couple of things that I also said last time while discussing with you in terms of aligning our international book which already I said, we have aligned. Growth is now aligning with the domestic book now. The lower dependency on the wholesale deposit as I alr eady said that we have reduced rather than moderated the growth on the outstanding in December as compared to September. The 3rd thing also, lot of queries we received last time with regard to the personal loan growth. I said that in the earlier growth, al though it was a very small base, earlier growth we were going to moderate

on that. If you look at the Yo Y growth on the personal loan this time, it is at 16 % and sequential growth is at 8 %, which used to be more than 100 % YoY and sequential around 15 %. So if I take the sequential growth of 8 % and annualize that, it will come to the level that we wanted to be around 32-35%.

So with this, I thank all of you for showing your faith on the B ank and the market has also reverted post our quarterly results . So n ow we are open for question answer. Thank you very much.

Moderator: Thank you Sir. We are now opening the floor for question and answer. I request everybody to stick to 2 questions per person. The 1st question is from Joel Rebello from Economic Times. Joe l, please unmute yourself and ask the question.

Mr. Joel Rebello: Good evening Sir. Sir, if you look at your numbers, the retail loan has been good but your NII and margins have been pretty we ak. If not for the provision write back, I think the profit wou ld have been much lower, the growth in profit would have been much lower. I just want to understand, what's the outlook on the growth? Because that big provision of decline of 72 % actually helped the profits. So if you could just comment on that. I have a couple of follow -up questions also.

Mr. Debadatta Chand: Ok. So in terms of NII growth, we have said 2.6 % and that’s pretty b etter as compared to many of our industry peers in terms of that. And the provision that we said is not a provision write back. A lowering of provision is because last quarter we said that we made a prudential provision in the aviation account along with the international account. So that was one off. Otherwise our normalized provision rate is the same that we have done in this quart er. So in that way, there is no, like it’s a normalized provision that we have done so there is no impact in terms of the profit being lower or higher but we believe that we continue with the same but also it shows tha t better asset quality for the B ank. S o the moment you have a lower provision, there is a better asset quality. In that way, we have been fairly comfortable. As I said, the net profit has been consistently now more than 4000 crore for 4 quarters. So our guiding would also be in the similar lines. So ya, further what do you want to add on this?

Mr. Joe l Rebello : I also wanted to understand why are your operating expenses up? If you see, year on year, your operating expenses are up. Also written off provisions and written off accounts are also up. So in these 2 lines, if you can just explain why your operating expenses are up and provisions on written off accounts?

Mr. Debadatta Chand: Ian, can you take the operating expenses and then hand it over to Khurana Saab ?

Mr. Ian Desouza: I will take it. So if you look at operating expenses, I think a big component of ou

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operating expense is more than 50 % is the employee cost. If you understand about the wage settlement, so the wage settlement was due in November' 22. So in th e 9 month period ended December' 22, we had only 2 months of wage arrear s provision which amounted to around INR 200 crore whereas in this financial year, we had 9 months of wage arrear s provision amounting to almost INR 1545 crore. So cumulatively, we are carrying a provision of INR 1745 crore, out of which INR 1500 crore was made in this financial year itself. So if you adjust for that, I don't think the operating cost has really shot up. And if you look at the other operating cos ts, I think it is growing around 13% which is not si gnificantly higher than what we see in our peer group as such.

Mr. Joel Rebello: How much was done this quarter Sir for this employee cost?

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Mr. Ian Des ouza: Around INR 425 crore.

Mr. Joel Rebello: And the total number is INR 1745 crore , if I have got it right?

Mr. Ian Des ouza: Yes, perfect.

Mr. Joel Rebello: Ya sorry, please go ahead.

Mr. Debadatta Chand: Just to add to that, the operating expenses for this quarter sequentially it has gone down. If you compare the 9 months, there is an increase for th e precise reason the CFO said. Right?

Mr. Joel Rebello: I am looking at year on year Sir. Sorry, ya.

Mr. Ajay K. Khurana : Joel, what is the questio n on – is it on the provision on written off?

Mr. Joel Rebello: Yes, yes Sir. Year on year, the provision on written off accounts has gone up. I just wanted to understand the reason.

Mr. Ajay K. Khurana : We do not provide anything on written off accounts. Written off accounts are already provided and written off. So I think there is some confusion somewhere.

Mr. Ian Des ouza: What is the question precisely Joel? Which line are you looking at?

Mr. Joel Rebello: 1min. Sir. This is the break -up that you all have given Sir.

Mr. Ajay K. Khurana : Which page?

Mr. Joel Rebello: This is from the release you all have given.

Mr. Ian Des ouza: What is the number you are looking at?

Mr. Joel Rebello: Sir. In the table that you all have given, if you look at provision for bad debts and written off accounts….

Mr. Ian Des ouza: Its INR 1000 crore

Mr. Ajay K. Khurana : INR 1000 crore.

Mr. Joel Rebello: It's up year on year 23 %.

Mr. Ian Des ouza: So INR 1000 cr ore, pretty much if you see in the last 6 quarters is a normalized run rate for us. So it would have been an aberration in the year ago period but INR 1000 crore is pretty much the run rate. If you see the sequential quarter of the previous quarter, it was a little elevated at INR 2200 crore because we had provided for an aviation account 100 % but INR 1100 to 1200 crore is the normalized run rate for NPA provisions.

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Mr. Joel Rebello: Ok. Just wanted to get a final comment from Mr. Chand. You mentioned that you all decreased the bulk deposits, you all went slow on deposits but you all still think that the, you all can make up for it, the one reason the loan growth was l ittle slower was because of this decrease in deposits. You all still think that you all can maintain the growth in deposits at 16 -17% for this year and where will the growth come from? Some outlook on the same?

Mr. Debadatta Chand: So fairly you are right on that. We agreed on a guidance of 14 -16% and we can fairly do that. The reason being we augmented our resources in terms of raising bond s from the market. You would have seen that last quarter, we raised almost INR 7500 crore through the infra and the c apital bond. Again there is a plan for INR 7500cr ore out of which INR 5000 crore is already raised at a fairly tight price. So these are all mix and match with the objective to optimize on the cost structure and we will continue the same strategy.

Mr. Joe l Rebello: Sorry, you said that INR 7500 crore has been

raised and more has been planned.

Mr. Debadatta Chand: No, in Q3, we raised INR 7500 crores consisting of INR 5000 crore infra and INR 2500 crore tier 2. And in Q4 also we have a similar plan for raising INR 7500 crore, out of which INR 5000 crore of Infra we have already raised.

Mr. Joel Rebello: Ok. Ok, Sir. All the best for the rest of the year.

Mr. Debadatta Chand: Thank you very much.

Moderator: The next question is from Abhijit Lele from Busi ness Standard. Please unmute yourself and ask the question.

Mr. Abhijit Lele: My query is on the, with regard to the NII. It is quite low at 2.6. What can be the trajectory we can see in quarter 4? How the, your treasury income has also fallen quite subst antially in the 4th quarter. In the 3rd quarter when we saw a fairly stable kind of an interest rate environment in the later part. So how is that going to work out? These are the 2 things.

Mr. Debadatta Chand: 2 things, NII growth has been 2.6 % and more particularly, we track the NIM. The NIM on the margin side improved vis a vis the last quarter, NIM of 3.07 %. It is what actually the guidance we have given to the market of 3.15 % +/- 5bps and we are fairly confident to achieve that number. At the same tim e, we also said that our ROA is more than 1 %. That is also something that we have done for the last 6 quarters and we are going to maintain that. So the profit matrix is actually, the NII growth is aligned with the entire industry if you have seen the othe r industry players doing on the NII front because clearly there is a cost pressure for all the banks and that's the element we need to factor in. At the same time, we are able to optimize on the profit that is INR 4500 crore which is a significant profit as compared to the earlier quarters also.

On the treasury income, you are right on that. Actually in the last quarte r, there was a depreciation write back whereas we have provided this quarter. The interest rate scenario is fairly stable and the one reaso n for that is actually, earlier also we said, we do have a significant FRB book in our portfo lio and the FRBs are valued based on the market price, the traded market price and there is a distinct change in terms of traded market price vis a vis December ov er September. That resulted to some additional depreciation and changing the delta, almost INR 500 crore sequentially between Q2 and Q3.

Mr. Abhijit Lele: Would the volatility be now behind us or there could be some…..

Mr. Debadatta Chand: The rate scena rio is quite stable now and rather globally if you look at the positive statement coming in terms of FED cutting rates going forward in the next year, currently it is very stable. So the only positive thing we can loo k into would be lowering from, mean we are almos t on a scenario of almost peaked out kind of a scenario I believe. So in that scenario obviously this is going to be a not recurring one, I believe.

Mr. Abhijit Lele: In regards to the deposits, CASA part, you have shown a sequential improvement. So should we see that the pressure or the stabilization is no w through us? My query is that, now that you have entered the stability zone. Will there be further pressure downwards?

Mr. Debadatta Chand: It is, it is. Actually we have given a lot of focus with regard to the retail depositor s, be it on the saving, on the business account, on the current account we have announced a host of schemes couple of days back. On the retail term deposit, there are 2 more products which are coming so we are one B ank tr ying to innovate segment customer, trying to customize our products based on the customer needs. The branches have been very clearly focused with regard to the retail deposit so I believe that the growth that we are showing is stabilized that we are thinki ng of optimizing in this quarter. Because normally for all banks, JFM is a very productive quarter an

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business normally being higher as compared to the earlier quarters, so with that rather will improve those numbers and growth for Q4 as compared to Q 3.

Mr. Abhijit Lele: Last query is on the, what is the update on the on -boarding of the mobile application? Where do we stand? Do we expect to resume that activity in quarter 4?

Mr. Debadatta Chand: I hope so. We have given the compliance as far as the r egulator is concerned. The regulator is vouching on all those compliances and I hope that we can start resuming as early as possible and that’s my hope.

Mr. AbhijIt Lele: Sir, on the personal loans, now that there was an incr ease in the risk weights of an y unsecured loans. So what has been the effect in terms of percentage on the capital that you had to set aside ?

Mr. Debadatta Chand: The capital impact on the Personal Loan is 17 bps . Actually, the overall impact that we have said is almost a 60 bps that includes the NBFC and Capital. But as far as Personal Loan much but prior to the regulatory announcement, we announced to the market to moderate vi s-a-vis the earlier growth . Although , the base of the B ank is quite low. And if you look at the last quarter growth, Q 3 over Q 2, the sequential growth is 8% . Suppose I annualise that, then it comes to around my guidance level of 30 %-35%. So , that can be factor ed in. The pricing , again , being slightly reset because of the impact there in. So, we are fairly balance d in terms of how do you structure the Personal Loan in terms of the impact on the risk weight. It's more of a risk based pricing in terms of taking care of the delinquency and also the risk weight factor and that is fairly comfortable at this point of tim e.

Mr. Abhijit Lele : Okay. And the last is on the capital side , out of that INR 7500 crores that you intend to raise in the Q4, INR 5000 crore you already invested in Infra B ond. So , balance would be the Capital Bond ?

Mr. Debadatta Chand: No, INR 7500 crore is the total constituting Infra and the Capital. So , the Infra side we have raised in the last week and the Infra pricing is a very tight pricing in the current market scenario . And we intend to raise the balance of capital of INR 2500 crores maybe in near time.

Mr. Abhijit Lele: That is T ier 2 or Tier 1?

Mr. Debadatta Chand: Tier 2

Mr. Abhijit Lele: Okay, fine. I'm through with my queries. Thank you.

Mr. Debadatta Chand: Thank you very much

Moderator : The next question is from Siddhi Nayak of Reuters. Please , unmute yourself and ask the question.

Ms. Siddhi Nayak : Hi, Sir. Am I audible?

Mr. Debadatta Chand: Yes, Siddhi, you are audible . Please , go ahead.

Ms. Siddhi Nayak : One clarification I wanted Abhijit Sir’s question. You said that you 've given compliance as far as that mobile app thing is concerned. So , can we say that the report has been submitted to the RB I and the RBI is currently mulling on that?

Mr. Debadatta Chand: No, that report, actually , between the regulator and the regula ted entity always there is communication and the communication is there absolutely and the compliance we have given and the compliance vouching is being processed. So , entirely it's a conversation between the regulated entity and the regulator at this poin t of time.

Ms. Siddhi Nayak : So, c an you hope to on -board customer s soon and the b an to be lifted soon?

Mr. Debadatta Chand: I hope so. I hope so. So , that is what my sense. I hope so.

Ms. Siddhi Nayak : Okay . Sir, my next question was on your Deposit side. If you could provide some number on the guidance for Deposits ? What would that be? And even on the CASA front if you could throw some l ight on what the plans for the B ank are ?

Mr. Debadatta Chand: Yeah , that's a fair question because would have se en the growth for the industry also so as the B ank has been lower in terms of the Deposit growth but then we said that we shed the high costs Bulk Deposit , if we included that , the growth could have been much higher. So , it would have been in excess of 10% as compared to 8.4% that we are talking about ; maintaining the same level of Bulk Deposit not reducing that. So , going forward normally JFM we see a lot of traction in terms of Deposit do happen and we had given a guidance of 12%-14% on the Deposit growth considering the advanced growth will be 14 %-16%. But now the advanced growth we are keeping at the same time , so naturally you'll be asking 'How do you raise resources? ' As I said , last quarter we have raised INR 7500 crores through Bonds route. This quar ter, again, we are going to have INR 7500 crore of Bond raising . So, that is again supplementing in terms of not going on a high costs deposit

on a manner which would increase my cost. So , our normal guidance that we give a s 12%-14% and we are hope ful of m aintaining around 12% , which can be slightly lower or higher , as far as the Deposit gro wth to maintain my advances growth of 14 %-16%.

Ms. Siddhi Nayak : Okay . And , Sir, last question continu ing with the Deposit question only , there's how much scope for Deposit rates to rise from here ?

Mr. Debadatta Chand: Yeah , that's a fair question. I would request to Mr. Tyagi also but I'll tell my thinking is that as far as c ost of deposit has almost peaked out in that scenario and if you look at the portfolio of depo sit, the average duration of portfolio is almost one year and the moment you increase the deposit rate it only goes for the incremental deposit to pay a higher cost . But over a period of one year now , because the one year has been lapsed , so most part of t he deposit got replaced. So, further, I don't think there is going to be impact .

Anything , Tyagi Sahab, you want to supplement on this ? You're on mute , Mr. Tyagi.

Mr. Lalit Tyagi: I'm so sorry. So, if you look at the system level, majority of quant um of the rate transmission has happened into the Deposit rate and Deposit rates on the retail and the bulk side both are at the elevated level. So , as far as going forward it will look like at that rates are peaked out a little bit here and there looking to th e demand and supply. But in terms of the trajectory, we believe that from now on there should not be any major increase as far as the Deposit rates are concerned.

Mr. Debadatta Chand: See, another t ake on the liquidity like normally we have seen in the pa st also possibly post , I mean , this financial year the position of liquidity may improve because now inflation is under tight control. So , they what is sense d. So, we are making the pricing strategy and everything based on that kind of outlook.

Moderator : The next question is from Ben Jos e of PTI . Please , unmute yourself and ask the question.

Mr. Ben Jose: Hello?

Mr. Debadatta Chand: Yes, Ben. Please, go ahead.

Mr. Ben Jose: Hi. Can you hear me?

Mr. Debadatta Chand: Yeah, I can hear you.

Mr. Ben Jos e: This is regarding you said that your Personal Loans growth has come down from 68% to 60% , where do you see? And what is it since November 21 last year? RBI directions , what is the impact on the growth ? And where do you see it by the end of the year? And what is your total book? What is the total book?

Mr. Debadatta Chand: Total book is around INR 25,000 crore. Okay, what is the Personal ? Ian can you just supplement me in this?

Mr. Ben Jose: No-no, personal loan book . How big is it?

Mr. Debadatta Ch and: Yeah , it is around , I believe , around INR 25,000 crore . And as far as the outlook, I said earlier prior to the regulatory action in November that we're going to moderate on Personal Loan and that was a strategy we outlined prior to the regulatory acti on on the Personal Loan . The Personal Loa

n post regulatory action, the impact on CR AR because of Personal Loan is only around 17 bps .

Actually, if you look at the pricing of Personal Loan, it's a risk based pricing , right . That do take care of the Capital impact and all the impacts. So , our base is quite low as compared to many other banks who are active on the Personal Loan segment. But at the same time we gave a guidance of operating within 30 %-35% YoY and that we have done it for this quarter. The seque ntial growth is 8% for this quarter and if you annualise that it would be in that range . So, that guidance would continue and we would like to operate within 30%-35% growth in the Personal Loan segment.

Mr. Ben Jose: There are Credit Bureau reports that Personal Loans there is distress or there is delinquency happening in the Personal Loans fund. How good is the quality of the account?

Mr. Debadatta Chand: The quality is fairly good. Actually, a large percentage of our book is they are our own customers and we follow a very, what you can say , a strong scoring model to figure out their creditworthiness on this. So , I think , the credit cost on this is very fairly low.

Khurana Sahab, c an you just give a number on that?

Mr. Ajay Khurana: The quality is of course, as MD Sir told, compared to the other unsecured loan outside because most of them are our own customers based on their cash inflow with us Personal Loan is granted to them or to t he salaried employees. So , our NPA book is around 2.2% .

Mr. Ben Jo se: 2.?

Mr. Debadatta Chand: 2.2%.

Mr. Ben Jose: Okay -okay. And after the diplomatic tie up with Canada, how good has been or bad has been the Education Loan for you? And how big is your education book?

Mr. Debadatta Chand: See, Education Loan, the gro wth is the same and the instance that you are referring is not significant because we don't have a large percentage in terms of the overseas book on that. So, that is going strong.

Mr. Ben Jose : Okay, but totally what's the book? What is the book? 2 of my nephews are your customers on Education Loan.

Mr. Debadatta Chand : Thank you. Thank you very much for that. Thank you. Thank you so much on that. So, the Education Loan book, I'll just update you.

Mr. Ian Desouza : It is INR 9393 crores; close to INR 9400 crores the book size.

Mr. Ben Jose: Okay -okay. And, Sir, one last question , after the November RBI regulation what has been the incremental capital cost on NBFC s? And how much you have passed on to your borrowers? And how big is your NBFC account book ?

Mr. Debadatta Chand: So, the NBFC we already declared 1 lakh. I mean , that is there in the presentation but the impact is on two counts. One is with regard to the impact on the capital. That is almost 53 bps impact on the capital. And for the size of t he entire book , there is a resetting exercise which is underway. So , we'll try to recover to the extent the risk appetite and do match it up and there's an upside because of that possible in this quarter .

Moderator : The next question is from Ram K umar of Hindu Business Line. Please , ask your question . Ram Sir, p lease ask your question.

We move on to Sachin K umar. Please unmute yourself and ask the question.

Mr. Sachin Kumar: Can you hear me? Hello?

Mr. Debadatta Chand : Yeah, we can hear you. Please, g o ahead.

Mr. Sachin Kumar: Sir, can you give me some sense on this Recovery and Slippages? How has that been in this current quarter , I mean, in the last quarter ? And what's your out look going forward for in terms of recovery?

Mr. Debadatta Chand: Khura na Sahab, can you take it up?

Mr. Ajay Khurana: Yes. Total Recovery is close to INR 2800 crores , which includes the written off account also. And as far as Slippage is concerned , it is INR 2363 crores a nd going forward also, as we have, given guidance th at Slippa

ge is going to be less than 1% and Recovery whatever targets we have fixed those we are going to achieve.

Mr. Sachin Kumar: So, if we see the first three quarters , so, what is the total amount for Recovery? And what's your target for thi s curren t Fiscal for recoveries?

Mr. Ajay Khurana: INR 9000 crores so far we have recovered and the INR 12,000 crores is the total Recovery target .

Mr. Sachin Kumar: Right. And you also touched upon there's a bulk deposit , so what will be your going forward st and on this bulk deposit? So , will you be maintaining the same stance in the next quarter or so?

Mr. Debadatta Chand: No, we said that last quarter was a particular instance where in we have to maintain margin and growth. So , it was a ch urn that we wanted to do to see the impact on the margin si de and that we have done it. So, going forward , as I said that , we supported resources in terms of raising bonds now almost INR 15,000 crore these two quarter resources where I don't have to mobilize deposit for tha t, right so, INR 7500 crore last quarter and again INR 7500 crore this quarter. So , our stan ce is more with regard to optimizing the cost rather than saying that will de-grow. So , we have given advance guidance of 14 -16% and to achieve that I need to have all this math

right in terms of how do I again raise resources for that . So, the only guidance I can give you that our dependency on bulk, which is to be slightly higher in earlier quarters, the dependency won't be to that extent.

But how do I look at the terminal level of bulk deposit going forward? We entirely do based on overall scenario in the market and then optimize on the cost. The idea to reduce bulk was only optimizing on the cost because of specific to that quarter but the dependency would be def initely less. At the same time , we'll also try to see that we grow at a level which gives me a decent margin, maintaining margin , I can allow the growth to happen both on the Advance and also on the Deposit front.

Mr. Sachin Kumar: Sir, Bank of Baroda is among st select few banks who have actually improved CASA ratio sequentially. So , what has worked in favo ur? I mean, how have you managed to do that? And do you see this trend continuing in the coming next few quarters?

Mr. Debadatta Chand: No, that's is the focus area that we have been discussing for the last couple of quarter s 'How to again improve CASA ?' I was highlighting earlier, a lot of initiative s we have taken on the Retail Deposit, whether it is a saving s or the CASA , on the institutional side or a Term Deposit entirely focused in terms of mapping out the cost of Deposit for the B ank.

And if you say the sequen tial change, it is around 81 bps but then one may say that because the denominator reduce d, so the ratio got improve d and all that. But our normalized CASA , as what you can say , as a strategy we look at around 40% as a CASA that we need to maintain. So , within that strategy of maintaining 40 we'll try to see what best we can do . But, clearly , the focus is on the Retail Deposit. I do have 80 00 branches and they are meant for the raising resources, low cost resources , for that. So , we'll try to again push this in terms of raising more of Retail Deposit and more of CASA and at the same time try to maintain the CASA ratio around 40 %.

Mr. Sachi n Kumar: Thank you so much , Sir.

Moderator : Sir, the next questions are from Ram K umar from Hindu Business Line.

■ Your cost to income ratio has increased quarter -on-quarter and year -on-year basis , what is your strategy to bring it down?
■ How big is your c orporate loan sanction book?
■ And, thirdly , how much capital will you need to raise to absorb the impact of increase in risk weight on consumer loan and exposure to NBFC?

Thank you.

Mr. Debadatta Chand: See, Cost to income

ratio , fairly you raised the r ight point, it is slightly
elevated for this quarter for multiple reasons and the cost structure would have seen a similar trend for most of the bank. But as a strategy , clearly, we want to reduce the Cost to income ratio and that is what the strategy we d o have.

One thing that I outlined earlier also, let me again target the same thing that I want to lower the Cost to income ratio by 2 count. One is to improve productivity per branch per employee and at the same time going for a massive process automation so that the cost goes down. So , these are all

work -in-progress which can give me a dividend in a medi um to long term and there we have a team now working on this and they clearly see a lowering on the Cost to income ratio.

The second aspect on the corpor ate book , we normally don't give a pipeline cases but our growth i s, because if you look at the earlier quarters the corporate growth was almost 15 %-16% and only this quarter with a deliberate purpose we reduce d low cost advances and reduce the bulk deposi t. So , in terms of the growth that you can see for corporate, I have fairly a robust growth in terms of growing at the range of 14%-15% on the Corporate Loan book and that we intend to do for this quarter because I'm maintaining my Advances guidance at the same level of 14 %-16%.

Thirdly, you talked about the impact of the Consumer Loan . The overall impact , I mean, CRAR impact if you say with regard to everything vis-à-vis the last s equential, it is around 68% on the capital charge and that includes the ris k weight on the NBFC and also on the Personal Loan. Personal Loan has been around 1 7 bps , I believe , and the other part is the NBFC book.

So, there is a bit of resetting that is going to happen or already happen ed in terms of both on the outstanding expos ure and also on the incremental exposure . Entire N BFC book , there is a resetting exercise going on , some of them already we have done and consumer because it's a pricing that you decide to take , what you can say, margin impact or the CR AR impact , so both t he exercise are on.

And if I look at the income for this quarter, there is an upside on both the accounts vis-à-vis we see but how much that would be compensating the capital impact that we 'll see over a period of time and not immediately for this financi al year.

Moderator : The last question fro m the evening is from Ale kh Angre of Economic Times Prime . Please , ask your question.

Mr. Alekh Angre: Hi, am I audible?

Mr. Debadatta Chand: Yeah , please you are . Go ahead, you are audible.

Mr. Alekh Angre: So, yeah , so you spoke about the reprising of Deposit . Industry wise it's almost done and we will be seeing the earlier rate hi ke Deposit s being passed on to consumer s but tectonically there has been a shift in terms of savers, right . More and more money is going into Capital Markets , be it direct investment in stocks or even SIPs. SIP net in flow number s have been strong . You as a B ank, what's the strategy in terms of because clearly savers are comparing interest whatever is offered by banks to the other financial instruments. So , as a B ank what's the strategy ? And how do you plan to tackle it?

Mr. Debadatta Chand: Yeah , that's a very fair question in the current market scenario. Market scenario is a t tight liquidity, no doubt about that , and savers choice has been either a Deposit or an alternate to Deposit, which you're talking about Capital Market . So, if I see my last two quarters we have announced some 11 -12 different schemes and we also renamed one scheme as Systematic Deposit Plan (SDP Deposit).

So, with regard to a deposit scheme, we made it a Systematic Deposit Plan which is exactly a proxy for a SIP where somebody get a variable return. Here, somebody gets a fixed return that they should target tho

se se gments of the market where they will be comfo rtable getting a good return and put into a Deposit scheme.

So, all other schemes that we talked about like earlier I was highlighting the BRO A ccount , Parivar Account , NRI Account , Salary Account and the Current Accounts we have large number. This is precisely to address the issue that you are talking about. These are all innovation in terms of , again, segmenting customer , trying to understand their need, trying to make offers out of my charges and all those things so as to get the best return for the cu stomer . They are all work in progress. We're seeing good traction on that and going forward, I believe , it would give a positive dividend as far as our strategy to segment , offer a differentiated product and get deposit out of it.

But you are fairly right , as a banking system we have alternate available where the returns are quite , again , because of the current market scenario there is a challenge in terms of savers money going through a banking system or for alternate what you can say the Capital Market . But that's a market scenario what we are trying to , again , look into our aspect of Deposit and how we can increase that.

Mr. Alekh Angre: Sir, 10,000 crores of Infra bonds you have you have raised in two quarters. I wanted to understand the economics of it because is it fair to compare say, you know, something like Infra bonds or affordable Housing bonds to Term Deposit whereas on these bonds you also get an exemption from CRR /SLR plus it goes to PSLC. So , between the CASA term and your bonds, what's the strategy and the economics of it?

Mr. Debadatta Chand: Tyagi Sahab, can you just respond then I'll comment at the last.

Mr. Lalit Tyagi: So, see, this is one of the market instruments which banks are tapping in recent times more frequently. The reason is that , as you said that there are exempt from CRR, that's one aspect. Another aspect is , there is a great demand in the market for these instruments and banks are also increasing their book on the Infra si de, asset book. So , it is fairly balanced in term s of the ALM that we are having long term assets on on e side and if they are funded from the long term liability that is also one attraction for the banks to tap the Infra Bond market.

And in terms of the investor appetite, we have seen the yields are als o quite attractive from the bank's perspective. So , if I quote recently, we could raise the 10 -year Infra Bond at 7.5% , which we quoted to the market also , and it was below our expectation . Even market was expecting slightly higher coupon on that. So , over all, we see it as one of the diversified liability instrument. And, I believe , as you said that in the question of Deposits, we feel that going forward banks will be tapping more and more such instruments to support the liabilities.

Mr. Alekh Angre: Okay . Would you give a thought for affordable housing bond , a retail issue of it and maybe some of the retail guys can also participate in? Is it allowed ? Regulation , does it allow?

Mr. Lalit Tyagi: So, as of now it is on the private placement basis and take n by the institutional investors and large bucket investors.

Mr. Debadatta Chand: So, I only add with regard to affordable, that we're quite active in the segment. Like we do have a large percentage in terms of affordable finance. So , sourcing resources for that, we do have different types of liability structure in order to support this growth, right . This is one on the affordable side .

Just to supplement Tyagi Sahab on the yield, one of the purpose also to raise the Infra Bond is to statute duration pro file of liability, right, to the extent that you do A LM mismatch and clearly identifying this as a resource and deploying these resources at a spread, which is again comfortable to me. So , these are cl

early identified as far as we are concerned .

Mr. Alek h Angre: So, from a NIM point of view also it makes sense ?

Mr. Debadatta Chand: Yeah -yeah, absolutely.

Mr. Alekh Angre: Sir, just a one bit . You know, money flowing into Capital Markets, I mean, what is your conversations with depositors and savers other than metro cities reveal ? Is it only an urban phenomenon? What's really happening , if you could just ? Then anecdotally we keep hearing people are getting interested but are you ? As a banker what are your conversations?

Mr. Debadatta Chand: No, actually , see the growth in Deposit is also growing and around 8 %-9%-10% is fairly a good growth, right . So, absolutely t here is a preference for Capital Market , no doubt about it , but the re are alternate options available. So , we don't see as any way and w e try t o, again , optimize our Deposit in that way. So , it's not we have no geographical idea of w ho are going to

Capital M arket . We know that but then we clearly see aspect like we introduce a scheme called SDP i.e. Systemic Deposit Plan and the re the current is almost at a peak level of rate. So , somebody interested to get a fixed rate, high rate for a longer term this is what the deposit . Somebody wants a variable rate linked to Capital Market , he can go to SIP.

So, clearly, we're positioning to get segment ed market and trying to optimize on our Deposit. But then this is the normal market scenario. Things would happen like people would have their own preference to put money, whether in Capital Market or banks deposit . That would continue and it is the option of the depositor rather than we can say but we'll try to mobilize as much as possible.

Moderator : That was the last question. Thank you everyone for joining us this evening. Have a good day.

Mr. Debadatta Chand: Thank you very much , all of you , for joinin g us today. And as I said that the change from a non -working day to a working day is because of all of you. Thank you very much . Thank you very much.

Mr. Ian Des ouza: Thank you. Thank you so much. Take care .

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Call: May 2024

Bank of Baroda Analyst Meet for Quarter & Financial Year ended 31st March 2024
10th May 2024

Participating members from the Management Team of the Bank
➢ Mr. Deb adatta Chand, Managing Director & CEO
➢ Mr. Lalit Tyagi, Executive Director
➢ Mr. Sanjay Vinayak Mudaliar, Executive Director
➢ Mr. Lal Singh, Executive Director
➢ Mr. Ian Desouza, Chief Financial Officer (CFO)

Moderator: Good evening, everyone . Welcome to the analysts meet. We have with us Shri Debadatta Chand, the MD & CEO and he's joined by the Bank's Executive Directors and the CFO. We have a short presentation for you, followed by opening remarks by Chand Sir, followed by the Q&A session. Chand Sir, over to you.
Mr. Debadatta Chand: So, thanks Phiroza. So, to introduce the management team, I'm D Chand, MD & CEO and I've been interacting with you for a couple of quarters now and with me, I have Mr. Lalit Tyagi, he's the Executive Director , he looks after corporate credit, International and treasury apart from a couple of other departments. We also have with us Mr. Sanjay Mudaliar; he's joining for the first time in terms of analyst meet. He is Executive Director looking after the digital side and also importantly he is the retail face of the Bank in terms of looking after both retail asset s and retail liabilit ies. We have with us Mr. Lal Singh, he has been there for at least a quarter now for interacting. Mr. Lal Singh is looking after the recovery more importantly and also the priority sector department like MSME and Agri. And as you know, we have Mr. Ian Desouza, he is the CFO of the Bank. So, with this, over to you Ian. You can make a presentation and thereafter I will give some comments on that, please.
Mr. Ian Desouza: Good afternoon, everybody. Very nice to see you all once again and to bring to you some highlights of our results that we just declared. So, one of the top line numbers that we declared today as of March is a 24 trillion benchmark which we have crossed for the first time in terms of our total business and we have retained our pole position as one of the second largest public sector banks. In terms of growth in advances, we had given you guidance that we will be growing around 13%. We are very near that mark at 12.5% year -on-year growth in global advances. In terms of stated aspiration to grow our RAM book, we are growing excellently well in retail at close to 21%. In MSME and Agri, we continue to grow around 12%. Corporate, we had been growing at a faster pace earlier. We have consciously taken a thought to grow at a lower rate. In terms of within the retail portfolio, home loan is printing at close to 14.5%. Education is around 19%, and Auto loan is around 23.8 %. We had given guidance in earlier quarters that we would moderate the growth of our personal loan. So, last financial year our personal loan portfolio grew close to 100%. We had moderated it sequentially down to 60% last quarter year -on-year. This time it's printing at 52% almost year -on-year. So, this is a portfolio which we will continue to focus on, but we will not grow it that aggressively.
In terms of deposit s, we had given guidance of around 12%. Our deposit growth has been a little muted, but this is the number that we will be focusing on in the coming quarters to get it up in a trajectory. In terms of CASA, sequentially our CASA grew at 7.5% though year -on-year it has grown at around 5.5%, this is a little ahead of the peer group that we have been seeing the results coming out in the last few days. In terms of CD ratio, this is a ratio we are co

nscious of needing to manage and
we have reduced our CD ratio by 200 basis points sequential quarter wise. Our CASA ratio has improved sequentially by 64 basis points.
Operating profit has grown above 15%. Profit after tax has grown more than 26%. ROA, we've been delivering 1% plus ROAs for seven quarters now and this quarter we have delivered ROA at around 1.25 % and for the full financial year, it's 1.17 %. This is the second financial year we've delivered a 1% plus ROA. In terms of ROE, we are close to 19%.
In terms of a yield on advances, our yield on advances grew almost 100 basis points year -on-year.

There has been pressure on our deposit cost as the liquidity scenario remain s tight. We've seen almost 100 basis point increase in deposit costs as well. Our NIM for the quarter has printed very smartly at 3.27 %. However, I would like to call out here that there has been some seasonal effect here on

account of the year end recoveries and if we had to exclude the seasonal effect of higher -than - expected year end recoveries, our 3.27 % would print at close to 3.15 % for the quarter and our full year, excluding the exceptional recoveries we had in the last year, instead of printing at 3.18 %, would have print ed at around 3.14 %. So, even on a normalized basis , that is normalizing for excess one offs, we have achieved our guidance of around 3.15 % full year NIM.

In terms of asset quality metrics, we see our asset quality improving year -on-year. GNPA is below 3% and NNPA is well below 1% at 0.68 %. Provision coverage ratio is very comfortable at 93.3% including TWO. Slippage has been below our guidance of 1 to 1.25 %, it's been at the lower end of the range. I'd like to draw your attention though it is below our range of 1 to 1.25 %. There were two large slippages during the course of the year and even after that this has been below 1%. So, there was the aviation account which was 1700 crores and an international account of 500 crores. So, on account of these two accounts , there was a slippage of 2200 crores, despite this, we have delivered as per our guidance.

In terms of credit costs, it is clear ly a bit high because we had taken a conscious call to provide for the aviation account slippage. Earlier till quarter three, we had provided around 1200 crores on the aviation account and this quarter we have provided a further 550 crores. So, essentially, we have provided 100% on this account in this financial year whereas we were required as per our policy to provide around 20%. If we had provided around 20% that would have been a provision of just around 500 crore s. So, essentially, we provided around 1200 crores more on the aviation account. That's a floating provision we had taken in the June quarter of 200 crores if you exclude for that, our credit cost would be in line with the previous year's credit cost.

So, in terms of our CRILC SMA 1 & 2, you would see this number has been trending down continuously. At this moment in time, it is just 0.15 %, which indicates a very strong asset quality as nothing that is on the radar in terms of large exposures as being non-current. In terms of collection efficiency, we continue to print strongly at 98%.

In terms of our capital adequacy, as you're aware, there were the RBI guidelines, which actually required the banks to provide higher risk weights on certain NBFC and unsecured loans that actually have pulled down our capital adequacy by around 65 basis points and we had called that out in the earlier call last quarter. Despite that our capital adequacy is printed at a level

which is higher than the
last year capital adequacy solely on the basis of internal accruals. We have done bond raising but the bond raising has only been to the extent to replace maturing bonds. So, this is entirely organic replacement of capital and our CET-1 is also printing very smartly at 12.54 %. Our LCR remains at close to 121% as of March 24. With that, I come to the end of my presentation. Back to you, Sir, for your remarks.

Mr. Debadatta Chand: Thanks Ian. Again , good evening to all of you and let me make a couple of comments on this year 's performance. The quarter performance has three strong outcome s, one is that we do have a robust book growth . This book growth is calibrated to the growth in deposit s because earlier we said that we want to reduce our dependency on wholesale deposit s. So, calibrating our growth of deposit s, the advance s book has been almost at 13% to 12.5%. The domestic advance s growth is at 12.9% and the important part is that earlier also we said that the international book will moderate. We have moderated to 10.5% as compared to a 40% increase earlier. So, considering that it's a robust growth in terms of book calibrating to the growth in deposit s.

The second aspect which is important out of this financial result is that, we do have a very strong financial performance and the book is growing at 12.5% to 13% wherein the operating profit has gone

up by 15.1% and the net profit has gone up by 26%. So, this is a strong financial performance as far as this year's financial results that is FY2023 -24 is concerned.

The third thing which is important is a much better asset quality. Why it is important that we have seen and there is a significant improvement in all parameters as far as the asset quality is concerned . Please also take a note that as far as asset quality is concerned , in the earlier position also, we are benchmark ed to some of the best in the banks in the entire industry. At the same position also, we have reduced both GNPA and NNPA .

Some specific comments then I have , apart from these three important aspects that I talked about , it is that we have achieved a significant milestone this financial year that's in terms of scale or the total business, we have exceeded 24 trillion mark in this financial year ending March 2024. So, that's a very significant scale in terms of the space we operate in, in terms of PSU. Our retail advances also crossed 2 lakh crores this year , which is again significant. Our retail has been growing almost more than 20%

for last many quarters now and earlier also we talked to all of you that we want to slightly push for retail ising our book. So, in line with that, the retail growth has been very strong.
Our net interest income has exceeded 44,000 crores for the first time and that gives a growth of around 8.5%. There is bit of squeeze because of the cost pressure therein . The operating profit exceeded 30,000 crores for the first time and that's something I already talked about, a growth of 15.3%. The operating profit growth has also been supported by the very strong and sustained focus on the non-interest income and if you look at the non-interest income for this year vis-a-vis last year, the growth is almost 40.7% from 10,000 crore , it has gone up to 14,495 crores. It is coming mainly for two sub - heads. One is with regard to the CEB, the Commission Exchange and Brokerag e where the growth is also 19.9% whereas the treasury income has been almost at 40%. So, consequently all these what I highlighted on net profit has seen an increase of 26.1%, which is a 17,

789 crore as compared
to 14,110 crore last year . So here a couple of comments I would like to give that for last five quarters including March 2024, we have been posting a profit in excess of 4000 crore. In terms of a run rate, if I said that this year profit is almost 123% of the last year 's profit.
So, a couple of guidance that we'll all like to be interested to know for FY24 -25. We are expecting the outlook that we see as in today, we're expecting a deposit growth between 10% to 12% with a focus on CASA and the retail term deposit. On the advance s growth, we are looking at 12% to 14% with a focus on retaili sing the book more, with retail as such growing at more than 20% and with a corporate growing almost 11% to 12%.
The NIM guidance as Ian already said, if you look at the full year NIM, it is at 3.18 %. Rather the sequential growth in the NIM has been better because we last time discussed with regard to the dip in the NIM on December quarter, but we have improved this for this quarter and on a normalized basis also it is higher than that of the last quarter that I'm talking about the December quarter and the full year NIM is almost at 3.18 %. So, we are maintaining our guidance of NIM at 3.15 % plus minus 5 bps, but as the market outlook would change then we will just see going forward whether we need revise the guidance. The ROA has been consistently for last seven quarters more than 1% and earlier we had given a guidance of ROA in excess of 1, but we are revising the guidance upward from 1% to 1.10 %. So, considering the strong profit matrix we do have, we are fairly confident that we will achieve a full year ROA of 1.10 %.
On the slippage ratio, we continue to have the same guidance of 1 to 1.25 %. So, we are preparing ourselves for all scenario s going forward. So, although the slippage for this year has been less than 1%, but we are maintaining the guidance at 1 to 1.25 %. The credit cost continues to be, it is already

less than 1%, continue to have the same guidance of less than 1%. On the asset quality particularly, I would like to highlight that apart from the reduction in GNPA and NNPA, typically you all look at the portfolio at risk or the book at risk and that typically if I take the SMA1 and 2 of the CRILC plus the restructured standard book. In terms of percentage to the outstanding standard advances which was at 2.04% as on March 2023, has gone down to 0.92 %. So, not only on the GNPA, net NPA, we have seen significant improvement, but also the portfolio which can be at risk also has gone down significantly. So, going forward the outlook looks much better as far as asset quality is concerned.
So, these are a couple of points that I wanted to highlight and we are fairly confident that the Bank has a strong robust business model and we will continue to sustain that going forward.
With this, I open for question and answer. Over to you, Phiroza.
Moderator: Thank you, Sir. We'll now open it up for question answer. The first question is from Ashok Ajmera. Sir, if you can unmute yourself and ask your question, please.
Mr. Ashok Ajmera: Yeah, I got the unmute sign just now only. So, there was a delay.
Mr. Debadatta Chand: Please go ahead Ajmera saab. Please go ahead.
Mr. Ashok Ajmera: Good evening, all of you and Chand saab. Definitely the results are very good. Overall performance of the bank on all the parameters is really, I mean on some of the parameters it is more than what was expected. Having said that Sir, I have got a couple of points of information and some concerns on the slippages and the provisions. So, some like

you see this, our provision on this
aviation account 1750 crore was the total I think approximately outstanding and you said 1200 crores was already provided for it and now 550-crore has been provided now and that is why our provisioning is little higher. But Sir, here I feel that we had some major collateral security also from this account. So, #1, yes, it is as a prudent measure it's really good that you provided for fully, but when do you expect the recovery to come if not from the main account, at least from this collateral, because only I think you two or three, two banks are only mainly are there, I think you and Central Bank, if I'm not wrong or maybe. So, can we expect some major recovery from those collateral securities on this? This is just my first question Sir, I will come over, I'm on the line.
Mr. Debadatta Chand: Okay. If I respond to that, as you said rightly, the account is now 100% provided. In terms of the recoverability out of this account, earlier also we said that we have a very

high, what you can say, expectation of recovering the amount in full. Why because apart from the primary, we said earlier the account is heavily collateralized, 1/3rd of the exposure is government guaranteed and the balance also if you look at the collateral value, it's covered as of today, including a bit of leftover primary.
So, we are hopeful like, if you look at this account, the upside is there for the subsequent years out of this account. In terms of timeline, there are two litigation process es, the legal process is going on. One is with regard to the Delhi High Court, that you have already seen. And the second is with regard to the NCLT process. NCLT process now the CIRP date has been extended by another two months. So, these are all legal processes and consumes its own time to get a recovery. We expect it to be done at the earliest but then again, we will be depending on the legal process to get recovery. But as far as the upside is concerned the entire upside is there with us and we expect also full or maximum recovery out of the account as we stand today .

So Mr. Lal Singh, anything further you want to add on this?
Mr. Lal Singh: No sir. It is okay, sir.
Mr. Ashok Ajmera: My second question is Sir, on a very talked about subject of recent guidance note by RBI for higher provisioning on the project loans of 5% going forward in next two or three years. We had a very detailed discussion yesterday in State Bank of India also on this because you come next to SBI. And there they said that out of our total…you know, on book it looks Rs. 4,50,000 crore total infra and everything. The project loan which might come under the purview of this guidance note maybe only 1.5 lakh or something or 1.4 lakh or something. And in that also there are ifs and buts and there is no full clarity. So, in our case as a ballpark figure, out of your total portfolio, how much portfolio do you think can come under the purview of these guidelines, if these guidelines are implemented as it is? And what are the other finer points? Have you done some calculation that how much need to be provided for in next two, three years for us and whether it is under control, manageable, we are comfortable or yes, there is some concern on the capital adequacy also later going on that?
Mr. Debadatta Chand: Yeah , actually you are fairly right but there are two aspects, you will have to excus e me for that. Actually, as far as this particular circular concerned, this is a draft guideline issued as part of the consultative process. So, there is no finality. So, as per our corporate policy , we cannot

have views with regard to a draft guidelines and consultative process. So that's why I am not in a position to tell you with regard to the outstanding book.
But as far as the impact is concerned, as on today what you see out of this, is that there are two things that a bank typically can do. One is with regard to in case you have huge capacity you can absorb the cost, otherwise you can pass on. So, we as an intermediary obviously would like to pass on that impact. So, even if on an impact scale, I don't think the credit cost would go up significantly. It can be a couple of like percentage point s, less than 10 bps for the matter. But as of today, as per corporat e policy, we are not commenting on the draft guidelines because that is what we believe is not fair at this stage because the guidelines have not been issued. It is only a consultative one. The final circular can be different than the original, we do not know about that. So, that's why I'm not commenting.
Mr. Tyagi, do you want to answer that?
Mr. Lalit Tyagi: So, sir, you said it all. I would say that since these are the draft guidelines and consultations are there, RBI in fact has also solicited the views of the stakeholders and these guidelines are getting evaluated at our end and also at the industry level. And I would urge to have little bit more time for clarity to emerge, as far as the impact is concerned.
Mr. Ashok Ajmera: Yeah, no problem. I mean impact you said will not be more than 10 basis or 15 basis point. That's okay. Point well taken, sir. Sir, my last question in this round, if otherwise time permits, I may ask some more, is on our other income other than interest income. There we have performed very well on the treasury front, you said. So one is that. And another one is sir, there is one other income without any explanation of Rs. 313 crore s in this quarter. Can I have some colour on that, some information on that, this Rs. 313 crore s? And going forward in treasury, now with some sings of rate might…you know, because our AFS book is also good so some colour on the treasury. And similarly in the written off account also the recovery this quarter has been very handsome, Rs. 1,202 crore s as compared to Rs. 847 crores. So, on these three covering, on these three other income, can you just comment on that, sir?

Mr. Debadatta Chand: Yeah. On the treasury I will comment, then I will pass it on to Ian and Lal Singh ji to address the remaining two. Treasury as you said that two things contributed. One is a higher trading profit this year as compared to last year. Secondly last year there was a depreciation in the book whereas this year there is a write back to the extent of Rs. 489 crore s. So that has contributed in terms of non-interest income . But nevertheless, we also said earlier, we strongly what you can say, running a drive for a fee and flow within the bank. So, we'll be augmenting the CEB, the Commission Exchange Brokerage going forward and it is going to be a sustained effort and focus to improve the fee income

and also the non-interest income.
Going forward as you know, you are also part of treasury, there is a change circular now, right? So, in the change circular, the trading profit won't be to the extent that we booked last year because we are not going to have the AFS profit getting into the profit and loss, right? So, there may be a dip in the trading profit going forward. But one thing is very clear, that the interest income on investment would go up significantly and that would compensate to a very large extent the dip in trading profit. So that's something again is important to

note and the new circular is quite positive on the capital front, right?
So that would go to reserve and that's something very positive on the capital front. So, this all sum up, will be in a position to optimize on all the front so as to maintain the profitability , income earning potential , contribution to the capital out of treasury books. So that is what we believe is going to happen for next year. On the interest rate also, I do believe things although may be elevated for a longer time but then there is a moderation expected maybe in Q2 or Q3. And that may give some further upside to the profit side. So, on the 313 crore Ian, you just take that call and the income on the written off accounts possibly Lal Singh saab can contribute, yeah?
Mr. Ian Desouza: Yes, sir. So, the other income - other, is actually interest we have received on an income tax refund. So, since that time is elapsed and the refund was due so we have received the interest. This might not accrue sequentially , but it can come in the future.
Mr. Debadatta Chand: So, Lal Singh saab, the recovery on written off accounts, can you give some colour?
Mr. Lal Singh: Yeah. So, the recovery in the written off account in 2024 -2025 is also expected to be sustainable on the same basis last year. Last year , we did Rs. 5098 crores and this year also we expect similar recoveries in this portfolio. We have the portfolio of around Rs. 46,000 crores. So, we expect this much of recovery.
Mr. Debadatta Chand : Okay.
Moderator: Thank you, sir. The next question is from Kunal Shah. Kunal, you can please unmute yourself and ask your question.
Mr. Kunal Shah: Yeah, good afternoon. So firstly, with respect to yields and more so domestic yield on advances, no doubt you highlighted the impact of recoveries to be 5 bps on the overall NIMs. So that would be translating to say 7 odd bps on the domestic yields. But besides that, also there is quite a significant expansion in the yields even after growing the corporate substantially on a quarter -on-quarter basis. So, what would have led to that? So, is there a repricing or some other element as well in the yields?
Mr. Debadatta Chand: That's a fair thing. If you look at our EBLR or the BRLR which is repo linked, that is already done. So, there is no upside in that book for last many quarters now. Whereas MCLR, it

moves along with the cost of deposit. And if you look at from many months now, often when we are increasing the MCLR, the repricing on the MCLR book , that is one. Secondly, we also said last time that when we announced in the June quarter saying that there is bit of upside left with regard to the repricing of the MCLR book because then normally if it is a one-year MCLR only you can reprise the revised MCLR up to one year. So that upside was also available, leading to a good growth in the yield of advances in that way.
Anything further to add to this, Ian?
Mr. Ian Desouza: I think it's perfectly called out because for us actually it works in two ways, right? Because when the repo rate was going upward because of a smaller share of retail advances, we got lesser benefit. But when the repo rate is stabilized and perhaps policy rates could come down in future, we actually ring fence to that extent because 50% of our domestic book is on MCLR. So, we will be to that extent protected because that would take longer to come off. So that's something just to keep in mind when you're running your models.
Mr. Kunal Shah: Sure. And secondly, when we look at it in terms of the provision on employees so that at least on a sequential basis that number seems to

be high compared to Rs. 800 crores kind of a
run rate. It is like 1600 crores while we were well provided on the wage revision and the related cost. So, what is this element of incremental?
Mr. Ian Desouza: Yes, so let me just take that one. So essentially, if you recall in our previous calls, we had guided that once the wage settlement details are out, we could potentially have a Rs. 400 crore impact on account of retir als. So, essentially that guidance has played out and there is a Rs. 400 crore impact. However, what we could not foresee that bond yields would fall at the end of March and as a result, the discount rate has come down sharply. So, the discount rate has contributed to another Rs. 400 crore impact. But in this Rs. 400 crore impact on account of the discount rate is unlikely to repeat. And with bond yields hardening, you could see some reversal of the second tranche of Rs. 400 crores. But these are more one-time hits. These are not to be built in on a sequential impact , going forward.
Mr. Kunal Shah: Okay. So yeah, so 400 is on that count.

Mr. Ian Desouza: No, no. Totally 800 because you would see 812 in Quarter 3 and double to 1600.
Mr. Kunal Shah: Yeah.
Mr. Ian Desouza: The one impact of 800 in two components.
Mr. Kunal Shah: Okay, got it. And one last question with respect to the GNP As on PL. So that is now almost 1.95 %. And that too, on a growing book, at 50 odd percent on a year -on-year basis. So slightly on a leg book, it seems to be quite higher. So how we are…maybe, at least in terms of the pricing and how protected we are with respect to the credit cost on that front. Yeah. So even though a small component, but yeah.
Mr. Debadatta Chand: As you said right, the book is small and 1.9% GNP A but we are also looking at, more importantly, the collection efficiency and also the slippage part of the PL book. And these are all within the threshold in terms of the slippage. So absolutely no concern at this stage with regard to any stress building up in the PL book. Secondly, there are two things we did vis-à-vis the last year on the PL book and we had discussed on this. One is, we said we're going to moderate growth and we've

clearly moderated because moderation started in December and March quarter. If you run two more quarters, the growth would come almost at a 30-35% as compared to almost 80% -100% earlier. Secondly, in the meantime also, we strengthen ed our underwriting model by taking lot of advice from many of the rating agency consultant s and bureaus part of it. So, the underwriting model is much stronger. This is on a backdrop of two facts which you need to account. One that, almost all are my existing customer and they are already availing one loan apart from this loan. And conduct of all these loans are fairly good. So, I do not think there is any concern or alert at this stage with regard to that. But then some of the aspects that we are raising we are mindful of and almost already curated on that book in that way. So, there is no elevated risk out of the portfolio at this stage. They are all within the normal norms.
Mr. Mudaliar, anything you want to supplement on this?
Mr. Sanjay Vinayak Mudaliar: No, sir. I think you have covered it.
Mr. Debadatta Chand: Yeah, fair.
Moderator: Next question is from Rikin Shah . Please unmute yourself and ask the question.
Rikin Shah : Yeah, thank you for the opportunity. I have a few questions. First one is on international deposits. So, that has been growing quite rapidly at north of 25% Y-o-Y. So, if you could explain a bit more what the nature of these deposits are, who are we getting it

from etc. So that's the first one.
The second one is on the fee income. Of course, the focus on flow is translating into recent commission exchange brokerage. But it has been a bit volatile in terms of the Q-o-Q trends. So, the full year fee-based income has grown at 16%. How would you expect this fee income growth in FY25, is the second question.
The third one is on asset quality. So, the MSME slippages have also inched up in this quarter. Is there a common trend or any colour that you could provide on the MSME slippage? And further to the question on personal loans, if you could just give more details about the yields that we charge, every ticket size and the credit bureau score of our customers that would be helpful. And the final question is a data keeping one. If you could just help quantify what is the outstanding quantum of restructured loan book for us. I think it was Rs. 9,900 crores in the previous quarter. What is that number now? Thank you.
Mr. Debadatta Chand: So, on the international thing Mr. Tyagi would supplement me later. Actually , it's something to fund the asset growth internationally and also to do a bit of treasury operation therein, right? So, treasury operation typically where you can optimize your investment and the returns. So, these are typically leading to slightly higher growth. This is one. Mr. Tyagi, you can supplement later.
On the fee side, I think it's sustainable because we have created a relationship vertical that was fully stabilized across the bank particularly for mid-corporate and large corporate in last year. And they are looking at share of wallet, they are doing account planning, they have one-to-one relationship manager with the customer, whenever they talk with customer they are talking about all sides of the relationship. I think because we have made structural changes and this outcome, I think this is sustainable . Rather will optimize beyond 16% as far as the growth in the future is concerned.

On the asset quality MSME, obviously MSME , the class is different than other. Like, we had seen a corporate slippage legacy some time back but MSME was going. COVID impact was maximum on the MSME. Rather the MSME, if you look at the GNPA on the COVID time was much higher. Now it has gone down significantly aligning towards the median average. The slippage is slightly marginally above our normal slippage ratio of 0.99 % but then again, we are in control of that. But also, there are two things which are again supporting growth in MSME. One is with regard to these are accounts highly collateralized as compared to a normal corporate account, one. Secondly the yield on these accounts

is much higher as compared to a normal corporate. So, in terms of a trade -off vis-à-vis the pricing and the risk I think these are all within the tolerance for us to grow at the same level , going forward. So, I don't think anything further concerned on this.
On the personal loan as I said a couple of details you asked for, but I'll leave it to Mr. Mudaliar because he has the data ready. But otherwise, we can supply that to you offline. With regard to the outstanding restructured book has gone down. Mr. Lal Singh, you can tell on the outstanding restructured book.
So, on the international deposit, anything Tyagi sir you want to supplement?
Mr. Lalit Tyagi: So, you have already shared the broad aspect. The little bit which I can add is, that in international segment, the deposit trails the advances. The more we grow the advances book the more we raise the deposit. Sometimes we also raise the deposits for our market making as well

as into the
investments. And there are various avenues such as customer deposit, institutional deposits, etc. And whatever markets offers us the better opportunities, bank raises them and then deploy s them accordingly. So that is one of the reasons for the faster growth of the deposit than the advances.
Mr. Debadatta Chand: I can add also one point here. My investment on international is growing up, almost by Rs. 1500 crore and all said and done, the inflation levels are almost same and the yields are much higher, even almost comparable with the domestic yield as far as the investment goes overseas. So, these are all treasury operations just to optimize on the yield side.
So, on the MSME asset quality, anything further Lal Singh saab you want to supplement?
Mr. Lal Singh: Yeah. So, as far as asset quality is concerned, the slippage ratio, quarter on quarter last quarter it was 2.57%. It's come down to 2.04%. And the recovery also, it's robust in the NPA. NPA recovery in MSME book is 2655 crore. And as far as the restructure d book is concerned, that book has reduced to 8148 crores now.

Mr. Debadatta Chand: Yeah. So, that's okay on the personal loan, Mr. Mudaliar anything you want to supplement or?

Mr. Sanjay Mudaliar: Sir, we will provide the relevant data offline to them.

Mr. Debadatta Chand: Okay, fine. Thank you.

Moderator: The next question is from Nitin Agarwal. Please unmute yourself and ask the question.

Mr. Nitin Agarwal: Yeah, I am audible ?

Mr. Debadatta Chand: You are audible. Please go ahead.

Mr. Nitin Agarwal: Hi. Good evening, sir, and thanks for the opportunity. Sir, a couple of questions, one is on the liquidity coverage ratio, which has seen a sharp fall this quarter while we had a very strong deposit growth. So, what has really driven this fall in the LCR r atio?

Mr. Debadatta Chand: Okay. So, LCR you know we're actually required to have more than 100%. But we used to maintain at 135% taking the global and domestic together. So, bit of that change happened because we want ed to realign some of the assets both on the international and the domestic side. But still we're at 120 % which is healthy and as for our normal stance is concerned, we will continue to maintain at 120 % and above , going forward. So, in that way, there is a good coverage in terms of the LCR going forward, right.

Mr. Nitin Agarwal: Right Sir. And second, as of the CD ratio. So, what is our domestic CD ratio now? And while we are looking to grow higher in terms of loan growth versus deposit growth next year, what will be a comfortable CD ratio range that you would look to maintain?

Mr. Debadatta Chand: Okay, that's a fair question. Now, even if earlier also when we had 84 % CD last quarter the domestic was at 76 %. The international much higher. In case you look at this quarter we have moderated the international growth substantially down particularly in the asset side. So, the current CD is 82 % approx. which already we have shown there in the PPT. So, our guidance now with regard, not guidance but our range for operating the CD is between 80 to 82 % going forward. So, when I said 80 to 82% the bias again would be towards slightly towards 80 th an 82 %. So, that is what the normal we are looking for. But then again, when you construct the entire balance sheet in terms of both assets and liabilit ies, a lot of other moving parts are therein, but then we'll try to operate within the band of 80 to 82 %.

Mr. Nitin Agarwal: Right. And Sir, lastly, on the margins, because we had a very sharp NIM improvement on the domestic book by almost 22 basis points NIM recovery. So , can we say that the NIMs have bottomed out any, one offs that we had this quarter, any color around the same?

Mr. Debadatta Chand: So, that is what the CFO already outlined , if you look at

the last quarter and
this quarter, it is from 3.27 % vis-à-vis 3.10 %, but if you normalize, it would be at 3.18 %, yeah. Am I correct ?

Mr. Ian De souza: So, from a 3.15 % for the quarter and full year also around the same level. So, full year would be normalized 3 -4 basis points lower than the full year, 3.18 %. B ut for the quarter would be at 3.15 % normalized versus 3.27 %.

Mr. Debadatta Chand: So, one thing that we discussed last time, typically we discuss much more on the margin side. And we announced to the market at that time saying that we reduce the deposit by 25,000 crores for the December quarter, although some increase in this quarter. S o, if you look at a

policy scale, we are trying to slightly reduce the dependency on wholesale deposit to grow. That's a clear policy. That's why we said initially that I'm calibrating on the advance s growth vis -a-vis the growth in deposit, that is, point 1 . Point2 is a case where the liability book, which is a retail term deposit that I'm talking about that's almost repriced in last quarter. So, we think the margin as we are guiding should be sustainable , going forward.

Mr. Nitin Agarwal: Okay. Thank you. Thank you so much.

Moderator: The next question is from Mahrukh Adajania. Please ask the question.

Ms. Mahrukh Adajania: Yeah. Hello, sir.

Mr. Debadatta Chand: Hello.

Ms. Mahrukh Adajania: Hi, hi. Sir, two questions. So, we had excess provisions, as in that our wage hike assumptions were higher than the final settlement. So, how much was the write back? We can see some movement in employee expenses. I mean, not in provisions, but in employee expenses. But what was the actual write back on the provisions? And then what would be the run rate per month or per quarter of the non -actuarial employee expenses for the next year?

Mr. Debadatta Chand: Ian.

Mr. Ian De Souza: Let me take that one. Mahrukh, in terms of the way you see wage arrears, I think we were providing in line with the final hike, that was around 17%. We were providing just marginally above that. So, it's not that we were providing significantly above that. So, I think when the wage settlement was made known in the last quarter, we were fully provided. So, there's been no write back per se in that line. In terms of the retir als as I had called out in earlier comments, we made additional provision on account of retirals, on account of wage settlement for around 400 c rores. In addition, there is a one -off increase in retiral provision on account of the discount rate coming down because bond yields are down in the March quarter. So, totally on retirals we've seen an 800 crore one off increase in the quarter ended March. I hope that answers your question.

Ms. Mahrukh Adajania: No. My question was that for FY 25, what is the quarterly run rate of employee expenses that we should expect?

Mr. Ian De souza: If you leave aside the 800 crore one off increase, I think this is the run rate you can expect. So, if you take your provision for retirals at around 800 crores, plus what you're seeing in terms of employee expense, I think that's the run rate you would ex pect.

Ms. Mahrukh Adajania: Oh. Got it. That's very helpful. Also, would you comment on the Agri slippage? Any seasonality there? I mean, usually the seasonality is in the 1st and the 3rd quarter. So, or any geographic issue like in Punjab or anywhere, the Agri slippage also rose Qo Q along with MSME. So....

Mr. Debadatta Chand: Just to answer that, if you look at the normal slippage ratio because the corporate slippage has been pretty low, right. So, the average slippage is almost at 0.99 % at this point of time, but a couple of products wherein slippage would be higher. That is a normalized slippage. I don't think there is an elevated slippage on the agriculture. So, Lal Singh Saab anything that you can highlight on this.

Mr. Lal Singh: So, as far as Agri slippage is concerned during the year, it is 2033 crores and last year it was 2100 crores. But quarter on quarter in Q4, it is 917 crores, whereas the Q423 was 540 crores. So, there is an increase of around 400 crores in the Agri segment

Mr. Debadatta Chand: But on a yearly basis, this is almost normalized, right?

Mr. Lal Singh: On a yearly basis it is normalized. It is less than last year.

Mr. Debadatta Chand: Okay, fair.

Moderator: The next question is from Rakesh Kumar. Please unmute yourself and ask the question.

Mr. Rakesh Kumar: Yeah. Hi, thanks a lot, sir. So, sir. So, a couple of questions. Firstly, on this non - retail term deposit growth which is at around 18.5% year on year. And now composition has reached to around 1/5th of the total domestic deposit. And if you look at CASA and retail TD growth is around 5-5.5% year on year, kind of 5.3%, so basically, like, you know, if we anticipate this kind of growth, say, in FY25 then and looking at LDR of around 80 -81% how do we look at credit growth number? So, should not you know we will have to depend more on wholesale TD number considering that CASA and RTD growth is just around 5.5%?

Mr. Debadatta Chand: That's why I said on particularly on the retail side and CASA last six months, we have made concerted efforts to increase this book. If you look at sequential CASA growth it is higher than the annual growth. So, clearly the traction is building up. In terms of product offering, both on the term deposit and CASA we have differentiated large number of products we are one bank having differentiated offerings like we came out with a product called SDP, which is equally like a SIP, which is a recurring deposit s cheme . We are one of the banks, along with another bank to offer the green deposit at this point of time. So, there are multiple efforts going on and you are right that we need to optimize on the retail deposit, no doubt about it. But going by the guidance that we have given, as you would have seen that last year, also we raised almost 20 odd 25,000, both in terms of the capital issuance and also on the infra bond. So, there are areas where there is a possibility of getting refinance at a much cheaper cost. So, there are areas where I can source my international deposit and convert and still get a margin. So, there are multiple ways to support the credit growth. That's why I think, again, we said as a policy we want to reduce dependency on the bulk deposit, if you look at the June

quarter and September quarter, the bulk was growing almost at 55 -60%, whereas for December it was 10% and March it is 18%. So, efforts are on to not to have dependent on bulk deposit too much. But at the same time, I think the guidance can be fully achievable within the LDR that we have announced of around 80 to 82 %.

Mr. Rakesh Kumar: Just one last question, sir. On the recovery side, basically NPA recovery and written off recovery the number is now 8600 crore, 70 crore. And previous year we had 13,400 crore number in the slide number 18. So, there's quite a lot of drop is there and we have seen in some of the other PSU banks also, we have seen that NPA recovery number has been coming down, especially in the Q4, where it should have been a bump up, actually. So, how do we look at this number, NPA recovery plus TWO recov ery in FY 25, if you can help us with some guidance, would be very useful?

Mr. Debadatta Chand: So, I'll give a couple of comments and then I'll hand it over to Lal Singh Saab. One is regarding the high recovery last year that was at the opening base of 1st April 2022, the NPA base was much larger as compared to the base we had for this year. The base we had for this year is around 36,764 crores , which was lower as compared to that of 3 1st March 2022. So, once the kitty is going down, obviously the recovery would be less. There

are a couple of again, one off in terms of last
year's recovery out of NCL T resolution. So, this typically has behaved in terms of how do you look at the recovery last year and this year.
As far as guidance as against 12,000 crore of recovery guidance we had last year, we have announced to the market that 10,000 is the recovery target. At the same time the trending of GNPA , NNPA would be downward from the current level of 2.92 %, although we are not giving a guidance, but the trending would try to move towards 2.5 %. Similarly, the net NPA from the 0.68 % to 0.5 %. But then we are not

giving typical guidance whether it can happen in six month s' time or one year time. So, clearly see, if you compare my absolute number and also the level of GNPA and net NPA, these are comparable in the best in the industry. So, I am not at an elevated level to reduce substantially. I've already achieved substantial pro gress in terms of creating a much better asset quality.
So, in that scenario the incremental impact would be very less as compared to the earlier impact. So, with whatever recovery that you are talking about we will be in a position to achieve all these trending downwards kind of GNPA and NNPA, we are talking about. So, we're quite hopeful of that. So, Lal Singh Saab, anything further you want to add?

Mr. Lal Singh: No. You have covered everything.

Mr. Debadatta Chand: Okay, sir. Thank you.

Moderator: The next question is from Saurav Kumar. Please unmute yourself and ask the question.

Mr. Saurav Kumar: Hi sir, the first one is essentially on this AFS. Can you quantify the capital impact? That's first? Secondly, I mean, what would be your expectation of both the slippage and the recovery upgrade for next year? And the third is essentially on this core fee growth. You've obviously done very well this year; do you think this 20 odd percent run rate is sustainable into next year? These are few ones. Thank you.

Mr. Debadatta Chand: Yeah, yeah. AFS, you mean to say on the new guidelines?

Mr. Saurav Kumar: Correct. Correct.

Mr. Debadatta Chand: Yeah. So, it's positive. I don't know if I shared the number or not or otherwise, we can share you offline with regard to this number, but then it's in money in the sense that there is going to be accretion in the reserve, a substantial amount. Right. So, that's one.

Second is with regard to slippage and recovery, we set a recovery target of 10,000 crores and we have an internal policy wherein the cash recovery, upgradation and recovery out of written off accounts has to be higher than the slippage. So, obviously I'm targeting a slippage much lower than 10,000 for the year. Right. And terminal level goes down.

And third is core fee when we have seen a core fee growth particularly also to a large extent dependent on the liquidity scenario. If you look at the current liquidity scenario, it's possible to change of creating a relationship vertical, whose job is to again min e the customer in terms of relationship fee-based income and all those stuffs. We have significantly improved our BCMS , cash management service, wherein huge transaction flow business, I mean fewer generating. So, I think it's sustainable unless and until there is a major change in the liquidity scenario tremendously from a current to a highly surplus zone, then there can be a change therein, otherwise I think it's sustainable. So, anything on the AFS Mr. Tyagi, want to add or.

Mr. Lalit Tyagi: No, sir. I think you have covered it.

Mr. Debadatta Chand: Slippage recovery, Lal Singh Saab, probably were in line. Right. Okay. So, thank you. Anything further from you, otherwise we are done with the question.

Mr. Saurav Kumar: Thank you, thank you.

Moderator: Thank you everyone, that's the last question we'll be able to take today. Ian, can I request you to give the vote of thanks.

Mr. Ian De souza: Thank

you, everyone for attending our call and this time thankfully, our call has been on a working day. I think that's the feedback we got time and time again that we should not keep it on a Saturday. So, thank you and you can always write to us if you have any queries which remain unanswered in today's call. Write to me personally. All of you have my email ID, or you can write to Investor Relations. Thank you very much and have a great evening ahead.

Mr. Debadatta Chand: So, thanks all again for joining for today's conversation. Thank you all.
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Call: Aug 2024

BCC:ISD:116:16:277 05.08.2024

The Vice-President,
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Mumbai – 400 051
CODE-BANKBARODA

Dear Sir / Madam,

Re: Disclosure under Regulation 46(2) (LODR)

We enclose transcript of Analyst and Media Meet held on 31.07.2024 for Q1 (FY2024-25) Financial Results.

We request you to take note of the above pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015 and upload the information on your website.

Yours faithfully,

P K Agarwal
Company Secretary

Bank of Baroda Analyst Meet for Quarter ended 30th June 2024
31st July 2024

Participating members from the Management Team of the Bank

- Mr. Deb adatta Chand, Managing Director & CEO
- Mr. Lalit Tyagi, Executive Director
- Mr. Sanjay Vinayak Mudaliar, Executive Director
- Mr. Lal Singh, Executive Director
- Mr. Manoj Chayani , Chief Financial Officer (CFO)

Moderator: Good evening , everyone , and welcome to the Analyst M eet for Bank of Baroda's results for the quarter ended June 30th 2024. Thank you all for joining us. We have with us today our MD & CEO, Mr. Debadatta Chand , and he's joined by the Bank's Executive Directors and our CFO . We have a brief presentation that we will take you through followed by opening remarks by Chand Sir and we'll then move to the Q&A S ession . Chand Sir, over to you for brief introduction and then we move on to the PPT.

Mr. Debadatta Chand: Sure. Thank you , Phiroza, a nd good evening to all who have joined on call. So , let me introduce the management team. I'm Mr. D. Chand , MD & CEO of the Bank. I've been interacting with you for quite a while now. So, with us we have Mr. Lalit Tyagi . He's the Executive Director . He looks after Corporate Credit, International Banking and Treasury apart from couple of other function s. Then we have with us Mr. Sanjay Mudaliar . He looks after the IT part of it and the Retail Asset and Retail Liability and couple of other platform function . Then we have with us Mr. Lal Singh . He's the E xecutive Director looking after the HR , the Agri, MSME and also more important the recovery part of it. And with us we have the new CFO , Mr. Manoj Chayani . This is his first call as far as all of you are concerned. So, with this introduction , over to you , Chayani ji, and then I will come back with the comments after the presentation.

Mr. Manoj Chayani: Thank you, Sir. Good evening , everyone. It, in fact, gives me immense pleasure in welcoming you to this Analyst Call of Bank of Baroda. Let me take you through the highlights of the Bank's performance as of 30th June , 2024 .

Coming to the Asset si de. If you can see that the Asset has been grown, our Advances portfolio has grown by 8.1% with domestic advances grow ing by 8.5%. This growth is a little bit on a muted side as against our guidance. However, as you all know, the first quarter is practically a sluggish quarter and there is also a consistent focus o f the Bank to increase the RAM portfolio . Further, there are certain low yielding assets , consciously we have s hed it. So, that's the reason why the growth is 8.1% . Segment wise if we say , we are going strong with the Retail growth of 21% , Agriculture is around 9.1%. , MSME 9.8% , Corporate is at 2.5% .

In the Retail portfolio itself the secured portion, that is M ortgage as well as Home Loan , we have grown 11% and 14.7% . Education ; we have grown by 18.8% . Auto Loan by 25%. And as we said earlier also, we have moderated our growth as far as the Personal Loan is concerned and Personal Loan growth is 39% as of June ’2024. Next slide , please .

Coming to the Liability si de. As you all know, the liability is a challenge for all the banking indust ry and besides that there are certain external factors also . Further, there is a conscious effort on the part of the Bank to reduce the dependency on the bulk deposit. As a result of which despite all of those things, the Deposit has grown by 8.9%. Here the point to be noted is that the Deposit has been grown by 8.9% and our Advances has grown by 8.1% , which is lesser than the Deposit growth. However, if we look at our CASA, our CASA has grown by 6% , which is better than the p eer banks also , and we are continuing our CASA ratio more than 40% and it is 40.62% as of 30th June 2024 . If I look at our Credit Deposit (CD) ratio, it is 82% , which is being maintained at that level. Next slide, please .

Coming to the profitability metrics . The Operating Profit is down by 8.5% to 7161 crore . However, here I would like to mention that this Operating Profit has been down only because there is a dip in the Treasury income due to the newer valuation norms given by the RBI . Coming to the Profit After Tax, there is a growth of around 9.5% and the Profit After Tax has improved from 4070 crores to 4450 crores . One of the strongest profitability metrics is Return on Assets and for last eight quarters we are posting Return on Asset more than 1%. And as of June , Return on Asset is 1.13% , which is 2 bps more than Q1FY24. Return on Equity is almost around 18% ; i.e., 17.45% as of June’ 24.

Coming to some of the key ratios . Yield on A dvances has improved from 8.40% to 8.55% , 15 bps higher. We are having a tight l id as far as the cost of deposit is concerned. And if you can see , the cost of deposit sequentially we could manage to maintain at the same level of 5.06% . Coming to the Net Interest Margin. Our margin is posted at a very comfortable at 3.18. If I compare that with the Q 4, it is a dip from 3.27 to 3.18. However, if I normalize last quarter N IM with the higher year end recoveries, it be comes 3.14. As compared to that, we have posted a NIM of 4 bps high er at 3.18 .

We are having a stronger and robust asset quality and our Gross NPA has improved by 63 bps from 3.51 to 2.88. Similarly , as against our guidance of N et NPA of less than 1% , we continue to be at 0.69 ; improved from 0.78 . Provision Coverage Ratio is comfortable at 93.32% . Slippage R atio, our guidance was 1-1.25 and we are at 1.05 , maintained at the same level as of Q1 FY24. The robustness of our quality of the asset is depicted in our Credit Cost which has improved from 0.70 to 0.47%. Next slide , please.

As far as our portfolio is concerned, we are not facing any incipient sickness in our portfolio . SMA book is only 0.18% of our total standard asset and collection efficiency , as compared to March, it has improved to 99% .

Similarly, the bank is enjoying a robust capital position with C ET1 improving from 12.54 to 13.0 8 and overall CRAR has been improved from 16.31 to 16.82. And the bank is also having a healthy LCR of around 138%.

That comes to the end of my presentation . Over to you , Chan d Sir .

Mr. Debadatta Chand: Sure. Thank you , Chayani ji. And let me make some qualitative comments on the financial of the current quarter , Q1.

So, in terms of the guidance with regard to the loan growth and the deposit growth , slightly it is below the guidance and the outcome is more of a strategic outcome that we wanted and that the CFO highlighted with regard to our liability management. So, it is Q1 of the financial year that allowed us to manage the liability in a manner that protects the margin more importantly and improve the bank's capital position.

So, if you look at this quarter, I mean, if you have the numbe r, the b ulk deposit outstanding as of March '24 was 2, 24,000 crores and the bulk deposit outstanding as o f June

end is 2 lakh crores. So,
there is a d ip of 24,000 . Out of that , there was a reclassification benefit available as per the RBI

guidelines between the 2 -3 crore s. So, that's something around 16,000 crore s. The balance is the d ip, again , in the bulk deposit outstanding. And earlier also since December I have been outlining this point that as a prudent profile, we want to reduce dependency on the bulk deposit . At that time also we almost reduced bulk by 20 ,000 -25,000 crore s. I will just also give you another data point. If you compare the FY23 bulk as a percentage of total deposit over FY22, the increase was almost 600 BPS. And if you look at the bulk including CD as a percentage of total deposit as on June vis-à-vis March '23, they are almost at the same level ; almost . Only 50 BPS increased. So , clearly, we are focusing CASA more . Precisely , the bulk has two component s. It impacts the margin because there's obviously a high costs deposit. At the same time, also want to improve the quality of liquidity in the bank. So , this worked well for the bank for this quarter. The LCR is almost at 138% now. The margin ; we had the full year margin of 3.18 and we could maintain the Q 1 also the same margin at 3.18. Although our guidance has been at 3.15 , plus/minus 5 bps, which we continue to hold on this quarter.

Secondly, on the profitability , as you know, we have a 9.5% growth vis-à-vis the Q 1 of last year and the profit m etrics is working well . Another data point which will be important for you to also understand that on the cost of deposit it's flat vis-à-vis the March '24. June '24 cost of deposit is the same like March '24, whereas March over December was almost an increase of 11 bps. So, we wanted to manage the liability so that on the cost side we have a complete control and so as the margin is protected. And , as I said, in terms of the bank's objective in terms of building block, we look at asset quality as the first piece and the profitability as the second and the top line is the third , the growth is the third. So , in that way this has worked well for this quarter. This profit has been almost now …this is the 6th quarter we are posting in excess of 4000 crores Net P rofit . ROA ; in the 8th quarter we are posting ROA in excess of 1.

So, the financial metrics and all the profitability m etrics is working well for the bank and at the same time looking for the next quarter and going forward because this quarter is a strategic outcome of what we wanted to happen but the bank has a strong pipeline cases. We again hold the same guidance of Deposit growth 10 %-12% and Advance grow th at 12 %-14%. So , I think , that's something we wanted to reiterate the bank's growth metrics and at the same time the profitability metrics .

In terms of Asset quality, it's fairly stable now and the GNPA sequen tially has improved by 4 bps, although N et NPA has gone up by 1 bps. But in terms of the guidance that we had given to the market earlier . In terms of the Slippage ratio between 1 -1.25 , the current quarter has been 1.05. The Credit Cost , which is again , earlier we said it would be less than 1 and now we are improving that to less than 0.75. The Credit Cost has gone below 0.5. I mean , earlier also multiple time people asked about the recove ry target . We're targeting 10,000 crores recovery this financial year.
In terms of GNPA and Net NPA, we are not giving guidance but the trending is clearly towards …because we have already achieved sub -three level of GNPA , the trending would be towards 2.5. As I said, margin is almost like there is something , I think , very positive as far as this quarter is concerned . A strong profitability with containing margin is the strong point for this quarter and the

bank would continue to have in this journey but clearly outlining the factor like we need to do a tr

ade off in terms of the margin requirement and also the growth at the same time .

With this, over to you, Phiroza, for the Question -Answer.

Moderator: Thank you, Sir. We will now start the Question -Answer session. I request all the participants whoever want to ask question to raise their hands. I request all the participants to restrict to two questions at a time so that all your colleagues can get a chance to ask their questions. If you have more questions, you can always come back in the queue .

With that , I start with Riki n Shah. Please , unmute yourself and ask the question.

Mr. Rikin Shah: Hi. Thank you for the opportunity, Sir. So, I had a bunch of questions but probably I'll restrict myself to two in the beginning and I'll come back in the queue. So, firstly, you did mention that the slower growth in this quarter was a function of the strategic initiatives . The Corporate Loans de-grew 6%. So, in terms of you articulating loan growth guidance of 12 %-14% , would you be able to share how the mix would be moving in terms of the growth? And just to clarify on this, if your deposit is 10 %-12% and loan growth is 12 %-14% are we saying that the LDR can move up even slightly higher than 80%? And would the regulator be broadly, okay? So, that's the first question.

The second one is on the yields on global investments. So, it has increased almost 135 b ps sequentially to 5.37%. Was it because of the new investment norms only? And if you could elaborate what brought this increase sequentially ?

So, those would be my two questions. I have few questions on Asset quality but, perhaps , I'll have to come back.

Mr. Debadatta Chand: Thank you , Rikin. A ctually , look ing at the guidance and the current, if you look at the corporate growth , as we said, when I reduce the dependency on the bulk at the same time almost 25,000 crores of assets on the fine price asset , obviously high quality , but then we allowed that to mature. So , the idea is clearly , as you understand , that the liability management leading to the margin protection. Actually, that's the strategy. So , if you exclude the institution piece out of the corporate book, the co re corporate has grown by 12%. So, I mean, the corporate growth metric is intact , the pipeline case s are a strong. So , I think , what we intend to do in September quarter is to grow almost at the level of 10 %-12%. And Retail has been growing faster ; 20% odd for many quarters now. Slightly we'll keep focusing on the Agri and MSM E, which is slightly below 10% and need to go above 10% . So, broadly , in case we do that, I think , we'll be in a position to achieve that 12 %-14% growth we are talking on the Advances side.

We normally do not disclose the pipeline but as of today I have a very strong pipeline cases for us to give a growth of 10 %-12% on the corporate book. And a moment we get into that market of fine price , anytime the book can increase, right . So, that's something already inherently there with the bank.

The second aspect we talked about is Deposit growth. Yes , the deposit has been …while slightly reducing the dependency, as I said, the bulk has gone down. Well, the focus was on the CASA . If you look at my CASA growth , it is 6%; even better than the industry peers, right. We'll be working very strongly on that . Recently , we came out with the scheme on the Retail term deposit. So , the focus clearly would be on the Retail side more. And , I mean , bulk as a percent age, substantial ly we are content but still ther e is scope. W hy there is a lower dependence in the bulk ? Because of the elevated

cost. And the moment there is a bit of mo deration happening, we'll again get into that market slightly so as to we protect the margin at the same time.

So, I think , fairly when I look at the current flow of both on Deposit

and Advances, I think , we'll be in a position to achieve this guidance of 10 %-12% for the Deposit side and 12%-14% on the Advances side.

On the LDR front , you are right . Actually, why we wanted slightly a lower growth , the bank had a peak

LDR of almost 84% right , and that was something …Actually , in terms of peers we had the highest LDR . And as o n today, with all this, we are at the LDR of 82% and we intend to operate between a band of 80%-82% and slightly the bias would be towards 80 %. So, in that way we are comfortable maintaining that kind of because we do have a strong bo rrowing pipeline also. We raised last year almost 20,000 odd-25,000 through infra and the capital bonds. So, we have an overseas channel open to us. Actually, we are one bank having a huge international presence. So, I think, these are all achievable in terms of managing the growth guidance, both on deposit advances at the same time, operating in the LDR of around 80% to 82%.

Your second question, I believe that was on.... just repeat that also.

Mr. Rikin Shah: Yeah. So, it was on yield on global investments which is there in your PPT. So that has increased almost 135 bps QOQ to 5.4%. So, is it only led by the new investment norms or something more to read into it?

Mr. Debadatta Chand: Global does include the domestic including international, right. So, Mr. Tyagi....

Mr. Rikin Shah: Only the international. Yeah. Sorry.

Mr. Debadatta Chand: International is more of a pricing actually some of the time you will not be surprised, some of the return you get out of the international investment is as good as a domestic because of the scenario in overseas market. But Mr. Tyagi would you like to comment on this?

Mr. Lalit Tyagi: So, in fact, the international investment yield has been largely impacted because of the yield movement therein and probably it is in line with the expectations as we were holding those investments. And if you analyze our investment portfolio in overseas, it largely remains the same or flat, barring some churni ng within that. In domestic also, you rightly picked up slightly it has been aided by the new valuation norms or classification norms, I would say, because of the RBI. So, some margin s we have got there also.

Mr. Rikin Shah: Okay. Got it sir. Thank you. I'll come back in the queue for the rest of my questions.

Moderator: The next question is from Ashok Ajmera. Please unmute yourself and ask the question sir.

Mr. Ashok Ajmera: Good evening, sir. Yes, Chand Saab, E Ds and of course, Mr. Chayani. Sir, I would in my opening observation say , Sir we are a little bit disappointed, sir with the overall profitability, the overall results of the bank. Now, we need to understand the reasons.

So, like, this other income has gone down substantially from 4,191 crore to 2,487 crore and Mr. Chayani said that basically it is because of the RBI change in the framework of the investment valuation, but it is not so. I mean, almost 2000, 1700 crore has gone from the other income in which that part is very small. So, on every front in the other income, including other, other income of ■1313 crores, if you look at every head, you know, like recovery from the written off account. Now, this we used to consider is going to be robust. You got a very big, large book of those accounts from where the recovery plus return of accounts. And it has gone down to ■554 crores as compared to ■1,202 crores. So, on every front in the oth er income, which has I think made a major dent on the overall profitability, one.

The other is we are not very clear that because you are probably the only bank or whatever I have seen which says in the note number 5 that the impact of the revised framework on the profit and loss account is not ascertained as the same are not comparable , but others have given whatever is the impact. So, with a huge downside l

ike operating profit , margins have also gone down 13.88% as compared to 14.47% and in spite of the provisions also being lower, our overall profit has gone down. Even the tax is also lower. So, these are the 2 major factors I believe. One is the norms changing for the investment valuation, the profitability on AFS book. But you have a good trading profit which has come in the other income. So net net where have we lost, as against the profit increase, which we were expecting at least about ■500 to ■700 crores more than the last quarter. We are rather losing. We have lost here. So, this is my first question, major question on profitability?

Mr. Debadatta Chand: So, I'll take your second question later because this is a lot of coverage on the first question. Can I reply to this, Ajmera sir?

Mr. Ashok Ajmera: Yes, sir. So that I can come back with other 1 or 2 observations.

Mr. Debadatta Chand: Yeah. Fair. So actually....

Mr. Ashok Ajmer a: Because the moderator will switch me off otherwise. Yeah.

Mr. Debadatta Chand: Actually, it is not where we have lost, actually the issue is where we have gained. Even if there is a lower other income and non -interest income, how the profit has been so strong. And that is what the point, actually. Let me again clarify a couple of thi ngs, like. On the non -interest income, which consisting of fee -based income and treasury income for the matter. Right. First let me come to the Treasury income, on the Treasury income we are seeing a change of almost like ■850 crore. W hy? Because the trading profit, which was almost like a ■400 crore in the Q1 of last year, has gone down to ■164 crore, precisely for the accounting norms. I will come to that.

The second aspect is that there was a write back of depreciation to the extent of ■625 crore, which is an additional depreciation to the extent of some ■76 crore. Why this change? That is what is important here. As per the new valuation which came in, alth ough the shifting of security was not allowed but there was a, I mean, need to reclassify the entire book, right. If you look at the reclassification vis -a-vis other banks and us actually, the trading book which was earlier the HFT, which is a FVTPL we hav e taken a lower book there and the in -money position of the AFS entirely we took it to the normal AFS. Right. If you compare me, and that's why the trading profit on the FVTPL, which was purely a trading position, has been lower as compared to maybe many o f the other banks.

At the same time, if you look at the reserve that we have created in the CET1 because of this stance of putting in -money in the AFS, that is in excess of ■3,200 crore. That has contributed to the CRAR on the CET1 to the extent of 30 bps. So clearly the family silver Ajmera Saab we have kept it with the book not otherwise, leading to a position wherein I have strengthened the structural balance sheet of the bank, rather than, again, a short -term objective of booking profit. This is point one with regard to t he Treasury. If you net it up both sides, we are better off as compared to many others. That is point one.

The second is something on the fee -based income. Yes, you are right, there actually that's a core area that we earlier also articulated we need to focus. Growth has been slightly lower on two counts. The corporate book has gone, I mean, the growth is only 2.6%. A lot of processing fee linked with the fresh sanction. And we deliberately wanted this because of the liability management, this book has to have a lower growth. So, the processing fee has gone down.

At the same time on the wealth side of the business actually on the wealth distribution, we implemented many controls mechanism therein. And the wealth income has also seen a significant dip, almost to the extent of 30%, leading to a lower fee-based income. So, the only point that I can assure you that the manageme

nt, we will be concentrating on the fee -based income this quarter
clearly, that's something we wanted to perform better that we didn't do. But the Treasury income is a clearly a s trategic output w herein the strengthening of balance sheet was a more important factor as compared to booking trading profit, because that doesn’t serve me the objective as I have a high what you can say net profit on the matter.

Recovery out of written off account, actually last quarter was a one off. My normalized run rate is almost like ■700 crore to ■750 crore. So, in line of that, if you look at first last eight quarters, the trend has been the same. I mean, the normalized around ■750 - ■700 crore. That we have done this quarter. So, in spite of all this the net profit is higher because....

Mr. Ashok Ajmera: Sir, it is 554.

Mr. Debadatta Chand: I will come to that. The provision you said is lower, actually, what has happened, the provision last quarter, this quarter out of a 100% provided account, there was a government guarantee component and we got almost ■300 crore the guarantee money out of it. So, the provision has to be reversed. That can't be comparable because the provision has to be released therein. So, leading to a lower provision, it looks like, but the lower provision is because of a higher I mean better credit cost, better asset quality, not otherwise. Right . So, in that way I think the bank is on a very strong fundamental part of it. This is not a one time you have a Y -o-Y increase in net profit to the extent of 9.5%. Right. So, we are , in the last 6 quarter posting more than ■4000 crore of net profit. The profitability metrics is structural, sustainable and that is what possibly can answer to your question on that. Can you go to your second one?

Mr. Ashok Ajmera: Yeah. No, sir on this, so does it mean that if it is one time in the coming quarter, we can expect the back that ■8,100 crore operating plus some ■300 - ■400 crore more kind of a profitability?

If all the events were one off events, can we...

Mr. Debadatta Chand: No, actually.......

Mr. Ashok Ajmera: .... in the coming quarters, we will come back to that 8000 plus operating profit, ■8200 crore plus operating profit?

Mr. Debadatta Chand: No, no, actually, the Treasury income is not going to be because of the reclassification, it has gone to the reserve. Actually, you would have seen the CET1 of maybe comparing with banks, then look at the CET1 level for other banks and me. I have increased the CRAR, normally, the June quarter CRAR is lower than the March, I have increased the CRAR by 54 bps. And the impact of the investment norms on the CRAR is 30 bps. If you compare those CRAR CET1 you can get a fair picture with regar d to the investment strategy that we are talking about. Right. So, on the operating profit scale, normally we don't give a guidance on the operating profit but clearly what is important to me on the net profit and the ROA guidance. So, we continue to hold that ROA this time also, it is 1.13 and we said last time that we need to maintain 1.10. So that is what actually I can guide you at this point of time.

Moderator: The next question is from Kunal Shah. Please unmute yourself and ask the question.

Mr. Kunal Shah: Yeah, hi. So, with respect to the slippages when we look at it in terms of the SME slippage, it's still continuing to be slightly at the higher end over past few quarters running at almost like, say 4 odd % kind of run rate. So, anything much to read into that. And when we look at it, even on the PL side there has been the inch up in the GNPAs to almost like 2.5odd %. Maybe there is still some kind of a seasoning, which is expected, but do we further see, like the inch up in the GNPAs of the PL and that's t he reason we have moderated the growth?

Mr. Debadatta Chand: No, no, moderate growth is more of a strategic outcome in terms

of the liability
management and consequently holding on the margin side, actually, that's clearly if you look at....

Mr. Kunal Shah: No, I was just talking in terms of PL growth moderation....

Mr. Debadatta Chand: Oh, PL, personal loan.

Mr. Kunal Shah: Yeah. Not the overall. Yeah. Not the overall. Yeah.

Mr. Debadatta Chand: Actually, personal loan the growth has been almost YoY 39 and quarter to quarter is much lower. I think it is something around 3% sequential growth, which was almost 80% earlier and sequential 12%. So clearly the moderation has happened. In terms of the qu ality of the book, as I said earlier, these are again existing customers and backed by the cash flow. Thirdly, in terms of any incipient part, we are not looking at the component of GNPA on the PL is almost fairly stable for the last m any quarters. So, there is no per se any concern on the PL side. So, Mr. Lal Singh, anything you want to supplement on this? Particularly more on the PL side that he's asking.

Mr. Lal Singh: PL side, in fact is not increased. In fact, our PL is mostly to the service class individuals. So, there is no challenge on the slippage side in the PL.

Mr. Debadatta Chand: In fact, Kunal, if I add the PL model itself, we changed around 6 months back slightly capturing because a lot of what you can say, guidances in the market in terms of the PL, the outcome of building stress in the book. But then now the model is also robus t. It does cover many other parameters apart from the cash flow therein, because a lot of market data now will take input at part of the model while deciding on the PL side. But clearly, we have moderated to a large extent and continu e to I think because our base is very small as compared to many of the other banks right on the PL. So, we'll continue to grow at a normalized rate of around 30%, 35% year -to-year. That's what I can say.

Mr. Kunal Shah: Okay. And on MSME?

Mr. Debadatta Chand: MSME, we want to focus. Actually, the budget has a lot of take away from the MSME and that is what actually, if you look at the overall corporate growth, I mean overall advance growth at 8.1, the retail is growing good at more than 20% for many quarters. C orporate was an outcome that we decided at the beginning of the quarter because of the liability management that we talked about. Agri and MSME want to grow higher, obviously. And MSME after the budget, I think there is a huge scope to upsize that growth with a strong cash flow metrics. Actually, you maybe knowing that we had a cash management product for the large corporate. Now, we rolled out the cash management to the MSME customers. That means the cash flows are there with us, and w e are able to now read into the cash flow more than as compared to what it was earlier. I think the MSME growth should normally get into that 14% to 15% growth model, and that is what will be the budget has a lot of positive things.

Mr. Kunal Shah: Asset quality, more on asset quality side of MSME?

Mr. Debadatta Chand: MSME, actually, asset quality for last 4 quarters has fairly stabilized. And if you look at my asset quality on MSME, it is I mean one of the good levels as compared to many of the peers in the market. So, we think a very stable outlook on the MSME for last many quarters. Yes, if you talk about FY22 and FY23 to some part of ‘24 also there has been elevated NPA level in MSME

because obviously Covid impacted them more than any other sector. But now these levels are fairly stabilized now, and we are much comfortable to increase the growth at this point of time.

Mr. Kunal Shah: Okay. And last question on growth. So again, you highlighted in terms of the priority, it's going to be asset quality, then profitability and then growth but again when we look at it, we have just reached the stabilization , be it in terms of getting the bulk deposits down. now

we'll try to grow
retail as well but doesn't that mean like maybe in even in terms of reaching the guided levels of growth there could be some challenge out there if we don't see the stabilization and the improvement in the liability profile, and if there is any further risk, which can happen on the margins or on the ROA front?

Mr. Debadatta Chand: No. On the ROA, we are fairly confident as I said, that we wanted to have some outcome this quarter. And on the growth, we are fairly, also conscious of the fact that we need to achieve those guidances on growth, both in terms of deposit and advances. So, this quarter we will try to catch up, whatever shortfall of the last quarter. We will try to catch up in this quarter. So, your point is on the conse quent impact on the margin. That's a very fair take. Currently, if you look at the cos t of deposit, it's flat for June over March. When I was in the month of March , I mean, in the month of April, looking at the March number the March over December was almost 11 bps. So now we have fair control on the cost of deposit.

So, at this point of time, I think we have the right bandwidth to increase a bit of bulk because the bulk level has been all time low now after many years. So, I think we can grow on that segment and not necessarily a high bulk. Actually, this quarter we s lightly didn’t focus because of the elevated cost. It’s not necessary for this quarter, the same thing continues because although the rate stance has been the same, but the liquidity profile in the market is improving. So, the rate can go down even if a ca se there is a without a rate change because of the liquidity availability in the market. So, we are very certain of slightly managing asset liability in a manner where we give the growth, expect the guidance. That means 10 to 12 and 12 to 14 at the same ti me are fairly getting into our margin guidance. The margin guidance is 3.15 plus minus 5 BPS. Right. So that is what's something and we will work on the growth side definitely this quarter.

Moderator: The next question is from Mahrukh Adajania. Please unmute yourself and ask the question.

Ms. Mahrukh Adajania: Yeah. Hi. So, sir my first question was again on asset quality that the slippage in retail has gone up substantially. The growth in retail slippage is much higher than growth in retail loans. So, anything you would like to call out specifically, and even w ithin that your gold, non -Agri gold has grown. It was always growing very well but it's grown even much stronger. So, w hat are your strengths vis a vis the other banks in this portfolio? Is it some new geography that you explored? If you could explain and then I have one follow -up question.

Mr. Debadatta Chand: Ok, so Mahrukh, the 1st thing you talked about on the slippage side. Right? On the retail? So , if you look at the slippage, the slippage has been at an all -time low in corporate and many other books and retail has gone up a bit. In the sense that, sometimes there is a seasonal factor on a couple of cash flow happening on the retail side and if I lo ok into the composition of this retail book, there is one group asset which has a dependency on the subsidy and that has gone bad actually

and I hope that w e'll pull back that as early as possible. So , in terms of incipient stress , we also track our SM A position on the retail and also the collection efficiency, both look very strong and good at this point of time. So that actually is not the concern or not significant at this point of time for me to raise anything with regard to the retail slippage. See, the guidance on the slippage ratio is giving 1 - 1.25 and we are at 1.05 in spite of what you said about the retail bit of more slippage. I thi nk this is one-off, seasonal. Going forward, we will be much better on the retail front.

On the 2nd, I just forgot what you asked for.

Ms. Mahrukh Adajania: Gold

loans.

Mr. Debadatta Chand: Actually , if you look at the gold loan base of me and many of the peer banks, our base is low, that is point 1. Secondly, I have 2 gold loans – one is a retail gold loan and other is agreed gold loan.

Ms. Mahrukh Adajania: I am asking retail Sir, retail, retail.

Mr. Debadatta Chand: Ya, I know that. So , when you look at these two growths, we balance it out at different points of time and depending upon the margin and the potential available. Yes, definitely retail gold gives a slightly higher margin as compared to the Agri loan. So , we want to again slightly focus more on that. We have gold s hoppe that is branches that do have a separate wing for the gold loan, so that's working well now but the base is very small as compared to many other peer banks would look on the retail gold side.

Ms. Mahrukh Adajania: Got it Sir! Sir, just one more question in terms of your credit cost, so your annualized credit cost is around 40 basis points. Now if ECL were to be implemented, effective FY25, is this kind of a credit cost through the rest of the year good enough to mee t the new norms? I mean the draft norms? I know it's not finalized but you would already have a rough idea.

Mr. Debadatta Chand: Yes. Actually, there are 2 scenarios. This time credit cost is .47 and anything below .5 is a good number. You annualized at 0.4. So , the fact which is important, we are giving a credit cost guidance of below 0.75, earlier it was one. So why this guidance is higher than the current level is precisely to factor in any ECL impact there. There are 2 factors on the ECL. ECL also talks about, there is a loss provision impact on the standard asset. If you look at my S MA book as on today, on t he asset quality, they are all fairly stable. There is also a standard provision in -built to it. So, I don't think there is a substantial impact because of the ECL. Anyway, the ECL impact is to be spread over many years, that is what the guidance is, in case it comes as a framework to be implemented. So fairly provision that ECL impact and I don't think any, as on today, accounting that impact we have to change any guidance in terms of ROA of anything for that matter.

Ms. Mahrukh Adajania: Thank you, Sir . Thank you.

Mr. Debadatta Chand: Thank you.

Moderator: The next question is from Jai Mundra. Please unmute yourself and ask the question.

Mr. Jai Mundra: Ya, hi, good evening, Sir and thanks for so much of clarification that you have already given. I have a question on LCR. So , this quarter, we have seen LCR rising to 138. Last quarter it was around 121 something. What has changed? I mean if I look at your investment book, that has not changed materially. It is only 1 %, plus minus . On loan deposit, both have declined more or less similar. What has changed that has driven so much uptake in the LCR and also a request, if you can also publish your LCR disclosure on a quarterly basis? What we see is only in the annual report and 4 quarters come together but a request, if you can also publish on a quarterly basis.

Mr. Debadatta Chand: See, on the LCR front, again we had 122 in the last March and wanted to optimize that. So , there are many components, I will not come to the specific components therein . But typically, if you look at the new draft guidelines and the impact thereof, then you have to make provision and account for it. In that way the LCR is currently comfortable to take the impact of draft guidelines in case it comes as final guidelines. But a component increase, anything you can add Mr. Tyagi at this poi nt of time?

Mr. Lalit Tyagi: So, in fact Sir, we have brought down our borrowings against the excess SLR, that is one point. The 2nd point is that in terms of raising the fresh liabilities which have lower run -offs, that is also one contributing factor to the increase in LCR, quarter on quarter.

M

r. Debadatta Chand : Thank you.

Moderator: The next question is from Pritesh Mashru. Please unmute yourself and ask the question.

Mr. Pritesh Mashru: Good evening and thank you for the opportunity. I am a retail investor and I have been tracking Bank of Baroda for quite some time, the most right earlier, as early as when the merger happened, which was the 1st PSU merger. I have couple of questions, not on the specific quarter numbers but on a long range. I understand that before general elections, all the PSU banks were asked to provide their 5-year roadmap to the Prime Minister's office and certainly there are good plans and I think the overall objective was for the PMO to look at how the banks can support the economic growth. Obviously, I am foreseeing that all the pieces of economic growth are the re in place and how the banks can play their role. So , taking some clues from there, my question is that – how the bank is going to grow in terms of balance sheet size over the next 3 -5 years and related to that, you know, how the quality of the asset, how the profitability of the bank overall is going to look like? If you can throw some broad guidelines around it, then it will be really helpful. That's the 1st question.

The 2nd question is that, again in terms of profitability parameters, while return on asset is great to know and I believe Bank of Baroda is well capitalized for that matter in terms of capital adequacy. So not sure how the plans of fund raising would be there bu t the point is, how the return on equity is going to look like this year and over maybe 3 -5 years on an average going forward?

Mr. Debadatta Chand: Ok. So , your 1st point is very pertinent . So, irrespective of the conversation between us and the government. Let me share that earlier we, announced to the market also that there is something already in the domain of public information, that we want to grow at a CAGR of almost 13.5 % for the next 5 years. That's a ro lling plan. Because in the earlier years also, you must have seen FY23, the growth has been almost 16 %. This year, because of the liquidity issue as system liquidity issue, it's not one bank but many other banks have lowered the growth guidance because obviously liquidity gives you a deposit and then you lend money. But the intention of the banks to grow at a CAGR of 13.5 % for the next 5 years and in normal math , if you compute, it almost comes to doubling the number vis a vis March 24. So that is something I can outline at this point of time.

We are mindful like when you said that, earlier also I said, "On a business plan, the underwriting standard and the quality of asset is something paramount as far as strategy is concerned. Actually, one way to look into RWA density that we do have for multiple product lines and that's fairly stable and which are improving also on a 100 bps scale. So I think when we plan out a growth, we will be mindful of the quality of the asset . For ROE, we are giving guidance and currently, actually why the ROE has gone down vis a vis the last quarter because as I said, because of a strategic call on the investment side, where we wanted in- money more on the AFS which goes into reserve or the CET one expanded by almost 54bps. The CRAR has also gone up by around 50 odd b ps. And normally if you see the June quarter because the profit is not added back to capital, you see a d ip vis a vis March. But in our case, it has gone up 54bps which is not also, if you compare the peer CRAR, that they have not had. Because of the elevated capital level, because of one investment reserve getting into, because of the accounting norms, ROA has gone down to 17.5% or something but on a guidance scale, we normally give a ROA but at the same time intend to maintain RO E in excess of 15 -16%. I think that's a fair return on equity that we can think of.

There is no plan to raise capital

because of a comfortable CRAR but as a substitution of tier1 and tier
2, we have announced to the market that roughly around 7500 crores capital we'll be raising in this year . With a growth of roughly, let's say on the advanced side, although we are giving 12 -14%, taking also a growth of 14 % at the current level of CRAR, I think and the kind of internal accrual that we are generating out of the net profit, then I think equity raise may not be an immediate visibility at this point of time. S o, no plan as on today's equity. I think I have answered your 3 but clearly the bank is focused for a 5-year business plan and internally, we are working out a lot of other levers of the matrix on the 5y ear business plan.

Moderator: The last question for the evening is coming from Rakesh Kumar. Please unmute yourself and ask the question.

Mr. Rakesh Kumar: Hi! Thanks a lot Sir. Sir, firstly the question was related to credit yield number which has fallen quite sharply this quarter. If you can tell us, what is the reason for that?

Mr. Debadatta Chand: Can I go ahead?

Mr. Rakesh Kumar: Yes Sir.

Mr. Debadatta Chand: We said earlier that this quarter being the 1st quarter of the year, we wanted to a bit realign on the growth numbers. The idea was to protect margin actually. And if you look at the liability side, we announced that we reduced the dependency on the b ulk deposit again in this quarter. We have announced that earlier also. We have reduced almost by 6000 -7000 cr ore after excluding the reclassification benefit of 2 to 3 crores. So that's something important. Now we are at a fairly stable level. The idea of dependency on the bulk is more from the costing par t because the rates continue to be elevated in the market as on today. But going forward, there may be a bit of moderation possible. Then we can raise bulk to the extent we need to fund our advances for the matter.

The advances growth is typically linked with the deposit growth. We are, one Bank where the deposit growth of this quarter was higher than the advance s growth. But i n the advance s segment also, retail continues to be stronger, more than 20 %. The MSME Agri almost, slightly below 10 % which we think that will improve this quarter and particularly after the budget, there is a possibility to increase MSME significantly. The asset quality on the MSME is now fairly stable for the last 4 quarters and then that gives us confidence to increase the MSME.

Corporate again, as I said, growth of 2.6 %. If I exclude my institutional book, the growth has been more than 12 % on the core corporate. So that pipeline continues to be strong. As far as the institutional side with their high -quality fine price book which again this quarter decided more than 25000 crore, we wanted them to mature so that we get the benefit on the repricing at a later quarter. That's something we have done it in this quarter. Going forward, we will optimize on that also so that we get a dece nt growth of corporate in excess of 10 %.

Mr. Rakesh Kumar: Sorry Sir, I was just referring to credit yield number Sir. The credit yield in the domestic rate fallen by around 25. Only the credit number changed. I couldn't understand.

Mr. Debadatta Chand: Can you come back? What you said? Credit…..?

Mr. Rakesh Kumar: Credit yield, fall in the credit yield Sir.

Mr. Debadatta Chand: Ok, ok, yield. Sorry. So , actually if you look at the cost and the advances, these are both flat right? Cost of deposit is flat, June over March. Advances, there are 2, on the repo link which is the most 50 % of the book, these are already priced in actually, the repo rate has been flat for many quarters now. So , the yield on that count is still flat. MCLR and other segment, there is a little bit of churn happening in those markets also because the market is competitive. So , in that way, the yield has taken a slight cut

. So , Mr. Tyagi, can you address on this issue?

Mr. Lalit Tyagi: So, precisely it is related to our strategy of shedding the fine priced assets as and when they came up for the repricing or at the time of maturity, we didn't go further to onboard them. And to continue that, you know or to protect the margins, precisely that was the reason that we thought of that at one point of time, this is enough and now we do not want to take beyond that. So , you are right. Through some extent, we accepted that and beyond that, we said, “that’s enough to take a call.”

And as MD said that in core corporate, we saw this growth of nearly 11 -12% and which is at a price point where we wanted to onboard them.

Mr. Debadatta Chand: To supplement what he said , I will just give you one data point. My average advanced growth is higher than the terminal growth. So that can address the issues that we are talking about here.

Mr. Rakesh Kumar: Got it. The last question, the 2nd question, the investment depreciation provision is like, there is a 136 crore which is like you know, credit to P/L. So that number and write back on the standard provisions, so why these 2 things have happened and where is this investment depreciation write back is coming from?

Mr. Debadatta Chand: There is no write back, rather we have provided additional depreciation as compared to the write back which we did in the Q1 of last financial year. But on the standard asset provision, I think there are couple of milestones on those assets and those got fulfilled so we have to write it back. Anything CFO, you want to add on this?

Mr. Manoj Chayani: Sir, basically Rakesh you are referring to the write back in case of the investment. There was a specific account in which we got a valuation gain and a specific account, NPA account, that’s the reason why this has been NPA account.

Mr. Debadatta Chand : Is it NPA account? Above the line or was it a depreciation provided on the standard investment? On the NPA investment, there was a write back because of NPA market value.

Mr. Manoj Chayani: Right Sir. In a specific account.

Mr. Rakesh Kumar: Ok, got it, thank you.

Moderator: Ok everyone, that’s the last question for today. Chayani Sir, if you can give a vote of thanks. Thank you.

Mr. Manoj Chayani: Thank you all for sparing your valuable time and joining us for this analyst meet. The bank has posted a good quarter and if any further query or clarification which we could not take during this call, please feel free to contact me or my team. I am always available and let us not close interaction with each other to get more clarification. Thank you and have a wonderful evening.

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Bank of Baroda Media Meet for Quarter ended 3 0th June 2024
31st July 2024

Participating members from the Management Team of the Bank
➢ Mr. Deb adatta Chand, Managing Director & CEO
➢ Mr. Lalit Tyagi, Executive Director
➢ Mr. Sanjay Vinayak Mudaliar, Executive Director
➢ Mr. Lal Singh, Executive Director
➢ Mr. Manoj Chayani , Chief Financial Officer (CFO)

Moderator: Good afternoon, everyone and welcome to the Media Meet for Bank of Baroda's financial

results for the Quarter ended 30th June 2024. Thank you all for joining us. We have with us today our MD and CEO, Shri Debadatta Chand and he's joined by the Bank's Executive Directors and our CFO. We have a short presentation followed by brief opening remarks by Mr. Chand, after which will be the Q&A. Chand Sir, I will hand it over to you for the introduction first.
Mr. Debadatta Chand: Good evening, my media friends. So, it's again a pleasure to introduce the management team before all of you. I'm D. Chand, the MD & CEO of the Bank and I've been interacting with you almost for a year now as MD & CEO. And with me, Mr. Lalit Tyagi, he's the Executive Direc

tor
in charge of Corporate Credit, International Banking, apart from a couple of other functions. Then we have with us Mr. Sanja y Mudaliar, he's the Executive Director, he looks after, more importantly, the IT and also the Retail Asset and Retail Liability of the Bank, apart from a couple of other platform functions. We have the Executive Director, Mr. Lal Singh, he's the Executive Director looking after, more importantly, the Recovery and the HR function, and also the Agi & MSME business of the Bank. And we have the CFO who is joining for the first time as far as this call is concerned, Mr. Manoj Chayani, he's the C FO for the Bank and he's joining before you for the first time.
So, with this, I will just hand it over to Mr. Chayani just to run through the presentation, and then I'll come back with a couple of qualitative comments therein. Please go ahead.
Mr. Manoj Chayani: Thank you, sir. So, good evening, everyone. It gives me immense pleasure to welcome you all to this Media Meet of Bank of Baroda. Let me take you through the detail ed, highlights of the Bank's quarterly financials as of 30th June 2024.
Coming to the asset side, there is a growth in the advances of 8.1% with domestic growth of 8.5%. Segment -wise, if you'll see, our retail book is growing at a faster pace of 21%, agriculture at 9.1%, MSME is almost at 10%. Within the retail also, if you ca n see, there is a growth of around 11% in mortgage book and home loan of around 15%. Education loan is growing at around 19%, auto loan at 25% and personal loan, as we said earlier also, we have moderated the growth of the personal loan which used to be at a higher pace. Now, the growth in the personal loan book is around 39%. Next slide, please.
Coming to the deposit side, as you all are aware that the deposits are the major challenge for the banking industry . There is a growth of around 8.9% in overall deposit. However, our CASA growth remains at a higher pace of 6% and better than our peer banks. Coming to the CASA ratio, we are above 40%, and as of Q1 we are at 40.62%. This time the deposit growth is more than the advances growth and our CD ratio is maintained at 82%.
As far as our profitability metrics is concerned, our operating profit is a little bit down to 7,161 crores. This is mainly because of our treasury book. Because of the new RBI guideline s, there is a change in the valuation method which has impacted the operating profit. Profit after tax, you can say there is a YoY growth of around 9.5% with an increase from 4,070 crores to 4,458 crores. For the last eight quarters, we are maintaining our return on asset more than 1% and as of quarter ended 30th June, our r eturn of asset has improved to 1.13 % from 1.11 %, and our return on equity is 17.45% as of Q1 FY25.
Some of the key ratios. The yield in the advances has improved by 15 bps from 8.40 % to 8.55%. And as I said, there is a conscious strategy on the part of the Bank to reduce the bulk deposit. That's the reason why we were able to maintain the cost of the deposit sequentially at 5.06, which is at the level of 31st March 2024 . If we will come to the net interest margin, net interest margin is comfortably placed at 3.18 % as of Q1 FY25. Here I would like to make you certain clarifications in this regard, is that in Q4, it was 3.27 %. However, in Q4, 3.27 % was including certain higher year -end recoveries. If I

exclude those higher year end recoveries, the normalized yield will be 3.14 %. As compared to that, our net interest margin has improved to 3.18 % with an increase of 4 bps.
We continue to maintain our robust asset quality. As you can see, there is a decline in the gross NPA percentage from 3.51 % to 2.88 %. Similarly, as we have given the guidance earlier, the net NPA position is 0.69 %. We had given a guidance that it will be less than 1 % and we are at 0.69 %. We are comfortably placed as far as provisional cov

erage ratio is concerned at 92.32%. One of our significant metrics – the
slippage ratio is 1.05 % which is maintained at the same level as that of previous Q1. However, if I compare that with March, then there is a decrease in the slippage ratio showing the robustness of the asset quality.
Coming to the credit cost, credit cost has improved due to the improvement in the asset quality. It has improved from 0.70 % to 0.47 % as against our guidance of 0.75 %. Our SMA book is on a lower side of 0.18% of the total standard assets, and collection efficiency is comfortably placed at 99%. Next slide.
The Bank enjoys a strong capital position with CET1 increasing from 12.54% Q4 to 13.08%, with tier 1 increasing. And overall CRAR is improved from 15.84 % to 16.82 % YoY. The bank enjoys a comfortable LCR of 138%, and we are having a stronger capital position.
And thank you all. Over to Chand sir.

Mr. Debadatta Chand: So, thanks, Mr. Chayani. Again, to all of you, let me make some comments with regard to the performance of this quarter. As you said rightly, the focus on this quarter was more on the liability management side. And he said very clearly that the bulk deposit, which is wholesale deposit, we reduce in terms of our dependency on that. If you look at the numbers which has been published there in the presentation, on the wholesale book, which was of the bank on the deposit side was almost 2,24,000 crores, which has gone down in June from March to almost 2,00,000 level. So, there is a dip of almost 24,000 crores in this quarter vis -a-vis the March ending. And out of this 24,000, roughly around 17,000 is because of the reclassification because of the RBI guidelines between 2 to 3 crores. So, excluding that, the real impact, the real dip in the wholesale deposit is around 7,000 crores. And I've been highlighting this point since December 2023 also, the bank wished to reduce, in terms of managing the liability profile, th e dependency on the bulk deposit.

And consequent to that, we had to calibrate on the advance side also. And the advance side, particularly the fine price book on the corporate book, we allowed that to mature. And these are all the high -quality asset, but finely priced. So that we allowed. So, the corporate book which we are looking at also had a muted growth of 2.6%, precisely for the reason of our managing on the liability side and consequently impacting the asset side. The retail continued to be growing very strong at 21%. And in terms of last one year between June ‘24 over June ‘23, the retail book has almost increased by 258 bps. So , we earlier talked about a retailising the book and that precisely is the purpose wherein the retail is going to continue to be very strong and in the o verall book, the percentage is higher now. So, the focus of the bank is clearly on the CASA side. If you look at the CASA growth this time, it has been 6%. It is better than the growth of the last quarter of that last year. So , the focus is clearly managing the liability profile. And in case you are mapping out the wholesale deposit as a percentage of total deposit, it is almost the level that we had in June ‘23. And if you compare the March ‘23 vis -à-vis March ‘22, the wholesale increased by almost 550 -600 bps. So that dependency, clearly, we are trying to reduce that.

And some of the lower growth than the guidance would have seen precisely for this part of the liability management. And when we announced also the un audited, some of the numbers would have seen that is below the guidance. But as far as the full year guidance is concerned, we continue to hold the

same guidance. The deposit of full year would be around 10 to 12% and the advances would be 12 to 14%. So, any shortfall of this quarter, we'll cover up in the September quarter. So that we're holding the full year guidance, which we had given earlier. But this quarter, it did allow us to realig

n the ALM

profile, at the same time, managing the liability manage ment, and the impact would have seen on the margin side. So , the full year margin last time was 3.18. And the Q1 of this year has been also at the same level of 3.18. So , we are able to protect the margin because of the liability management.

One important data point also, please note that, the cost of deposit has been flat vis -a-vis June over March. And if you compare March ‘24 vis -a-vis December ‘23, the increasing cost of deposit was to the extent of 11 bps. As against the 11 bps increase vi s-a-vis Q4 and Q3, vis -a-vis Q1 and the Q4 of last year, it's flat. So, we are able to get a control on the cost of deposit part. That's important for us to again, plan out our business growth in this financial year.

Secondly, two elements you would have noticed on the Agri and MSME side. So there the growth has been almost at 9%. And the focus clearly would be, in this quarter, to optimize on this count. At the same time, corporate also would look to grow higher in th is quarter. The reason being, now on the cost of deposit, we do have a control. So, that would allow us to grow higher.

On the income side, as Mr. Chayani also said, this 4,000 plus crore of profit, this is the sixth quarter, we're going to have a profit more than 4,000 crores. And in terms of a YoY change, it is almost 9.5%. And ROA, this is the eighth quarter, we are givi ng a ROA in excess of 1. So that's very significant. At the same on the income and expenditure side, you would have seen the income is growing at 11.1%. At the same time, the interest expenses, we got a control on that. The increase in interest expenses is only 15.9%, which was almost 24 -25% earlier. So consequently, the NIM growth has been 5.5, which is better than the last quarter of 2.3%.

On the operating profit, there was a dip, which was explained by the CFO, because of the new change in the accounting vis -a-vis the RBA guidelines. On the change vis -a-vis on the treasury income, the Q1 of this year and vis -a-vis the Q1 of last year, the c hange is almost 850 crores. And there is a lower trading profit, point one. And secondly, the revaluation, which was written back in the first quarter of last year, the same is not available this quarter. So, because of a lower treasury income and slightly a lower exchange side on the fee also, the operating profit has been lower. But clearly, we'll be working on to improve the operating profit. But then, the net profit has seen a significant growth vis -a-vis the Q1 of the last financial year.

We'll continue to work on the fee side, because the fee has been a very strong point for the bank in the earlier quarters. So that is something we need to work. As far as the corporate book is concerned, because there is a lower pipeline, because the growt h has been 2.6% as compared to 10%, 11% earlier, so obviously, the processing fee and all has gone down to a bit. But we'll be working on this. On the

recovery from TWO , which the CFO highlighted, last quarter, we had a one off, but our normalized rate is almost like 600 to 700 crores on every quarter. So that's something we'll continue, I think, to maintain on that.
Operating profit, we'll be working on that. And mainly, slightly the lower operating profit is because of the treasury income. But let me again, highlight one other data point s here. If you look at our… because the new RBI guidelines allowed us to put that in the AFS or FVTPL. So , we're taking a lower book as compared to many other banks in terms of the book in the FVTPL. Consequently, the trading profit has been lower. But a major part of the in -money AFS has gone to the reserve. And in case you look at th e Notes to Accounts, almost 3,200 crore of in -money position has gone to the reserve in the CET1. And you would have seen that the CET1 has gone up by almost 54 bps vis -a-vis the March of last year.

Nor

mally, on a June quarter, we see a lower CET… I mean, because the profit is not added when growth is there. But because of the strengthening of the balance sheet in terms of reserve, the impact has been very positive for us. Almost 30 bps is the impact of the reserve accruing out of the investment which goes into the AFS reserve and the general reserve as per the new accounting norms. So that's something I want to note.
The capital adequacy has been very strong now at 16.82 as compared to 16.31 that of March ‘24. The net profit has seen a good growth of 9.5%. And as I said, the best part of it is the sustainability of net profit for the last six quarters now. And consistently, the net profit has been in excess of 4,000 crores. At the same time, it gives im mense financial strength of the bank to have net profit in excess of 4,000 crores.
The NIM already I highlighted, our guidance would continue to be 3.15 plus/minus 5 bps. In this quarter, it is 3.18. And the focus is clearly on managing liability well, so that the margin is important aspect. And as I said earlier, also, when I look at th e bank's objective, we have three critical building blocks in terms of looking at the asset quality as the first block, margin o r the profitability as the second and growth is the third. So, we optimize on all count and trade -off between the margin and gro wth.
On the asset quality front, as he already highlighted, the outlook is very stable. On the sequential basis, the GNPA improved by 4 bps, although the net NPA, there is only 1 bps… I mean, it has increased. On the guidance side, we'll continue to have the sam e guidance of the slippage ratio between 1 to 1.25. This quarter, it is 1.05. On the credit cost, actually, earlier we said it should be less than 1. This quarter has been 0.47. Anything below 0.5 is very good in terms of the quality of asset. So, the gui dance that we are making for full year on the credit cost would be lower than 0.75. We are targeting a recovery of more than 10,000 crore, which we outlined last time also for this year. So, the outlook on the asset quality is fairly stable at this point o f time, and we continue to maintain the quality of asset that's important as far as the bank is concerned.
So, with this, again, I think we had a very strong quarter as compared to many of the quarters we have been doing in the past. So, with this, I again thank all of you for joining us today, and we'll open for question and answer now. Over to you, Phiroza.
Moderator: We are now open for question and answer. I request the media who wants to ask questions to raise their hands. We will come to you in a sequential manner. We request all the media friends to restrict yourself to two questions so that everybody gets a chanc e. We can come back to you if you line up again if you have more questions.
We start with Siddhi Nayak. Siddhi, please unmute yourself and ask the question.
Ms. Siddhi Nayak: Hi, Chand. Sir. Good evening. Congrats on the results.
Mr. Debadatta Chand: Thank you.
Ms. Siddhi Nayak: My first question is on the slippages bit. Retail has seen some kind of an uptick quarter -on-quarter. I wanted to understand within retail, which segments are these that have slipped and I'll come to my next question later.
Mr. Debadatta Chand: Yeah, actually, slippages in retail has been slightly, if you look at other components, they are fairly stable rather decrease there in, but retail, there are some segments where we have seen because of more of the seasonal nature. Actually, this quarter is slightly different as compared to the Q1 of last year because it's the first quarter and it's more of a seasonal nature. So,

there is one account wherein I believe there was some slippage happened, but I think because of that quality of that particular asset, we can pull it

back. So, that impact is almost 50-60 crore. Other than
that, I don't think any major slippage in the retail which can raise any concern to us at this point of time.
Ms. Siddhi Nayak: Okay. And you gave you gave guidance on most of the ratios, but on the bad loan

side, if you could also guide on you know the gross and net NPA ratio that you would like to keep for FY25?
Mr. Debadatta Chand: See, as far as both the gross NPA and net NPA, we are at a fairly what you can say top tier, in terms of the current levels like on the GNP A we are below 3 and net NPA almost at 0.75 or 0.76, 0.77 level. So, here onwards we're not giving any guidance, but the trending clearly would be downward s. Suppose as far as gross NPA, I would say that having achieved less than 3 , we will try to, I mean go towards 2.5, but I can't give a guidance that it would happen immediately in this year or next year, but clearly the trending would be downwards. Similarly, the net NPA for the matter, I mean the trending too would be towards 0.5, but there's no guidance per say on the on the GNP A net NPA, but we are currently at a fairly top league in terms of the level of NPA's in the market, right.
Ms. Siddhi Nayak: Okay. Sir, my last question is on your corporate loan book side. You said you wanted to grow your corporate loan book any guidance on that front how much you know would that be and from which sectors would you expect this demand coming from?
Mr. Debadatta Chand: See, as far as the corporate book, if you look at the current quarter, the growth is 2.6%, but as I said that some of the high -quality fine asset, we have actually allowed that to mature, but my core corporate growth has been almost 12%. That means I exclude some of the exposure towards the institution. I mean within that 2.6% also the core corporate has grown by grown by 12%. So, in that scenario what we're looking at because overall we're giving a guidance of 12% to 14%, I think for September quarter, the growth would be almost at 10% to 12% for the corporate book.
Ms. Siddhi Nayak: That's for Q2, right?
Mr. Debadatta Chand: That's for Q2.
Ms. Siddhi Nayak: 10 to 12 you said.
Mr. Debadatta Chand: But overall advance s book, we'll keep it at like if you on the corporate also full year would be at 10 to 12 and the overall advance s book would be 12 to 14.
Ms. Siddhi Nayak: Sir, 10 to 12 is for the whole year that you're saying?
Mr. Debadatta Chand: Whole year, yeah, yeah.
Ms. Siddhi Nayak: Corporate book?
Mr. Debadatta Chand: Yeah.
Ms. Siddhi Nayak: Okay. Okay. Thanks. Thanks. I'll come back.

Moderator: Thank you, Siddhi. She is from Thomson Reuters. Now, I request Joel Rebello from Economic Times to ask his question.
Mr. Joel Rebello: Hello, can you hear me, Sir?
Mr. Debadatta Chand: I can hear you, Joel. Please go ahead.
Mr. Joel Rebello: Good evening, Sir. Sir, couple of clarifications because before I asked my question, if I've understood it correctly, you said your corporate loan book came down because you all had to adjust your asset ALM basically. So, in other words, when the corporate loans go up, your liabilities also go up, so that liabilities you all wanted to adjust, is that understanding correct?
Mr. Debadatta Chand: Obviously. Actually, see, I mean, if you look at this quarter, it's on the liability side, we do have a control now because I have said that the cost of fund is almost flat as compared to the last quarter, right.
Mr. Joel Rebello: Right.
Mr. Debadatta Chand: So, moment, we grow on the asset, obviously we again raise more liability, but the focus will b

e more towards the retail and the CASA rather than again focusing because we want to reduce dependance , but I think current scenario the market is bit up on the moderation phase now , on the rate cycle is concerned. So, if that happens obviously, we'll be in a position to raise money maybe at the same cost or slightly lower cost and that would allow us to increase our corporate book.
Mr. Joel Rebello: Okay, but this has helped you all to balance your ALM also, the slower corporate growth , that's what you meant, is that correct?
Mr. Debadatta Chand: See, ALM, yeah, yeah. ALM is not exactly the liquidity side. ALM is also talks about the margin side actually initially when we talked about the lower dependency, the lower dependency and more particularly on the margin side and you would have seen the margin sustained for this quarter as compared to the last year, right. So, that's very important year. So, it covers both the liquidity aspect and also the margin aspect.
Mr. Joel Rebello: Okay. Sir, another clarification of other income is down. You all mentioned it is basically the treasury. I know that there have been some rule changes on the bond side from the RBI, but can you give us some you know details on where it is come from the treasury income, how much is it trading income is down, Forex income if you can give us. I've not had a chance to go through the presentation actually.
Mr. Debadatta Chand: So, I tell you that if I compare the Q1 of FY23 vis-à-vis Q1 of FY24 -25, I mean Q1 of FY23 -24, so last year the trading profit was something roughly around 400 crore which has gone down to 164 crore because the book accounting where the book has been created on this side. The other aspect was that last year on the first quarter there was a write back to the action of 625 crore

on the depreciation and on the same element in this quarter has been additional depreciation of 74 odd crore. So, the change that we are talking about is almost 850 crore here. So, that has impacted the operating profit.

Mr. Joel Rebello: Okay. So, both these issues. Sir, I have also noticed, I think Siddhi mentioned about the slippages increasing in retail, can you give us some outlook. I think slippages overall have also increased, right? I think it's the first increase in many quarters, if I'm not wrong?
Mr. Debadatta Chand: No, no. Slippage, we have been giving you guidance of 1 to 1.25 on the slippage ratio, right, and we are at 1.05, right.
Mr. Joel Rebello: Yes, Sir.
Mr. Debadatta Chand: So, on the major segment of the slippage, it's always contained. The retail, slightly, the slippages has up almost by one 150-200 crore and that's precisely in one account where there is a 50-60 crore. We think the quality of the asset is good, it's a group account and that can be pulled back. So, the normal seasonal slippage would be always there in Q1 because Q1 is a different Q1 as compared to earlier Q1, right. So, in that scenario, I think this is seasonal and it's not going to pan out for a future quarter.
Mr. Joel Rebello: Okay. Last clarification Sir, the corporate loan book overseas, has it shrunk basically this quarter?
Mr. Debadatta Chand: No, it has not shrunk actually, slightly there is another actually we debate on the LDR or the CD ratio that is what actually most of the time we discussed. We wanted to moderate that. Actually, our peak LDR was almost like 84%. So, now it has gone down to 82, right. So, it's more of a managing on the credit deposit ratio rather than anything on the international loan side. It has not shrunk; the growth is 6.4%.
Mr. Joel

Rebello: Okay. And this 2.6 is domestic corporate basically?
Mr. Debadatta Chand: 2.6 is the domestic corporate. Yeah, you're fairly right and let me again, let me make one mention that the core corporate actually excluding institution, it has grown by 12% this quarter.
Mr. Joel Rebello: And when you say institution NBFC is included in that, I think I'm just trying to understand, you know, the RBI dictate against insecure, is that where you also made some adjustments on the NBFC side?
Mr. Debadatta Chand: On the NBFC, that you would have seen on the analyst presentation which is uploaded. There is a churn that happened in the book clearly, but it's combination of institution that I meant to say large institution. These are high quality assets, but finely priced. So, keeping the margin objective into - I mean consideration this quarter, we slightly churn ed that book.
Mr. Joel Rebello: So, NBFCs were included in this, just to clarify?
Mr. Debadatta Chand: Yeah, would have been part of that, yeah.
Mr. Joel Rebello: Okay Sir. Thank you. All the best for the rest of the year. Thank you.
Mr. Debadatta Chand: Thank you very much.

Moderator: Thank you, Joel. The next question will come from Piyush Shukla of Financial Express. Please unmute yourself and ask the question.
Mr. Piyush Shukla: Hi, good evening, Sir. Sir, two queries.
Mr. Debadatta Chand: Good evening, Piyush.
Mr. Piyush Shukla: Yeah. Sir, what is the impact on your LCR and your NIM because of the RBI's draft guidelines on LCR that have just come in? One question is that and second question, I'm seeing that you know just the NII in comparison to your peers, yours has grown in 6%, that single digit, others same PSB's have seen double digit rise in NII and NIM also for that matter you know, I understand last year, last quarter we had some one-off event. So, why are we growing our NII slower than our peers and on this LCR other questions? Thanks.
Mr. Debadatta Chand: See, first on the LCR, as on June, we are closing LCR at 138% right and as far as the draft guidelines, normally we do not draft guidelines unless and until it comes into a finality, actually, normally we don't comment, but let make some kind of a thumb rule impact. The impact won't be more than around 12% to 15% on that. So, our normally baseline LCR, we want to maintain at around 120% or slightly marginally lower than that. So, I think suppose the draft guidelines that's implemente d full, the impact would be absorbed in the book and still we maintain a comfortable or a handsome LCR in that matter.
With regard to NIM rather, I would think NIM is a positive side of the story as far as this quarter is concerned. We maintained 3.18 NIM as compared to the full year NIM of 3.18 and because of the cost impact that would have seen in the entire system, the NIM otherwise would have gone down, right. So, the liability management, everything that I talked about was precisely for the purpose of this NIM. So, in that way I think the bank has done well in terms of maintaining the NIM part of it.

NII growth, it's because why this liability management because the NII growth in Q4 of last year, the growth was only 2.3% and that is because of the cost boost that is coming and impacting the book and on the liability management that I talked about is precisely to upsize that and this quarter it is 5.5. So, that is what actually we are working on, so that asset liability particularly in an area where there is a cost of deposit catching up in terms of faster as compared to the because on the yield side these are all because the r

epo has been done and the yield impact is flat on the advance s side. So, we intend to upsize this NIM growth and that is what precisely the purpose. I mean, the bank who manage on the liability piece more would get a higher growth in NIM in that way, right. So, you are fairly right, the growth has been 5.5, but we would again look at increasing that going forward.
Mr. Piyush Shukla: Sir, just wanted to clarify for slippage ratio, you have given a guidance of 1% to 1.25%, right?
Mr. Debadatta Chand: Yeah.
Mr. Piyush Shukla: Credit cost is the aim is to come at 0.5%?
Mr. Debadatta Chand: No. A credit cost, actually we achieved 0.47, but earlier we used to give a guidance of credit cost less than 1, but I have told that this time again for the full year, we are putting a guidance at below 0.75.

Mr. Piyush Shukla: 0.75 and finally deposit is 10% to 12% and advances is 12% to 14%?
Mr. Debadatta Chand: Yeah. That’s fairly – full year, we we'll hold on to that guidance. Yeah.
Mr. Piyush Shukla: Thank you. Thank you so much.
Moderator: The next question is from Abhijit Lele from Business Standard. Please unmute yourself and ask the question, Sir.
Mr. Abhijit Lele: Good evening, Sir.
Mr. Debadatta Chand: Good evening.
Mr. Abhijit Lele: How exactly you are going to address the fall in the other income, that one time change in the investment policy is understood, but going forward, what are going to be the steps and can you give some guidance on that?
Mr. Debadatta Chand: Yeah, that's a fairly a good take. Actually, this quarter we have seen a decrease; one because of the treasury income and other is because of fee-based income, right and fee is one of the focus areas as per the bank is concerned. On the fee, also, particularly, there is a component called CEB; Commission Exchange and Brokerage, wherein lot of processing fee depend upon the kind of sanction you give on the credit side. So, as the corporate credit slightly moderated on growth, obviousl y the fee would be less and now we're telling that going forward, we will improve the corporate growth, so the fee precisely would come out of that.
Secondly, the other areas like earlier also we said, we had a concept of a fee and flow and we targeted cash management as one of the flagship products of the bank and within this current quarter, also if you look at the fee that we get from the cash management is improved by almost 50%. So, there again we are trying to optimize more so that we get more fee out of the cash management business at the same time other fee levels in the bank, we are going to put more focus this quarter and I think the non-interest income which is a bigger component consisting of treasury on the fee based income, we are going to have a better outcome that is what our belief is.
Mr. Abhijit Lele: Second is with regard to this as you spoke about increasing the pace of corporate growth, what is the current sanctioned pipeline on the corporate books?
Mr. Debadatta Chand: Actually, normally we do don't give a guidance on the pipeline case, but the pipeline is quite strong. Mr. Tyagi would like to comment on this?
Mr. Abhijit Lele: I'm not asking for a guidance. What is the current outstanding pipeline? That's the only limited point I'm asking.
Mr. Debadatta Chand: Yeah, over to you, Mr. Tyagi.
Mr. Lalit Tyagi: Yeah. Thank you, Sir. So, in fact, Mr. Abhijit, as MD said that we do not speak about the pipeline, but all I can say that we are having good traction from the infra, from renewables, from other upcoming sectors such as data center development, warehousing

, etc. and some traction is there from the core corporate also. All we can say that this quarter we will be in a position to make

up to the drop we have been able to suffer in the Q1 and we are quite hopeful that we will be able to achieve corporate growth of 10% for the full year.
Mr. Abhijit Lele: And my last quer y is with regard to the Tier 1 and Tier 2, to your 16-point is quite a substantial, but how much of Tier one and Tier 2 is maturing in this year, so that either you may need to replace it and also augment, so how much would be broadly the Tier one and Tier 2 combined and if you can give the split?

Mr. Debadatta Chand: So, actually already Board has approved that. We have also informed to the Stock Exchange that we are looking at Tier 1 and Tier 2 to largely offset the maturing Tier 1, Tier 2 and the amount is 7,500 crores. So, that's the ballpark number that we have the approval. We may raise the full amount or maybe slightly less than that, but typically to take care or not on the additional increase in the Tier 1 and Tier 2, but mostly replenishing the maturing Tier 1 and Tier 2.
Mr. Abhijit Lele: And as per the overseas fund raise, you raised about 300 million, if I understand it correctly, in the quarter one, what is really the outlook on that on the board?
Mr. Debadatta Chand: No, we have not raised. Mr. Tyagi, can you address this?
Mr. Lalit Tyagi: No, we have not raised funds from the overseas. Of course, our territories time to time raised bilateral loans from other banks, but as corporate bank, corporate office is concerned, we have not raised any overseas loans.
Mr. Abhijit Lele: Okay. Theek Hai, I'm done with my queries. Thank you.
Mr. Debadatta Chand: Thank you.
Moderator: Thank you. The next question is from Ramkumar of Hindu Business Line. I'll read out his questions. The SMA book has gone up slightly, are there any signs of incipient stress and in which segment? And his second question is, where does your RAM to corporate loan mix stand as of now compared to last year? Will this mix change in the current financial year? Thank you.
Mr. Debadatta Chand: So, on the SMA side, it has gone up marginally as ratio , right. This SMA is computed as a percentage of gross advance right and this quarter slightly on the gross advance, the growth has been lower as compared to the earlier quarters. Let's say if I talk about June 23, on the growth in advance was almost 16%, and if you talk about this time on the growth in advance is almost at 8.1%. So, considering that, that is the denominator effect there in, but it has improved only, I mean incre ased only from 0.15 to 0.18 sequentially whereas from Q1 of the last year it has decreased from 0.48 to 0.18. So, in that way, there is no incipient stress anywhere as far as the SMA book is concerned. Couple of accounts would have been impacted because of the seasonal factors normally we see in Q1 because as you know this is an election year quarter and in administratively within the bank also, we do carry out a lot of administrative action in terms of transfer and all. So, slightly different quarter, but then this marginal 0.03 bps I don't think any way getting into any kind of an incipient stress that in the book, right.
Secondly, on the RAM side, we have significantly improved the - if I compare the June 24 over June 23, the RAM book has increased almost by 300 bps now. So, earlier also we gave a guidance that at some point of time we'd like to have almost 64% as a RAM book and 36 as the corporate. So, currently it is around 59 and 41 kind of a level and that possibly I mea

n the direction is going in those direction

only to improve the RAM and reduce the corporate book, but considering the corporate book still continues to grow at a stronger pace but the RAMs would grow faster than that. But I think a couple of years from now we will see that level of 64:36 then.
Moderator: Thank you, sir. Next question is from Vishwanath Nair of NDTV Profit.
Mr. Vishwanath Nair: Hi, sir, I hope my audio is clear to you.
Mr. Debadatta Chand: You are audible, please go ahead.
Mr. Vishwanath Nair: You know, most of the questions have already been asked but the point that I wanted to ask you was with respect to the cost to income ratio, there we have seen a large jump. Could you please explain what happened and what is the strategy going ahead. Second question I will come to you after you answer this.
Mr. Debadatta Chand: That’s fine. So, actually on cost to income ratio earlier also we guided as a bank we intend to reduce the cost to income ratio and that’s not immediate, it is a long -term plan to reduce the cost to income ratio. One I said very clearly at that time of outlining cost to income is we are trying to improve on the process efficiency part. So, there are two components to it, one is on the cost comes from the NI I which is interest cost is a big component over there. And secondly on the other than the NII, the operating expenses. If you look at the operating expenses, we have a fair bit of control if you look at this quarter, as against a growth of almost 25% operating expenses the growth has been 16% this time, I mean that with regard to other than the NII component.
Interest cost is something we have been seeing because of the market push up therein. So, that didn’t allow us to improve the cost to income significantly but clearly as a broader strategy for a medium to long term we intend to reduce cost to income more b y way of process automation and the moment your interest cost is going to moderate in future which is the outlook as on today, I think we will be having a fair bit of control on the cost to income ratio.
Mr. Vishwanath Nair: Sorry, if you can tell me a little bit about how you are expecting the interest cost to come down because as of now there has been no indication from the RBI or the MPC at least that they are going to reduce it even this fiscal. And that any kind of reduction is likely only maybe in June of next year.
Mr. Debadatta Chand: See, that is what it is actually, if you look at the I mean earlier also while explaining the cost of deposit of June over March I said it is flat, right. So, on a maturing deposit for

let's say next 6 months even the current level of interest rate is ther e then possibly I am going to maintain the cost of deposit or going to reduce it. Couple of things are very important, if you look at the liquidity scenario has slightly turned positive as compared to the earlier quarters that is one. Secondly, any time if any stance be it on the global level if there is an outlook that rate card is going to happen possibly the other rate would start moderating. So, everything is a demand supply kind of an outlook. So, slightly on the expectation side w e are more positive in terms of a rate cut maybe happening in the Q3 or Q4 and that possibly would moderate the rate structure in the market.
Mr. Vishwanath Nair: Okay. And you are also guiding for higher deposit growth during this fiscal I mean that's understandable considering that the market is looking for higher deposit. I wanted to get a sense from you there is a lot of competition, lot of private players are l ooking for those deposits. Rates then become a critical factor determinant. How does that then come into what you have already guided on the cost?

Mr. Debadatta Chand: That's a fair point actually. The market is very competent at this stage not becaus

e the banks are offering it is because the saver's money getting into alternate avenues than the deposit that's a fact you all know. So, a scenario like that there are huge competition - we also announced a monsoon dhamaka plan recently to garner more retail deposit. So, the only positive part which I am looking at going forward is that once there is a certainty of some kind of greater probability of a ra te card happening in, I mean Q3/Q4, both at the FED level or maybe at the India level, then possibly things would start moderating because liquidity scenario has seen a change from a hugely negative it has come to positive on a systemic level. So, I think that would be improve ment there. And that possibly again future is always future and the moment you get into those scenarios we try to address that. But as a bank we always intermediary try to balance out and protect the margin s in terms of passing onto the customer. So, any scenario you can pan out but currently the outlook that you are looking at, the view would be that maybe moderation happening on the deposit going forward, not immediately, this is not immediately maybe a qua rter from now possibly.
Mr. Vishwanath Nair: One last point, sir, sorry, you said 138% on the LCR, right? So, you are already on the higher end of the market at this point in time as far as liquidity or free liquidity is available. Do you need that many deposits there as a bank to stay in that advance's growth?
Mr. Debadatta Chand: No, LCR is a different component, actually, it may be blocked in the form of government security. There are LCR because of the new norms there is a run -off factor being so there are multiple things therein actually. But let me tell you one thing because wh en I talked about the liability management very clearly in terms of my liability profile and the liquidity therein, I am much better in terms of the earlier quarters, right. So, that's the management clearly when I said that reducing t he dependency on bulk deposit…. the ability of liquidity available within me in terms of funding credit is much higher now. So, I will plan it all in that way, these are all like how much liquidity you require, how much growth you need to have, how much de pendency you need to have, bulk deposits, these are all interlinked. So, we will work it out.
But the guidance of the margin that we are giving at 3.1 plus/minus 5 bps I think we will be in a position to hold onto that. At the same time growth that you are talking about like 10 to 12 on the deposit and 12 to 14 that is also something good to go. Po ssibly this quarter you would have seen actually the CFO pointed out that our deposit growth has been higher than the credit growth this quarter, so in the system we are talking about credit outpacing the deposit. But we in this quarter has been we had deposit growth as compared to credit, these are all interlinked. Let's see how it goes and accordingly we will take necessary action.
Mr. Vishwanath Nair: Thank you, sir.
Moderator: The next question is from Ashish Agashe of PTI. Please unmute yourself and ask the question.
Mr. Ashish Agashe: Thank you so much. Hope I am audible, sir?
Mr. Debadatta Chand: Yes, Ashish you are audible, please go ahead.
Mr. Ashish Agashe: A small thing, you mentioned that in Q2 and a remainder of the year you will catch up on the credit growth. Of course, you mentioned about advance growth being slower than deposit growth for Q1. But, sir, I am sure… you also mentioned about the calibration which happened. So, here you are sort of facing the challenge of deposits not growing enough due to which advances have also so to say suffered. And what gives you the confidence that you will be able to do this catch up

because the market would be what it is. There are the fears of rate was on the deposit front are only getting exacerbated so what gives you the confidence, sir.
M

r. Debadatta Chand: Actually, there are two things that this quarter we have not suffered, it is a strategic outcome that we wanted to I mean moderate on two counts. One is the case I wanted to reduce the wholesale deposit that's clearly earlier also we said multiple times. A t the same time protect the margin actually some fine price asset we didn't participate in terms of going forward, right. So, if you exclude this fine price which is high quality fine price the book has grown on the corporate more than 12%. There are strong pipelines we have. So, growing is not a challenge, any point of time, moment I….and this is a Q1 of the full financial year so that allowed us to slightly realign the balance sheet in terms of what we want, what level of dependency on bulk deposits we want. So, I mean the banks have very strong pipelines, the retail growths have been in excess of 20%, it has been there for many quarters, we are growing more than 20%. Agri and MSME are almost slightly less than 10%, earlier year you wo uld have been seen that the bank was growing at almost 16%. So, everything is available it is only how do I manage on the asset liability looking at the market scenario. Some of the thought that went I mean went in this quarter has been clearly on the marg in side, and that is what outcome you are seeing that the margin has been protected fully well, right.
Mr. Ashish Agashe: Sir, you also mentioned about calibrating the international side of business due to which we see the 34% growth on deposits internationally and 6.5% growth on the advances. Where is the 34% growth on deposits really coming from, sir?
Mr. Debadatta Chand: See, there are two things I would again request Mr. Tyagi to supplement, there are two things that we look at international you have the advance then your reserve requirement and then the liability. So, international the dependency is also on the borrowing other than on the deposit actually. Actually, unlike in India a lot of dependency on the borrowing side. And this borrowing was a high -cost thing actually we wanted to replace this borrowing with the deposit. So, the deposit has seen higher growth, borrowing has gone down, at the same time the NIM of international you would have seen that it has improved more than 2 to 2.03, I mean first time we are seeing a NIM of international going above 2. So, this is what is the strategy in terms of managing the international book. Mr. Tyagi, anything you want to supplement on this.
Mr. Lalit Tyagi: So, in fact, Mr. Ashish, if you see of course, on a Y -o-Y basis the growth in the deposit appears this skewed number of 34%. But if you see Q -o-Q the growth is 1.6%. So, that means this strategy we have already started implementing for the last couple of q uarters. And now what is happening is that all overseas centers are tapping the cost-efficient market. So, if deposits are efficient than the borrowings then they are going for deposits. It can happen vice versa also in case going forward borrowings become cheaper and deposits are costlier, then they may tend towards the borrowings. But ultimately the aim is to optimize the cost of resources and if deposits are cheaper then they are going for that.
Mr. Ashish Agashe: Thank you so much, sir. Sir, a small question of the 39% growth on personal loans what is the overall unsecured share in the overall book right now. Is there a comfort level which you have put for yourself beyond which you will not grow especially given th e regulatory concerns on it.
Mr. Debadatta Chand: On the personal loan if you look at the corresponding quarter growth it was 80 odd percent, right, as against 80 odd percent Y -o-Y for this Q1 has been 3 9%. The sequential of June '23 over March '23 was 12% which has gone down to almost 2 or 3%. So, clearly the moderation has happened.
Secondly, as I said earlier also as far as personal loan of Bank of Baroda is concerned these are all

our
existing customers, and based on the cash flow. So, that gives a huge strength to the book itself and

we are not seeing any sign of anything that we talk about in terms of any stress book in that. So, it is fairly the same level which is continuing earlier also, continuing in terms of the NPA percentage in the book. As far as percentages are unsecured, I think by and large these are all unsecured, but any further data you have, Mr. Mudaliar, otherwise you can update later. So, he wants what is the unsecured component in the unsecured loan.
Mr. Sanjay Mudaliar: Sir, we will supplement this information a little later to them, thank you.
Mr. Debadatta Chand: That's fine, okay.
Moderator: We are down to last two questions of the evening. I request Hamsini Karthik from Moneycontrol to ask her question.
Ms. Hamsini Karthik: Hi, sir, before I go ahead with my question there is a request to put forth. It has been a year since you took charge, it will be nice if Bank of Baroda could roll back to its format of at least doing two quarterly meetings with us in person. That would he lp us understand the team better. It is a new team I mean you are not anymore new but the rest of them are, we are not so familiar with them. So, I would like to take this opportunity to make that request.
Mr. Debadatta Chand: Thank you for that actually we have taken a serious note of your request, so we will do that, thank you.
Ms. Hamsini Karthik: Thank you, sir, I will wait. So, my questions – one, this quarter we saw BOB World, the ban getting lifted. How has the traction been since? And if you could also take us through some of the broader changes that you had to go through in order to ensure tha t the ban got lifted. I will come to you with my second question once this is addressed, please.

Mr. Debadatta Chand: So, firstly last time possibly I said that the flows within BOB World actually there was a dip of almost 10%, that is what actually the flow is not account opening or anything, it is completely the flow within BOB World. And as far as the ban got lifted during the intervening month of this quarter actually, we opened up channels in a direct way. So, after ensuring full compliance and all, we may not look for and I said that in a quick time we will again try and go back to the old level of transaction therein. But this quarter may not be the right quarter, the Q2 will be the right quarter where we will try to get into the old level because many of the channels were open in a very graded way. I think in Q2 I will be in a fair position to t ell how much we have recouped vis -à-vis the earlier pre-ban transaction level. Secondly, what…
Ms. Hamsini Karthik: Would it be fair to assume….sorry, sir, I am interrupting, would it be fair to assume that at least half of what you had lost earlier was recouped in Q1 or you would request we wait till Q2 to get a better picture.
Mr. Debadatta Chand: I would better request for Q2 to get the full details but some bit of recoup is already done, I am not giving a percentage therein because it is not a full quarter, I can say this is what is the actual number. But Q2 ideally, we will be in a fair position to say how much has been recouped. Secondly, whatever we have done to get the ban lifted this is a regulatory process please appreciate the fact and the ban has lifted by the regulator after that, right.
Ms. Hamsini Karthik: Yes, sir. My second question is with respect to some of the divestment processes that were undertaken at the bank about 18 months to 24 months before. We were told that one of your subsidiary banks, Nainital is on the block. Then BOB cards also you are loo king or you had invited, you made bids to bring in new investors. Where do we stand on that, have those processes been stalled right now and will they continue to remain your subsidiaries for a foreseeable period of time.

Mr. Debadatta Chand : No, let me again make a couple of… actually the divestment or the selling of stake all would depend upon two scenarios which is very critical. One is the market scenario and secondly on the valuation side at an opportun e time and the opportun e valuation, I mean good valuation. As far as our divestment currently we are only looking at two assets which can be divested. One is Nainital as you said, other one is India First in terms of OFS and IPO for that entity. So, Bob Card is not on any scheme of things at this point of time. On this also both the entities the work is in progress and these are all on track. But everything would depend upon I mean many of these processes being completed and then getting a lot of approvals in the process a nd then hitting the market at a right time, at the right valuation. So, a lot of stages being there. So, like India First already the new MD has taken charge because the earlier MD retired and he already because that includes IPO plus fresh capital plus OF S, he said 12 to 18 months is the timeline there. Nainital Bank the process is going on continuing so at the right time we will be in a position to announce that.
Ms. Hamsini Karthik: Have you come to a stage of bids getting invited and the bank screening through the bids, sir, and selecting appropriate candidates.
Mr. Debadatta Chand: Actually, it won't be appropriate because it is a very what you can say process being followed in a very, I mean right manner, so will not be appropriate to disclose the stage of that divestment. But currently we are pursuing actively that is what I can say.
Ms. Hamsini Karthik: Any timeline you would want to sort of guide us with, sir, on this?
Mr. Debadatta Chand: No, it is difficult, IndiaFirst already I said 12 to 18 months the MD of the entity has already announced, but as far as Nainital is concerned we are pursuing that actively but I can't give a timeline for that.
Ms. Hamsini Karthik: Perfect sir, and thank you, sir. And hope to see you all soon, thank you.
Mr. Debadatta Chand: Thank you very much.
Moderator: Last question for the evening comes from Amol Dethe, ET, online. Do you see private capital picking up henceforth? How are corporates reacting specifically after government stability and budget? Thank you.
Mr. Debadatta Chand: I think it is very positive, I mean post budget the sentiments are quite high. There are significant takeaways from the budget in terms of the capital formation within the country both in terms of investment and the flows of funds from overseas to India an d the banking sector coming upto that extent to fund all these requirements. So, I think it is all positive in terms of the outlook, the stage at which where we are in and we as a bank is quite committed for in terms of lending so that productive capacity created in economy. Thank you.
Moderator: Those are all the questions for today.
Mr. Debadatta Chand: Thank you very much. Thank you all, media friends, again one of the suggestions to have physical twice in a year, we have taken a note of that. Thank you very much, next time hope to see you physically. Thank you very much.
Moderator: Thank you, everyone.
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Call: Oct 2024

Bank of Baroda Analyst Meet for Quarter and Half year ended 30th September 2024
25th October 2024

Participating members from the Management Team of the Bank
➢ Mr. Debadatta Chand, Managing Director & CEO
➢ Mr. Lalit Tyagi, Executive Director
➢ Mr. Sanjay Vinayak Mudaliar, Executive Director
➢ Mr. Lal Singh, Executive Director
➢ Ms. Beena Vaheed, Executive Director
➢ Mr. Manoj Chayani, Chief Financial Officer (CFO)

Moderator: Good afternoon, everyone and welcome to the Analysts' Meet for Bank of Baroda's financial results for the quarter ended September 30, 2024. Thank you all for joining us. We have with us today, Shri Debadatta Chand, the Managing Director & CEO of Bank of Baroda, and he is joined by the Bank's Executive Directors and the CFO. We will start with a short presentation. We will then have brief opening remarks by Mr. Chand, after which we will have the Q& A session. Mr. Chand, over to you.
Mr. Debadatta Chand: Good evening, friends. Just to introduce the management team, I'm D Chand - MD & CEO of the Bank. I've been interacting with you for almost six quarters now. With me Mr. Lalit Tyagi, he is the executive director looking after Corporate Credit, International Banking and also Treasury. And with us Mr. Sanjay Mudaliar, he is the Executive Director. H e looks after the entire IT infrastructure of the Bank, along with the Retail Asset book of the Bank. With us again, Mr. Lal Singh, he is the Executive Director looking after the Recovery, the Stress ed Asset Book and also the HR function apart from a couple of other platform function. And vis -a-vis the last quarter and this quarter, the new member of the management team is Madam Beena Vaheed. She looks after most of the platforms including control and platform function and also the Retail Liability piece. So, with this Mr. Chayani, he's the CFO. He's interacting with all of you for two quarters now. Over to you Mr. Chayani.
Mr. Manoj Chayani: Thank you, sir and a very good evening to everyone. In advance, I wish you and your family members a very Happy D eepavali . It's my privilege to present before you the financial highlights of Bank of Baroda for the quarter and half year ending September 2024. You all will be happy to note that Bank has crossed a business volume of 25 trillion as of 30th September, 2024.
If I look at the components, the Asset side global advances have grown by 11.6% and especially domestic advances has grown by 12.5%. Component wise, we are exhibiting a robust growth in our organic retail by around 20%. Agriculture is growing around 11%, M SME at 12% and Corporate at 10.6%. In Retail also, our growth trajectory is very significant with respect to the Mortgage growing at 13.2%, Home Loan at 16.2%, Education at 17.2%, Auto Loan as almost 23%. And as you all recollect, last quarter and for the past quarters, we have said that we are moderating the growth in our personal loan book. It has come down from 39% as of the last quarter to 25% this quarter. Can you please change the slide?
Coming to the Liability piece, the Liability remains a focus area for the banking industry as a whole. Our total deposit has grown by 9.1%. Our two highlights of performance as of 30th September is that consistently in Domestic CASA, we are growing at 7% and Retail Deposit, we are growing at 7.2%, which is better than some of our peers. As far as our CD ratio is concerned, CD ratio is at 83.83% and CASA remains strong at 40%. Next slide , please.
With regard to our p rofitability metrics, Operating Profit has a YoY growth of 18.2%, and moved from 8,020 to 9,477 crore . I'm very happy to submit that, for the first time, we have posted a Profit After Tax of more than 5,000 crores with a YoY growth of 23.2%. One of the strong profitability metri cs is Return on Asset and for last nine quarters we are posting Return on Asset

more than 1%. As of 30th
September, Return on Asset on quarterly basis is 1.30. Similarly, Return on Equity is comfortable at 19.22 %. Next slide.
If we come to the half yearly piece, Operating Profit has grown from 15,844 crores to 16,638 crores,

with a growth of 5%. PAT has increased by 16.5% on a half yearly basis. Return on Asset, half yearly it is 1.20% and Return on Equity is 17.79%. Next slide, please.

Yield on Advances in Q2FY25 v ersus Q2 FY24, there is an increase from 8.43 % to 8.48 %. However, if I compare that with Q1 FY25, there is a slight reduction in the Yield on Advances from 8.55 % to 8.48 %. Cost of Deposit remains elevated up to 5.12 % as compared to Q1 FY25 of 5.06 %. Net Interest Margin has been within our guidance of 3.15 +/ - 5 bps, and as of September, Net Interest Margin is 3.10 %. It is more than that of Q2 FY24 with three basis points. However, there is a dip as far as Q1 FY25 is concerned. This i s mainly because of the fact that with the change in the guideline regarding penal interest to be converted to the penal charges, the interest component has gone down. That has resulted in reduction from 3.18 to 3.10. Next slide, please.

Asset quality remains strong at 2.5% Gross NPA. Half yearly basis, it has reduced from 3.32 %. Similarly, Net NPA has reduced from 0.76 % to 0.60 %, and Provision Coverage Ratio remains at a stronger point of 93.61 %, improved from 93.16 %. Next, please.

If I look at the Slippages, slippage s are within our guidance of 1 to 1.25 %. As of September, it is 1.07 %. Credit Cost again is 0.65 %. Slippage Ratio, if I compare each one, then it has come down from 1.28 to 0.90 % and Credit Cost is 0.55 %, which is within our guidance. Next, please.

SMA book, as of 30th September is 0.47 % and our collection efficiency remains robust at 98.5%. Next slide, please.

The Bank is enjoying a strong capital position. CRAR as of 30th September is 16.26% and enjoys a healthy LCR of 123.7%.

That's all from my side. Over to you, Chand sir.

Mr. Debadatta Chand: Sure. Thank you very much, Mr. Chayani. Again, to my investor and analyst friends, a very good evening to all of you. The CFO covered everything, but let me make some of the qualitative comments with regard to the financial result s we have announced today.

We have again declared a very good quarter due to, both in terms of a very strong top line and also a strong bottom line in terms of the Net Profit going up at 23.2% YoY and 17.4% QoQ. The aspect which is again important on the book side is, that despite t he strong growth on the Asset side, we are able to achieve our margin objective, and that is what the CFO outlined before all of you.

On the resource side, a couple of qualitative comments. Earlier also we said that we should not grow books based on the wholesale deposit growth. Our focus was clearly on the Retail CASA, the Retail term deposit. And the numbers you see for this quarter wh ich is at 7 % and 9.6% for the Retail term deposit, this is the same growth that we achieved in Q1 also. Clearly, in terms of the peer comparison, we have a very strong performance and that is what the focus is going to be. We want to optimize on the retail space more in terms of the liability, rather than growing on the bulk deposit, which again can be a price impact for me in terms of margin the rein.

On the Asset book, again, the domestic asset book, the growth is 12.5%. The global is 11.6%, because earlier also we said that the growth of International which used to be very high earlier, we clearly want to moderate. We have seen that the international book growth is only 7.6% this quarter. And because of that, the global book is 11.6%, but the domestic book, which is very large in terms of the overall book, is still going very strong at 12.5%.

The margin guidance that we had given i.e. at 3.15 +/ - 5 bps, in spite of the deposit cost going up by 5-6 bps quarter -to

-quarter. Because of the management of the ALM, we are able to maintain the margin guidance. I mean, b arring that impact of 5 bps, otherwise the NIM would have been higher than that we have announced, 3.10 %, the penal interest to penal charges. Otherwise, the NIM is still

very strong, and that is one of the objectives, in terms of how do we balance the growth and margin. That's clearly our strategy as we move forward. The domestic margin NIM is 3.27 %, which is fairly very satisfactory in terms of the peer comparison also and the kind of margin we are generating out of the book.

The Net Profit has been very significant. CFO has already announced the first quarter where we have crossed 5,000 crores of Net Profit. The Net Profit growth YoY is very high, 23%. Quarter -to-quarter is also quite high. Obviously, the Net Profit has been b oosted from the recovery out of TWO, which would have seen that we announced the data to you in the market.

ROA has been consistentl y; we had given guidance earlier to maintain above 1. This quarter it is 1.3 % and the half -year is 1.20 %. And earlier also we said, while constructing the book both in terms of the Asset -Liability, we operate the NIM and the ROA as twin parameters to optimize in that. So, we will continue to have those focus , going forward also.

The Asset quality has been the GNPA of 2.5 %, Net NPA of 0.6 %. We have improved vis -a-vis quarter -to-quarter. Although we do not give guidance on the GNPA and Net NPA, but always we say that we intend to trend it downwards, both GNPA and Net NPA on the matter.

And on Slippage Ratio and the Credit Cost, we are within the targeted guidance. The Slippage Ratio, the guidance is 1 to 1.25 %, we're at 1.07 %. The Credit Cost guidance has been 0.75 %, which was reduced from 1 to 0.75 % last quarter. We are at 0.65 % on that.

A couple of other things which are again important for an overall business perspective is that, as all of you know, we announced a cricket legend as our global brand ambassador recently. And the idea for the face is to retailize the Bank more. So, I think with this brand ambassador face, we are going to have more of retail presence in the entire country. We want to go to each and every customer in the country for the purpose of retailizing the book .

The Bank is committed big time on the ESG commitment. We have earlier also announced a couple of new initiatives. We are one of the banks to be the first or second to announce green deposit. We have a significant green outstanding loan exposure as of today. We planted trees across the country to have a greener planet. Actually, we got some award because of that. On the priority sector lending, the Bank is quite strong at. So, ESG is one of the core themes the Bank is working on, while overall business tryin g to achieve the business growth, as we said earlier.

Digital is also another focus areas. And as you know, we announced a Virtual Relationship bot, Aditi, wherein it was a Virtual Relationship Manager interacting with the customers based on an AI model. And there are a large number of customers who have onbo arded into this customer relationship engagement. And there we are getting good satisfactory comments from the customer on that. Digital customer service is one of the core things that the Bank is working on. And whatever we are doing today, going forward, we'll try to improve the digital customer service. That is one of the things that we are working strongly on.

With this, let me come to some of the guidances part of it. As you know, the deposit market is quite challenging at this point of time. Most of the banks, although I think we have done better quarter -to-quarter on the Deposit, but the growth is a challenge because of the saver's money going to alternate like capital market and all. That is what we have seen in the past. And in case you look at quarter -on-quarter growth, it is almos

t at around 9% or 8.6%. So, with this actually, earlier we gave a guidance of 10 to 12% deposit grow th. But now, because the system has the same issue, we are slightly lowering the guidance from 10 to 12% to 9 to 11%. Although we'll try to operate in the upper band of that i.e.

at 11%. Currently, the growth is 9%. That means my Q3 and Q4 growth on deposit has to be higher than obviously 9% to achieve the 11% kind of a number going forward for FY24 -25.

Because the credit growth and the deposit growth are much talked about in the system, because we are revising on the deposit guidance based on the actual numbers we've have achieved; although the growth in Q3 and Q4 has to be much higher than the Q1 and Q2 . But then, the loan side guidance also we are revising from 12 to 14% to 11 to 13%. Although we'll try to operate at 13 level. That is precisely on two counts. One is that, we do not want to increase credit deposit growth to a level where it should not be sustainable, point one. Keeping the margin guidance in mind, number two. Third is that, as the deposit is revised, obviously the credit target has to be revised.

The international book is going to moderate actually. That is actually what we're talking about the global book, although the domestic will continue to be higher than 12.5% that we achieved. So, the guidance on the advances is 11 to 13%, with our efforts t o operate at 13 for the full year, because we are walking into both, very productive quarters, Q3 and Q4. These are the busy season quarters, and I think we'll be in a position to achieve, rather surpass the guidance that we are giving on the asset side.

Margin, the same guidance we had given, 3.15 +/ - 5 bps. The reason being, slightly realigning the balance sheet has given positive outcome to us. We have done that in Q1. And going forward, we are expecting a bit of moderation to happen on the deposit cost based on the liquidity stance or the rate stance possibly that would happen in the economy. So, there are Q3 and Q4 available to us. so, I think we still maintain the NIM guidance at 3.15 +/ - 5 bps.

The Credit Cost guidance continued to be the same below 0.7 %5. The Slippage Ratio continued to be the same, like 1 to 1.25 %. The ROA guidance continue to be above 1 % and try to optimized at 1.10 %. So, these are a couple of guidances were given to the market, and I want to reiterate now the same thing. The bank has a significant growth this quarter and Q3, Q4 is going to be higher than the growth that we have seen on the Asset and Liability side in Q 1 and Q2.

As you know that in Q1 we realign ed the book slightly keeping the fine price book on the corporate side… I mean slightly reducing. The corporate growth was 1.6% in Q1, and this quarter it is 10.6%; very strong and going to again add 10.6 % to achieve a 10% growth on the corporate so that I achieve the overall advance s growth of almost like 13% or in the band of 11 to 13%.

With this, I think I'm done with regard to my comments and now over to you Phiroza for the question/answer.

Moderator: Thank you, Sir. We'll now start the Q&A session. If you have a question, please raise your hand or you may also type in your question in the Q&A box. I would request you to please keep your - limit yourself to two questions, and if we have time, we'll come back to you if you have any additional

question, and I would also request you to just introduce yourself before you ask your question. So, the first question is by Kunal Shah. Kunal, request you to unmute yourself please.
Mr. Kunal Shah: Yeah. Am I audible?
Mr. Debadatta Chand: Yeah, Kunal, you're audible. Please go ahead.
Mr. Kunal Shah: Yeah. Congratulations. Couple of questions. First, want to understand on the provisioning side. So, obviously there was recovery from written off, but

at the same point in time

provisioning was slightly on the higher side. We did 230 crores of floating provisions, but besides that was there any prudent specific provisioning also done just to make sure that okay, whatever has been the one off on the recovery trying to offset that and if you can just quantify that amount of specific prudent provision?
Mr. Debadatta Chand: See Kunal, you said, right, we have 230 crores of floating provision . With this, the floating position has gone up to 600 crores now, outstanding floating provision therein. As you have seen that bit of potential provisioning you have taken both on the standard asset side and also on the NPA side, right. So, exact quantum I can't tell you at this point of time, but then in case you can provide you subsequently, but then clearly, we have taken bit of extra provisioning both that is a prudential provisioning obviously specific provision that is both on the standard asset and also on the NPA side.
Mr. Kunal Shah: Okay, because despite write off, our coverage is still sustained, which is a good thing and I think that's more the prudent specific provisions seem like okay and secondly, if you can quantify this impact of penal charges on NIM. So, from 3.18 to 3.10, how much was the exact impact because of this penalty charges?
Mr. Debadatta Chand: Yeah, as you said that, it's impact of almost 5 BPS, the amount is almost like 179-180 crore on that. So, that has moved from on the interest income to the other income in that way.
Mr. Kunal Shah: Okay, okay. Thanks. Thanks, and all the best, yeah.
Moderator: Thank you. The next question is from Param Subramanyam.
Mr. Param Subramanyam: Hello? Hi Sir, I'm Param Subramanyam. Yeah, Sir just the question again on the write offs, so we saw high write offs this quarter and then higher recovery from written off as well, are both of these linked? Is it part of one settlement where we see a higher write off and then you know recovery from written off because one of the large private sector banks also talked about this previously, yeah.
Mr. Debadatta Chand: No, actually these are not linked in that way. There are different accounts for the write off and different accounts for the recovery that happened. There is one large NCLT account where actually we got good amount of recovery out of that because that got resolved. Write off is typically linked with the level that you can do on the write off and based on that, we have done that. Actually, that's part of the normal that we have been doing for many quarters now. This quarter slightly may be elevated because it does allow me because there was a substantial TWO recovery, allow me to have a higher write off on that. Anything, Mr. Lal Singh, you want to add on this?
Mr. Lal Singh: So, there is a guideline and accordingly as per the guidelines of DFS and RBI, we have the provision of writing off the accounts up to the recoveries done in the quarter.
Mr. Param Subramanyam: Yeah, fair, okay.
Moderator: The next question is from Mahruk.
Mr. Debadatta Chand: Yes, Mahruk, good evening. Please go ahead.

Ms. Mahruk: Yeah. Good evening. Hi. Sir, I have two questions. Firstly, that was there any penal interest reversal even last quarter, it would have been smaller, but was there any?
Mr. Debadatta Chand: Yeah, there is a small amount really because
Ms. Mahruk: And then my other two questions, sorry, I'll slip in one more. Sir, my other two questions are that you know a lot of state banks are seeing some central government accounts and some of them are even talki

ng about state government account either slipping or becoming SMA, so without naming, what would be your collective exposure to these accounts? Because your SMA has not gone up, so you may not have any significant exposure or maybe you have and it's not part of SMA already? So, if you could throw some color on any potential SMA or slippage you are likely to see from any central government accounts, at least some color on the exposure there? So, that's my second question and Sir my third question really is, how do you see your cost of deposits given that you know a lot of competition is still happening and there are so many new festive offers now, the real impact of which will be seen in the next quarter in terms of deposits? Sir, these are my questions. Thank you.
Mr. Debadatta Chand: See Mahruk, the first aspect in the penal interest in the last quarter, which got

reversed into charges that was only around 13 crore therein. So, the major part in the Q2 like almost 176 crore in the Q2 only not in Q1. The second aspect of the SMA book that you are talking about, yes, if you look at our CRILC data, SMA 1 and 2 and there is a bit of increase therein and there are two state PSU accounts therein, but these are purely technical delay which typically would be, I mean recouped in to standard at the earliest. So, absolutely no challenge therein. The state PSU accounts couple of and the amount would be in the range of around 3300 -3400 on that. So, they're actually it's a more of a technical over due, which can immediately be pulled back based on the past track that we have seen. So, there's no slippage of any state PSU or Central PSU in any manner as far as Bank of Baroda is concerned. So, absolutely we have a very good book on that. Thirdly, on the cost of deposit, as you would have seen that Q2, the cost of deposit has gone up by 6 BPS, Q1 over March was almost flat, but it has gone up. With this, actually I believe the repricing effect of the deposit is almost over by this time and there are two outlooks as a house view we are working on. One is a case wherein there may be a bit of cost mod eration that can happen maybe towards the late of Q3 or the early of Q4. Considering that the RBI changed the stance from withdrawal to neutral now and the liquidity in the system we have seen October is much better than September. September is much better than August.

So, scenario wise, the liquidity comes back, actually we've seen the CD rates going down substantially till the wholesale deposit and the retail has been kept high because the growth has not been substantial, so the festive campaign is going on. I believe, broadly the cost of deposit side is fairly balanced and, in any scenario, as you are keeping the same margin guidance that means through the ALM asset liability management, I think we'll be able to maintain the margin case where cost of deposit goes up, then we have to pass on to the borrower if it goes down, we'll pass also the benefit to the borrower. So, in that scenario for the full year, we are keeping it balance. So, I don't think much of impact coming out of the cost of deposit going forward, although the levels are elevated, no doubt about it, but then somewhere maybe late Q3 or the early Q4, we are hoping for some kind of a moderation considering better system liquidity.

Ms. Mahruk: Okay, Sir. Thank you.

Moderator: Thank you, Mahruk. We now go to Ashok Ajmera. Sir, please unmute yourself, you can ask your question.

Mr. Ashok Ajmera : Good evening, Chand saab and the entire team of Bank of Baroda and compliments to y

ou, Sir, for a very good quarter of very good set of numbers especially like many a time we just plainly look at the bottom line and the bottom line in these difficult times , when you even the market is also going down for last few days gives a very good feeling like if that has improved. Of course, a major part of his contributed by the other income and I think in your initial comment and the giving the answer of the first question, you had said that there is some smart, I mean recovery from some account and the other income has gone up to 5,081 crore this quarter as compared to 2,487 crore. So, my first question is only on the, I mean considering that the NIM and other thing is not going to change much. I mean you are still continuing your target of 3.15. Going forward, in the coming two quarters, what kind of bottom line we see like your operating profit is growing rapidly, so naturally and the provisions should be under control if there is no chunky account. So, where do you see the profitability of the Bank going forward, are we matching this quarter improving it? So, this is my just the first question and basically, you're a little broader guidance on that and my second question is on the Treasury , treasury is also doing very well Sir. Treasury income even from the trading gains are to the range of 550 crores as compared to last quarter of 164 crore and overall treasury profit, even on the revaluation of the investment has also gone up. So, whether that trend is going to continue in coming two quarters, sequentially when we see that the rates might come down in December review by the regulators. So, on that whether this is going to contin uously help the profitability of the Bank. So, this is on the second this thing and third is, Sir on the deposit front and overall business growth front, many of the senior bankers in last couple of months have been saying that lot of money has flown to the capital markets and because of that there is a pressure on the especially on the CASA side, but now, since the market has gone down, you know like some of these stocks have gone down to maybe 15%, 20%, 25% and maybe the appetite of the people might come back to keep the deposit in the banks. So, going forward, what do you see this pressure on deposits will continue or it may be little bit eased out? So, these are some questions and some of your guidance and observations, Sir.

Mr. Debadatta Chand: So, thank you, Ajmera saab. Actually, I was looking forward to when you will come, I'll answer on the treasury side, actually that's something very good between I believe you and me. First with regard to you talked about profit guidance actually normally we don't provide any profit guidance. Only guidance we provide on the ROA. So, we are looking at the asset growth of almost 11% -12% and keeping the ROA at 1.1% you can estimate in terms of that because profit actually we don't know, neither will, but always try to optimize that at any point of time, but the guidance that I can provide is on the ROA. ROA continue to be - we have achieved 1.3% this time. Yeah, and full year is 1.10 %, although guidance is above 1, but we'll try to full year 1.10 on the ROA. So, that is something

I can tell at this point of time.
On the treasury side, this has been a good quarter, but our trading profit is only by the bond, not equity. So, equity maybe couple of IPOs has given some money, but then mostly on the bond side. So, still with the outlook prevailing, although the market has bit of discounted some of the cuts that likely to happen, but then I think the bond market would be

fairly stable going forward and even if the
rate cut and all are happening then still it will be very positive because equity, we don't have much of exposure in that way. So, in that way I'm not very largely influenced by what is happening on the equity market.
One positive that I would say that, actually last time when you interacted, the treasury gain was slightly less than the many of the peers. I said that please look into an element of the AFS reserve, right and I would, again request you or else if it is not captured in the analyst, my people would give you the data and we have added almost 1200 or 1300 core of AFS reserve this quarter and that's significant, that's significant. Let's say a scenario of a - we're all migrating to Ind AS and the treasury impact

coming into books. So, we're very well prepared on that and that very significant, the outstanding book would be almost 2800 -3000 on the AFS, that's why the capital has also gone up, I mean CRAR. So, that's something very fundamental to us, so we want to have a balance out my Treasury gain at the same time keeping the reserve well in the book, so that we are there for the long term I mean opportunity on that right. So, that is what - You also talked about deposit constraint. That's the issue that we slightly reduce d the deposit guidance because on the Q1 the growth was almost 8.5% Q2, it is almost at 9.6%. I had given a guidance of 10% to 12% which again something not happening and all of us know the deposit constraint happening in the system because of alternate like savers are also preferring capital market big time on that.
So, it's impacting us. So, we reduce that guidance, but then at the same time we also said earlier that we are one bank on the deposit innovating, bundling, and trying to capture the market sentiment therein. So, if you say that SIP mutual fund is flexi, now I introduce d a product called SDP, which is a recurring deposit scheme, but we are marketing well, getting good traction from many of the savers who come in to this product. This quarter itself we raised almost 250 crore on the SDP. I think the publ ic would appreciate well in case this picks up and some correction happening in the capital market, I think people would more come to the deposit market. So, I think fairly, although I've given a 9% to 11% deposit for the full year, but then I think we will operate at the top notch of 11%. That is what our that means Q3 and Q4, I need to have a higher deposit growth and higher advance growth to achieve my revised target both on the deposit and advances.
Mr. Ashok Ajmera: Sir, just one question comes to my mind, some old, I think in the aviation account, that one large you along with the Central Bank, I think you 2 are the main bankers to that and we have been in earlier, I mean a couple of quarters back we were talking very, very strongly about that, that we have got lot of collaterals and the losses ultimately will be very less or we'll recover the whole amount. So, I just remembered that we have not talked about that in the last quarter also, and I think previous to that also. So, what is the development on that account and is there any chance s of some major recovery happening or something has already happened or where do we stand on that account on the recovery front, Sir?
Mr. Debadatta Chand: No, as I said earlier, 1/3rd of the exposure was based on the guarantee cover it had and now we have received the full amount on the guarantee. So, the exposure has gone down to 2/3rd, right. So, out of the two third, there are again collaterals over there. The

re are some primary
over there and some litigation finance money also can be expected. So, in that way fairly collateralized for us to recover money to the full extent possible. We are quite hopeful on that, processes are going on because some of the process takes time, but as far as the outlook on the account is concerned, we are fairly confident that we can recover to a very large extent out of this account. 1/3rd guarantee we have already received.
Mr. Ashok Ajmera: So, in terms of absolute numbers the balance outstanding is about 800-1,000 crore?
Mr. Debadatta Chand: No, something around 1100 -1200 core in there.
Mr. Ashok Ajmera: Yeah, 1100 -1200 crores. Okay, alright Sir. Thank you very much, Sir for giving me the time and if time permits, I may come back again, Sir. Thank you.
Mr. Debadatta Chand: Okay. Thank you. Thank you.

Moderator: Thank you, Sir. We now go to Jay M. Jay, can you please unmute yourself?
Mr. Jay M: Yeah, hi. Good evening, Sir, and thanks for the opportunity. Sir, first is, Sir, we had said about that this year is going to be the year of fee and flow, we have done reasonably well in the

corporate growth pickup in this quarter and yet the commission exchange brokerage has not picked up to the extent you know or commensurate with the credit offtake, any, any sense there, Sir?
Mr. Debadatta Chand: Yeah, yeah, yeah, you said right, actually. That is one area we are trying to optimize. Although, we could not get it to the desired outcome on that, precisely for two reasons. One is that, actually, the corporate book and the Commission Income is getting a proportional increase therein but on the Retail side because we are running lot of campaigns in terms of all this, so the waivers are there on the processing fee and all those stuffs . We had the ‘Monsoon’ campaign and then immediately after that the festival ‘Utsav’ campaign. Both on the Liability side and Asset side there are some, what you can say, lower growth happening on that commission exchange on those things. A lot of market, again, on the operational side has moved to digital, so we are not getting the requisite commission out of those. On the Wealth business, again slightly we restricted the business. As you know that the guidance has been to more to focus on the core busines s. So, there is a dip in the Wealth income therein leading to overall, I mean, there is a growth but the growth has not been substantial to tell us that the fee and flow really impacted the book big time.

But on the Corporate side, there has been good traction on that. The CMS fees and all are going up significantly. Beyond the Corporate, now we are targeting all the MSME account to get into the CMS and there actually we onboarded large number of accounts. The outcome would come later. So, as an action point, clearly internally as a management take also, yes, we have not optimized on the CEB. We’ll try to optimize going forward but a couple of aspects, which again has given a lower growth, so we’ll focus on those and that, yeah, some point on the management take on this.

Mr. Jay M: Sure, Sir. Thanks for the detailed answer. Sir, on your Personal Loan book, which is 32,000 crores, if you can share the outstanding GNPA here and maybe the slippages if you have on this 32,000 crores loan book?

Mr. Debadatta Chand: Yeah, our outstanding NPA we have shared possibly somewhere, I don't know. It is around 3.18%. My Retail NPA is around 1.5%; the book as a whole. And, actually, there are two things. The digital Personal Loan is something around ■10,000 -■11,000 crores, the remaining all is a branch underwriting where it has been there not only recently but it was there earlier. So, if you talk about a couple of segments because, again, Personal Loan is a data driven thing. So, look

ing at the
outcome, we immediately take action like on a digital small ticket we have completely stopped it now. On the physical sourcing, there are segments which are salaried, there are segments which are non - salaried. Actually, we have tightened the non -salaried person.

The growth, actually if you look at, it has come down from 100% to almost normalized 25% now on the Personal Loan. So, clearly, we're acting on that. The Asset quality is much better, okay. Obviously, the Slippage would be, suppose you compare the Personal Loan slippage now and a year back, now would be higher than that. On a number if I give you, let's say, it was ■100 crores earlier 6 quarters back the slippage, now it would be ■250 crores out of the total Slippage of ■2700 crores. So, it's insignificant in terms of impacting anything but is bit of elevated as compared to earlier because the

moment the book gets aging then also the slippage s do happen. So, in that way, it's a small book as compared to many of the peer banks. We have taken action on that and I think going forward the same kind of an outlook we have for the Personal Loan.

Mr. Jay M: Right. J ust to get it clear, Sir, you said this 3.1% kind of a GNPA for the unsecured Retail book, right, which is 32,000 crores.

Mr. Debadatta Chand: Yeah, absolutely. My overall GNPA of the Retail is 1.5 %; 1.49 % something. So, it is only for the unsecured personal. It's 3.1 %8.

Mr. Jay M: Right. And the Slippages you said is from 100 crores it has moved up to like 250 crores per quarter.

Mr. Debadatta Chand : Yeah. Yeah. Yeah. And that I'm talking about 1.5 years back when we never discussed on the issue because there never was elevated concern on that, right.

Mr. Jay M: Right. Right. And lastly, Sir, on corporate yield, right, so on your corporate book which is, let us say, I mean, the entire corporate book, what could be the blended yield here? And if you have the loan mix by yield also, I mean, what is the blended outstanding corporate yield? And if you have the percentage of loans for overall loans into EBLR, MCLR, fixed rate and others? Thank you.

Mr. Debadatta Chand: Mr. Tyagi, can you take up this question?

Mr. Lalit Tyagi: Thank you very much. So, in fact, we may provide you the data if CFO is having right now, otherwise offline we can provide. Largely the pack is, the highest yielding assets are RAM. Within that, Agri and MSME are the highest th en Retail and then finally comes the Corporate. You know, within Corporate also we have been able to manage the yield. That's how in Q1 we allowed slower growth because we managed the book well. Q2, probably, we have some traction and we grew. That is visib le in the 10.5% growth. However, that was managed well despite the fact that there were challenges on the yield side. So, exact corpora te yield we can provide you of the Bank.

Mr. Debadatta Chand : So, there are two things here, actually if I say that. Slightly the corporate yield , if you compare the Q2 and Q1, it has gone down because of the penal interest and charges accounting. That's one. Secondly, actually, in terms of the composition of the book, almost 47% is MCLR, 33% EBLR. Roughly around 80% odd has been the floating rate side. So, that there is the ability to pass on is much higher with the bank at different market condition, right. A s Mr. Tyagi said, right, Q1 we wanted to realign the book and that was the beginning of the quarter allowing us to realign. Realign only on the corporate side because of the fine price d book and then how do you want to, I mean, how much margin importance y ou give and how much book growth you want. So, we wanted to realign the growth of 1.6%. Clearly, this quarter, some of the price point was pulled up in the sense that market was offering us a higher yield on those advances. So, then we went ahead with that.

So, it's a balanced view in

terms of pricing. But clearly, when we construct the book, clearly our margin is one of the objectives we keep that in mind. So, that's something the margin, RAROC these are all important, what I can say, parameters for us to consider when we increase the book.

Mr. Jay M: Right, Sir. And if I may ask one more question. Sir, I mean, your segmental GNPA suggests that the corporate GNPA is now only ■600 crores, right. And you have ■10,000 crores of MSME and slightly higher in Agri. But corporate GNPA are like almost zero. And you still said that you would want to keep bringing down Net NPA. So, I mean, you have already 0.6% Net NPA, so what is the thought process there of further reducing…?

Mr. Debadatta Chand: No, that's why actually…Yeah, please go ahead.

Mr. Jay M: No, no. So, that is why I wanted to check.

Mr. Debadatta Chand: So, I'll tell you. Actually, before this meet there was a Media meet and everybody was asking a guidance on the Net NPA. We said that we do not give Net NPA guidance but always we try to trend it downward. That is what I said. So, the trending downwards is up to what extent and what actually, that tim e and market would tell or our position would tell.

So, Corporate side actually, I mean, there is not much of scope in terms of the NPA outstanding. Although the Recovery out of TWO, there is a good kitty on that actually but then this is clearly less. The focus that we are giving much of the slippage that happened, that you have seen, it is more in less than 5 crores segment where the slippages happened. And these are again Retail book or MSME book or Agri. So, the probability of again getting them upgraded is quite high as compared to a Corporate Loan book because the moment corporate goes down because the exposure is huge, the market conditions are different, very difficult to pull it back unless and until you get into a resolution process or like the IBC process. So, I think, the recovery out of the small loans which slipped in last 2 -3 quarters, although the level is very less as compared to the bank is concerned. ■2,700 crore is the normal run rate kind of a slippage but then we'll try to again optimize on that.

So, when I was talking to the Media on the same thing, our Recovery target is ■12,000 crores for the full year whereas the slippage you need to contain at ■9,000 -■10,000, so giving us a ■2000 at least a delta in terms of reducing all these percentages. But having achieved 2.5 and 0.6, I'm absolutely clear that it's a difficult move to again bring substantially down on these two ratios.

Moderator: Thank you, Sir. The last question for today, we'll take it from Rakesh Kumar. Rakesh, can you please unmute yourself?

Mr. Rakesh Kumar: Yeah, hi. Thank you, Sir. So, just a couple of questions I had. Firstly, on the Interest Income from the dummy ledger recovery, has it not been that great considering that we had return of recovery of ■2,500 crores and margin was slightly soft. So, that was the first question. Second question, 18% of our Loan book, the overseas Loan book has quite a lot of volatilit y on the margin front, so if you could help us on that front? And the third question is, basically, we used to have the

provision write back with this restructured book being upgraded. I think that did not happen this quarter and this was a regular thing in our provision line item. And the nature of Agri slippage, the last question, Sir? Thank you so much.

Mr. Debadatta Chand: So, I'll take the second with regard to the international margin. International, actually if you look at the international market, at some point of time the returns were quite high. So, we almost achieved a NIM of almost 2.13 or 2.14, which has gone down t o 2 now. What is happening in the international market is that a lot of repricing happening at this point of time, right, because there is a Fed rate cut, there are overall coolin

g of the rate of interest in those markets. So, that's w hy
the growth if you look at, we have clearly moderated keeping this in mind that the repricing pressure. And since overseas market, both Asset and Liability are floating, there is a bit of lag in terms of repricing on the Deposit side. So, that would even tually catch up putting the margin. And, normally on the international, internally we target something around 1.9 to 2 % as the ideal margin level to maintain going forward. But the Advance s growth clearly moderated. The growth has been lower this quarter.

On the interest from the Dummy Ledger, Mr. Chayani, can you take this question or you could provide later on?

Mr. Manoj Chayani: So, Sir, the interest, Rakesh, what you are talking about, the Other Interest Income and the comparison between the Q2 of FY24 versus Q2 of FY25, there is a reduction in the interbank the placement of around 13,000 crores. Hence, there is a dip what you ar e observing. And if any further clarification/queries required, please contact with me and I'll provide that.

Mr. Debadatta Chand: He also has a third question. What is that, you said? Agri slippage has been broad base, actually. That's sometime seasonal also. The moment you migrate to Q3, actually, this is the time where the crop harvesting and the money they get. Actually, the posit ion improved significantly in Q3 and Q4 as far as Agri book is concerned but these are all small ticket diversified across the country kind of a thing, so nothing specific with regard to that.

Mr. Rakesh Kumar: Got it, Sir.

Mr. Debadatta Chand: Anything else you wanted, Rakesh?

Mr. Rakesh Kumar : Just one question, Sir, that was, you know, the provision write back we used to do in the standard asset provisioning.

Mr. Debadatta Chand : Okay. Actually, if you look at the standard asset provision this quarter, there is a bit of prudential provisioning has happened actually. That is what, actually, if you look at the outstanding, not increasing the NPA level but there is a prudential provis ioning. So, the standard asset provisioning is gone up marginally, I mean, maybe around ■300 crores. That what we see from Q2 and Q1.

Rakesh, is that ok with you? All the question, we have answered that?

Mr. Saket Kapoor: Sir, I have one question here.

Mr. Debadatta Chand: Yeah, please.

Mr. Saket Kapoor: Saket Kapoor here. Yes. Sir, when we look at the Other Income component for this quarter, that has seen a big jump year -on-year also and quarter -on-quarter also. So, taking into account the nature of Other Income, what should we pensioning in going for H2? Because, Sir, if we remove the increase then the interest expenses don't commensurate with the bottom line which we have posted; if we remove that increase in the Other Income. So, if you could give us some more color how this line item is going to shape up or what factors led to this huge jump in the Other Income component, Sir?

Mr. Debadatta Chand: See, there are three components. One is the Fee Based Income, Treasury Income and Other Non -Interest Income, which typically the write back we got it because of the recovery in TWO accounts . And on a normal scale, this run rate is almost 800 crore as compared to 2,500 crores. 2,600 crores was for Q2, the normal run rate on this is around 800 -850 crores on a quarter -to-quarter basis, right. The Fee Based Income, it's mainly the C EB and Other Income that have a steady st ate kind of a thing. We're going to focus on this. It may see a 5% or 10% increase. Treasury Income is again market dependent. One thing, while talking to Ajemera ji , I was telling that our AFS reserve is quite significant like from the sense the start of accounting from 1st April we built up substantial AFS reserve therein. That means the book has in money position significantly. So, that can be in a scenario whe re the market is not good,

we can still leverage that.

So, it's, component wise, difficult to give you a clear run rate but the item which has seen a significant jump that is the Other Income from the recovery out of the Written off Accounts, TWO accounts. There the run rate is around 800 -850 crores maximum. On a normal scenario, if we get again couple of other recovery that can happen, so we have a large kitty. The TWO kitty is also substantially large. Suppose you get, then it can further add to that like it happened in this quarter.

Mr. Saket Kapoor: But other than that, Sir, you are lowering your growth target for H2. Can you repeat? In terms of the Advances and the increase in the Loan book, we are lowering our expectation for H2 by what basis points? Sir, if you just repeat once?

Mr. Debadatta Chand: Yeah, actually, I'll start with the Deposit. You would have seen the Deposit growth for Q1 and Q2 has been around 9% or 9.6% and the guidance earlier was 10% -12%. And always debated in the market a lot the gap between the Credit growth and the Deposit grow th, right. So, we wanted to take a call at this point of time. So, the 10% -12% on the Deposit, we have aligned to 9% -11%. Although, we'll try to grow at 9%. This is on the backdrop of a Q1 where we realigned the book, where the growth has been much lower. So, in case to achieve 11% growth in Deposit, actually the Q3 and Q4 is pretty much higher than the Q2 growth, right, and then only we will achieve 11%. So, very clearly, the growth in Q3 and Q4 will be much higher than the Q2; forget about the Q1. One, because on the Deposit here we have to recalibrate the Advance s growth forecast and that is what actually it

was 12% -14%. We have reduced by 1% point making it more realistic from 11% -13%. Although, again as I was saying earlier also, we'll try to operate at the upper band, that means at 13%. Current growth is 11.6% globally, 12.5% domestic. Domestic continue to be strong, that means the growth has been higher than 12.5% for Q3 and Q4. Internationally, since we are moderating as I said, because of couple of other reasons, the overall growth would be again at 13%. So, the 1% reduction is not a reduction per se on t he growth forecast. It's something realigning or calibrating the growth outlook based on the Deposit growth, which you'll appreciate that it's not for Bank of Baroda. Rather, we have done well vis -à-vis the peers.

In case you have the data as on today, the Bank has done well on the Deposit front. But since there is a change, so we are expecting asset growth to realign keeping the margin at the same level. So, that's very important when I'm saying that there's a growth in the year, the margin. So, one of the objectives is to clearly keep the margin into consideration, particularly on the Corporate Loan book side. So, there are couple of guidances. We want more realistic as compared to what we can give you guidance of not lowering the growth in that way, right.

Moderator: Yes, Sir. Chayani Sir, would request you to give vote of thanks, please.

Mr. Manoj Chayani: Thank you all for sparing your time and guiding us for our future prospects. Due to shortage of time, we may not have answered some of your queries or clarification, please do connect with me or connect with my office any time to have more clarity on any m atter. And with all your good wishes, the Bank is going to achieve new heights every quarter. Lastly, on behalf of our management, I wish you all and your family members a very Happy Deepa wali. Thank you.

Mr. Debadatta Chand: Thank you all. Once again, thank you very much.

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Call: Feb 2025

BCC:ISD:117:16: 56 05.02.2025

The Vice-President,
B S E Ltd.,
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
BSE CODE-532134

The Vice-President,
National Stock Exchange of India Ltd.
Exchange Plaza,
Bandra Kurla Complex, Bandra (E)
Mumbai – 400 051
CODE-BANKBARODA

Dear Sir / Madam,

Re: Disclosure under Regulation 46(2) (LODR)

We enclose transcript of Analyst and Media Meet held on 30.01.2025 for Q3 (FY2024-25) Financial Results.

We request you to take note of the above pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015 and upload the information on your website.

Yours faithfully,

P K Agarwal
Company Secretary

Bank of Baroda Analyst Meet for Quarter and Nine months ended 3 1st Decem ber 2024
30th January 2025

Participating members from the Management Team of the Bank

- Mr. Debadatta Chand, Managing Director & CEO
- Mr. Lalit Tyagi, Executive Director
- Mr. Sanjay Vinayak Mudaliar, Executive Director
- Mr. Lal Singh, Executive Director
- Ms. Beena Vaheed, Executive Director
- Mr. Manoj Chayani, Chief Financial Officer (CFO)

Host: Good evening, everyone, and welcome to the Analyst Meet for Bank of Baroda’s results for the quarter ended 31st December 2024. Thank you all for joining us. We have with us today our MD & CEO, Mr. Debadatta Chand. He's joined by the Bank’s Executive Directors and the CFO. We have a short presentation, that we will take you through followed by the Q&A session. I request Chand Sir to please take it forward.

Mr. Debadatta Chand: Thanks, Phiroza. Again, good evening to all on call. So, let me introduce the management team. I'm D. Chand, the MD & CEO of Bank of Baroda and I'm interacting with all of you for many quarters now. With me, Mr. Lalit Tyagi, he's the Executive Director. He looks after the Corporate Credit, International Banking, and also Treasury for the Bank. With us again, Mr. Sanjay Mudaliar, he's the Executive Director looking after the entire IT operation s of the Bank including the Retail Assets of the Bank. And with us we have Mr. Lal Singh, he is the Executive Director, looking after the Recovery , Agri and MSME vertical and also the HR function of the Bank. And again, with us in the management team, we have Madam Beena Vaheed, she is the Executive Director looking after all Control and Compliance function and including the Retail liabilit ies of the Bank. With all of us again the CFO of the Bank, Mr. Manoj Chayani, he is interacting with you for maybe two to three quarters now. So, with this Chayani ji over to you for your presentation and thereafter I will go for my opening remarks.

Mr. Manoj Chayani: Good Evening everyone and as you know, it's always a privilege to interact with you and we are ready with our financial highlights of Bank of Baroda for the quarter and nine months ended, 31st December 2024. Since , we are meeting in the New Year for the first time, wish you and your family member s a very Happy New Year 2025. Coming to the financial highlights; the Bank has posted total business volume of 25.65 lakh crores as of 31st December 2024.

If you look at the advances side, the global advances have grown by 11.8%, which consist s of domestic advance of 11.9% YoY growth and International 11.2%. Segment wise if we analyze, we continue to grow our retail, it's an organic growth of around 20%. Agriculture is growing at 13%. MSME at 14%, which is better than the previous quarters, corporate at 7%. If we look at the retail segment , we have seen a smart growth of around 16.3% in mortgage, 16.6% at home loan, education at 17%, auto

loan

at 21%, and personal loan continuously we are moderating the growth and as of December 24, we have grown at 24%.

Deposit remains a constraint for the banking industry at large. However, the Bank has grown deposit at 11.8% YoY. CD ratio is a little elevated to 84.24%. But the two noticeable aspect is that our CASA has grown YoY by 6.5%, which is better than the peer banks, and we could maintain our CASA ratio around 40% as per our guidance.

Bank enjoys a robust profitability and we have posted operating profit of 7,664 crore for the quarter with 9.3% YoY growth and continuously we are posting profit after tax of more than 4,000 crores and this quarter also we have posted a profit after tax of 4,837 crores with YoY growth of 5.6%. Return on asset, continuously the Bank has posted for the 10th quarter more than 1% as against our guidance of more than 1% and return on asset is 1.15 % and similarly there is a robust return on equity of 17% as a 31st December 2024.

If you look at the nine months period, operating profit has grown by 6.3%, profit after tax 12.6%, return on asset has improved from 1.15% to 1.17%, and return equity as we said it is 17.03%.

Yield on advances, nine months ended, it has grown from 8.44 % to 8.46 %, however, there is an increase in the cost of deposit from 4.85 % to 5.09 %, as a result of which , the net interest margin for the nine months , as has come down a little bit from 3.14 % to 3.08 %. However, this, as per our guidance, is in the lower band of the guidance of 3.15 +/ - 5 bps that is 3.10 % to 3.20 %.

Bank enjoys a robust asset quality, healthy asset quality with gross NPA trending at 2.43 %, which has reduced by 65 bps YoY. Similarly, net NPA also reduced from 0.7% to 0.59 % and provision coverage ratio is robust at 93.51%.

One of the key parameter s is slippage ratio. Slippage ratio , we could improve to 0.90 %against our guidance of 1 to 1.25 % and we enjoy a very healthy credit cost of 0.30 %, which has again improved from 0.39 %. If we look at nine months period, the slippage ratio has come down to 0.81 % and credit cost is 0.47 %.

SMA book as you can see as against 0.47 %, it is 0.49% . It is at a similar level, and we enjoy a healthy collection efficiency of 99%. Also, we are having a robust capital base of CRAR trending at 15.96%, this is excluding the profit for the current year. If we include that, then the CRAR is improved further to 17.34% and CET 1 of 12.38% as of December will improve to 13.77%. That's all from my side. Chand Sir, over to you.

Mr. Debadatta Chand: Yeah. Thank you, Chayani ji, and once again, good evening to all of you and as the CFO said Happy New Year to you and all your team members and let me make some of the qualitative comments over and above the presentation made by the CFO and if we look at the numbers that we have announced for this quarter, this is again consistent to the numbers we've announced in the earlier quarters. So, the point here is that we are looking at a very sustainable business model wherein the growth in book, the growth in profit is something strong, robust, and consistent. The growth has been shared as against 9% to 11% deposit guidance and 11% to 13% advanced guidance , our deposit growth is 11.8% and the advance growth is 11.8%. This is one quarter where the growth of advance is almost equal to the growth of deposit.

As you know, this quarter also has I mean underlying market condition of a tight liquidity and also a tight deposit market wherein there are still elevated cost structure on the deposit side. We also said earlier one of

the concepts of slightly retailisng the banks book more and typically we call it a RAM
and the corporate , RAM is the Retail, Agri, and MSME. If you look at the percentage of RAM in December 24 over December 23, it has improved by 200 bps from 57.9 to 59.9 %. As the retail continue to grow at 20% quarter -to-quarter for many quarters now on the Agri and MSME as compared to the September, we added almost 200 bps growth in December over September. The percentage of growth in Agri and MSME is almost 2% higher than the growth that YoY growth we had in September, so we'll continue to focus on the retailization story and would work on making a diversified book, so that we have margin accretive measures so that we improve the margin and the profitability going forward. At the same time a higher diversified book and a lower RWA density book, right.
On the CASA front, a noticeable thing that as the CFO said, our Growth is 6.5% this quarter and again, just to remind that our growth in September was 7% and earlier also we said that we continue to focus on the retail side of the CASA and also on the retail innovating product in the market trying to improve our service standard, adapting more and more digital part of the entire journey, so that's significantly giving us positive outcome and both the quarters the growth has been all you know the system growth on the CASA front and we are very satisfyingly placed at a growth of 7% in September and 6.5% in December.

The growth in operating profit, the key focus of the Bank is how do you again structure the operating profit as the core theme of optimizing that. If you look at the growth this time on the operating income growth is 9.2% and the operating expense growth is contained at 9.1%, the operating profit growth is 9.3% and a net profit for this quarter is 5.6%, whereas the nine months is 12.6%. So, considering that the major profit matrix of the Bank is quite strong, robust, sustainable, and we are working to maintain also going forward.
On the margin side, earlier, we guided the market 3.15 +/-, 5 bps. Let us also make a note that one accounting change that happened also during the year. There was a change in accounting from penal interest and penal charges. So, that impact is almost 5 to 6 bps lower. With that also, the bank could achieve a nine -month 3.08% margin, which is slightly lower than the lower band of our guidance earlier. So, going forward, our operating guidance for the margin for the full year is 3 to 3.10, that means 3.05 +/- 5 bps with an upside towards the upper band because of the change condition that you are looking at for this quarter particularly on the liquidity side and also on the rate expectation on the monetary policy that we have going to be. So, that continue s to be something that we are quite mindful of how to operate at a margin guidance which again coming on the strong side, the book is calibrated keeping the margin and the ROA guidance. So, in that way you would have seen our growth is strong and robus t for this quarter too. Asset quality as the CFO said right. The GNP A and net NPA trending downwards. The slippage ratio and the credit cost have been much lower than the guidance we had given, but we'll continue to retain the guidance at the same level.
On the digital, again, we're working. Recently, there was a IBA Digital Conclave wherein the Bank was a winner in two segments of the Digital Technology Awards and also runner up in two. So, digital continue to be a key focus on the business model that we have and continue to have. To sum up on the guidance, we keep the d

eposit guidance the same at 9 to 11%. The advanced guidance continues
to be 11% to 13%. The slippage ratio continues to be 1% to 1.25%. The credit cost continues to be the guidance of less than 0.75 %. The margin guidance is 3 to 3.10 % that is 3.05 +/-5 bps. With a condition that we think can come, can be positively upward also, which can typically take us to the upper band of the guidance, which would be the lower band of the guidance earlier and in spite of the fact that the penal interest, penal charges impact is almost 5 to 6 bps for the full year.
With this again, thank all of you for joining on the call and open for question and answer. Over to you, Phiroza.
Host: Thank you, Sir. The first question is from Rikin Shah.
Mr. Rikin Shah: Hi am I audible?
Mr. Debadatta Chand: Yeah, Rikin, please go ahead.
Mr. Rikin Shah: Thank you, Sir. Good evening for the opportunity and just a few questions. The first one is on margins, the domestic advance yield has declined again very sharply in this quarter and what explains that because the corporate loan growth has also kind of slowed down versus the last quarter run rate and in your opening remarks, you mentioned that there could be an upside risk to our margin guidance of 3.05%, which is the midpoint. How would that really kind of come through because if the rates are cut, while of course your MCLR book is higher, why would that be an upside risk to your guidance? So, that's my question #1.

The second question is on asset quality. The personal loan GNPA ratio in the last few quarters has been rising and despite that, we have seen almost 7% QoQ PL growth in this quarter. So, what's the thought process there? Of course, your retail slippages have moved down, so that's a bit more comforting and the second part of the NPA would be gold NPA, even they have slightly moved up of course from a very low base, any color you would be able to share on that? So, that's my second question.
Thirdly, it is on SMAs, last quarter of course, we had called out couple of accounts because of which it was elevated. They seem not to have been rolled back. Do you expect them to see a rollback in the coming quarter and lastly, your slippage, credit cost guidance, you're kind of holding it up despite your nine month performance reasonably below that, so anything to read into it? Do you expect any kind of further deterioration, or should we expect the current run rate to kind of maintain? Those are my four questions and just two data keeping questions like always, the total number of employees and standard restructured account, that would be helpful. Thank you, Sir.
Mr. Debadatta Chand: Thanks, Rikin. Actually, on the margin side there is no upside risk. What I said upside bias. So, when I say 3 to 3.10 %, what I'm telling is that we'll try to have an upside bias that means we'll try to achieve 3.10 %, not a risk to that, right. So, that's a clarification I want to give to point 1.
On the personal loan, you are right. Actually, if you look at the GNPA that we announced for the personal loan, the book is small, let's say 32,000 crore and the GNPA for December and September there is almost a 0.5% increase on the GNPA. In terms of amount, it translates to 100 crores per quarter. My fresh slippage for the full quarter is 2500 crores. That's insignificant in that way, and you rightly said that because other segment of the retail is much lower, benign slippage. This is getting adjusted actually in that manner. So, there is no concern per say. Actually, the quality of the book we have improved significa

ntly when we stated 1.5 year s back that we're going to moderate on the
growth in the process. Actually, we improved the underwriting standard. So, there is no concern .
Similarly, gold loan, if you take the absolute amount in terms of the 0.71 to 0.80 % amount transferred to 36 crores, so that also insignificant in that way. So, the normal slippage guidance is 2500 crore normalized basis quarter -to-quarter and that continue to hold on that. You also talked about SMA book rollback. Yes, that is already we rolled back actually . Lal Singh saab can you just throw some light on this. The SMA book at 0.49 %.
Mr. Lal Singh: So, SMA book is including restructured around 28,400 crore , which is 2.48% of the total loan book.
Mr. Debadatta Chand: So Rikin, just to add to what Lal Singh saab said, actually slightly, you're looking at 0.49 % to some 0.45 % in the last quarter, right and that is higher than the 0.23 %earlier. So, couple of accounts 4-5 accounts, which was there, which was more of a technical or I mean what you can say temporary liquidity mismatch, out of that three already pulled back again today. So, if I look at the CRILC SMA that you have declared, actually it is not 0.49% now it is 0.19 % because all these accou nts have been pulled back by this time. So, there is no concern with regard to SMA in that manner, right.
Mr. Rikin Shah: Got it.
Host: Thank you, Sir. Before we go ahead, just I would request to limit yourself to two questions per person and we'll come back to you if there is time. The next question is a question from Rakesh Kumar.

Mr. Rakesh Kumar: Yeah. Hi, Sir. Can you hear me?
Mr. Debadatta Chand: I can hear you. Please go ahead.
Mr. Rakesh Kumar: Yes, Sir. So, just coming back to you know this margin number and the credited number, so we had a sharp fall in the recovery on the written off number and if I look at recovery coming from NPA, that number is broadly similar, there is not much of a change on a sequential basis. So, what I think that your recovery number on the written off book has kind of you know dented your margin number, so firstly what is the recovery on written off number is going to be for fourth quarter and going ahead? And is the recovery number you know the interest income accrual number going into the interest income line, was that number 300 to 350 crore that we lost this quarter.
Mr. Debadatta Chand: No, it is like just to clarify, last quarter the recovery from written off there was a one off, which is also clarified last time because of that the amount got boosted . Our normalized run rate for recovery out of written off is almost 750 to 800 crores and if you look at Q3 of December 23 also, it was almost at the same level. This quarter is almost at the same level and going forward, we will maintain the normalized rate. There may be a possibility of one off in couple of quarters, but that would be add on to that. So, the fall in the recovery from written off vis-a vis the last quarter , I'm talking the Q3 over Q2, it is also supported this time by the higher treasury income and also one element of the interest on the tax refund. So, that's clearly negat ing bit of the fall in that manner. So, in that way, banks book is well balanced in terms of taking any impact because of the recovery from written off account. Last quarter it was one off, otherwise the normal rate is the level that we have I mean this quarter the number is.
Mr. Rakesh Kumar: But Sir, just to know that what is the interest income accrual that we would have

done in second quarter you know because of the recoveries, NPA recove

ry and TWO recoveries, what
that number was?
Mr. Debadatta Chand: I think we'll update you roughly around out of that, it can be 500-600 crore. That is what actually, there was a one off. So, obviously there was an interest income written back on the matter. So, I mean on the interest income on the impact suppose because of one off is not there this quarter, almost to the extent of like 300 crore - 350 crore kind of level.
Mr. Rakesh Kumar: Impact is there, correct. So, that is what I was estimating that 300 to 350 crore is the impact that we have this quarter.
Mr. Debadatta Chand: Yeah.
Mr. Rakesh Kumar: And secondly Sir, fee income. Sir, fee income is pretty strong and asset quality is also pretty strong. So, on fee income, if you can, you know, highlight some of the things that why it happened, what are we doing, and why did we, you know, achieve this kind of a strong number on core fee income?
Mr. Debadatta Chand: So, you are very right, actually earlier also we announced that we started some kind of an internal kind of a thing which we talked about fee and flows kind of and the idea was to strengthen the core fee income. See, the recovery from written off accounts other than the normalized run rate can be worn up at some point of time. Treasury income is also highly dependent on the market condition. So, the core fee income, if you look at the core fee income this quarter, the growth is 12.6% and that is where we have to optimize that. There are challenges in terms of, because

some of the core fee income going shifted like a moment ago for a normal physical transaction to a digital transaction and the fee goes off. But there are challenges to optimize, but clearly as a management, as a banker, we clearly focus how to optimize on the core fee income. So, this quarter, the core fee income leaving apart the treasury income or the tax refund or the core also is going up by 12.6 %. That's something significant. See the numbers that we are looking at, the book increase is almost 12% , 11.8%. The operating profit increase is almost 9.3%. The operating expenses is contained at 9.1%. So, I think somewhere we have to have a stability of all this income and that is where we actually were, if you look at the core fee income this quarter, the growth has been good , but will be trying to focus more on that and try to optimize more also going forward.
Mr. Rakesh Kumar: Thanks, Sir. Many thanks. All the best, Sir.
Mr. Debadatta Chand: Thank you very much.
Host: Thank you. The next question is from Piran Engineer.
Mr. Piran Engineer: Yeah. Hello. Congratulations, Sir, on the quarter. Just firstly on the previous question, a clarification this 300-350 crore lower interest income, if we adjust for that, our margins would be about 10 Bbps higher, is that a correct understanding?
Mr. Debadatta Chand: It is actually, the last time as I said there was one account which was one off in terms of a recovery of NCLT resolution and significantly, the recovery was full in that case, putting a positive interest income impact of roughly around 300-350 crore.
Mr. Piran Engineer: Okay.
Mr. Debadatta Chand: So, there is a normalized, what we said that what is a delta that changed last quarter we saw vis a vis this quarter and that is about 300-350 crore and thank you very much for congratulating the Bank. The Bank would again, try to have one, I said initially to have a stable, sustainable kind of a growth both in terms of book and also in terms of the profit number. Thank you very much for that.
Mr. Piran Engineer: No, no, no, no problem. My pleasure. So, Sir,

just one or two more questions.
Firstly, on our borrowings in the last two quarters, it's gone up from roughly 90,000 crores to now 1.3 lakh crores, can you just help us as to you know, what are these borrowings, are they more refinanced, NABARD, SIDBI, because we are growing on MSME or are they more infra bonds and ballpark what would be the cost of these borrowings - of the entire borrowing book?
Mr. Debadatta Chand: Yeah, yeah, actually, you said all of that, actually part of the borrowing and clearly the borrowing is to substitute on the deposit cost otherwise, right. So, Mr. Tyagi can you just slightly update more on this?
Mr. Lalit Tyagi: Yeah. So, thank you very much, Sir. So, in fact, last quarter we raised infra bond to the extent of 5000 crores. Put together this financial year, we have raised infra bond to the extent of 15,000 crores and we also, you know, tap time -to-time the competitive refi from some of the domestic specialized distributions. Put together that and the market borrowings have elevated as the MD saab said that you know, when that option is available and cheaper and all of us know that deposit side, there are some, you know, limitations in terms of managing the cost. So, we balance it out with that.

Mr. Piran Engineer: Understood, understood, and Sir just lastly on gold loans. There is a lot of talk about Agri gold loans you know below 2 lakhs should actually be collateral free and you can't take gold from the farmer. Sir, can you just probably clarify these rumors that are or what ever these news are that is going around as to whether this is what the RBI wants, collateral free up to 2 lakhs . And also in regular consumer gold loans a lot of talk about you know refinancing at the end of it, doing EMI payment, 75% LTV throughout the loan rather than at disbursements. So, maybe if you can just share some light on what is what's the RBI thinking and what is the conclusion that would be very helpful?
Mr. Debadatta Chand: See, as long as it's not guidelines normally, difficult to comment on that. Actually, they are matter which are again not crystallized yet, so we've not framed a stance on the matter, but Lal Singh saab, anything you want to update on this on the gold loan side, agri gold?
Mr. Lal Singh: Thank you, Sir. In fact, Agri gold, there is no such guideline till date, but yes on MSME there is guideline that up to 10 lakhs we can't take any collateral. That may be land building or gold, whatever is there. So, those we are adhering to.
Mr. Debadatta Chand: On the retail gold loan, you have some question, right? So, what is that?
Mr. Piran Engineer: Basically, you know RBI has expressed some concerns on things like bullet repayment on maintaining LTV of 75% throughout the term of the loan and there was a meeting of you know, the Gold Lenders Association with RBI a couple of weeks back. So, some updates, even qualitative, is fine, but some updates would be useful, Sir?
Mr. Debadatta Chand: No, actually, as far as the retail gold, my book is almost hardly 6,000 crores. So, it's not a very significant amount therein, but then some of the conversation we are not aware as in today, but our business is a compliant business as on today. Mudaliar saab anything you want to add on this?
Mr. Sanjay Mudaliar: No, Sir. In fact, since the details are not available, I don't think it will be appropriate to give any comment at this stage. Thank you.
Mr. Debadatta Chand: Okay. Thank you.
Mr. Piran Engineer: Okay. Fair enough. Fair enough. Thank you, Sir and wish you all the best.
Mr. Debadatta Chand: Thank you very muc

h once again.
Host: Next question is from Mahrukh Adajania, please.
Ms. Mahrukh Adajania: Hello.
Mr. Debadatta Chand: Yes, Mahrukh, please go ahead.
Ms. Mahrukh Adajania: Yeah. Hi. Hello, Sir. Good evening. I had two questions. Actually, three questions. Basically, firstly on your credit cost, right. So, you had explained that you had made higher specific provisions last quarter and a floating provision of 2 billion and that's why we understand that this quarter, the credit costs are lower, but they are at 38 basis points. So, is this a new normal now or where do you see your credit cost settle in the fourth quarter or maybe over the next three to four

quarters? What should we build in like 40 basis points, 35 what is the number? That's my first question.
Mr. Debadatta Chand: Okay. We'll reply first one. There's not any new normal. The only normal is that the credit cost would be below 0.75 %, right. So, that is point 1. Point 2, is a case wherein yes, the credit cost is also linked with the asset quality and as in today, when we look into the SMA book, the stress book, we are quite comfortable as on today with regard to the asset quality. So, in that scenario, I don't think anything like nine months credit cost is 0.47 %, right. So, maybe a band between 0.5 to 0.75 % we would like to end in the full year , but again, it all depends upon the forward , what you can say emerging facts and figures that would come to us, but then the full year it would be below 0.75 %, that is what fully we are convinced on the piece, right.
Ms. Mahrukh Adajania: Okay, Sir. Sir, my next question is on home loans. Obviously, your home loans are growing well. They have grown 4% quarter -on-quarter, but if you see some private banks, they are not being able to deliver growth of four, very few are delivering even 3% QoQ. So, is it that you are getting a lot of refinancing requests from private banks? What is your rate to the most prime customer that you offer?
Mr. Debadatta Chand: See, there is no, actually the numbers that we have given is the organic book. So, there is no refinancing or anything from private banks on that matter. The numbers that we see is 20% or 19.5% on the home loan 16.6% is the organic book. It's not like this quarter ,we have a growth of 16.6%, right. That is consistent for Bank of Baroda, particularly in the segment of home loans, we do have the right delivery channels, the right relationship measures, the right project approval, so that is giving us bit of a positive outcome for many quarters. So, continue to grow therein and I don't think there are elements which again can slightly put the guidance below what we are growing, but we are quite comfortable with the growth both in terms of asset quality.
In terms of the best rate, they are all card rates being defined in the website. I mean the bias is obviously, I mean borrower s having a better CIBIL score. So, that's on the asset quality we are quite mindful in terms of what is that book we built. In terms of rather, actually one data we didn't share. The RWA density that we compute for many of the products including home loan is showing a positive

outcome. So, in that way, we believe in good quality borrower. We believe in the right relationship manager. Actually, one of the important factor in the home loan segment is the time you take to give a sanction, right. So, that is what actually we improved significantly in our last many years. So, I think there's a sustainable growth that we've maintained and on the quality side, it is on much better side.

Actually, there is no concern as on today.
Ms. Mahrukh Adajania: But your best borrower would be getting at 8.50, 8.40, what would be the rate?
Mr. Debadatta Chand: They are all card rate ma'am. Actually, the card rate is defined on the website.
Ms. Mahrukh Adajania: Alright. Okay, Sir. Sir, and my last question is just one clarification that you did say that you know your recovery income that goes into interest on loans, it goes there, right, has come down though the QoQ growth in loans and interest on loans is matching, but okay it's gone down from say around 830 to around 500-550, that's correct, right?
Mr. Debadatta Chand: No, no, I will just update you. Actually, the conversation we had actually our normalized recovery out of written off accounts is almost 750 to 800 crores. What had happened last

quarter, there was one off in that recovery of written off accounts and because in that particular recovery, the recovery was substantial that we could recover the full amount. The positive impact because of that particular one off is roughly around 350 crores on the interest income, which is not available this quarter, right.
Ms. Mahrukh Adajania: Got it.
Mr. Debadatta Chand: So, otherwise, normal is going to be 750-800 crores that we are going to have a future quarters also.
Ms. Mahrukh Adajania: Right. So, the normalized reversal or the normalized accretion to interest income will also be then what happened this quarter only, right?
Mr. Debadatta Chand: No, no, that cannot be quantified, Mahrukh that cannot be quantified, the reason being, many of the recovery, you are not recovering the full amount to get benefit of the interest reversal, right. You may recover your principle out of the recovery, but last quarter there was a one-off case where the recovery was full that included the reversal of the interest income and also the full extent of the principal. So, the delta that we made last quarter, that was the point of discussion, not on a normalized. Normalized, it may give some reversal of the interest income, it may not give any reversal of the interest income.
Ms. Mahrukh Adajania: Got it Sir, very helpful. Thanks a lot, Sir. Thank you.
Mr. Debadatta Chand: Thank you. Thank you, Mahrukh.
Host: The next question is from Kunal Shah.
Mr. Debadatta Chand: Yeah, Kunal, good evening.
Mr. Kunal Shah: Yeah. Good evening. Can you hear me?
Mr. Debadatta Chand: Yeah, I can hear you.
Mr. Kunal Shah: Yeah. So, couple of questions. Firstly, on the international slippages and international margins. So, again, this quarter we saw decline, last time you indicated it can still be managed at 1.9 to 2 odd percent and given the global rate environment, do we see pressure over there or is it on account of maybe the slippage in the, it's a small number, but still like 200 crores slippage which is leading to a lower NIM in the international market?
Mr. Debadatta Chand: See, one is the slippage, another is the margin. The margin is stable. Actually, if you look at the nine months margin on international, it is 2.02 % and this quarter it set 1.8%, slightly when the reset of pricing happens in the international book, both on the advance and also on the deposit, there is a lag clearly. So, a lot of refi transaction happened on the asset side, which again not passed on to the exchange of the deposit, but broadly our NIM on the international would be 1.9 to 2%, that is what we are hopeful going forward we can maintain. On the slippage particularly that you talked about, although a very small amount of 200 crores, Tyagi saab can you just update on the slippage s

ide?

Mr. Lalit Tyagi: So, actually this was one of the cases in our one of the territories and probably it is not the normalized degradation rate in international book. In fact, for many quarters, international book has not shown any distress. So, at individual asset cases, sometimes you know these emerges, but this is not the normal case for the international book.
Mr. Debadatta Chand: In fact, it's a very combination of many of the small accounts, which again based on some accounting change we made that NPA, but during last many quarters it's a very fairly stable asset quality as far as the international book is concerned.
Mr. Kunal Shah: Yeah and secondly, again, maybe someone asked with respect to the personal loan

growing at 7% quarter -on-quarter, most of the players we have seen there is a slowdown which has happened, but I think for us it is still continuing to be faster pace and there is a rising NPL on this growing book. So, wouldn't we be slightly cautious or conservative in this segment that we see?
Mr. Debadatta Chand: Kunal, you're right on that. Actually, if you look at my base is very low, 32,000 odd crores in personal loan as compared to and out of that maybe 50% is the non-digital personal loan then the digital personal loan, the point you are referring is on the digital personal loan, right? So, that book is almost 12,000 -13,000 crores, not a big amount therein. Earlier, the growth in this segment was almost 80% -100% quarter -to-quarter, right. Actually, I mean quarter -to-quarter on a YoY basis and like in July 2023 even when the market was not discussing, we started talking about moderating this growth. So, from almost 80% to 100% YoY in one and half years' time have come back to 24%. Couple of measures that we have undertaken during the process is to completely change the underwriting model based on a much state of art Bureau model now. At the same time, some of the segment which has given a slightly elevated slippage, we completely stopped those segments. So, the book is fairly balanced. We are comfortable growing at 24% or 30% or 35% maintaining the asset quality. In terms of the incremental slippage that you may be talking about in this quarter, it's 100 crores on a slippage of 2500 crores for the quarter. So, it's not any way significant. You get a like unsecured personal loan is something that you need the market growing in that segment, you want a bit of margin is quite high also, you can't put everything on the same yeah, but I don't know other banks, but we're quite comfortable at 25% -30% growth because underwriting quality is much better as compared to what you had in the past because of the model part of it. Anything Mudaliar saab you want to add further on this?
Mr. Sanjay Mudaliar: Sir, only one additional point I will give it is, we are now moving towards more of the salaried class account where we are going into the personal loan. So, that gives us some additional comfort on this.
Mr. Debadatta Chand: Okay.
Mr. Kunal Shah: Okay. Got it and last question on employee provision, so this quarter the run rate has been high. Is it more to do with the interest or discount rate assumption or maybe now and maybe if the rates decline would we see a relatively higher provisioning requirement or we have already factored that in because that's going up to almost like closer to 1150 odd crores for this quarter?
Mr. Debadatta Chand: You're right. Actually, we are slightly adequately covered in the segment with regard to the discount rate that you are referring. So, we are quiet, I mean that way the adequately provided

on the matter. Anything CFO, you would like to add here?

Mr. Manoj Chayani: Yes, Sir. So, Kunal, as you know, there is a movement in case of the gratuity it has moved from 6.99 to 7.05 % and also the fund size, the requirement is there. So, as a result of that, there is an increase in this provision amount, but we are prudent in taking the provision. All the provisions as required has been provided till date.
Host: So, the next question is from Jay Mundra.
Mr. Jay Mundra: Yeah. Hi. Good evening, Sir. Thanks for the opportunity.
Mr. Debadatta Chand: Good evening. Please go ahead.
Mr. Jay Mundra: Sir, few questions, first on, if I look at your interest on advances, right only the gross interest on advances that has gone up by 9.7% YoY in this quarter? Versus 11.8% growth in advances, right? So, we are in at least we would have increased the MCLR, we are doing more PL, less corporate, asset quality has been holding up, so why is that the interest on advances growth is lower than the loan growth?
Mr. Debadatta Chand: Okay. Let me respond to that. Actually, rather, that's very positive that the book increase is 11.8% and the interest income increase is almost 9.7%. See, once stance, that you would have seen that we are also at the meantime building the quality of the book, right. So, the quality of book covers with regard to, as we discussed on the previous, can we reduce the personal loan growth, you know the margin in personal loan is very high.
Similarly, a segment where there is bit of elevated stress therein, you would have seen my NBFC book has gone down as a percentage. The YoY growth is very less because this is induced by the regulatory norms that came in. So, it's a balance in terms of how do you again put the income growth at the same time create the underwriting quality and earlier also we said for us the underwriting quality is one of the main building block s while creating the book. So, in that way I'm quite happy that the growth is both balancing out in the 11.8% and 9.7%. So, going forward, I mean depending upon the interest outlook, there may be changes on the pricing of the loan asset and then we'll map it out accordingly what is the percentage increase there will be. Anything, Madam Beena you would like to comment on the planning prospective on the income growth in advances? You are on mute ma'am .
Ms. Beena Vaheed: No, Sir.
Mr. Debadatta Chand: Okay. Fair.
Mr. Jay Mundra: Okay. Secondly, Sir, on your margins, right. Sir, I heard your commentary, if I were to adjust for the 350 odd additional recovery that we had in second quarter, right. So, then the

margins in second quarter would have been 3% and that has now come down to 2.94. Would you believe, considering your emphasis on quality and still tight liquidity, the trend maybe should be similar, right? I mean Q4 margins can actually be lower by a similar adjusted number 5-10 bps lower, could that be a fair assumption?

Mr. Debadatta Chand: See, my nine months NIM is 3.08 %, so one factor again I said during commentary that the penal interest and penal income impact is almost 5-6 bps negative, right. So, otherwise, it would have been 3.13 or 3.14% . On the recovery out of written off accounts exactly, it depends on the recovery that happens, how much you are recovering. If you are able to recover higher than the principle, obviously there could be an interest component which will go to the interest

income. So, there are some one off on that, so that positively attributed, but at the same time, let us also look at the deposit cost, which i

s again being elevated across the system. Rather on the margin
cut that you have taken is much lower as compared to many of the industry that we have seen. So, it's a balance d call. You would have seen that there is a corporate loan growth slightly lower as compared to what we did in September. Typically, while providing full money to the CapEx, the term loan segment, lot of refi transaction s that happens, lot of takeover transaction s that happen which is again at a very fine price, obviously high -quality asset, and there again slightly we try to grow lower as compared to the last quarter.

So, these are all calibrating calls, in terms of how do you manage it, but the full year guidance that on the margin side we said 3.05 +/- 5 bps, that means 3% to 3.10% for the full year. I am talking about Q4 can be any number that you can estimate, but the full year would be 3 to 3.10 % with an upside bias. Why the upside bias is that a couple of factors that we are anticipating that the market to happen particularly, there is an improvement of liquidity that is happening because the regulator, the RBI, injected durable liquidity now. If there is an expectation of a rate stance change or a cut happening in Feb policy. So, our market borrowing size that is also significant amount will undergo a change because that rate can reset quickly on that. Typically, the CD book that we are carrying, almost can reset in no time. A lot of other deposits also, there are maturing deposit happening before March. So, based on that we anticipate that full year guidance will be keeping somewhere between 3 to 3.10 %, what ever may the scenario going forward on the credit front.

Mr. Jay Mundra: So, Sir you're saying this is assuming some rate action also, right? Even if there is a rate cut, you will hold onto this more or less the guidance, right?

Mr. Debadatta Chand: Yeah. The upside that is what I said. Ideally, otherwise, you can take the median number at 3.05, right. Hopefully, but I can still optimize to 3.10 %, if some of the assumption comes true for us, in that way.

Host: Thank you, Sir. The last question for this evening will take it from Nitin Agarwal.

Mr. Nitin Agarwal: Yeah. Hi. Thanks for the opportunity. Sir, I have a question around your business growth. While you have reported a similar growth in advances and deposits and that's something we appreciate, but at the same time bulk deposit mix has also gone up during the year. So, what will be the any particular threshold that you will look to maintain because as you go forward, the requirement of deposits will remain as is to support the loan growth and CD ratios are already elevated. So, any particular level of bulk deposit beyond which you will not want to venture in?

Mr. Debadatta Chand: Sure. We said earlier multiple quarters, the dependency on the bulk has to go down. Actually, if you look at Bank of Baroda the earlier quarters, there was a high amount of dependency vis-à-vis bulk deposit . We said now for almost 6-7 quarters the dependency has to go down. The dependency doesn't mean that the outstanding would go down for every time. Although, we reduced the outstanding consistently for many quarters, this quarter it is slightly increased. The slight increase vis-à-vis the normal growth of deposit of let's say 11.8% , this 14%. This is precisely for two reasons. One is that we are able to grow CASA higher than many of the peer in the system right. My last quarter CASA growth was 7% and this quarter is 6.5%, where also at the same time, the retail term deposit also able to grow at 9.5-9.6%. That is allowing us slightly on a

mix to grow slightly higher
in the bulk deposit keeping , there is a liquidity constrai nt in the market, right. So, in that way the stance continue s to be lowering the dependency, but if there is a requirement while you can optimize on the both side or if there is a requirement to give a certain resource mobilization, then we will keep

on raising on the bulk deposit. The number that you're looking at, 2,44,000, there is almost 25% -28% component of certificate of deposit therein.

And the certificate of deposit as you know is for a short -term, at a much lower rate than the wholesale bulk deposit rate. And in case there is a, hypothetically thinking, a cut happening, this market would react very fast to that. So, in that way you balance out, it's a combination of many strateg ies in terms of how do you optimize on a cost. The stance continues to be lower dependency on the bulk deposit. That means this is a percentage of total deposit should not go up rather for many quarters actuall y significantly we have reduced, although we have not disclosed to the market the number, but we said we will reduce the dependency in the bulk deposit and then continue to be the same stance for the future quarter s.

Mr. Nitin Agarwal: Right Sir and Sir the second question is on the retail GNPA, because if I look at the segmental GNPA, retail is one space where in the GNPAs have gone up over last one year pretty sharply and within that specifically the personal loan where in on a book which is growing well, the GNPA ratios have been inching up. So, how do you look at that and how long will you think the stress will continue especially in the first loan book?

Mr. Debadatta Chand: Personal loan, see the GNPA personal loan December over September, the growth is, it has from 3.16 % I believe it has gone to 3.9% level . In terms of the absolute number, this is roughly around slippage of 100 crores right and my normalized slippage amount is roughly around 2500 crores, that's not significant for me. Again, retail we in one and half year, we improved the underwriting quality, but then there are legacy book therein . This book is a small book. Actually, my outstanding is 30,000 odd crores. The incremental slippage that you are talking about is much lower and the retail GNPA is going down. Like other component s of the GNPA, I mean the elevated slippage is not there. So, it is much more manageable. This is a segment where it's a NIM accretive. It gives a good margin. There is a requirement. People look for a bundle product rather with a secured loan along with unsecured loan. So, we will grow at 24%, 25%, 30% kind of a level. I'm quite comfortable growing at that level and not going to put anything stress in terms of slippage, particularly on the unsecured personal loan. So, on the planning perspective , Madam Beena, anything you want to comment on the retail personal loan on this?

Ms. Beena Vaheed: Sir, with regard to the retail personal loans, we have been going quite slow. The growth this year has been, though it has been 7% we are more or less going with salaried class advances and we are not looking at the other advances as we looked in the previous years. So, our focus would continue to be on the salaried class personal loans. Not that we would de-grow, but focus would be more on the salaried class and we would continue to grow, but with regard to the best of advances.

Mr. Nitin Agarwal: Okay. Thanks. Wish you all the best.

Mr. Debadatta Chand: Thank you very much. Thank you.

Host: Thank you. That's the last question we will take today. Can

I request Manoj Chayani Sir, to
please give the vote of thanks?

Mr. Manoj Chayani: So, as we conclude today's Analyst Meet, I would take a moment to express our sincere gratitude to all of you for your time and participation. We are thankful to each of our analyst for their valuable contributions and their feedback, which will help this organization to grow a long

way. Your continued support, engagement mean s a lot to us, and we look forward to have a stronger bond with you. If there is any query, any clarification required in future , you can contact me or our investor relations team anytime you feel like to get it clarified. Let's have a stronger bond with each other to have a stronger organization. Thank you for your participation.

Mr. Debadatta Chand: So, thank you very much all analysts on call. Thank you very much.

Host: Thank you.

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Bank of Baroda Media Meet for Quarter and Nine months ended 31st December 2024
30th January 2025

Participating members from the Management Team of the Bank
➢ Mr. Debadatta Chand, Managing Director & CEO
➢ Mr. Lalit Tyagi, Executive Director
➢ Mr. Sanjay Vinayak Mudaliar, Executive Director
➢ Mr. Lal Singh, Executive Director
➢ Ms. Beena Vaheed, Executive Director
➢ Mr. Manoj Chayani, Chief Financial Officer (CFO)

Host: Good afternoon, everyone, and welcome to the media meet for Bank of Baroda's financial results for the quarter ended 31st December 2024. Thank you all for joining us. We have with us today our MD and CEO, Shri Debadatta Chand and he is joined by the Bank's executive directors and our CFO. We have a short presentation that we will take you through followed by brief opening remarks by Mr. Chand, and after that we will have the Q&A session. Chand sir, I would request you.
Mr. Debadatta Chand: Thanks, Phiroza. Once again good evening to all my media friends. And just to introduce the management team, I am D. Chand, MD & CEO of Bank of Baroda, and I have been interacting with you for a couple of quarters like 7 -8 quarters now. With me , Mr. Lalit Tyagi, he is the Executive Director looking after the Corporate credit , International banking and Treasury, and with Mr. Tyagi also , we have Mr. Sanjay Mudaliar, he is our Executive Director looking after the IT and also the Retail Assets of the Bank. We are also joined by Mr. Lal Singh, he is Executive Director looking after the Recovery department, more importantly the Agri and MSME vertical and also the HR function of the Bank. And Executive Director who has also joined with us is Madam Beena Vaheed, she is Executive Director looking after all Compliance and Control function including the Retail Liability. And we have also, the CFO of the Bank, Mr. Manoj Chayani. He is interacting with all of you possibly for a couple of quarters now. With this Chayaniji over to you for a brief presentation, thereafter I will go for my opening remarks.
Mr. Manoj Chayani: Thank you so much, sir. Good evening, it is my privilege to present before you the financial position of Bank of Baroda for the quarter and 9 months ended 31st December 2024.
The Bank has posted a total business of 25.65 lakh crores as of 31st December 2024 with a YoY growth of 11.8%. If we look at the asset side the global advances have grown YoY of 11.8% with domestic growing at 11.9% and international at 11.2%. Looking at the segment wise - retail continues to grow at 20% as per our guidance . Agriculture around 13% , MSME around 14% and Corporate is around 7%. In retail also , the mortgage piece and the home loan piece is growing at 16.3 % and 16.6% respectively with education around 17%, auto loan 21% and personal loan segment as you know for quite some time we are moderating our growth and it is at 24% right now.
With

regard to the liability piece, the total deposit has grown by 11.8% with a domestic growing at 9.2%. And if we look at the credit deposit (CD) ratio, the CD ratio is a little bit elevated to 84.24% as of Q3 FY25. However, two distinct factors are that our domestic CASA has grown by 6.5% which is better than many of the peers. And we are able to maintain our CASA percentage around 40% as we have been doing for quite some time.
Regarding Profitability metrics , operating profit has grown upto 7 ,664 crore at 9.3%. Profit after tax at 5.6% YoY growth and we have posted a profit of 4 ,837 crores. Similarly, for last 10 quarters we are posting return on asset more than 1 % and as of 31st December it is 1.15 %. Ret urn on equity is robust at 17%.
If we look at 9 months' position we are placed in a better position with total operating profit of 24,300 crores with a growth of 6.3% YoY and similarly in case of return on asset it is 1.17 % and return on equity it is 17.03 %.
Yield on advances , 9 months ending yield on advances if you look at it, yield on advances has grown from 8.42 to 8.46 %. H owever , there is an increase in the cost of the deposit, this has gone up from 4.85 to 5.09%. As a result of that if you will look at our net interest margin for 9 months it has gone down from 3.14 to 3.08 % as on 31st December. This is little less than our guidance of 3.15 +/ - 5 bps.

The Bank enjoys a robust asset quality as you can see the gross NPA has reduced from 3.08% to 2.43% at 65 bps down. Similar is the case in case of net NPA to has gone down from 0.70 to 0.59 %, and provision coverage ratio remains stable at 93.51%.
The two important metrics showing the robustness of our asset quality is the slippage ratio, this is 0.90 % as of 31st December which is within our guidance of 1 to 1.25 % and credit cost has gone down from 0.39 to 0.30 % which is the best among our peer banks. Similarly for 9 months the slippage ratio is 0.81 % and credit cost is 0.47 %.
SMA book as you can see as against 0.47%, it is 0.49%, it is at a similar level. Collection efficiency, we are trending at 99%.
Bank enjoys a robust capitalization position of CRAR at 15.96%, CET at 12.38 % and Tier 1 at 13.44%. This is without considering the profitability position. And if we consider the profitability position of the current year then the CRAR become s 17.34%.
Thank you so much. Over to you, Chand sir.
Mr. Debadatta Chand: My media friends, let me again make some qualitative comments on the

financial results. As you would have seen the numbers, the outcome is more of a strong one, r obust one, a sustainable one, b ased on the consistent business model we have. The business growth has been quite strong at 11.8% both on the deposit advances. We see another quarter where the growth of deposit is almost aligned with the growth of advances. This is again the underlying, the cha llenging factor is the growth of the deposit that is what is happening in the system also but in spite of that the Bank has a very strong growth both on the deposit and also on the advances.
One thing which is noticeable is that earlier also we said that we tried to retailize the book more. So, if you look at December 2024 over December 2023 the RAM book which is Retail Agri & MSME, the book percentage has increased from 57 .9 to almost to 59.9%. So, roughly there is a change of almost 200 bps between the December ’23 and December ’24 over December ’23 that’s something very significant and that is what we wanted the book to diversify in terms of retailizing the book.
In terms of the CASA growth as the CFO said rightly the growth is 6.5% and let me also remind that our CASA growth in September 2024 was at 7% which is comparing to the system that we have done much better that is what our key focus area . In spite of the challenging deposit market condition the CASA percentage is almost at 39.68%. we are almost able

to sustain the CASA percentage vis -à-vis
September, in December over September. And we intend to keep the focus on the same way we are focusing on the CASA depo sit more as compared as to any other form of deposit.
Our CD ratio we are mindful, this is at almost at 84% so as I said also earlier domestic CD which will operate between 80 to 82 % whereas the global CD we would like to operate between 82 to 84 %.
The profitability as you look at the book increase is of almost 11.7% to 11.8%. The operating profit increase is of 9.3%. This is again consecutively 8 quarters where we are posting net profit in excess of 4000 crores and the last quarter it was in excess of 5000 crores.
Only on our margin front , this is a industry phenomena in terms of the cost of deposits slightly being higher, the margin has gone slightly lower as compared to our guidance of 3.10 to 3.20 %. 9 months NIM is at 3.08 %. So, I mean there is a bit of squeeze on the NIM side because of the market condition s but we will be trying to operate within the band of 3 to 3.10 % full year for FY25.
Asset quality is one of the best quarter s we have had, I said the credit cost is almost 0.30%, the slippage ratio is 0.90 %, this is well below our guidance of 1 to 1.25 % for the slippage ratio and also below 0.75 %

for the credit cost. I think in terms of the quality of book as we have as on today , I think it is a sustainable one. Both net NPA and the GNPA has been trending downwards vis -à-vis YoY and also on a sequential basis.
Also a s our CFO said right, this is the 10th consecutive quarter we are posting ROA in excess of 1 % and the ROA for the quarter has been 1.15 % as compared to 9 months of 1.17 %. So, we continue to have a guidance of more than 1 % ROA , going forward.
Couple of things on the technology piece which is important , there was an IBA Technology Award and the Bank could get the best prize in terms of being the winner in the AI/ML adoption . Bank was a winner in two segments of the Digital Technology Awards and also runner up in two . In terms of creating the right digital architecture for the customer to get the best service f rom the Bank.
To sum up the guidance that we want to retain for the FY25 , on the deposit guidance continued to be 9 to 11% as we said earlier and this time we have exceeded that 11% on the upper band. The advance guidance continued to be 11 to 13%. And this time the advance is 11.8% slightly on the corporate we wanted to moderate the reason being because the cost of deposit is on the higher side, slightly on the finely priced book on the corporat e credit we wanted to go slow on that. The slippage received we continued to be 1 to 1.25%, the credit cost guidance continued to be bel ow 0.75%. On the margin side although we tried to optimize on that but the operative guidance on the margin would be 3 to 3.10 % that means 3.05 +/ - 5 bps with a bias towards upwards that means we tried to optimize at the upper band which will be at the lower band of the last guidance we had given.
With this again we thank all of you for the joining the call today. The Bank continues to work on having a sustainable and consistent business model, defining the outcome whether it is book increase, whether it is a profit increase and at creating a better asset quality going forward.
Thank you all for again joining and Phiroza for the question s and answer session.
Host: Thank you, sir. We are now opening for questions. If you have a question please raise your hand. If you have a problem with the microphone you can also type in your question in the Q&A box and we will come to you.
The first question is from Ms. Siddhi Nayak of Reuters. Siddhi, if you can please unmute yourself and ask your question.
Ms. Siddhi Nayak: Hi, am I audible?
Mr. Debadatta Chand: You are audible, Siddhi please go ahead.
Ms. Siddhi Nayak: Sir, a few clarifications before I start my que

stions. You said your net interest the
margins would be in what range for FY25, I just missed that number, sorry.

Mr. Debadatta Chand: For the full year the operating band would be 3 to 3.10 % that is 3.05 +/ - 5 bps but then the bias is upward in a sense we will try to optimize at 3.10 % which is the lower band of the guidance we had given earlier.
Ms. Siddhi Nayak: Okay. Sir, the other thing you said on corporate loans you said that you deliberately want to keep that book a little slow, what was the reason for that.
Mr. Debadatta Chand: See, there are particularly in the corporate book there are capex/non -capex, PSU/non -PSU, so the area where the economy wants a productive capacity to be created we are going long on that we are funding big time on that. But there are asset class where the pricing is very fine

because these are typically high rated, high -quality asset, typically on a refi market or a takeover market and where we have slightly gone slow. If you look at our 3 quarter performance, June we are slightly slower on the corporative credit, September it was in excess of 10%, and December slightly a t 6.8%, but the full year we will try to achieve around 10% of corpora te credit.
Ms. Siddhi Nayak: Okay. Sir, coming to my questions right now, what is the ideal retail to corporate books mix that Bank of Baroda is targeting especially and since you said there is some of issue on pricing also on corporate notes so what is the outlook on book mix that Ba nk of Baroda wants to keep.
Mr. Debadatta Chand: Yeah, we said earlier actually over a period of time we would like to …. retail means not only the retail asset we are talking about the entire RAM book we are talking about which consists of Retail Agri and MSME. At some point of time , we will try to reach around 65 and 35, so that data that I am giving as on December ‘23 the RAM was 57.9% and as on December ’24 RAM is 59.9% almost 200 bps changed in the RAM book. So, as you know the retail is growing almost 20% consistently for last m any quarters. The Agri MSME for this quarter we added almost 200 bps growth vis-à-vis the last quarter so the RAM is going faster than the corporate obviously the book would tend towards a higher RAM to Corporate, going forward.
Ms. Siddhi Nayak: Okay. Sir, last question is on your LCR if we could explain what would be the hit if the new draft guidelines were to be implemented.
Mr. Debadatta Chand: So, the LCR we have disclosed at 130% which is very strong and comfortable level, right, so 130% as against 100% of the requirement. So, always all the banks would try to keep the buffer vis -à-vis the regulatory requirement . So, it is draft guidelines, the final contour is yet to come out. But earlier also we said that even if the guidelines comes as it is then the impact can be 10 to 12% maximum. So, taking that into account at 130 %, we will be comfortably above the regulatory requirement of 100%. But now our normal comfort range is 115 to 120 % is the range that we , normally look for.
Ms. Siddhi Nayak: Okay. And so , my last question is on your provisioning part, it is still like more than 60% increase YoY on provisioning, wanted to understand what was the rationale behind that and how many quarters do you foresee this trend of elevated provisioning to continue.
Mr. Debadatta Chand: No, if you get the provisioning vis -à-vis the Q3 it has been higher but if you look at the Q2, sequentially it has gone down, right. So, from 2 ,336 crores to 1 ,082 crores, the lower provisioning is because of the better asset quality of the Bank and particularly the provisioning requirement because of corporate credit and all has been very less. So, there is no concern at all with regard to the provisioning. The asset quality is very strong at this point of time so the provisioning requ irement is much lower.
Ms. Siddhi Nayak: Sir, thank you.
Mr. Debadatta Chand: Thank you.
Ms. P

hiroza Choksi: Thanks, Siddhi. If I could request everyone to limit their questions to two and we will come back to you if there is time. The next question is from Mr. Vishwanath Nair of NDTV Profit.
Mr. Vishwanath Nair: Good evening, I hope my audio is good.
Mr. Debadatta Chand: Good evening, Mr. Nair, please go ahead.
Mr. Vishwanath Nair: Sir, with regard to your bulk deposits you said it is 14% growth there, compared to that your retail deposits have grown about 9.7% even though in absolute terms retail term deposits

are higher. But I just wanted to get a sense on this bulk deposit because you have mentioned multiple times on the corporate credit growth the fact is that the deposit cost is higher so you are trying to control margins there. But 14% growth would indicate that you are okay with cumulating the bulk deposits. That’s the first question, sir.
Mr. Debadatta Chand: So, I have been guiding the market actually, we have been talking about reducing the dependence on bulk deposits since long. If you look at my earlier quarters the growth has been much lower on the bulk deposit and this quarter because the retail term has grown at 9.7% that could allow our bulk to grow at 14.7%. So, what is important here is that bulk is not only the bulk deposit that including the certificate of deposit which is a lower tenure and much lower pricing. So, depending upo n market condition to optimize that we grow, right. In a case we maintain a margin on

the other side, to the extent the balance sheet allows us to grow on the bulk side we will grow. But clearly if you look , since I have maintained the CASA at almost at 40% so you can imagine the kind of focus on retail CASA as compared to bulk deposit or any other form of deposit which is higher than the CASA cost, right. As a percentage we are quite below the threshold in te rms of percentage of bulk deposit to total depo sit. If you look at last 10 -12 quarters the percentage is much better as compared to the earlier quarters. Clearly, that's our focus going forward and the numbers that we are giving on bulk deposit is not only , only bulk deposit it is consisting of a significant portion of the certificate of deposit also.
Mr. Vishwanath Nair: What share of th e 2,32,000 crore would be CD?
Mr. Debadatta Chand: CD roughly we have not given here. It almost like 30 -35% would be CD component here.
Mr. Vishwanath Nair: Alright. My second question is on the retail slippages, so there the number is a little elevated. That doesn't stop you from growing on this portfolio, sir?
Mr. Debadatta Chand: See, the retail NPA we have given data somewhere the percentage NPA is 1.3% or 1.31 % kind of a level
Mr. Vishwanath Nair: I understand it is not affecting your book much but you know specific assets are defaulting that's what.
Mr. Debadatta Chand: So, if you grow on the book obviously the absolute number would go equal to the proportion that you want on the book. Looking at both the factors in terms of the growth on the asset side of the retail and also slightly higher what you can say couple of 100 crores higher on the retail asset NPA, it is not at all a concern, rather it is well below our tolerance and threshold at this point of time.
Mr. Vishwanath Nair: Alright. Lastly, sir, on CASA that seems to be still dropping, you know the expectation is that there is going to be a rate c ut soon but it will take time before your deposits are repri ced. How soon do you think this can be arrested?
Mr. Debadatta Chand: See, we are focused on CASA , I have given a data that in September also the growth is 7% and you would have seen in the system growth particularly other banks' growth on that. So, in that way , focus will continue to be there. But at the same time while a tight deposit market we are also not willing to sacrifice the CASA percentage. On the dip that you are looking at 16 bps or around slightly 16 o

r 17 bps. That in terms of the market actually yo u can imagine what is the focus
that you ar e going to retain the CASA percentage. So, we will continue to have a lot of optimization within the liability structure so depending upon the assets, the asset pricing how much you could pass

on and the book would calibrate accordingly so that the guidance is on the margin more and also the ROA more.
Mr. Vishwanath Nair: Understood, thank you, sir.
Host: Thank you, Vishwanath. Joel Rebello of the Economic Times, Joel, you will have to unmute yourself.
Mr. Joel Rebello: Good evening, I hope my audio is good.
Mr. Debadatta Chand: Yeah, I can hear you please go ahead.
Mr. Joel Rebello: Thank you. Sir, in your comments in your opening remarks you mentioned that CD ratio of 84% you are very mindful of in the context of you'll growing the book at the rate that you'll are growing especially the retail side what are you going to do to ensure that CD ratio doesn't go up further or you know, you'll don't get into I think you'll are already in the danger zone. If I've heard you right, I think 80 -82% is what you'll want to be and you'll are at 84 %.
Mr. Debadatta Chand: You know, just to slightly I mean tell you here that our domestic CD continues to be in the range of 80 to 82 % while the global CD continues to be around 82 to 84 %. And when we talk about the CD ratio there are a couple of data points which are important, I am running an excess SLR of almost 6.5 to 7%, I am running a LCR of 130%. So, if in both the data points I think this is a level where we are comfortable at this point of time. Let us also understand that the deposit market is quite tight and with the deposit market improving the r atio would go down . But let's say again on the growth the numbers we have said deposits we want to grow at 9 to 11%, advances we want to grow at about 11 to 13%. If you see, if we are at the top end of the growth, deposits 11% and advances 13% , I think below 84 % CD we can achieve both the targets. So, we are very certain with regard to how do we construct the book so that we maintain the CD at the same time achieve the growth guidance that we are giving for t he full year.
Mr. Joel Rebello: So, in other words if I have read you correctly you do not expect CD ratio to go above 84% for the fiscal year.
Mr. Debadatta Chand: Yeah, yeah.
Mr. Joel Rebello: So, you are at the peak in CD terms.
Mr. Debadatta Chand: We are comfortable at this level.
Mr. Joel Rebello: On the margin side, sir, year -on-year margins have fallen. I can understand cost of the funds getting expensive, liquidity tight, but your yields on advances have also fallen year -on-year.

Can you just tell us what is the problem that yields on advances, s ir?
Mr. Debadatta Chand: No, actually there is no, see, if you look at the ROI matrix of the advances side, whether it's BRLR or the MCLR, these are already saturated since long, right? So , the asset side, whe re the cost of deposit was catching up in terms of month -to-month and quarter -to-quarter. So , this is what the structure we have. In that scenario, there will be a bit of repricing happening because of the asset getting repriced. There are resets happening, consequently putting some impact on the yield side. So now we're at a scenario where you are looking at a cost moderation because of the aspect that we talked about. And I think, which is again going to balance out going forward in that way.

Mr. Joel Rebello: Okay. So basically, if I've understood again correctly, you're saying that it is not because your loans have been repriced at a lower rate because of MCLR adjustments or whatever in the last few months. That's why the yield has come down. I mean, put it si mply?
Mr. Debadatta Chand: There are two ways. The reset can happen at a higher rate or can happen at a lower rate. But let's say again, a couple of t

hings I have said, that personal loan, which was quite NIM
accretive, we have reduced the exposure significantly. The NBFC exposure a lso would have seen, suppose you have that analyst presentation, there the percentage has gone down. So , while balancing the portfolio, you have to look into what is the RWA, the risk -weighted asset also in that way. So , it's a balancing a ct in terms of how do you structure so that you maintain the asset quality, at the same time, maintain your margin guidance.
Mr. Joel Rebello: One last thing, sir. Other Income has shown a very handsome growth; that's for all banks mostly this quarter. But for y'all it's been pretty high year on year, if I'm looking at 34%. So where is it coming from? What is the outlook? I mean, is it there is e ither a one -time gains there? Is there some treasury gains that you all made, which was one time? If you can elaborate?
Mr. Debadatta Chand: Yeah, two factors who contributed well for this quarter on the Other Income. Last quarter was because of the recovery of the written off accounts that we said last quarter. This quarter, there is a good growth on the treasury income. The trading profit has been higher. On the depreciation scale, there is a write back as compared to a depreciation provided in last quarter of last year. So, the treasury income there's almost substantial growth vis -a-vis the last year, the same quarter. At the same time, you can also take a note of one element, there is an interest on the tax refund, that's almost 330 crore. So , that has also contributed to a handsome 34% increase in the Other Income.
Mr. Joel Rebello: Okay. Okay. Just to clarify again, lastly, sir, NIMs, you expect it to be better than this. I mean, 3 -3.10 % is better than what you'll achieve in this quarter. That is because you think that retail will continue to grow, the high yielding portfolio will continue to grow, basically?
Mr. Debadatta Chand: That's fairly right. So , we have achieved 3.08 % for 9 months. The guidance was 3.10 to 3.20 %. So, now we're giving an operating guidance of 3 to 3.10 %, we'll try to have upside there, so that we at least achieve the 3.10 %, which would be the lower band of the earlier guidance.
Mr. Joel Rebello: Okay. Thank you so much, sir. And all the very best for the rest of the year.
Mr. Debadatta Chand: Thank you, Joel. Thank you very much.
Host: Thank you, Joel. Mayur Shetty of Times of India.
Mr. Mayur Shetty: You said the provisions were not out of place, the 66%. But your profits have been contained at 5% because of increase in provisions and also operating costs. In absolute terms, both have 600 crore increase in operating costs and around, I think, 400 in pr ovisions. So where do you think the profit increase will come in future? Like, will it be by reduction of these operating costs or do you see the operating income going up substantially higher than 10%?
Mr. Debadatta Chand: So, you are right on the matter, actually. If you look at the Net Profit, the growth is 5.6 % yeah, the growth is 5.6 % for this quarter on the YoY, whereas for 9 months it is 12.6% on the Net Profit. This is one. Secondly, the growth slightly in terms of the Net Profit growth has been significant, but in YoY terms, it is 5.6% because the NII growth has been 2. 8% because of the cost increases there in. So, interest expense is growing slightly higher than the increase in the interest income . So, this is typically based on the current market scenario where the system is also facing a bit

of margin squeeze because of the cost of deposit. So , there is a different outlook , going forward. So , in that scenario of that, and normally when you walk into the Quarter 4 of the financial year, it's a very productive quarter for all the banks, right? So , this is a busy season, good productive quarter. If you look at the Quarter 4 results of the bank for multiple years now, always it's

better than the earlier
quarters. So , in that way, when we are giving a RO A guidance of in excess of 1 %, I think we will be positioned to achieve a significant growth in terms of what do you think the Net Profit that we have achieved for 9 months now.

Mr. Mayur Shetty: Yes, sir. And one more question. The 1.5 lakh crore liquidity measures announced by RBI, how will that impact your, say, P&L and balance sheet? Would borrowings go up? Would the interest costs come down?
Mr. Debadatta Chan d: Ideally, it should be because it's a durable liquidity being injected to the market. And obviously, there should be moderation at the market borrowing cost, and possibly some segment of the deposit cost, particularly the certificate of deposit and all. So that's why actually when we are looking at a NIM guidance, we think of slightly a better outlook on the cost structure on the deposit side and whether it is a borrowing or a certificate of deposit. Even if the retail deposit may slight ly take a longer time for a bit of moderation, but other market would react to this. And that's something positive for the bank.
Mr. Mayur Shetty: Thank you very much.
Host: Thank you, Mayur. Mr. Abhijit Lele of Business Standard. Okay, we'll come back to Abhijit. Piyush Shukla of Hindu Business Line.
Mr. Piyush Shukla: Hi, sir. Good evening. So just to, just one clarification for Joel's question, you said 330 crore of that penal interest that used to come, has now gone in Other Income in this quarter. 330 crores?
Mr. Debadatta Chand: No, no. We said there is an item of around 330 or 340 crore, which is interest on the tax refund, which is an item which is shown as part of the Other Income. So that's something that has slightly boosted the non -interest income, almost the growth has been 34%, right? So , that is what the point I made.
Mr. Piyush Shukla: Okay. Thanks, sir. So just two quick queries I have. One is, I want to know what is the loans that you have given against securities in terms of shares, mutual funds? One is that. And then, that product that you've launched, Systematic Deposit Plan, how mu ch of a traction has it gained? If you could help me with that.
And the last question is on the ECL. If you have estimated the amount of provision that you would make as per the draft norms? I understand the final guidelines have not come in, but have you done any estimation of how much provision you will have to make? Thank you.
Mr. Debadatta Chand: See, on the loan against shares and mutual fund, I think we do have an insignificant exposure there in. And so hardly any exposure on that. Although I don't have ready data, but then that's not a product we have been quite active on that. So that would be very insignificant. Secondly, you talked about the ECL impact. As the framework is still yet to come, but then obviously, we have our calculations, the p roforma which is shared with the regulator. But then the impact currently, because it allows for an amortization over a period of 5 years in that way. So , I don't think the impact is going to be very significant vis -a-vis the numbers we are doing. Actually, like you, I have read in multiple newspaper also, like banking system, the impact on the CRAR can be maximum 100

to 125 bps. So that's a ballpark number everybody talks about, and we can also possibly have that kind of impact. But normally, once the guidelines will come, then definitely we'll disclose all the numbers required to guide the market with regard to the ac tual numbers, right? So , this is one.
I just missed your second question. What was that?
Mr. Piyush Shukla: SDP, sir.
Mr. Debadatta Chand: Yeah. SDP has seen a good traction, good response, and with the Master Blaster being our brand ambassador, now we're getting very good traction on that. I think the last 6 - 7 months would have mobilized more than 3,000 crores on the SDP side. So that's

getting good
traction.
Mr. Piyush Shukla: Sir, just one last question on this Nainital Bank. Last year there were a couple of reports. Is there any update on the likely stakes sale that you were going to do? Is there any update on that front, sir? Thank you.
Mr. Debadatta Chand: So as of today, Piyush, no update on that. Actually, all my subsidiaries, including Nainital Bank, are unlisted and continue to be unlisted. The divestment depends on a host of factors in terms of process, timing, valuation, the approval process. So , there is no set timelines for any of the divestment, whether it's Nainital or any other subsidiary that we talked earlier. So, once the right time comes, we'll announce to the market. But as of today, it's unlisted and will continue to be u nlisted.
Mr. Piyush Shukla: Thank you, sir.
Host: Thanks, Piyush. The next question is from Kshipra Petkar of Informist.
Ms. Kshipra Petkar: Hi, sir. So just a couple of questions. The first is on your expenditure on tech. How much are you expending? Are you planning to increase that portion for this year and for FY26 as well?
Mr. Debadatta Chand: Yeah, to respond, Kshipra, actually, normally, all our expenditure, both revenue and the CapEx is in excess of roughly around 4,000 crore. But normally, as a principle, what we normally decide, that I set aside around 12 to 15% of the operating profit towards the tech spend, which includes the capex and also the operating expenses. And we'll continue to be guiding on that. That is a significant amount and that can take care of the requirements for investing on the digital side.

Ms. Kshipra Petkar: Okay. S ,o the other one was, you recently launched your liquid fixed deposit and a couple of other deposits as well. So, any plans on coming out with more products on the deposit side?
Mr. Debadatta Chand: Yeah, actually, the point, Kshipra, you're rightly touched upon that, as we keep focusing on the retail side of the CASA and the retail term deposit. Earlier also, we announced to the market that we need to keep innovating because we need to meet the t rust of the depositor or the preference of the depositor in the current scenario. And some of the products that you are referring, whether it is a liquid deposit, whether it is an SDP deposit, whether it is a Green Deposit, these are all timing on the customer preference. And out of all the deposits we're getting good traction as on today. And we may innovate particularly on the Green Deposit, we are looking for a new… because Green Deposit has got a very good traction. The outstanding Green Deposit as on today is more than 1,000 crores since we have launched that. We're trying to again create a new structure for the Green Deposit. We'll keep on innovating within the regulatory norms so as to meet the slightly changed preference s of the depo sitor that we have seen for last couple of quarters in the banking sector.

Ms. Kshipra Petkar: Sir, the last one. Any fundraising plans for this, the rest of the financial year as well as for next year?
Mr. Debadatta Chand: There are two ways I will address this. One is a normal fundraising in terms of Infra. We almost raised 15,000 crores. In terms of tier 2, we raised around 3,500 crores. We'll continue to do that. There is some headroom available in terms of our announceme nt, both on the Infra and also tier 2. If you're referring to the equity raise, the Bank has not decided as on today; the Bank is quite adequately capitalized. But looking at a future scenario, we'll plan, and accordingly we'll let the market know at that point of time.
Ms. Kshipra Petkar: Sure, sir. Thank you so much, sir.
Host: Next question is from Anshika of Mint. Please unmute yourself.
Ms. Anshika: Hi, sir. Good evening. Sir, two questions. One, you mentioned that on the personal loan, you're going a little slower on the personal loan portfolio, but it's still grown about

24% on year, and
about 7% on quarter. What was the growth last year and what ha s been the slowdown? How much has the slowdown been?
And the second question is, because you said you're going a little slower on personal loans, if you could just share the breakup of disbursements within the RAM portfolio this quarter, and whether you expect that share of disbursements to continue, or coul d we see MSME loans going a bit faster and there could be some amount of shift in the portfolio mix within RAM?
Mr. Debadatta Chand: On the personal loan, actually, if you have the data of more than a year, the growth was almost 70 -80% continuously. So , in July 2023, we announced to the market that we're going to moderate that. And, that was much before any discussion happened on the unsecured personal loan in the entire market itself, right? So currently, we have come to a very… earlier also I said, the growth target would be something around 30 to 35%. This quarter, the growth is 24%. We slightly segmented the unse cured personal loan in terms of salaried class, in terms of category of customers who have a higher bureau score. So currently, the kind of underwriting quality that we're looking at, we're quite comfortable growing at 25 -30%. Mind it, my base is quite low as compared to many of the peer banks on the market, right? That is one.
Secondly, on the RAM side, yes. Actually, not only the retail, growth of almost 20% for last many quarters now. If I remember, it is almost like 10 -12 quarters, the retail growth is 20%. Agri and MSME, in December 2024, we picked up almost 200 bps more tha n the September quarter. So clearly, there are segments under Agri and MSME where we think these are again going to be a sweet spot, good quality underwriting quality and the growth continues to be higher there. We'll try to optimize further on that, no do ubt. So , the overall piece that we are working on the RAM, slightly grows faster than the corporate credit, so that I chase the mix that you are talking about on that. I've changed that 200 bps December ‘23 to December ‘24, and going to improve further upon that.
Ms. Anshika: So, would you be able to share the disbursement breakup?
Mr. Debadatta Chand: On the RAM disbursement all together, I may not have. We can share offline. Any idea Mudaliar sir on that?
Mr. Sanjay Mudaliar: Sir, we will share separately, I also don't have immediately.
Ms. Anshika: Sure, sir, no problem. Thank you.

Host: Thanks Anshika. Abhijit Lele sir, do you have a question? Not sure whether you can unmute yourself.
Mr. Abhijit Lele: Hi, sir. One is with regard to the MCLR book. Is there still room left for you to revise the rates, keeping the cost of funding behind? And if that is the case, what would be the broad basis point that you see, so that that might improve your yield on adva nces?

Mr. Debadatta Chand: Just to answer this actually, the cost of deposit, as we said earlier, almost peaked out in a manner, right? So, if there is a cost increase that happens, MCLR is directly dependent on the cost of deposit as per the model. So , there may increase in case the cost goes up. But then, now we are at an outlook which is completely different than the outlook, maybe a month back. There is durable liquidity injected to the system, both in terms of CRR cut and also the measures announced . There i s a policy again due, which again would be much watched in terms of the policy stance, and particularly, on the rate stance. So , in that scenario, I think fairly well balanced in terms of managing book, in terms of maintaining margin. Our book is actually rather a strong and robust one. And while again, the idea that we are doing on the book, in case you look at the book increase, the profit increase, the margin guidance, it's a very balanced, sustainable and consistent vis -a-vis many quarters now. So , the model that we're working on, the busine

ss model, is to have a sustainable and consistent business model. And I think any cost factor going up and down, the system would take care of it, in terms of how do you pass on and how do you absorb that in the book. So , I think there is no guidance on the MCLR. Typically, it's an ALCO call. But then I'm not seeing a case where the cost of deposits is significantly going up and impacting the MCLR upward in the matter , going forward.

Mr. Abhijit Lele: Okay. I'm through with my query. Thank you.

Host: Thanks, sir. Dipankar of PTI. Dipankar, can you please unmute yourself?

Mr. Dipankar: Good evening, sir. Sir, I just wanted to understand with respect to your exposure in MFI sector. And, do you see the pressure mounting as far as delinquencies are concerned in that segment?

Mr. Debadatta Chand: Actually, my MFI exposure is very less, actually. Maybe around 6,000 crore is the exposure as of today. And these are again, on a rating scale are A and above. Maybe a couple of accounts would be below A. So , if you look at the percentage slippage that we've given, this is not at all accounting anywhere in terms of any slippage out of the MFI book. So , we are quite comfortable at the current exposure, which is not large, a small one. At the same time, the asset quality of our book of 6, 000 crore on that.

Mr. Dipanka r: Okay. And since you said that, if you plough back your profit, your CR AR comes around 17%. So that is good enough to sustain the credit growth of 11 to 13%.

Mr. Debadatta Chand: Absolutely. Rather, it would support a higher growth of 14 to 15%, but then we're comfortable with that.

Mr. Dipankar: So next year, you may look at raising some capital, or next year also you will be sufficient?

Mr. Debadatta Chand: So, in terms of the normalized growth and the pl ough back, I mean, we do have the requisite growth capital to sustain growth of 14 - 15%. That's not a point. The point, which again, I'll slightly give a dimension that, ECL framework is one thing that we need to factor in. So , the Bank would be looking at all these aspects, and possibly at the right time, would announce whether there is a requirement of equity or not. So as of today, no plan for an equity raise. But then going forward, yes, we may evaluate a ll the options and come back to the market at the right time.

Mr. Dipankar: Thank you, sir.

Host: A couple of questions that have come in on the Q&A chat. So , one is from Manish Suvarna of Moneycontrol. Given that there's an expectation of a rate cut in Feb in the monetary policy, what impact do you see on NIMs?

And can you clarify on the liquidity announcement by RBI and how it will help Bank of Baroda?

Mr. Debadatta Chand: So, Manish, there are two things on the rate cut. Yes, it's an expectation that there may be moderation, looking at the liquidity measures announced and the global outlook therein. But it's a Regulator's call. In case that rate cut happens, then obviously, we expect a cost moderation immediately to happen on the market side of the deposit side, on the resource side. Retail deposit may take a lag effect in terms of resetting on the deposit, retail deposit. But obviously, the bulk , CD and market borrowing would immediately react to that, and that would be positive to the NIM and for the Bank.

The liquidity measures again announced is also positive because as I said, the system liquidity was lax, negative. So now, there is a durable liquidity being injected to the system. And I think, that's again, positive in terms of cost moderation and positively impacting on the NIM that the Bank has, or is going to be for the full year.

Host: One question from Ram Kumar of Hindu Business Line. Why is the Net Interest Income growth muted, but Other Income growth is robust? And why is the bank buying pooled assets? And what do these assets consist of?

Mr. Debadatta Chand: See, the first point is the Net I

nterest muted growth because obviously, the interest expenses growth has been higher than the income. So , the Net Interest Income has been muted. And that's typical to the current market condition s for the industry per se. So that's very apparent therein. In case there is a elevated cost structure on the deposit, and the asset repricing has

happened long back in terms of the BRLR and the MCLR, then obviously the NIM.
But earlier also we said while looking at the profitability side, we d o not take NIM as the only parameter. We always said NIM and ROA are the twin parameters. To improve the ROA, we need to have a very strong Other Interest income. So that has been very strong this quarter, and the earlier quarter also it was very strong. So , while we'll react to the market scenario , in case , there is an interest expenses going up because of market scenario, we'll try to optimize on the non -interest income, which has been slow for the Bank for many quarters now. So , we optimize on the ROA. That's why the ROA has been consistently above 1 % for 10 quarters now. And this quarter it is 1.15 %, and the full 9 months it is 1.17 %. So, we'll operate on both as a twin objective to operate. Somewhere, it may be optimized and other factor may not be optimized. But it's a balance for us to try to optimize on the margin and also at the ROA.
Host: Thank you, sir. The last question for today is from Falak of Deccan Chronicle...
Okay. Then I think that is it for this evening. Thank you all for joining us. Have a good evening.
Mr. Debadatta Chand: Thanks, all media friends on the call. Thank you very much.

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Call: May 2025

BCC:ISD:117:16:157 14.05.2025

The Vice-President,
B S E Ltd.,
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
BSE CODE-532134

The Vice-President,
National Stock Exchange of India Ltd.
Exchange Plaza,
Bandra Kurla Complex, Bandra (E)
Mumbai – 400 051
CODE-BANKBARODA

Dear Sir / Madam,

Re: Disclosure under Regulation 46(2) (LODR)

We enclose transcript of Analyst Meet held on 07.05.2025 for Q4 (FY2024-25) Financial Results.

We request you to take note of the above pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015 and upload the information on your website.

Yours faithfully,

P K Agarwal
Company Secretary

Bank of Baroda Analyst Meet for Quarter and Financial year ended 31st March 2025
7th May 2025

Participating members from the Management Team of the Bank
- Mr. Debadatta Chand, Managing Director & CEO
- Mr. Lalit Tyagi, Executive Director
- Mr. Sanjay Vinayak Mudaliar, Executive Director
- Mr. Lal Singh, Executive Director
- Ms. Beena Vaheed, Executive Director
- Mr. Manoj Chayani, Chief Financial Officer (CFO)

Moderator: Good morning everyone. Good morning and welcome to the Analysts' Meet for Bank of Baroda's financial results for the quarter and year ended March 31st, 2025. Thank you all so much for joining us. We will start proceedings with brief introductions. We have with us today our MD and CEO Shri Debadatta Chand and he's joined by the Bank's Executive Directors and our Chief Financial Officer. Chand Sir, would request you to start proceedings.

Mr. Debadatta Chand: Good morning to all of you and again to just to introduce the management, I am D. Chand. I am the MD and CEO of Bank of Baroda. To my right, Mr. Lalit Tyagi, he is the Executive Director, he looks after corporate credit, international banking and treasury more importantly. To his further right is Mr. Lal Singh, he is Executive Director looking after the MSME, the recovery and also the HR function of the bank. To my left, Mr. Sanjay Mudaliar, he is Executive Director looking after the IT and the entire IT part of the bank and also on the retail asset of the bank. To further left, Madam Beena Vaheed, she is the Executive Director looking after all platform functions, compliance and control and also the retail liability. And to the further left, Mr. Manoj Chayani, he is the CFO of the bank. So, with this, there is a presentation right?

Moderator: Thank you Sir. I would request Chayani Sir to please come over. We have got a short presentation with the highlights of the quarter and year gone by. Can we have the PPT please?

Mr. Manoj Chayani: Respected MD Sir, Executive Directors and esteemed analyst friends, good morning to all of you. It gives me immense pleasure to welcome you all, for showing interest in Bank of Baroda and after such a long time, we are holding this analyst meet physically. So, I will be presenting few highlights of financial year 24-25, quarter 4, 25. And as far as the financial results are concerned, 24-25 is a very, very robust and stable year for Bank of Baroda with our total global business crossing 27 trillion. In fact, during this period also, as we will move on the slides, I will explain, we have posted highest ever profit on console basis as well as on the standalone basis. Let me now go through the details of the presentation.

As you can see from the asset side, we have given a guidance of growth of 11 to 13% and our asset has grown by 12.8%. And the fact, I would like to bring to your kind notice is that the domestic advances has grown by 13.7%. If I go to the segment wise, the retail is going good with a robust growth of 19.4%. Agriculture and MSME has shown a very potential growth of 14.2% and corporate is at 8.6%. In the retail also, each and every segment has shown a very strong growth with education growing at around

16%, home loan 17%, mortgage 19% and auto loan at 20%. As we earlier said, we are moderating the growth in case of our personal loan book, which used to be at 100%. Now we have moderated it to 21% and we continue to have the same growth in future also.

Coming to the deposit side, our guidance was 9 to 11% growth and happy to say that the total global deposit has grown by 10.3% with international 15.8 and domestic 9.3. Here, two aspects I would like you to note that our CASA growth is 6.4% Y-on-Y, which is a benchmark in itself among all the public sector, the PSBs and some of the private sector also. Similarly, our CD ratio is maintained at a stable rate of 83.59% and domestic CASA, as we always said, will be maintaining at 40% and it is at 39.97%.

Coming to the quarterly profitability, operating profit we have posted 8,132 crore. Profit after tax for the Q4 is 5,048 crores. Please note that during the whole financial year, we have posted a profit of 5,000 crores twice in the year. Return on asset is consistent and as we said, for last 11 quarters, we

are posting return on asset more than 1% and it is 1.16 as of 31st March. Similarly, return on equity as healthy somewhere around 18%.

Yearly profitability, if I look at it, PAT we have posted all-time high of 19,581 and here, the console PAT, we have exceeded 20,700 crores, to be very precise. As we said, operating profit 32,435 crore, which was earlier 30,900 crore. Similarly, return on asset, we are maintaining more than 1% and return on equity at 17%.

Our margin, yield and advances is a little bit down from 8.53 to 8.39 with the obvious reason of easing out of the interest and cost of the deposit is at a little bit on a higher scale. So as a result, our quarterly NIM has declined from 2.94 to 2.86. A few basis point because of the repo cut and few basis point because of the, your day count for the March quarter and as a result, but as we always said, we will be maintaining the NIM more than three, our closing NIM as of 31st March is 3.02%.

This slide, I will take little time to explain you how we have generated value for the shareholders. As you can see for the last five years, there is a consistent increase in the book value for the share, which was 106, which has now gone up to 223, which is a substantial increase in the value per share. Similarly, earning per share has gone up to 38 rupees and you will be happy to note that the board has recommended for a dividend of 8.35 per share with a face value of two for the financial year 24 - 25, subject to approval by the competent authorities. And we enjoy a government parentage of around 64%.

Asset quality is a key for us and we never compromise on the asset quality with gross NPA trending down from 2.92 to 2.26. Net NPA similarly is trending down from 0.68 to 0.58. Provision coverage ratio is 93.29%, which is healthy in itself. Similarly, if we look at the slippage ratio, slippage ratio is also trending down from 1.12 to 1. As we said, our slippage ratio will never exceed for financial year 25. If I take the total slippage ratio, it has gone down from 0.99 to 0.78 and the slippage ratio, our guidance was 1 to 1.15 and we are well within that limit. Credit cost similarly, we have given a guidance of 0.75. However, we are closing our credit cost at 0.47.

SMA book is pretty much within the control of 0.33% and our collection efficiency is at 98.5%.

The bank enjoys a strong capital base of 17.19% CRAR with tier 1 ranging to 14.79%. And also, we are having a healthy LCR of 123%. This is the highlight for 24-25.

Now I will request MD sir to give his welcome remarks. Thank you, sir.

Mr. Debadatta Chand: Thanks Mr. Chayani and as the presentation captures everything with regard to the numbers for the bank, let me make a couple of qualitative comments vis-à-vis the performance. And one basic business model for the bank till today has been the co

nsistency. If you look at our
performance for last 10, 12, 13 quarters, whether it is a top-line number, whether it is a bottom-line number, one of the basic theme on which the bank is working on is the performance consistency. More importantly, the stability aspect of the numbers and also backing up everything within the bank to make it fundamentally strong. Just a couple of numbers which again, in terms of the domestic advances growth, we had a growth of 13.7%, which is definitely a very strong number for the full year. At the same time, the global is almost at 13%.

On the deposit side, the domestic deposit at 9.3 and the global at 10.3. So, in terms of guidance that we had given earlier, both the deposit and advances, deposit we said earlier will grow at 9 to 11 and advances at 11 to 13. So, we have come true to the guidance, slightly on the advances, we are at the upper band or exceeded as far as the domestic advance is concerned. And any other guidance we had given, whether it is a slippage ratio, credit cost, ROA and more importantly, the margin, I will talk slightly more on the margin side. So, we have come true to the guidance all along, whenever we give a guidance. And when last quarter I revised the NIM guidance by 5 bps, the market reacted, obviously so, but the idea was to come true on the guidance. And as on, if you look at the March 2025, then overall NIM is at 3.02, I will come slightly more discussing on the NIM part of it.

As I said fundamentally, the bank stock is a strong one. And one slide which we included this time, the value to the shareholder. If you look at the book value FY23, it was at 148.8 and the book value as on FY25 is 223. So almost INR 75 of book value we have added in 2 years' time. It is almost at 148, you look at almost 50% increase vis-a-vis the book value, it was in FY23. The dividend has been very consistent, possibly one of the highest dividend yield vis-a-vis any other public sector banks for the matter. The EPS trajectory is also very consistent. The point that I am driving here is that one of the key theme the banks look at, is to make the bank fundamentally strong. While consistency, stability is important contour of the bank's business model but the idea is to make the bank fundamentally strong. And I think that is a value the shareholder, I mean, have realized and possibly need to realize on that.

On the operating performance side, yes, the NII growth is a muted growth. We would wish to grow higher but the underlying market condition particularly on the liability that is what we revise the margin guidance in December, on that the cost structure on the deposit is still, was elevated impacting the Q4. And if you look at the liability and Mr. CFO also said that the CASA growth possibly, one of the benchmark vis-a-vis the industry at 6.4% growth. And I do not know how many banks are giving the data of savings and current separately. Our savings growth is almost at 5%. And that is a retail saving that we are talking about. So secondly, earlier also multiple times I said earlier, the dependency on the bulk, we want to reduce it. And I will just give a data point, the outstanding bulk deposit as a percentage of total deposit. I mean, it was somewhere at 8% in FY22. It went up to almost at 16% in FY23. As on June 23, it went up to 20% and as on today, it is almost 1yr. 9 months, we are still at 20%. So, we do not want the expansion of the balance sheet by raising bulk deposit. And that is a number already, if you can compute that part of the numbers given in the analyst presentation, you can make it out.

The operating profit growth has been almost at 4.75%. That is because the non-interest income has been strong on this year. And just to give a sustainability of the non-interest income, I say there are two items which help us. One is a treasury income, another is a recovery out of TWO accounts. The treasury income has

been better this year as compared to last year, almost by 600 crore. And going by the current market condition on the bond market or the rate side, I believe this year also going to be a good year for treasury. Similarly, on the recovery out of the TWO, our normal run rate earlier also we said, it is almost like 750 to 800 crore. And every year we see there is a one off coming out of NCLT resolution or some other account. So last year also we had one off. FY23, 24 also we had one off. So, with a run rate of around 750, 800 crore, I think again this year going to be a one off, putting our recovery almost at the same level like last year.

Cost to income, I think at below 48 is one of the best in terms of the way we look into the market and cost to income over the banks. The net profit growth has been 10%. Although quarter to quarter the growth has been 3%. And as I said, the business model is a consistent and stable business model when my top line is growing almost 12-13%. I think growing 10% net profit is also a good performance as far as the bank is concerned.

On the composition of assets, the retail continue to grow at 20%. One number that you would notice this time, last time I said that we want to upsize the growth in MSME and AGRI. The AGRI and MSME growth has been almost 14.2%, which is almost 300-350 bps higher than that of last year. And earlier also said corporate, we want to grow at 10% and this year it is 8.6%. But I hope liquidity back into the system now. We can grow at 10% for this year too.

One of the numbers which again should invite attention, when I talk about the fundamental strength of the bank is the percentage of CASA ratio. We are at 39.97% and I think in the top league of the banking sector in terms of both public private together, 39.97% is one of a very good number as far as the CASA percentage. Although market was very tight, there is a preference change that happened vis-à-vis the deposit or vis-à-vis the capital market. But I think the bank did well in terms of maintaining the CASA at 39.97%. As I said, we want to, we focused more on the retail saving and retail term. We did it through multiple innovative products, better services, many marketing campaigns. As you know, that we last year got Mr. Sachin Tendulkar as the brand ambassador for us and coming out with some curated products vis-à-vis the deposits. I think because of our innovation in the space of the deposit market, the bank is able to do good in both retail saving and also on the retail term deposit.

Two points, I would like to again, slightly possibly, all of you would like to know that what the coverage that I would see after announcing the financial result vis-à-vis the market reaction. One is on the margin front. Another second is on the slippage front. So, when in December, we announced that we are going to revise the margin guidance, precisely looking at the Q4 number that was likely when we saw it in December. And precisely for that reason, we reduced the guidance by 5 bps. Earlier, the guidance was 3.10 plus minus 5 bps. We revised that to 3.05 plus minus 5 bps. At that time, the market reacted also with the change guidance, but the idea was that we would come true on the guidance. And that precisely Q4 NIM is slightly lower than that of December Q3. And that was obviously, it was known and for which the guidance was revised at that point of time. Having revised the guidance, the full year NIM is at 3.02%. Here, there are two factors to be considered while looking at this number of 3.02%. At 3.02%, I do run a large international book where the margin is less. My domestic NIM is 3.18%. And I think that is compared with the best in the market as far as the domestic NIM and I am talking about large PSU for the matter. At global NIM of 3.02% also, within the large public sector peers, we are the number two, where one bank for a full year having a NIM in excess of

three. But again, our business composition is a 16-17% international book. And that is why if I only compare the domestic, possibly would be one of the highest. And margin, when reduction happens quarter to quarter, we as a bank, when we say we carry rate sensitive assets and liability and we do active ALM management, market, I mean, my NIM has to react to the market condition. Suppose the market, you know, there is an elevated cost structure and my NIM is not reacting, that means something, either I am going for a risky asset to compensate my NIM, that is not the theme the bank works on. We keep underwriting quality of the book as one of the key foremost thing while trying to drive on the business. So, my request to all of you, please look at the absolute number of 3.02, not the cut between December, March vis-à-vis December. And at 3.02 also, it is a very active, I mean, what I mean to say, it is a very strong number because if you compare the market, yes, Q4, there is a cut vis-a-vis Q3 and that was anticipated beforehand.

Having said so, as on today, how do I look again the NIM guidance for a full year 25 -26? We said we are not going to give a full year guidance now, reason being the market is at a very inflection point. Why? The repo rate already has been cut by 50 bps and the cut of the repo rate within this Q4 itself is almost 3 bps and going to be for the full year would be much higher. Similarly, the liquidity scenario that was prevailing in Q4 has changed in Q1. So, this quarter is really a quarter we need to watch out with regard to the NIM trajectory. As you know, the deposit has a lag time, we have seen the wholesale deposit, we almost run a book of 2,25,000 crore of the wholesale deposit. And the repricing of this deposit started at a much lower level, around 30 - 40 bps lower as on today. If you track the certificate of deposit market, you can very well know that the wholesale deposit, the rates have gone down. On the retail deposit front, we have reduced the peak rate by almost 15 - 20 bps. And possibly with the further, I mean, moderation happening on the liquidity and the rate stands, possibly these rates again would be reduced further. But then, as you know, on the floating rate advances, the impact comes immediately, deposit impacts slightly takes a lag effect. So Q1 would be a quarter to watch out. And I think the normalization of this, I mean, catch up in terms of the reduction in income and the reduction in the cost of deposit to slightly take a longer time and possibly would catch up somewhere in the latter part of Q2 or Q3. So, we are expecting a much better NIM somewhere in maybe to some extent in Q2, but Q3, Q2, Q4 would be definitely much better. And my sense as on today, although I am not giving a full year guidance, my sense as on today that on a full year basis, all the banks, including us would be able to maintain the NIM margin that we achieved in the previous year, at least. So immediate Q1 would be slightly a challenge because, I mean, in our kind of market scenario, it is an inflection point in terms of the rate stance change between Q1 over Q4 or the liquidity changing between Q1 over Q4. So, there can be some kind of a pressure still continuing. We will need to see, need to watch out, watch it out and then possibly decide on a full year guidance.

On the slippage side, asset quality, let me tell again on multiple times that we have one of the best asset quality ever in the history of the bank for last 13 years. The number of GNPA and Net NPA you are looking at, I will come to the slippage data, data-wise, point-wise. The slippage that we are looking at, the GNPA and Net NPA are the best in 13 years and what is good part of Bank of Baroda story here is that, consistently for last 12 quarters, the trending has been uni-directionally downward. I am again repeating uni-directionally downward in the sense there is no up and down

in between, consistently
it is trending downward. That is a story, that is very strong that the asset quality of the bank as on date is one of the best in 13 years, point one. There are two other data, it is there in the analyst presentation, you can have a look. The slippage that we have this year, full year, I will come to the quarter also, the slippage for the full year is lower than the slippage that of last year. The recovery that we have for the full year is higher than the recovery that of last year. And within this year itself 2025, the recovery is higher than that of slippage.

Again, I repeat three statements that I am making. The slippage of this year is lower than that of the slippage last year. The recovery of this year is higher than the recovery that of last year. And within the same year, that means 24-25, the recovery is higher than that of the slippage. I am excluding the write-off that happens in the book. I am only talking about the NPA recovery and the TW recovery that the data is here in terms of moment of NPA. And even if considering the Q4 only which some of you or the market reacted, the Q4 slippage is 2850 odd crore, Q4, 25. And the Q4, 24 slippage is almost at the same level, 2850 odd, I mean, it's flat. I am comparing with the Q4 of last year. Between the Q4 and Q3, yes, there is a 300 crore increase between 2500 crore to 2800 crore. But again, look at another data therein. I am coming to the quarter comparison. The recovery is also higher than more than 300 crore on the same head as far as recovery of this quarter vis-a-vis the recovery of last quarter. Another data point I will give you, the collection efficiency, which again talks about the quality of the book the

bank runs. The collection efficiency March 2024 was 98 and March 2025 is 98.5, obviously excluding agriculture, that is a data that we provide to all of you. So, in terms of the structure of the NPA, it is one of the best, what you can say, quarter we had and full year we had. And absolutely, there is no concern with regard to any incipient or any inherent, I mean, what you can say, slippage or anything stress building in the book. Absolutely, no doubt should be on that. And going forward also, and you could have seen that we gave two guidances. One is a slippage ratio. Another is with regard to the credit cost. Our guidance for the slippage was 1 to 1.25 and credit cost was less than 0.75. Normally, you factor in building in a model form, right? And consistently for all four quarters, our numbers is way, way, way below this guidance. So absolutely, there should not be any doubt with regard to the asset quality of the bank. Yes, there are a couple of pockets, like suppose you said on MSME and retail, there is some incremental 300, 400 or 500 crore of increase. Look at corporate, there is a 2000 crore fall also on the slippage. You can't have a book wise, you need to look book as a whole rather than a book wise and then possibly take a call on that. So, with this, I think we had one of the best quarters in terms of both top line, bottom line and also on the asset quality. These are the three key building blocks I think the bank runs on. With this again, thank you all of you. This is possibly we are doing a physical analyst meet after almost two years, more than two years. Thank you for sparing your time on a very eventful morning rather, very, very eventful morning. And I think all question answer, the management will be here, including me and the EDs to clarify all your doubts. Thank you very much.

Moderator: Thank you, Sir. I will now open it up for questions. If you have a question, please raise your hand and we will have a mic sent to you. Just to request, please introduce yourself before you ask your question and please limit it to two questions only. We have a couple of, ya, please give it to the lady. We have a couple of, we have a few analysts who have joined us vir

tually and at the end of
the session, we will try and take a few questions from online. For the online participants, you may either type your question in the Q&A box or you can raise your hand and we will come to you. Thank you. Yes, ma'am.

Mahrukh Adajania: Morning! So, I had a couple of questions. Firstly, on the write-off, so which sectors do the write-offs relate to? Of course, they were all appear to be very small loans but which sectors? Was it MSME? Was it personal loans? Which are the main sectors? And is that the reason why credit costs also would have gone up quarter on quarter? That was my first question.

Mr. Debadatta Chand: Sure. On the write-off actually, there is a write-off policy of the bank. It's typically on the write-off kitty, there are again recovery happening and there are fresh kitty you are adding therein. The write-off normally doesn't happen on a segment of advances. It goes to all segments and mostly into large corporate where already 100% provided. There is aging over there. It happens also on small business, but our write-off is not specific to any segment, whether it is MSME or retail or corporate. It's across all the segments. And this year, if I look at 8,500 crore of write-off, mostly it has gone to the large accounts rather than small accounts on that. And these are sufficiently aged. I mean, there is a sufficient time of this account getting through and also 100% provided since long. Anything else, Lal Singh Sir, you want to add?

Mr. Lal Singh: No Sir.

Mr. Debadatta Chand: Okay. Thank you.

Mahrukh Adajania: So basically, the quarter on quarter increase in credit cost is not attributed to write-offs. It's just the normal provisioning.

Mr. Debadatta Chand: It's a normal provisioning.

Mahrukh Adajania: Ok. And Sir, any reason why MSME slippages would have been higher or Q-on-Q?

Mr. Debadatta Chand: No, see, that is what I say. You need to look at it for full year. Actually, there are two other factors when I am growing MSME at 14-15%, the denominator is also increasing but you need to be mindful is what is the slippage ratio there. As far as MSME book is concerned, if you look at a journey for last 4-5 years, post-COVID obviously the NPA was quite high. But as on today, I mean, the GNPA on MSME is much, much lower on that, that is point one. Secondly, there would be some slippage happening every, we are running a large book, there would be slippages happening but it's not something structural therein. Two things we have done to stop this MSME, the fundamentals of the MSME portfolio. One we said, many of my MSME account, we are also putting a product like cash management, the bank's own cash management application with the MSME account, so that we understand cash flow of these accounts better rather than only looking into the asset-based financing. Secondly, the government of India has given a lot of, I mean, they have come out with a lot of schemes on the MSME, which are again guaranteed now. I think with both the things, the growth of 14.2% is adequately taking the aspect of the current level of GNPA. This 300, 400, 500 crore of MSME, this normally happens based on a selected geography, some of the aging account of which there is a weakness. So, it's no way impacting the overall slippage ratio, the overall slippage ratio is contained, including that the slippage ratio MSME also is contained.

Mahrukh Adajania: Got it. And so just one last question on margins. So, you alluded to the fact that, you know, three basis points came from repo rate. So, the remaining five basis points would be day count, do you think?

Mr. Debadatta Chand: There is an impact of day count, which the CFO alluded to. We follow much conservative day counts as compared to maybe a couple of comparison than he has in mind. But the fact of the matter is that there is a bit of deposit cost that impacted us in Q4. And precise

ly for that
reason, we revised the guidance earlier, rather I was proactive in revising the NIM guidance by 5 bps, thinking that the Q4 NIM is going to be lower than that of Q3. Having said so, going forward, maybe the pressure on NIM would continue for Q1. But it would recoup in Q2 and going to be much better in Q3 and Q4 because the deposit repricing would happen at least in six months' time and that is going to give us the upside there.

Mahrukh Adajania: Got it, sir. Thank you very much. Thank you.

Moderator: Thank you. So if you can just introduce yourself.

Mr. Ashok Ajmera: Ya! I am Ashok Ajmera, Chairman, Ajcon Global.

Mr. Debadatta Chand: You are one person who doesn't need any introduction, I believe.

Mr. Ashok Ajmera: No, but she wanted it anyway.

Mr. Debadatta Chand: Please go ahead.

Mr. Ashok Ajmera: So, compliments, sir. One of the highest operating profit in the quarter, I mean, 8,132 crore is not a small profit and compliments to the entire team for that, because at the end of the day, we are all looking at the bottom line apart from the asset quality, which is in any case very good. Now, sir, this profit is, in fact, a major part of it has gone in the other income with the non-interest income. And in that also, the Treasury has played a very, very important role, which every one of us know. But in our case, it is proportionately a little higher, the other income, which has contributed to the overall operating profit. So going forward in this rate cut scenario, 50 bps or 75 bps or whatever it is, and you said that the NIM in any case, you will try to maintain that 3 percent, which is already there. So going forward, you don't see that because of the lag effect with this kind of rate cuts coming in, we will be under some pressure to protect our NIMs or you would be able to maintain it. And how do you see this, so this is my first question.

Second sir, connected with this, 490 crore in this profit has come from an unusual item, which is the SR revaluation of the NARCL, government-guaranteed on the back of the RBI decision and I think it has been done on 31st March itself, when the SRs, which were at 1 rupee or 0, have been valued by adding to the profit of 490 crores. So that also has become the part of this profit. So going forward, I mean, this gap has to be also filled in to maintain the profit, because we may not have this kind of profit on, now fresh SRs, which are issued, which will be valued in any case as the valuation for revaluation. So, one comment on that, because this has been an important, I mean, 500 crore has gone straight to the bottom line.

And one more thing Sir, which we have been observing in Bank of Baroda, though you said, I guess it is one of the best banks, most of the other banks, you know, in that family pension, where the five-year dispensation was given by RBI, they have not taken that option and they have all written off the entire amount in the books. But in our case, we are still maintaining that lag effect. I think 290 crores still has been, so when we are already doing so well, we have some buffer provisions also, what is the need of carrying on this kind of, you know, amortization, which in any case has to be done next year? So, as a prudent measure, we could have just written it off. Because this is the, I think, probably, I have not seen in some of the other banks, which have, I think, they have all written off the entire amount. So, this is the other point which is there.

And finally Sir now, though you are not giving the, like, the targets, even for credit, like the largest bank of the country, till last quarter, they were maintaining the credit growth target of 14 to 16%. Only revision was at the lower end of the target. But still they faltered. My report yesterday released 12 percent. So even from the lower end of the target given, also they have faltered by another 2 percent. An

d the reason given was that recovery from some of the corporate, the large corporate and

government-backed corporates, because they had raised capital from the markets. So, in our case also, was there any similar situation, which is kind of one off, which has affected or rather restricted our corporate credit growth also? So, these are the few observations and questions, Sir. Thank you.

Mr. Debadatta Chand: Before I forget, because you had a couple of questions. So, on the first with regard to the margin, again, for the system also, Q1 is going to be a very, I mean, a quarter we need to really watch it out. Because after three years, the change has started happening in Q1 over Q4 that we had last year. So, the margin pressure will continue to be there for Q1. That is what again, let us be very clear on that. But on a full year basis again, possibly most of the banks would be able to, because the ALM management is such wherein banks do intermediation, right? So, they need to protect their margin. So, in a full year basis, my sense is on today that most of the banks like us is going to protect the last year margin. Having said so, we again said that we are not giving a guidance on the margin for at this point of time. We are possibly in a position to give a full year guidance or the margin guidance after the June quarter is over. Because there we will just see how the asset and liability are getting repriced, what is that extent it is getting repriced, because repricing is very easy. But let us be mindful of the underlying condition when people move to the capital market rather putting money in deposits. So, I wish that I can reprice all my deposit at quick go, depending upon the repo cut. But then I need to look at the underlying market. So, there are challenges over there. The margin pressure continues to be there. But I expect Q2, Q3, Q4 will pull it up and fully a margin, my sense is on today, which again will confirm after June quarter that whether banks are going to maintain this margin or not. But I am hopeful that banks should be in a position to maintain that margin because this is what the active ALM that we talk about.

Secondly, on the profitability side, the NII growth is lower because of the elevated cost structure on the deposit. The interest expenses almost at 13%. We could optimize on the operating profit because the net interest income is strong at 15%. There are two elements that we talked about that I am going to respond now. One with regard to we had an additional 500-600 crore of profit on sale of investment in this year as compared to last year and going by the current outlook on the rate cycle, possibly the same kind of market also going to be there for this year. That is the sense. If that happens, then we are going to maintain this. On the element that revaluation of investment and derivative where SR is part of, SR is also investment. I mean, like the valuation done in all other class of investment, SR also the same way it is valued. Suppose you are provided for fully for some proactive and there is a NAV which is higher than we need to again account for that. So, the benefit is going to continue there in the books itself. So, I do not see because if you look at this element, there is no incremental, there was a write back of almost 500 crore last year and there is a write back of almost 450 crore this year on the depreciation front. And going by the rate cycle, I think that again would be a write back going forward because the yields are going down and that is what a sense we do have. One element that earlier I alluded to was a recovery out of TWO which supported the operating profit. And our normal run rate on recovery of TWO is roughly around 750 to 800 crore. With every year, we are seeing one off giving us 1000, 1500, 1800 kind of a one off. So, this year also if we normalize the recovery out of TWO, it would be roughly around let us

say 3200 on a normalized run rate plus a one off of putting us
at almost the same level like this year. Our TWO kitty is almost 60,000 crore as on today.

The third aspect that we talked about, I just forgot, that can we just corporate credit and then fourth is the pension. On the corporate credit, see, we said we are not relying on the bulk part more. We maintain that ratio. The demand for the corporate credit is there in the market and suppose you want to grow higher, we can very well grow higher. But then again, on a margin sake, we are not trying to

get into the fine priced asset in a big way putting the margin under pressure. The demand is already there. In terms of our guidance on the loan growth, we said 11 to 13 were higher than 13, the global at 13 and the domestic at 13.7. So, our retail is growing 20 percent, which is again the by far, I think on the large PSB, it is one of the highest, including the bank you are comparing. They have a large base but the growth is less. Our we have a small base. The growth is higher. MSME, Agri started growing at a good pace of 14 percent. Suppose I grow corporate at 10 percent, I will be very easily hitting the 13 percent. Another caveat here is that the liquidity this year on the durable liquidity, I think this year is better than that of last year. That is what my sense. Given a scenario of that liquidity available, possibly we can upsize more than our guidance on the matter. So as of today, I'm holding my guidance of 9 to 11 on the deposit, 11 to 13 on the advances with an understanding that if the liquidity prevails the surplus liquidity, possibly we are going to upsize both the guidances. With regard to the family pension can CFO take that?

Mr. Manoj Chayani: Ajmera ji, you are absolutely right in saying that it's a prudent call taken by the management as per the RBI guidelines. In any case, that dispensation is going to be over in the current year itself.

Mr. Debadatta Chand: As such, on 20,000 crores of net profit, 290 crores is not such a big number. So it's a good suggestion. It didn't strike to my mind otherwise we could have taken up.

Mr. Ashok Ajmera: Thank you.

Moderator: Thank you. We will take a couple of questions from here. You can please raise your hand.

Mr. Param Subramanian: Ya! Hi. Thank you, sir. Param Subramanian from Investec. So, first question is on the NII growth rate. So, this quarter, we have grown our loan book, our deposits by between 5 to 6 percent and the absolute NII is down three and a half percent. So, can you explain that? Because it seems to indicate all the incremental business that we have done in this quarter has given a negative net interest rate. So simplistically, that's what it seems to indicate. And eight basis point margin decline doesn't tally with that. So that's my first question.

Mr. Debadatta Chand: Yes. So, it's not so actually, had it been so my bulk outstanding would have gone up significantly because the high-cost deposit is the bulk cost, right? I had like your balance sheet expansion deposit, I mean, advances you are funding by raising bulk deposit, the cost would have significantly gone up. Actually, the impact of the deposit is typically, if you look at our contour of growth, we had a slightly lesser growth in June, slightly higher growth in September, almost a good growth in December. So, the impact of the full quarter when you raise the deposit at a, I mean, the structures were definitely elevated, not the normal deposit. It sometimes on a quarter, it gets the full impact of therein like deposit which would have mobilized prior to December would have fully what our impact in the March quarter. So, because of that, the margin got impacted. NII growth has been less. Actually, if you look at the income growth is almost at an…. looking at the lag time in terms of the curve of both the asset pricing and liability, many of the actually… looki

ng at a cut in the overall market
scenario, the asset pricing started reacting to those anticipated cut and the things went down particularly. Right? So, the ability to command a better price on the asset was limited in the December

quarter itself. So, the NII growth is combination of both where the asset didn't go up to the extent that deposit was increasing. The cost of deposit was increasing, leading to a lower NII growth. And I think it is entirely in line and sync with the market actually if you look at. Somebody would have a Q3, the impact would have come. Some bank would have a Q4, the impact would have come. Many of the banks have taken the maximum hit in the Q3 itself on the NIM and they are almost at 2.7, 2.8. I still had an elevated NIM 2.94 in Q3. I took a cut in Q4. So slightly, how do the lag curve plays out, That is important.

Mr. Param Subramanian: So, on the interest income, right? So, you said there is some day count impact. So can you explain that? Is it on interest accrued, there is an impact.

Mr. Debadatta Chand: No, no, there is. As far as we are concerned, we are consistent the day count is same. Actually, because there was a discussion with regard to how do you compute the NIM and then some of the day counts of some of the other banks are different. So, the NIM numbers, that is what he was explaining. As far as we are concerned, our NIM count, I mean, sorry, our discount convention is the same for across all asset class. Is that Chayani?

Mr. Manoj Chayani: Ya, absolutely. Only day count in the sense is that 92 days versus 90 days. That's all.

Mr. Param Subramanian: So, because the other banks have explained it has a positive impact on margin, reported margin.

Mr. Debadatta Chand: So, they have a positive.

Mr. Param Subramanian: I do have a conservative. OK, maybe I'll take that offline. So, when you said that NIM guidance, as in you expect largely to be flat in FY25, first dipping in Q1. Are you talking about versus this Q4 NIM or are you talking about……

Mr. Debadatta Chand: Full year, full year. We compare full year to full year. And secondly, let us also understand one thing, because see, we are running a bank and then you are analyzing as an investor point of view. Going forward, when the Indian market gets into a bit of a mature market, because we operate globally, so we do have the experience of operating global market, particularly on the margin front. India cannot have a very high NIM going forward. Let us understand that need to, need to get I mean, would have heard somebody's comment that the banks need to reduce their cost to income significantly to maintain the profitability. That's a fact going to happen. We need to understand that. The only way in a market like this, when the cost is elevated, pricing banks are not able to pass on is to get into risky asset. Again, we moderated our personal loan book 2 years back because we count principal more important than only looking at a NIM and getting an incremental income because that is what not our cup of tea in terms of managing that book well. So, we moderated personal loan book 2 years back, we announced, we are the first bank to announce we are going to moderate on the personal loan. The issues came one year later. So, as I said that while having a growth margin trade off, what again I am mindful of is the asset quality. And that's I think the bank has a very strong oversight on that saying that we should not create a book again, which can give a bit of stress later on.

Mr. Param Subramanian: So, one last question. So, on 20%, you said you have bulk deposit.

Mr. Debadatta Chand: 20% of total deposit is a bulk deposit. Yes.

Mr. Param Subramanian: So, the input pricing lower will happen immediately in Q1 and that will give some...

Mr. Debadatta Chand: No, no. Actually, the book is almost 70-30 bulk and CD together and bulk

is one
year; CD is almost 3 months to 6 months that you can take. So, average duration can be 9 months, you can take it. So, 1/3rd of the book would get repriced in this quarter and something already happened at 40-50 bps lower in this quarter itself. Anything Mr. Tyagi you want to add?

Mr. Lalit Tyagi: Yeah. So, in fact, if you see the money market instruments have reacted quicker than the whole deposit products and probably that we have started witnessing. And we believe that if RBI remains benign in their outlook, irrespective of the timing of the rate cut, probably money market deposit products or borrowing products trajectory will be trending down. That's what our assessment is.

Moderator: Thank you, sir. Pooja, there's one question here.

Mr. Piran Engineer: Hi sir. This is Piran Engineer from CLSA. So firstly, your guidance deposits growing 9 to 11% and loans 11 to 13%. I mean, that mathematically implies we will have to further reduce LCR. Are we comfortable with that? Because we are at 123%, which is lower than most PSU banks, even private sector banks.

Mr. Debadatta Chand: So, there are two things here. As far as LCR is concerned, we will operate at a 120 level, right? And LCR has many components, including impacting on the deposit and also on the HQLA side. We have almost 6.5%-7% excess SLR as on today, I can very well switch asset within the excess SLR to make my HQLA higher. That point one.

Secondly, while managing asset liability, I mean, we also rely on borrowing wherever the funds are available at a cheaper funds, then we go there, we raise infra bonds and others last time. So, there are multiple options available to manage the LCR, but our comfort normalized LCRs would be around 120. That is what we will aspire to do that. I mean, sometimes people say that maintaining 120% is slightly we are maintaining high but I think as a prudent liquidity management we will maintain it almost at 120%, right. Mr. Tyagi.

Mr. Lalit Tyagi: Yeah. So, our internal take always remains that we should operate in excess of 120% or around 120%.

Mr. Piran Engineer: Okay. There is a...

Mr. Debadatta Chand: So, there's a factor which again, you can talk about is the CD ratio, possibly, I mean, with the guidance that we give. So, we said earlier also we are comfortable maintaining CD around 82 to 84% level. That's why actually the international growth we are moderating one reason because that puts huge pressure on though, because they have a almost 100% CD ratio. So earlier the international growth used to happen at 25, 30, 35, where now it is at almost less than 10% or aligned with the corporate growth. So, we are moderating that count just to maintain the CD because we find opportunity in domestic market much more attractive as compared to international asset on that.

Mr. Piran Engineer: Fair enough. And sir, in our EBLR book, do we reprice on T+1? What is our methodology? Or is it different or....

Mr. Debadatta Chand: It's actually, in fact, automatic, but then the ALCO is the competent pricing. So, the moment there is a repo cut next day, we have the ALCO to announce. That's why it is T+1, right. Anything else you want to say?

Mr. Debadatta Chand: It's T+1, just because the ALCO is the competent body to do that, so announce it on the next day. But the benefit goes on the T 0 or no? No, the T+1...

Management: T+1.

Mr. Debadatta Chand: ...... the benefit goes on T plus one.

Mr. Piran Engineer: Got it. That's it from mine. Thank you.

Moderator: Thank you. I think we have a question behind.

Mr. Rikin Shah: Hi, this is Rikin Shah from IIFL. I had a question on margin and I wanted to break it in 2 parts, the domestic and the international. So even if we look at the domestic yields, they have been sliding down in the last 2, 3 quarters. And especially if we compare vis-a-vis the largest SOE bank, they have been able to maintain it

stable. So, what kind of assets we are kind of lending to where we are seeing so much of yield pressure, especially when the rate cuts were not there.

And the second part is on the international side. So here we have a pretty balanced loans and deposits from overseas, broadly 16, 17% vis-a-vis the other bank, which has only 4 or 5 % deposits coming from the overseas. So ideally, I would have thought that we would have been able to show a better international NIM trajectory vis-a-vis them. But again, our international NIMs have declined more vis-a-vis them. So why is that happening? So those are the questions on NIM.

And the second part is just on the MSME. While it's just a slight uptick, it would help if you could just explain or provide some color on what kind of customer segment, if there is any specific thing that you could highlight where it's coming from. Thank you.

Mr. Debadatta Chand: See, I will come to the international margin later, but let's speak about the domestic one itself. The peak level of domestic NIM was at 3.32 when before all this happened, right, 2 years back. And from 3.32, it has gone down to 3.18. And all of us do understand that the deposit market was very tight last year for multiple reasons.

One is that the normal retail deposit also, the peak rate offered was almost at 7.30%, many of the banks offered at 7.30%. So, there was an increased cost happening over there. Obviously, when the deposit underlying market has an elevated cost to put pressure on margin, and I am happy that I am running a excellent rate sensitive asset and liability so that if there is a... like all of us need to be bullish at this stage, if my asset liability has reacted strongly to a rate change that happening in the market and looking at a current scenario of downward cycle, I should be much more positive on that, right? So, we will reap the upside on that. At 3.18 also, let me again say that if you compare the large PSB peers, we are one of the highest. At 3.02 full year also, we are just second to large PSB peers. I am talking about the largest bank of the country. So, our NIM level is not the issue, the issue that possibly all of you again, was a change that happened. And my sense is that the change happened for a genuine underlying cost structure in the deposit market. And now since things have changed, I am much more optimistic that it should happen going to be for the full year. But again, Q1 would be still a challenge because the deposit resetting would happen with a lag. So that's the domestic part of it.

The international NIM, we run a larger book on the international number 16-17%. We, I don't know if you look at 2, 3 years back, the NIM of international was very low at 0.47. In 3 years' time, we could optimize to 1.97. At one point of time, December, we crossed 2. But international, what has happened, the rate cycle, the changes happened almost around 6 months prior to what is happening in India now. So, the time we went to the international market, increase the book, we got at a very good price on those assets. Now, all those assets are getting repriced at a lower level, bearing this new change that is happening in those markets now because of the tariff and all. But then the international NIM is almost like 60% of the domestic NIM. And since I am running a larger book the impact on the global NIM is much more as compared to other banks who have a 4% book over there. The bank having a larger book on international with a lower NIM of 1.9, going to be impacted global NIM much more as compared to the other bank. So that is what the issue that I want to highlight on this.

Mr. Rikin Shah: Sir, if I can just follow up on this. In the domestic part, my question was not on the margins or cost of funds. It was only specifically on the yields. And the loan yields have been going down in the last 2, 3 quarters in an environment where there was no ra

te cut. So why was that
happening? And in the international, while I accept your point that we run a 16% loan book, which is overseas, the other bank also has broadly similar. The deposit is a much higher proportion for us.

Mr. Debadatta Chand: I got it. I got it. So, we run one of the largest corporate books. I mean, my corporate book is 4,11,000 crore as in March. In December, it was less and on the international I am running a corporate book of almost 2,00,000 crore. 6,00,000 crore is the corporate book that we run and that is by far within the large PSB, excluding the largest bank, obviously, is the maximum. What

happens on the MCLR? The increase in MCLR happened with a lag, much lag after the BRLLR that happened immediately with the repo rate high. And now the lag effect is almost 1 year to 1.5 years. And with change in MCLR, there are a couple of elements there that some of the asset contract you only do at the time of renewal, you can't do at any point of time. So, the asset repricing at a level happened at different point of time. And once it achieved that level, then it was plateau at that point of time. So, the yield on advances for most of the banks, I don't have a proper number now, but I think it has gone down across, right. So, it is not only specific to Bank of Baroda. So, in that sense, I don't think there is any aberration over there. Actually, it is in line, in sync with the market. Anything you want to say?

Mr. Lalit Tyagi: So, I think I can add another thing is that last year despite there was no change in the interest rates in the market but out of the competition or the expectations of the customers of various segments, including corporate and retail, there was moderation on the absolute lending rate. So, if you look at the home loan rates, banks are offering one of the most competitive rates whereas the deposit rates have not come down. Corporates also, highly rated corporates were expecting fine rates because they have the option either to go to the loan market or to the debt market. So, some of those reasons played out in terms of absolute moderation at the top end. And that's how somewhere we try to moderate the corporate growth to save some. Someone was asking that 10% growth and 9% growth. 5000 crore here and there, we would have been there at 10%. So that kind of, you know, the top end book was giving that kind of impact.

Mr. Rikin Shah: Further on MSME.....

Mr. Debadatta Chand: Mr. Lal Singh, would you like to talk about it, what is the composition of the book in MSME? That is what he wants to know.

Mr. Lal Singh: So, in MSME, the bank is focusing on the sectors which are giving us the good asset quality, number one. Number two, giving the good earnings. So, we are presently focusing on the CV/CME segment, then supply chain finance segment, then we have innovated the product cash-flow based lending, smart overdraft limits. So, these are the segments where we are started focusing. As far as the MSME, NPA, which you are talking, which is spiked in the last quarter or last year, that is in the legacy accounts. And as far as the NPA as a whole is concerned, I think Bank of Baroda's MSME book is a quality book and we are having below 8% of the NPAs, around 7.5% NPA in MSME book, as compared to 17% which had been in 2021. And all other banks, especially this is the lowest NPA in the MSME. And this is the sector which gets affected immediately if there is anything happens anywhere this is the weakest segment which gets impacted immediately. So, I think this book is a well quality book and there is a good growth in this book. And Government of India is focusing on this segment in a big way and I think we are part of the economy and we are focusing on this book and Government of India has provided many schemes, many rate guarantee schemes in MSME. So, I think MSME is going to grow with a good speed and the book is protected from

any of the slippages.

Mr. Debadatta Chand: Just to add to him, the change in definition of MSME which was announced recently is going to give a huge upside on the growth. And there is typically mid-corporate accounts getting into MSME because of the change definition. So that is one focus area.

Secondly, as you rightly said, the CV/CME where it was never a cup of tea for public sector banks, but for Bank of Baroda for last 4-5 years, we are into that product, there is a good outstanding book on CV/CME. The supply chain is one thing, TReDs is one thing, although these are bit fine price in terms of return therein. So, in terms of the contour of the book, we are going to focus on the main core MSME with a cash management product that gives a better control. We are going to focus on the new mid-corporate accounts by change definition is going to be MSME. We are going to focus on 2 products where we do have a huge expertise now of having done that those products for 4-5 years now, CV/CME and also on the supply chain side. I think that all of these things would give a good growth to MSME and subsequently the NPA in MSME also, I mean it is decreasing year-to-year, quarter-to-quarter and going to be further down going forward.

Moderator: Thank you. I know we still have some questions, but we will just move online for now. There are a couple of questions online.

The first one is from Sandeep Joshi , who says, is the bank evaluating increasing the credit spreads for corporate or retail loans in the current interest rate cycle? If yes, was the bank able to increase credit spread when it passed on the rate cut for its corporate book linked to T-bill or G-sec rates?

Mr. Debadatta Chand: Yes, Sandeep, for spread resetting, there is a guideline by the regulator and it happens after 3 years only and there are large number of accounts where spread change have happened only at the time of renewal. So, there is not a uniform policy of changing the spread, it can only be done at the time of renewal based on the quality of the account, there are internal rating over there and if there is a deterioration on either internal or external, obviously, the credit spread would change and giving some upside on that. On the retail side, again, similarly, many of the scheme rates, there are protection available, even if on the repo rate side protection available and couple of scheme where after 3 years we can again reset the spread. So, it is a combination of multiple transactional things, not as a policy we can say, but yes, with a downward rate cycle, the change of spread can be one way to protect the margin and we are mindful of that.

Moderator: The second question is from Manoj Alimchandani , he has 2 questions, please share your thoughts on the outlook for the treasury desk performance with one of the best treasury desks and please share on AI and technology initiatives and operating leverage benefits of technology.

Mr. Debadatta Chand: Thanks, Manoj, for asking this question. First question, Mr. Tyagi, can you just answer him, outlook on treasury?

Mr. Lalit Tyagi: So, in fact, last year have been one of the very good years for treasuries because of the movement in market interest rate favoring the portfolios. We believe that the kind of outlook for this year is treasuries are again going to perform better, maybe similar or slightly lesser than that depending upon the absolute interest rate change over the year. And I believe that in terms of the another objective of maintaining the wholesale book cost trending down, again there will be a good improvement this year also. So overall, treasury will continue to give good performance in terms of profits, as well as maintaining the cost.

Mr. Debadatta Chand: Mr. Mudaliar on the AI and technology related aspect.

Mr. Sanjay Vinayak Mudaliar: Yeah, so good morning to you and thank you for the question

. See the
Bank of Baroda, we are looking at technology for a couple of things apart from the customer service and innovative products, we are looking into the creating some kind of a resilience in the system. And on both the fronts, we have been working for quite some time now and we do have a very strong platform currently to service both the sides, that is the customer service side as well as the internal resilience building. And AI has been very extensively used for both the purposes for building our internal resources as well as customer service delivery points. So, both the sides, we are well covered and we have been doing quite a few innovative products on both sides. Thank you.

Moderator: Last question online from Ankit Bihani , what is your loan mix, repo, MCLR and fixed rate?

Mr. Debadatta Chand: You have the... madam, you have the composition? So Chayani....Tyagiji

Mr. Lalit Tyagi: Yeah, so our repo link book is 34-35%, MCLR link book is anywhere between 45 to 48% plus minus 2 percentage point, fixed rate is not very large in a very low single digit percentage.

Moderator: Thank you. I think we have a couple of questions, I think, here right in the front row, okay.

Mr. Sushil Choksey: Congratulations for stable trajectory. Sushil Choksey, Indus Equity. Sir, knowing your experience in treasury and money markets over a decade and the outlook what we are heading towards in next 12 months, specifically on bonds, CPE, corporate borrowing, how do you see your corporate and RAM book shaping up compared to where we are today at 60-40 by the year end?

Mr. Debadatta Chand: No, that is what I said, on the RAM book, we almost added 190 bps in last one year, March '25 or March '24, the RAM has gone up by 190 bps. Considering the segment wise growth guidance we are giving, we continue to have the same journey, maybe in 3 years' time by adding 200 bps every year we want to achieve 66% in fact. And that would give me a bit of a diversification benefit on the RAM side, not only the return perspective but also a diversification benefit. We want to be known as a retail bank rather than more of a corporate bank, at the same time, the corporate growth continue to be in excess of 10%. And mind it, we are running one of the largest corporate books in the entire country now. I mean, in terms of public private together maybe we are at third, within the public we are the second. And if I add my international book, which is again corporate sanctioned from corporate office, the book is almost 6 lakhs odd crore. So, there the growth guidance will continue to focus strongly on that we built in on the asset quality front, we built in on the relationship manager front. We want to add some kind of a concept we have called account planning, capturing 360 degree relationship. There are teams dedicated, engaged over there, we created a skill on underwriting, we had our experts, industry experts, for advising us on the matter. So, we are creating also capacity. So, corporate continue to grow at 10% plus.

At the same time, RAM has to grow on average around 15%, putting something on a 200 bps change on the RAM book vis-a-vis the corporate. Looking at the capital market, corporate ability to raise

money from the corporate market rather than coming to the loan market, it's there for long. I mean, they also optimize the time they find on that tree is attractive and then they go for that market. And the moment they find almost at par, there are distinct advantages of somebody availing a loan because you can tap that loan at any point of time, not like a bond. You have to issue a bond. Bonds are a hidden cost in terms of the issuance, blah, blah, blah, maintenance, which the loan market doesn't. It will continue. We are comfortable with operating in both markets and supporting the corporate on that.

Mr. Sushil Choksey: So, my next question was, how many rate cuts are you expect

ing from RBI this
year? And where do you see G-sec specifically in India? And where do you see, we can't predict what Trump and Fred will do, but still keeping that in mind, what is your outlook by the year end?

Mr. Debadatta Chand: Our house view is that there may be 2 more cuts by March 2026, that means 50 bps we are expecting. The G-sec already, because as you know, it's a lead indicator, reacted already to a couple of cuts going forward. On the best-case scenario, G-sec, we are looking at 6% quarter. Currently, it is almost at 6.36% or 6.40% kind of a level. Our book is well positioned on the treasury vis-a-vis, suppose it happens at 6% quarter. The trading profitability of the book is much stronger because huge SDM book we have, where one bank, if you can mind it, there is an item in the balance sheet, if you can closely follow, I mean, vis-a-vis other banks was running an AFS reserve almost to the extent of 2000 crores. You will not find this element in many banks actually. I am not comparing, but I am trying our focus on that. So, our strategy is to preserve value in the book rather than encashing for a short-term year. So, we will do a balancing act in that way, keep the value of the book intact at the same time, opportunity we need to capture to take more trading profit for the matter.

Mr. Sushil Choksey: Sir, assuming your RAM would be at 62 and 38 corporate based on domestic international, and you mentioned international book and domestic corporate book may rise, keeping the money market in line, you may not name the customer but if I eliminate PFC, REC, NABARD, NaBFID, certain similar accounts which are government-backed or AAA customers. And I am looking at your slide of NBFC which specific sector, one is MSME you highlighted, housing loan may be still attractive as rates are dropping despite real estate prices being high? So where are you seeing positivity and which sectors are you seeing negativity from our bank book that you would avoid in the year?

Mr. Debadatta Chand: See, as far as tapping the market, depending upon ability, excluding the large public sector PFC but other NBFC also tapping the market big time on that, RBI, the risk weight was slightly, it was we reduced the growth on the NBFC, now the risk weight is taken out. So, we are again growing on the NBFC book. As all of us want a strong market, both on the bond side and also on the loan side. And the corporate bond market is not that strong as all of us wish that market to be much stronger, there are committees working on that, but then, so there is no specific actually, look at the industry data we have given in the analyst where the industry-wise the composition of the book and the growth we have given. Our book, there is no sector which we want to avoid, every sector we are there in, maybe the growth percentage can be 4% to almost 16% depending upon the opportunity available therein. As far as housing is concerned, suppose you say that I am growing at 20%, a market is growing at almost 16%. There is a market actually gives an opportunity, it is asset-based financing, suppose you underwrite fully, India retail debt to GDP is still the lowest, one of the lowest. So, I do not think there are any constraint for us to avoid any particular sector, whether in the bond side or the

loan side. Bond side, there is a minimum threshold rating that every bank has. But we are open to lending and all sectors in both on the debt side also on the loan side.

Mr. Sushil Choksey: You know, TAT and process centers, specifically led by BOB shared service, all that is known in the market.

Mr. Debadatta Chand: It is.

Mr. Sushil Choksey: And it is helping you in the sector.

Mr. Debadatta Chand: It is.

Mr. Sushil Choksey: So, I understand that you will grow faster than the system.

Mr. Debadatta Chand: Yeah.

Mr. Sushil Choksey: But systematic growth, you may grow by 4% higher, 5% higher, 7% higher. If you are to choose a sector, housing loan, I understand. Anything specific other than that stands out, supply chain, you are doing well, I understand.

Mr. Debadatta Chand: Auto loan, I have been also consistently growing more than 20%. That is a market India has seen a significant growth. On the mortgage, actually, there also the growth is almost 16, 17%. Mortgage, typically, NBFC do strong business in mortgage market. Typically, in the form of a retail lap or a corporate lap, they do strongly. NBFC is a huge book. Public sector banks, slightly, I mean, they were not so strong. Now, we built up that model to deliver on that count. Couple up on the MSME, which again, I mean, if you compare the PSU pack and then figure out, the CV/CME is one product, supply chain is another product, where we have an ageing of almost 4-5 years in terms of running this business. I mean, there again, private sector banks were very strong on these 2 products earlier. So, we are now 4-5 years picked up our skill rather more than 4-5 years. So, I think, I mean, opportunities are there.

Suppose that I want to grow, let's say, on an underlying good liquidity market for this year, durable liquidity, which again, all of us think so. Ability to grow at 14-15% can be, we can always achieve, not only the system, Bank of Baroda as a system can also achieve. I think the loan growth in this year has to be higher than the last year of the system as a whole, on the backdrop of better liquidity. But this quarter is slightly a dampener as of now because of immediately getting into a slack season, then a lot of resetting do happen. But I think by Q2, Q3, it would pick it up.

Mr. Sushil Choksey: Sir, where do you see, how do you indicate or how would you process that CASA is very stable or grow from where you are today? Second thing, what is your digital spend? Because you are doing a lot of RAM, so your digital spend would be, or new initiatives will be higher than where

we stand today. And that CapEx also will be with AI and many things will change. So, these 2 sustainable numbers and where do you see the forecast on spend on them?

Mr. Debadatta Chand: See, rightly we wanted to, when the CFO made the presentation, he talked about CASA percentage growth as something that he wanted to highlight on that. And we realized 2, 3 years back saying that CASA is going to be a challenge because there was an underlying, I mean, pockets where the CASA was very strong, started reducing on those pockets like tier 2 city where CASA normally is very high, used to be very high, went down because of the, I mean, change in preference. So, we focus on, we have not increased the CASA rate, I mean, on the entire rate cycle, the CASA rate was the same like it was there earlier, maybe a 5 bps change.

And many of the banks would have increased significantly, we had not changed the CASA rate therein. Still then, because the service offering we improved, bundling that we improved, our growth is, and I should not say, but then you can differentiate in case you compare data with other banks. Where, I mean, in the CASA also there are 2 components, one is saving, another is a current. Please, I mean, segregate both the data and compare Bank of Baroda's saving growth vis-à-vis the system saving growth. So, through all these measures, I think that's not, we are not satisfied, we need to grow much higher on that. But then, there again, we created bit of resilience in terms of attracting good deposit, continue to focus on that. But this quarter again, couple of growth, component wise growth guidance possibly in a position to give only after June because there is a change happening in this quarter which need to be mindful. Second question was on....

Mr. Sushil Choksey: Digital spend.

Mr. Sanjay Vinayak Mudaliar: So, digital since there are a lot of initiatives which have been taken, so there is a co

nsistent movement on the increasing the spend on the digital or the tech as a whole. So, we are currently somewhere around 10% of the operating profit, that is what we are looking, we will try to upscale it based on the kind of environment in which we are growing. And including with the AI coming in, obviously the cost, the investment will go up on that side also.

Mr. Debadatta Chand: 10% just with a small clarification, 10% including CapEx, OpEx together.

Mr. Sanjay Vinayak Mudaliar: Yeah.

Mr. Sushil Choksey: Sir, secondly, you highlighted that you would be rather, you wish that we are recognized as a consumer bank, not a corporate bank. Now being a con....

Mr. Debadatta Chand: We wish to be like that, not like recognized, but then we want a higher retail book there in the future.

Mr. Sushil Choksey: There is a benefit also if you are a true consumer bank. So, I am nothing against that. Keeping consumer bank logo in mind, what are you going to do to cross sell because you have

BOB's Capital Market, you have BOB's Shared Service, many other things? How is your income compared to specifically, let us say SBI or HDFC, the trajectory you would look in next 3 years?

Mr. Debadatta Chand: See, on this consumer piece, frankly, I mean, the banks we are referring, we started very late in that manner, actually. But the growth for last 3, 4 years have been good on the consumer side. We created capacity, the flow actually you talked about the TAT we follow on the consumer loan, the sourcing that happened on the consumer loan, the underwriting models we have on the consumer loan, the underwriting model has a lot of Fintech interface over there. So, improved capacity in the entire consumer loan piece. So, we continue to drive to attain certain number and that depend upon the current available data, which gives us comfort to drive more. If the data, again, on the numbers and data, if there is a change, then we will revisit on this guidance also. But we want to grow because I have 8,200 branches. I have large footprints in terms of digital. Suppose I don't create consumer base therein then I think I am not doing proper work on that. So, we want to focus on that. We want to have more and more customers with us. We want to have more and more customer flows with us. We started a super app recently called Bob e-Pay and Bob e-Pay is one app which also meant for customers and also for non-customers. And precisely, the theme that you are telling with regard to the consumer base, the idea of that app is that the Bob world is only for customers or a new customer onboarding into the bank as a customer. But the generic different app, although running two super apps is difficult, I understand that but then we need to target the non-customer. I mean, they need to be part of the customer. Once they get a service of the bank, possibly they would be a future customer. So, by targeting how do we attract. Yes, BOBCAP, I have insurance business that also is a retail business. I have a card business that is also a retail business. BOBCAP typically helping us in terms of how to again reach within that consumer base. So, I think as a group, we are very well placed to capture this market.

Mr. Sushil Choksey: Sir, having insurance, credit card, share advance, mutual funds, the base what you have today in the bank, can it double in 3 years?

Mr. Debadatta Chand: You know, what can be doubled in 3 years?

Mr. Sushil Choksey: The number of customers you have between this segment.

Mr. Debadatta Chand: No. That is difficult to say but then my consumer base is increasing that next time I want to give you a data, my consumer base. That is what actually the idea is to capture customer. Actually, let us take a very simple example. I mean, if you put the Fintech is one of the challenge for commercial banks, right. So, Fintech's, they have grown big time. What is the primary objective? Th

ey
acquired customers and then they try to create flows. Then now they are trying to create book even within the 4 walls I can say that trying to create a book even. So, one of the key challenges that we are trying to address as a legacy bank of 117 years, how do you again attract customer into my system? Whether it is a small UPI system or a big loan system or a digital lending system, but I need to acquire customer. I need to source customer. I need to have new customer coming to me. My customer, the ageing profile of my customer should decrease because I want the young customer with me. So, all these efforts, we have operationalized a company called Baroda Sun Technology. I mean, that's a tech company within the group Bank of Baroda. We have operationalized that. The idea of this company is to get into emerging technology so that all these young customers be part with the bank. So, there

are efforts going on, but exactly I can't give you a number, but we are working on that. That is what certainly I can say.

Moderator: Sorry sir, we will just move on. Sorry. We just have few more questions on this side.

Mr. Sushil Choksey: I am just thanking him. I am just thanking him. Nothing more. Good luck to you.

Mr. Debadatta Chand: Thank you very much.

Moderator: We will try and take the last question from, I think, behind.

Mr. Debadatta Chand: Maybe he is the last one. Last to last one. Then you are there. Please go ahead.

Mr. Antarisksh: Antarisksh from ICICI Prud. I will just keep it crisp. One is, is there any possibility that you take some rate action on your savings account, like some of the other private banks have taken? Reduce rates in savings account?

Mr. Debadatta Chand: See, I have not increased during the rise. So, why should I reduce during the fall? Actually, there is no case for that.

Mr. Antarisksh: Sure.

Mr. Debadatta Chand: See, the only increase that we had is a 5 bps in last so many years. I improved the service during the time. Let us remind. I improved the bundling product, the offerings along with the saving. So, that is what we maintain a better CASA, but I don't think there is a, anyway, ALCO is competent to take a call but then I don't think there is a case for it.

Mr. Antarisksh: Sure. On the MSME slippages, I can see that your SMA number is down from what 50 to 33 bps, but that is 5 crores plus. Does that include the MSME slippages or the reduction is entirely because of...?

Mr. Debadatta Chand: Anything, clearly more than 5 crore is captured over there, whether it is, I mean, corporate.....

Mr. Antarisksh: What I am trying to ask is, sir said that the slippages came from legacy accounts. If they were legacy accounts, then was it part of your SMA? That is what I am saying.

Mr. Debadatta Chand: Actually, the SMA 1, 2 book CRILC, it is almost at point what....?

Mr. Antarisksh: 0.33.

Mr. Debadatta Chand: There is a lumpy account over there, not on the MSME but it is a guaranteed account of a state government. If you exclude that, it is even less than 0.10. So, that talks about the quality, that account it goes into SMA and then pulls back. There is a lumpy account of a state entity, not a central entity account.

Mr. Antarisksh: And just clarifying, you said 34-35 % of the book is repo linked, that entire 34-35%, 50 basis point reduction in yield is happened. It is already done.

Mr. Debadatta Chand: That is true. That is true.

Mr. Antarisksh: Last bit on tradeoff between growth and margins. I mean, you know, there is a credit growth number that makes a lot of us happy. But at the margin, if I look at the composition of your deposit book also, right, bulk has still grown higher than overall domestic deposit growth. So, were there segments even in non-corporate within retail, within MSME where yields are low because of competitive pressure, because of rate structure, w

hatever, where do you think that growth could have been sacrificed so that your NII growth would not have been just 2 % for the full year?

Mr. Debadatta Chand: No, no, growth nowhere to be sacrificed. That is what a tradeoff would do internally. That is why we, one bank, we keep on saying that as far as building block asset quality is first piece we look into. The second is margin and third is growth. So, while trying to always margin and growth, there would always be a tradeoff and that is a very challenging. But then currently, whatever growth we have given, we are comfortable on those market, those segments. So, that is the segment. Otherwise, I said on the corporate, the growth potential was much higher. But we decided not to get into fine price asset because they are high quality asset, no doubt about it. Every bank would like to be in that account. But then we decided as a strategy not to get into it. So, it is always a balancing call. I mean, fine price book is something that always a debate in different committee. Otherwise, we are comfortable growing wherever we are growing as on today.

Mr. Antarisksh: And Manoj sir, do you know what was the PSLC cost that we had to bear in the year? Or we can take it later if you do not have.

Mr. Debadatta Chand: We had a PSLC, but then my PSL target we achieved 45% as against the targeted level of 40%. And with the change definition, this 45% is going to be 48% again. So, adequately, book has the PSL compliance vis-a-vis the priority sector targets. I think you have one thing I can just give it. I will come back to you last.

Mr. Vinayak: Good morning, sir. My name is Vinayak. I am from Jefferies India. So, I had two questions. Firstly, on mortgages. So, we have taken some sharper rate cuts in mortgage from 8.4 to 8%. So, could

you explain the thought process behind this? And second, sir, continuing with the international segment, given that global yields are falling, how do you expect the international margins to trend?

Mr. Debadatta Chand: Okay. Mortgage book, see, already the existing housing loan, the rate that you are referring is the best rate to the CIBIL 800 plus kind of a 750 or 800 plus customer. And the card rates are different. Card rate is not at 8%. The card rates are different at different CIBIL score. So, all the existing borrowers already they got the benefit of 50 bps. So, when we announce the new scheme, obviously, you need to make it at par with the existing customer and the new customer and that is why the new scheme has come. In the process, the new scheme is not going to give me a lower yield as compared to the existing book, the yield it is giving. It is perfectly mapped in a manner where the yield of the existing book is protected in the new scheme that we announced recently. So, there is no challenge over there.
International, as I said, international we seen a, I mean, good new NIM expansion maybe a year back. Quality assets which are marque name in global markets, we could pick it up maybe 1% lower than the domestic market rate at that time. I mean, because of a peculiar scenario where some of the yields in those market went up sharply. So, we could grow at that time 20, 25, 30% in those market at that time. But now the scenario is different. All these assets are getting repriced at a lower, the price have gone down. So, our normal thing currently the international NIM is at 1.95 something. The normal threshold that we need to operate in that market, any NIM which is above 1.75 that is book as a whole, not transaction wise, any NIM which is more than 1.75% and higher. That typically can protect the impact of the international NIM or the domestic and so the market goes on. We will try to maintain both the market therein. Anything Mr. Tyagi you want to add on the international?

Mr. Lalit Tyagi: So, another thing is that unlike domestic market, the international both side liabilit

ies
as well as assets are largely linked to the floating rates. The only impact can be lag effect. So, sometimes assets are getting repriced faster because of the linkage of different benchmarks. So, let's say 1-month SOFR-linked assets will get repriced faster than the 3-months SOFR-linked liabilities. Barring that, both the sides are largely floating rate linked. So, all in all, we remain insulated largely because of the benchmark movement. What we basically look at what kind of assets we are onboarding, what kind of spreads we are adding into and the syndication book is giving us the that much headway. So, what MD Saab is saying that largely we remain focused towards that kind of spreads in the international book.

Mr. Debadatta Chand: So, with this is you have the last question and I have the last answer also ready that I will give.

Mr. Ashok Ajmera: Sir, this one old large aviation account, I think, you and Central Bank, you 2 are only having the very large exposure. I think overall was about 2200 crore something and you had some extra collateral property also of 1200 crore something. So, we have not heard about that account for a long time. I think in last meeting also we have not discussed. So, what is the status there and what are the recovery charges and is there any scope for the land to be monetized and to come as a buffer in the profit in the bottom line?

Mr. Debadatta Chand: See, out of that exposure, 1/3rd exposure we got through the guarantee money which was guaranteed and one third already we got it.

Mr. Ashok Ajmera: Reward, yeah....

Mr. Debadatta Chand: Exposure has gone down to 2/3rd on that. There is a large land parcel is there as a collateral. The process is on. There are a couple of actually the Central Bank is the lead here. They already have 1 or 2 bid processes that they run through. They are again going for further process on that. It takes time normally for realizing particularly large piece of land, any value on that. So, there is not much of development on that account for last 3-4 months. Anything happens, then we let you know on that. But then the bank is adequately 1/3rd already got....

Mr. Ashok Ajmera: No final loan loss.

Mr. Debadatta Chand: I am not expecting any loan loss on this account, I mean the account was fully provided. But I am not expecting any loan loss as of now on this particular account. Only lastly... answer from Madam Beena, would you like to say something with regard to the liability side, what we have done something extra on that?

Ms. Beena Vaheed: It has been a difficult year for liabilities but in spite of that, we did well. We were within our guidance, whatever guidance we had given. And with regard to CASA, I think there was one question which I would just like to add on to what the MD said. See, with regard to CASA, almost 24% of our CASA is institutional and 76% is retail CASA. And in the 76%, though, if you see whichever banks have now declared the results, if you see their CASA, we have done much better than the others. We almost had a 6.5% increase in CASA. And what I would like to add on here is, if you see the retail CASA piece, we almost grew by 5% in retail CASA. So, that is something which has been good with regard to the liability piece for us.

Mr. Debadatta Chand: I wish all of you to open a masterstroke account. That's one thing, a curated account, curated by the master himself. So that's something I think......

Mr. Ashok Ajmera: Sir, just a small last one. We have MoU....Excuse me....my throat is a little bad. I have been travelling actually. We have a MoU with IREDA, we entered with MoU with IREDA for the solar I think proposals and this thing. So, and where our exposure is 18,547 crore total in the renewable energy. So, in case of IREDA what kind of arrangement do we have. Does it come automatically? Whatever project IREDA appraise and text, we automatically

take some share out of that or every
proposal is separately appraised by us. Like recently, I know they have taken one proposal of just some 1,450 crore, a project of 2,150 crore on that this thing. So, what is the what is the mechanism set up under that MoU to have those loan accounts?

Mr. Debadatta Chand: The MoU is a non-binding one in the sense that suppose a proposal being originated either by IREDA or by Bank of Baroda, it's only we give it to the other party for their evaluation. Nothing beyond that. It's not that suppose a party X has given a sanction and he wants to, let's say, down sell a portion and the other party automatically takes it. No. The only thing is to induce

that proposal on a first right of refusal kind of thing to the other party. The other party has to decide on the quality of the proposal, their own underwriting standards.

Mr. Ashok Ajmera: Full appraisal.

Mr. Debadatta Chand: Full appraisal. Full, absolutely full appraisal on that.

Mr. Ashok Ajmera: Thank you.

Mr. Debadatta Chand: We signed up not only with IREDA, we have signed up with REC, we signed up also with the state government, we are one of the bank to sign...

Mr. Ashok Ajmera: I just found it here actually so I thought....

Mr. Debadatta Chand: Yeah, we signed up with the state government also a MoU for funding renewable because that's a champion sector for us.

Mr. Ashok Ajmera: Thank you sir and all the best. Thank you.

Mr. Debadatta Chand: Yeah please.

Mr. Lalit Tyagi: So, Ajmera Saab, one more thing I can add towards the last is that these MoU’s works towards and they go beyond the loan relationship or loan engagement. So, for example, IREDA can't issue LC, if LC is required in a project funding. So, they can collaborate with us, provided we accept the credit as the acceptable credit, then they require escrow account to be maintained. So here is a MoU which works when the teams engage with each other in a structured manner and the mutually they garner the benefit. So, it's a purely acceptable to bank running on our own due diligence then only MOU doesn't induce any responsibility either on IREDA or Bank of Baroda.

Mr. Debadatta Chand: So, once again thank you all of you and sparing your time today. As I said, there is an eventful morning as far as the country is concerned. So, sparing time again thank you. And initially we planned for 45 minutes but it went on for 1 hour 30 minutes. So, thank you all for that. Thank you very much.

Moderator: Thank you.

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Call: Jul 2025

BCC:ISD:117:16:280 30.07.2025

The Vice-President,
B S E Ltd.,
Phiroze Jeejeebhoy Towers Dalal Street Mumbai – 400 001
BSE CODE-532134

The Vice-President,
National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex, Bandra (E) Mumbai – 400 051
CODE-BANKBARODA

Dear Sir / Madam,
Re: Disclosure under Regulation 46(2) (LODR)

We enclose transcript of Media Meet & Analyst Meet held on 25
th July 2025 for Q1 (FY 2025-26)
Financial Results. We request you to take note of the above pursuant to Regulati on 46 of SEBI (LODR) Regulations, 2015 and upload the information on your website.

Yours faithfully,

P K Agarwal
Company Secretary

Bank of Baroda Media Meet for Quarter ended 30th June 2025
25th July 202 5

Participating members from the Management Team of the Bank
➢ Mr. Debadatta Chand, Managing Director & CEO
➢ Mr. Lalit Tyagi, Executive Director
➢ Mr. Sanjay Vinayak Mudaliar, Executive Director
➢ Mr. Lal Singh, Executive Director
➢ Ms. Beena Vaheed, Executive Director
➢ Mr. I V L Sridhar , Chief Financial Officer (CFO)

Moderator: Good evening, everyone, and welcome to the media conference for Bank of Baroda's financial results for the quarter ended 30th June, 2025. Thank you all for joining us. We have with us today our MD & CEO, Mr. Debadatta Ch and. He's joined by the Bank's E xecutive D irectors and our CFO. We'll start with brief introductions and then a short presentation followed by opening remarks by Mr. Chand, followed by the Q&A session. Chand sir, over to you.

Mr. Debadatta Chand: Good evening all my media friends and thank you very much for joining us today. I am D. Chand, MD & CEO of Bank of Baroda. With me, we have the management team: Mr. Lalit Tyagi, he's Executive Director. He looks after the corporate credit, international banking and treasury. Mr. Sanjay Mudaliar , he's Executive Director looking after the IT function and also the retail asset of the bank. Mr. Lal Singh, he's Executive Director. He looks after the priority sector, excluding retail asset, agri and MSME and also the recovery vertical. He also heads the HR function of the bank. Mrs. Beena Vaheed, she's Executive Director looking after all compliance and control function and also the retail liability. Mr. IVL Sridhar, our new CFO, maybe you are interacting with him for the first time, he's the CFO of the b ank. So, with this, Mr. Sridhar, go ahead with your presentation.
Mr. IVL Sridhar: Good evening, everyone. It's my privilege to present before you the financial highlights of the Bank of Baroda for the quarter ended 30th June 2025. Our global advances have grown by 12.6% YOY with domestic advances growing at 12.4% and international at 13.6%. Within the advances book, the bank has continued to focus on RAM advances. Our organic retail book grew by 17.5%, agriculture at 16.2% and organic MSME at 13.1%. Corporate loans have grown by 4.2% YOY. Within the retail segment, we ha ve seen smart growth across the portfolio with education loan growing by 15.4%, home loan at 16.5%, auto loan at 17.9% and mortgages at 18.6%. With regard to our personal loan book, we have moderated the growth as per the guidance given. The moderation is at 19.5%.
In terms of deposit growth, our total deposits have grown by 9.1% with international deposits growing by 14.8% and domestic by 8.1%. The domestic CASA deposits have grown by 5.5% and term deposits have registered a growth of 9.9% YOY. As of 30th June 2025, the Bank's credit deposit ratio stands at 84.08% and CASA ratio stands at 39.33%.
With regard to our profitability metrics, our operating profit for the quarter stands at 8 ,236 crores registering a YOY growth of 15%. Our net profit for Q1 FY26 stands at 4 ,541 crores registering a growth of 1.9% YOY. Return on assets rema

ins above 1% and 1.03% in Q1 FY26. Return on equity stands at 15.05%.
Margins have been under pressure for the industry as a whole, as you know, given the repo rate cuts leading to immediate repricing of EBLR loans and lag in deposit repricing. Therefore, with regard to key ratios, our yield on advances stands at 8.09% for t he quarter. Our cost of deposits for the quarter has sequentially reduced to 5.05% as against 5.12% in the previous quarter. In terms of net interest margin, there has been a reclassification of interest on income tax refund component and the historical NI Ms have been normalized as per the revised reclassification for compatibility purpose. Our NIM for the first quarter of 2026 stands at 2.91%.

Regarding asset quality, our asset quality remains robust. Our GNPA has improved by 60 bps YOY and stands at 2.28%. Net NPA is below 1%, that is at 60 bps, 0.60%. Our provision coverage ratio including TWO is comfortable at 93.18%. Our slippage ratio per Q 1 stands at 1.16%. Credit cost stands at a level of 0.55% for the quarter.
Coming to our SMA and collection efficiency, our CRILC SMA 1 and 2 as a percentage of our standard advances stands at 0.4% as of June ‘25. Our collection efficiency excluding agriculture remains robust at 98.9%.
Regarding the capital position, our capital position continues to be strong with CET -1 at 14.12%, T ier-1 at 15.15% and CRAR at 17.61%. Our LCR remains healthy at approximately 119% as of June ‘25. Adjusted for the profits of Q1 2026, capital adequacy would have been 18.04%. Thank you.
Mr. Debadatta Chand: Thanks, Mr. Sridhar. Once again to all my media friends, a very good evening to all of you. Let me make a couple of qualitative comments on the financials presented by the CFO. As you know that earlier also, we have said multiple times we pursue a very consistent, stable busin ess model. And I think the quarterly results that we have presented, I mean the Q1 of this financial year also talks about sustainability, stability and also building on the fundamental strength of the bank.
The numbers that have been told, the advances growth has been very strong at 12.6% YoY. We have achieved the global advance at almost 12.07 lakhs crores as on June 2025. And within the advance growth, the retail is continuing at a very strong pace and it h as been there for last many quarters.
We are growing retail at 17.5%. And the retail has reached a book of 2.61 lakh crores. As per retail, Agri and MSME earlier also we said, we said that we want to retailize the book more. And the growth in RAM is 18% on a YoY basis. That is a very strong gr owth as far as the numbers and the growth is concerned. And the RAM has also seen a sequential growth of 2% vis -à-vis March 2025.
The Agri loan as presented, the growth has been 16.2% for this quarter. And this is one of the highest growths we have on the Agri sector for the last many years now. This is in comparison to 9.1% of the same quarter of last year.
Another key focus for the bank within the RAM is also on the MSME. The MSME advances grew by 13.1% YoY as against 9.8% last year, I'm talking about June 2024. And within MSME, we're focusing on how do we again strengthen the key levers within the MSME lending piece. For that we're focusing on cash management services. We' re focusing on relationship -based business within MSME. We're

focusing on digital loan processing within the MSME. And also, a couple of government schemes, which is clearly a focus towards MSME. The bank is doing its best to have significant lending in those government schemes.
So, the outcome of all these efforts that I have said, the RAM has gone up to 62.7% to the overall book. And look, two years back, this percentage was 57. So, in line with our concept of retailizing the book, it has worked well, and the percentage is signi ficant, 62.7% as on today.
The only aspect within the advance s book is the cor

porate loan book where the growth is 4.2%. And
I'll just tell you a couple of points here with regard to the corporate book. What we have seen for this

quarter, particularly on the corporates having a strong cash flow position, there is a del everage happening, that is one.
Secondly, many of the corporates are able to go to the bond market and ECB market to get cheaper funds, which is cheaper than the Bank's loan. So, because of that, I think the loan growth in the corporate segment has been slightly lower. But then there is a comparison, there is a seasonal factor here. If you look at the corporate loan book in June 2024, the growth was 2.5%. As compared to that, we are at 4.2%. In spite of the corporate book in June of 2.5%, the full year growth was almost 9%. So, we are hop eful that as far as corporate loan is concerned for the full year, we'll be in the range of 9 to 10%.
Coming to the liability, again, this is something important we must take a note that liability deposit continues to be challenging, not only for us, but the entire banking system. But within that, we are focusing on how to strengthen our liability management by coming out with innovative products, improving the service standard, and also the digital penetration therein.
So, the current deposit growth, if you look at on the liability side, the growth is 8.1%, as against 6% of June last year. The growth in CASA is 5.5%, and the saving is at 5%. If you look at our saving growth for last many quarters, we are sustaining above 5%. And you must be comparing along with the industry growth. I'm talking about large peers. I think we're able to sustain a positive growth over and above the industry growth in the saving fund. And that's our key focus. And the CASA growth is 5.5%. Agai n, that is something you must be comparing with the system growth and able to slightly take a lead on that.
So, the outcome of this is that the CASA percentage is at 39.33%. And when you compare the CASA percentage, particularly with large peers, you can very well appreciate the fact that this is on the top quartile in terms of the percentage in CASA.
Earlier we said that on the deposit, we'll continue to work to reduce dependency on the bulk deposit. This quarter also, we have reduced the bulk deposit to the action of 23,000 crores. So, we have done a bit of realignment on the liability.
So, I think if you look at the cost of deposit that is presented, that is at 5.05%, on the CASA percentage of 39.33%, and the saving growth at 5.5%, I think on the liability side, the bank has done pretty well in terms of managing the cost part of it. The bank's cost of deposit at 5.10% and going by the repricing nature for next quarter will be well below 5% as far as the cost of deposit is concerned.
Giving my comment on the asset quality, again, the asset quality as the CFO said continues to be robust, continues to be resilient, and continues to demonstrate the strong asset quality for the Bank. The GNPA at 2.28 % as against 2.88 % of June last year. As compared to the sequentially vis -a-vis March, it is 2 bps above the March number, but I must tell you there are two factors which contributed. One is a factor where there is a denominator effect because there is a bit of the asset ha s gone down. So, there is a denominator effect here.
And secondly, as far as you compare with the slippage, that numbers that we have given, one large account in the international book that is what is presented also in the analyst presentation, a large

account which is roughly around 500 crores has slipped this year. Let me give a color to this particular account. This was a restructured account during COVID time. At the time of restructure, thereafter subsequently the account was up graded . But then, the account continued to show a bit of sickness in terms of being SMA 1 or 2. And now, in that particular international territo

ry, this account has gone
to a program called CNC, that is a resolution plan. It is a secured loan. And there is a cu rative period of roughly around 120 plus 90 days, 210 days in that. So, we are hopeful for resolution within the 210 days. But in the meantime, we have classified this account as NPA out of the international book and made a 40% provision therein. Although we are hopeful of full recovery through resolution or otherwise, but then we have made a provision of 40% on this.
So, if you exclude this account, a couple of ratios --- let me again highlight on that. If you exclude this account, the slippage ratio will be at 0.99 % as against 1.16 %. And similarly, the credit cost would be

at 0.47 % as against 0.55%. So, if you look at these numbers, these are broadly aligned with the performance we had in the earlier quarter. This is only a one -off on the international account which has slipped. And we are hopeful for resolution as we go ahead as far as this particu lar account is concer ned.
The bank on the income side, N II, as you know that all the banks because of the rate transition that happened in the entire market, banks have taken a cut in the N II. So, as we also, our NI I - there was a degrowth of almost 1.4% whereas the operating profit has been very strong at 15% because of the substantial increase in the non -interest income and more precisely out of the treasury income. So, that has supported big time for us and the growth in operating profit is 15% , whereas Net Profit, the growth is 1.6%.
Couple of data points which are important here, let me tell that – For last 10 quarters, we are posting a Net Profit in excess of 4,000 crore. And that gives us an increase in book value in last 2 years, I'm talking about March’23, almost ■85 to the book value. So, the bank since it is at elevated profit curve, so the percentage growth looks slightly lower, otherwise the bank inherently has a ver y strong income earning potential and so as the profit generation capacity. The ROA, it is almost now 12 quarters, we are maintaining in excess of 1 %. On the bank also, I mean, as I said, fundamentally we looked into that you can typically compare vis -à-vis the increase in book value in June’2025 over March’2023.
On the liability as I said, we have Cost of deposit of 5.05 %, with a CASA of 39.33 %, with a margin of 2.91 %. That works out very well in terms of the liability management that the bank pursue. Our NIM is at 2.91 %. Again, as you have a significant international book where the NIM is 1.75 %, otherwise the domestic NIM is at 3.06 %. We are above 3 % in the domestic NIM itself. And if you compare vis -à-vis the reclassified NIM of that of March, which was at 2.98 %, otherwise you declared 2.86 % because of the same. Reclassification benefit it is at 2.98 %. The cut in NIM for this quarter, I am talking about June over March, is only 7 bps. And you would have read a newspaper article sometime back, where the average cut in the margin that many of the banks which was presented in that article is almost 17 bps .

So, in terms of the liability management, in terms of the asset -liability management, I think the bank has done well in terms of able to maintain its margin. And that is something significant, I believe, while articulating before all of you.

Couple of other points I would like to say – The Digital, the bank is doing quite well. Our new app, bob■Pay is doing quite well. The P -CBDC, which was announced sometime back, there is traction over there.

A couple of awards that earlier also we communicated that on the EASE Reform, which is one of the comprehensive performance metrics that all the banks, public sector banks. We ranked 2nd when it was announced sometime back. The bank would continue to focus on sustainability, the bank would continue to focus on the stable outlook. At the same time, I believe the liability management is one of

the key cornerstone s as far as the bank is concerned for this quarter. With this, I will end my initial talk and we will go for question and answer. Phiroza, over to you.

Moderator: Thank you, Sir. If you have a question, please raise your hand or you may also type your question in the Q&A box and I will come to you one by one. The first person who raised their hand was Alekh, Alekh from The Economic Times. Alekh, if you can please unmute yourself and ask your question.

Mr. Alekh Angre : Hi, Sir. Sir, you alluded to the lower corporate growth. On a quarterly basis there has been a degrowth, what's really happening? Is it , are you letting the repayments happen and not re-contracting because rates are very fine? And how are you working around the spreads, especially with…? I believe NBFCs have also seen similar kind of sequential, you know, about 15,000 crore, the book has c ome down on a quarterly basis. So , what's really happening there? How are you negotiating on rates with corporates and NBFCs specifically? How much did you shed in case of NBFCs? And my second question is on co -lending. How much is that book? Would you look at stepping up the lending under that piece because you mentioned about MSMEs, given the revised draft that RBI has come out with? So, some of the thoughts on that. Thanks.

Mr. Debadatta Chand: Yeah. Thanks, Alekh. So, I mean, corporate, as I said, there are two factors for the current quarter growth. One is bit of seasonal factor, as I said, because we had a similar quarter also in June last year. So, when we realign the book, both in terms of t he bulk deposit and the fine price book, so obviously there is a bit of realignment. Having said so, as I said, on the corporate side, I mean, those corporate s having a very strong cashflow position. I mean, there is a deleveraging, we need to take a note of that.

And, secondly, because of significant downward movement in rates in the bond market, I mean, typically these corporates are also able to raise funds at a cheaper rate. So, obviously, the dependency on the bank's loans is relatively low. So, these are the two factors which are impacting. But as I said, June last year we had a 2.5% YoY and the full year we had a 9%. I'm also thinking a similar corporate book outlook for the full year, where we can achieve almost 9% -10% growth.

We are focusing on multiple sectors, including NBFC. Yes, NBFC is slightly, if you look at the segmental data, there is a bit of degrowth that happened because we had some like the risk weight was one of the factors but now the demand is coming back into t he banks and we are looking into all this proposal. I think NBFC, again, there is a good upside available for us to grow in this NBFC exposure. And on the co-lending, yes, the bank is fully working with the co -lending.

Mr. Alekh Angre : On the NBFC bit, what has caused that reduction? Quarterly basis, the book has come down by about 15,000 crores. So, that's like a little sizable number. I just wanted to understand, have you let the contracts to end because pricings are really tight? And how are you negotiating on the spreads because they're still on MCLR, I believe?

Mr. Debadatta Chand: So, you are right on the NBFC. Multiple, like in NBFC space, we have the corporate NBFC and also we have the public sector NBFC, right. And, obviously, because of the Bond market, the prices have gone from fine to very fine. So, maybe because again, you kn ow, our margin is at 2.91 and there may be some transaction which may let it go because it's not working out well in terms of the pricing. They are very high quality asset but at the same time doesn't give you an optimal on the margin side. So, we have similar couple of transactions where possibly because of fine price we could not retain those customers. But, again, I think on the demand side, if you look at, the NBFC demand is again coming

back into the bank. A lot of pipeline cases w e have in NBFC and we are considering those. So, on an overall basis, I think going forward the growth has to be much higher. And typically a full year will be at 9% -10%.

Coming to your second question on co -lending. Yes, the bank is quite prepared now to upsize its co - lending book. Initially, there are challenges in terms of the technical integration, couple of clarity on some of the aspect of accounting. Now, all these ar e clarified. The guidelines are clear on those. So, we are working on to increase our co -lending exposure vis -a-vis NBFC significantly from the current level.

Mr. Alekh Angre : How much is the book right now? And what is the quarterly and monthly numbers?

Mr. Debadatta Chand: The book is not a lot for us, actually. It is less than 2,000 as of today. So, we are thinking of a significant uptick going forward.

Mr. Alekh Angre : So, by end of the year, how much would you like to see this book grow to?

Mr. Debadatta Chand: We have not estimated but clearly our policies, efforts and the directions are aligning to increasing this book significantly.

Mr. Alekh Angre : Okay. Thank you so much, Sir.

Mr. Debadatta Chand: Thank you.

Moderator: Thanks, Alekh. Next question is from Subhana Shaikh of NDTV Profit.

Ms. Subhana Shaikh : Hi, Sir. Good evening.

Mr. Debadatta Chand: Good evening, Ma'am.

Ms. Subhana Shaikh : Sir, I wanted to ask, you spoke of this international account, would you be able to name that account for us? And what exactly went wrong here?

Mr. Debadatta Chand: No, actually, bilateral name we do not declare. That is prohibited in that way.

But then I will give you full color of this account. Again, I'll repeat what I said earlier.

Ms. Subhana Shaikh : Yes.

Mr. Debadatta Chand: It was an account which was restructured during COVID time. And post restructuring, the account was upgraded because the conduct of the account was good. But it was showing sign of weakness therein. And now it has gone to a resolution like process we have like maybe IBC or something. It is in that particular international territory called CNC. And there is a curative process for 90 days for resolution of the account. And till that time, there is a standstill condition that holds.

So, as far as the account is concerned – It is a secured advance. The asset coverage is much more than 1. Secondly, we are hopeful for a resolution. It is a very good entity in terms of the local government stake over there in that entity. So, I think, there would be a clear resolution therein. But as a prudent measure, we have made 40% provision therein. So, on a 500 crore, we are holding 200 crore of provision. So, looking into the trajectory of the resolution happening post 210 days, I think we will be in a position to further. But then it is one off. And it was known to the bank that the account had sickness, so continuously used to monitor that.

I tell you one good point that at the time of COVID restructuring, the outstanding was almost at 80 million on Euro terms. And because of the repayment, the outstanding currently is 50 million. So, the account has a good vintage in terms of, I mean, paying the banks due. And we are hopeful we will recover the amount full.

Ms. Subhana Shaikh : So, Sir, going forward, you expect your provisions to rise from this account?

Mr. Debadatta Chand: No, if the resolution does not happen, we will scale up the provision. But that is not significant to bank size. See, the exposure is 500 crore in rupee terms and already 200 provided. The balance is only 300 crore. So, we will all watch the output of this resolution process, which is ending on 210 days. So, thereafter, we will take a call on that.

Ms. Subhana Shaikh : Okay. Sir, my next question is on the MSME segment. You have been focusing on the MSME segment. Yesterday, the FTA deal has

been signed, which is set to boost the MSME
space. Kind of wanted your view on that. By how much would you want to grow your MSME book?

And, also, one more thing I wanted to understand from you was corporate is seeing a slowdown. Overall, retail growth has seen a slowdown. Kind of wanted to understand, what sector are you focusing on the MSME segment? And, also, are there any concerns of over -leveraging percolating in the unsecured MSME business as well?

Mr. Debadatta Chand: So, the MSME, let me give you a couple of data points. Our growth this quarter is 13.1% and this is as against 9.8% on the corresponding quarter last year. Whereas in March, the growth was 14.2%. So, clearly, in the last one year we have upsized the growth in MSME. Clearly, we have done multiple aspects therein. We have put in a Cash Management System for MSME borrowers. A couple of sectors which are doing well for us is a sector like CV & CME, supply chain finance, the TReDs , I mean, t he platform. So, the core MSME growth is also there. So, the bank will be focusing. And, again, on the regulation side, the MSME definition has changed now and that gives a huge opportunity for us to grow in MSME.

Secondly, the government has come up with a couple of new schemes on the MSME. One is a cashflow -based scheme, which is a smart OD that we have already rolled out to the market. Another is MCGS, which is a guarantee -scheme under which you can lend money. So, I think, the environment for lending to MSME is quite positive at this point of time. There are demands. We have leveraged our digital platform. We rolled out the digital platform. We rolled out almost 350 branches, which are MSME -focused branches. We a re focusing on clusters on MSME. So, with all this, I think growing at around 17% -18% is possible for the bank. And we are expecting rather to upsize that. So, we are working strongly on the MSME, focusing key to the MSME.

Coming to the corporate growth, yes, there is a bit of degrowth that has happened in the sense of growth percentage. I have already told the reasons thereof. A bit of corporate deleveraging happening. Corporate is able to tap alternate sources at a cheaper rate than the bank's rate because the MCLR continues to be…Although, we have cut the MCLR but it would again moderate based on the deposit cost, which would be a lag time. So, that's happening.

In that scenario, if you look at Bank of Baroda's growth in corporate 4.2 %, it is aligned with almost all large peers' growth in the corporate sector. So, it is not that we are slightly lower. I mean, we are almost aligned with the system growth in the corporate sector. This, again, June is a slack season for corporate and also seasonal factors therein. So, overall, I don't think on the full year basis there would be any less growth in corporate as compared to the growth we had in last year.

Retail, again, my retail growth is almost 19.5%, 20% for many quarters. Normally, again, June is slightly lower as compared to the average growth on retail. But if you look at the retail growth in Bank of Baroda for last many quarters, we are almost 3% -4% higher than the system average on that. And the Housing growth, if you look at this quarter, it is at 16.5%, which is much better than the 14.5% last year, last quarter. So, the retail, the growth story continues to be strong. So, absolutely, there is no degrowth or no something which is a lower growth happening. We continue to work very strongly on the retail. I think, probably I answered. The sector in MSME, which we are focusing, the core MSME, CV & CME, supply chain finance and all those things giving us good outcome now.

Moderator: Thanks, Subhana. The next question is from Shubham Rana of Informist.

Mr. Shubham Rana: Hi, sir can you hear me?

Mr. Debadatta Chand: Yeah, I can hear you. Please go ahead.

Mr. Shubham Rana:

So, sir, your treasury income has helped you quite a bit in over the last two quarters, including this one. So, in terms of going ahead in the next quarters, what is your plan? Like, how do you plan to impact higher provision if you see treasury income com ing down and like even your net interest income is not like it fell on year. So, in terms of how do you plan to mitigate higher provisions in this scenario?

Mr. Debadatta Chand: Okay, Mr. Rana, this is a fair question. NII growth, the pressure on the NII continue to be for the next quarter also. Let us be very upfront on that. Because the transition matrix, both on the asset liability, it is going to fully realign in next quarter and Q3 onwards, it will be positive only, it is upward only, both in terms of margin, both in terms of NII. So, the fall in NII is system aligned. I mean, I have seen all the banks have given a lower NII growth or a negative growth. Because this is what th e transition happening because the cost of deposit will take a bit of more time to realign because those are all fixed cost.

At the same time, on the BRLLR, the benefit was passed on immediately. The full benefit was passed on immediately. So, considering that, I don't think NII is something, it is aligning with the market scenario. And that is not a … but again, I will tell you that the next quarter again will be under pressure both on the margin front and also on the NII front.

Coming to the treasury income, yes, it has given an absolute dividend this quarter. This is on the backdrop of the market movement on the yield. Going forward, if the market movement persists like that, which slightly the yields have moved upward now, we c an similarly give a good profit therein. Let us say again, if you clearly analyze the reasons, like almost all the banks have given a good trading profit on treasury. Typically, a lot of OMOs happened where the banks are allowed to put their HTM investment over there. And there, there is a good upside over there. So, considering the OMO, in case it continues, then we will still have a good chance of again getting a good profit for this quarter. But before I do, Mr. Tyagi, would you like to supp lement anything further on this?

Mr. Lalit Tyagi: Sir, I think broadly you have covered about the reasons of treasury gains. In fact, the yield movement has supported the Q1 treasury gains. And Q2, you know, at present, the yields are holding and in case the yields go down, then probably there can be som e upside on treasury gains also.

Mr. Debadatta Chand: Well, Mr. Rana, I can add one thing. On the provisioning side, we have been slightly prudent in terms of making provision therein. So, in terms of, if you look at the next quarter, possibly this prudent provisioning is going to help us.

Mr. Shubham Rana: Okay. So, sir, just your provisions rose almost 1000 crores in like year -on-year. So, what sort of outlook can you give on that for the next, for like July -September quarter?

Mr. Debadatta Chand: See, if you look at the provision requirement vis -a-vis March, the increase is only 400 crores. If you look at the full year, it's almost a 1000 crore. So, 200 crores out of the international account that I talked about, we have made 40% provision. So, the remaining part, is looking at the asset quality almost slightly at the same, I mean, maybe there is some bit of additional requirement somewhere because of ageing provision. We have also accounted bit of a weakness in this account and made prudential provision also. So, this is what the colour of the provision, but the run rate of 1500 is something I think is a maintainable one, but we will just see next quarter how it pans out.

Mr. Shubham Rana: Okay. Sure. Thank you so much.

Mr. Debadatta Chand: Okay. Thanks.

Moderator: Thank you. Anjali Palod of ET Now.

Ms. Anjali Palod: Hi, sir. My question is on the RAM book, which you have said is now 62.7% of your book compared to 57% last year, if I am right. I wanted to understand what kind of contributions on RAM are you targeting and by when do you see that happening?

Mr. Debadatta Chand: Can you come back what you said? What is that target?

Ms. Anjali Palod: What is the RAM contribution that you are targeting in your overall book and by when do you think you will be able to achieve that?

Mr. Debadatta Chand: See, earlier also we announced one theme on the bank working strongly is to retailize the book. So, when we started at 57 % two years back, we wanted to retailize, retailize I am talking about the entire RAM as a retail book. So, there we have done substantial work on that. As such, my retail book is growing much faster than the corporate book. So, one thing that would have seen for many quarters now. And the only thing that worked for this year is augmenting the Agri and MSME book. So, these two books also started growing at a higher pace. Considering that the RAM book continued to be strong. If you look at this quarter, why the RAM is 62.7% because the corporate growth is very low at 4.2%, which is going to increase in the subsequent quarter. But at the sam e time, the bank has a plan to almost get into 65% in 2 to 3 years' time. That is some kind of a guidance we said earlier and we will continue to work on that.

Ms. Anjali Palod: And my second question is on the repo rate cuts. Like you said the EBLR linked books have been immediately repriced and there is some lag when it comes to the deposit. So, how many quarters do you think it will take for the entire impact of the repo rate c uts to translate into your books?

Mr. Debadatta Chand: Roughly we believe around 70 to 80% of the deposit book would get repriced by end of September. And with that scenario then possibly the upside actually in terms of a positive outcome both in terms of aligning the asset and liability would start coming Q3 onwards. So, we have a much positive margin outlook both the margin and the NII outlook both for Q3 and Q4. Whereas Q2 still can continue because of the impact. Because this quarter the impact of the repo rate cut and also a couple of changes happening on the corporate book side in terms of a pricing aligning to the bond market price, the impact is not full, it is half. But the September quarter is going to be full. So, in that scenario I think there will be a bit of pressure both on th e margin and NII in September. But Q3 onwards is going to be a positive growth both in margin and also in the NII.

Ms. Anjali Palod: Alright, thank you sir.

Mr. Debadatta Chand: Thank you.

Moderator: Thank you, Anjali. We will take a couple of questions which have come in from the Q&A channel. One is from Anupreksha of Business Standard. She has three questions.

Ms. Anupreksha Jain: What are the recovery targets for FY26? What is our credit and deposit growth guidance? And her third question is on Agri. There has been a substantial Y -O-Y growth in Agri loans. But on a quarterly basis the growth has been slow. So, are we seeing some saturation in Agri loans as well as saturation in Kisan credit cards?

Mr. Debadatta Chand: So, quickly talking about couple of questions in terms of credit and deposit growth guidance. We continue to hold the same guidance 11 to 13 % for the advances and 9 to 11 % for the deposit. Because this quarter we could not see a change in terms of the growth of deposit vis -a-vis the system. So, the deposit is going to continue to be the same level like the last year. So, the guidance continues to be 9 to 11 % on the deposit and 11 to 13 % for the advances.

As far as recovery target, we give normally the slippage guidance and the credit cost and continue to hold the same slippage ratio of 1 to 1.25 % and credit cost below 0.75 %. At the same time, normally last time also we said we intend to,

because the kitty is now less, but the recovery we want to exceed 10,000 crores as a benchmark number. And there we will be working on to achieve a 10,000 -crore recovery for the full year.

Agri, the growth actually, the growth is 16% because of the Q1 last year was not that, I mean significant growth in Agri. It has picked up in Q2, Q3 and Q4. The momentum is continuing. So, even if it is not 16% going forward, but the growth continues to be somewhere upward of 14% on the Agri going forward. That is what our take on the matter. Thank you.

Moderator: Okay, sir. The next question is from Ram Kumar sir of The Hindu Business Line. He has two questions.

Mr. Ram Kumar : Is 80% plus CD ratio sustainable? And his second question is in a falling interest rate scenario, what steps are you taking to grow CASA deposits?

Mr. Debadatta Chand: That's a fair question. As far as the LDR or the CD is concerned, we earlier also said we will be operating almost at around 82, 83, 84 kind of a level. It is sustainable because on the backdrop of excess SLR of 6.5 -7%, I think it is absolutely sustainable. So, there is no impact because we have a healthy LCR also at almost at 120%.

Falling CASA, yes, this is one rather I would take a note of efforts by Bank of Baroda to sustain CASA. Not only the saving deposit that we are talking about, the CASA and the saving deposit for last many quarters we ’re able to slightly do better than the system in that way. I am comparing about large peer banks for the purpose. So, we came out with multiple innovative products. We came out with a lot of digital offerings. We came out with bundling of products, service s to, I mean, attract CASA. So, we will continue on that journey of attracting more CASA. But at the same time, let us also understand the scenario where on the preference of depositor to getting into other market is still continuing. Like, I mean, the depositor going from deposit market to let ’s say capital market on that, that is still being there. So, in that scenario, we will try to optimize our CASA and I think that is a strength as on today in terms of the numbers that were given not only for this quarter, for last many quarters. So, we wi ll be working strongly on the CASA percentage. And my CASA percentage is one of the top quartiles. So, that is what, I mean, tells the story with regard to the focus the bank is putting on CASA. Thank you.

Moderator: Okay. Next question is from Ashish Agashe of PTI. Ashish.

Mr. Ashish Agashe : Thank you so much, Phiroza. Hope I am audible, sir.

Mr. Debadatta Chand: You are audible. Please go ahead.

Mr. Ashish Agashe : What is the EBLR linked loans in the overall book, sir? And you said that Q2 NIMs would be under pressure. So, any outlook for exit FY26 on the NIMs run, sir?

Mr. Debadatta Chand : See, EBLR, we are at 30 -35 % rather we run the MCLR at around 45 to 48 %. And possibly in peer comparison, you would have looked that the MCLR book is one of the highest in the banking sector. So, the EBLR pass on is immediate, whereas MCLR already we have made one cut in MCLR. B ut as the cost of deposit moderates, we will keep working on reducing the MCLR. The second question was what on that?

Mr. Ashish Agashe: The exit target for NIMs in FY26, sir, because you are expecting H2 to be better, sir, that way?

Mr. Debadatta Chand: Yeah, H2 to be better, absolutely. So, look, we are not giving, last time also said that NIM guidance, because there is an inflexion point, there is a transition happening, it is slightly

more difficult. But if you look at the outcome of NIM in this quarter, I think we have done much better. I mean, we are holding at 2.91 % as compared to 2.98 % of March 2025, the reclassified number. In that scenario, the cut is only 7 bps as compared to the industry, if I go by the reports that published, it is almost 17 bps, righ

t. So, in terms of margin, we are quite particular on that. So, on an overall pers pective, I think because H2 will be much better. So, we are looking at a guidance range of almost like 2.85 % to maybe 3 % can be a guidance range. But we will just see how it pans out, because again, our margin would be pressure in Q2. And then possibly if there is a revision required, we will do, but currently the outlook is to maintain between 2.85 to 3 %.

Mr. Ashish Agashe: Okay, sir, thank you. And on the corporate side, you are expecting quite a bit of acceleration in the remaining part of the year. So, where do you see the demand right now? Because the factors which you pointed out too, which is alternatives existing with corporates, the stronger ones amongst them deleveraging, I would guess that they would continue even in the remainder of the year. So, where do you see the demand getting generated? If you can possibly put a number to the pipeline under discussions, at least with corporate loans that you have as well, sir?

Mr. Debadatta Chand: So, that's a fair question because, I mean, this quarter is a seasonal impact also, as I said, it was similar scenario in June 2024 also. So, again, H1 is a slack season and H2 is a busy season, right. So, the demand as such would come back in the H2 and b y that time, the differential rate between the, let's say, the bond market and the loan pricing would again get squished, right. That is what a transition we are looking that to happen in Q2 itself. So, in that scenario, I think people would come back strongly into the loan market and for us to optimize that.

And as of today, if you look at a pipeline, we have a huge pipeline in order. Almost like cases which are sanctioned, not disbursed is almost 30,000 -35,000 crore. Cases we are under consideration is almost 25,000 -30,000 crore. So, we are going to replicate the same way that we did last year in terms of the Q1 growth slightly lower, but subsequently upsizing the growth in Q2, Q3 and Q4. And typically looking at a scenario where the demands are coming strongly on the renewable side, the data center side, whet her it is a road project side. There are multiple sectors where the demands are still very strong and I think we will be in a position to achieve 9 -10% corporate growth for the full year. Mr. Tyagi, anything you want to add on the growth number?

Mr. Lalit Tyagi: Yes, sir. So, sir, in fact, to add to what you have said that there are many CapEx announcements from various companies in the corporate sector and PSU space also. And they will come up for the funding in the coming years. So, we believe that apart from th ose sectors which MD Saab enumerated, there will be a demand from the corporate side also. And as we enter into the busy season, there will be a requirement on the working capital side also and there will be availments.

Mr. Ashish Agashe: Yeah. Okay sir. So, final small question, sir. So, where is this, which sector is this problematic international account from, sir?

Mr. Debadatta Chand: It is a general manufacturing sector. It is not anything. It is a manufacturing sector. The entity is engaged in a manufacturing business in an overseas territory. So, it is a manufacturing one. And typically, mainly the impact came from the COVID impact w hich could not

sustain over a long period of time and I mean, that is one. And there are two things which are important while looking into the account adequately covered as far as the exposure is concerned. On the exposure, if you look at the vintage of this exposure, it has gone down almost by 30 million in the last 2 -3 years' time. So, we are quite hopeful of resolution, if not also getting the full recovery out of this account.

Mr. Ashish Agashe: Okay, sir. Thank you so much.

Mr. Debadatta Chand: Yeah.

Moderator: Thanks, Ashish. Thank you, everyone. That is the last question we will be

able to take
today. Thank you all for joining us today.

Mr. Debadatta Chand: So, thank you very much. In case you have further query, you can send it to us. We will reply to all those queries. Thank you very much.

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Bank of Baroda Analyst Meet for Quarter ended 3 0th June 2025
25th July 2025

Participating members from the Management Team of the Bank
➢ Mr. Debadatta Chand, Managing Director & CEO
➢ Mr. Lalit Tyagi, Executive Director
➢ Mr. Sanjay Vinayak Mudaliar, Executive Director
➢ Mr. Lal Singh, Executive Director
➢ Ms. Beena Vaheed, Executive Director
➢ Mr. I V L Sridhar , Chief Financial Officer (CFO)

Moderator: Good evening, everyone and welcome to Bank of Baroda's results for the quarter one ended June 30th, 2025. Thank you all for joining us.

We have with us today our MD & CEO, Shri Debadatta Chand and he is joined by the B ank's Executive Directors and our CFO. We will start with brief introductions and then a short presentation followed by opening remarks by Chand sir and then we will start with the Q&A session. Chand sir.

Mr. Debadatta Chand: Yeah. Thanks, Phiroza . Again, good evening to all of you, all my analyst friend s. Let me introduce the management team here , I am D. Chand, MD and CEO of Bank of Baroda. And with me , we have Mr. Lalit Tyagi, he’s the Executive Director , he looks after the corporate credit, international banking and treasury , as far as the bank's books are concerned. Mr. Sanjay Mudaliar, he’s the Executive Director , he looks after the IT function of the entire bank and also the retail asset s apart from this he has multiple other departments. Mr. Lal Singh, he is Executive Director , he looks after the recovery, the priority sector and also more importantly, the HR function of the bank. And we have Madam Beena Vaheed , she looks after the compliance and control function and also the retail liability, which is very critical, at this point of time the retail liability of the bank. And we have the new CFO. Possibly , you are meetin g him for the first time, Mr. I VL Sridhar. He has taken charge as the CFO and he is part of the management discussion tod ay. So , with this, I mean, Mr. Sridhar, please go through the presentation. Then I'll have my opening remarks.

Mr. I VL Sridhar: Thank you, sir. Good evening all. It is my privilege to present before you the financial highlights of Bank of Baroda for the quarter ended 30th June 2025.

Our global advances have grown by 12.6% YOY, with domestic advances growing at 12.4% and international at 13.6%. Within the advances book, the bank has continued to focus on RAM advances. Our organic retail book grew by 17.5%, agriculture at 16.2% and organic MSME at 13.1%. Corporate loans have grown by 4.2% YOY. Within the retail segment, we have seen a smart growth across the portfolio with education loan growing by 15.4%, home loan at 16 .5%, auto loan at 17.9%, mortgage at 18.6%. With regard to our personal loan book, we have moderated the growth as per the guidance given at 19.5%.

In terms of deposit growth, our total deposits have grown by 9.1% with the international deposits growing by 14.8% and domestic by 8.1%. The domestic CASA deposits have grown by 5.5% and term deposits have reached a growth of 9.9% YOY. As of 30th June 2025, the bank's credit deposit ratio stands at 84.08% and CASA ratio stands at 39.33%.

With regard to our profitability metrics, our operating profit for the quarter stands at 8,236 crores, registering a YOY growth of 15%. Our net profit for the Q1 of FY26 stands at 4 ,541 crores, registering a growth of 1.9% YOY. Return on assets remains above 1% at 1.03% in Q1 of FY26. Return on equity stands at 15.05%.

Margins have been under pressure for the industry as a whole given the repo rate cuts leading to immediate repricing of EBLR linked loans and lag in dep

osit repricing. Therefore, with regard to our
key ratios, our yield on advances stands at 8.09% for the quarter.

Our cost of deposits for the quarter have sequentially reduced to 5.05% as against 5.12% in the previous quarter. In terms of our net interest margin, there has been reclassification of interest on income tax refund and the historical NIMs have been normal ized as per the revised reclassification for comparability. And our NIM for Q1 FY2026 stands at 2.91%.

Regarding asset quality, our asset quality remains robust. Our GNPA has improved by 60 bps YOY and stands at 2.28%. Net NPA is below 1% and that is at 0.6%. Our provision coverage ratio including TWO is comfortable at 93.18%. Our slippage ratio for Q1 FY2026 stands at 1.16%. Credit cost stands at a level of 0.55% for the quarter.

Coming to our SMA and collection efficiency, our CRILC SMA 1 and 2 as a percentage of our standard advances stands at 0.4% as of June ‘25. Our collection efficiency excluding agriculture remains robust at 98.9%.

In terms of our capital adequacy, our capital position continues to be strong with CET -1 at 14.12%, Tier 1 at 15.15% and CRAR at 17.61%. Our LCR remains healthy at approximately 119% as of June ‘25. Adjusted for the profits of Q1 2026, the capital adequacy would have been 18.04%. Thank you.

Mr. Debadatta Chand: So, thank you, Mr. Sridhar. Again, just to give quick remark s on the qualitative aspect of the results, we will move for question and answer.

So, let me tell again the bank ’s business model as I told earlier, is to work on a sustainable and a consistent and a stable outlook model. And I think the performance that we have given for this quarter is perfectly aligning with our business model in terms of focusing on sustainable business, focusing only on the organic business at the same time adding to its fundamental strength. What I mean by fundamental strength is the b ook value, incremental book value that I am talking vis -a-vis quarter to quarter.

In terms of advance, the numbers are before you. On the advance book, the bank had very strong 12.6% growth. That is in this market, I think is one of the good growths we have. And the advance growth is propelled mainly by the RAM book which is growing alm ost at 18%. The retail continues to be strong. The MSME is growing at 13.1 % and the Agri is one of the highest growths we had in last many quarters at 16%, in excess of 16%. I think RAM will continue to grow strong . The bank is focusing . The corporate grow th is at 4.2. You may say it is muted, but if I look into the entire industry outlook and the performance, this growth is aligned with the growth. I will give you a couple of data points on the corporate growth. We had a 2.5% YOY growth in June 2024. So, t ypically the beginning of the quarter we realign the book. We realign the book on the bulk deposit which has gone down by 23,000 crore and so has the corporate book. But let ’s also admit couple of fundamental factors here in corporate book. There are corpo rates having strong cash flow position, they are deleveraging. So, the demand is not that much because there is a deleveraging happening on the corporate book. At the same time, good corporates are able to tap bond market at a cheaper rate.

On the BRLR has reacted, but the MCLR would take a bit of time because it is tagged with the cost of deposit moderation. So, they are able to raise at a cheaper, so then the demand from the bank's credit are less. But more because of a seasonal factor, I t hink the corporate growth is at 4.2 %, but better than a couple of other banks. But still we want to upsize this as we had a 2.5% last quarter of last year, but the full year was almost 9%. So, we are thinking of almost growing a 9 to 10% for this year also on the corporate book.

Secondly, on the liability, I think that's something we need to really look into the cost matrix of the

bank as on today. The bulk deposit has been reduced by 23,000 crores. The CASA growth of 5 -5.5% both on the saving and CASA is consistent for last many quarters. And in case you are tracking the peer performance, I think we are able to take the lead on that. And that's the core strength.

The retail term deposit is growing almost at 8.1% and that also if you look at numbers, we are not growing on the bulk deposit. So, the meaning there where the focus continues to be on the stable deposit and for that, three data points I will tell which ag ain you can talk about the liability management which the bank has done. The cost of deposit at 5.05%, this is one of the lowest in the industry, I am talking about large peers. The CASA at 39.33 %, this is one of the highest as far as the percentage in th e entire peer of large peers.

At the same time, the margin, I will come to margin later, we are holding at 2.91 %. And the margin vis-a-vis the last quarter from 2.98 % it has gone down to 2.91 %, only a cut of 7 bps. You would have read many articles which has come where the average cut in NIM for most of the banks is 17 bps. In the same scenario, I think the bank has done well in terms of managing liability and holding onto the NIM. Even if you don't take the reclassification which has been presented in this quarter, the last quarter the NIM was 2.86 %. And if I don't take the income tax refund which has been classified as interest income this quarter, then still it would be 2.81 %. The cut is almost the same like 6 or 7 bps.

So that's something very fundamentally talks about cost of deposit 5.05 %, the CASA at 39.33 %. At the same time, the margin holding at 2.91 %, I think the narrative on the bank's liability is very strong. And that's something the bank is focusing very clearly on that. I'll come to the profitability only one statement.

If you look at the net profit, the bank has been posting net profit of more than 4000 for last 10 quarters. That means we are at an elevated level of the profitability curve for many quarters now. We are the only bank to get into a ROA more than 1, that is in September 2022. So , I am at an elevated level. So , if you look at a percentage change, the percentage change may not work out very high. Suppose I had a suboptimal profit last year, and then possibly I can think of a growth of 50% or 60%. I'm at an ele vated level of net profit and that's why the profit percentage is less, although the operating profit growth is very strong at 15%. So , I think profitability of the bank is clearly on a sustainable path. No doubt the NII has impacted because of the transition happening on the asset liability, as you know, and this is similar for all the banks. All the banks have taken some cut in the net interest income. So , I think on the profitability, strongly, the bank book is strongly hav ing the earning potential, the profit potential is quite strong as far as the bank's book is concerned.

Lastly, cover only on the slippage side. The bank's slippage this quarter has been 3500 crores as compared to our normalized slippage of 2800 to 2900 crores. This is precisely for two reasons.
One is that there is a large international account which is presented in the analyst presentation also, that slipped to NPA this quarter. I'll come to give you a colour on that. Secondly, on the personal loan book, there is a marginal increase in the legac y, that's only 100 crores. So , barring these two, there is no impact and the asset quality is very stable. The GNPA is the best. The CRILC data shows that at 0.4%, SMA 1 and 2 is one of the best in the industry, if you look at the data and compare with oth er banks. At the same time, the collection efficiency at 98.9%, which is better than the last quarter. So , in that way, the asset quality stor y continue s to be strong, robust and resilient.

I'll come to the international account, which again

slipped into NPA this quarter. This account was
restructured during COVID time. The account conduct then was good, so it was upgraded after one year, but it continued to have some kind of a weakness conti nuing in that either in the SMA 1 or 2. And now in that international territory, the account has gone to a resolution process called CNC. So , it's all like a resolution process called the Credit National Crisis, wherein there is a resolution supposed to ha ppen within 210 days, 120 days plus 90 days. And we'll get to know the outcome of this account

after 210 days in terms of resolution. But let me again give you a couple of factors here. The account is a secured advance, having a coverage much more than one. And if you look at the vintage of this account from a peak level of exposure of 80 million, i t has gone down to almost like 50 million. So , there is a continuous reduction happening in the account. So, we do not see any challenge, although we have made a 40% provision as a prudential provision the rein, but we do not see any challenge on this accou nt and we think we can recover the amount in full. So broadly, I covered, I mean, the aspect that I wanted to say on the fundamental. On the NII front, it's a market phenomenon. It's happening across all banks because of the transition of the asset, becaus e the deposit moderation would slightly take time. So , looking at the outcome of everything, the Q2 can continue to be a bit of, again, pressure on the margin and NII. But again, Q3 and Q4 would be much, much better in terms of what we have seen in Q1 and Q2.

So, with this, I thank all of you for joining on today's evening, and we'll open for question and answer now. Phiroza , over to you .

Moderator: Yes. Thank you, sir. The first question is from Rikin Shah. Rikin if you can please unmute yourself.

Mr. Rikin Shah: Hi. Good evening sir. Am I audible?

Mr. Debadatta Chand: You are audible, Rikin . Please go ahead.

Mr. Rikin Shah: Thank you for the opportunity. Three questions sir. The first one is on the fee income. So, the fee income is still pretty soft at sub 10% YOY. Would you be able to share what's happening here and is there any possibility of acceleration from here onwards? Second, we have withheld kind of margin guidance, but clearly there has been some reclassification. So , would you be able to share how the margin trajectory looks like from 2.91% that we saw in the current quarter to the next few quarters? And lastly, in terms of the ROA, we did 1.03% ROA this quarter but that is after substantial amount of tra ding gains which may not incur in the coming quarters. So , suffice to say that meeting 1% ROA is only a possibility if the trading gains sustained but without that, the 1% ROA would be a tough target to achieve?

Mr. Debadatta Chand: Okay, thanks. On the fee side, yes, it's slightly soft as far as the growth is concerned. The bank is clearly focusing on the fee side, and it's being something that we are targeting for the last many quarters now. We earlier said we run some kind of an in ternal focus on fee and flow and focusing, cash management we have significantly progressed. We captured cash management on the MSME sector more as compared to the corporate. So , I think the growth would be upsized and that is what key focus. I cannot give you a number here, but then clearly the management is working to improve the fee side of the income.

On the margin guidance, this is an income tax refund which has been accounted as per the regulatory clarification of the matter and all the banks have done that. And suppose you exclude the impact of this, the NIM would be 2.81 % as compared to 2.91 %, that we are showing. And this is in comparison to 2.86 % that we declared in Q4. So , if you look at including or excluding, the cut is almost 6 to 7 bps. And here the comparison I want to give you, if you look at multiple media

articles there in, the average
cut in the NIM based on the declared results of banks, it is almost average is 17 bps, whereas we are able to sustain at 6 to 7 bps cut in the NIM.

Going forward the next quarter still be under pressure, but I think the deposit repricing is going to happen for the next quarter, almost 70 to 80% of that. So , the upside benefit going to see clearly in Q3 and Q4. So , on a full year basis, we are giving a guidance of 2.85 to 3 %. But again, we'll just see after September anything we need to revisit on that because clearly, as all of us understand that this is a transition time, we need to factor all these factors, multiple factors are therein.

On the ROA of 1.03 %, this is the 12th quarter we have posted ROA in excess of one. And you know there is a substantial treasury gain here, no doubt about it. And Treasury gain has come on two counts. One is with regard to a lowering of yield and that typically of the AFS book, then you take ad vantage of the lower yield movement. And secondly, the RBI comes out with a lot of OMOs in between. Then out of the HTM you can offer those to the OMO. So , the OMO, possibly that things can continue and then possibly s till giving a good upside on the trading profit. In spite of the fact that whatever says our full year guidance, when we say ROA it is always full year guidance, so even if there is pressure on the provisioning side taken a bit of prudential provisioning therein. So, a lot is there in the system to sustain the profitability at the level at which we are operating now. We have maintained in 12 quarters, so I think there will be no question to maintain next quarter also.

Mr. Rikin Shah: Sir, just a couple of follow -ups, if I may, on margin itself. If you could share what is the percentage of loan book mix in terms of repo, other EBLR, MCLR, fixed. Number two, if you could just share what out of 100 basis point of repo rate cut that has ha ppened, how much of that has already flown through in the book so far. And lastly, in terms of cost of funds, you did mention that we would see 70 -80% deposit repricing happening in the next quarter. So, if you could just talk about what is the typical duration of the term deposits and how much cost of funds can go down from the current levels.

Mr. Debadatta Chand: Yeah, so coming to the segment of the loan, the BRLR book is almost 35%, your MCLR book is 45%, fixed is 6%, T -bill is 7% and the G -SEC is 6%. That broadly covers the mix of the percentage over there.
In terms of the cut in repo, yes, on the retail side, full benefit has been passed on. As far as MCLR is concerned, we have only announced one cut, but that would depend upon the cost moderation. The model is that once the cost moderates that we have to pass on. So , it will take its own time to get repriced.
Thirdly, external benchmark, obviously, because these are high -quality assets, so they have the opportunity in the bond market. So, there will be a lot of repricing happening on that count. So, this is a quarter we need to watch out that is something, but then repricing. But the cost moderation, again as you talked about at 5.05 % cost of deposit, I would say one of the positive narrative in the entire bank with regard to the way we have maintained the cost of deposit at 5.05 %. And even in the case where the re is a, I mean, the duration normally of term deposit is almost one year. So almost 3 -4 months have gone, 70% is going to reprice. So going by that, we are thinking on the cost of deposit, at least there will be a 15 to 17 bps moderation going forward by September. And that typically take care of the repricing that are going to happen on the asset side. So, that will be almost at a margin guidance, which we had given. But notwithstanding the fact that because a lot of uncertain elements are there, there wi ll be a bit of pressure that continues at least for one quart

er. And thereafter, there is a positive
offset on the higher side.

Mr. Rikin Shah: Thank you, sir.

Moderator: Thank you. I would request everyone to please limit yourself to two questions and we'll come back to you if there is time. The next question is from Ashok Ajmera. Please unmute yourself.
Mr. Ashok Ajmera: Good evening, sir. Yes, definitely compliments that in spite of this very difficult quarter, going through the transition, you have shown a good operating profit and somehow, I mean, balanced most of the things, which shows your, of course, your leadership and the top management of the Bank of Baroda are working very hard on it. Having said that, sir, some couple of some questions and some observations, sir.
In the SMA books, we have given only percentage and that is also a mix of 1 and 2. Can I know exactly the numbers of SMA 1 in this quarter and SMA 2? Because we have seen in the most of the banks, SMA 2 numbers have suddenly gone up. So, in your case, if it has gone up, then what is the explanation for that? So , since I don't have the number, I cannot ask exactly on that. Only the percentage is there.
Mr. Debadatta Chand: Thank you, Ajmera sir. Thank you for complimenting the bank. As I said, we work on how do we optimize the fundamental strength of the bank. So that is what actually, thank you very much for that.
Talking of the SMA, we only give as a percentage we are giving and if possible, then I will share the data, but I will just give color to the SMA 1 and 2. If you look at the percentage that we have given at 0.4%, it consist s of three accounts which are the government entity, government guaranteed, but always move between SMA 1, 2 and then standard. So , this quarter there are two accounts still being there in the SMA, so slightly pushing the SMA percentage higher. If you exclude these three accounts, the SMA 1 and 2 CRILC book is at 0.10 %. I mean, that if you look at, you are comp aring also this CRILC data in terms of percentage, then 0.4 % is one of the lowest if I compare large peers. So , in that way, the bank is quite confide ntly working on that in terms of percentage . But on the number side, I will let you know in case that is published, we have published earlier, and then we will inform you on the number.
Lal Singh sir, you want to add on this. Anything else you want to add on this?
Mr. Lal Singh: No, sir, nothing.
Mr. Debadatta Chand: Okay, thank you. So, this data with regard to number, absolute number, we will let you know on that.
Mr. Ashok Ajmera: All right, sir. Sir, on this, you talked about this international account and 210 days, and you said it is a very asset -backed, security -backed account. So, in this financial year only these 210 days period will get over. So, there are chances, and you alr eady have provided 40% of that. So, there are very positive chances of getting off totally without any scratch from this account?
Mr. Debadatta Chand: Yes, absolutely right. The current position is that because the account also has a lot of state backing on that in that international territory. I think there can be a resolution within 200 days, and if that happens, obviously, this 40% would be reversed a fter that.

And as of today, frankly, it is on a curative process, actually, there is a standstill condition. But as a prudent measure, because I mean, the domestic regulation talks about NPA, we have provided 40%.

Otherwise, on the international, you are not required because there is a standstill condition on that. It is getting into a resolution process, but there is a curative process and there is a preventive protection therein.
Mr. Ashok Ajmera: Yes, one point, sir, if I come on recovery, the recovery from the written off account in this quarter is a little slower than the March quarter, it can be understood also. But overall, giving a color of the recovery, our e

ntire recovery book, like including, we have all that NCLT, maybe 99.9% provided for 43,402 crores in that account. Plus, we have a very good robust, I mean, written off book also, from where the chances are good and every year we are making good recovery. So , on the over all recovery front, I mean, I think the other three quarters should be much better than this quarter, sir.
Mr. Debadatta Chand: Yeah, it would be much better. As you rightly said, our average run rate on the recovery TWO without any one -off, let me again say without any one -off is roughly around 750 crores per quarter. But June is typically a lot of transfer does happen slightly because of this, all this, the recovery normally, if you look at June '24 also it was lower. But you are right, the subsequent quarter will be much better than the numbers we have announced in Ju ne, with a hope that a couple of one - offs can still be in the pipeline which are working strongly.
Mr. Ashok Ajmera: And you know, sir, means on the NCLT and the transfer to asset recovery companies, NARCL or other things, can you give at least something in next two to three quarters? Are we having a lot of such accounts in the pipeline, which are towards sale or resolution from where we can expect some larger recovery?
Mr. Debadatta Chand: Frankly, as far as NARCL or ARC sale, we do not have much of pipelines for that. Actually, we are trying for a very strong recovery mechanism itself. We are trying for multiple resolution process just to recover money. So, in terms of pipeline, I do not have much in terms of NARCL particularly. But there are a couple of accounts, which again, there are discussions going on. But the fact of the matter is that the recovery target for the full year, that includes recovery and TWO, I think we will be exceeding the 10,000 that we have fixed internally to recover for the full year.
Mr. Ashok Ajmera: Last one, sir, on that airline account, the same question I asked to Central Bank also. So, earlier, we used to think that the recovery or the amount will be much, I mean, amount will be recovered much faster, because you have that 1200 crores, that land p arcel, which is separately secured with you two Bank, the value of this might have gone up now to maybe 1700 - 1800 crores now. So, what is the status on that, sir? Are we expecting some major thing happening on that account in this year?
Mr. Debadatta Chand: See, again, I mean, this s ale o f asset, particularly large piece of land parcel is always a time -consuming exercise. And the process is on again on the same, Central Bank is the lead and they are taking lead on that and we are supporting that. Apart from the land parcel that we talked about, see, earlier we said the ECLGS money we got it, so one third of the exposure has gone down. There is arbitration issue that is also going on the international market, where there is a strong

possibility of offset therein. So, there are multiple process es going on, but then land parcel is always time -consuming and we need to be patient on that.
Mr. Ashok Ajmera: Thank you, sir. If time permits, I will come back again.
Mr. Debadatta Chand: Thank you very much.
Moderator: Thank you, sir. Next question is from Kunal Shah
Mr. Kunal Shah : Sir, firstly, you mentioned in terms of making some prudent provisioning out there. So, just want to get that sense. So, this is very well reflected in terms of the standard asset provisioning, which is there at 320 odd crores instead of maybe despite our book running down by two and a half percent. So, ideally, there shouldn't have been any standard asset provisioning. There should have been the release. And what is this , maybe is this particularly towards any maybe …so, the standard asset p rovisioning --- what was the rationale for creating this?
Mr. Debadatta Chand: Yeah, a couple of like we go by the IRAC provisioning, but a couple of

accounts
where there is an inherent weakness which as per the auditors, they think that we need to slightly be more prudent on that and we provide as part of the guidance of the auditor . So, typically, if you look at IRAC and the prudential, there is a gap over there. Actually, we have provided slightly more depending upon the weakness of the account.
So, like a couple of large accounts, which is again, I mean, gets into SMA 1 , 2, again going back to standard, again going to SMA 1 , 2. Even if the possibility of this account getting into NPA is less because of the vintage that you have seen in those accounts. There also we made a bit of provision, even if IRAC basis it may not be a requirement, but as a prudential measure, because the auditors would say that there is an inherent weakness which is continuing for a long time, you need to provide. So, these are the extra provisioning that we have made in the books, as far as the provisioning requirement is concerned. Otherwise, we are complying fully with I RAC norms. At the same time, if there is an auditor guidance on the matter then we comp ly to that.

Mr. Kunal Shah : Sir, what was the provisioning and what was the outstanding amount if you can just highlight that?
Mr. Debadatta Chand: Come back again, Kunal, I didn't get your question.
Mr. Kunal Shah : No, no. So, what was the overall book wherein we have identified that to be having some inherent weakness and what was the provisioning taken against it? If you can just mention the absolute numbers for both.
Mr. Debadatta Chand: That's part of a couple of the SMA 1 , 2 book which we are showing, it is roughly around, you can take it on the standard asset, roughly around 5 -600 crores is there, which is a n incremental provisioning that we have done based on the weakness of those accounts.
Mr. Kunal Shah : Okay. So, 5 -600 incremental and after the release, it's showing like 324 odd crores. Yeah.
Mr. Debadatta Chand: Yes.

Mr. Kunal Shah : Okay. And secondly, on the international book, so maybe you indicated that this is more on the restructured side, but maybe have we taken a look on the entire book, looking at what is happening globally. And no doubt the odds would be more like, say, the e xposure to the domestic corporates, but do we see any risk? And maybe this is the first quarter wherein we have started to see some kind of a pain emerging on international and this could again be the area of concern going forward?
Mr. Debadatta Chand: No, absolutely not. Actually, this account was under our monitoring for long because it was a restructured account on the international book and our restructured book was earlier discussed on that. It was upgraded because it completed one year curative pro cess and the account was standard at that time, but it was showing weakness. So, we knew that there are weakness. And as of today, it has gone to a resolution process, right, it has not gone into those. So, it is a resolution process. We need to be, I mean, respect those process es in those countr ies.
Mr. Kunal Shah : And I was not particularly with respect to this country .
Mr. Debadatta Chand: No, I am giving you color. Actually, as a prudent measure, we have made 40% provision therein, right, which can be upgraded the moment the curative process, the resolution happens, the money can be pulled back immediately, point one. Secondly, the asset ha s an asset coverage of more than one for very long. And if you look at the vintage of the account, the account, there is a reducing balance over a period of time. So, we are not seeing any challenge for recovery in this account. Even i f in a worst case scenario, the account is not getting upgraded, we are hopeful for a full recovery out of this account. But we are hopeful that the account may get upgraded during this year, then there is a write -back possible.
Mr. Kunal Shah : No, I was just saying

X of this account on the balance overseas exposure. How are we
evaluating? Because there are like a lot of global events which are happening. So, just to make sure that our book is robust and we don't see the further slippages on the international side, because that tends to be chunky. So, how are we evaluating the entire portfolio?
And do we see any further stress which can come in over next two to three -odd quarters on the international or on the overseas exposure?
Mr. Debadatta Chand: No, absolutely not. We do monitor, we have a mid -office which talks about, which maps out every account globally in terms of the exposure the rein. There is no stress in any other account. This account was in SMA 1 , 2 for some time and now getting into NPA. So, there is no other account as on today, which is again showing the sign of SMA 1 , 2 and still standard. So, in that way, I do not see any challenge on the international front and particularly on the NPA position.
Mr. Kunal Shah : Sure. And one last question, if I can, just like the increase across the retail products on a sequential basis, be it housing, auto, you indicated even in terms of the PL. So, is it like maybe with the seasoning of the portfolio, the kind of growth which we had, maybe would you see more to flow in, in terms of the slippages, particularly because PL has been growing quite aggressively and now we have seen GNPA is at closer to like say 4.8 odd percent. So, maybe just if you can indicate for th e overall retail as well as the MSME segment.

Mr. Debadatta Chand: So, if you look at the, there are two factors here, the percentage GNPA and also the slippage ratio in all this product. And we continue to grow strong on the retail and MSME. Retail is growing very strongly for the bank and so has the MSME - we picked up in last one year. If you look at the slippage, I mean, maybe on retail, if you look at the slippage vis -à-vis June, there may be a couple of 100 crores or 150 crores in addition. But if you look at the slippage ratio, because the denom inator has also gone up, but the slippage ratio will be still contained. But personal loan, yes, there is bit o f the legacy book has an incremental NPA going forward. But the book is not large enough, point one.
And secondly, in terms of slippage ratio, I do not think there is a concern because the retail slippage

ratio as on June is below that of June last year. So, in that way, the denominator is also going up. So, it is part of a normal business in terms of wh ere to maintain. So, both the GNPA of the retail products and MSME, the slippage ratio in the retail products and MSME, these are well within our threshold and maintaining the same level of outstanding as compared to the last year.
Mr. Kunal Shah : Okay. Thank you.
Moderator: Thank you. Next question is from Bhavik Shah.
Mr. Bhavik Shah: Hi, sir. Thanks for the opportunity. Sir, our L2 maturity book is down 4% quarter on quarter. Is it because of OMO operations or we have sold our 5% which was allowed under the new investment guidelines?
Mr. Debadatta Chand: Mr. Tyagi, can you respond to this?
Mr. Lalit Tyagi: Thank you, sir. So, in fact, you said you picked up rightly. We took the advantage of OMOs and earned good profit also. The re were a good opportunity.
Mr. Bhavik Shah: Okay. Thank you, sir. And sir, when is your ALCO meeting? So, I just want to understand how this repo pass -through will work. So, is it on T plus one or it happens later?
Mr. Debadatta Chand: Yeah , Tyagi ji .
Mr. Lalit Tyagi: No. So, in fact, the Repo cuts passed on immediately and ALCO meets every month on a fixed frequency.

Mr. Bhavik Shah : Okay. Understood, Sir. And, Sir, last question. Sir, last year your provision for employees was 800 crores and this quarter we are close to 1,000 crores. So, should that be the run rate going forward, AS 15 provisions, I mean?

Mr. Debadatta Ch

and: Madam Beena, can you take it up or CFO? Madam, you are on mute. You are on mute.

Ms. Beena Vaheed : Sridhar ji, will you just take that question up on the provision for staff?

Mr. IVL Sridhar: Yeah. So, basically the discount rate has gone down, that is why the provision requirement has gone up for this particular series.

Mr. Bhavik Shah: Understood, Sir. So, this will be steady state for the next 3 -4 quarters as well, right?

Mr. IVL Sridhar: It depends. It depends on the rate movements again.

Mr. Bhavik Shah: Okay, cool. Thank you so much, Sir. Thanks for the opportunity.

Mr. Debadatta Chand: Thank you.

Moderator: Next question from Ankit Bihani

Mr. Ankit Bihani : Yeah, hi. Can you hear me?

Mr. Debadatta Chand: Yeah, please go ahead.

Mr. Ankit Bihani : Yeah, I just had two questions. One was on your written off pool, which as of FY25 it was at 764 billion. I just wanted to know what would be the v intage wise breakup like less than 5 year, 5 -10 and greater than 10, if you have that data?

Mr. Debadatta Chand: I do not have. Lal Singh Sahab, can you respond or we can provide the data later?

Mr. Lal Singh: Yes, Sir, we will provide the data later.

Mr. Debadatta Chand: Yeah.

Mr. Ankit Bihani : Okay. I just wanted to check how that less than 5 year written has moved across? You know, a time series data would be helpful. And the second question is on margins which is at 2.91%. So, there are no other one -offs, right, in this margin that you have reported because the banks that we have seen reporting have seen higher decline in margins?

Mr. Debadatta Chand: No, there is no one -off. Actually, I tell you what is that impact we are talking about. The Interest Income Tax refund earlier a part of other non interest income and it has been reclassified Income Tax refund as an interest income. So, consequently, that the name is getting changed. So, we recalibrated the name that we declared earlier. On that basis which was declared at 2.86 % is 2.98 %. So, if you compare pre, post anything, the cut is only 7 bps and that is one -off.

The story here, which again how it is compatible with all the numbers. When I am running Cost of deposit at 5.05 %, a CASA ratio of 39.33 %, I think the margin something strongly collaborate with all these numbers and that is what our strength in the current market vis -à-vis large peers in that space where we operate in terms of maintaining the margin. So, there is no other one -off.

Mr. Ankit Bihani : Okay, thank you. Those were my questions.

Moderator: Thank you. Next question is from Mr. Sushil Choksi.

Mr. Sushil Choksi : Congratulations team Bank of Baroda for stable numbers. Sir, looking at your outlook on Treasury, how many Repo cuts are you hearing or you are likely to project?

Mr. Debadatta Chand: Okay. To respond this, actually, we have a very strong economist with us, Mr. Madan Sabnavis . So, our house view is that we are expecting further 25 bps cut. But the expectation is more towards the end of the calendar year rather than immediately. I mean, I am talking about we are not expecting any cut in the next policy but possibly can happen after September.

Mr. Sushil Choksi : So, are you estimating 10 -year G -Sec to touch 6% or looks difficult?

Mr. Debadatta Chand: See, 10 -year is not only dependent on the Repo cut but also influenced by the U.S. Treasury, right. And you know what is happening on the U.S. Treasury. So, let the Fed also cut the rate, then possibly yes, 6. If the Fed is not cutting rate, then possibly can be marginal decline but not to a large extent. Tyagi Sahab, any comment?

Mr. Lalit Tyagi: Sir, actually you have said it all. In fact, when the rate cut had happened, at that time the 10 -year G -Sec has come down to 6.70, 6.80. It has pulled it up without any other ostensible reason. So, we believe tha

t going forward U.S. Fed move as well as our own inflation trajectory and commentary on the liquidity will als o play its own role.

Mr. Sushil Choksi : Sir, what is your yield on RAM Advances? And second thing, your corporate advances you have sh redded, are these mainly PSU -led or AAA rated which were not yielding even 6% or 6.25% when you have shredded? Or there are some typical loans which are replaced with CP and NCBs?

Mr. Debadatta Chand: You are right. Typically, the corporate book, it is more on the fine price, which has got into further fine, which again slightly suboptimal in terms of our margin and all. So, you are absolutely right. Otherwise, the core corporate is actually growing muc h stronger. Actually, we have not declared the core corporate growth but it is growing much stronger than the 4.2% growth that we have shown. You are right.

These are high -quality assets, fine price has become further fine making it slightly challenging for us to hold on to those assets. But, again, we will try to work it on for this quarter.

On the RAM, I mean, I will give you a ballpark number. It is almost, I mean, the Repo is, I mean, it is almost 250 or 300, almost at 9.5 kind of a number we have a RAM yield on that.

Mr. Sushil Choksi : Sir, you had given a guidance in last Analyst Meet that your RAM should be 64 by year -end and the balance should be corporate. Are we on a trajectory or we are looking at exceeding RAM number at 64 with the current yield of 9 -9.5?

Mr. Debadatta Chand: No, I mean, we gave a guidance of 64 -65 but we always said 2 -3 years. So, it is not going to happen this year because this year, look, as of today if we are at 62.7 because the corporate growth is a bit muted. When the corporate growth catches to almost li ke 9% -10%, possibly this number may not be the same level. But yes, the retailization narrative and the retailization push is working strong for the bank. You would have seen the retail growth has been consistently 3% -4%

above the syst em retail growth. I am talking about the large peers, not the full system. So, in that way, we continue to work to grow on the retail and maybe 2 -3 years we will be in a position to achieve 64 - 65%.

Mr. Sushil Choksi : Sir, any digital expenditure, human resource expenditure which you are likely to incur and any asset monetization plan in the subsidiary?

Mr. Debadatta Chand: So, digital , earlier we said , our normal O pEx and CapEx , normally we tag it at 10% of the Operating Profit for the full year. And that is something we work and we also give an upside therein that if there is a requirement, we will take it to 15% but that is something we are working on that.

Employee headcount, yes, we have a plan to hire almost 15,000 employees at different cadre, more on the operational and the relationship side in this year. Actually, it takes a time to onboard them and put them into the system but there is a good hiring pl an. We are expanding laterally because there is a plan to open almost like we've opened more than 250 branches last year and another plan to open another 300 branches this year. So, we are literally expanding. So, in that scenario it is a, I mean, changes happening across in headcount, operating , I mean, the spend on the IT. And we are working on all the things, I mean, on a holistic basis.

Mr. Sushil Choksi : Sir, we are one of the early banks to have a shared service, which you had set up in Gujarat, and was supporting your RAM business, specifically your FX and many other things.

Mr. Debadatta Chand: Yeah.

Mr. Sushil Choksi : How is the outlook there? And what kind of capacity have you built so far?

Mr. Debadatta Chand: The entity has almost provided, if on a headcount of 74,000 total, almost provided slightly above 10% to us in terms of their resources, who are deployed now. So, almost 10% of the payroll headco

unts they have provided. They are doing excellent service. Th ey are doing activity, which again put me on an efficient curve in terms of the cost structure. And we will continue to engage them more and more the moment we find that they can do those because it's also a trade -off in terms of the skillset. So, the mome nt you find they have the skill set to do my activity, we'll more and more do that. At the same time, on the payroll also since we are expanding, I will continue to hire more and more employees on the payroll also.

Mr. Sushil Choksi : Sir, are we using this facility for some other banks to do work?

Mr. Debadatta Chand: We are not allowed to do that. I mean, it is only for only Bank of Baroda captive.

Mr. Sushil Choksi : Okay. Thank you for answering all my questions and good luck for the year.

Mr. Debadatta Chand: Thank you very much. Thank you.

Moderator: Thank you, Sir. The last question for the evening is from Jay Mundra.

Mr. Jay Mundra : Yeah. Hi, Sir. Good evening and thanks for the opportunity. Sir, first question on your yield, domestic yields. They are down like 15 basis points QoQ. Assuming no more action from RBI, what would be your sense? How should it behave in the, let's say, in t he near term and maybe for the rest of the year? So, the 50 basis point rate cut done in the June, that will still be there for the next…That was only there for 1 month, how do you look at the domestic yield in the near term?

Mr. Debadatta Chand: So, that's a very fair question. And as we said that margin can be under pressure or continue to be under pressure one more quarter.

Mr. Jay Mundra : I was asking QoQ?

Mr. Debadatta Chand: Yeah. So, on the BRLLR or the Repo linked, already the reprice has happened and the full quarter, the impact will come in this quarter, September quarter. At the same time, non - BRLLR, which are MCLR or the external link, continue to reprice at a lower leve l and that is happening in the market. So, the moment there is a cost moderation, we will continue to decrease the MCLR and that impact also would come.

At the same time, as I said that the positive narrative of the bank is on the liability side. At a cost of deposit of 5.05 %, with a CASA of 39.33 %, with a margin of 2.91 %, I think we are in a much better position to reprice deposit and get the benefit. A normal thumb rule as on today, actually asset side I cannot give you how much cut on asset, I mean, yield on asset would happen. But normal expectation, in case we are abl e to reprice the maturing deposit for September quarter, at least we are going to

get a benefit of around 15 -17 bps reduction in the Cost of deposit and the Cost of fund. And that would be significant because deposit has a larger base.

So, I think in that scenario, we are almost able to possibly maintain on the margin guidance. Saying so, the margin would be under pressure. But on a full year, since we are very positive about the Q3 and Q4, on a full year guidance we are thinking somewhe re around 2.85 -3% we will be in a position to maintain on a full year basis. Saying that, Q2 can be something we need to watch it out. It can be under pressure but we are in a better position to nullify the impact on the asset repricing from the liability mix that we carry as on today.

Mr. Jay Mundra : Yeah. So, Sir, just to get this clear, 15 -17 basis point is the stock impact on the overall Cost of deposit right, based on repricing of including bulk deposit and including the savings account also because we have cut savings rate by 20 -25 basis point.

Mr. Debadatta Chand: Yeah. Actually , you would have seen, there is an RBI report saying that on the average lending rate has gone down by almost…Although fresh loan it has gone down by 51 bps but the average has gone down by…I mean, the average has gone down by almost 17 -18 bps. So, on the average lending, on the outstanding l

oan. Whereas deposit on the outstanding deposit has gone down by only 2 bps.

Mr. Jay Mundra : Right. Sir, that RBI data is very, I mean, that has not much sense actually. It keeps on fluctuating every month.

Mr. Debadatta Chand: No-no, that’s what. Actually, m y sense I can tell you because the deposit are sticky because of the fixed nature. And assuming a deposit of a 1 year duration on the term deposit, bulk and CD have reacted big time. But assuming a deposit duration of 1 year, almost 4 months have gone now. So, balance there is a six month. I mean, balance there is 8 months. So, by end of September, I think 70% -80% of the deposit would get repriced in the manner. I mean, assuming a larger component of bulk, a slightly lesser component of the retail term depo sit.

So, by that time we will have a fair view with regard to the trajectory going forward. But we are working on this issue, yeah. And, otherwise, the NIM cut for the bank would have been very significant as compared to…You have seen the other banks NIM cut bu t we are still able to maintain. That’s what the liability management we run, right. So, that's what is our strength, I believe.

Mr. Jay Mundra : Right -right. And, Sir, overseas NIM are actually have gone up despite, you know, sharp moderation in the global interest rates. And we also had a small slippages in overseas book also. And still the overseas margins have gone up from 1 .70 to 1 .75. I mean, they should ideally fall more than the domestic margins, right, because they would have gone up even sharper. Is that a fair understanding?

Mr. Debadatta Chand: No, no. Actually, overseas markets slightly move ahead of us in terms of the realignment, restructure. That is what. So, the peak level of NIM in overseas was 2.23 %, it has gone

down to almost like 1.70 %. So, it has stabilized at that level. So, now, again, we are able to get some good deals slightly at a better off rate. So, in that way, it has moved marginally from 1.70 to 1.75 %. Otherwise, the NIM cut of the overseas already happened and that is from a peak level of 2.23 % has gone down to 1.70 and now it has stabilized. I mean, I am not differentiating between 1.75 % and 1.70 %. Anything, Tyagi Sahab, you want to add on the overseas NIM?

Mr. Lalit Tyagi: No, Sir, you have said it all. In fact, that is the reason that 5 basis point is transient, in fact. So, the earlier Fed cuts have already been priced in up till March.

Mr. Jay Mundra : Okay. And, Sir, lastly on MSME, right. So, if you see the bulk of the slippages is now coming from MSME. And some time back we used to give this breakup of MSME book by CMR, right, how much is CMR 1, 2, 3 and then maybe 3, 2, 7 or some bucketing there would be v ery helpful because now the entire, I mean, majority of the slippages are coming from MSME. So, if you can provide some more color on the rating of the MSME book, even now if you have as of June 30th?

And just on qualitatively, most of, I mean, the entire MSME should be secured, right. We don't do any unsecured MSME or you have some proportion which is unsecured MSME?

Mr. Debadatta Chand: No, actually, our MSME is basically, see, that is what on the retail piece also these are all secured retail. Personal loan is very less therein. Whereas MSME also, all our loans are secured. The unsecured MSME we do not do much. The only case where unsecu red MSME, if there are adequate backup because now we have come out with a cashflow based OD product, which is again unsecured. So, the component is very less here. We don't do otherwise a business loan unsecured like what the NBFC and others do. So, our most of the portfolio is a secured one.

Secondly, couple of area where I would have seen a growth in MSME because we are focusing on CV & CME, that is one segment public sector banks were not very strong and now we as a bank are quite strong on that. Supply chain is also

picking up. T ReDs, there are good volumes happening now. So,
core MSME, we are bundling along with the Cash Management System so that we understand the cashflow. But unsecured component is less. But then a couple of schemes were recently announced, unsecured OD, and that is based on the GST return. So, these are a couple of small scheme operating but not much. Lal Singh Sahab, anything you want to add on unsecured loan?

Mr. Lal Singh: No, there is not much unsecured loans in the MSME. And wherever the loans are without securities, those are covered by the CGTMSE guarantee coverage from the government; guaranteed schemes.

Mr. Jay Mundra : Okay. And last question, Sir, if I may ask, what would be your best guess for the staff cost for full year FY26 assuming whatever is happening on interest rate? Because a lot of banks have also started doing PLI and we would have done the one PLI, 15 days this t hing. But I do not recall a very big PLI Scheme for us in FY25. If you have, what kind of PLI schemes that you are running for employees? And what would be your sense on the staff cost for FY26?

Mr. Debadatta Chand: Lal Singh Sahab, Madam Beena or CFO, anybody can take this question.

Mr. IVL Sridhar: Sir, if I may submit, we are making adequate provisions towards PLI, Sir, keeping in mind the requirement.

Mr. Debadatta Chand : So, adequately provided on PLI. At the same time, AS 15 also I believe we have adequately provided, right.

Mr. IVL Sridhar: Yes-yes. Yes, Sir. Yes, Sir.

Mr. Debadatta Chand: Any further data on that, we can provide you offline.

Mr. Jay Mundra : Sure, Sir.

Mr. Debadatta Chand: Thank you.

Moderator: Thank you everyone, that was the last question we will be able to take. Can I ask Sridhar Sir to please give the vote of thanks?

Mr. IVL Sridhar: I would like to extend my sincere gratitude to you all for joining us today for the announcement and discussion of our financial results. Thank you once again for your time and continued support. Have a great day ahead. Thank you.

Mr. Debadatta Chand: Thank you very much. Thank you.
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Call: Nov 2025

BCC:ISD:117:16:435 04.11.2025

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The Vice-President,
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Mumbai – 400 051
CODE-BANKBARODA

Dear Sir / Madam,

Re: Disclosure under Regulation 46(2) of SEBI (LODR)

We enclose transcript of Media Meet & Analyst Meet held on 31st October 2025 for Q2 (FY 2025-26) Financial Results.

We request you to take note of the above pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015 and upload the information on your website.

Yours faithfully,

S Balakumar
Company Secretary

Bank of Baroda Media Meet for Quarter and Half year ended 30th September 2025
31st October 2025

Participating members from the Management Team of the Bank
➢ Dr. Debadatta Chand, Managing Director & CEO
➢ Mr. Lalit Tyagi, Executive Director
➢ Mr. Sanjay Vinayak Mudaliar, Executive Director
➢ Ms. Beena Vaheed, Executive Director
➢ Mr. I V L Sridhar , Chief Financial Officer (CFO)

Moderator: Good afternoon, everyone, and welcome to the Media Conference for Bank of Baroda's financial results for the Quarter and Half Year ended 30th September 2025. Thank you all for joining us. We have with us today our MD and CEO, Dr. Debadatta Chand. He is joined by the bank's Executive Directors and our Chief Financial Officer. We will start with a short presentation on the results, followed by opening rema rks by Dr. Chand and then we'll have the Q&A session. Chand Sir would request you to begin.

Dr. Debadatta Chand : So, thanks, Phiroza. Again, good evening, all my Media friends. Thank you very much for sparing your time today. So, just to introduce the management team . I am D. Chand. I am the MD and CEO of Bank of Baroda. I have been interacting with you for quite some time now. With me, Mr. Lalit Yagi. He is the Executive Director. He looks after the Corporate and Institutional Credit, the International Banking and Treasury. And with him again, we have Mr. Sanjay Mudaliar. He is the Executive Dire ctor. He looks after IT, all IT platform, including the Retail asset of the bank. So, all our Housing Loan, everything is being looked upon by him. And with us again, Madam Beena Vaheed , she is Executive Director. She looks after many of the Compliance and Control functions , including the Operation s department, the Risk Management and also the Retail Liability of the bank. And we have with us the CFO, Mr. I V L Sridhar. You would have interacted with him last time also. So, with this, Mr. Sridhar, can you j ust run through the presentation?

Mr. I V L Sridhar: Thank you, Sir. Good evening, everyone. It is my privilege to present before you the financial highlights of the Bank of Baroda for the quarter and half year ended 30th September 2025. Global Advances have gone up by 11.9% YoY with Domestic Advances growing at 11.5% and International at 13.8%. Within the Advances book, the bank has continued to focus on RAM Advances. Our organic Retail book grew by 17.6%, Agriculture by 17.4%, and organic MSME by 13.9%. Corporate loans have grown by 3 pe rcent YoY. Within the Retail segment, we have seen smart growth across the portfolio with Educational loan growing by 14%, Home loan by 16.5%, Auto loan by 17.7%, Personal loan by 18.6%, and Mortgages by 19.8%. In terms of Deposit growth, our Total deposit s have grown by 9.3 % with International deposits registering a growth of 7.2% and Domestic deposits registering a growth of 9.7%. The domestic CASA deposits have grown by 6.6% and Term deposits have registered a growth of 11.7% YoY. As of 30th September 2 025, the bank Credit Deposit Ratio stands at 85.26% and the CASA ratio stands at 38.42%.

With regard to our quart

erly profitability matrix, it is to be noted that in Q2 of FY25 the bank had a one -off recovery from written -off accounts, which has elevated the base. Our Operating Profit for the second quarter of FY26 stands at ■7,576 crore. Our Net Profit for Q2 of FY26 stands at ■4,809 crores. Without the one -off item of last year, the profit has grown by 22%. Return on Assets remains consistently above 1%, at 1.07%. Then Return on Equity stands at 15.37% for the quarter. For the half year of FY26, our Operating Profit stands at ■15,812 crore. Our Net Profit for the half year stands at ■9,3 51 crores. Return on Assets remains above 1%, 1.04%, for the half year. Return on Equity stands at 14.95% for the half year.

Regarding our margins, our key ratios, our Yield on Advances stands at 7.81% for the quarter and 7.95% for the half year. Banks' prudent Liabilities management has led to a sequential decline in the Cost of Deposits for the quarter, which stands at 4.91% as against 5.05% in the previous

quarter. With regard to our Net Interest Margin, it has sequentially improved by 5 bps to 2.96% for the quarter. It stands at 2.93% for the half year of FY26, first half of FY26. Now, we come to the asset quality which continues to remain robust. Our Gross NPA ratio has improved by 34 bps YoY and stands at 2.16%. Net NPA ratio is below 1%, at 0.57% , an improvement of 3 bps YoY. Our Provision Coverage Ratio including TWO is comfortable at 93.21%. Our Slippage Ratio for Q2 FY26 has reduced by 16 bps YoY an d stands at 0.91%. Credit Cost remains low and stands at a level of 0.29% for Q2 FY2026. Actually, we have made a floating provision of ■400 crores, excluding that, the Credit Cost will be below the published number. Coming to the SMA and collection efficiency . Our CRILC SMA 1 and 2 as a percentage of our Standard Advances stands at 0.39 % as of September ’25. Our collection efficiency , excluding agriculture , remains robust at 98.6 %.

Regarding the capital position, our capital position continues to be strong with CET -1 at 13.36%, Tier-1 at 14.15% and overall CRAR at 16.54%. Our LCR remains healthy at approximately 121% as of September’25. Adjusted for the profit of H1 FY2026, Capital Adequacy would have been 17.36%. Thank you.

Dr. Debadatta Chand: So, thank you very much, Mr. Sridhar. Again, I will make a couple of qualitative comments and then we will go for the question and answer. Friends, again for us it is yet another strong quarter for us, both in terms of top line, bottom line and asset quality. And on the business front, since we have declared the provisional number sometime at the beginning of this month and many of you covere d that as a very strong growth, I am not going to tell much on that. But only I will tell two po ints which I think we need some kind of a clarification or highlight of that. So, as Mr. Sridhar said, Advance growth is propelled by the RAM growth strongly. So, as we said earlier also, the retailization or the RAM growth is something we have been focusing since long. And in terms of the RAM percentage, it has seen on a YoY 300 bp s improvement, that means 3% improvement. It is almost at 62% now as compared to 59% when we presented the September quarter of last year. So, within the RAM, Retail continued to be on a strong path for many quarters now, maybe around 13 -14-15 quarters growing at 17.6%. The Agri has been one of the bright spots this quarter, growing at 17.4%. The MSME is almost 14%, again, which we intend to grow faster in the coming quarters. Particularly on the Corporate Loan book, while you see a 3% growth, you may feel it muted. We had a muted growth also last quarter and while interacting with you, again, I said at that point of time that for the full year we intend to target on something around 10% -11% growth in the Corporate Loan book. And normally, Q1 and Q2 are bit of weak quarters on the

corporate growth and the growth that we are showing is also in
line with the system that you see as many banks would have presented their Corporate Loan growth book. But two things I would like to mention here .

My Corporate Loan book is more organic. So, that's something we focus more. I mean, the book is almost organic, the numbers that we have presented. At the same time, I mean, on the Core Corporate, we had a very strong growth whereas some of the refinance transactions at a very fine price. Again, earlier also we articulated as a policy. We are there in the market but we are slightly restrictive on the market.

So, with that, I think the growth of 3% to be compared in terms of the strategy, because the numbers are reflected in the NIM. We have one of the highest NIM in the sector. So, for that purpose, the Corporate Loan book to be looked into that particular vie w. And at the same time

for the full year, again, we continue to be at 10% -11% . That is what our guidance. In case on a sequential growth of the Corporate Loan book, even if the YoY is 3%, the sequential growth is almost at 8%. So, that talks about the momentum in the Corporate Loan growth book.

On the Deposit side, the growth is 9.3% in line with our guidance. At the same time, again, a couple of strategies that really worked for us and I'll tell you why I'm saying so. We have been saying that we consistently on the dependency of the bulk want to contain or reduce it. And we declare d on the Analyst the breakup of the Retail Term Deposit and the Bulk Deposit therein . So, that as a percentage of Total Deposit , you can very well, I mean, very well can see our statement of containing the growth of Bul k Deposit in the book.

Precisely for that reason or the Liability management piece, our CASA is again at 38.42 %, which is one of the best in the top quartile numbers that you can see in the industry. One of the big piece of this smart liability management, I would see the numbers that is presented before you. The interest expenses growth this quarter is 4.9% and the growth of interest expenses vis -à-vis the last quarter, it was more than 9%. So, we are in a position to get a hold on this particula r piece of interest expenses.

And, consequently, the Net Interest Income that you can see this quarter is a positive growth, which was a negative growth. And in the context of all these transmission of rate, the repricing of asset liability, this is very, very important. The bank has g iven or posted a growth in the Net Interest Income.

And, consequently, the Net Interest Margin for this quarter has seen an increase from the last quarter. This is important and significant from the context of normally the numbers we look into the bank's number, that the NIM, not only the domestic NIM has i mproved to 3.10 %, the international has improved to 1.81 %, the overall has improved from 2.91 % to 2.96 %. That's significant in this market because when you are comparing numbers in terms of the trajectory of interest rate that we talk about in the market.

And there are two other positive outcome of this because the ROA and the ROE, both the numbers for this quarter is better than the last quarter. So, in terms of the management of interest rate risk in the book, possibly things have worked out well for this quarter for us.

On the profitability front, as I said, the NII growth has been positive. And this is typically because of the management that we do on the asset liability. At the same time, we are looking at the Operating Profit, the CFO has clarified that the Q2 of the l ast year there was a significant one -off recovery out of the NCLT account and that had given some kind of a pre -tax benefit, roughly around ■900 crore. So, in that way, these numbers are not comparable in terms of a growth. And in case you compare the Oper ating Profit of this quarter of ■7,576 crore vis -à-vis the

last quarter,
then also there is a dip. The reason being, our last quarter was very good for the Treasury income. The Treasury income in this quarter vis -à-vis last quarter has seen almost ■1,000 c rore less Treasury income.

So, this is a quarter which is a normalized quarter for us. So, there is no one -off in terms of non - interest income either from an NCLT recovery or Treasury income significantly improving the

profitability. So, it is a normalized profit and that I believe is a stronger number in terms of the ■7,576 crore that we posted for this quarter.

I would also say that the Net Profit of ■4,809 crore, I mean, comparing to the last quarter, because of the one -off there was a positive impact. So, rather there is a growth, as the CFO said, vis -à-vis Q2 of last year. But sequentially also, Net Profit thi s quarter has been better than the last quarter by almost 6%. So, we had a Net Profit of ■4,541 crore even if the Treasury income was quite substantial last quarter; I am talking about Q1 of this financial year. But then the Net Profit for this quarter is better than the Net Profit of the last quarter that is Q1, the June quarter in spite of the fact that this we have seen in the light of a floating provision of ■400 crore that we have made in the books. And we had a floating provision of ■600 crore earlier , with this ■400 crore our floating provision amount is ■1,000 crore now. And in the light of the ECL that we are talking about, I think this is a prudent way to build up buffers for floating provision and we have created a floating provision of ■400 crore this quarter. So, our Net Profit we are seeing in the context of the provisioning requirement as far as the floating provision is concerned.

On the Asset quality, touchwood, it is one of the best quarter we have. And I will tell you the numbers in terms of Asset quality. GNPA of 2.16 %, better than the earlier years, earlier quarters, Net NPA of 0.57 %, the Slippage Ratio of 0.91 %, Credit Cost of 0.2 9%. I think these are the numbers which are not only better than the last quarter numbers, also better than the same quarter of last year. So, it has been a journey that we have been through for last 4 -5 years, which is showing a consistent trend of im proved asset quality and this quarter has been one of the best asset quality for us as far as the numbers are concerned.

I will give only a couple of data points, before I close. The fresh slippages of ■2,669 crore, again, it is lower than the Q1 of this year and Q2 of last year, this number. The cash recovery, which is again better than the Q1 of this year and Q2 of last year. The upgradation, again, that is better than the Q1 of this year and the Q2 of last year. So, in terms of asset quality, I think we have one of the best quarters, consistent in terms of quarter -to-quarter journey and also year -to-year journey. And I thi nk it is something the bank believes in a strong business model where asset quality is a key piece and I think that talks about that improvement that you are bringing in the underwriting process.

Having said so, the guidance on the, because we’ve given two guidance on the asset quality, one is a Slippage Ratio and another is a Credit Cost. The Slippage Ratio, we still keep it at 1 -1.25 % and the Credit Cost below 0.75 %, which was the guidance given earlier also. Probable reason can be probable headwinds that we can see in the market because of geopolitical issue. So, we are providing push -on vis -à-vis the guidance. But always our intent to better on the guidance given particularly on the asset qualit y issue.

On the business front, let me again give a couple of…Tech and Digital is something key to the bank's business model. So, we keep on innovating, keep on investing, we keep on transforming on the digital processes so that we stay ahead of the curve in terms of Digital and IT.

S

econdly, the customer service and service delivery is also a couple of key things, which again we are working very strongly. One of the key, you would have seen in the earlier communication, that we are trying to innovate the branch banking model, we are trying to reimagine the branch banking. And for that, we rolled out around 10 Phygital branches as on today. This is a unique concept. I am not going to say the details, the literature is available in the website. You can have a look with regard to the reimagining branch model the bank is trying to so that we can again g ive the best to the customer , coming to the branches and doing their banking transaction.

The recent RBI policy gives lot of, what you can say, work to get into a reform agenda which again, I think, can support our business big time going ahead.

The last thing I would add that the bank is very tuned to the ESG mandate, ESG policy. We have a ESG policy and recently we have made a BOB Forest, a new concept in the BKC area where 6,000 square feet of the has been made completely green with 100 of plan ts taken from Sahyadri range.

So, these were couple of qualitative comments I wanted to make. So, I think, with a strong growth which already covered, with NIM which has improved, the ROA which has improved, the ROE which has improved, the asset quality all parameters improved, I think the bank had a very strong quarter and, that is what I said at the beginning, we have yet another strong quarter for the bank.

With this, I conclude my initial remarks and then we will go for the question and answer. Phiroza, over to you.

Moderator: Okay, Sir. Would request you to, yes, please raise your hand if you have a question and we will come to you. The other option is to keep your question in the Q&A box and we will try and read some of the questions from there.

The first person to raise their hand was Piyush Shukla of The Hindu Business Line. Piyush, if you can unmute yourself, please.

Mr. Piyush Shukla : Yeah. Good evening, Sir. Thanks, Phiroza Ma'am. I wanted to ask, Sir, couple of queries. First is, last year same quarter the recovery that you are talking about, NCLT account, that was Reliance?

Dr. Debadatta Chand: No-no, normally case specific we don't talk but that's not the case. It was a different NCLT.

Mr. Piyush Shukla: Okay. Okay, Sir. Sir, in terms of you mentioned you made a floating provision of ■400 crores this quarter, ■600 crores was already there. Each quarter, Sir, can we expect you to make these sort of floating provision to comply with a draft? Right now the gu idelines are draft, so can we expect this to continue happening?

Dr. Debadatta Chand: See, as far as ECL is concerned, yes, that is back of the mind why we created this provision this time. But we cannot say each quarter, I mean, unless and until the cushion is available we can make it. But then our thinking is in that direction to boost up the floating provision buffer therein, right? So, run up to the implementation date, that is 1st April, 2027, I think we'll be working on those things but we cannot give a guidance of each quarter for the matter. But we are mindful that we need to increas e this before going forward.

Mr. Piyush Shukla: How much will you increase it, Sir, for complying with…?

Dr. Debadatta Chand: It is slightly a pre -year to give a year but then we are mindful of increasing on the floating provision there in the books.

Mr. Piyush Shukla: Okay, Sir. My final query is on, you had introduced a lot of schemes, attractive offers during the festive season. In terms of on -branch, on -ground or digital activity, you have posted strong Retail credit growth in Q2. But in H2, Sir, what is your guidanc e in terms of, you know because of these festive demand and flush liquidity, what is your credit growth guidance? Have you seen a lot of footfall this quarter?

Dr. Debada

tta Chand: Look, overall, the guidance on the Advances remains the same, 11% -13% growth. And out of that, the Retail continue because Retail we have been almost at 18% -20% for last many quarters, maybe around 16 quarters now. So, I think that is the strength of the b ank in terms of creating Retail demand. And particularly post -GST we have seen very strong Retail demand, particularly products like Auto loan and couple of other schemes. So, going forward also, full year basis I am targeting around 18% -20% growth in the Retail book, which consisting of Housing, Auto, Education and other schemes on the Retail.

Mr. Piyush Shukla: Thank you, Sir.

Moderator: Thanks, Piyush. The next person is Joel, Joel Rebello of The Economic Times.

Mr. Joel Rebello : Hello? Can you hear me, Sir?

Dr. Debadatta Chand: Yeah, Joel. Good evening.

Mr. Joel Rebello: Good evening, Sir. Sir, I know that there has been some pressure on the margins, though quarter -on-quarter you have done well but there has been some pressure on the margins because of yields, which have not really caught up with the cost of funds. What is the outlook on the NIM, Sir? How are you seeing margins spanning out from here on?

Dr. Debadatta Chand: See, I said that the new story for the bank for this quarter is one of the positive. I said that it has increased actually rather the rate trajectory. I mean, the normal expectation was that there will be a margin cut but because of the smart management on the

liability piece, we could improve that. There are two factors which are important here. I mean, the lowest point on the asset and liability, I think at the current rate scenario these are all done. And the repricing of asset -liability did happen during the quarter. Maybe the impact of that, on the asset side particularly, has not seen the full quarter impact this quarter, maybe in the next quarter. Whereas deposits also there will be positive outcomes. So, what we feel for Q3, the NIM would be a range bound kind of a number. It will pick up in Q4. On a full year basis, we are still expecting the full year NIM would be somewhere between 2.85% -3%. That was the guidance I had given last time also.

Mr. Joel Rebello: Right. In terms of Other Income, Sir, what's the outlook? I know there were some one -offs last year which was not there this quarter but Treasury and the Other Income because it's down pretty sharply, if you look at it year -on-year.

Dr. Debadatta Chand: So, mainly, Other Income coming out of, if you look at past 3 -4 quarters, one can be the recovery on the TWO accounts, another can be the Treasury Income.

Mr. Joel Rebello: Yes, Sir.

Dr. Debadatta Chand: We do not see any significant recovery coming out of TWO in the coming quarter. The normalized TWO recovery is roughly around ■750 crore per quarter. So, that's a normalized number and that continue to be there. But one -off won't be there. I am not expecti ng any one -off at least in March’2026. At the same time, Treasury again would be dependent on the market factors. So, as on today, I mean, the level, although we believe that the 10 -year can go down further, the reason being the spread between our 10 -year and the US 10 -year is now the maximum at this point of time. So, there is a cushion to go down further and that can typically give us more profit. But on a normal scale, unless and until those happen, I believe our guidance would be that Treasury income can be in the range of ■1,000 -■1,200 crore per quarter going forward. If anything happens in terms of a lowering of 10 -year G -sec or an OMO, then pos sibly we can upsize that or we can improve that. But I would hold the guidance at the sa me level like we had in September.

Mr. Joel Rebello: Okay. One last thing, Sir. RAM, you have said that it's…I think the proportion of RAM is increased to 62%, if I’ve heard it correctly. Do you see this tr

end continuing? Do you think
RAM proportion will increase further by the end of the year or next year maybe?

Dr. Debadatta Chand: Yeah, the average RAM growth that takes care of the Retail, Agri and MSME is almost 16.5% -17%, right.

Mr. Joel Rebello: Right, Sir.

Dr. Debadatta Chand: The Corporate loan guidance, we are giving almost a 10% -11%. So, there is a gap over there. So, obviously, the RAM percentage would improve going forward. So, we are targeting to get into a level of almost 65% but then whether that would happen by March'26 or sometime later, that would depend on the market. But, obviously, we would increase the RAM growth going forward.

Mr. Joel Rebello: Okay. Sorry, one clarification, Sir. Because of the muted corporate growth, the corporate growth has been pretty muted, it's for everyone, not only for you all. How do you plan to achieve that 10% -12%? It looks a little ambitious for me. I mean, from where will it come?

Dr. Debadatta Chand: So, two things actually, that is what I said at the beginning. Look, we are getting into a busy season, that is Q3 and Q4.

Mr. Joel Rebello: Yes, Sir.

Dr. Debadatta Chand: Normally i f you go by the seasonal trend of last year also, our growth was good in Q3 and Q4. The growth was muted in Q1 and Q2. So, I think the Q3 and Q4 will be much better than the quarters that you are talking about, Q1 and Q2. This is one. Secondly, with the measures taken, I think the demand would come back into the market. I mean, with the demand coming back to the market, the ability to grow faster would be there with us, right.

Mr. Joel Rebello: Right -right.

Dr. Debadatta Chand: So, if you look at the momentum, that is what, again, I gave a data point saying that YoY is 3% whereas the quarter -on-quarter is almost 8%. So, the momentum towards a higher corporate book is increasing. So, in that scenario, I think, we can grow at 10% -11%. That is what my sense. Anything, Mr. Tyagi, you want to add on this?

Mr. Lalit Tyagi: Thank you, Sir. So, in fact, you have said all. I can say that, you know, had we disbursed ■4,000 crore more, it would have added 1%. And we ended up quarter in some of the disbursements spilling over to this quarter. So, this normally can happen with anyo ne. So, we believe that we have enough sanctions in our hand plus pipelines, which is giving us confidence of that the Q3 will be way better than the Q2. And by the time we end the financial year, probably 10% or plus growth should be ther e with us.

Mr. Joel Rebello: Okay, Sir. Thank you. All the very best for the rest of the year.

Dr. Debadatta Chand: Thank you very much.

Moderator: Thank you, Joel. Ashish Agashe of PTI, please.

Mr. Ashish Agashe : Thank you so much, Sir. Hope I am audible.

Dr. Debadatta Chand: Yeah, you are audible, Ashish. Please, go ahead.

Mr. Ashish Agashe: A quick follow up to Joel's question, Sir. Sir, what would be the pipeline of Corporate loans right now? And which are the sectors which it's coming from? And, secondly, is

there like what sort of component is there of private CapEx within that built up? Or is it much more to do with working capital?

Dr. Debadatta Chand: Look, the Corporate loan growth is in the context of the margin objective you have, right. So, when I said that the corporate growth is something at 3%, you also need to account for, we have the highest NIM in the, I mean, the peer system that you are talk ing about. Look, in the Core Corporate, the growth is quite strong coming out of private CapEx or the demand for increasing working capital on existing accounts. So, those are strong. The portfolio is where, again, we slightly get judicious is in fine pric e book. And there, actually the competition is very, very huge. So, in case we take a cut in the NIM, the growth can be much higher. So, in that way, there is no challenge i

n terms of growing the book, we have multiple options there. So, I
believe that goi ng forward, again, since we are holding our strategy intact because we think Q2 normal demand would come at a price point where I am comfortable with. So, that's why or

otherwise we could have disbursed more in Q2 on that. So, on a demand basis, I think, t here is enough demand and we're getting into a busy season. In terms of pipeline, we have almost ■40,000 crore of sanctions which are yet to be disbursed. These are the sanctions given which are not disbursed. And like Mr. Tyagi said, there can be a spillover of the earlier quarter getting into this quarter because we have not disbursed those amount. Secondly, we have another ■25,000 crores odd of proposals which are under process, not received. These are in some stage of process. So, I think, the pipeline is very strong for the bank to get into a growth of almost 10% - 11%.

Mr. Ashish Agashe: Okay. And, Sir, the 10% -11% would be without compromising the NIM aspirations for the bank?

Dr. Debadatta Chand: That is what actually. That's why we hold on the Q3 as a strategic quarter to decide whether we need to compromise on the margin or not. So, that is what actually precisely I was putting emphasis on.

Mr. Ashish Agashe: So, you are confident of achieving 10% -11% Corporate loan growth without compromising on the aspirations and margins?

Dr. Debadatta Chand: Importantly, actually what is important, also you need to account for is that my book is organic. We have very clearly said organic. I have given both the data of corporate and others, so you can figure out the growth that we are showing on the corporate i s only for corporate.

Mr. Ashish Agashe: Okay, Sir. And, Sir, second question, you are maintaining the credit cost guidance at 0.75% and you said that, okay, there would be some probable headwinds which you see because of geopolitical issues. Sir, if you can just elaborate on that? What are the h eadwinds? Which segment of the book is where you see some headwinds? Is it playing out already into the SMA numbers? What were you really sort of looking at, Sir, then?

Dr. Debadatta Chand: In terms of SMA book, the book is much better now. The book has no concern as of today. But there are multiple like last quarter we had one off. It was not a slippage,

it was a restructured account in an international book putting ■500 crore pressure both on the NPA amount and also on the restructure because restructure per Indian guidelines has to be treated as NPA for 1 year. So, in that way, we have a large internatio nal book, we have a large domestic book, right . So, a small amount of ■500 crore can change. So, that is why we are holding the guidance at 0.75 %. The geopolitical can be anything. There is no, I mean, identified or a watch list account in terms of any pro bable slippage. As on today, the book looks very good. On the slippage, the collection efficiency is much better. We declare your CRILC amount, right, the CRILC percentage, that also looks better at 0.39 %. Internally, we know the overall book in terms of SMA 0,1, 2, this looks very good. So, absolutely, there is no concern in terms of any fresh slippage happening. But on a guidance basis, we keep it at a level because if you see at the Credit Cost, it is volatile. Sometimes it goes up to 0.6 %, comes down to 0.29 %. So, we are slightly conservative in terms of giving a guidance rather than any probable slippage that we expect going forward.

Mr. Ashish Agashe: Okay, Sir. Thank you so much.

Moderator : Thanks, Ashish. Abhijeet Lele, Sir, of Business Standard.

Mr. Abhij it Lele: Good evening. Am I audible?

Dr. Debadatta Chand: You are audible, Lele Sir. Please, go ahead.

Mr. Abhijit Lele: Yes. The Corporate pipeline question has been already answered. There was one stress airline account for which the recovery efforts were unde

rway, if you could give any update on that.

Dr. Debadatta Chand: I mean, there is no further update on that. Actually, as I said earlier, out of the full book, full outstanding, one -third we got it from the guarantee coverage we had. So, the book is two -third. And there are two things going on as on today. One is with regard to the normal NCLT process. Another with regard to a high -value collateral, which is available, where the process is on. The third is some kind of an international arbitration which is going on vis -à-vis the airline account and t he Indian supplier. So, there are, I mean, tremendous kind of value in all those processes. And earlier also I said, as far as expectation goes we would recover the full amount out of this account. That is what I said multiple times earlier also. But as on today, because thes e are, again, legal processes, some of the processes are outside the Indian jurisdiction, collateral sale is also depending upon the price point that we looked that you can sell the collateral because there is a large piece of land. So, there is no further update, immediate update on this. But anything happens, we will update definitely because you had multiple questions earlier on this account. We will update, I mean, while announcing on the place or media on that matter.

Mr. Abhijit Lele: One quick query with regard to the Net Profit. Yes, last time in the Q2 you had a one -off kind of a recovery and that had pushed your Q2 Net Profit. That is how. But given the very sober or a weak non -interest contribution, is it also one of the factors wh y the Q2 numbers Net Profit is down? Because the contribution from the non -interest income is less?

Dr. Debadatta Chand: Yes, that is what I said that. T WO non-interest income helping us over and above the normalize that we get out of non -interest income. One is a recovery out of TWO account that happened in the Q2 of last year. Or some additional Treasury income normally we get in case the market condition is good. The recovery of NCLT happened in Q2 of last year whereas the Treasury income happened in Q1 of this year. You know the price, the G -sec almost went down to 6.20% -6.25%. So, in that way, the no rmalize would continue. So, that is why I am telling, the non -interest income this quarter is a normalized quarter.

Mr. Abhijit Lele: Okay.

Dr. Debadatta Chand: In a normal condition, this should continue. Our Treasury income, as I said, if there is a positive movement happening in the market, we will upsize that but the income would be in the extent of ■1,000 to ■1,200 crore. The TWO recovery, somewhere the norma lized rate is something around ■700 -■750 crore.

Mr. Abhijit Lele: Third is about the proposed move for the M&A financing. Since you are the one who has a strong underwriting capacities, any specific skillsets that you have to bridge? And what kind of, given the net worth as of September, by the 10% norm how much is your appeti te?

Dr. Debadatta Chand: Our appetite would link to the normal Credit growth guidance actually. I mean, M&A gives us an opportunity because, as you said right, we operate internationally and internationally this is an established product. So, we understand the product. In terms of underwriting, we have a large domestic book. So, there are underwriting skills already there. So, it is an opportunity for a bank like us, in case the guidelines do come, to play a significant role. And how much it would add to the bo ok, I cannot give an estimate now. But then we think it is going to be positive over and above the guidance they are giving on the advance growth.

Mr. Abhijit Lele: I am through with my queries. Thank you.

Dr. Debadatta Chand: Thank you.

Moderator : Thank you, Sir. Ashwin of Reuters, please.

Mr. Ashwin Manikandan : Hi. Hi, Sir. Hi, hi. Can you hear me?

Dr. Debadatta Chand: Yeah, I can hear y

ou. Please, go ahead.

Mr. Ashwin Manikandan : Sir, you had mentioned about Auto loans picking up after GST cuts. If you can share, give some color on what kind of demand you are seeing, what kind of uptick you are seeing? And any stress in this book at all like from previous quarters?

Dr. Debadatta Chand: No. First to address, post GST announced on 22nd or 23rd, I believe, post that we are almost seeing 25% increase in disbursement vis -à-vis the same period last year, I mean, let us say 23rd September till the date of 30th October. In case on a disbursement basis, if you compare, it is almost 26% higher. I mean, GST, I think, created the demand in the market. And as on today, you would have seen my slippage. As I said, the fresh slippage this quarter is lower than that of the Q1 of this year and the Q2 of last year. That shows the sound asset quality the bank is having. And we are not seeing any stress in this particular asset book.

Mr. Ashwin Manikandan : And you expect this sort of Auto loan demand to sort of continue?

Dr. Debadatta Chand: At least for, I mean, actually we run all this campaign, the festive campaign till 31st December. I mean, you would have seen something called BOB Ke Sang Tyohaar Ki Umang.

Mr. Ashwin Manikandan : Yeah -yeah.

Dr. Debadatta Chand: We had run that and at least to that time we believe that the growth continue to be higher in this segment.

Mr. Ashwin Manikandan : Okay. Sir, one last question is on the tariff and how its impact. If it has had any impact or, you know, any comments on that? Like are you still seeing it play out or do you think the effects have played out largely for the bank?

Dr. Debadatta Chand: Look, there is an impact. A couple of sectors like the textile and a couple of sectors we have seen the impact. We are engaged with all the borrowers as far as we are concerned. And as on today, there is no stress per se. But they do require some support a nd help going forward. So, we are waiting for the government policy in this regard. And if there is a requirement, then we will definitely support them. So, absolutely, the impact at this point of time is not…There is impact but not g etting the account into stress as of today. But we are continuously engaged with this sector to figure out what kind of support they require. And then possibly look for a policy and then we will decide our own how to support them.

Mr. Ashwin Manikandan : Sure. Thank you so much. Thank you, Sir. Thank you.

Moderator: Thank you, Ashwin. Manish Suvarna of Money Control.

Mr. Manish Suvarna : Am I audible?

Dr. Debadatta Chand: You are audible. Please, go ahead.

Moderator : Yes, Manish.

Mr. Manish Suvarna: Hi, Sir. So, I just need one clarification on the floating provision. As you said, this quarter you did a ■400 crores floating provision. But also you said you are going to continue to boost up floating provision. You do not have calculation for every quar ter but you said you will

keep on floating. But what is the estimate as of now in this quarter that you have estimated that this much provision additionally you have to do it?

Dr. Debadatta Chand: See, there is nothing additional but we want to support the buffer that we create as a floating provision. So, this quarter we had an opportunity. And when you have the coverage with regard to the Net Profit, you must account for that. We made a ■400 crore s of floating provision, right. There is no policy as of today with regard to floating provision. But if the space do allow, we will try to augment this buffer. Because this buffer is going to be very useful when the ECL is implemented , right. You know, there is already a draft guidelines, there is a roadmap to implement that. So, typically keeping the ECL framework into eye, we have created this buffer but there is no policy that every quarter we are going to have it

. If the space do a llow, then definitely we will do that.

Mr. Manish Suvarna: But you are going to do it every quarter, even though there is no…

Dr. Debadatta Chand: No, I am not saying that every quarter we need to do. If there is a space available, then. See, we have a timeline till 31st March, 2027, right, when the implementation kicks in. So, within that time we need to augment this buffer. That is what the plan is on today. But there is no specific policy we have or specific guidance we can give you that how much we want to add to this buffer. But we are mindful that we need to increase this buffer.

Mr. Manish Suvarna: Okay -okay. And my second question is on the Gold loans because Gold loan advances have seen around 40% year -on-year growth in this quarter. With the gold prices rising, are you a bit cautious on the borrowing limits or on the LTV front?

Dr. Debadatta Chand: As on today, absolutely no. The percentage NPA in the Gold loan book, which consisting of Retail and Agri, is I think 0.1 something. Very low. Secondly, the LTV and all do cover all this, I mean, the fluctuation in the price. We are just watchful of the ma rket, what is happening in the gold loan price. Because post Diwali, immediately there was bit of a fall therein in the price. But then we need to see on a sustained like if there is a significant fall happening because of global scen ario then we'll be mindful of watching this portfolio more closely. As on today, I don't see a stress there. And the minor fluctuation we have seen in the gold price is not going to impact our LTV in any significant manner.

Mr. Manish Suvarna: Can you give any guidance as to how much growth can we expect in the Gold loan advances?

Dr. Debadatta Chand: See, we have two segments. One is a Retail goal, another is Agri gold. I don't know if Agri gold the data is given or not. The growth in the Agri gold is almost in the range of 35% -40% and we will continue to grow in that segment. Retail is something aroun d 20% -25% and will grow in that manner. So, there is no significant growth we are planning but the normalized growth that we are having, that we are going to do because that is what the capacity we can consume per quarter. So, we are n ot going to augment that significantly. At the same time, as on today, based on the available information, whatever on the Gold loan in terms of my own book or the outside impact, I don't think we need to scale down on this level.

Mr. Manish Suvarna: Okay -okay. Thank you, Sir.

Moderator : The next question is from Shrishti Sharma of ETBFSI.

Ms. Shrishti Sharma : Thanks, Phiroza . Good evening, Sir. You've answered most of my queries. However, on the debit cards and credit cards market share, you come second after State Bank of India. And if I compare the data between 2 years, last year you were at 10%, currently it is at 9% of th e market share. The debit card market share has constantly been degrowing for some time. However, credit card, you are one of the fastest, you are showing the fastest growth year -on-year. So, first, why is the debit card market share going down? And what a re your aspirations in terms of credit card? Can we see you increasing the market share as you end the FY26? I'll move on to the next question after this one.

Dr. Debadatta Chand: Yeah, let me first address the credit card. Credit card, I mean, there is a spend and there is a book. The book is now something around ■5,000 -■6,000 crores, which is not significant. We intend to grow faster. I mean, on the league table somewhere we are a t 13 or 14 on the book terms and we want to get into the Top 10. So, that's the market that we think we need to grow, adding scale and capacity in that particular subsidiary. So, we are quite bullish on the credit card business. The nu mber stacks very well for us in terms of profitability. I think with people dependent

on the cashflow in terms of, I think, this product will grow. On the debit card,
you said, right, as an issuer we are almost the 2nd or 3rd, I believe. There is a huge issue of this we have. But you are right that the market scenario, I mean, the usage of debit card has been because of the Digital UPI and all. It has been going down; the number of transactions happening on the debit card. But , look, only one thing, for eve ry account actually when I am increasing my customer base, I have to necessarily give a debit card to each of the customers. So, I mean, even if the transaction on the debit card going down, I cannot reduce on the number of debit card because I want to iss ue a debit card to each of the customer who is opening Savings account with us. At the same time, through debit card now multiple non -financial transactions are happening. Suppose, somebody wants to change mobile number, somebody wants to change…there are multiple non -financial transactions happening through ATM and debit card. So, the usage is going up. Because somebody doesn't want to come to the branch, so through ATM can do some of the activity which he can do in the branch. So, in that way, my strong belief that debit card as a product would continue to be there in the Indian market and we as a bank has no plan to scale it down because the number of transaction, financial transaction has gone down because of the digital impac t. But we are mindful of ana lyzing all this data. In case there is any change in strategy required, we'll take it at a later stage. But as on today, I don't think any rethink with regard to the

issuer base or issue that we do in the debit card segment.

Ms. Shrishti Sharma: Sure, Sir. I've noted your points. I wanted to come again to Corporates. You've given your pipeline, you've mentioned your targets and how you're going to achieve them. But this is more from an industry perspective, can we call Q2 a turning point for banks in terms of corporate that corporates are finally coming back to banks for the borrowing because the trend was muted for quite some time? A lot of banks have shown some increase sequentially. So, will Q2 be the turning point that goin g ahead corporates, the growth is going to be there? Is it going to be sustainable?

Dr. Debadatta Chand: Look, there are 2 -3 qualitative aspects on the Corporate loan book. There are two segments -one is a very fine price segment and another is a normal segment. And if you see my book or we look into my book, the normal segment grows at a decent pace whereas the

fine price there is a heavy competition. And there, again, it would all depend upon the pricing strategy you have. So, in case you want to slightly grow faster, you can grow. So, that is your point on the Q1, Q2. Q3, Q4 for all the banks on the corporate, because we are getting into a busy season, always the corporate growth is higher. And it is, I mean, I would put the coming back, which analogy is more of a seasonal than anything else. They would come back. Secondly, while given a muted, I mean, system as a whole, let me address the issue from all banks together. Many of these corporates, they went to the bond market, to the CP market to borrow funds. So, even if my credit growth has not been there, the banks like us we are participating in all those CP market. And if you combine the CP as a credit equivalent, which is not a credit, but it has gone to the credit equivalent, where the money also being taken from banks, I think the growth would be better than what we have presented to the market as a system a s a whole. So, corporate are finding a lower rate in this bond market or the CP market, obviously, they would go to those markets. So, I don't think any anomaly here. It's a normal market scenario. So, 2 -3 things. While we should be optimistic or positive with that, we are getting into busy season, point one. Some of the corporate ma

y be adjusting their limit on the bond market, they would again come back.
Thirdly, there are some of the sectors who are seeing demand coming up. Fourth, there are the borrower s who have availed working capital. Now, they are increasing their utilization going forward. So, all this, I think I a very positive with regard to the Corporate credit demand. And full year, basis 10% -11%....We had a 10% -11% growth last year also. And I think the nominal GDP at almost 10 %-10.5%, all the banks will be in a position to slightly be ahead of the nominal GDP as far as the Corporate credit growth is concerned.

Ms. Shrishti Sharma: Noted, Sir. Finally, we saw 2 private banks where foreign investors gathered their stake. Sir, media reports have been doing round about centre increasing the cap limit for PSUs as well, what is your commentary on that? If that happens or not, that's a thing for the future, but what is your general stance on foreign investors getting to increase their stake in PSUs?

Dr. Debadatta Chand: See, l ike you have read it in the media, I have also read it in the media. So, no additional information with regard to any such policy. And the policy makers would take the policy call on that. So, I have no comment on that. So, anything happening in the Indian market, let me say, they are all welcome stake, right. As I said in one of the occasions saying that India is getting into a mature market. So, when we are getting into a mature market, I think the churn that is happening within the system is always positive to take India into a mature country. So, in that way, they are all welcome.

Ms. Shrishti Sharma: Sure, Sir. Noted. Thank you so much for your time.

Dr. Debadatta Chand: Thank you.

Moderator: Thank you, Shrishti. We'll have to close but we have one final quick question from Piyush. Piyush, you can unmute yourself please.

Mr. Piyush Shukla: Sir, there are reports that the government is considering the second round of merger and you are the second largest bank, your name is also there. Have you heard anything from the DFS in this regard? And in general, the last time when Vijaya and Dena were merged, how did that pan out? Do you feel this can be done? And in general, what is the message from government or authorities? Thanks.

Dr. Debadatta Chand: So, like you say that it's doing media round, so we also hear from the media only. Absolutely.

Mr. Piyush Shukla: Have you received any communication?

Dr. Debadatta Chand: No, I mean, it's a policy call. As a participant, we have no comments on the policy because the policymaker, stakeholder , will make the decision, right, they will make the policy call. So, as a participant, we won't comment on any policy measures. But as you said, the merger of Vijaya and Dena Bank has been very successful in terms of the consolidation that happened in the system. We were the first example and then multiple banks happened. The kind of numbers that you are looking for , for all the banks is t he outcome of those processes that happened a couple of years back. So, in terms of creating scale and size, it is always a welcome for a country like us. We need large banks. But at the same time, policy calls, policy decisions will be taken by the policy maker. As a participant, we don't have any comment on that.

Moderator: Thank you, everyone. That will be the last question for today. Thank you all for joining us.

Dr. Debadatta Chand: Thank you very much.

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Bank of Baroda Analyst Meet for Quarter and Half year ended 3 0th September 2025
31st October 2025

Participating members from the Management Team of the Bank
➢ Dr. Debadatta Chand, Managing Director & CEO
➢ Mr. Lalit Tyagi, Executive Director
➢ Mr. Sanjay Vinayak Mudaliar, Executive Director
➢ Ms. Beena Vaheed, Executive Director
➢ Mr. I V L Sridhar , Chief Financial Officer

(CFO)

Moderator: Good evening, everyone and welcome to Bank of Baroda's Analyst Meet for our financial results for the quarter and half year ended 30th September 2025. Thank you all for joining us. We have with us today our MD and CEO, Dr. Debadatta Chand, and he's joined by the Bank's executive directors and our CFO. We will start with a brief presentation on the results followed by opening remarks by Dr. Chand and then we'll have the Q&A session. Dr. Chand, I would request you to begin.
Dr. Debadatta Chand: Thanks, Phiroza. And just to introduce the management team. I'm D. Chand, I'm the MD and CEO of the Bank. I've been interacting with all of you for quite a while now. With me: Mr. Lalit Tyagi, he's the Executive Director. He looks after the corporate and institutional credit, the international banking and treasury for the Bank. Mr. Sanjay Mudaliar, he's the Executive Director. He looks after all IT function of the Bank and also the retail asset of the Bank which includes all the housi ng and all those loans we talk on the retail side. Madam Beena Vaheed, she's the Executive Director. She looks after all control and assu rance function. More importantly the operation s department, the risk management department and also with regard to the retail liability franchise of the Bank. Mr. I.V.L. Sridhar, the CFO, he has been there also for I think a couple of interactions now. So, with this, Sridharji, over to you. Go ahead wi th your presentation.

Mr. I.V.L. Sridhar: Thank you, sir. Good evening, everyone. It's my privilege to present before you the financial highlights of Bank of Baroda for the quarter and half year ended 30th September, 2025.

Our global advances have grown by 11.9% YOY with domestic advances growing at 11.5% and international at 13.8%. Within the advances book, the Bank has continued to focus on RAM advances. Our organic retail book grew by 17.6%, agriculture 17.4% and organic MSME grew by 13.9%. Corporate loans have grown by 3% YOY.
Within the retail segment, we have seen s mart growth across the portfolio with educational loan growing by 14%, home loan at 16.5%, auto loan by 17.7%, personal loan by 18.6% and mortgages by 19.8%.
In terms of the deposit growth, our total deposits have grown by 9.3% with international deposits growing by 7.2% and domestic deposits by 9.7%. The domestic CASA deposits have grown by 6.6% and the term deposits have registered a growth of 11.7% YOY. As of 30th September 2025, the bank 's credit deposit ratio stands at 85.26% and the CASA ratio stands at 38.42%.
With regard to our quarterly profitability metrics, please note that in Q2 FY 2025, the Bank had a one - off recovery from written -off accounts, which has elevated the base. Our operating profit for the Q2 of FY26 stands at 7576 crores. Our net profit for the Q2 of FY 2026 stands at Rs. 4809 crores. Without the one -off item which I have mentioned earlier for Q2 of FY25, the growth in net profit would have been 22% for Q2 of FY26. Return on assets remains consistently above 1% at 1.07%. Then , the return on e quity stands at 15.37% for the quarter.
Regarding profitability, our operating profit stands at 15,812 crores for the half year. Our net profit for the half year stands at 9,351 crores. Return on assets remains above 1% at 1.04%. Return on equity stands at 14.95% for the half year.

With regard to our key ratios, our yield on advances stood at 7.81% for the quarter and 7.95% for the half year. Banks' prudent liability management has led to a sequential decline in the cost of deposits for the quarter which stands at 4.91% as against 5. 08% in the previous year's quarter. With regard to our net interest margin, it has sequentially improved by 5 bps to 2.96% for the quarter. It stands at 2.93% for the half year.
Regarding asset quality, we have the best asset quality and it continues to remain robust.

Our gross
NPA ratio has improved by 34 bps YOY and stands at 2.16%. Net NPA ratio is below 1% at 0.57%, an improvement of 3 bps YOY. Our provision coverage ratio inc luding TWO is comfortable at 93.21%. Our slippage ratio for the second quarter of FY 2026 has reduced by 16 bps YOY and stands at 0.91%. Credit cost remains lower and stands at a level of 0.29% for the second quarter of 2026. Without the floating provision , the credit cost would have come down even further down. We have made a floating provision of 400 crores as a prudent measure.
Coming to our SMA and collection efficiency, our CRILIC SMA 1 and 2 as a percentage of our standard advances stands at 0.39% as of September ‘25. Our collection efficiency excluding agriculture remains robust at 98.6%.
Regarding capital adequacy, we have a strong capital position. Our capital position in CET -1 as at 30th September ‘25 is 13.36%. Tier 1 capital adequacy ratio is at 14.15% and overall CRAR is at 16.54%. Our LCR remains healthy at approximately 121% as of September ‘25. Adjusted for the profits of the half - year profits of 2026, capital adequacy would have be en 17.36%. Thank you.
Dr. Debadatta Chand: Thank you, Mr. Sridhar. Let me add a couple of minutes only some qualitative comments.
As we said earlier also, the Bank strongly believes in how to strengthen the fundamental parameters of the Bank. And our performance has been consistent for many years, many quarters in terms of the numbers that we give to the market. So, in the context of that, let me again wish all analysts, friends who are joining today, a very good evening. And thank you very much for joining on a Friday evening with us.
So, in terms of numbers and all, we have yet another sound and good quarter as far as Q2 is concerned. On the business number, already provisional number we announced sometime back. All of you have taken note of that. The media coverage with regard to a strong growth, so I have nothing more to add to that. But only I will highlight on the advances side, our advance s growth is propelled by the RAM growth. And you would have seen the retail growing at 17.6 %, Agri at 17.4 % and the MSME at almost 14%.
The second aspect again on the asset book is the corporate growth. Some of you possibly would be looking at a number at 3% now. So, let me give a couple of comments on that. The corporate growth seasonally, we have a weak Q1 and Q2 always and we pick up in Q3 and Q4. Last year, we had a growth of almost 10 to 11% on the corporate book. And this year also, we expect to grow at 10 to 11%.

Saying so, I mean, if you look at the sequential growth on the corporate book, although the YOY is 3%, it is at 8%. So, it can build the momentum therein. There were strong pipelines to support a growth of 10 to 11% as far as the corporate loan book is con cerned.

Deposit, you would have seen on the overall growth that we already announced. But at the same time, let me say saving has been one of the consistent, you must be mapping out our numbers with peer banks. And we have been consistent on that, although the gro wth is low, as the growth used to be in the earlier years, but it has been one of the consistent out performance of 1 to 2% on many large peers. So, our focus continues to be on the low -cost deposit. And that is what we believe strongly. And the focus continues to slightly de -leverage on the bulk deposit. And we have been doing that for the last two and a half years. So, the outcome therein, becaus e we say that it is prudent liability management, which the CFO talked about, I will tell you a couple of outcomes, you can take note of the numbers we presented. Our CASA percentage is 38.42 %. That is one of the top quartile in terms of number, you must b e mapping out all banks and there we are at 38. 42%. My interest expenses growth this quarter is 4.9% as compared to more than 9% growth last quarter. That means ty

pically on a trajectory where
typically we debate with regard to the repricing of a sset liability, now we have a control on the interest expenses.
And what is the outcome? The first time maybe you would compare our own NII growth last quarter, which was negative. The NII growth this quarter has been positive. And this positive when I say repeatedly positive, you can very well compare the NII growth happening in the system.
At the same time, the net interest margin where we talked about the margin compression or pressure for 2 -3 quarters now, we have improved the NIM. The NIM has improved in global from 2.91 to 2.96. Domestic has improved to 3.10. The international has improv ed. So overall, the prudent pricing strategy or liability management or asset management is helping us to maintain our margin or improving that.
The ROA and ROE, two factors, which again on the profitability, it has been better than the last quarter. So, the impact of the prudent management is helping us in terms of maintaining the qualitative, what you can say income earning potential of the book that is very, very fundamental as far as the Bank is concerned. As I said, the net interest income is at 2.7% positive as against a negative growth we had in last quarter. On the operating profit, as Mr. Sridhar has rightly mentioned, Q2 of last year, we h ad a one -off from one of the NCLT re solution account, which is a significant amount. And the pre -tax benefit of that is almost 900 crores. So, in that comparison, both at the operating profit level and non - net profit level, there has been, I mean, the same quarter comparison last year, there is a de growth or there is a negative growth. Saying so, the sequential growth in the net profit has been positive by 6%. So, we are at almost 4,500 crores of net profit in last quarter. We're almost at 4,809 crores of profit in this quarter, which is a 6% growth. And this net profit we looked in the light of the floating provision that we have made up to the extent of 400 crores. I mean, that's a prudent provision we have made keeping the ECL framework in mind and taking the entire floating provision to 1,000 crore s. So, these are again, these numbers to be looked in the context of the floating provision that we have

made of 400 crores and continue to buffer this particular floating provision. Although there is no guidance for the matter, but then we'll try to buffer it more as we move forward.
On the asset quality, one of the best quarters I can say, touch wood, the best quarters we have in this quarter. GNPA of 2.16 %, net NPA of 0.57 %, slippage ratio of 0.91 %, credit cost of 0.2 9%. I mean, these are the numbers which are better than the last quarter and the same quarter last year. Again, a couple of points I would say, the first slippage of 2,669 crores, this is in terms of slippage better than the last quarter and the same quarter last year. The cash recovery has been better than the last quarter and the same quarter last year. The upgradation has been better than the last quarter and the same quarter last year.
So, I mean, in the summary note, I can say this is one of the best asset quali ty. And when I say we believe in fundamental growth of the Company and the Bank, and this is one of the points which is again, driving along with the top line, bottom line asset quality we want to maintain at a very good level, a pristine level.
However, going forward, we maintain the slippage guidance at 1 -1.25 %, precisely maybe probable headwinds be there in the geopolitical scenario that are evolving and the credit cost below 0.75 %, although the current credit cost is much lower than that.
So, on a business front, again, I mean, I'll just tell one point that the cost of deposit is at 4.91 %. And in case you are mapping out the industry cost of deposit s, this is one of the lowest points we have reached on the cost of deposit. And that talks abo

ut the prudent liability management that we are
talking about for the Bank.
So, on the business front, again, we continue to focus on the IT, digital, trying to innovate, trying to, I mean, making our system robust, protecting cyber security threat. So, that's something we need to be ahead of the curve, and we clearly intend to do that. We want to improve our customer service further. We want to improve our service delivery further, and we're working on those things.
On a branch banking, again, I say we are reimagining the branch banking and would have seen the

Bank rolling out a unique concept called phy gital branches. We have 10 branches now. I'm not going to go into details. You can see that in the literature available on the website, and also deployed a virtual branch in those phy gital branches where a human -like robot can interact on a live basis with you.
So, these are a couple of things, and a couple of other things where we're again working is that the ESG has been a core theme, and we've been very strongly working on the ESG mandate. We announced our ESG policy of net zero by 2057. Recently, we created a BOB forest in the BKC area, almost 6,000 square feet of area where hundreds of plants from Sahyadri range have been planted over there. It's a BOB Forest, which is planted in BKC, where you are talking about the commercial area of Mumbai. We'll be replica ting this BOB Forest concept across, and this is typically in line with our ESG mandate. We think ESG is one of the core mandates where the Bank has the responsibility,

and we should do much more on that. With this, again, I'm thanking all of you for joining today. And, Phiroza, over to you for question and answer.
Moderator: Thank you, sir. If you have a question, please raise your hand, or you may type your question in the Q&A box. One request to please limit your questions to just two. Thank you.
We will start the Q&A session with Mr. Ashok Ajmera. Sir, if you can please unmute yourself.
Mr. Ashok Ajmera: Good evening, sir. Chand saab, compliments to you for another good quarter of a good set of numbers. At least on the net profit level, even though the operating profit is substantially down because of the lesser provisioning requirement, the net profit is very comfortable. It gives a comfort because ultimately everybody looks at the bottom line of the Bank. So, on that front, at least all is well.
Now, having said that, some of my few standard questions and some observations, and which always encourages us to analyze things properly for the time to come. So, one thing is only in this quarter, though the credit growth this quarter is reasonably good, but because of the fall in the first quarter, our overall in six months, we have grown only by 3.93%, as far as the credit is concerned, net credit is concerned. And if you look at your 11 to 13% guidance, and even if you take average 12% guidance, you ne ed to have the total credit for the FY 26 of 1,48,000 crores , growth. So, we have achieved only 48,000. So almost 1 lakh crore growth in the next five and a half months or six months are required to be there to meet the kind of guidance.
So, on that, sir, where do we stand from the point of view of the sanctioned pipeline and the strategy and too much of reliance on retail, I think is not going to sustain for a longer period of time because everyone is chasing a retail book. So, you have to ultimately rely on corporate also for increasing our credit growth. So, what are your views on that? And how do we plan to achieve that? That is my first question because of the busi ness growth wise also, we have grown only 2.82% in six months of FY 26.
So, this is what I'll come back with or shall I continue.
Dr. Debadatta Chand: You can, you can, you can. That I have noted, then you can go to the next.
Mr. Ashok Ajmera: Our operating profit is also down because of mainly the treasury p

rofit, which has
almost gone down by almost 50% from 2,226 crores to 1,086 crores because of the pressure on the treasury and because of the rate movements. So, on that, if you can give the color for the remaining two quarters to come. Then how do we, even though we are expecting a 25 basis cut as the rate cut is still, so how is this time lag you have planned and how we are going to get the benefit in now remaining five and a half months of this quarter so as to improve the treasury income. And thereby on NIM front you have somehow maintained and rather grew, but how, how it will help to increase the NIM further? This is my second this thing, sir.
And we have eaten away 1.07% of the bps, 107 bps from the CRAR in this quarter. So, even though the profit will be added at the end of the year, so how do we plan to, you know, like match the credit growth, which is required substantially to be increased a nd whether we, the capital adequacy on that, if we can have some light from you.

And last one is that we are given only SMA, just percentage that we are about 0.40, 0.39%, but we are not given in the absolute number and especially the breakup of the SMA 0, SMA 1, SMA 2, which gives an idea of what is going to come in the future.
So, these are my few observations and some questions and some, you know, the impressions which I want to have from you, sir.
Dr. Debadatta Chand: So thank you, Mr. Ajmera. Thank you very much for being the first one to ask on the analyst side. We always expect you to ask the first question.
So let me, a couple of points that when you look at the net profit, look at the net profit growth this quarter sequentially 6%. And we're comparing with the YOY, there is a degrowth because the last quarter we had some one -off that we already clarified. Ot herwise, the net profit is strong, 4,800

crores. I mean, you may compare it with the system also, that's quite a good number.
The net profit also 4,800 crores to be seen in the light of a 400 crores floating provision made by us. And that actually, as we said that we were just looking at the ECL migration and how do we prepare ourselves in terms of migrating to ECL, this may not be adequate, but then we think of how do we create more buffer on this.
The corporate credit loan book, the retail going to be, is doing good. And in terms of the numbers that the quality of book that we look at, I don't think any challenge at this point of time to slow down the retail growth. I mean, retail, the RAM would nee d to grow faster. That's a portfolio which gives a diversification benefit. That's a portfolio which is highly collateralized as compared to any other portfolio. That's a portfolio also gives me good yield vis -a-vis any other portfolio. So, continue to gro w on the retail as it is.
On the corporate loan book, yes, I do agree things have been muted. I mean, muted not only for us, for the system when you compare the growth in the earlier years, we need to focus on corporate, no doubt about it. Q3 and Q4 are normally the better quarters for us in terms of corporate growth. And I think we're giving a guidance of 10 to 11% growth, we're in a position to achieve that.
So, there are 2 -3 elements that we must account for while looking at the corporate growth. One is that the core corporate is going strong. The area where we are slightly restricted because of a margin guidance is a very fine price asset where how below you can dip in terms of taking an asset. And these are typically re -fi deal or very high rated corporate deal. So there, as on today, we are restrictive because thinking Q3 can be better. So, in that way, we're not losing out any business opportunity in terms of the corporate growth. We are sufficiently providing money to the market in terms of growing on the corporate.
The second thing that many of our own corporate, when in the first quarter or the first half, they've gone to t

he bond market in terms of raising money through CP and other instruments while again, I mean, not availing on the loan side. And we have seen a trend, they are coming back to the loan

market, that is point one. Point two is a case where, I mean, look, I mean, a bank like us again participates in those markets as part of the investment. So, whether it is a credit or credit equivalent, I think banks are sufficiently providing liquidity to the corporate sector. So, I don't think any, I mean, you have to club both the things to understand whether money flowing to the corporate sector or not, money is flowing from the banking system to the corporate sector at a decent pace, although the corpo rate loan book would see different.
Thirdly, which is important again, I'll also request because you all always analyze banks. The corporate that we publish in the analyst presentation is the pure corporate, it's an organic book. We give another component called others, which is below that, which is consisting of a st aff loan or the inorganic book . The same classification may not be available with other banks. So, in that way, it is not comparable, but I tell you the growth that we have is corporate, it's a pure organic corporate book. I thin k in case of the data available for all the banks, then we can have a proper comparison.
So, in that way, we are quite happy with regard to the way we are testing out the corporate book and we will operate at 10 to 11%. We need to focus on corporate, no doubt about it. But then I think the money which has gone to the retail sector would drive consumption and that would drive the private capex going forward. And that's a story that I'm, that's a narrative that I'm working on.
Treasury income, you are right. The operating profit we have declared this quarter is the normalized quarter. I mean, we have no one -off here. So going forward also, we look at similar operating profit or any one -off happening because of a resolution comin g out of a TWO account or a written -off account or a higher treasury income because of the bond price movement going down, the yield going down. I think we can upsize the operating profit going forward, but 7,500 to 8,000 is a normalized operating profit r ange for us.
CRAR, we are quite adequately capitalized. I mean, excluding the profit, the CRAR, I mean, including profit, the CRAR is 17.36 %. But even in the scenario if two things happen which slightly put this CET1 down. That's, we wanted that to happen. One is a case where the AFS reserve, actually it has gone down because of the market movement, you understand that better. At the same time, couple of AT1 redemption, we didn't replenish it. Maybe we are looking at a price point where you can replenish the AT1 bond al so. That's why it has gone down.
At current level, excluding profit also, we are heavily, highly capitalized. And if you add profit, then it is almost 17.3 6%. So, I don't think any challenge on that. We had announced to the market an enabling clause of raising capital, but I don't think that is needed at this point of time. If there is a need, we will see at that point of time with a due articulation to the ma rket.
So, I think I have covered mostly…. the SMA breakup, actually, the CRILIC data only will provide more than 5 crores. I think other banks also do provide that. But any granular data you want, we can provide offline to you.
Mr. Ashok Ajmera: Thank you.

Moderator: Thank you, sir. The next question is from Rikin Shah.
Mr. Rikin Shah: Hi, good evening, sir. And thank you for the opportunity. I have a few questions, actually.
First one, I wanted to check what is the total quantum of interest on IT refund in this quarter? And what would be the NIM ex of this one -off? And a continuation to that would be, you know, this is the third consecutive quarter where we have seen decent amount probably on interest

on IT refund. So,
how should we think about it in the future quarters? I know it can be very difficu lt to predict, but do you expect more of them in the future? So, that's the first one.
And I have a few other, I'll come back after this question.
Dr. Debadatta Chand: See, the IT refund happens, I mean, as and when we get the refund and normal, if you look at the refund this quarter, it is higher than the last quarter, almost 300 crores. So, in that way, you can take an impact of the NIM something around 7 -8 bps at best , nothing more than that. But IT refund is a normal way every quarter the Bank receives. So, it is not a one -off. It is only the quantum of money that we receive in a quarter. And this quarter, you compare to the last quarter, it is in excess of roughly around 3 -350 crores. And that's how you can translate to 6 -7 bps of the NIM.
Mr. Rikin Shah: Okay. So, sir, last quarter, I think the interest on IT refund was 370 crores. So, this quarter, it would be 670 to 720 crores in absolute terms.
Dr. Debadatta Chand: Roughly around 750 crores kind of a number.
Mr. Rikin Shah: Okay, fair. Got it, sir. Thanks. The second question is on the deposit repricing. Would you say that a large part of deposit repricing is already done by this quarter? And do you expect more in the coming quarters? And, then extension to that is we have heard from some PSU banks that they do think about cutting the MCLR rates, which can impact the yields in coming quarters. So, how should we think about the NIMs from the current level in the next two quarters, assuming there is no rate cut? We can keep that part aside.
Dr. Debadatta Chand: So, again, I highlighted my point that, I mean, if you look at the entire squad of banks who have declared their numbers and they would have seen the margin cut, right?
Mr. Rikin Shah: Yes.
Dr. Debadatta Chand: In that scenario, we are given an increase in margin. So, in terms of the management of the deposit, I think it was a prudent management in that way. Saying so, in terms of the lowest point of the deposit market and the lowest point of the advance market, they are already done in the current scenario, unless and until are we going to cut it further, right. So, in terms of the repricing of this asset liability, again, the full effect of the repricing possibly would not have been felt in this quarter. So, the impact would be felt in the next quarter. So, in that scenario, yeah.
Mr. Rikin Shah: Yeah, sorry. Go ahead, sir.

Dr. Debadatta Chand: So, there may be a range bound movement of margin next quarter, but a full year basis, we are expecting 2.85 to 3 %.
Mr. Rikin Shah: Got it, sir. And, sir, next on the employee expense, the provisions for employee expense has come off in this quarter. Is it simply led by the yield movement? And do you expect that to normalize in the coming quarter?
And lastly, the question is also on the floating provision that you created of 400 crores, the outstanding is now 1000 crores, you did highlight it is in anticipation of ECL. So, how much more would be required in the run up to the ECL transition? What wou ld be the one -time transition impact from April 27? And also, what could be the change in steady rate, steady state credit cost? Those will be the remaining two questions.
Dr. Debadatta Chand: Okay, quickly, let me answer. The employee provision that you are talking about is precisely because of the yield movement. On the pension, the yield movement, it has gone up from 6.44 to 6.72 %. So, there is an increase, for that the amount required is less. Similarly, gratuity also it has gone up by almost around 25 bps. So, it is because of the yield movement, the impact is absolutely in line with that we expect in case there is a yield moveme nt.
Secondly, on the ECL, let me tell you, these are draft guidelines, a lot of moving parts therein but on a thumb rule, I can tell you as a ball

park number, which can be a back of the envelope calculation. What
we are expecting the ECL impact for the full on the CRAR is roughly around 1.25%. So, that would be spread over a period of 5 years, but then you take it at one time, it is 1.25 %. At the same time, there is also guidelines with regard to the credit, the RWA and the credit is also as draft guidelines be ing there. So, that is going to give us almost 60 bps positive because there is a RWA reduction. So, that is a positive impact on the CRAR would be almost like 60 to 70 bps. So, net to net, the impact that you are looking at for a 5 -year impact is almost l ike 75 bps maximum.

And that can be spread over a period of 5 years. If you take it at one time, it can be 0.75. This is purely a provisional number, a provisional calculation in terms of what we see as on today based on the draft guidelines that we understand as the final, I mean, in terms of the final cont our. So, I do not think ECL, you know, the capital adequacy for most of the banks like us. So, if net impact of 0.75 may not be significant. So, that is something that we should do.

Secondly, on a recurring basis on a provisional requirement, it can impact the credit cost almost to the extent of 20 to 25 bps maximum. But these are very ballpark provisional number based on the interpretation we have as on today. Number can change, but the impacts are not significant as on today. In case you look at our book, our profitability, our capital adequacy, our provision requirement, I think it is not significant as on today.

Mr. Rikin Shah: Thank you, sir.

Moderator: Kunal Shah, please.

Mr. Kunal Shah: Yeah. Hi. Are you able to hear me?

Dr. Debadatta Chand: I can hear you. Please go ahead.

Mr. Kunal Shah: Yeah. Sorry, so, to again jump upon and get the handle on the margin number. So, last time when we look at it adjusting for IT refund and the recovery, you indicated core NIMs to be 2.81 %. Would it be fair to assume that core NIMs this quarter would have been closer to 2.78 % or so compared to the reported NIMs which are there?

Dr. Debadatta Chand: I mean, how we computed core NIM, as I said, know, the 2.96 % is the global NIM.

Mr. Kunal Shah: Yeah. And 750 crores. So, that has like 18 -19 basis points of impact overall. So, maybe 2.78, would that be the fair assumption? So, if I have to look at it on a core basis, is it like NIMs have declined by 3 -4 basis points or so, on a quarter -on-quarter b asis?

Dr. Debadatta Chand: See exact calculation, I will give it to you, but then the NIM has improved. Even if excluding the IT refund on both side on the last quarter and this quarter, NIM has improved. So, I think I don't have not exact calculation, but in case you want, we can send you the impact of the core NIM. Core NIM is going to be stable. It is stable and it has really helped us in terms of improving the core NIM.

Mr. Kunal Shah: Sure. And in terms of the guidance, so maybe compared to 2.96 %, maybe even if I adjust and based on that calculation, it is coming closer to 2.8 %. How confident are we in terms of getting it through maybe more than 2.9 or closer to 3 odd % by the exit quarter of FY26?

Dr. Debadatta Chand: See, that is why I said the Q3 would be range bound in terms of margin, because again, the repricing full effect has come in the current scenario, but the full impact for the quarter has not come. So, on the asset side, there are going to be a lower income in terms of the full quarter impact. At the same time, the deposit, again, see, look at 4.91 % deposit cost. I'm one of the lowest in terms of the deposit cost in the entire system, if you look at all the banks. So, in that way, the be nefit is going to be there for the deposit side. So, net to net, it would be range bound.

But full year basis, again, Q4, we are expecting a rise in the NIM. So, in that scenario, I think the guidance we are giving 2.85

to 3. So, that is a global NIM that we are talking about without any core/non -core that we are referring. But global NIM basis will be at 2.85 to 3.

Mr. Kunal Shah: Including the IT refunds, which are there, it is all on a reported basis.

Dr. Debadatta Chand: That is a NIM, right?

Mr. Kunal Shah: Yeah.

Dr. Debadatta Chand: Every quarter we get some IT refund. It is part of a regular, it is not a one -off. Like NCLT recovery can be a one -off, but IT refund is not one -off. We keep getting some amount, it may be higher or lower.

Mr. Kunal Shah: Yeah, got it. So, the question was maybe given that our growth on the corporate side has been quite active. Plus, when we look at on the deposit side, in fact, the wholesale deposits have grown quite stronger when you look at it almost like, say, 15% up qu arter on quarter, 17% year on year. So, I think this two have some pressure on the margins during the quarter. So, that's the reason was not sure if there is an increase in the NIMs on the core basis.

Dr. Debadatta Chand: So, look, on the wholesale deposit, as you said, we have been saying that the dependency , we want to reduce. So, in terms of the percentage of retail deposit, term deposit or the overall deposit, it has as a percentage gone down. So, this quarter something, I mean, even if there is a marginal, because you would have seen the retail term deposit g rowth is 9.1%. And the wholesale including CD is 17%. Then there is some component which has gone into it. But this is precisely out of the CD increase in outstandi ng. And as you know, the certificate of deposit, these are short term, having a much lower pricing.

So, in that way, there is no pricing impact on this 17 vis -à-vis 9, w e’re one bank declaring the bulk

deposit as a subgroup to the term deposit for many quarters, you need to get those data for other banks. And then only you can have a clear comparison in terms of what is the growth we have and what is the growth others can have. But as a strategy, I've been saying that the dependency we want to reduce for a volatility purpose, on a price point purpose, and we're quite successful in terms of managing. So, i t's not one or two numbers you are looking at.
Look, the NII growth has been positive, which is again, if you compare on a whole system basis, there are many having a negative growth. We had a negative NII growth last quarter, which is positive now. The ROA and ROE both are better than the last quarter. So, in that overall construct of the book and considering the cost of deposit at 4.91 %, which is one of a very good level. I think the prudent management is helping us in terms of maintaining profitability and that's something fundamental as far as our margin guidance.
Look, there are two other points that you need to look into. The CASA percentage is one of the top quartiles, you have the numbers for this, right. It is one of the top quartiles for the Bank. So, these are all numbers leading to a, I mean, fundamentally t alking about better management of the liability at the same time protecting margin or the profitability.
Mr. Kunal Shah: Got it. And on PL, so the GNPAs have gone up again to 4.81 %. Last quarter it was 4.48. We are hearing from most of the players that at least the pain, the incremental stress formation is subsiding in personal loans. Should we also believe that maybe for us as well, the GNPAs in PL have now peaked and we should see the improvement or there is some pain still left to be recognized?
Dr. Debadatta Chand: No, look, on the overall retail, the slippage has been lower than last quarter. That numbers are given, I mean, the retail slippage, right? But PL is a very small component of the overall, the outstanding PL books is roughly around 12,000 crores.
If I look at the slippage, we're not declaring that number, but if I look at the slippage of the PL this quarter, it is lower than the last q

uarter. So, in terms of the pressure on the PL book, although we

have a lower book, it is no more there. Rather, we should see improvement in this number going through.
Moderator: Thank you, sir. The next question from Mahrukh, please. Yeah.
Ms. Mahrukh: Hello, sir. Congratulations.
Dr. Debadatta Chand: Thank you very much.
Ms. Mahrukh: Sir, I have a few questions. Firstly, in terms of your recovery from written off accounts, TWO, the income is lower. Do you want to reduce reliance or it is going to remain volatile and lumpy even in the future quarters? So, that's my first question.
Secondly, you did mention that on a run rate basis, if ECL were to be implemented, your credit costs would move up by 25 bps. So, is that what you should build in structurally now to assess your long - term ROAs, like the current credit cost or say the full year credit cost plus 25 basis points?
And my third question is, I think it was asked before, but I didn't quite catch the answer. How much of MCLR repricing is left? How much more can MCLR go down? So, these are my questions, sir.
Dr. Debadatta Chand: So, coming to the recovery of written off, our normalized run rate is roughly around 7 00 to 750 crores, that is what a normalized run rate we give. The Q 2 of last year, that was elevated 2500 crores, that we have explained why it was so. This quarter it is 493 crores, which is definitely below the run rate. But going by the pipeline cases and all, I think we'll come back to our normalized 700 to 750 crores per quarter on the recovery of the TWO.
On the ECL impact, the credit cost you talked about, this again is a ballpark back of the envelope calculation, but obviously we have provided floating provision, keeping the ECL framework in mind. So, we think we need to create buffer, but we have not dec ided as a policy how much to do it, what time to do it. So, these are all depending upon going forward a lot of clarity will come on the ECL framework. Actual calculation getting into transaction level would give us more clarity. So, we have not decided ho w much to provide on the ECL, but then we'll be mindful that we need to create more buffer, so we'll be moving in that direction.
MCLR, my book is almost 35 -36% now, and many of the banks have declared MCLR. The computation of MCLR depends on the moderation in cost of deposit. If further moderation going to happen on the cost of deposit based on the repricing, obviously we'll pass on those benefits. It's a model which is a tested model, so there is nothing much we do. It's a calculation already hard -coded. So, I cannot say how much it would go down. All would depend upon the cost modulation of the deposit cost, which is 4.91 %, how muc h it would go down in future, and the MCLR cost would depend on that.
So, I think, Mahrukh, I addressed all your three questions.
Ms. Mahrukh: Thank you so much, sir.
Moderator: The next question is from Bhavik Shah.

Mr. Bhavik Shah: Hello. Hi, sir. Thanks for the opportunity.

I'll just ask Mahrukh's question a little forward. Sir, MCLR calculation also has a return on equity as a parameter. Last few years, our return on equity was very good. So, when will we review that? Is there a plan to kind of mark that down maybe over the course of the year?
Dr. Debadatta Chand: That would depend because actually there is certain policy on how do you, when you can review at what frequency, on what condition. So, they are all for the policy therein. So only thing which variable as of today is the cost of deposit.
So, we'll also do, we'll look at the market, what is happening in the market in terms of the level, and then we possibly can take a call. But as of today, I don't think we need to take a review. But in case there is a requirement as per the policy, we'll t ake a review at a later date, not now.
Mr. Bhavik Shah: Understood, sir. And sir, we saw very strong gro

wth in NBFC portfolio this quarter,
quarter -on-quarter. I just wanted to check, those were Repo linked, MCLR linked, and what was the yield, 7.1 -7.2%?
Dr. Debadatta Chand: Look, NBFC, what happened actually, there was a lower growth in NBFC book, rather the demand from the NBFC was lower in last quarter. So, in terms of NBFC as a percentage of book, it has not gone from the peak level, rather below the peak level. I mean, wh en I'm telling peak level is a quarter prior to that. So, in that way, we have a policy on that, we have a threshold therein, we're all operating within the policy and threshold therein. So, in terms of pricing of NBFC, normally we get MCLR linked, but some of them can be Repo linked, but then exact composition I don't have, but then the yield is quite good out of NBFC, and that's a demand coming from now. And our A and above book has gone up in case you have seen the data therein prese nt. So, in that scenario, I think we're creating good quality NBFC book at the same time we are mind ful of the yield. Mr. Tyagi, anything you want to add on NBFC?
Mr. Lalit Tyagi: Sir, in fact, you have said all. I can add only that NBFC, there was subdued demand in the June quarter. And in September, they came to the market and we supported them because we had a relationship in the past also, some of the new clients also were added . And we have diversified the NBFC portfolio.
Mr. Bhavik Shah: Okay, sir. Okay, last thing, sir, what CD ratio are we comfortable with for global and domestic? What credit to deposit ratio would we be comfortable with?
Dr. Debadatta Chand: Look, we're at 85 now. And when the deposit is not growing, obviously, you can't reduce your LDR or the CD ratio. But we are comfortable operating at 82 to 85. We're quite comfortable. Look, our LCR is good, our CRAR is good. Our ability to grow is much hi gher. So, in that way, we are comfortable at the current level. But once the deposit cycle improves, then possibly we can think of lowering, but we are okay with 85 level.
Mr. Bhavik Shah: Okay, so we won't go beyond 85?

Dr. Debadatta Chand: I mean, not actually. See, look, a couple of things which are supporting us. Look, my SLR, I am surplus in SLR. LCR is comfortable. CRAR is good. So, I don't have to be worried about any level that we see on the LDR. So not very, I mean, very sticky on any particular level, but we are comfortable at the current level that we are operating.
Mr. Bhavik Shah: Understood, sir. And sir, our write -off declined quarter on quarter. 2400, we did 1000 crores. I just wanted to check with you at what net NPA or gross NPA level would be comfortable. We are at around 2.2 as of now. Do you plan to accelerate write -off or as in now you're d one with the write -off?
Dr. Debadatta Chand: No, in terms of write -off, we would have seen we have much lower write -off as compared to the earlier quarter and still the G NPA is so low. Something on the asset quality or the positive part of the entire management that you can look into. So, in terms of TWO recovery, we intend to upsize this going forward. Actually, our normal run rate is up to around 7 00 to 750 crores. So, I think we need to improve on that count. So, in that way, I am not, I mean, in a process where I think we can on this. So, the TWO kitty is roughly around 63,000 as on today. So, in case we can do write -off, we can do much higher, but then we are going at the normal level. So, there is no guidance for GNPA to what level to, but the current levels are quite, what you can say, strong vis -à-vis the systemic levels that we see. And so, for most of the banks and like us, we are also at a very good level of the GNPA.
Mr. Bhavik Shah: Understood, sir. Thank you, sir. And good luck for future.
Moderator: Thank you. Unfortunately, we ran out of time. So that'll be the last question we will be able to take. If I can ask Sridhar sir to pleas

e give the concluding remarks.
Mr. I.V.L. Sridhar: Thank you all. I would like to extend my sincere gratitude to all of you for joining us today for the announcement and discussion of our financial results. Should you have any further questions, please feel free to reach out to me or our Investor Relation s team. We would be happy to share any further information required. Thank you once again for your time and continued support. Have a great evening ahead and weekend ahead. Thank you.

Dr. Debadatta Chand: Thank you very much.
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Call: Feb 2026

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The Vice-President,
National Stock Exchange of India Ltd.
Exchange Plaza,
Bandra Kurla Complex, Bandra (E)
Mumbai – 400 051
CODE-BANKBARODA

Dear Sir / Madam,

Re: Disclosure under Regulation 46(2) of SEBI (LODR)

We enclose transcript of Media Meet & Analyst Meet held on 30th January 2026 for Q3 (FY 2025-26) Financial Results.

We request you to take note of the above pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015 and upload the information on your website.

Yours faithfully,

S Balakumar
Company Secretary

Page 1 of 15

Bank of Baroda Media Meet for Quarter and Nine months ended 3 1st December 2025
30th January 2026

Participating members from the Management Team of the Bank
- ➢ Dr. Debadatta Chand, Managing Director & CEO
- ➢ Mr. Lalit Tyagi, Executive Director
- ➢ Mr. Sanjay Vinayak Mudaliar, Executive Director
- ➢ Mr. Lal Singh, Executive Director
- ➢ Ms. Beena Vaheed, Executive Director
- ➢ Mr. I V L Sridhar , Chief Financial Officer (CFO)

Moderator: Good afternoon everyone and welcome to Bank of Baroda's media conference to announce Bank of Baroda's results for the quarter ended 31st December 2025. Thank you all for joining us. We have with us today our MD and CEO, Dr. Debadatta Chand and he is joined by the Bank's Executive Directors and our CFO. We will start with brief introductions and then a short presentation, followed by brief opening remarks by Chand sir and then we will open it up for the Q&A session. Chand sir, I would request you to take it forward.

Dr. Debadatta Chand: Good evening all the media friends and thanks for joining for our quarterly results discussion with all of you. And just to introduce, with me I have Mr. Lalit Tyagi, he is the Executive Director looking after the Corporate, the International and more importantly the Treasury also. With him again, Mr. Sanjay Mudaliar, he is the Executive Director. He looks after the IT, the Retail Assets and other couple of verticals there in the Bank. With him again, Mr. Lal Singh, he is the Executive Director looking after the HR, the Recovery and also the MSME and Agri vertical of the Bank. And we have Madam Beena Vaheed, she is the Executive Director. She looks after the Compliance control platform function s, including the Retail Liabilit ies. And we have the CFO of the Bank, Mr. I V L Sridhar. Possibly , you are interacting with him for the second or third time. So, with this, over to you. Thank you. Mr. Sridhar, you are on mute. You have to unmute yourself.

Mr. I V L Sridhar: Phiroza, can we have the presentation, please?

Moderator: Yes, sir.

Mr. I V L Sridhar: Good evening, everyone. It is my privilege to present before you the financial highlights of Bank of Baroda for the quarter and the 9 months period ended on 31st December 2025. Our global advances have grown by 14.7% Y -O-Y, with domestic advances growing by 13.6% and international by 19.3%. Within the advances book, the Bank has continued to focus on RAM advances. Our organic retail book grew by 17.4%, agriculture at 19% and organic MSME at 16.4%. Corporate loans have grown by 8.1% Y -O-Y. Within the retail segment, we have seen smart growth across the portfolio with educat ion loan growing by 12.8%, personal loan at 12%, home loan by 16%, auto loan by 17.4% and mort gages by 21%.

In terms of deposit growth, our total deposits have grown by 10.3% with international deposits grow

ing by 5.7% and domestic deposits by 11.1%. The domestic CASA deposits have grown by 8.6% and term deposits have registered a growth of 12.7% Y -O-Y. As of 31 st December 2025, the Bank's domestic credit deposit ratio stands at 83.89% and CASA ratio stands at 38.45%.

With regard to quarterly profitability metrics, our operating profit for the quarter stands at Rs 7,377 crore. Bank's net profit for Q3 FY2026 stands at Rs 5,055 crore, registering a growth of 4.5% Y -O-Y. Return on assets remains consistently above 1% at 1 .09%. Return on equity stands at 15.59% for the quarter.

This is for 9 months FY2026, our operating profit stands at Rs 23,190 crore. Our net profit for 9 months FY2026 stands at Rs 14,405 crore. Return on assets remains above 1% at 1.05%. Return on equity stands at 14.81%.

With regard to our key ratios, our yield on advances stands at 7.56% for the quarter and 7.81% for the 9 months period. Bank's prudent liabilities management has led to a sequential decline in the cost of deposits for the quarter which stands at 4.75% as a gainst 4.91% in the previous quarter. With regard to our net interest margin, it stands at 2.79% for the quarter and 2.88% for the 9 months period ended in December 202 5.

Now, we come to the asset quality which continues to remain robust. Our gross NPA ratio has improved by 39 bps Y -O-Y and stands at 2.04%. Net NPA ratio is below 1% at 0.57%, an improvement of 2 bps Y -O-Y. Our provision coverage ratio including TWO is comfo rtable at 92.73%. Our slippage ratio for Q3 has reduced by 4 bps Y -O-Y and stands at 0.86%. Credit cost remains low and stands at a level of 0.17% for the quarter.

Then SMA and collection efficiency trends. Coming to our SMA and collection efficiency, our CRILC SMA1 and SMA2 as a percentage of standard advances is at 0.36% as of December’25. Our collection efficiency excluding agriculture remains robust at 98.6%.

We have a strong capital position in terms of capital adequacy, our position as of 31st December'25. CET-1 is at 12.45%, Tier -1 at 13.10% and overall CRAR at 15.29%. Our LCR remains healthy at approximately 116% as of December'25. Adjusted for the profits of 9 months, capital adequacy would have been 16.47%. So, I request now Chand Sir to take over.

Dr. Debadatta Chand: Let me come with my qualitative comments on the financial s, the CFO said all. And once again good evening to all of you, for the media friends who have joined today on the call. And as a Bank, we have been telling since long, the Bank continues to pursue a sustainable, consistent and a stable operating model. The numbers you see for this quarter are consistent with regard to the numbers we see for last 10 -12 quarters on the trend line scale. And our Q3 results completely aligns with regard to the fundamental core and strong operating model. Again, reflecting a continuous focus on the organic growth and also it is a normalized quarter for us. So, if you look at the financial performance, there is no one -off in any of the head s. So, it is a, I mean, we are posting a net profit of Rs 5,055 crore on a normalized operating environment where we don't have any one -offs.

On the growth side, again, we have declared the provisional numbers and I have seen the coverage in the market on the provisional numbers. The bank has a very strong or rather I would put it one of the strongest in last 8 quarters with regard to the busine ss growth, whether it is a growth in the advances, whether it is growth on the deposit or growth in the overall business is concerned. The global advance of 14.7% is one of the best in last 8 quarters. And typically, after September 2023, as far as the Bank is concerned, this is one of the strong growths we have on the advances.

Similarly, if you look at the RAM growth, which has been consistently growing at 17 -18% and this quarter the RAM growth is 17.3%. The

point important here not only to look into the Y -O-Y growth,
but sequentially the quarter -to-quarter also the growth has b een quite strong. Similarly, the corporate loan book, last time we had multiple queries on that, the Y -O-Y on the corporate is 8.1%, the sequential is 4.6%. As I said earlier also for the full year, we are targeting 10% on the corporate book.

On the liability franchisee, I mean the Bank continue s to work on the low -cost deposit s. The saving s account growth has been 7.4%, which is better than the 5.5% growth we had in last quarter. And again, 7.4% is the best in last 8 quarters in terms of the growth in saving. Similarly, the current account growth has been very normalized at almost at 19%. Our CASA growth of 8.6% is again one of the best in last 8 quarters. And this typically, if you look at the ma rket scenario as on today on the CASA, I think one of the good performances we have and continue to be the focus area as far as Bank of Baroda is concerned on the CASA side. Similarly, the CASA percentage is almost at 38.45%, which if you look at the number, I think one of the top quartile in terms of, I am talking about large players, one of the top quartile number in terms of percentage of CASA that we have maintained. The growth is clearly, I mean, if you compare the Q3 vis -a-vis Q2 and Q1, the momentum is clearly upward in terms of all the drivers, p articularly on the business side.

Coming to the profitability front, again, as I said, we don't have any one -offs this quarter, it is a normalized quarter for us. And , if you look at the operating profit of more than Rs 7,300 crore, it is last 8 or 9 quarters we are having operating profit more than Rs 7,000 crore. At the same time, the net profit of Rs 5,055 crore for last 10 quarters, we are maintaining net profit in excess of Rs 4,000 crore. And last 3 quarters out of 6 quarters, we are maintaining profit in excess of Rs 5,000 crore. So, it talks about consistent operating model in the light of, I mean, the market in terms of the cost of deposit, the yield and advances. I think a consistent core operating profit as far as the Bank is concerned. And there is no one -off in terms of the operating profit and the net profit we see for this quarter. One of the good outcomes of this is that, the fundamental factor which you say is the book value of the Bank. And that typically, it is a shareholder in terms of mapping out the book value. From Dece mber 2023, which was almost at Rs 180, we have almost reached to Rs 250 for Rs 2 face value share. So, that is something, I think, a significant point to be noted.

On the asset quality, again, at a GNPA of 2.04%, net NPA of 0.57%, on the slippage ratio is at 0.86%, the credit cost at 0.17%, collection efficiency almost at 98.6%, which is consistent with last quarter. And the CRILC data, which talks about SMA - 1 and 2, more than Rs 5 crore, it has improved from 0.39% to 0.36%. I think on an asset quality front, it is absolutely on a benign cycle, one of the best quarter we have. And consistent with the system also similarly showing a much better asset quality.

I'll just put two, I mean, achievement as far as the Bank is concerned, you might have also, I mean, you would have seen in the market also. The Bank was awarded the best bank award by a global magazine called 'The Banker' and that we have published also earlier. And I think for me and entire Barodians, it is one of the credible achievements in terms of getting recognized outside India by a magazine called 'The Banker' . Similarly, recently, there was an IBA technology award, which is done at the IBA level, industry level, and the Bank could win 4 out of 7 themes the IBA had on technology piece. And on the 5th theme also we got a special mention. So, it was just like on the technology award,

we had a very strong reward on the technology award and that I think something I want to hig

hlight
on that.

And ultimately coming to the margin, the 9 months, we have maintained 2.88%, that was in line with the guidance. With this, let me reiterate the guidance for the full year again. Our credit growth, although we got a 14.7% credit advance growth, but we continue to maintain the guidance at 11 -13% with an upside at the guidance of 11 to 13%. Deposit, we put it at 9 to 11%, the same that we had put in last time. The margin again, we put it the same like 2.85 to 3% for the full year. The credit cost guidance , wh ich, we said earlier below 0.75%, we are revising it positive by making it below 0.60%, the credit cost. The slippage again between 1 to 1.25%, we are maintaining the same guidance. ROA of more than 1%, which we have done consistently for last 1 4 quarters, we still maintain the same ROA guidance and RO E guidance continue to be the level of around 16 to 18%. So, with this, I open the floor for questions and answer. Phiroza, over to you.

Moderator: Thanks, sir. We now move on to the Q&A session. If you have a question, please raise your hand. Alternatively, you may also type in your question in the Q&A box. We will just go first come first serve. The first question is by Joel Rebello of Economic Time s. Joel, you will have to unmute yourself.

Mr. Joel Rebello: Can you hear me, sir? Good evening.

Dr. Debadatta Chand: I can hear you. Good evening, Joel.

Mr. Joel Rebello: Sir, first, a couple of clarifications. Is there any one -off expenditure because your expenses have gone up, other operating expenses? Operating expenses, is there any one -off expenditure, anything which you would like to detail , basically?

Dr. Debadatta Chand: No, Joel. Actually, the operating expenses, which is almost at Rs 8 ,000 crore, slightly on a Y -O-Y scale around Rs 400 - 500 crore higher. But if you look at a couple of heads like the repair s and maintenance, the depreciation and insurance, the legal charges heads have gone up. So, these are purely , transaction s which requires a higher expenditure on this front . So, there is no one -off expenditure for this quarter.

Mr. Joel Rebello: Okay. My second question is with regards to margins, sir. Year -on-year, we can understand , net interest margin being under pressure because of the rate cycle. But versus September, versus December, I think your margins is still lower versus September. What's the reason for that? I think, you know, many other banks actually made a good progress in terms of margins, sustained it or either or improved it. Why your margins are lower quarter -on-quarter?

Dr. Debadatta Chand: Joel, you need to , while talking about the margin, you need to take the absolute number into consideration. So, we have in terms of the absolute number of say 2.9 6% that we

declared last quarter, our absolute number has been much above the median that we are referring to, right. So, the guidance that we had given 2.85 % and if you look at the quarter, it is at 2.79 %. In the 9 months, it is at 2.88 %. So, in terms of the liability and the asset structure, there is a realignment and it can be slightly different from bank s to bank. So, in terms of when you raise the fund, when it is getting repriced, that's important.

Mr. Joel Rebello: Right, right.

Dr. Debadatta Chand: And also, when we talk about last time and this time, there is a market action in terms of a cut in Repo also that happened.

Mr. Joel Rebello: Correct, sir.

Dr. Debadatta Chand: Our realignment, it takes a different profile as compared to other banks. By the way, we have the largest MCLR book as of today, right, 38%. So, I think these are all positive in terms of NIM . What is important is the absolute number of NIM, which is one of the top quartiles as far as the margin is concerned.

Mr. Joel Rebello: Okay. So, any outlook you can give and also because you said 38% MCLR, which means

that you all will reprice and you will get that benefit in the last quarter. I mean, fourth quarter, any outlook on NIM also with regards to MCLRs?

Dr. Debadatta Chand: So, look, the MCLR would depend upon the cost of fund that typically, I mean, tracks the market. I'll tell you what is happening as on today, one is on the ret ail side, definitely the cost moderation has happened significantly. Also, wholesale market continued to be a bit tight and the rates are still high. So, all would depend upon the cost of fund. But on a full year guidance, we are giving 2.85 to 3%. That is something I think we have achieved earlier quarters also and this quarter also, we have already achieved, 2.88 % for 9 months and full year will be in the range of 2.85 to 3%.

Mr. Joel Rebello: No, I just again clarifying sir, you are 2.79%. I am looking at the global NIM 2.79%, which is below 2.85%. So, you know, again, just to elaborate on that question, why was it below your range?

Dr. Debadatta Chand: So, that is what I said. When we said full year, actually last time also I said the range would be 2.85 to 3% for a full year basis.

Mr. Joel Rebello: Correct. Correct.

Dr. Debadatta Chand: It was for a full year basis. So, the quarter is 2.79%. Obviously, the asset liability in terms of the quarter NIM is 2.79%, whereas the 9 months NIM is 2.88% because you had a good NIM in Q1 and also slightly lower than the good NIM in Q2. So, the 9 month s is 2.88%, full year would be again 2.85% to 3%. Right.

Mr. Joel Rebello: Right, sir. One last, again last clarification, you all have got a very good growth in RAM, which has been the consistent, I mean, I have been watching for the last couple of years at least. Why is it that you all have still kept the credit growth guidance at 11 to 13%? I mean, despite the growth, the corporate is also growing now. So, what, why do you all still are being conservative on credit?

Dr. Debadatta Chand: See, just had a 11 to 13% with an upward bias, so obviously as we achieved 14.7 %, we will be definitely exceeding 13 % on that. So, one condition that would be mindful while giving a guidance is that, look, the advance s growth for all the banks have been quite strong. But deposit growth has not been to that extent because of, obviously, the profile change that happened in the market. So, we will be mindful of the deposit growth while positioning the advance s growth. So, given a scenario, liquidity scenario, would the deposit continue to flow the same way, we will be almost at 14 - 15%. So, that is why the guidance is rather revised positive in terms of 11 to 13 % with the upward bias. That means we are expecting higher, we are not conservative, we are optimistic having a growth higher than 13%.

Mr. Joel Rebello: Okay. So, all the best for the rest of the year. Thank you.

Dr. Debadatta Chand: Thanks, Joel.

Moderator: Thanks Joel. We will now move to Ashish Agashe of PTI. Ashish.

Mr. Ashish Agashe: Thank you so much, Phiroza . Hope I am audible, sir.

Dr. Debadatta Chand: Yeah, you are audible. Please go ahead.

Mr. Ashish Agashe: Sir, where is this corporate growth really coming from, the 8% number? And how much of it like would be term loans and what is the pipeline you see ahead on corporate loans?

Dr. Debadatta Chand: See, as I said, corporate loan, typically, Q1 is a slow quarter for us actually, that happened also this year. And as we grow towards the year end, we pick it up and Q3, Q4 are the productive quarters for corporate. So, earlier also we said that we are goi ng to hit the band of 8 to 10% and rightly for Q3, we are at 8.1%. And March end, we will be hitting 10%. The sanction that happened during the year is going to be disbursed. So, in terms of pipeline, if I say, we have almost Rs 75,000 crore of pipeline consisting of Rs 45,000 crore of sanctions, which is yet to be disbursed. And

remaining Rs 30,000 crore would be a proposal received in the process of getting sanctioned. So, the pipelines are strong. And overall, if you look at the number, we are looking at a 10% Y -O-Y growth on corporate as of March 2026.

Mr. Ashish Agashe: And sir, where is this pipeline as well as the growth in Q3 coming from, sir? Because yesterday, even the economic survey has spoken a bit on the need for private Capex. So, the question is in that context, sir.

Dr. Debadatta Chand: No, look, in terms of the pipelines, we have strong pipeline, it is a broad -based thing. So, somewhere it can be higher, somewhere it can be lower. As a pan India Bank with a strong legacy, the demand is coming across all the sectors. And if you look at my, we give you an industry comparison in terms of percentage of market share. You would have seen that all the industry, that 17 or 18 industry we publish in the analyst presentation , everything has maintained a market share; in the sen se their share in the portfolio. So, the demand is broad based, that is point one.

But couple of sectors we see good demand in terms of pipeline, either renewable sector, some of the energy power sector, data center, couple of service proposal in the form of LRD and all, Chemicals is showing some good outcomes. So, all type s of broad -based thing. So, it is not that all pipeline is pertaining to one or two sectors. We do have a mix of everything. Somewhere may be a term loan requirement, somewhere can be an enhanced working capital requirement. So, as far as our pipelines, I think it's a broad base d, and the demand is quite strong as far as we to grow at 10%.

Mr. Ashish Agashe: Okay, Sir. And my second question, Sir, this is just a follow up on Joel's question on the NIMs. Sir, where do you see exit FY26 NIMs? Because 2.85 -3%, if I understand it correct, is a FY26 year guidance, where do you see Q4, especially with like, okay, definitely we have one policy action ahead but where do you see the exit NIMs, Sir?

Dr. Debadatta Chand: See, obviously, the exit NIM has to be somewhere better than the current level of 2.79 %. Actually, earlier when we talked about in terms of the resetting of asset -liability, we talked about Q3 and Q4 would be better than the Q1 and Q2. And when we migrated to Q3, some reduction happened, the repricing happened with some lag time on the whole sale market cost because of striking the 10 -year G -Sec slightly still being elevated. So, slightly still there are pressure on the margins. But if y ou look at Q4 at the exit, I think it would b e, we are at 2.88 % but it has to be higher than the current level of 2.79 %. I think somewhere , we will be above 2.85 %, rather we can be somewhere at 2.90 % also.

Mr. Ashish Agashe: Thank you so much, Sir.

Moderator: Thanks, Ashish. The next question is from Shrishti Sharma of ET BFSI.

Ms. Shrishti Sharma : Thank you, Phiroza. Good evening, Sir. Three questions. First will be, I've tried to understand this from a lot of PSU banks and this is about one of the concerns that Finance Minister had raised about 2 months ago when she mentioned transfer policy at PSU banks cannot be defended in terms of staff not being able to communicate in regional language to the customers. So, what is the transfer policy at Bank of Baroda like? And what kind of training is being given at the branch level for the customer interaction? Sir, I'll go with my…

Dr. Debadatta Chand: You go with the other 2 so that I can reply all 3 at one go.

Ms. Shrishti Sharma : All right, Sir. Second question is on the Vodafone AGR case, now that they've been given relief from the government's end, would you consider lending to them? And third question, Sir, on the 5 -day workweek for PSU banks. Well, it's not in your hands what happens, it's with the government of whether it will become effective or not. My question to you lar

gely is, are Indian bank
branches equipped enough to go abou t 5-day workweek instead of 6?

Dr. Debadatta Chand: Okay. So, Shrishti, the first point on transfer policy, the Bank has a very well - documented transfer policy which has been effective for so many years and normally we complete transfer before June. And we are going to do it also this time.

In terms of typically on the communication side that you talked about, yes, we do impart the communication skill with employees who are working in non -native area. And I'm not just pre -empting because since you asked the question, we are going to roll out an app here in many of these places where there will be a tab at the frontend and there is a tab at the employee and any customer talking on a particular language, the tab would automatically convert that into the employee language instantly. And similarly , the employee talking on that language would convert also into the customer language instantly. It's a pilot being rolled out. So, we know the issue, the issue we need to address. One is, through training we can address. Another is, where by making some k ind of a digital intervention we can address. And we are addressing that and, obviously, we'll be solving this issue in terms of the communication issue that you talked about.

Vodafone, typically as per our policy, we do not discuss account in a Media Meet or, let's say, the governance policy we have. So, I'll refrain from commenting. But any loan, any proposal, the underwriting committee only is the right committee to take a ca ll on the matter.

PSU Bank 5 -days, already there is some kind of industrial issue there in. So, I'm not competent at this time to give a call on the matter with regard to this 5 -days week that you are referring, right. So, Shrishti, if you have any other business questions, please go ahead.

Ms. Shrishti Sharma : That's all from me. Thank you.

Dr. Debadatta Chand: Thank you.

Moderator: Thanks, Srishti. The next question is from Ram Kumar of The Hindu Business Line. Yeah, Sir, go ahead.

Dr. Debadatta Chand: Yeah, Mr. Ram Kumar, please go ahead.

Moderator: We'll come back, Sir, to Ram Kumar.

Dr. Debadatta Chand: Okay.

Moderator: We have one more question, which is from Abhijit Lele. 3 questions, Sir. He has typed them in.

- One, are you expecting pressure on cost of deposits to continue?
- The second question is, what is the present credit to deposit ratio?
- And the third question is, what is the excess SLR at this point of time?

Dr. Debadatta Chand: Okay. So, on the cost of deposit, look, I mean, the entire deposit profile keeps changing in terms of getting repriced. So, the cost of deposit on the retail front has moderated significantly whereas on the wholesale front continue to be high. What has hap pened, if you look at the system, a lot of money flowing to the capital market and that somewhere with a lag coming back to the wholesale market. And since wholesale market you don't have operating expenses therein because these are significantly large tra nsactions, the cost still elevated in a manner. So, going forward, I do not see any further increasing. Rather, if you look at cost of deposit of Bank of Baroda, we are one of the best in the market. The global cost of deposit at 4.75 % and the domestic at 4.99 %, where one of the bank to pierce that 5% threshold last quarter also in this quarter. So, the cost of deposit, clearly, is one of the best.

What is happening is that the cost of borrowing actually, some of the times the wholesale market w e borrow, that is something impacting us in terms of an elevated interest expense. And cost of deposit continue s to be the same, it is one of the good quarter s, we have and continue to have the same trajectory for Q3, subject to wholesale deposit not putting pressure on that. Whereas the asset side, a lot of repricing that happened. I th

ink we can hold on to the yield on both the advances and
investment for nex t quarter. If that happens, possibly we can add another 6 -8 BPS of the margin on the NIM side.

Credit deposit, as you know, we have been perennially operating within the range of 80% -85%. In this quarter, it is 86 % precisely because the international credit deposit is adverse in the sense it is more than 100%. The domestic is 83%. So, as far as our guidance or normal working model is concerned, business model, we operate the domestic at around 82% -84% kind of a level. International somewhere can impact the Global CD but the domestic LDR continue to be around 80% -84%. That is what actually normally we operate as a business model. What is important on the LDR scenario is the LCR and the NSFR and these are very comfortable as far as the Bank is concerned.

On the SLR, we are almost at 21.5%, so roughly 2.5% -3% excess is a business statutory requirement area. Thank you.

Moderator: Thanks. Our next question is from Manish Suvarna of Money Control. Manish, please unmute yourself. Yeah.

Mr. Manish Suvarna : Am I audible?

Dr. Debadatta Chand: You are audible, Manish, please go ahead.

Mr. Manish Suvarna : Yeah, hi. Sir, I have two questions. First is on considering your capital adequacy has come down in this quarter from 16.54% to 15.29%. Is there any plan of fundraising in the Q4? And second question is on the OMOs, what RBI has been doing since December. So, have you participated? And if yes, then how much securities you have sold to the RBI in this auction? Thank you, Sir.

Dr. Debadatta Chand: Okay. So, capital adequacy, I mean, at 15 % and overall at almost at 17 % if you add the profit s, I think it is a very comfortable level in terms of the adequacy of capital. But in case you compare a quarter to quarter, obviously, there is a dip because we are growing; the advance s growth is almost 14.7%. So, obviously, there has to be a dip therein. But in terms of the number, in terms of the adequacy number, I think it is a very significantly adequate and also gives a huge potential for growth capital.

Saying so, there are two enabling provisions, we announced to the market earlier, that we would raise the equity if there is a need as enabling provision up to the level of Rs 8,500 crore till March’2028. So, that announcement already is there and that holds. So, if there is a need be at any point of time, then we will announce to the market with regard to our intention to raise capital out of this enabling capital that we have announced to the market of Rs 8,500 crore.

Furthermore, in terms of AT-1 and Tier 2, last year we had a mandate of Rs 7,500 crore. We raised roughly around Rs 3,500 crore, so there is a spillover of Rs 4,000 crore also we can raise as a part of the Tier 1, AT-1 or the Tier 2. So, these are the two capital raise. But as today in terms of absolute number, I think we have an excellent, I mean, very good number in terms of capital adequacy. And if you add back profit, it would again get back to the 17% which was there in March’2025. So, as on March’2026 also, without any capital raise, will be above 17% once we add back the profit. But saying so, in case there is a need at any point of time, we have enabling capital raise plan and we will announce to the market , at that point of time.

Secondly, on OMO, yes, it's a good thing actually in the sense injecting liquidity and at the same time banks do participate. I don't know the exact number but we do participate in all OMO option.

Mr. Manish Suvarna : Okay, Sir. Thank you. Thank you.

Moderator: Thank you, Manish. Sir, Ram Kumar Sir has got 2 questions. First one is, while your Operating Profit is down, your Net Profit is up. If you could throw some light? The second question was, if you could just repeat the outlook for the cost of credit.

Dr. Debadatta Chand

: Okay. So, I’ll take the second one first. Cost of credit, it is 0.17 %. And if you look
at our cost of credit for last 10 quarters, the average is almost at 0.34 %. We have been giving guidance that we will be operating below 0.75 %. So, as a positive upside, we have reduced the guidance from 0.75 % to 0.60 %. Because having achieved an average of 0.34 %, I think we will be in a position to maintain below 0.60 %. I mean, since the guidance is below 0.6 0%, the Q4 can be higher or lower than

the current level but the kind of asset quality numbers I had given in terms of the SMA -1 and SMA -2 on the collection efficiency, I think we will be in a position to maintain a very good in terms of the absolute credit cost for Q4. And the full year, again. w ould be a benign kind of thing. But importantly, it would be below 0.60 % for the full year , as the guidance that we are giving.

Coming to the Operating Profit and Net Profit, yes, Operating Profit got impacted because we do not have one -off either in the Other Interest Income or any other heads on the Trading Profit side. So, the Operating Profit, tracking the interest income and interest expenses, it is slightly below in terms of absolute number for this quarter. Saying so, the Operating Profit is purely the operational profit we have. There's no one -off as far as the Operating Profit is concerned. The Net Profit is slightly up in terms of 4.5% , because the provisioning requirement has been slightly lower. The reason being on two counts , last time we had a floating provision, this time we do not have a floating provision. So, that is a positive delta. Secondly, on the standard asset provision, there are a couple of accounts where we have to provide provision as per the regulatory norms as far as the COD completion date in terms of the delay in COD. So, the normalized standard asset provision is almost Rs 150 crore, which was there in the Q3 of last year also but Q2 we had an elevated number. So, because of that the Net Profit has been highe r whereas the Operating Profit is marginally lower than on the same quarter last year.

Moderator: Sir, the next question is from Ekta Suri of Zee Business. Ekta, if you can unmute yourself. Ekta, can you unmute yourself? Sir, we will come back to her. Next question is from Mayur Shetty of The Times of India. Mayur.

Mr. Mayur Shetty : Thank you, Phiroza. Sir, it is more of a clarification. Your deposit costs have gone up year on year?

Dr. Debadatta Chand: No-no, I do not think so. The deposit cost is one of the lowest now at 4.75 %. And the domestic is also at 4.99 %. I will just pull the data, just give me a second, about what you are referring.

Mr. Mayur Shetty : Right, Sir.

Dr. Debadatta Chand: It has gone down. It has gone down. I will tell you, Q3 of FY25, the global cost of deposit at 5.08 %, which has gone down to 4.75 % now in the same quarter this year.

Mr. Mayur Shetty : Right, Sir. But your Net Interest Income is more or less flat, right?

Dr. Debadatta Chand: The interest expense, if you look at the percentage, although the base is changing, I mean, there is a growth happening both asset -liability, the expansion in the interest expenses has been higher than that of the increase in the interest income. So, obvio usly, getting pressure on that because you do not have one -off in terms of Other Interest Income. So, obviously, the NI is getting slightly squeezed in the matter.

Mr. Mayur Shetty : So, is this, I mean, is the fact that transmission of rates not happening in the money markets, is that a problem for banks?

Dr. Debadatta Chand: It is not at all a problem. Rather, it is an advantage that I maintain one of the highest NIM in the industry, right, in terms of the large peer . So, all this if you correlate with the cost of deposit and the margin, cost of deposit 4.75 % global and one of the lowest, right.

Mr. Mayur Shetty

: Yeah.

Dr. Debadatta Chand: In terms of the margin that you see at 2.88 % for 9 months, one of the highest. So, the transmission is happening but the cost structure of every bank may not be the same. The pressure on NIM, the pressure on NI I, rather if there is a pressure on NIM, obviously there has to be a pressure on NI I unless and until you have one -off. So, in that scenario, I think, the numbers that we have of Bank of Baroda is a pure operational core income. And the system is also at the same. The lag time in terms of the interest on income, there has to be a lag time. And I think in Q4 it will balance out, even out and we'll get a true number in terms of the margin also for Q4.

Mr. Mayur Shetty : Thank you, Sir.

Moderator: Thanks, Mayur. Sir, a couple of questions from Anjali Kumari of Business Standard.

• First question is, what was the source of treasury gains during the quarter?
• And her second question is on IPOs saying, did you participate in any IPOs?

Dr. Debadatta Chand: Yeah, we do participate in the IPO, multiple IPOs we have participated and we get good money also in this IPO participant. The Treasury Income is roughly around Rs 1,000 crore and out of that the Trading Profit is almost Rs 836 crore, right. So, in that way, the Rs 836 crore compare s well with the last quarter and the same quarter last year.

The Treasury Income, if you compare, then vis -à-vis the last year, there is almost Rs 150 crore better than the same quarter last year. Treasury has been performing well in terms of our own because our book is also not very significant, right. Our Treasury book is almost Rs 3,36,000. So, in that way, I think the Trading Profit that we make or the Treasury Income we make for the quarter, I think it's comparatively well placed in terms of the income we are generating out of the portfolio.

Moderator: Ekta, are you there? Ekta Suri of Zee Business.

Ms. Ekta Suri: Can you hear me?

Dr. Debadatta Chand: I can hear you, Ekta, please go ahead.

Ms. Ekta Suri: Good evening, Sir.

Dr. Debadatta Chand: Good evening.

Ms. Ekta Suri: Sir, my question is, considering if someone has taken a gold loan in the last week or 10 days, the way the gold prices are becoming volatile, the market has fallen considerably, so how are the banks cautious about that and what strategies are they adopting ?

Dr. Debadatta Chand: See, there are two things. One is, we have 2 gold loan schemes - one is Retail and the other is Agri -gold. If we talk about the Retail scheme, then our book is only Rs 10,000 crores. The book is not very big, the book is small. And according to the RBI guidelines whatever LTV we have to maintain, the margin and what volatility is there in the price, the portfolio is regularly reviewed for this. So, as of today, there is no concern in our portfolio and there's no need to put in extra mea sures in it. The price will be volatile. Suppose, the price goes down, then we will come out with it. But, currently, the margin is sufficient for price volatility. This is point one.

Secondly, growth in Agri -gold is good. The same measures are taken for this also. As of today, yes, the price is elevated but we have not seen much of price volatility. If the price is volatile then the bank will take the appropriate measures. But as of to day, our portfolio compared to the system is not very big, it is small. Because of that reason we don't see any concern in this.

Ms. Ekta Suri: Sir, are you seeing that many people in the market who were investing money on personal loans to buy gold and silver and now if the market falls then somewhere their NPA chances are like writing on the wall because these are the people who are not very wea lthy or they do not have other sources but they feel this is a continuous way of earning money for the past few months because there's been an upward trajectory?

Dr. Debadatta Chand: No, you talked about Personal loan, we have been saying this from past many quarters that we do not drive aggressive growth in Personal loans. In this quarter our QoQ growth is 1.1%, so we are not an aggressive player in Personal loans. Typically, our Personal loans are given to salaried people with whom we have signed a corporate package or with the State government. So, that’s the major profile. So, in that the eleme nt of speculation that you are talking about, it cannot be much in ou r portfolio.

If you see our QoQ growth in this quarter, there's only 1% in growth in Personal loans. So, in that way, we are quite mindful of elevated slippages in Personal loans and of the risk. We have also issued numbers for GNPA in Personal loan. In terms of GNPA Personal loan, this quarter it is better than the last quarter. It has improved from 4.81 % to almost 4. 42%, now. So, in that way, I think the portfolio is quite well balanced, diversified and we are not a very big player in those segments that you have ment ioned. So, if there is any volatility in that, there are different committees and departments of the bank who do portfolio review from time to time. And if we have to take any measures, then we take measures at that point of time.

Ms. Ekta Suri: Thank you, Sir.

Moderator: Thank you, Ekta. This is the last question that we will be able to take for today. So, thank you all for joining us today. Have a good evening.

Dr. Debadatta Chand: Thank you, all. Thank you very much for joining us today on the call. Thank you.

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Bank of Baroda Analyst Meet for Quarter and Nine months ended 3 1st December 2025
30th January 2026

Participating members from the Management Team of the Bank
➢ Dr. Debadatta Chand, Managing Director & CEO
➢ Mr. Lalit Tyagi, Executive Director
➢ Mr. Sanjay Vinayak Mudaliar, Executive Director
➢ Mr. Lal Singh, Executive Director
➢ Ms. Beena Vaheed, Executive Director
➢ Mr. I V L Sridhar , Chief Financial Officer (CFO)

Moderator: Good evening, everyone and welcome to the analyst meet for Bank of Baroda ’s quarterly results for the quarter ended 31st December, 2025. Thank you all for joining us. We have with us our MD and CEO , Dr. Debadatta Chand and he's joined by the Bank's Executive Directors and our CFO. We will start with a short presentation followed by opening remarks by Dr. Chand and then we will move on to the Q&A session. Chand sir, over to you.
Dr. Debadatta Chand: Thanks Phiroza and again good evening to all my analyst friends who are present here on the call. And just to introduce the management team with me , I am D. Chand MD and CEO of the Bank . With me , Mr. Lalit Tyagi, the Executive Director. He looks after the C&IC, the Treasury and the International Banking. With him Mr. Sanjay Mudaliar , who is the Executive Director. He looks after IT, the Retail Asset s and a couple of other platform functions. Then we have Mr. Lal Singh, Executive Directo r. He looks after the HR, Recovery and the MSME and Agri vertical. And we have Madam Beena Vaheed, she is Executive Director and she looks after Control, Compliance platform function s along with the Retail Liabilit ies franchise of the Bank. And we have the CFO, Mr. I V L Sridhar. He has been there , for a couple of quarters , now. So, Mr. Sridhar, over to you for the presentation.

Mr. I V L Sridhar: Thank you, sir. Good evening, everyone. It is my privilege to present before you the financial highlights of Bank of Baroda for the quarter and nine months ended 31st December, 2025.
Our global advances have grown by 14.7% YoY with the domestic advances gr owing by 13.6% and international by 19.3%. Within the advances book, the Bank has continued to focus on RAM advances. Our organic Retail book grew by 17.4%, Agricultur e by 19% and organic MSME by 16.4%. Corpo

rate
loans have grown by 8.1% YoY. Within the Retail segment, we have seen smart growth across the portfolio with educational growing by 12.8%, personal loan by 12%, home loan by 16%, auto loan by 17.4% and mortgages by 21%.
In terms of deposits growth, our total deposits have grown by 10.3%, with international deposits growing by 5.7% and domestic deposits by 11.1%. The domestic CASA deposits have grown by 8.6% and term deposits have registered a growth of 12.7 % YoY. As of 31st December 2025, the Bank's domestic credit deposit ratio stands at 83.89% and CASA ratio stands at 38.45%.

With regard to quarterly profitability metrics, our operating profit for the quarter stands at Rs. 7,377 crore. Bank's net profit for Q3 stands at Rs. 5,055 crores, registering a growth of 4.5% YoY. Return on assets remain consistently above 1% at 1.09% as of 31st December 2025. Return on equity stands at 15.59% for the quarter.

For 9 months FY 2026, our operating profit stands at Rs 23,190 crores. Our net profit for 9 months FY 2026 stands at Rs 14,405 crores. Return on assets remain above 1% at 1.05% in 9 months FY 2026. Return on equity stands at 14.81% for the 9 months FY 2026 .

With regard to our key ratios, our yield on advances stands at 7.56% for the quarter and 7.81% for the 9 months. Bank's prudent liabilities management has led to a sequential decline in the cost of deposits for the quarter stands at 4.75% as against 4.91% for the previous quarter. With regard to our net interest margin, it stands at 2.79% for the quarter and 2.88% for the 9 months.

Now we come to our asset quality which continues to remain robust. Our Gross NPA ratio has improved by 39 bps YoY and stands at 2.04%. Net NPA ratio is below 1% at 0.57%, an improvement of 2 bps YoY. Our provision coverage ratio including TWO is comfortabl e at 92.73%. Our slippage ratio for Q3 FY 2026 has reduced by 4 bps YoY and stands at 0.86%. Credit cost remains low and stands at a level of 0.17% for the 3rd Quarter of FY 2026.

Coming to our SMA and collection efficiency, our CRILC SMA1 and 2 as a percentage of our standard advances stands at 0.36% as of December ‘25. Our collection efficiency, excluding agriculture, remains robust at 98.6%.

In terms of our capital adequacy, our capital position continues to be strong with CET - 1 at 12.45%, Tier-1 at 13.10% and overall CRAR at 15.29%. Our LCR remains healthy at approximately 116% as of December ‘25. Adjusted for the profit of 9 months FY 2026, capital adequacy would have been 16.47%. Now , I request MD sir t o give his remarks.

Dr. Debadatta Chand: Thank you Mr. Sridhar, and once again all my analyst friends, good evening to each one of you. Let me make some quick couple of qualitative points here.

The financial s this quarter, again, talks about the same business model that we have been talking about, which is again to strengthen the fundamental core and be consistent and have a stable outlook. So, the current quarter also the numbers show that the Bank pursued this objective of being fundamentally strong at core, at the same time a sustainable performance. And secondly, the profit numbers that you see for this quarter is purely out of the operation. We do not have any one -offs anywhere in the other Non-Interest income or anywhere, which gives slightly elevated level of profit. The profit that we are declaring this quarter and the net profit has seen a 4.5% jump, is purely out of the operational profit.

Secondly, only the balance sheet numbers we have seen already when we declared the provisional. This is one of the strongest numbers we have in last eight quarters. The advances almost reaching 15%, the deposit almost at 10%, the domestic deposit at 11.1%. I think we have one of the strongest quarters, only two points I will touch here, that the RAM is almost at 17 -18%. So, corporate has gone into 8% now and the full year our target would be at 10

%.

Similarly, on the liabilit ies piece, our Savings growth of 7. 4% and CASA growth of 8.6%, I think is one of the best or top quartiles in the banking sector. So, we’d continue to focus on the low -cost deposit at the same time build asset book again consistent in terms of our objective of a diversified book, I mean, creating a more stable outlook with regard to growth of asset book.

On the main important part that you would have seen is that the cost of deposit, the global cost of deposit at 4.75 % and the domestic at 4.99 %, that means on both the counts last quarter we pierced the global deposit cost below 5 %, and this quarter we have both domestic and also global below 5 %. And in case you look at the market threshold, this is one of the top quartile good numbers in terms of cost of deposit, rather a pristine level to have. And that is a prudent liability management that will carry in terms of , not to depend heavily on the bulk deposit rather focus on the low cost deposit, is giving us positive outcome.

At the same time, the margin that you see for the 9 months is at 2.88 %. We have given a guidance of 2.85 to 3 %, and we are right on the band of 2.88 %, whereas the Q3 is 2.79 %. But the overall guidance for the full year continues to be at the 2.85 to 3%.

On the asset quality again, the numbers are very well in terms o f the benign asset cycle we have, not only for the Bank, but the entire industry. The GNP A ratio of 2.04 %, net NP A ratio of 0.57 %, slippage ratio of 0.86 % and the credit cost at 0.17 %. With the collection efficiency almost the same level at 98.6%, excluding Agri, and the SMA1 and 2 book of the CRILC data has improved from 0.39 % to 0.36 %, I think the Bank is riding on an excellent asset quality as the end of the last quarter i.e. Q3.

A couple of fundamental things I think that is important for you to understand that , in terms of ,if I compare December ‘25 over December ‘23, the book value of the Bank has gone up from almost Rs 180 to Rs 250. That is an accretion of almost like Rs. 80 -85, which is significant. Secondly, the Bank has been persistently putting a stable outlook, like the ROA. Almost now 14 consecutive quarters we are posting continuously more than 1 % ROA. In terms of profit, this is 12th quarter , we are posting more than Rs 4,000 crores of net profit. Out of the last six quarters, this is the third quarter we are posting more than Rs 5,000 crores of net profit. So, the point that I am driving is the consistency in terms of the income earning potential of the portfolio, and the outcomes are very f avorable in terms of consistency and also at an elevated level of profit that we operate at.

A couple of things that possibly, just to take a note of that. We got the Best Bank Award by ‘The Bankers ’ UK, sometime back that we put that on the public domain also, and that is a strong validation of the Bank's journey which is consistent with growth, which is sustainable and also transformative. At the same time, on the technology, IBA Technology Award which was announced recently. There are seven th emes on that and Bank of Baroda could win 4 out of 7 as a winner, and the fift h one is also a special me ntion award. So, it is a huge recognition to the Bank's digital robustness and the Bank's architecture in terms of creating a customer experience which is definitely better. And we will keep on driving more on this, but then I think the awards is a huge recognition to the entire Bank of Baroda team that works on transformation, technology and driving better customer service. With this, I open the floor for questions and answers. Phiroza, over to you.

Moderator: Thank you, sir. We will now open it up for Q&A. If you have a question, please raise your hand or you can also type your question in the Q&A box. I would request you to please limit your questions to two for now, and if we have time, we'll come back to

you . The first question is from
Mahrukh Adajania.

Ms. Mahrukh Adajania: Yes, sir. Good evening, sir. Sir, I have a couple of questions. So, I'll first list out my questions. Firstly, in terms of NII growth, if you could help us distinguish between total NIM and core NIM, because last time you had kind of given that cut, right, that 2.96 % is the total NIM and then 2.76 % or something is the core NIM. So, what is the comparable figure for core NIM this quarter? That would help. And if there's any recovery income on NPLs which is higher than last quarter in the NII? And secondly, in terms of written -off recoveries, they doubled QoQ. So, if you could give the split between Retail and Corporate and if there was anything lumpy?

And my third question really, sir, is on the NII growth, right? So, of course, there's a bit of lower tax refunds, and there's a distinction between core and total NIM. But our loan growth is exceptionally high, which is a big positive, whereas the NII gro wth is in low single -digits. So, would we be better off if we consolidated growth and improve margins, or that's not an option?

Dr. Debadatta Chand: Okay. So, Mahrukh, typically your question is around the NII, the NIM and the core NIM. Look, as I said that as far as NII is concerned, Rs 11,800 crore . NIIs that you would have seen when you are comparing with banks, is one of the strong NII numbers on absolute terms. So, that is very clear on that. So, our NII is Rs 11,800 crores. And the NII is purely out of the core operation, nothing one -off therein. So, that's a pure operation NII i.e. Rs 11,800 crores.

Coming to your, the NII growth has been slightly, I mean, stagnant or maybe at the same. The reason being the interest expenses and the interest income, although there is a strong asset book almost at 15%, but there is a repricing happening on a couple of books on the asset side also, and we continue to do that. Similarly, on the liability piece, although the cost of deposit has been lowest, but on the wholesale market or the borrowing market still the cost is elevated, whereas you know the 10 -year G -

sec still being high. So, in this scenario, the NII is almost at an elevated level but stagnant, in the sense the same level.

I don't have a core NIM or a separate NIM, all NIM is core. So, absolutely, but specific to that, in case you are talking about the income tax refund, last time also we had some amount, this time also we have some amount. The impact on the number can be so mething around 5 -6 bps maximum. But everything is core and that is at 9 months, it is at 2.8 8%. So, we had given guidance of 2.8 5 to 3% and we are on the target.

You had one more question, Mahrukh, can you just repeat that?

Ms. Mahrukh Adajania: Yes, actually, I wanted the TWO , the recovery in written -off has gone up.

Dr. Debadatta Chand: So, normally I always say that is a normalized , I mean, it has been, I have been telling it for last 5 -6 quarters, our recovery from written -off is a normalized at Rs 700 to 750 crores. I mean, I am repeating this statement for multiple quarters now. Last quarter was slightly less, but this quarter it has gone into the level of that. Look, we have a book of almost Rs 63,000 crore . So, there will be recovery, but the normalized quarter is Rs 700 to 750 crore and this quarter it is slight ly Rs 800 crore plus something. So, in that way, there is no one -off therein, it is a normalized recovery out of written -off. On the guidance scale, we will continue to have Rs 700 to 750 crore per quarter. So, there is no one -off currently in the entir e, whether you talk about other interest income or non -interest income. Absolutely book is , look, another thing also you need to compliment is on the loan book growth. On a loan book of almost 11 lakhs everything, our book is entirely organic. The outstanding pool p urchase as of today is only 2 2,000 crores, which

is again going down quarter -to-quarter. So, in
that way, the book is organic. The income out of this book is entirely again purely operational. So, that is the statement I am going to make.

Ms. Mahrukh Adajania: Okay, sir. Thank you. Thanks a lot.
Moderator: The next question is from Nitin Agarwal.
Mr. Nitin Agarwal: Yeah, hi. Thanks for the opportunity. Sir, I have two questions. One is on the LCR and the CD ratio. If I look at LCR, ratio has dropped quite sharply in the last two quarters. So how do you think about that? And likewise on the CD ratio, which has been li ke rising with the sort of strong growth that we are reporting. So, what are the comfortable numbers that you will want to like guard?
Dr. Debadatta Chand: So, Nitin, on the LDR or the CD ratio, we say perennially , we have been operating at 80% plus. And this quarter, the global is 86 % and the domestic at 83 %. So, earlier also we said on domestic will be comfortable in the range of 82 to 84 %. But global is always something different. So, global can impact. But overall, the global side also it would be something around 86 to 88%, it would be the range.
Saying so, you rightly talked about the LCR part, because the LCR gives comfort. So, as long as the LCR is comfortable, we should not be very , I mean, focus ed on the LDR. So, for the LCR, I mean, our target is always to operate around 120 %. So, last quarter 120 %, this quarter we are 116 %. If you look at the book on the investment side, we almost sold Rs 28,000 crores of investment this quarter, precisely to take advantage of the low yield and getting it replaced at a higher yield ; you know, the 10 -year yiel d at this point of time. So, that will build up actually our comfort range is to operate at 120%. 116 % is also a healthy number, but then we will be going to operate at 120 % on the LCR. Tyagi sir, do you have anything you want to add on the LCR?

Mr. Lalit Tyagi: No, sir. In fact, you have said it right that our target range is around 120 %. We have been operating around that level to take advantage of the market yields and also OMOs. The excess SLR has gone down slightly, but we will build up as the yield curve is showing some traction.
Mr. Nitin Agarwal: Sure, sir. And sir, the other question is around like ECL. If you can give some color as to what kind of requirement are you seeing in terms of the transitioning to the ECL? And when we are having already a very strong asset quality, our slippages are in c ontrol, credit cost is like making new lows. Why are we not like raising coverage further and making more provisions towards ECL transition? So, what is the thought process on that, and how many years like basically, do you want to cover that journey?
Dr. Debadatta Chand: Okay. So, let me come to that aspect differently. As far as credit cost, I actually for all the analysts, let me give the guidance, actually. That is important. Actually, I missed this piece. Our credit growth guidance continues to be 11 to 13% with upside, which we have done it this quarter and possibly going to do it in Q4. Deposit growth guidance continues to be 9 to 11%. At the same time, the RO A above 1%, margin guidance is 2.85 to 3%. At the same time, the slippage is 1 to 1.25%, but the credit cost guidance which was below 0.75 %, we have revised downward , in the sense positive to below 0.60 %. Precisely, the average credit cost for last 9 or 10 quarters has been at 0.34 %, this quarter at 0.17 %. So, consider ing the quality of asset we have, I think the PCR part you are referring to, I think we are adequately provided in terms of the provision coverage , we require to build that. Apart from that, we have built up floating provision of almost Rs 1,000 crores. We did that , we were one of the early banks to do that. And we typically said that keeping the ECL in mind, we have done that. And going forward also, we will be mindful in cr

eating further buffer on the ECL.
Just to give a data point on the ECL, quickly, but again it’s a draft guideline, nothing final. But then we keep on doing proforma calculation s. Just to clear on the proforma calculation s, the impact on the CRAR because of the ECL, because there are two factors here. One is a one -time impact because of the ECL. Another, on the risk weight also there is another guideline where there is a significant write - back possible. So, the net impact on the ECL, CRAR which can be spread over 5 years would be somewhere a t 0.6 or 0.7 maximum. That is what as per the draft guidelines , final guidelines we will conclude differently.
The incremental provisioning, recurring provisioning year -to-year because of the ECL can elevate the credit cost only by 18 bps as on today. So, considering my guidance of 0.6 0%, the average of 10 quarters almost at 0.34 %, current quarter at 0.17 %, I think we are adequately cushioned over there.
Mr. Nitin Agarwal: Right, sir. Got it. Thank you so much, sir. These are my questions.
Moderator: The next question is from Kunal Shah.
Mr. Kunal Shah: Yeah. Hi. Am I audible?
Dr. Debadatta Chand: You are audible. Please go ahead.

Mr. Kunal Shah: Yeah. Sorry. So, once again to touch upon on interest on income tax refund, sir you mentioned like 4 to 5 bps of benefit in NIMs of 2.79 %. So, the core NIMS would have been closer to 2.74 % or so. So, maybe interest on income tax refund would still be like Rs 400-500 crores even during this quarter.

Dr. Debadatta Chand: That is the routine actually. That is why last time also I said, the tax refund happens different amount, different quarter. So, the accounting , it is part of the interest income which has been classified. So, there is no core NIM or other NIM; everything is core for that. But if you talk about the element p er se , then yes, there is a 5 -6 bps impact because of that, and it can be in the range of 2 .70 to 2 .74% kind of element. But that purely as a calculation. But my NIM is 2.79 %. So, th at is the core NIM.

Mr. Kunal Shah: Got it. Got it. And secondly, with respect t o, maybe on the ECL side, last time you had still created the floating provisions as a prudent measure of almost like say Rs 400 odd crores. We have floating provisions to the tune of Rs 1,000 odd crores. Sir, is that sufficient? And now there is no further need to create the floating provisions , going forward?
Dr. Debadatta Chand: So, as I said to the earlier question also, the impact on the CRAR will be 0.7 -0.6, I mean 60 bps. At the same time, the recurring provision requirement would be 18 bps on the credit cost. So, current provision level is adequate almost to that level.

Mr. Kunal Shah: Yes, got it. And just maybe on Labour Code, any impact during the quarter or no, not really? Maybe we have been making this up.
Dr. Debadatta Chand: That is what the auditors have also given in their report that there is no material impact, because one of the key impact s of the Labour Code is with regards to gratuity to be provided. So, as per our current employment practice or the service code, anybody joining the Bank, we assume that he stays for 5 years. So, we make adequate provision therein, taking him as a 5 yea r, I mean he is continuing for 5 years. So, in that way, there is no material impact towards the Labour Code, particu larly on the gratuity which can have an impact. So, there is no material impact as far as the gratuity in Labour Code is concerned. There are other codes there in other parts of the Code, the Bank would be complying with that. Lal Singh sir, anything further you want to add on the Labour Code?

Mr. Lal Singh: No sir, there is not much impact as far as the Labour Code is concerned. These rules are being finalized. So, once these are finalized, then we see the actual impact. But right now, there is no impact. Hardly , it has an impact

of Rs 8 to 9 crore.
Mr. Kunal Shah: Okay. And on growth, you have not revised the guidance. Now, you have revised on the credit cost side, but growth we are already like say closer to 10 odd% year -to-date from March to December. Then doesn't it appear that we will easily beat these 11 to 13 % advances growth. Or is there a rundown expected on the corporate and that is the reason we are not revising this guidance?
Dr. Debadatta Chand: No, actually there is no rundown here. Actually, as I said 11 to 13 % with upside. So, this quarter , we are at 15 %. So, precisely that upside is to exceed 13%. At the same time, look, one thing structurally that we need to be mindful while designing business is with regard to what is happening on the resource side, particularly on the deposit market. So, although we h ave seen significant uptick in terms of deposit, my CASA, the saving has grown by 7.4%, which is one of the, I think one of the best in the mar ket currently. We continue to focus on the low -cost deposit, but not be very over, I mean, over board into the wholesale market where the cost is slightly higher. So, given this scenario, I am not relying heavily on the wholesale market, then I think the a dvances side, the growth will be somewhere around 15%, 14.5 to 15%. So, that is why we revised that 11 to 13 % with upside. So, that is the purpose of, I mean, exceeding above 13% as of March 2026.

Mr. Kunal Shah: Thanks a lot. That is all from my side.
Moderator: The next question is from Abhishek M. Abhishek, can you unmute yourself?
Mr. Abhishek: Hello. Am I audible? Yeah. Thank you.
Moderator: Go ahead.
Mr. Abhishek: Hi, sir. Good evening. So, you made an interesting comment. You said that if LCR is adequate, then LDR should not matter. So, your domestic LDR at 83 -84%, as long as you have 116 to 120% LCR, this can go up, right. Because even if it goes to 86 -87%, it will be fine with you or do you have to manage the optics of 83 -84% not going up?
Dr. Debadatta Chand: Look, I mean, you said right, actually domestic we want to be in the 82 to 84 %, I mean, the optimal that we are looking at domestic is 84 %, whereas global can be around 86 to 88 % because the international CD ratio is always higher than 100%. That is the market therein . The point here in terms of resource management, if you are referring multiple alternate resources where you

can optimize cost, then we do not rely on high -cost deposit. Last 10 quarters at least we are telling the bulk de posit, actually we want to contain that because that is a volatile element. Suppose , you are getting other alternate resources, which is in the form of refinancing, infra -bond, global range of resources. So, I think wherever we can optimize cost, we will go for that, that not necessarily be a deposit. So, in that way, the solvency and the liquidity would be ensured while driving the asset side of the book.
Saying so, on the LCR front, which is more important, almost our target range is 120 %. We normally, I mean, this quarter it has gone down to 116 % because we have sold almost Rs 28,000 crores of investment book just to take advantage of the rate cycle. And you know, what is the rate cycle, we are going to replenish that because in 10 years yield has been higher now. So, it is more of a treasury operation to slightly go down below 120 %, but we will be in a position to recoup that, I mean, in a quick time , in terms of maintaining our target range of 120 %. So, in terms of the resource profile, the Bank's resource profile is very strong.
Somewhere some change in terms of LDR we see , because we have to optimize that. Suppose I get alternate resources, which is cheaper, although we continue to focus on the low cost deposit, cheaper than the bulk deposit or a CD , then obviously our tendency is to go towards that and that typically is not reflected in the deposit. So, your LDR seems to

be slightly at a higher side. Otherwise, the Bank is
managing all this parameter s, I think on a sustainable and stable book and the solvency and the liquidity pr ofile is very, very strong for the Bank.

Mr. Abhishek: So, that is absolutely, yeah, no, no, that is, I take your point, that's not my question. So, my question was that even if this 83 -84% LDR goes up because you are optimizing for different liabilities and your loan growth is 15 %, your deposit growth is 10 %, so anyway it should go up as you go forward. It shouldn't be a problem, right? It shouldn't become a limiting factor, that is all I'm asking. It can go up to 85 -86-87%, it's fine.
Dr. Debadatta Chand: In terms of resource profile, because you must be tracking many banks in terms of the profile of resources, our book is much more diversified on the resource side also, not only on the asset side. And again, because we have a large operation, so look, the global LDR, if you look at the international operation, the CD ratio is more than 100 because many of the same sources of deposit, if it is more than one year, it is taken as a borrowing rather tha n a deposit. So, these are all,

all the resources are quite strong. So, I do not think there is any limiting factor for that, the Bank continues to grow strong and our guidance of growing at, let us say, higher than 13% continues to be there without any issue there.

Mr. Abhishek: So, sir, and second question is on NIM, so from here, what levers do you see?
Dr. Debadatta Chand: See, there are two things, we said earlier at the beginning, we are saying that in terms of resetting of interest, both on the asset liability, Q3 and Q4 would be better than the Q1 and Q2, that is one articulation we had it in Q1 and Q2. But Q3 continued to be, because there was a rate action in Q3, which was initially while commenting this , was not in mind. So, the asset liability continued to again reset at a different level, particularly there is a lot of resetting happening on the fine price d asset, particularly on the corporate loan book. So, a scenario like that and the absolute number of NIM, if you see comparable with the industry, it is absolutely at a very good level, pristine level.
In terms of a Q4 exit, suppose you are referring in the process, full year would be 2 .85 to 3 %, and exit has to be higher than 2 .85%. So, it may end up somewhere at 2 .85 or 2 .90% kind of a level, that is what our expectation is. Why I am again hopeful on this, the cost of deposit is now all time low at 4.75 % for the global book, and which was 4.9 1% in the earlier quarter . So, the entire book would run at 4.75% at least for this quarter, full quarter, whereas there is only on the asset side the repricing continues to be at a lower rate because of the asset market therein . So, net -to-net I think we will be in a position to maintain that 2 .85 to 3 % guidance that we are giving for the full year.
Mr. Abhishek: Sir, it just seems like for the 4Q, you know, there would not be too much repricing left on the deposit side. And on the yield side, you are continuing to grow, you know, NBFCs, power, AAA corporates, housing, all the lower yielding sectors where yields ar e low. So, just on an incremental basis, it seems like margins will come down rather than go up. So, what am I getting wrong here?
Dr. Debadatta Chand: No, there are two things like, as you said the ….

Mr. Abhishek: Even your slippages are really low. So, the interest reversal benefit is also not going to be much incrementally. So, whichever lever I look at, I cannot really find a lever which shows margin will go up.
Dr. Debadatta Chand: Actually, the fixed deposit rate was 6 .50%, which has been reduced to 6 .25% during the quarter in Q3 on the retail side. So, the repricing that you are talking about is almost done, but the impact of the repricing would not have been felt full quarter in Q3, whic

h will be felt full
quarter in Q4. So, that is the upside there in t he book , in that way. So, the repricing due, the only challenge here is with regard to the repricing due on the bulk deposit. Actually, that market is slightly still tight, so that can put pressure. So, there are ups and downs therein. See, on the RLLR side, the external benchmark, these are already done. The corporate, which was getting fine price now, because the 10 year has been elevated, I mean, things are looking different now. The repricing, which used to happen at a lower rate, now going to happen at a higher rate because the bond prices have gone up, the yields have gone up. So, there are both positives and negatives . And for a Bank like our size, I mean, 6-7 bps optimizing on the NIM is not an issue. So, we will be in a full year of the same, right, so, 2 .85 to 3%. Mr. Tyagi, anything you want to add on the repricing piece?

Mr. Lalit Tyagi: So, sir, in fact, till November, there is a data from RBI also, which says that on the fresh deposits, the transmission of the previous cuts before the December cut has happened, but on the

stock, it is still happening. So, partly, I am supporting your argument, MD sir, that still stock is yet to be repriced. So, probably there is some benefit, which is still to accrue on the deposit side.
And on the advances side, particularly on the corporates, if no further cut is there, so largely whatever demand they have made, largely it has been met till last quarter. So, now, looking to the elevated capital market rates, probably corporates are also adjusting to the new reality of slightly higher pricing, as we feel.
Mr. Abhishek: Thank you. And all the best.
Moderator : The next question is from Piran Engineer
Piran Engineer : Congratulations on the quarter. Just firstly, one clarification on one of your previous comments, when you mentioned that incremental credit costs will be 18 bps due to ECL, are you just referring to for the first five years of transition, that is the 18 b ps or the sustainable steady state?
Dr. Debadatta Chand: Sustainable steady state. Actually, there are two impacts of the ECL. One is the impact is because of the one -time impact of the CRAR. And we are looking at almost, actually we are netting it off. There is an ECL impact and there is a, I mean, there is a kind of a reversion or pullback happening because of the risk weight getting changed as per the draft guidelines. So, the net impact is going to be 60 bps and that would be spread over five years. So, the spread -over part is over.

On an ongoing basis, you need to have this ECL provisioning. And our normal thumb rule calculation, which may undergo a change, talks about the impact of 18 bps on an ongoing basis, year to year basis. That is why actually what we have done as on today, ou r 8-9 quarters average credit cost is almost at 0.34 %. So, cushioning that, we got into a revised credit cost guidance of credit cost not exceeding 0.60% as against 0.75 %. So, that is the statement I made earlier.

Piran Engineer : Understood. Okay. Okay, sir. So, then just getting on to my question. Firstly, in the Agri book, excluding gold loans, do we do farmer finance, which has, you know, RBI had some observations with some private sector banks and made them, they were not PSL compliant, etc. Did we also have such an observation?
Dr. Debadatta Chand: No, frankly, we have no observation on the PSL categorization classification. We do big farm lending. So, absolutely, no.

Piran Engineer : So, then if I may ask, none of the PSU banks have had this problem. What do PSU banks do differently that, you know, they are on the right side of it and private banks, all the top three banks have had observations.
Dr. Debadatta Chand: You have to ask that….

Piran Engineer : It's a fairly straightforward product.
Dr. Debadatta Chand: I mean, I think, I don't know, but

then you have to ask what they did differently
so that….

Piran Engineer : Let me ask you this way, sir. Do we track the end use of the loan once we give it to a farmer?
Dr. Debadatta Chand: It's a farm loan.

Piran Engineer : We can't, right?
Dr. Debadatta Chand: Absolutely. The farm loans are for farm loans, right. As per the guidelines, whatever we do comply to all those guidelines.

Piran Engineer : No, no, I mean, that's fair. But how would you track the end use of the loan? If you give it to a farmer, he takes the money and buys a bike or a TV. How will you know?
Dr. Debadatta Chand: No, these are guidelines. Actually, the banks are not doing farm loan only recently. We have been doing for decades and centuries now, right. So, in that way, whatever compliance is required to extend farm loans, the bank is complying, including the end us e that is being prescribed as per the circular or as per the guidelines. So, absolutely no issue.

Piran Engineer : Okay, okay.
Dr. Debadatta Chand: In terms of farm loans also, it is not that a certain percentage can be used for consumption, specifically referring to your point. Lal Singh sir, anything you want to support on this?

Mr. Lal Singh: In fact, in farm loans, we have the system of post inspection and verifying the end use in the larger farm loans.
Piran Engineer : Understood, okay. Then my next question is on the MSME book, one and a half lakh crores. Just can you give a sense of how much is secured versus unsecured? And how much of the book is working capital versus term loans? Some sense on the average ticket size of that book.
Dr. Debadatta Chand: We have mostly a secured book there. Because our unsecured book is with regard to the cash flow based which we have launched recently. Otherwise, whether it is a MSME working capital loan, term loan, or any loan we give on the MSME, these are by and large secured. Lal Singh sir, anything you want to say?
Mr. Lal Singh: Our book is mostly a secured book and wherever there is unsecured, that also is covered by the CGTMSE coverage or NCGTC coverage.
Piran Engineer : Okay. And is it mostly working capital or mostly term loans?
Mr. Lal Singh: It's on both ways. It's a composite.
Piran Engineer: The split, sir, if you can, just rough split, 50 -50, 70 -30?
Mr. Lal Singh: No, I don't have the exact figure s.
Dr. Debadatta Chand: We will provide you the data.

Piran Engineer : And the ticket size would be like 50 lakhs to a crore or is it higher?
Mr. Lal Singh: It's around 1 crore to 5 crores.
Piran Engineer : 1 to 5 crores. Okay. Yeah, okay. That's it from my end. Thank you and wish you all the best for the future quarters.
Moderator: I think the last couple of questions. First, Ankit Bihani, please.
Mr. Ankit Bihani: Yeah, thank you for the opportunity. So, my question was on margins. So, our nine - month margin now stands at 2.88% and is towards the lower band of our guidance. And now with full impact of the 25 bps cut coming in, would we want to revise our guidance?
And the other thing is that you've highlighted that interest on IT refund is part of core NIM, but this number is very volatile. Further, when you say it's core NIMs, is it something structural and we'll continue to see for the foreseeable future? Or it sh ould be limited to a few quarters? How would one read into it? Because the other banks referred this item as one -off.
Dr. Debadatta Chand: There are two things. One is with regard to, you talked about the NIM. So, it's a bit of a liability profile because our cost of deposit has gone down significantly low at 4 .75%, right. In that way the reprice, almost we have Rs 1,40,000 crores we are repricing due partly because of the bulk deposit and partly because of the core deposit. So that is going to significantly upside the NIMs in that way.
On the asset side of the book, yes, the BRLLR

cut has already happened. We have external linked benchmark. There is a book which is not out of, I mean, that is beyond MCLR. But of late , because of the rate structure on the 10 -year G -sec and all, again, the repricing happening on a couple of so -called fine asset is also at a different level, higher level. So, in that way, the full year NIM would be in the range. There can be changes therein. When there is a transition happening in the ent ire economy, particu larly banking sector, both on the asset side because of the rate. Precisely, I mean, putting at one is not possible. But then the level that you are declaring also, you can see in the market is a quite elevated level because of a core strategy, we have a l ower dependency on the bulk deposit, we have said multiple quarters earlier.
Secondly, in terms of the asset book, we have a growth on the RAM, which is stronger, and it is NIM accretive. So, I mean, we are not getting into risky, like personal loan growth is a normal 12% kind of thing. So, in that way, fairly being operating at 2 .85 to 3 % is a fairly good level for us to achieve that. And I think we are hopeful of doing that.
Secondly, the core NIM that you talked about, it's a guideline which came saying that this interest on income tax refund to be taken as part of the income. That was a RBI guideline. So otherwise, suppose you take that as a one -off and a non -core, then it s hould not have been that guideline. The guideline clearly says about its accounting treatment as part of the regulatory norms. So that's how we are

treating. So, in terms of volatile component of that, every year we get something on that because of the int erest on that. Some quarter it can be higher or lower.
And what is the delta? I mean, negative delta, you're talking about 300, 200 or 400 crores. On the book where my revenue is almost 120 -130 lakhs crore, I don't think it's something generating at 200 - 300 is a one -off for a volatile comp onent . What is the one -off we normally refer? One -off is therefore, let's say there is an NCLT, all of a sudden there is an NCLT recovery, substantially boosting the recovery of TWO. That's one -off. Suppose you have a sale of an investment, which was not part of a normal

float investment, it is more of a strategic investment, which is sold. So, these are one -offs. So, I think in that way, my comment was there, and we need to take in that context.
So, as far as computing, we don't have to define a core NIM or a normal NIM . It's a core NIM only. The element of tax refund, the impact can be around 5 -6 bps, depending upon which quarter we get how much in that way.
Mr. Ankit Bihani: Okay. And my next question is on the credit cost front. So, the credit cost this quarter has been quite low at 25 odd bps. But it has been supported by decline in PCR also, which had declined by 190 odd bps on a Q -o-Q basis. If I adjust for that, credit co st would have been largely flat on a Q -o-Q basis. How should one read into it?
Dr. Debadatta Chand: See, the PCR level we need to maintain based on asset quality. And if you look at our Bank for the matter, last 13, 15, 16, 18 quarters, the trending has been quite consistent, it's not a volatile number we see on the asset quality. I mean, the trending has been clearly every quarter to quarter is declining in terms of the GNP A and net NPA. So, we are at a good level of asset quality in terms of the book, in case you look at how much is the book , A and above. So, there is a normalized credit cycle, which we are seeing now, which is likely to last for longer years. I think there is no concern with regard to the PCR level that you are ta lking. And if our PCR is lower, possibly the asset quality is better. We need not provide for our books, right.
So, the credit cost, typically the function of your slippage and all, and how much provision you are making. Our last 8 -9 quarters, credit

cost is an average of 0.34 %. And that's why we are revising from,
like earlier many people used to ask us saying that, why you are not revising the 0.75 %? But first time we are getting a comfort of revising because the average has been below this range. So that's something we are doing. So, in that way, I mean, I think we are fairly balanced in that way. I mean, our asse t quality is better, that's why PCR in many of the large banks, if you see, a couple of banks are definitely higher, but their journey on the net profit and asset quality has different behavior than the asset quality behavior , we do have. And that typically puts you at the, why you need to put your PCR, right, so in that way. So, anything, Madam Beena would like to talk on the PCR?

Ms. Beena Vaheed: We are at a comfortable state, sir, with regard to PCR, because our slippages have been low and there's no requirement for an additional provision at this point of time.
Mr. Ankit Bihani: Okay. Thank you for answering my questions. All the best.
Moderator: Thank you. That's the last question. Now we will be able to….
Dr. Debadatta Chand: I think there is a hand raised, if you can take it.

Moderator: Yeah, sure, sure. Then the last question we will take from Rikin Shah.
Rikin Shah : Yeah. Good evening, sir. Thank you for the opportunity. Just two questions. First one, you know, you have been on the journey of bringing down the bulk deposit share over the quarters, but in the last few quarters, the bulk deposit growth has been higher a nd the share of retail term deposit has been declining. So, why are we shoring this up again, especially when the wholesale rates have started to firm? That's my first question.
And the second question is, just if you could, you know, guide us perhaps as to what proportion of the term deposit book is yet to reprice. So, let's say 20, 30, 40, whatever that percentage could look like.

Dr. Debadatta Chand: The bulk deposit, as we said, the moment you fund your asset out of the incremental bulk deposit, then possibly you are not focusing on the low -cost deposit. So last 6 -7 quarters, we have been focus ed on how to grow on the low-cost deposit. And it's not an objective, but if you look at the CASA growth of the bank vis -a-vis what is happening in the system, not that we are at the top, but we are one of the best in the market in terms of the CASA growth, consistently for the last many quar ters. Clearly, within and outside, the message is that we need to rely on low -cost deposit more. That's going to give you a sustainability, and also, it's going to be a gold reserve for you for long term. That's something the fundamental core of the sustai nable that we normally talk about.

So, the bulk, we have to rely on bulk at some point of time, the reason being, there is a wide gap between the asset growth and the liability growth. Suppose this quarter itself, suppose I grow at 15%

on the asset and the liability growth, although liability has a larger base, but then somewhere I have to depend upon the wholesale funding. Actually, the bulk is more of a wholesale fund. So, the bulk is not the highest cost at every point of time. Some of the time, the bulk rates are quite benign. So, at som e point of time, the rate on the bulk was almost at the rate that retail used to pay. So, in that scenario, you will try to rely slightly on the bulk in terms of acquiring that. So, it's a balancing in terms of how do you manage. But the th ing is that, I should fund my incremental asset more out of the low -cost deposit rather heavily relying on the bulk deposit. So as of today, if you look at the bulk as a percentage, this data you may not get from any bank. It's almost at the bulk as a percent age, I mean the domestic deposit is almost at 19 -20%. That's, I think, a fairly comfortable level for a bank like us to operate.

Although some of the quarters you would h

ave seen there is a bit of a growth happening. So, I will not
say that we will not rely on bulk. But as an objective, we will not be funding incremental asset only by raising the bulk to a large extent. So, we are not in a balance sheet expansion mode at a cost. So, we want to rationalize cost. That's the key th ing. So, that's why you will find a couple of quarters the bulk growth is higher. Reason being, the asset is growing faster. So, the system needs to give enou gh deposit to us to only rely on the low -cost deposit.
Rikin Shah : Got it, sir. And, sir, on the second question please. What proportion of term deposits are yet to reprice?
Dr. Debadatta Chand: I think roughly a ballpark number can be around 25% kind of a number. But then we will come back to you on this exact data, I don't have it today.

Rikin Shah : Got it, sir. And sir, one last data keeping question. What is the quantum of outstanding standard restructured loans in this quarter?
Dr. Debadatta Chand: It is not much actually. That's a subject we...

Rikin Shah : Yeah, it's a very small number usually - 6-7,000 crores.
Ms. Beena Vaheed: No, no. Sir, it's around Rs. 8,000 crores.
Rikin Shah : Okay, thank you very much.
Dr. Debadatta Chand: Initially , when the standard restructure was started post -COVID, actually what was important is the slippage that was happening, migration that was happening. Now that has

completely stopped. So, there is no concern with regard to it. It is no more a stress book as far as standard restructure but the number is Rs 8,000 crore .

Rikin Shah : Okay, thank you, sir.
Moderator: I would request Sridhar sir to please give the closing remarks and the vote of thanks.
Mr. I V L Sridhar: I would like to extend my sincere gratitude to all of you for joining us today for the announcement and discussion of our financial results. Should you have any further questions, please feel free to reach out to me or to my investor relations team. Thank you once again for your time and continuous support. Have a great evening ahead . Thank you.
Dr. Debadatta Chand: Thank you very much for joining us.

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Call: May 2026

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The Vice-President,
National Stock Exchange of India Ltd.
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Bandra Kurla Complex, Bandra (E)
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Madam / Dear Sir,

Re: Disclosure under Regulation 46(2) of SEBI (LODR)

We enclose transcript of Media Meet & Analyst Meet held on 08th May 2026 for Q4 (FY 2025-26) Financial Results.

We request you to take note of the above pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015 and upload the information on your website.

Yours faithfully,

S Balakumar
Company Secretary

Bank of Baroda Media Meet for Quarter and Year ended 3 1st March 2026
8th May 2026

Participating members from the Management Team of the Bank
➢ Dr. Debadatta Chand, Managing Director & CEO
➢ Mr. Lalit Tyagi, Executive Director
➢ Mr. Sanjay Vinayak Mudaliar, Executive Director
➢ Mr. Lal Singh, Executive Director
➢ Ms. Beena Vaheed, Executive Director
➢ Mr. I V L Sridhar , Chief Financial Officer (CFO)

Moderator : Good afternoon everyone and welcome to Bank of Baroda's media conference for our financial results for the quarter and year ended 31st March 2026. Thank you all for joining us. We have with us today our MD and CEO Dr. Debadatta Chand and he is joined by the Bank 's executive directors and our CFO. After brief introduction, we will start with a short presentation followed by opening remarks by Dr. Chand and then we will have the Q&A session. Chand Sir, over to you.

Dr. Debadatta Chand: So, thanks Phiroza. Good evening to all my media friends. Let me introduce the management team. I'm D. Chand, MD and CEO of Bank of Baroda. Along with me, Mr. Lalit Tyagi is the executive director who looks after the corporate credit, international and treasury business of the Bank . Then we have, Mr. Sanjay Mudaliar, he's the executive director who looks after the IT, the retail asset and many of the similar function s, platform function s as far as he is concerned. We have Mr. Lal Singh, he's the executive director who looks after the SAMV, the stress asset vertical along with the HR function and couple of other like MSME and other verticals therein. And we have Madam Beena Vaheed, she looks after the control , compliance, the operation s of the entire Bank and the retail liability more importantly for the Bank . And we have the CFO Mr. I V L Sridhar who is joining also for last couple of quarters. With this over to you.

Moderator : Thank you sir. We will now have the PPT, a short presentation on the results which CFO Sir will take us through.

Mr. I V L Sridhar: Good evening everyone. It's my privilege to present before you the financial highlights of Bank of Baroda for the quarter and financial year ended 31st March 2026. As at the end of FY 2026, the Bank 's global business volume has crossed the milestone of Rs. 30 lakh crores and stands at Rs. 30.78 lakh crores , registering the YoY growth of 13.9 %. Our global advances have grown by 16.2 % YoY with the domestic advances growing at 14.5 % and international at 24.4 %. Within the advances book, the Bank has continued to focus on RAM advances. Our organic retail book grew by 17.9 %, agriculture 20.7 % and organic MSME at 15.6 %. Corporate loans have grown by 11.2 % YoY. Within the retail segment, we have seen smart growth across the portfolio with auto loan at 20.6 %, mortgage loans at 19.3 %, home loan at 14.6 %, educational loan at 10.9

% and personal loans at 8.7 %
YoY.
In terms of deposit growth, our total deposits have grown by 12 % with international deposits growing by 7.5 % and domestic deposits by 12.8 %. The domestic CASA deposits have grown by 9.8 % and term deposits have registered a growth of 14.8 % YoY. As of 31st March 2026, the Bank 's domestic credit deposit ratio stands at 83.46 %. The CASA ratio stands at 38.9 %, up by 45 bps QoQ.
With regard to our profitability, our operating profit for the quarter stands at Rs.9,069 crores , registering a growth of 11.5 % YoY. The Bank has adopted new mortality tables for arriving at AS -15 retirement liability, which led to an increase in the employee cost by Rs. 520 crores . Our net profit for Q4 2026 stands at Rs. 5,616 crores , registering a growth of 11.2 % YoY, which is the highest ever quarterly net profit posted by the Bank . Return on assets remains consistently above 1 % at 1.15 % in Q4 2026. Return on equity stands at 17.27 % for the quarter.
Here are the yearly numbers , for the full financial year FY 2026 , our operating profit stands at Rs. 32,259 crores . Our net profit for FY 2026 stands at Rs. 20,021 crores , which is the highest ever net

profit posted by the Bank . Return on assets remains above 1 % at 1.06 % in FY 2026. Return on equity stands at 15.39 % for FY 2026.
With regard to our key ratios, our yield on advances stands at 7.44 % for the quarter and 7.71 % for the whole year. Bank 's cost of deposits for the quarter stands at 4.78 %. It stands at 4.87 % for FY 2026 as against 5.10 % for FY 2025. With regard to our net interest margin, it stands at 2.89 % for the quarter, registering a sequential improvement of 10 bps. It stands at 2.89 % for the whole year , FY 2026.
Now we come to our asset quality, which continues to remain robust. Our GNP A ratio has improved by 37 bps YoY and stands at 1.89 %. Now Net NP A ratio is below 1 % at 0.45 %, an improvement of 13 bps YoY. Our provision coverage ratio including TW O is comfortable at 93.94 %. Our slippage ratio for Q4 2026 has reduced by 11 bps YoY and stands at 0.89 %. Slippage ratio for FY 2026 also reduced by 6 bps YoY to 0.72 %. Credit cost for Q4 FY 2026 has increased to 0.76 % as against 0.44 % in Q4 2025. This is mainly due to the, prudential provisioning, floating provisioning of Rs. 1,500 crores made by the Bank during the quarter. Credit cost excluding the floating provision would have been 0.32 % for the quarter. Credit cost for the full financial year stands at 0.46 %. Credit c ost excluding the floating provisions would have been 0.34 % for the full year.
Coming to our SMA and collection efficiency, our CRILC SMA 1 and 2 as a %age of standard advances reduced to 0.18 % as of March 26 as against 0.33 % as of March 25. Our collection efficiency excluding

agriculture remains robust at 98.9 %.
In terms of our capital adequacy, our capital position continues to be strong with CET 1 at 13.16 %, Tier 1 at 13.64 % and CR AR at 15.82 %. Our quarterly average LCR remains healthy at approximately 127 %. Bank has declared a dividend of Rs. 8.5 per share , subject to requisite approvals.
Thank you.
Dr. Debadatta Chand: Okay. To all my media friends, once again, thank you for joining today. I know we have a very busy day today and a small window , as three banks are announcing their results today. So once again, thank you all of you for joining. And let me again give some of the qualitative comments on the numbers that we have declared.
This, as you would have seen that, this is one of the strongest, I mean, both on the advances and deposit growth in last 10 quarters we had. And the advance growth is almost 16.2 %, which is one of the highest we had in last many quarters. The good part is that the deposit growth for this quarter and the full year has been almost at 12 %. So that gives a huge comfort in terms of earlier quarters where it seems slightly depos

it not catching up to the growth in advances. But because the deposit growth
in the March quarter is something very good in terms of money, which was slightly going out has come back to the banking system.
Secondly, 2-3 milestones that we achieved in this quarter of this year, one is that we crossed as the CFO said, we crossed Rs. 30 lakh crores of business and we clocked Rs. 30.78 lakhs crores of business as on March 31st, 2026, which gives a growth of 13.9 % on the business.
Similarly, our quarterly profit of Rs. 5,616 crores is one of the highest, the peak rather, the maximum quarterly profit we had in last many years. Similarly, on the total profit also, we crossed Rs. 20,000 crores of net profit. So , you would have seen that Rs. 20,000 crores is a significant in terms of scale and maybe very few banks in this club. Similarly on the deposit side, as I said, the CASA is one of the, I mean, the CASA growth would have seen at 9.8 % with saving at 9.1 %. This also gives a hug e comfort

in terms of, I mean, this segment of the deposit growing better as compared to the earlier quarters.
Our domestic advance growth is 14. % and the retail as you would have seen that the growth is 17.9 % with retail, with this particular growth we crossed a milestone of Rs. 3 lakhs crores of business. So , our retail book is now in excess of Rs. 3 lakhs crores and our, I mean, the business model continued to be RAM focused. So , RAM growth has been good and the RAM percentage has gone to 61 %.
On the profitability, as you would have seen that this is the first time in many quarters the growth in interest income has been higher than the interest expenses. And that's why, there is a positive impact on NII and the NII growth has been 8.7 %. And consequently, all profit numbers looks in terms of percentage, the operating profit growth is 11.5 %. Net profit growth has been 11.2 %. And this is something is noticeable in terms of this quarter, we are able to contain the expenses side on the interest expenses and able to grow faster on the income side. A couple of things which while articulating CFO would have said that, in terms of the employee cost that you would have seen, I mean, because of the hardening of yield there is a provision, I mean, there is a release of provision, at the same time, the Bank decided to adopt a new mortality table where we have paid additional liability of Rs. 520 crores . So, this is in line with the market in terms of the employee cost wherein, because of the hardening yield so, the obligation has gone down. At the same time, we have migrated to the new mortality table where there is additional liability of Rs. 520 crores. So , the net to net, there is a release of Rs. 217 crores on that.
Further one point also significant, you would have seen on the provision head, the increase in provision is precisely because of the floating provision we have made. So , the Rs. 1,500 crores of floating provision that we have made, and this is typically a significant IT refunds we got it this year. And we thought it prudent to utilize this entire refund in creating a floating provision because that gives a huge strength to the balan ce sheet. So , in terms of customer income, we have improved, the NIM has imp roved vis -a-vis the last quarter from 2.79 % to 2.89 % with the domestic NIM at 3.04 %. The operating profit is now Rs. 7,000 crores, in excess of Rs. 7,000 crores for last 14 quarters. The net profit, more than Rs. 4,000 crores for last 13 consecutive quarters. Similarly, I mean, the ROA we are posting more than 1% for last 15 consecutive quarters. So , these are all talking about a consistent business model as we keep on highlighting this aspect. And while trying to design a consistent business model, we are also mindful of strengthening the fundamental core. So that is one of the business model that we have.
On the asset quality, we have one of the best

asset quality that we have seen with the GNP A at 1.89 %.
And because of the floating provision, there are two positive s that we have seen the PCR is improved. At the same time, the Net NP A has gone below 0.5 %, it is at 0.45 %. So, the credit cost this quarter has been slightly elevated at 0.76 %, precisely because of the floating provision, whereas full year basis, it is at 0.46 %, which is 1 bps lower than the last year. So , in terms of asset quality, the CRILC data that has been presented , CRILC SMA 1 and 2 as percentage of standard advances is 0.18 %, which improved

from last quarter. So , the asset quality of the Bank is having one of the good quarter, thanks to the economic scenario, although there are geopolitical headwinds, but then the asset quality remains very good.
At the same time, a couple of initiatives that we had already announced. On the ESG front, we raised almost Rs. 10,000 crores of the green infrastructure bond sometime, a couple of months back. And that is one of the first in India in terms of raising green infrastructure bond, we got a very good response on that. At the same time, we announced that we have made one of the subsi diary operating from 1st April, that is we created a primary dealer business in terms of creating a BOB's Securities and Giltedge L imited. There is also announcement that we did yesterday in terms of our intention to float

a pension fund that we have announced. So , with this, I think we had a very strong quarter both on the balance sheet side and also on the profit and loss side.
Let me reiterate a couple of guidance that normally we give it to the market. The loan growth earlier we had given a guidance of 11 to 13 %, now we are upsizing that to 12 to 14 %. Again, I repeat from 11 to 13 %, we are improving it to 12 to 14 %. Deposit growth guidance for the last year was 9 to 11 %, that we are improving to 10 to 12 %. The NIM guidance, although we posted a NIM of 2.89 %, but there would be going forward different market scenarios. So , the NIM guidance has been 2.75 to 2.95 % for the ful l year. Again, I repeat for the full year. ROA, as we always say, the ROA is going to be more than 1 %, but the slippage ratio we continue to maintain at 1 to 1.25 % considering the geopolitical issue that we are going to have, which is prevailing at this point of time. The credit cost for the full year is going to be less than 0.60 %. This year it is 0.46 %, but our guidance for the full year is less than 0.60 %. With this, I close my remarks and open for question and answer. Thank you.

Moderator : Thank you, sir. If you have a question, please raise your hand and I will come to you. Alternatively, you may also type your question in the Q&A box. The first question is from Mayur Shetty of the Times of India. Mayur?

Mr. Mayur Shetty: Thank you, sir. Are you able to hear me?

Dr. Debadatta Chand: I am able to hear you.

Mr. Mayur Shetty: Yeah, thank you. So, your cost of deposits has gone up marginally from the third quarter and also the yield on advances has also dipped slightly. So, how do you explain the increase in the, improvement in the net interest margin?

Dr. Debadatta Chand: See, there are two factors here. Cost of deposit of growth is marginal. The yield on advances, because there are different basis here. Actually, the cost of deposit has a larger basis compared to the yield on advances. So, consequently, when you translate into a NIM, then it works out different. So, if you look at the growth, it is 2.89 % versus 2.79 %. But while articulating this stance, again, we say for the full year, it is 2.75 to 2.95 %. So, a lot of repricing happening both on the asset liability and tha t again depends upon the market scenario. What we have seen in the March quarter also a bit of tightness in the liquidities that may prevail this quarter also. So, slightly that is why we are putting a NIM guidance of

2.75 % to 2. 95% . Saying so, there is also element of the IT refund which also contributed to some extent. So, overall, there is a positive improvement as far as the NIM is concerned.

Mr. Mayur Shetty: And you said, you expect the repricing on both sides. So, deposits, is there scope for further reduction in the cost of funds?

Dr. Debadatta Chand: See, I mean, your deposit profile has to match the market condition and the market condition at this level seems to be quite sticky with regard to the deposit pricing. So, in that scenario, the only thing that I am expecting for this quarter is slightly re setting on the advances subject to the market condition. So, all would depend upon the available liquidity in the scenario. If the liquidity continues to be easy, the cost of deposit can go down. If the liquidity remains tight the way it is, then possibly it will be sticky at this point of time.

Mr. Mayur Shetty: And the provisions that you made, can it be used for ECL, the Rs. 1500 crores ?

Dr. Debadatta Chand: Look, I mean, we are buffering the balance sheet strength. ECL provision is a different provision than the floating provision. Floating provision is a, it is buffer the balance sheet strength. So, these are not directly linked, but then whatever ECL provis ion requirement, the balance sheet, look, the profitability that we have declared for this year is Rs. 20,021 crores , that is significant. So, in that way, I mean, with the current levels is quite capable of handling any impact for the ECL. But floating pr ovision is just to buffer the balance sheet in terms of the balance sheet strength.

Mr. Mayur Shetty: So, how much additional provision do you plan to make towards ECL this current financial year?

Dr. Debadatta Chand: Look, I mean, as far as ECL, the final guidelines ha ve been issued, we are computing the entire impact. So, earlier when we had provision, there was more of a guesstimate of what is likely to happen based on some thumb rule calculation. So, since there is a guidelines that has been issued and it impacts at transaction level, we are computing that. So, as on today, I do not have a number with regard to the ECL impact. But whatever guidance we had given, I think it will be well below that .

Mr. Mayur Shetty: And one last question on ECLGS, what is the amount that you identified that can be dispersed?

Dr. Debadatta Chand: I think based on, because our MSME book is almost Rs. 1,60,000 crores and 55 - 60% is a working capital. Based on the 20% of that, we are expecting Rs. 12,000 plus crores is the impact which you can disperse because of the ECLGS scheme.

Mr. Mayur Shetty: Thank you.

Moderator : Thanks, Mayur. Next question is from Ashish Aga she of PTI.

Mr. Ashish Aga she: Thank you so much, Phiroza . Hope I am audible.

Dr. Debadatta Chand: You are audible, Ashish. Please go ahead.

Mr. Ashish Aga she: Thank you so much for that explanation on the ECL and the requirements around it. So, what do I say? What is this Rs. 1,500 crores floating provision for us? Like, what is it in anticipation of? Is it the difficulties on the West Asia front or how is it , Sir?

Dr. Debadatta Chand: See, it is a balance sheet strength we create and it is like a floating provision. You cannot use it unless and until you have the regulatory approval. So, we cannot create floating provision for any particular purpose. But anything extraordinary, definitely the floating provision would come as a buffer there.
There are two things that were mindful while creating this floating provision. What is the PCR? Actually, we wanted to improve the PCR level. At the same time, the net NPA also something that we normally compare our net NPA vis -a-vis the market. So, keepin g these two factors, we have created this floating provision of Rs. 1,500 crores . And precisely, this is what the income t

ax refund money
that has given that Rs. 1,500 crores . So, had you not taken as a floating provision or some provision, it would have, I mean, the impact would be on the profit side, positive. So, we wanted to create the buffer. I mean, it can be headwinds because of any scenario going forward. But floating provision cannot be used without the regulatory approval and that can only be used on extraordinary scenarios. So, we are mindful of all this, but the creation of floating provision more to buffer of the balance sheet in terms of any likely impact going forward.

Mr. Ashish Aga she: Okay, sir. Broadly, sir, what can be the, what is the impact of the Middle East conflict on the Bank , say, over the last two months? Numbers on your co llection efficiencies as well, how are they really holding up? And beyond numbers as well, what do you see coming up ahead and what are you protecting against?

Dr. Debadatta Chand: See, there are two, three things important here. The collection efficiency rather has improved vis -a-vis the December quarter. So, that is something. Asset quality has been good. The CRILC data has been positive. It has improved significantly. It has improved. So, immediate impact on the book is not there that you can see from the numbers. What is going forward to aspect that you say, because now on the ECLGS, the announcement is precisely to take care of the geopolitical impact on the customer side, particularly on the MSME side. At the same time, we have significant global books. So, the impact on the global books, we don't know as of today. It can be something we need to map it out. As of today, we don't see anything on the global book also because of the geopolitical impact in global book. We have a large operation in a couple of impacted territory that we are looking at this geopolitical tension. So, considering all this, I mean, any impact, the Bank 's book is quite resilient in term s of taking care of this impact. But as of today, I don't see in terms of number any impact. But we are mindful of any impact that may come because of geopolitical issue directly on the domestic book and also on the international book.

Mr. Ashish Aga she: Okay, sir. One small question finally, if I can. What is making you , up with the guidance on loan growth, sir? Especially in this situation where there is a lot of talk on gloomy

headlines. So, what is really leading BOB to up the guidance? Were you really conservative to start up, sir?

Dr. Debadatta Chand: No, actually, look, we are given a guidance of 11 -13 % and we achieved 16.2 %. That is significant, right? So, in terms of how do you outperform or how do better of your guidance. So, and it's a full year guidance. The first thing on the geopolitical, our assessment is that , it may not continue for a longer time. In that scenario, possibly the growth is going to come back.
Secondly, as of today, if you look at my YoY growth, post 31st also, it looks very healthy. Like , we compute the data on a daily basis and the Y oY growth both on the balance sheet, both on asset and liability continue to be healthy like we had in March. Similarly, this is a scenario where upsizing by 1% only, but it's a full year guidance. We'll be watching out our ability to grow because the deposit growth has come back to the system. I think that's something also gives a bit of optimistic in terms of a hi gher growth in advances. So, considering all these factors, we're still optimistically looking at upsizing the guidance by 1%. And current year, we have done it in terms of achieving a higher percentage growth, 16.2 % growth. But going forward, I think still we'll be in the band of, I mean, whatever that 14 %, upper side that we have set.

Mr. Ashish Aga she: Thank you, sir.

Moderator : Thanks, Ashish. The next question is, there are two more questions on West Asia. This is from Piyush Shukla of NDTV. What is

the impact on the Bank 's foreign loan portfolio and remittances
on West Asia conflict and any offshore subsidiary that will be impacted from the West Asia conflict?

Dr. Debadatta Chand: See, Piyush, as of today, in terms of numbers, post 31st, I mean, the impact has not come. I mean, if you look at, like, we have announced the ECLGS scheme now. Similarly, other countries do have their own scheme in terms of supporting their industry durin g this crisis time. So, if everything works out well, possibly the impact is going to be minimal in that way and may not disturb any of the numbers that we're referring or talking today. But if there is a sustained issue continuing, there may be impact. We have, I mean, a couple of territories or a couple of countries impacted by the geopolitical, we do have large presence over there. So, we're mapping out, watching them carefully so that we can factor in any impact, impact in the books as we proceed forward. So, beyond that, I would say on the number, it doesn't seem anything that we need to be concerned at this stage. Things are, as usual, in overseas also. But then we never know if the war continues for a longer time there are sustain ed impact, the oil continues to be at a higher rate, possibly there will be impact but then we have to map it out at a future date. Mr. Tyagi there is anything you want to add on the overseas side.

Mr. Lalit Tyagi: Yeah. So, thank you very much sir. So, in fact, I can add that, you know, in the international book, it's a very diversified book where our US operations contribute roughly around 37 - 38%. And other than UAE, we have presence in Australia, UK, Singapore and through Gift City. And largely the corporate book in the international market have behaved well up till now and we do not see any impact on that book as of today. As MD said that in case war prolongs, then probably we need

to watch what impact , the corporate book can have. But largely we feel that since because of diversification and also the robust asset quality, which Bank has on boarded, we feel that we do not have any impact as of now.

Moderator : Thank you, sir. Next question is from Pushpita Dey of the New Indian Express.

Ms. Pushpita Dey: Hello, am I audible, sir?

Dr. Debadatta Chand: You are audible.

Moderator : Yes, Pushpita.

Ms. Pushpita Dey: Sir, I have two questions. So, if you could just please give me the data, like how much has the Bank transferred to , bad loans been transferred to NARCL this time? And also, anything put on NCLT or it's only NARCL now? So, the number and the preference of NARCL over NCLT. And also, you spoke about the West Asia crisis, but there were reports that the government has instructed the banks to take measures if needed, especially in terms of the operation and the employees staying over there. So , if you could give us some idea of what has been the measures on the end of the Bank for the overseas employees?

Dr. Debadatta Chand: So, on the NARCL, we don't have a very large book, Pushpita, actually, I mean, on the transfer, NARCL would be a couple of thousand crores even today. Last year also there was some amount, but I mean, we can give the data at a later date possibly. NCLT, th e book is the same, like we have almost 99 % provided on the NCLT book. It's ongoing in terms of the resolution that's happened through NCLT.
Particularly West Asia crisis and particularly our official who are there operating there. Again, let me tell that we are in a couple of territories or a couple of countries we have the retail operation. The retail operation, you need to continue your oper ation in those countries and that has been one of the key themes in terms of retail operation. But we have provided all support to employees and their families in case they want to travel to and fro in terms of what they can travel at any point of time.
We have made other arrangement

s in line with other banks, the West Bank, what they are doing on
the employee hygiene and comfort over there. So as of today, I think we have taken care of all employees, eventuality also. In a contingency we have designed cont ingency planning for them in case of a escalated level of engagement, if there is a safety issue, then we have engaged everything for that. So, I think we are taking care of and it's in our mind in terms of like areas where impacted area and we are having retail operation, wholesale operation, very well we operate outside that country and run the operation. Wherever we have retail operation and those countries are impacted, we are taking care of the staff hygiene carefully so that the operation is sustained , at the same time we take care of the interest of the staff also.

Ms. Pushpita Dey: Also, just one follow up question regarding that NARCL part. So, are the bad loans being transferred only to NARCL or have you considered any other ARCs to o this time or just the NARCL?

Dr. Debadatta Chand: We do, we transfer to other ARCs also including NARCL. So, La l Singh saab , anything on the amount you have for this year , NARCL transfer?

Mr. Lal Singh: Yeah, thank you, sir. This year to NARCL we have transferred three accounts amounting to Rs. 300 crores.

Ms. Pushpita Dey: Okay, and to other ARCs?

Mr. Lal Singh: Other ARCs also we have sold these accounts on 100% case basis, 4-5 accounts we have resolved.

Ms. Pushpita Dey: Okay, so majority of them has been to NARCL, if I understand it correctly.

Mr. Lal Singh: Yeah , yeah .

Ms. Pushpita Dey: Okay, thank you. Thank you so much sir.

Moderator : Thanks, Pushpita . Next question is from Christina of Financial Express.

Ms. Christina: Hi, good afternoon. Am I audible, sir?

Dr. Debadatta Chand: You are audible. Please go ahead.

Ms. Christina: So, I just wanted to ask on NPA in agriculture, it has been increasing quarter on quarter even fresh slippages have gone up. So, with the prediction of weak monsoon, how do you see this going ahead?

Dr. Debadatta Chand: Yeah, I mean, this is a normalized slippage that we see on agriculture every time. So, I mean, there's not something elevated at this stage, but always there will be fresh slippage and also will be recovery on the other side. So, what is the balancing numb er that we look at? I mean, one is that fresh slippage and how much we recover. So normally we try to balance out both the things so that we contain the GNP A. So, if you look at agriculture sector as a whole, there are a lot of schemes we have, which is a we call it NDA, NDA schemes where we recover money also. There are other

measures, Lok Adalat, multiple measures to recover money. So, in terms of overall GNPA, agriculture has not improved. It has gone down. In terms of absolute amount, there is a marginal uptick. But then I think there is equal amount of recovery to compensat e for the marginal uptick.

Ms. Christina: I got it. So, with the prediction of weak monsoon, do you expect, how do you expect the impact on the portfolio?

Dr. Debadatta Chand: Weak monsoon, I don't think that's going to impact because the Indian agriculture sector has been aligned with the seasonality since decades and decades. Right. So, the farmers know how to best manage and the banks know how to best manage the portfolio. I don't think there is a challenge at this point of only because there is a forecast of weak monsoon.

Ms. Christina: Yeah. And one more question, sir. So, the business, the number of transactions through business corresponden ts is coming down Q-o-Q. So, could you please throw some light here?

Dr. Debadatta Chand: No, we are running one of the largest business correspondent network therein, but then at the same time, at the ground level, we enable a lot of digital application ourselves also. So now, lik

e BOB e -Pay can be something which is a UPI app, I mean, the Ban k of Baroda is having . So, a lot of, I mean, financial inclusion schemes there, you know, the Bank 's own application is also quite strong. So, BCs are not only engaged for operational transactions, they are now engaged for multiple other transactions other than the operational transaction. So, in terms of productivity, I think the payout to the BCs have been increasing because we are getting a productive outcome for each of the BCs that we have engaged. We run one of the largest BC networks in the same way. So, in that way, I mean, this is not at all in terms of transaction because my digital transaction is growing. There would have been one slide that talks about what is the percentage of growth in the digital transaction s. So as long a s the digital transaction is growing, I think this is not a point we should be concerned with regard to the BC point transaction s going down because BCs are engaged now for multiple other activity other than just handling the operational transactions.

Ms. Christina: Got it, sir. And just one more question, what is your fundraising plan for FY27?

Dr. Debadatta Chand: I think we have announced today that say Rs. 6000 crores of AT -1 and tier 2 we are going to raise this year. Saying so, already I just remind you; we have enabling provision of raising almost Rs. 8500 crores of equity capital over a period of 2 -3 years. That is still FY28. So, both the things remain for this year that the enabling provision of Rs. 8500 crores of which we had announced to the market earlier and this time for a yearly, I mean, fundraising target, we have announced that we are going to raise Rs. 6000 crores in the form of AT-1 or Tier 2 in this financial year.

Ms. Christina: Overseas borrowing, sir, any overseas borrowing you plan to?

Dr. Debadatta Chand: All would depend upon, yes, we do have plan to overseas, but that all would depend upon the market condition and the rate at which I can raise these resources. So ultimately, what's important to me is the spread that I get. So, we do have plan, last year a lso we had plan, but then somehow, I mean, the market still continued to be tight and we didn't get the right pricing for us. So, it's always on the table, but all would depend upon the market condition and the rate at which I can raise the resources. And we do run a significant international book, so there will be requirement of funds going forward. So always, overseas is always, bilaterally we raise always good amount of money from a single bank or multiple banks that keep on coming on media also. But as far as a medium -term note, suppose you should say, it is always on table, but then timing would be decided maybe at a later stage.

Ms. Christina: Okay, sir. Thank you.

Moderator : Thanks, Christina. The next question is from S hrishti Sharma of ET BFSI.

Ms. Shrishti Sharma: Thank you, Phiroza . Good afternoon, sir. First question to you on CASA. CASA, year on year has gone down. I need to understand how would you be going about your low -cost deposit mobilization? And that bulk deposits form 25 % of your whole deposit portfolio, did you also go about any shedding of bulk deposits in the previous fi scal? How does the whole CASA dynamics look like for you? This is my first question, sir.

Dr. Debadatta Chand: Shrishti, I'll be happy to know that at 38.9%, we have one of the top quartile CASA percentage in the system, right? And if you look at March over December, the CASA percentage improved by 45 bps right. On a year to year, the dip is 107 bps but if you see the market trend, this is still maybe one of the lowest that I believe on the market cut in the CASA. At 38.9 %, I think it's still very healthy as far as the Bank is concerned on the CASA. Saying on the bulk deposit, yes, the last 3 years we had a stance of reducing dependency on the

bulk deposit. I think at one point of time, bulk
deposit as a percentage of total deposit, which was in excess of 20 % rather, was 23 -24% has gone down to 17%. It is slightly increased to 19 point so me percentage for March. The reason being that, I mean, when there is a deposit growth, I mean, the credit advances growth has been faster than the deposit, then you have to raise resources in some means. So, it's more of a liquidity management in terms of raising slig htly extra bulk deposit and growth, the retail term deposit growth is almost 15 %, 14.8 %. The bulk is 24 %. So slightly extra growth is precisely to manage the overall market and also the loan growth and the same time managing liquidity. But yes, on a dependency scale, we are very, I mean, mindful of not relying too much on the bulk deposit, both from the volatility perspective and also on the cost perspective. So as a Bank , we still continue to have a stance of less dependency, but sometimes you may require to do based on the balance sheet requirement.

Ms. Shrishti Sharma: Sir, any ideal percentage that you look for bulk deposit to have in your , this deposits going forward? It's 25, where do you, what is the ideal percentage as per you, where would you want to take it?

Dr. Debadatta Chand: There is no ideal percentage, the only stance is to reduce dependency. So, in that way, I will continue to reduce dependency. So currently also it is below 20 %. Think on this in case we cross 20 %. So as of today, I'm comfortable within my own target range of operating within 20 %. Right. So, I'm taking this as a percentage of total deposit , you have to recompute the data in that way. That's the target that we aim to achieve.

Ms. Shrishti Sharma: Noted. Sir, second question, any new businesses that you've planned on entering this fiscal? We've heard a lot of public sector banks trying to foray into wealth management. Are there any plans on your cards as of now for foraying into new businesses? Any new businesses on the cards as of now?

Dr. Debadatta Chand: We have done that, ma'am. Wealth, we have a significant scale for last many years. Wealth, we do significant business in the wealth side. In terms of getting into new businesses, we already announced on 1st April, we made it operational where we floated a company that is a PD company, primary dealer company, which also between the DCM business. So, we want on the debt side to capture the businesses over there. And yesterday we announced that we got approval for , I mean that appointment for being a sponsor on the pension fund side.
So, we have been, we have a nentity called BOBCAP that focus on the equity. Now, the BOB Securities and Giltedge Limited would be doing the PD business along with the DCM. And third is that we want to, again, scale up our business on the pension side. Last year, we had formalized a company called Baroda Sun Technology. That's a purely a tech company meant for Bank o f Baroda for investing into emerging technology. So, I think with this, we cover the span of, I mean, the businesses that we want to have, particularly on the financial space. Both insurance and mutual fund, already we have existing companies that are oper ating strongly on those space. We have a card business outside the Bank and the card business expected to grow well, do well. So, I think with this, my current plan of getting into other businesses outside the standalone Bank , I think we're done with that.
Anything further we announce at that point of time. But currently we need to, whatever two companies that we have, I mean, one company already made operationalized, another company going to be. I think we need to stabilize them, strengthen them before we t hink of anything else.

Ms. Shrishti Sharma: Sure sir , last question on, if you've laid out the hiring plans for FY27, how many, how much of workforce addition would you be doing this

year and what are the areas you'll be
focussing on? Thank you.

Dr. Debadatta Chand: Last year, we planned to hire almost 7 ,000 employees, consisting of clerical officer, all staff, including a specialist officer. And 4 ,000 have joined with the Bank , right. So, this year also the hiring plan continue to be the similarly 6 to 7 ,000 employees. But sometimes whatever your hiring plan, people don't join once you offer. Some of them do not join. So, in that way, I think we'll be adding something around 4 to 5 ,000 headcounts in this year. I mean, 2026 -27, I meant to say.

Ms. Shrishti Sharma: Thank you, sir.

Moderator : Thank you, Shrishti. Next question is from Atmadip Ray of Economic Times.

Mr. Atmadip Ray: Good evening. I have 3 small queries. One is, what is your capital raising plan in FY27? And number one, number two, what is the size of your SLR book in terms of numbers? I mean, in terms of share, percentage wise? And third question is, in March, there have been some issue in case of your home loan. Some borrowers have complained about infla ted EMIs, perhaps because of some technical errors. So how do you plan to address those issues in the future? And what are the status as of now?

Dr. Debadatta Chand: Okay, so on the capital raising, as I announced in the form of AT -1 and Tier 2, we'll be raising around Rs. 6,000 crores. That's the plan for this year. So, as I said, on the equity side, there was enabling, what you can say, we announced to the market earlier, the Bank would be raising Rs. 8,500 crores of CET -1 over a period of medium term that goes up to FY28. So that's the capital plan. Intervening other than the capital also, we keep raising resources like we raised the green infras tructure bond. We raised multiple such option to raise the bond market also as far as the long - term funds of the banks are concerned. So that's the plan as of today. But then any such thing will announce to the market at that point of time. But capital, as I announced, it is already announced to the market.

The size of the SLR is currently around, it goes on 22.5 to 23 %. So, we roughly run a buffer of up to 4.5% - 5% on the SLR. That's there as far as the size of the SLR.

We talked about a couple of interest rate, some of the application of interest rate. Some of the Bank has a very robust system in terms of application of interest, both on the system and otherwise the auditing system. If any error somewhere occurs, then the Bank immediately acts and rectify that. So, I don't have anything, because the Bank system is a very, very robust in terms of applying rates. Some of the times, like the resetting becomes an issue in terms of, suppose you don't know the resetting date, t hen there is a miss over there and there is a confusion in the mind of the customer. But we don't have any such issue as of today in terms of any application which is not applied properly.

Mr. Atmadip Ray: Thank you.

Moderator : Thank you, Atmadip. Last couple of questions, Falaknaaz of Deccan Chronicle had a question.

Ms. Falaknaaz: Yes, sir. Hi. I wanted to understand, you know, of the total loan portfolio that you have, how much of it is MCLR linked, repo rate linked? How much of it is fixed and how much it is MCLR? And when you're saying that there will be a repricing on the advanc es side. So that means that you will raise the spread on those repo rate linked loans or will it be, will it go up on MCLR loans also?

Dr. Debadatta Chand: Okay , so let me give the composition of the book in terms of different benchmark rate. MCLR linked is 36 % on the BRL LR, which is repo linked is 35 % and the remaining

external linked, whether it is a T -Bill, G-Sec or fixed are remaining the balance of percentage. So that talks about the composition .

In terms of repricing, resetting there is a s pread , what you can say, like for every MCLR, it

has to be
reviewed, renewed once in a year. So, the resetting or any spread realignment happens at that point of time. In terms of the repo linked, there is a guideline which follows in terms of when you can rese t those spread. If there is no change in the BRLLR also, these rates can go up and down depending upon

the resetting that happens after certain years. So, we follow those principles that is in terms of the regulatory guidelines.

So, the way we look into, because we have a large book, so the resetting, it happens continuously over a period of time for different asset class. And different asset at different point of time. So, when the overall market scenario, again, would depend upo n the cost structure you carry on the liability. So given a scenario, the cost structure is getting changed or the cost structure is going upward, then possibly you have to reset those rates. So that's in terms of the regulatory guidelines. And we will kee p reviewing that at every point of time.

Ms. Falaknaaz: So as of now, you are meaning as of late, you are not looking at raising the rates on the advances side?

Dr. Debadatta Chand: No, not that actually, what I said that at the time of the resetting or the renewal that we do at that time, we review both on the spread and once….

Ms. Falaknaaz: Yes, but the chances are that the rates will go up, loan rates, because you have to protect your NIM s. And on the deposit side, you can't raise rates.

Dr. Debadatta Chand: No, deposit, as I said, you said, right, at this point of time, I mean, we just look at the market scenario, market can change because the rate market is largely dependent on the liquidity prevailing in the market, right. If the liquidity gets the tighteni ng of rate, obviously on the advances also have to reset the rate. If the liquidity, ample liquidity, the rates, the cost structure goes down and you have to pass on those benefits. So, it's a dynamic scenario in terms of how do you pr ice your asset and liability on a n ongoing basis. But again, I'll just beyond the rate stance, I can say to a large extent the pricing again depends on the available liquidity in the system.

Ms. Falaknaaz: Okay. And one more thing is on the technology side, what was the spend last year and will they go up, you know, given those cyber threats that have gone up?

Dr. Debadatta Chand: Yeah, our spend s, normally we do both the O pex and C apex , almost 10 % of the operating profit. You know, our operating profit, right, for full year, so that's a normal target. But then I think , going by the tendency in the market in terms of the need for investment, considering the cyber threat, a couple of things that we talked about earlier with regard to the AI threat, I think we need to upsize that. But head wise, Mr. Mudaliar, anything from your side on this?

Mr. Sanjay Vinayak Mudaliar: So, thank you, sir. Sir, we had around Rs. 4,500 crores as the spend, both Opex and Capex put together in technology, and we are currently meeting all these requirements. But in case if there is any such eventuality comes, we do have provisions available by which we will be spending extra. But as of now, we are well covered by all means. That's all from my side.

Ms. Falaknaaz: Thank you.

Moderator : The last couple of questions, any stress observed in the, and this is from Aaryan of Informist, any stress observed in the MSME sector in April as the war has prolonged? Second question, when do you plan to raise the AT -1 or Tier 2 bonds through the year? And can you shed some light on timelines for setting up the pension fund subsidiary? And when will the standalone PD become operational?

Dr. Debadatta Chand: Okay, so stress on MSME, look, that is what actually in terms of percentage, both in the stress book, which is a SMA 1 and 2 book, or including your SMA 0 book, as on today's cont ained , it's better than the las

t quarter. So that gives a huge comfort that the resilience of our MSME sector vis -a-vis the geopolitical issue. Earlier also, whenever all these entities wanted some support within the Bank guidelines, we have extended all those support in terms of elongating their due date, a co uple of other support. Now the government has come out with the ECLGS now. It's going to give a huge boost to their current resilience and going to, I mean, help them to grow faster also. So MSME in terms of numbers, March over December, we have not seen a ny stress. The numbers are better as compared to March over December.

AT-1 and Tier 2, as I said, Rs. 6,000 crores , there is no timelines. But this is throughout the year, any time, because what is important for us is price point. So, in case we find the market cools in terms of rate of interest, then possibly we can hit the market. But all would be depending on the t imelines and the target time is throughout the year.

On the timelines for pension fund, the pension fund only we have got the appointment letter. Many of the regulatory approval we are yet to take, but my normal sense would be something between 6 to 9 months can be timelines on an anticipated level. But all would depend upon the approval that we need to have multiple f ronts now , once we have the PFRDA permission. And the last one you talked about. And just missed it out, can you just repeat that?

Moderator : On the pension fund subsidiary, can you shed some light on timelines for setting up the pension fund subsidiary and when will the standalone PD become operational?

Dr. Debadatta Chand: So, as I said, on the pension fund 6 to 9 months, whereas the standalone PD, the PD is already operational from 1st April 2026. So, it's for them time to now scale it up from this initial start. We are quite hopeful of scaling up. We have committed a capit al of Rs. 2 ,000 crores for this, the PD business. And currently they have only availed Rs. 500 crores . There is a significant scope to upsize their business model, but they have just started from 1st April and we have a significant expectation out of this, the PD business, because we want them to also focus on many of the debt

instrument and be a market maker in those instruments. So, I think we have a very good expectation from this entity. And I think Bank having a large investment book internally, I think as a group we can do well on the debt market segment.

Moderator : Thank you, sir. The last question is from Aathira of Business Standard and it is on Vodafone Idea. And the question is, what is the Bank 's plan on lending to Vodafone Idea?

Dr. Debadatta Chand: Ma'am, I'll just take a pardon on this because as a policy of the Bank , which the Board has laid out, bilateral account we don't discuss. So, in case of something, one we can later stage offline can reach out to us. But on a, I mean, meet we don't discuss any bilateral account. So, I take pardon for that. Thank you.

Moderator : Yes sir. That will be the last question that we'll be able to take today. So, thank you, everyone, for joining us today and have a good evening.

Dr. Debadatta Chand: Thank you. Thank you, all the media friends. I know there is a crunch time today for three banks. So, thank you very much.

Moderator : Thank you.

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Bank of Baroda Analyst Meet for Quarter and Year ended 3 1st March 2026
8th May 2026

Participating members from the Management Team of the Bank
➢ Dr. Debadatta Chand, Managing Director & CEO
➢ Mr. Lalit Tyagi, Executive Director
➢ Mr. Sanjay Vinayak Mudaliar, Executive Director
➢ Mr. Lal Singh, Executive Director
➢ Ms. Beena Vaheed, Executive Director
➢ Mr. I V L Sridhar , Chief Financial Officer (CFO)

Moderator: Good evening everyone and welcome to the Analysts' Meet for Bank of Baroda's financial results for

the quarter and year ended 31st March 2026. Thank you all for joining us. We have with us today our MD and CEO , Dr. Debadatta Chand and he is joined by the Bank's Executive Directors and our CFO. After brief introductions , we have a presentation on the results with the highlights of the performance which our CFO will take you through. Followed by opening remarks by Dr. Chand and then we will start with the Q&A session. Ch and sir, I would request you to begin.

Dr. Debadatta Chand: Thanks, Phiroza and all my analyst friends. Very good evening to all of you. I think you ha ve a busy day today because 3 banks have announced their financial s today. So, thank you so much for joining. And just to introduce the management team, I am D. Chand, MD and CEO of Bank of Baroda. With me is Mr. Lalit Tyagi, he is the Executive Director. He looks after the corporate credit, the international banking and more importantly the treasury with him. We have Mr. Sanjay Mudalia r, he is th e Executive Director. He looks after the IT function of the Bank and including the retail asset which is again a large book as on today apart from a couple of other platform functions. Then we have Mr. Lal Singh, he is the Executive Director. He looks after the SAMV vertical which is a stress asset management vertical, including HR and also the MSME department is also a part of his portfolio. We have Madam Beena Vaheed, she looks after the operation s of the Bank , the CCO reports to her including the risk ma nagement, many of the platform functions including the compliance and control audit and also the retail liability which is again a large franchisee for the Bank . And we have the CFO, Mr. I.V.L. Sridhar. So, he has been there for a couple of quarters interacting with all of you. With this, I hand it over to Phiroza.

Moderator: Yes, sir. We will now have the presentation.

Mr. IVL Sridhar: Good evening, everyone. It is my privilege to present before you the financial highlights of Bank of Baroda for the quarter and financial year ended 31st March 2026. As at the end of 2026, the Bank 's global business volume has crossed a milestone of Rs. 30 lakh crore s and stands at Rs. 30.78 lakh crores registering a Y -o-Y growth of 13.9%. Our global advances have grown by 16.2% Y-o-Y with domestic advances growing at 14.5% and international at 24.4% . Within the advances book, the Bank has continued to focus on RAM advances. Our organic retail book grew by 17.9%, agricultur e by 20.7% and organic MSME by 15.6%. Corporate loans have grown by 11.2% Y -o-Y. Within the retail segment, we have seen smart growth across the portfolio with auto loan by 20.6%, mortgage loans by 19.3%, home loans by 14.6% and education loans by 10.9% and personal loans by 8.7% Y -o-Y.
In terms of deposit growth, our total deposits have grown by 12% with international deposits growing by 7.5% and domestic deposits by 12.8%. The domestic CASA deposits have grown by 9.8% and term deposits have registered a growth of 14.8% Y -o-Y. As of 31st March 2026, the Bank 's domestic credit deposit ratio stands at 83.4%. The CASA ratio stands at 38.9% up by 45 bps quarter on quarter.
With regard to our quarterly profit metrics, our operating profit for the quarter stands at Rs. 9,069 crores registering a growth of 11.5% Y -o-Y. The Bank has adopted new mortality rules for arriving at the AS-15 liability which led to an increase in the employee cost by Rs. 520 crores. Our net profit for Q4 2026 stands at Rs. 5,616 crores registering a growth of 11.2% Y -o-Y, which is the highest ever quarterly net profit. Return on assets remain consistently above 1% at 1.15% in Q4 2026. Return on equity s tands at 17.27% for the quarter.

For the full financial year FY2026, our operating profit stands at Rs. 32,259 crores. Our net profit for FY2026 stands at Rs. 20,021 crores which is the highest ever net profit. Return on assets rema

in above
1% at 1.06% in FY 2026. Return on equity stands at 15.39% for FY 2026.
With regard to key ratios, our yield on advances stands at 7.44% for the quarter and 7.71% for FY 2026. Bank's cost of deposits for the quarter stands at 4.78%. It stands at 4.87% for FY 2026 as against 5.10% in FY 2025. With regard to our net interest mar gin, it stands at 2.89% for the quarter registering a sequential improvement of 10 bps. It stands at 2.89 % for the whole FY 2026.
Now, we come to our asset quality which continues to remain robust. Our GNPA ratio has improved by 37 bps Y -o-Y and stands at 1.89%. Our net NPA ratio is below 1% at 0.4 5% and improvement of 13 bps Y -o-Y. Our provision coverage ratio including TWO is comfortable at 93.94%. Our slippage ratio for Q4 2026 has reduced by 11 bps Y -o-Y and stands at 0.89%. Slippage ratio for FY 2026 also reduced by 6 bps Y -o-Y to 0.72%. Credit cost for Q4 FY 2026 has increased to 0.76% as against 0.44% in Q4 FY 2025 due to the p rudential floating provision of Rs. 1,500 crores made by the Bank during the quarter. Credit cost excluding the floating provision would have been 0.32% for the quarter. Credit cost for the full financial year stands at 0.46%. Again, the credit cost excluding floating provision would have been 0.34% for the full year.
Coming to our SMA and collection efficiency, our CRILC SMA 1 and 2 as a percentage of our standard

advances reduced to 0.18% as of March ‘26 as against 0.33% for March ‘25. Our collection efficiency excluding agriculture remains robust at 98.9%.
In terms of our capital adequacy, our capital position continues to be strong with CET -1 at 13.16%, TIER -1 at 13.64% and overall CRAR at 15.82%. Our quarterly average LCR remains healthy at approximately 127%. Bank has declared a dividend of Rs. 8.5 per sh are subject to requisite approvals. Thank you.

Moderator: Thank you, sir. Chand sir, over to you for your opening remarks. Sir, you are on mute.

Dr. Debadatta Chand: Yeah. So, thanks Sridhar saab and to all my analyst friends. Let me make a couple of qualitative comments on the financial s that we have announced for this year and also for the quarter.
I think we have a very strong growth both on the balance sheet and also on the profit and loss. A couple of numbers that we see on the balance sheet, this year we crossed the league of Rs. 30 lakhs plus kind of a business and the business stands at Rs. 30.78 lakh crores of business as on 31st March. At the same time, a couple of other milestones that we see on the financial is that we crossed Rs. 20,000 crores of net profit for the standalone entity. And the profit becomes Rs. 20,021 crores for the financia l year. And the profit for this quarter Rs. 5,600 crores possibly is the highest in any quarter for the Bank for many years, maybe for the decades.
On the advances side, although our guidance was 11 to 13 %, but in terms of the percentage that we have announced is a global advance growth of 16.2 %. And the domestic advance growth of 14.5 %. At the same time, the deposit side, we have seen one of the b est quarters, which again, a couple of

quarters, we have seen a deposit not catching up to the growth in advances with the deposit growth is almost 12 % full global deposit with a CASA growth at 9.8 % and the saving growth at 9.1 %. I think these are the numbers which maps very well , with regard to our focus on low -cost deposit and our focus to grow on the CASA because last many years we are focusing on the CASA deposit and we have, I mean, improved on the services side, product side, bundling of products, so as to improve on the CASA front.
Both the growth of advances and deposit, if I see this is the best quarter in the last 10 quarters. So, I mean, we have seen the journey of banks, the journey of the industry for the last 10 quarters in terms of growth percentage. But our number, the perce ntage growth in this q

uarter has been the best in
last 10 quarters.
On the profitability front, the NII growth has been positive. And you would have seen a number saying that the increase in interest income has been higher than the interest expenses. That is something in earlier quarter slightly it was going negative in te rms of the interest income not growing up to the extent of the growth in interest expenses. So, I mean, this quarter, I mean, the trend is different. The interest income growth has been higher than the interest expenses.
Consequently, the NIM, the NII is at Rs. 12,494 crores, which is a growth of 8.7%. The NIM domestic at 3.04 % and the global is at 2.89 %. And this NIM percentage is also higher than that of last quarter.
As the CFO said, on the employee front, because of the hardening of the yield, the obligation under AS-15 has gone down. But at the same time, the Bank decided to migrate to the new mortality table where there is an additional liability requirement of Rs. 520 crores , which we have provided for. So, I mean, the employee cost that you would have seen, including AS -15, the trend is in line with the system what other banks also would have announced.
Couple of numbers in terms of the operating profit of more than Rs. 7,000 crores , I mean, we are announcing this more than Rs. 7,000 crores operating profit for last 14 quarters. And this quarter it is Rs. 9,069 crores. Net profit we are announcing more than Rs. 4,000 crores for last 13 consecutive quarters. Similarly, the ROA of more than 1 %, that is one of the guidance number s, we have that we are having more than 1 % for last 15 consecutive quarters. The ac cretion to book value , which is again one of the fundamental factors in terms of what you look as an investor, it has improved from Rs. 148.8 from March ‘23 to Rs. 251.7 in March 2026. Increase or incremental addition of book value to the extent of Rs. 102.90.
Asset quality has been one of the best as far as the numbers are concerned, the GNPA at 1.89 %, the net NPA at 0.45 %, both in terms of the slippage ratio and also the credit cost, the credit cost full year is 0.46 % as compared to 0.47 %. Both well within our guidance range. I think the asset quality and in terms of the CRILC data in terms of SMA 1 and 2, more than Rs. 5 crores also, it has gone down from almost from 0.36 % to 0.18 %. So, with this, I think the asset quality has been good as far as we are concer ned.
Secondly, a couple of initiatives that I want to highlight before you is , that the Bank recently raised a Rs. 10,000 crores of green infra bond. This is the first in India to raise a green infra bond and the response was 3x of the amount that we wanted to mobilize. We have an outstanding green deposit as on today to the extent of Rs. 1,899 crores and I think by far is the highest deposit in the system. We

have also announced this time that we are going to raise capital in the form of AT -1 and Tier 2 to the extent of Rs. 6,000 crores in this financial year. I also remind you a s per earlier announcement wherein we announced that the Bank would be keen to raise Rs. 8,500 crores of equity capital over a medium

term that is up to FY28. So, in terms of capital raise, it is almost like we have the, what you can say, not pipeline, but a room to raise Rs. 14,500 crores consisting of Rs. 8,500 crores pure equity and Rs. 6,000 crores of AT -1 and Tier 2 for this year, 2026-27.
Let me retrieve a couple of guidances normally we give. The loan guidance we are upsizing from the earlier guidance of 11 to 13% to 12 to 14% considering our performance. Subject, the global headwinds does not impact big time to the Indian market. The depo sit growth is from 9 to 11% earlier, it has been upsized to 10 to 12%. The NIM, we achieved 2.89 % this quarter, but we are slightly looking at a probable repricing of asset liability while projecting at 2.75 to 2.95 % for the full year. The

ROA
continue to have more than 1 % and that is what we had earlier guidance also continue to have the same guidance. The slippage ratio also we still keep it at the same level of 1 to 1.25 % and the credit cost below 0.60 %. So, these are a couple of guidance I think important for you. With this, I am done with my opening remarks. We will open for question and answer.

Moderator: Thank you, sir. If you have a question, please raise your hand or you may also type your question in the Q&A box. We will start the first question with Rikin Shah. Rikin, if you can please unmute yourself.

Mr. Rikin Shah: Hi, good evening, sir. Thanks for the opportunity. Just two questions. First one, on your reported global yields on advance and cost of deposits, both have moved down and the cost of deposits have gone up, but the margins are higher. So, presumably, that is due to some interest on IT refund. So, while I do acknowledge that yo u have called that to be core in the past, but if you could just quantify the amount of the same. That is number one.
Second question is specifically on cost of deposits. So, if the global as well as domestic cost of deposits have marginally gone up in this quarter versus the last quarter, how is the outlook on the same? Fair to say that the TD repricing is already done f or us completely and how only the cost of deposits move. And the third and the final question, sir, is on the OpEx, two moving parts, as you pointed out. Now, with this mortality rate change, how should I think about the ongoing OpEx going ahead, employee expenses specifically?

Dr. Debadatta Chand: Okay, thanks, Rikin. Coming on the margin and particularly the yield on advances and cost of deposits, I think the denominator of both the things are different, whereas the NIM takes care of the full on the asset side. So, the spread and margin are differe nt. So, we should not compare the spread and margin because that would give a different picture. At the same time, I do agree there is a line item with regard to the IT refund. And earlier also I said, because since we have a large provision on the IT, we keep on getting this as a normal flow. It can be higher or lower in a particular year and precisely for that reason, although we had a 2.89% NIM for this quarter, we projected at 2.75 to 2.95 %. So, that accounts for any volatility that may be because of the IT refund. But for me, the NIM is one that is a core NIM and what we announce the NIM is the core NIM. So, that is with regard to, I mean, we should not get confused with the spread and marg in because margin computation is different than the spread.

Mr. Rikin Shah: Fair enough. But would you like to quantify, sir, the interest on IT refund in this quarter? I think last quarter it was about Rs. 300 or 400 crores.

Dr. Debadatta Chand: No, actually, we do not have a number, I do not have a number, you can offline, get a number. But again, the same thing I reiterate because there are refunds, significant refunds coming every year that we have seen. And the amount can be higher and lower a nd precisely for that reason, actually, I have given a guidance, lower guidance at 2.75 %.

Mr. Rikin Shah: Got it, sir.

Dr. Debadatta Chand: But whatever amount that is very insignificant to the overall, I have an income base o f almost Rs. 1,26,000 crores. So, in that way, that is not very significant to impact on the margin. Cost of deposit, you are right, I think it is getting sticky at this point of time. So, if I compare March over December, although the cost of deposit for as far as we are concerned is one of the lowest in the market, at 4.78 %, I think we are one of the lowest in the market on the cost of deposit. But going by the liquidity scenario prevailing, because suddenly in the March quarter, the geopolitical issue came big time and which is still persisting. So, in that way, my sense is that, I me

an, the cost of dep osit is going to be sticky. Maybe there is a scope of realigning on the asset side, but as on today, I don't see a cost of deposit further going down at the current scenario if the liquidity continues to be the same like it is as on today. So, in that way, slightly mindful of the repricing effect of the asset rather than the deposit, because deposit whatever has been fully repriced as on today based on the current level. On the mortality, I think the CFO will be the right person. But before that, Madam Beena, anything you want to say on the cost of deposit?

Ms. Beena Vaheed: No, sir, because I think it is likely to remain at the same levels because it will be elevated. March quarter, we saw a slight increase in the cost of deposits and it is likely to continue for this quarter as well, because we don't see it coming down any t ime, at least for the next 3 months.

Dr. Debadatta Chand: So, Mr. CFO, can you just address the mortality table and what is the benefit…

Mr. IVL Sridhar: Yeah. Sir, actually the one -time impact that we have taken due to movement in the new mortality table which is Rs. 520 crores. This is one time. Going forward, the recurring impact will be very negligible.

Mr. Rikin Shah: Got it, sir. Perfect. Thank you. And sir, if I can just add on one more question. In the SBI call just prior to our call, they were alluding to some scope to improve the yields on advance as the corporate borrowing moves from the T -bill to the MCLR. Is this something that we can also poss ibly do or is that a likelihood or a positive kicker on yields on loan going ahead?

Dr. Debadatta Chand: That is what I said. Actually, when I said the deposit is sticky, that means the only scope for us to realign the asset pricing. When the rates were really low, many MCLR -linked loans got repriced with the external benchmark, more particularly T -bill. With the elevated, I mean the rate structure which is prevailing because of the geopolitical issue, I think there is scope for realigning that portfolio and that is what actually our strategy to look into those pricing very closely.

Mr. Rikin Shah: Got it, sir. Thank you.

Moderator: Thank you. The next question is from Jayant Kharote.

Mr. Jayant Kharote: Thank you for the opportunity, sir. My question is on the ECL guidelines that have come through. You have been in the past transparent about the impact. I think you have called out around 18 bps sort of a steady state impact. Is the final guideline to your earlier calculation tallying with it, is it better than that or could it be higher than that? That is the first question.

Dr. Debadatta Chand: Thank you very much for that. Actually, earlier it was a draft guideline. So, it was possible to estimate or guesstimate , that impact. So, now that there is a final guideline. So, what is our stance is that unless and until we compute fully on that, it is not proper to quantify that , at this stage. But my sense is that whatever guidance we had given earlier, it is not going to, it would be aligned to those numbers. So, I am not expecting any significant change vis -a-vis the earlier, I m ean, although that was more of a tentative calculation in that manner, but we want to see the real impact and then possibly articulate better and that would be a proper to articulate rather than giving any number at this stage. So, that is what actually I said in the media meet also and I am saying it here also.

Mr. Jayant Kharote: Understood. So, second question is on the trajectory of margins. While I understand your full year guidance is in that 2.75 % range, is it fair to assume it will first move down and then move up in the second half given the near -term pressure on deposits and given the asset repricing strategy that you are trying may take a while before it shows up on yields?

Dr. Debadatta Chand: You are right. One thing that we

are assuming for this quarter at least that the cost structure is going to be sticky. I mean, as I said, the cost of deposit further moderation going by the current scenario , we are not looking at. So, the only way the NIM we can manage with regard to realigning the asset pricing and that would be one of the key focus as far as our, I mean, management work is concerned. But at the same time, why slightly we give a conservative number because this IT refund is a flow which is although a continuous one, but it can go up and down in every quarter. And that depends upon the refund order that we get. So, keeping everything in mind, so we have given a slightly conservative guidance on the lower side. Not necess arily it would happen in the Q1, maybe at the later quarter, but that all depend upon how do you do all this, what I can say math together so as to protect the margin.

Mr. Jayant Kharote: And I assume sir the 2.75 % is the lowest number ex of IT refund, that is why you kept that at the lower end

Dr. Debadatta Chand: All four quarters together, I think we should not be breaching this lower threshold of 2.75 %.

Mr. Jayant Kharote: Even with zero IT refund, that is why you are confident.

Dr. Debadatta Chand: It won't be zero, I never said zero.

Mr. Jayant Kharote: No, no. I am saying that is why you are trying to give some innovative guidance.

Dr. Debadatta Chand: We have some estimate of the IT refund for the full year based on the orders and the seasonal or whatever the past trend. So, based on that is the guidance .

Mr. Jayant Kharote: Understood. Sir, lastly, on the incremental OpEx, I do understand, is there any revision on employee means because of the yield movement that you have taken in this quarter?

Dr. Debadatta Chand: No, the AS -15 impact already articulated by CFO, I think CFO can you just go ahead with your AS -15 impact. So, that is the only OpEx that maybe slightly he may be interested to know.

Mr. IVL Sridhar: Actually, the mortality tables which we have adopted are the latest tables. With that the one -time increment in the AS -15 obligation is around Rs. 520 crores that we have fully absorbed in this quarter. Going forward, the recurring impact will be negligible. Regarding your question, I think it pertains to the wage settlement, which is still not yet due.

Mr. Jayant Kharote: Thank you very much and all the best for the year.

Dr. Debadatta Chand: Thank you.

Moderator: Thank you. Our next question is from Kunal Shah.

Mr. Kunal Shah: Yeah. Hi, am I audible?

Dr. Debadatta Chand: You are audible Kunal, please go ahead.

Mr. Kunal Shah: Yeah, thanks for taking the question. So, firstly, when we look at it, the increase in the bulk deposits which have been there and I think the earlier question on cost of deposits, I think it would be also the factor of bulk deposits getting raised, which was almost like say 14% quarter on quarter and 25 -26% year on year. Maybe few quarters back, we had seen an incident wherein all of a sudden , we reduced both the bulk deposits as well as the wholesale portfolio at one point in time and we s aw a significant reduction in the balance sheet size. At any point in time, would again we be pursuing that in terms of the margin management or ROA management exercise, if you can just clarify that. So, that's the first question.
Second question is on floating provisions, Rs. 1500 odd crores. So, this would be towards ECL transitioning, I believe. And how much more do we plan to create it further? Is it like maybe, so obviously, credit cost was much higher during the quarter, including this floating, but would we see that conti nuing for a couple of more quarters?
And on recoveries from written off again, compared to our guidance of Rs. 750-850 odd crores, we saw a substantial increase. There seems to be some one -off account there. But othe

rwise, in terms of
the guidance for FY27, do we continue to maintain Rs. 750-850 crores? You alluded to most of the other parameters in guidance, but this time you have not given it for recoveries. So, just would want to reconfirm that as well.

Dr. Debadatta Chand: So, thanks Kunal. You said right with regard to, we said earlier, maybe 2 -3 years back that we want to reduce the dependency on bulk deposit. When I said dependency at that time, bulk used to be almost like, I am talking about the total deposit as a percen tage was almost 23 -24 %. And we went down to almost a level of 17 % at some point of time, maybe 2 -3 quarters prior to this. Having said so, because of bulk deposit dependency, here the balance sheet size has not actually was, I mean d e-grew, the balance sheet continued to grow strong. The strategy was to replace the bulk with the low -cost deposit. And there we have been doing consistently well for last many quarters and this quarter also you would have seen our saving growth is 9.1% and you can compare with many banks who have declared and what is the growth they do have. So , the strategy has really worked in terms of focusing on the saving and that's why we have one of the highest CASA percentage within the p eer banks. I mean, currentl y also it is almost at 39% and you have the comparison available. So , you can make it out how the strategy works. On the balance sheet, we have grown significantly, but in the same time, we could able to change the bulk percentage from bulk to low -cost side.
For the March quarter particularly, the geopolitical issue, what has happened, there was a liquidity possibility. The loan growth has been very at 16.2%. So , you need to be there in terms of managing both your liquidity at the same time, maybe you need to mobilize a bit of a deposit both from the bulk and CD together. We have a component of CD in the bulk, the number that we see Rs. 3,20,000 or 3,21,000 crores . So, CD as you know, these are again slightly the duration less with a cost also lower than the bulk deposit because typically bulk deposit is a one -year dep osit. So , in that way, the Bank is managing the liability, I mean, the liability profile in a manner which is again optimal in terms of liquidity, optimal in terms of pricing, optimal in terms of margin. So that we have been doing since long and I think that's something a positive traje ctory of the Bank for the last many quarters and years now.
On the floating provision, the provision has been created typically to go for the balance sheet for any extraordinary scenario, not for tagging with any ECL provision per se. This floating provision cannot be

touched unless and until there is a regulatory approval for that. So , it's basically a buffering the balance sheet strength to create floating provision rather than tagging with any particular ECL impact. If ECL impact is to be taken in the books directly, we'll take it in the books directly without touching the floating pr ovision. So , I mean, these two are not linked with that, but obviously, yes, any headwinds that can create both globally, also any such headwinds, I mean, because of the geopolitical issu e, we are mindful of buffering the balance sheet in terms of creating balance sheet strength.
Third, with regard to, you said, right, the TWO this time has been, I mean, higher as compared to because normally we give a normalized guidance of around Rs. 750-800 crores . This time, obviously, March quarter is always a productive quarter in terms of slightly making your efforts more in terms of recovery, and that has resulted into a higher recovery, particularly from TWO. And I'll continue to have the same normalized guid ance of Rs. 750-800 crores . Mind it , my TWO book is almost Rs. 62,000 crore s. So, estimating any such recovery quarter to quarter is, I think it's an appropriate number.

Mr. Kunal Shah: Yeah, so but wou

ld there be chunky account of Rs. 500-700 crores in recoveries this quarter?

Dr. Debadatta Chand: There are many, actually. It all depends upon when the resolution happened and when you recover money. There are legal processes, NCL T processes, multiple such things. So purely pinpointing that it can happen in a quarter, it's not possible. But then we are hopeful because the kitty is quite Rs. 62,000 crores is quite a large number.

Mr. Kunal Shah: No, no. I'm saying in Q4, was there any chunky account of Rs. 500-700 crores ?

Dr. Debadatta Chand: Not any chunky one. It was a, I mean, mid -size, some of the exposure, which was mid -size, maybe Rs. 200-250 crores , a couple of such accounts there.

Mr. Kunal Shah: Okay. Got it. Perfect. Yeah. Thank you. Thanks. And all the best. Yeah.

Dr. Debadatta Chand: Thanks Kunal.

Moderator: Thank you. Next question is from Parth Gutka. Parth, if you can please unmute yourself.

Mr. Parth Gutka: Yeah. Hi, sir. Sir, what was the LCR as of the March end?

Dr. Debadatta Chand: It is 127%.

Mr. Parth Gutka: Okay. And of this recovery from TW O of Rs. 1,400 crores , has some amount gone to the interest income line item?

Dr. Debadatta Chand: It is so, yeah. So, account ing is such that some amount goes in the interest income and also on the income from recovery from TWO .

Mr. Parth Gutka: Sorry, sir. I missed the amount.

Dr. Debadatta Chand: Rs. 100 crores has gone to the interest income part.

Mr. Parth Gutka: Okay. Okay, sir. Okay, sir. Thanks a lot.

Dr. Debadatta Chand: Okay.

Moderator: Next question is from Ankit Bihani.

Mr. Ankit Bihani: Yeah. Thank you for the opportunity. So, my first question is on the growth and deposit growth guidance. So, still we are expecting loan growth to continue to outpace the deposit growth to go ahead. And given that now, how much buffer do you have on the LC R front now? And what would be the comfortable LCR that we would like to maintain? And my second question is again on the interest on IT refund while you call out it as core, you know, contribution to core NIMS, but this number is very volatile. And do you expect this to sustain perpetually because somewhere this has to come down, right? Because in our calculation, I think it is contributing around about 10 to 15 bps towards your ROA. So, what is this? So, how long your interest on IT refund can continue?

Dr. Debadatta Chand: Okay. So, first thing you talked about LCR, I answered. Secondly, on the IT refund, let me on a growth outpacing deposit. Look, a sustained basis, you have the capital, right? So, you have a lot of other alternative resources where you can take refinance, you can raise bonds. So, we as a Bank clearly focus on creating a stable resource base, I will not say deposit base. So, while maintaining, even you would have seen the CD ratio almost at domestic around 83 point something on that. So, we improved vis -a-vis last quarter anyway on the CD ratio. So, the growth percentage, the base of deposit is a larger base as compared to the base of advances, that is point one.
Secondly, in a scenario where banks are holding like a, Bank like us holding more excess SLR, any deposit we raise need not be put that into SLR because the entire money can go to deposit. And that is what a scenario we are seeing in many last couple of years where because you are holding excess SLR, the money incr emental deposit, we are raising it straight going into the advances. So, in that way, I think this gap of 2.5 to 3% is sustainable, one, in terms of growth of advances and growth of deposits. So, that covers your, the advances outpacing deposit. At the same time, obviously, Bank would like to augment the resource base and want to grow higher on deposit.
Interest on IT refund, earlier also I said, yes, it is a line item, which is as per the, clearly as per the accounting, but ca

n be volatile, yes. So, I do not estimate with regard to what is the year this year,
what is going to be the year next year. These are all, I mean, based on the actual tax refund. So, that is why accounting for the estimate, we give a margin guidance. And that is why having achieved 2.89 %

also, I am giving a guidance of 2.75 to 2.95 %. Accounting for the same amount of money which you got this year, possibly may or may not be in the next year, based on the available, what is the refund that we expect. And that your issue is, I mean, covered in the margin guidance. That is what my, we typically do not get into quantifying, because it is a line item always there in the income as per the normal accounting norms. So, then why should I segregate that amount as a different amount? Yes, it is volati le, I do agree. But then we account this estimate in terms of how much we get in this year in the margin guidance.

Mr. Ankit Bihani: Lastly, how long this can continue for like 1 year, 2 years, 3 years, 4 years, whatever you can say. Look at our tax rate.

Dr. Debadatta Chand: I will give you guidance next year again. So, as far as this year guidance, I am very clear that there is going to be a good amount coming. So, next year, suppose I see there will not be any money, then I possibly would not account this and give a differen t guidance. So, my guidance for tax refund is based on this only 1 year. So, perpetuality we will discuss maybe in the next year.

Mr. Ankit Bihani: Okay. And so, lastly on the ECL front, I think I missed out on the answer of yours there. So, any quantification on what could be the impact and how could a credit cost run rate move on implementation of ECL?

Dr. Debadatta Chand: So, that is what we said earlier. Actually, when the draft guidance was there, actually it was able to estimate or guesstimate with regard to the likely impact and that we articulated in terms of actually absolute number also in terms of percentage, both o n the CRA R and also on the credit cost. But having issued the final guidelines, it would not be proper to without really running computation transaction wise difficult to sa y with regard to any quantification. We will do that, but we w ill do it slightly, once we implement and then have a number, possibly one quarter number coming very clear on that. So, I am not articulating any number. But my sense as on today, when I look into the final guidelines and the draft guidelines, will not be off track from the number that we estimated earlier. It will be aligned to those numbers. But actual, I mean, once you slightly implement at transaction level and get a clear picture at least for one quarter, then we will be in a position to quantify ever ything on the ECL impact.

Mr. Ankit Bihani: So, last quarter, did you guide that the run rate, credit cost run rate could increase by 18 bps, if I am able to recollect correctly?

Dr. Debadatta Chand: I will possibly have to recollect. I can't recollect. But whatever we said, I think my sense is that it is not going to overshoot significantly.

Mr. Ankit Bihani: Thank you for answering my question.

Moderator: Thank you. If anybody has any questions, I just repeat, please raise your hand or you can type your question in the Q&A box. The next question is from Rikin Shah.

Mr. Rikin Shah: Thanks for taking my follow -on question. So, this is relating to the SLR, right? So, we do disclose the domestic SLR, which is about 3 trillion on our balance sheet right now, which has just not changed in the last 3 -4 years. So, as a proportion of the NDT L, it has come off very sharply. And it's about 17% right now because I have only the total NDTL, not the domestic NDTL. My question to hear is that how much scope do we have further to, you know, or how much excess SLR is still left on the balance sheet for us to keep optimizing? That's number on

e. The number two is, you know, until
now, we were able to, you know, bring down the excess SLR via surrendering a lot of the securities in the OMO or the switches. The likelihood of the same is pro bably low going ahead. So, even in the event if there is no OMO, would you be willing to liquidate it in the market? And thirdly, just as a philosophical level, isn't it a better idea to lock in bonds at the higher yields right now, sir, rather than lendin g to the corporates and home loans at the similar rates? Of course, there will be some amount of capital charge and the credit risk also involved.

Dr. Debadatta Chand: You are right. The treasury management, the Bank is running one of the largest, actually. We are amongst the top three or four in terms of holding. So, at some point of time, the SLR holding was almost 26 -27%. But subsequently, as of today, it is around 22.5 % or 23 %. It goes on floating. But while managing this SLR, it is not one way that we surrender. I mean, we sell or we put that on OMO. We keep on buying at different level as per the market condition s. So, whenever we feel the levels are elevated, we get into the market. So, it's a churn happening. Maybe 1 -2% on the SLR is a continuous churn that happening in terms of buying and selling. So, in that way, it's always an optimization game rather than a single selling that SLR and make profit. So, in that way, I thin k we are managing treasury well in that way. And I think that something is part of the treasury management because the trading profit comes out of all this churn. It's not necessarily you sell only your book and make profit. You have to buy and sell and then only you can make profit. So, our strategy on that would continue.
But in terms of a comfort range you want, because see, the advantage of excess SLR is that it generates liquidity. That's the very potent or important purpose of running excess SLR. And that helps in liquidity. So, that's very clear. So, Bank would like to, now as against 18 %, you are at 22 %. That means you are almost running 4.5 % excess SLR. We like to operate at a safety, I mean, a threshold of maybe 3 -3.5% at all point of time. Because the purpose is not only an investment in terms of generating profit, the purpose is also generate liquidity at the right time in case you require to. So, I think that would be one of the strategies as far as the Bank is concerned. Mr. Tyagi, anything you want to add on this?

Mr. Lalit Tyagi: Yeah. So, sir, actually apart from this, we also wish to have a comfortable LCR. And that's where the excess SLR also helps us in maintaining our comfortable LCR posting.

Mr. Rikin Shah: And, sir, the choice between, you know, locking in the long -term bond deals at reasonably decent rates right now versus growing aggressively in the home loan, corporate and auto loan where, you know, the risk -adjusted NIM s or more importantly when adjusted for the capital RWAs, how do you think about it?

Dr. Debadatta Chand: Yeah, Mr. Tyagi will answer this.

Mr. Lalit Tyagi: So, thank you very much. So, Rikin , actually, both instruments or both markets are different. So, investment yield, investment holding achieve different objectives and remaining in the loan market, whether it is home loan, whether it is corporate book, whether it is MSME, they are differen t. And loan books gives us, loan customers gives us deposits also, other cross -sell opportunities also. So, it's not straight through interest rate we look upon when we land in home loan, car loan or corpo rate segment. We also look at the holistic relationship and also we expand the Bank 's various product profile. So, I mean, and, you know, different liability profile meets these different asset book objectives.

Rikin Shah : Perfect. Thank you, Tyagi Sir and Chand Sir.

Mr. Lalit Tyagi: Thank you.

Moderator: Thank you. So, the last question that we will be a

ble to take today is from Jay Mundra.

Mr. Jay Mundra: Hi, good evening, sir and congratulations on your term extension. Sir, I wanted to check on your capital raising plans. Is that on track? And how soon can this be done?

Dr. Debadatta Chand: Thanks, Jay. Thank you very much. The capital, already we have announced actually, AT-1 and Tier 2 for this year. I mean, I'm talking about 2026 - 27. We have announced that we will be raising Rs. 6,000 crores . But in case you don't raise, then it can also go to the subsequent year because we have huge award, if expedient on that. Earlier, we announced equity raise of almost Rs. 8,500 crores to be as enabling provision to raise FY 2028. So, we can raise that money in any year up to 2028. So, almost Rs. 14,500 crores is the plan ned raise of capital, both from the equity and also on the AT-1 and Tier 2 , which is slightly, I mean, it can be on this year or subsequent year. So, we have taken a medium - term plan of FY 2028. Beyond this capital also, we normally keep raising Infra bonds and other, those are also part of the resources where we have to announce to the exchange. So, those if there is a requirement to do that, because sometimes we look at th e duration of your liability book as a wh ole. And somewhere we find that, because we compute the duration of asset also and the gap between duration of asset full book, I'm not talking about only investment. So, in case you want to tweak something as an asset liability management purpose, we keep raising long term resources also. So, it's all the ALM management that would decide whether we need to raise long term resources in the form of Infra bond and other bond. If that be so, then we will announce to the market at that point of time. What is al ready announced approved by the board is enabling Rs. 8,500 crores in equity, the Rs. 6,000 crores in AT -1 and Tier 2 .

Mr. Jay Mundra: Right! Sure, sir. And sorry, the capital raise plan of Rs. 8,500 crores , that is also on track, right? I mean, you have a decent, very strong CET -1, but still, despite that, that plan is on, right?

Dr. Debadatta Chand: Yes, it is on. It is always on table. And it will depend upon the time at which we really want to tap it actually, based on the market conditions and the requirement of capital for the Bank for different, I mean, any scenario going forward, maybe a geopolitical or anything, if there is a need, we will raise it immediately. But then it's an enabling , that is applicable till FY28.

Mr. Jay Mundra: Right! Sure. And sir, do you have a number for blended bulk deposit cost for last quarter? Because I believe, bulk deposit rate would have started to cool off. Or qualitatively, if you can comment, you know, how much, let's say the blended bulk deposit rat e would have come down for you?

Dr. Debadatta Chand: Jay, I don't have data on this. In case you want, we can offline provide you. But the issue is that actually, I was just giving a context in one of the earlier conversation s wherein, in two, three years back, we had a larger percentage of bulk as a percentage of total deposit, mind the denominator, because people compute in different way, then get confused on this. So , it was almost 24-25% at some time. And we reduced that to 17% of total deposit a couple of quarters back. Now, as you k now, the liquidity scenario in March quarter is always a different scenario because of the geopolitical inducing bit of a liquidity tightness. So then from 17 %, it went to 19%, but still below 20%, which is my normal, what you can say, the guidance with regard to bulk deposit. So , we'll continue to optimize based on the need for liquidity, need for the growth on the asset. At the same time, the pricing impact also will be mindful when doing this. So , it's overall concept of liquidity management, NIM managem ent that decide how much bulk we need to have, going forward.

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r. Jay Mundra: Right Sir. And sir, do you suspect any increase in the term, retail term deposit rate in the near term? Because I think a few banks have started to increase retail TD rate. But what is your sense on that?

Dr. Debadatta Chand: I'm not predicting any increase in deposit rate. But one thing I have said that the cost of deposit, which we are one of the lowest in the system, if you look at the numbers of 4.78 %, that's going to be sticky in the Q1. Sticky in the sense, I'm not expecting that to go down further.

Mr. Jay Mundra: I think that number may not be very comparable because we have a 20% plus share of overseas.

Dr. Debadatta Chand: I'm talking about the domestic, domestic is at 4.99 %. That's still below 5 %, not many banks below 5 %.

Mr. Jay Mundra: And sir, please complete.

Dr. Debadatta Chand: In that way, I mean, sticky means I'm not expecting to go down. Actually , going up would depend upon the liquidity scenario in the market.

Mr. Jay Mundra: And sir, have you made any PLI provision for this year in the quantum of that? The performance linked incentive?

Dr. Debadatta Chand: PLI, I'll check, just one second. Yeah, we have made provision for that actually. We have made provision.

Mr. Jay Mundra: Sorry sir, how much is the quantum? I'm sorry sir, if I could get the quantum for PLI.

Dr. Debadatta Chand: Rs. 500 crores on this. Rs. 500 cr.

Mr. Jay Mundra: Okay, sure. And sir, this is now, I mean, where is it in the staff cost or this is in some other provision? Because I think they're still under litigation, right?

Dr. Debadatta Chand: So, it is under staff cost.

Mr. Jay Mundra: Thanks a lot Chand Sir and all the best.

Moderator: The very last question is from Kunal Shah.

Mr. Kunal Shah: Yeah, thanks. Thanks for the follow up. So, particularly on the overseas exposure, almost Rs. 2,60,000 odd thousand crores of a book. So maybe , if you can just clarify in terms of the profile, particularly two aspects. One is directly Middle East exposure. And second is , how much is trade related and there have been disruptions which have been there. So , any risk because today it's almost zero NPA in overseas exposure. Do we see any risk of the NPA coming up over two to three odd quarters?

Dr. Debadatta Chand: Look, overseas, I mean, the trade is normally up to 20% because we don't allow trade book to significantly go up because there is a, the trade has a fine pricing, because that also impacts your NIM. So , I think on a percentage basis, the trade is below 20%, exactly if I know, I can give you because that's what we prescribe for overseas to continue doing business. Remaining exposure are mostly on a local syndication, that particularly some of the markets were very big over there. Like US , even Gift City is a big market and these are all global syndication where we participate with high street bank in terms of taking those exposure s. Big books in US, Australia, even Singapore for the matter and all those. So , I think as of today, there is no impact in terms of their asset quality on this. Particularly Middle East, yes, we do have exposure because Middle East we have a large retail operation over there.

And then the outstanding can be in the range of around Rs. 50,000 - 60,000 crores as of today. But that's again spread over multiple countries, which are again, some of the countries are A -rated as of today. So , the direct impact of this, I mean, all those countries, the regulator also, they have announced some kind of measures like the ECLGS we have done in India. So , to sustain their

operations. So real impact, we'll not get to know until we just see. But as of today, there is no concern with regard to asset quality because these are the corporates having quite a strong balance sheet. And our last percentage of exposure are local syndication, which are g

lobal local syndication, where
there are marquee names in the book. And they are very big. Some of them are Fortune 500. So , I don't think any challenge as of today with regard to the global international book. But yes, particularly in Middle East operation, we need to be slightly watchful for a couple of quarters.

Mr. Kunal Shah: And how much ECLGS 5.0 withdrawal are we expecting? Maybe the drawdown benefit, which we might take up. So , we participated last time also quite actively.

Dr. Debadatta Chand: So, I think our book is Rs. 1,60,000 crores is the MSME book and roughly 55 - 60% is the working capital. And taking almost like everybody won't go up to 20%, maybe on a 15% scale, I think Rs. 12,000 crores plus would be an amount that we'll be disbursing on the ECLGS.

Mr. Kunal Shah: Got it. And one last question. If you look at auto loan, the growth is quite strong. We are seeing many of the PSU banks offering a very longer tenure product, 7 years, 9 years and that too at a very competitive rate. Do we see some risk coming up? Because obviously there is a depreciation which happens after 4 -5 years, there would hardly be any value left out there. So why so much of aggression from PS Us on auto? And same with home loan in terms of competitive rates. When do we see PSUs low ering the aggression in these two segments on the rate side?

Dr. Debadatta Chand: I don't see a PSU outlook here, but as far as the Bank is concerned, we'll continue to grow on auto loan. The reason being, look, auto loan is not a productive asset to generate revenue. I mean, it's based on the cash flow a person is having from which he pays the money. So , our selection of borrower in terms of auto loans are more looking into cash flow, salaried class, where we have done bulk transactions, bulk tie -ups. So, I think in that way, the growth has been good and as of today , whether I track the stress book or the GNP A percentage, I think these are all benign and very, very small at this point of time because possibly the ability of the cash flow to support the payout is still continuing the same way. So going forward, in case there is anything that we see at an elevate d level of risk over there, actually we do portfolio review every quarter on all the books. And these are all being done at a very senior level, board level committee and all. So , anything we see, an incipient stress in this sector , which I don't see as of today, then possibly we'll have a look. But as of today, my guidance will continue the same way like we're continuing on auto loans.

Mr. Kunal Shah: Okay, thanks. Thanks for patiently answering all the questions. Thank you and all the best.

Moderator: I would now request CFO Sir to please give the vote of thanks.

Mr. IVL Sridhar: Yeah, I would like to extend my sincere gratitude to all of you for joining us today for the announcement and discussion of our financial results. Should you have any further question, please feel to reach us , to me or to our investor relation s team. Thank you once again for your time and continuous support. Have a great evening ahead. Thank you.

Dr. Debadatta Chand: Thank you very much. Thanks.

Moderator: Thank you everyone.

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Call: Jul 2026

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Bandra Kurla Complex, Bandra (E)
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Madam / Dear Sir,

Re: Disclosure under Regulation 46(2) of SEBI (LODR)

We enclose transcript of Media Meet & Analyst Meet held on 24th July 2026 for Q1 (FY 2026-27) Financial Results.

We request you to take note of the above pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015 and upload the information on your website.

Yours faithfully,

S Balakumar
Company Secretary

Bank of Baroda Media Meet for Quarter ended 30th June 2026
24th July 2026

Participating members from the Management Team of the Bank

- ➢ Dr. Debadatta Chand, Managing Director & CEO
- ➢ Mr. Lalit Tyagi, Executive Director
- ➢ Mr. Sanjay Vinayak Mudaliar, Executive Director
- ➢ Mr. Lal Singh, Executive Director
- ➢ Ms. Beena Vaheed, Executive Director
- ➢ Mr. I V L Sridhar , Chief Financial Officer (CFO)

Moderator: Good afternoon, everyone, and welcome to Bank of Baroda's results for the quarter ended June 30th, 2026. Thank you all for joining us. We have with us today our MD and CEO, Dr. Debadatta Chand. He's joined by our Bank's Executive Directors and by our CFO. We will start with an introduction, then a presentation, and then brief opening remarks by Chand sir, after which we will start the Q&A session. Chand sir, over to you.

Dr. Debadatta Chand: Thanks, Phiroza. Again, good evening to all my media friends. Just to introduce, I'm D. Chand, MD and CEO of Bank of Baroda. With me, we have, Executive Director, Lalit Tyagi. He looks after the corporate credit, international banking, and also the treasury. With him again, Mr. Sanjay Mudaliar , he's Executive Director and he looks after IT, many of the platform functions, also the retail asset s vertical of the Bank. Again, we have Mr. Lal Singh , he is Executive Director and h e looks after HR, the recovery m atters, and more importantly, the MSME vertical of the Bank. And we have Madam Beena Vaheed , she is Executive Director, looks after many of the compliance and control function s, including the retail liability franchise of the Bank. And as you know, we have CFO, Mr. I.V.L. Sridhar , with us. Mr. Sridhar, go ahead with your presentation, then I'll come with some initial comments on the financial s. Over to you.
Mr. I.V.L. Sridhar: Thank you, sir. Good evening, everyone. It is my privilege to present before you the financial highlights of Bank of Baroda for the quarter ended 30th June 2026. As at the end of Q1 FY 2027, the Bank 's global business st ands at INR 30.5 lakh crore registering a YoY growth of 15.4 %. Our global advances have grown by 17.4 % YoY with domestic advances growing at 16.1 % and international at 23.3 %.

Within the advances book, the Bank has continued to focus on RAM advances. Our organic retail book grew by 18.4 %, agriculture by 18.7 % and organic MSME at 20.3%. Corporate loans have grown by 15.3 % YoY. Within the retail segment, we have seen smart growth across the portfolio with education loan growing by 10.8 %, home loan by 14.7 %, auto loan by 25.3 % and mortgage loan s by 27.4 % YoY.

Coming to deposit growth, our total deposits have grown by 13.8 % with international deposits growing by 8.9 % and domestic by 14.7 %. The domestic CASA deposits have grown by 10 % and term deposits have registered a growth of 17.8 % YoY

. As of 30th June 2026, the Bank 's domestic credit deposit ratio stands at 83.31 %. The CASA ratio stands at 37.72 %.

With regard to our quarterly profitability m etrics, our operating profit for the quarter stands at INR 8,127 crores. As you are aware, the Bank entered into an out -of-court settlement to resolve a legacy litigation issue of NMC group. The liability of the Bank in these proceedings is limited to the sum of USD 600 million, which was paid on 1st July 2026. The settlement amount has been debited to the profit and loss account for the quarter ended 30th June 2026. Therefore, our net profit for Q1 FY 2027, after absorbing the impact of the settlement, stands at INR 1,278 crores. Without the impact of this exceptional item, net profit for the quarter would have been INR 5,528 crores. Return on assets stands at 25 bps, excluding the impact of the exceptional item, RO A would have been 1.10 %. Return on equity similarly stands at 3.89 % for the quarter. Without the impact of this exceptional item, return on equity would have been 16.57 %.

In terms of the margins, our key ratios, our yield on advances stands at 7.37 % for the quarter. Bank's Cost of deposits for the quarter stands at 4.66 %, reduced by 12 bps on a QoQ basis. Our Net Interest Margin stands at 2.77 % for the quarter.

Now we come to the asset quality which continues to remain very robust. Our GNPA ratio has improved by 29 bps, YoY and stands at 1.99 %. Net NPA ratio is below 1 % at 50 bps, an improvement of 10 bps YoY. Our Provision Coverage Ratio including TW O is comfortable at 93.28 %. Our slippage ratio for Q1 FY 2027 has reduced by 25 bps YoY and stands at 0.91% . Credit cost for Q1 FY 2027 stands at 0.29% as against 0.55% in Q1 FY 2026.

Coming to our SMA and collection efficiency, our CRILC SMA 1 and 2 as a percentage of our standard advances reduced to 0.07% as of June 26 as against 0.40% for June 2025. Our collection efficiency excluding agriculture remains robust at 99.2 %.

In terms of capital adequacy, our capital position continues to be strong with CET1 at 13.9 %, Tier1 at 14.41 % and CRAR at 16.30 %. Our quarterly average LCR remains healthy at approximately 127 %. Thank you, MD sir, over to you.
Dr. Debadatta Chand: Thank you, Mr. Sridhar. And let me make some qualitative comments with regard to the financial s. As you know, the financial s have been already told to you, and the Bank had a very strong growth on the balance sheet item for the quarter ending June 2026. So, you have seen the global business for June also was in excess of INR 30 lakh crores. In March also we had the business number exceeding INR 30 lakh crores.
And the growth of domestic deposit has been 14.7% on a y -o-y scale. And I kept on saying that last couple of quarters were encouraged by the flow of deposit into banking system for last couple of quarters now. And at 14.7% domestic deposit growth is one of the strong growths that we have seen

in many quarters now. Similarly, the global deposit growth is at 13.8%.
CASA, which has been one of the strong points for a bank like us in terms of outperforming the bank's median, the CASA growth was at 10%. Mainly the current growth was at 14.5%. The CASA percentage, which is at 37.72%, you would have seen that it is one of the top quartile numbers in terms of the peer banks, the large peer. Similarly, the advance book growth was at 17.4%. And this is better than the growth that we had in March, which was in excess of 16%. The organic retail book, the growth was 18.4% with h ousing at 14.7 %, auto at 25.3 %, mortgages at 27.4%. The MSME growth was 20%. This is one of the quarters where we exceeded the MSME growth at more than 20%. On the overall book growth was also by a corporate loan growth of more than 15%.
On the profitability, you would have seen the bank's core profitability metrics are still strong. And that's why the net in

terest income, the growth was almost 10%. It has increased at 9.5%. With the interest income earnings growing at 6.8%, higher than th e interest expended at 5.2%. This is out of the many quarters where we're able to increase the growth in interest income higher than the increase in the growth in the interest expended.

Similarly, on the profitability, there is a consistency. I think on the operating profit, the NII growth at 9.5%. The operating profit growth also almost flat in the light of what is happening on the geopolitical liquidity and the interest rate. Almost at the same level like we had in June, 2025, at INR 8,127 crores. And as Mr. Sridhar said, we have accounted fully the impact of this exceptional item and the profit therefore is at INR 1,278 crores. The margin for the bank is global at 2.77 % and the domestic at 2.93 %, which is in line with our guidance of 2.75 to 2.95 %.
Similarly, on the asset quality front, the Bank has a very good asset quality and a benign asset quality continuing. If you look at the recovery, the slippage, everything has been better than the June quarter last year. In terms of GNPA and Net NPA y -o-y, there is a significant dip, whereas sequentially there is a marginal increase because of the denominator factor and a conservative write -off that we have followed for June as compared to the June of the same last year. T he slippage ratio at 0.91 %, which is below our guidance. Similarly, the credit cost is at 0.29 % and this talks about the asset quality the Bank is having in terms of a benign asset quality continuing as far as the Bank is concerned.
The CRAR of the bank is at 16.3 %, which is better than the last quarter of 15.8 %. Similarly, the ROA, because of the exceptional item, the ROA has dipped to 0.25 %, otherwise ROA would have been at 1.10 %.
So let me outline the guidance that we give in the matter going forward. On the credit growth, continue to have the same guidance of 12 to 14% growth. The deposit growth, continue to have the same guidance of 10 to 12% growth. The CD ratio will be happ y to operate within 84 to 86%. The net interest margin would be again at the same band of 2.75 to 2.95 %. Credit cost below 0.6 %. The slippages again would be the same guidance of 1 to 1.25 %.
The ROA, which we used to give a guidance of more than 1 % and we have been maintaining ROA for almost 17 -18 quarters now. The ROA, considering this quarter impact slightly would be under watch, but we'll give a full year guidance when we get into Q2 as far as the ROA guidance is concerned. But definitely this qu arter it is below 1 %, but we are hopeful that Q2, Q3, and Q4, the ROA would be more than 1 %. But for the full year, we'll give a full year guidance possibly once we get into the next quarter.
Now, let me turn into the NMC case, which is an exceptional item as far as the impact is concerned in this quarter as far as net profit is concerned. The Bank, as you know, it has already been informed to the stock exchanges and also mentioned in the audit reports also. The Bank has entered into an out - of-court settlement with a joint administrator of NMC Health PLC, NMC Healthcare Limited, and NMC Holding Limited. The settlement agreement was signed and a payment of USD 600 million was made on 1st July, 20 26. And it was notified to the stock exchange on 2nd July, 2026. The settlement resolves all claims between the parties without any admission of liability or wrongdoings. The Bank's liability in these proceedings is limited to USD 600 million. The other terms of the agreement remain confidential. Let me repeat, the terms of the agreement remain confidential. The claims against the Bank in the Abu Dhabi Global Market and the High Court of Justice in England and Wales have been already discontinued. The finan cial impact of this has been fully absorbed and recognized in the profit and loss for the quarter ending 30th June, 2026.

The settlement has been reviewed by our statutory auditor, the Central Statutory Auditor, and captured in their audit report. This brings closure to a

complex, longstanding cross -border dispute, w hich is inherently complex, involving multiple jurisdictions, different legal systems, and extended legal processes.
Commercial settlements are a well -established global practice for achieving certainty and finality in all such matters. The decision to settle was taken after careful assessment of the commercial

consideration involved, including time, cost, and the uncertainties of a prolonged litigation. It is a commercially prudent decision, taken without any admission of liability or wrongdoings. It allows us to close a legacy matt er and focus on our customers, our stakeholders, and our long -term sustainable growth. Ban k of Baroda remains strong, well -capitalized, a financially resilient institution. The net profit is lower on account of this exceptional item. Without that, the profit would have been INR 5,528 crores. Again, I say the bank continues to hold its floating provision of INR 2,500 crores. I repeat, the bank continues to hold its floating provision of INR 2,500 crores .

Our capital adequacy remains strong, the asset quality is benign, and we continue to see growth momentum across all balance sheet parameters. You would have seen the June quarter performance was better than that of the full year for FY25 -26.

We remain committed to the highest standard of governance, prudent risk management, and a strong compliance framework across all our domestic and also the international operations. Thank you. We're open to question answers now.

Moderator: Thank you, sir. If you have a question, please raise your hand. You may also type your question in the Q&A box and we will come to it , if we have the time. The first question is from Subrata Panda of Business Standard. Subrata, if you can unmute yourself and ask your question, please.

Mr. Subrata Panda: Hi, good afternoon, sir. My question is on FCNR. I mean, how much of flows have you mobilized so far and what is the target? And you have already taken ratings for a dollar bond, but you have not tapped the market. So, when are you going to tap that? And also, on the NMC case, the 600 million settlement, I mean, if there's no admission of guilt, so why such a huge settlement? I mean, if you can just explain that reason.

Dr. Debadatta Chand: So, on the FCNR, we anticipated that we'll be raising something around 4 to 5 billion in terms of all the three instruments, FCNR, MT N, and also on the OFCB. So, as of today on FCNR, we have raised almost close to 700 million now and possibly by month end, we'll be crossing 1 billion now, right? So, in that way, we're quite hopeful of our initial target of raising roughly around 4 to 5 billion by the time the window closes, right.

You talked about dollar bond. We have, actually, we have the intention of hitting the dollar bond, but then we also look at some right pricing for that, right. So, that's something important. Initially, the market got slightly overrated. So, we are just wa iting for the right time before we hit the market. We are ready with everything, but then we'll hit the market the time we think the price is appropriate and right for us.

On the NMC case, look, I mean, the case will be looked into from the point of view of the legal process therein. So, as I said earlier in my statement also, this is after carefully considering based on the

commercial consideration, I mean, we thought that's appropriate for us to settle the case. And that has been done without any admission of any liability or wrongdoings. So, definitely with basis only would have settled the transaction. But the terms of the settlement are confidential because there is a case and the matter is sub -judice vis-à-vis other defendants. So, in that way, I t

hink that's an appropriate decision for the Bank to settle the case. It's a long legal overhang as far as the Bank is concerne d. And rather we're trying to give you a pristine, balance it in terms of a balance and not having any overhang in terms of any legacy issue therein. Thank you.

Mr. Subrata Panda: Can I ask one more question?

Moderator: Okay, sir.

Mr. Subrata Panda: On FCNR, what kind of leverage are you offering and what is the proportion of own leverage you're giving on SB LCs to foreign banks, if you can?

Dr. Debadatta Chand: I think that scheme has been rolled out. Mr. Tyagi, would you like to talk on the leverage side?

Mr. Lalit Tyagi: So, we are offering a loan against the FCNR we deposit to the eligible NRI customers, and the scheme has been rolled out. And both types of NRI customers are placing their funds with us directly as FCNR (B) without any borrowings or somewhere they are also taking loan against the FCNR (B) deposits.

Mr. Subrata Panda: Sure, thank you.

Moderator: Thank you, Subrata. The next question is from Joel Rebello of ET and you can unmute yourself.

Mr. Joel Rebello: Sir, can you hear me clearly?

Dr. Debadatta Chand: I can hear you, Joel, please go ahead.

Mr. Joel Rebello: Sir, this NMC case is a big case because the 5,000 odd crores, it's not every day that we hear such a big provision and settlement. You'll have always maintained, if I remember right, that you'll will fight this case legally because this has been an old ca se. I think even in your annual report, you had mentioned that you'll will fight it legally. So, what has changed? Why did you all take this decision to take such a big hit on your books? What changed? Is there anything that changed? I kn ow that you said that the commercial considerations were taken into account , but if you're going explain

what changed and because it's very rare for us to see in, you know, NMC was also a defaulter. So, a bank paying a defaulter in that sense is very rare in Indian banking parlance. So, if you could just elaborate, whatever you c an tell me, sir.
Dr. Debadatta Chand: So, Joel, I mean, the Bank's position with regard to the defense has not changed. That's continued, right? So that's the same. But with regard to the settlement, it should be looked into from the point of view of the case that was going on in, I mean, one court and was put on hold in another court. So, because we are n ot allowed as far as the terms and condition s to give details, but

obviously without basis, the Bank won't settle. So, the Bank had a strong basis to settle the case. And between the last discussion and today's discussion, what is material is that the stage of the trial that's important. I mean, the criticality or the stage of the trial is important. And based on that, the deci sion was taken to settle the case. And rather the settlement amount vis -à-vis the oral claim has been very, very low. So, in that way, it was prudent for the Bank to settle the case based on the tria l stage. But we can't discuss with regard to the basis and terms of settlement. Obviously, as I said, I have an issue. But the position of the Bank is same in terms of its defense . So absolutely, that's where the wording is without any wrongdoings or liability while settling the case.
Mr. Joel Rebello: Can you elaborate on how much was the settlement? I mean, how much was the claim on the bank and how much did you settle ultimately?
Dr. Debadatta Chand: So that's all part of the terms so we cannot articulate. But as I can say that the settlement amount is quite, I mean, very, I mean, lower as compared to the kind of quantum of claim against all parties in that case.
Mr. Joel Rebello: Does it have any recourse, any future action from the bank in terms of taking action against the employees or changing processes or anything like that? Because of this case, anything you'll have done basically?

Dr. Debadatta Chand: As far as the Bank's recovery process is concerned, against the principal individual the Bank recovery action would continue. As per the case, there are principal individuals over there. So, the Bank case would continue both in India and outside. As far as the staff side that you talked about, every bank has its own process, right. So, either the process has been taken or will be initiated. So, each bank has its own internal process to deal with su ch cases. So obviously, Bank would do a s per its own practice and laws, right.
Mr. Joel Rebello: Okay. Okay, just coming to your results, sir, your other income has also fallen quite sharply. Besides this provision, I think that is another impact on your profit and loss. If you could just elaborate on what is there, why it has fallen, what are the pie ces that has fallen and what is the outlook there, sir?
Dr. Debadatta Chand: See, as you said, right, the NII growth is almost 10%, whereas the operating profit is almost flat vis -à-vis June last year. So, between the NII and the operating profit is the other non-interest income. And in case you would have seen the treasury income, both for June '25 and June '26, the treasury income in June '25 was almost more than 2,000 to 2,200 crores. Whereas it has gone down to 800 crores because of the market scenario. So last June '25, the G -sec yield , I believe, was almos t at 6 .10 or 6 .13%. And if you look at the G -sec yield in this June quarter, it was almost at 6.78%. Obviously, I mean, the profit is linked with the market movement at that time and now.
So that one element has changed with regard to, but we have some other good outcome on the other income in terms of, we have sold PSLC for the first time. I mean, we sold in March some amount, but almost like 270 crores we sold this quarter. That's somethi ng, a line item which was not there in earlier quarters.

Similarly, the TWO recoveries have also been more than 1,000 crores as compared to something around 650 -700 crores last couple of quarters now. So, in that way, the fall in treasury income was compensated well. So, leading to almost like a flat -like operat ing profit. But if you look at operating profit, I think we're one of the banks having posting 7,000 or 8,000 crores operating profit for last 15 quarters. So, in that way, the Bank's growth engine and also the profit positions are quite strong in that way .
Mr. Joel Rebello: Okay. Sir, I just want to clarify, there are some banks which are reporting higher or almost similar treasury income year on year. And there are some who are reporting lower. So, I just wanted a logic. I mean, how do you treat it? Do you look at it at HTM book or how is it, that's why your profits are lower in treasury.
Dr. Debadatta Chand: See, the three components in treasury income, one is a trading profit, the other one is your depreciation or the revaluation, and third is the exchange profit. So, all the three components leads into , so trading profit would be almost the same for most of the banks. Revaluation is based on the book size, right, so that depends on the book size. And thirdly, on the exchange, you also look into their forex position over there. So, these three components determine which bank

would have a slightly higher or low er, but I think our numbers are quite comparable considering our book size. So, our book size is, I mean, almost like 3.70 lakhs – 3.40 lakhs crores . So, I think that's comparable with any other bank, although the numbers look better as compared to some of the banks that you are comparing.
Mr. Joel Rebello: So, the drop is basically because of revaluation, not trading, that's what I wanted to check.
Dr. Debadatta Chand: Yeah, yeah, broadly that, because the treasury income as a whole has seen a significant dip vis -à-vis the same quarter last year.
Mr. Joel Rebello: Okay, thank you so much, sir. Thank y

ou.
Dr. Debadatta Chand: Thank you, Joel.
Moderator: Thanks, Joel. The next question is from Ashish Agashe of PTI, Ashish.

Mr. Ashish Agashe: Thank you so much, sir. Hope I'm audible. Sir, on the credit growth guidance front, any reasons why you're not doing an upward review really, given the general sort of boisterousness in the systems?
Dr. Debadatta Chand: So, Ashish, there are two before, in case you have further questions, you can ask later. I mean, look at full year March '26, we had a credit growth of 16.1%, right. That's something very strong. And this quarter, normally, I mean, if you look at historica lly, our June quarter is slightly slack. But this quarter we have done better than that of the full year last year. So, in terms of the Bank's ability to grow, I think, with a large franchisee of almost 8,400 branches, and you would ha ve seen all segment would have grown in this advance as growth. The Agri has grown significantly, MSME,

Retail, and the Corporate growth is in excess of 15% , this time. So, I think the Bank's ability to grow has been much higher now. But the two reasons why, because we have outperformed our guidance both in the March full year and also June this quarter, but we are not revising upward precisely on two counts.
One is because as of today also, in case you look at the headwinds prevailing in the entire global economy, also Indian economy is the geopolitical issue. When last time I interacted with all of you, I said our assumption for a resolution is rather we are optimistic, but things are getting prolonged for longer. So, in that scenario, we are not very critically, I mean, very sure about the way the deposit will grow in the future quarters. So, in case we will be certain about the growth of deposit in future quarters, possibly we can see upsizing of our guidance. But as of today, looking into all the factors, I will keep the guidance at the same like 12 to 14%.

Mr. Ashish Agashe: Okay sir. My second question, sir, on the NMC front, the annual reports made us believe that you are on a strong footing, actually. Of course, it was persisting for long. So, like what changed really that, okay, there was a, there's no provision made. Usua lly you prepare for such a, like any bank would prepare for such an eventuality, really. You did not dip into the floating provisions which you are carrying. I guess that would be the ECL, you also have ECL coming up.

Mr. Debadatta Chand: Yes.

Mr. Ashish Agashe: So, sir what really changed and when you say that the recovery action against the principal individual, so this is the main defaulter that will continue, right? How much is the exposure there, sir?

Mr. Debadatta Chand: Look two things. I mean, typically, if you look at when there is a litigation and settlement, you can't make a specific provision, right? So obviously, that the prudent, this is as per the legal advice we had and as you know, that we had the best of legal teams from globally and also individual engaged in this case. So, we had buffered the balance sheet in terms of floating provision, but the floating provision, we were keeping it for the ECL because that's going to happen 01st April 2027. So, a scenario where, I mean, on a litigation settlement, you can't have a specific provision and that's as per our legal advice.

What is the change between the last annual report and today is the stage of trial and the stage of negotiation therein. So because you have to be an entire settlement, everything has been done in terms of the legal advice and in terms of our clearing a com mercial decision to close a legacy case in terms of, that's why I use the word commercially prudent to settle the case, but precisely the decision was based on the stage of the trial and also the stage of the negotiation or settlement therein.

Mr. Ashish Agashe: Okay, sir. Okay. So, what would be the ECL

transition cost, which you are
calculating for now?

Mr. Debadatta Chand: Today, the calculation, I think we have almost an impact of roughly around INR 12,500 crores, out of which, as you said, the floating provision of INR 2,500 crores is already there. So again, the floating provision, I mean, the impact would be spread over in, I mean, 4 -5 years. So, we are just looking at in terms of basis point, it's almost like 110 bps impact on the CRAR, which can be spread over a period of time. And just to negate that, we have a, I mean, a capital raise plan also we announced last time in terms of both equity and also the Tier 1 and Tier 2, right. So as on today, the Bank's CRAR is quite healthy at 16.30%. So, this is with regard to the impact on the CRAR, but there is an impact also on the credit cost. And the impact on the credit cost can be in the range of around 15 to 20 bps on the credit cost. My credit cost as on June is 0.29 %. And my guidance is always below 0.6%. And possibly the guidance itself can take care of the additional requirement because of the ECL migration on the credit cost.

Mr. Ashish Agashe: Okay. And sir, any capital raise in FY27, sir?

Mr. Debadatta Chand: We announced last time, actually, two capital raise plan we are carrying. One is a raising 8,500 crore of equity in a medium term, that is March 2028. And that would determine the timing because not immediate requirement, capital position remains healthy. At the same time, we intend to raise roughly 6,000 crores of Tier 2 in this year. I mean, that was an amount actually got matured last year, but we did not raise it last year. So, we are going to raise that in this year, but depending upon the pricing, the timing, everything would be important . So, the bank has a strong raising of capital. At the same time, we are running a very healthy capital position as on today of 16.3 %, right. So that is something I think the CET is almost like at 13.90 %. So, in that way, there is no absolute requirement to raise it immediately, but there is a plan to raise capital over a period of time.

Mr. Ashish Agashe: Thank you so much, sir.

Mr. Debadatta Chand: Thanks, Ashish.

Moderator: Thanks, Ashish. The next question is from Ram Kumar of the Hindu Business Line. He has typed in his question. Besides FCNR deposits, RBI is encouraging mobilization of NRE deposits. How much inflows has BOB seen via NRE deposits, and do you have a separate mobilization target under this head?

Mr. Debadatta Chand: Ram Kumarji, you said, right, FCNR(B), as I said, roughly around 700 million we have raised as on today, and possibly this month itself we will be crossing 1 billion. And our target to

raise 4 to 5 billion till the window, I mean, is there. But we are targeting the NRI business as a piece in terms of raising resources that includes your NRE business. Rather, we are looking at a new framework where we can source this deposit because we ar e one bank having huge international presence, which is beyond India, that is what I am referring. So, exactly, I don't have any data, either, I mean, Madam Beena, do you have a data, otherwise you can furnish you at a later date with regard to data, but t hen obviously our framework of NRI deposit includes FCNR and also the NRE deposit.

Moderator: Okay. Next question is from Piyush Shukla of NDTV Profit. Piyush.

Mr. Piyush Shukla: Yes, good evening, Chand sir.

Mr. Debadatta Chand: Good evening.

Mr. Piyush Shukla: Two queries. First is, you know, this 2020 , when this case was going on, the main contention against the Bank was it, you know, the financial arrangements between the bank and the client and lending relationship that it had with the Bank enabled the concealment of this whole debt or maybe allowed also the company to continue operations despite insolvency.

So, I am trying to understand in terms of internal processes at the Bank

, what action have you taken,
underwriting, I am sure there are Anti -Money Laundering KYC, requirements that the Bank has? So, in terms of processes, what went wrong? How have you corrected it? Has the RBI asked anything on this, are they scrutinizing this case? Is there any potential for further penalty with regard to this case or

this is permanently settled for good? And finally, your comments on margins, it has come down a few basis points?

Mr. Debadatta Chand: Okay. So, Piyush, two things you referred about the case, I mean referring to a year. I wish I could discuss more, but there is a bilateral confidential ity clause, which doesn't allow me to discuss further with regard to the basis and the cause of the case and what is that we have done on that.

But clearly in terms of the Bank's international operation is concerned, you would have seen March 2021, the international book was, it was almost like degrowing and the contribution was negative. And from that day today, we are almost like from INR 1,05,000 terms the book has almost come to INR 3,00,000 crore now. We have clearly changed the underwriting model, we have clearly changed the governance surrounding, we have clearly changed the processes around that. So, we have strengthened, I mean, the governance structure, we strengthened the, I me an, the risk management structure, the compliance framework. Currently, the CRO and the CCO of the Bank are the group CRO and the group CCO. They have oversight on all these operations. The AML framework has b een

significantly strengthened over there. I mean, all the international territor ies. So, in terms of a learning on, that and then how to strengthen things, we have significantly strengthened all that. And that precisely the reason why Bank of Baroda is growing on the international book . And as I speak, we still intend to grow further, both in terms of footprint and also on the business side of it. So, clearly a lot of actions have been initiated. So, internally, obviously, I mean, all the actions that is requi red and we have done it much before. And the case you yourself referring a dated year. So, in that way, the Bank has come a long way from those levels, I mean, from the 2021 or prior to that.

Secondly, with regard to the RBI, look, the Bank is a regulated entity. So, RBI has a strong oversight on what the Bank does. So, in that way, definitely we will be complying to all regulation s. But as far as the case is concerned, in those jurisdictions, the case is full and final. I mean, in terms of the liability of the Bank, the liability is full and final with regard to the amount that we have specified. So, the Bank is well positioned, the Bank balance sheet is resilient. I mean, the CRAR after this has improved vis -a-vis wh at we had in March. The June quarter performance has been better than that of the full year of March. The numbers that we had, the Bank's, all growth engines are kicking and firing well.

So, the profitability part of the, so look, the event that happened on an international jurisdiction and the payment also has been made out of the international jurisdiction. So, the domestic book is insulated out of this. So, in that way, but Bank as a whole, obviously, the impact would come. So, the Bank has taken a lot of measures in terms of strengthening governance, risk management, compliance framework. That is what is the Bank stands in terms of having a balance sheet, which is now so big. I mean, th e asset book is more than INR 21 lakhs crore. The business is in excess of INR 30 lakhs crore. It is a large structure and adequate governance, risk management, compliance functions have been established within the Bank.

Mr. Piyush Shukla: Margins, sir, if you can give some?

Mr. Debadatta Chand: Margin is, look, the NII has improved actually at 9.5 %. So, INR 12,500 , is a good growth in NII. I mean, in a way, the pricing of th

e asset liability, we have managed it well , in a prudent way. But obviously, the denominator has increased faster than the growth in NII. So, that is why the margin has slightly got squeezed. But margin last quarter also when I talked to you, I clearly , at that time the margin was in excess of 2.8 %. But I had given a guidance of 2.75 to 2.95 % and we are right in that band. But the domestic margin is still at 2.93 %, which is one of the top quartile number. And even though global also, even if we have a larger global book, but then the global margin is also on the top quartile. You would have seen the numbers. So, in that way, the Bank is quite optimally placed in terms of growth and also keeping the interest of margin while continuing the business.

Mr. Piyush Shukla: Sir, just one clarity. You said RBI, you follow all the regulations. But with regard to this case, has the Bank been asked to provide any records or any sort of information that the regulator has sought with regard to this case from the Bank?

Mr. Debadatta Chand: See, always I said as a regulated entity, the regulator and the regulated entity, we have a continuous discussion and the regulator has a strong oversight. So, I will not say anything beyond, but obviously, as a regulated entity or regulatory compliant ent ity, we follow all the RBI regulation guidelines.

Mr. Piyush Shukla: Thank you, Chand sir.

Moderator: The next question is from Mayur Shetty of Times of India. He has typed this question down. Why have deposits and advances declined from March levels?

Mr. Debadatta Chand: Yeah, Mayur, this is general, I mean, if you look at every time, the June rather, earlier June quarter should have been much more YTD negative. So, in that way, I mean, this has been much lower YTD negative, whereas the YoY has been so strong. So, in that way, I mean, it's a natural, it's seasonal. Normally, March always is a very productive quarter for all the banks. And immediately after March, there is a bit of a decline that happen s, because that happens in the system in terms of the money getting disbursed, get channelized in different forms. So, that's a normal thing. Actually, there is nothing. Rather, our cut in June quarter was much higher as compared to the earlier quarters. But you should go by the YoY growth that we have seen . The YoY growth is one of the strongest quarters we have in many quarters. In that way, we are perfectly aligned with regard to our growth that we plan.

Moderator: The next question is from Falaknaaz of Deccan Chronicle. Falak?

Ms. Falaknaaz: Yeah, sir. Hi. You spoke about the global headwinds because of which you are not giving a great ambitious projections for credit guidance. So, are you seeing any stress in your domestic and your international book because of the global headwinds?

Mr. Debadatta Chand: No. Falak, I mean, you gave me a right opportunity to explain. You would have seen my CRILC data. I mean, the CRILC data is more than ■5 crore that consisting of both domestic and international. And it has improved from 0.18 % to 0.07 %. And in the June last year, it was at 0.40 %. So, that shows the traction of what you can say the quality of asset book that we have. Beyond that, let me also say that in terms of the slippage we have in this quarter is better than the June of last year. In terms of the recovery, both from the NPA recovery and TWO, it has been better than the last year, same quarter. So, in terms of the asset quality, the book is clearly one of the good books as of today.

Two things while saying so, you talked about the headwinds. The global geopolitical issue as on today, we believe is the impact on the Indian economies of the first order. I mean, it has not disrupted anything as on today, but there is some impact somewher e that are managed well in terms of like MSME, the government c ame out with the ECLGS

scheme. So, we are able to manage everything and
the economic parameters as on today , looks very sound. So, in that way, I do not see any, but then we do not know what is going to happen in future in terms of the continuation for a longer time and then the impact coming. So, we are slightly cautious in that front in terms of changing a ful l year guidance. We are just in the first quarter of this year. If we get further upside growth, continuing upside growth, we may revisit on the growth guidance , going forward.

Ms. Falaknaaz: Okay sir. And what is the update on acquisition financing?

Mr. Debadatta Chand: Yeah, you would have seen, I mean, a media news with regard to , we are tying up with one of the foreign banks in terms of merger and acquisition finance and currently we are evaluating 3 -4 deals jointly with them. So, in that way.

Moderator: Okay. Thank you.

Moderator: Thanks, Falak. Next question is from Shrishti Sharma of ET BFSI.

Ms. Shrishti Sharma: Thank you, Phiroza. Good evening, sir. You've answered a good part of FCNR(B). My question is on the deposits and then the whole scenario around FCNR(B). Deposits have been down for a lot of banks also in Q1. Wanting to understand, since you will be drawing about 5 billion of USD dollars from F CNR(B), how much of cushion will it help you in terms of deposits and in terms of bulk deposits, how much would you be able to pair and, you know, how would you be sort of allocating the whole of FCNR(B)? And then I'll ask my next question.

Mr. Debadatta Chand: You said, right. I mean, if you look at the Bank of Baroda story on deposit, we have been consistently better than the median of all banks average, right. Because we started focusing on the deposits since long. We had a higher percentage of bulk deposit 3 -4 years back and significantly reduced that percentage of total deposit in last many years. Saying so, my CASA growth and also saving growth and the overall deposit growth were able to do better than the system.

Saying so, what has happened in last couple of quarters, the preference of depositor has gone from the normal deposit to the capital market. The money is coming back to the system in some form, but typically that's in the form of wholesale deposit rather t han retail deposit. So, in that way, if you look at the percentage growth of wholesale, obviously, it looks slightly higher. Although you have a very

strong control on the percentage of bulk and CD together as percentage of total deposit in case you draw this particular issue over a period of time, we have a good control on that.

FCNR(B), obviously, I mean, the moment we bring it to India through the swap window, it will help to my liquidity. To that extent, obviously, my dependency of the bulk would go down. So, let's see like we are expecting almost like we will be crossing 1 bil lion. That is what my hope and maybe out of 4 to 5 billion, we are expecting at least minimum 2 billion out of FCNR(B) route. So, to the extent of, let's say, 17 -18 thousand crores of, I mean, positive effect it is going to have on the bulk deposit.

Ms. Shrishti Sharma: Okay. Okay. And sir, since you have great overseas presence, would you be anyway helping the smaller PSU peers in accessing liquidity through your foreign branches? And would you be looking to expand your overseas presence? That ends my question. Thank you.

Mr. Debadatta Chand: You said, right, rather roughly around 1.5 billion money because see the swap window can be taken by ECB, raised by public sector undertaking, right?

Ms. Shrishti Sharma: Yes.

Mr. Debadatta Chand: So, we have almost like in a process of almost giving up to 1.5 billion in terms of ECB by tapping resources across the globe entirely done by Bank of Baroda in terms of underwriting those ECB and that's the money going to come to India. And that's what ou r overseas branches are in a posit

ion to fund those ECB for the public sector undertaking as per the swap window, allowed under the swap window. I mean, that's something again we are saying can upsize my targeted 4 to 5 billion inflow that can happen to In dia through Bank of Baroda channels or by Bank of Baroda. Overseas, yes…... Yeah.

Ms. Shrishti Sharma: No sir, Go on, please. Thank you.

Mr. Debadatta Chand: Overseas, obviously, the Bank is the last 5 years has been a success story in terms of repositioning our overseas presence both in terms of branch networking and also the business the rein. And the growth of overseas would have seen it is growing almost like 15 to 20% for last many quarters. So, there are significant opportunity. We are a big player now in the global syndication market across the globe. So, we are keen. That's why I said bo th in terms of the footprints that talks about o ur presence outside India beyond the existing strength. I think the Bank is actively looking into those opportunit ies to expand the footprint also. At the same time, business will continue to grow the same way that we have been growing for past many quarters. The overseas book as a percentage of global book is almost like 16 -17% now. So, in a foreseeable future, subject the global

market is in the same state and a good state, I think we can increase up to 19 -20% in couple of years now.

Ms. Shrishti Sharma: Sir, when you say significant opportunity, you are looking forward. Is any geography under your consideration as of now?

Mr. Debadatta Chand: So, multiple geograph ies are under consideration. So, we cannot outline at this point of time. But I am both, I mean, it can be any geography where it makes a strategic sense for Bank of Baroda and for the country also to have presence in those countries because India is also signing lot of FTAs now.

Ms. Shrishti Sharma: Okay.

Mr. Debadatta Chand: Particularly, couple of FTAs country already we are present over there. So, I think we are there to capture both the trade flows vis -a-vis India and overseas and also the capital flow.

Ms. Shrishti Sharma: Okay. Incredible, sir. Thank you so much.

Mr. Debadatta Chand: Thank you.

Moderator: I think, the last question for the evening, Ashwin from Reuters.

Mr. Ashwin Manikandan: Hello. Hi. Am I audible?

Mr. Debadatta Chand: You are audible, Ashwin. Please go ahead.

Mr. Ashwin Manikandan: Yes. Good evening, sir. You outlined the overall fundraising plans this year for Bank of Baroda. I wanted to specifically ask about the dollar bonds, specifically the 5 -year bonds and RBI's subsidy window. Just want to understand the Bank's plans around it?

Mr. Debadatta Chand: See, as I said, my overall plan is 4 to 5 billion. Out of that, through the bond route, actually we are expecting 1 billion as of today. But depending upon the opportunity and the pricing, we can upsize that. We have the Board -approved mandate to go beyond 1 billion also. But the immediate plan is to raise because this window of swap is available till 31st of December. So, we are

just waiting for the timing and the pricing to raise money through the bond window. But current plan, out of the 4 to 5 billion, our overall initial plan is to up to 1 billion on the bond issuance side. But depending upon market condition only, we will ups ize that, otherwise not.

Mr. Ashwin Manikandan: Got it, sir. Got it. Thank you. Just one more quick question. This is on, I mean, we saw earlier this month, a lot of private sector banks' data for last year. We saw that there was some reduction in workforce overall with AI and other things. That's the c onversation that's happening. Just want to understand Bank of Baroda’s plans going forward with respect to how you're integrating AI and how you're looking at sort of expanding or reducing your workforce? What's the strategy around t hat front?

Mr. De

badatta Chand: So, let me tell two things in terms of the Bank's branch networking, we're expanding. And last year, we added almost 260 branches. And in that same way, in terms of headcounts also, we're hiring. So, last year, we had a plan of hiring almost 6,000. Not all would have joined, but this year also there is a plan to almost hire 7,000 headcounts. Coming to your AI usage, the Bank is one of the early users of AI, rather a big user of AI in terms of process, customer interface. You would have seen Aditi, Adi and all those, I mean, tools therein. So, AI is going to repurpose our workforce in a bigger way and possibly targeting more so on the relationship side than the transactional side. So, in that way, the usage of AI is going to repurpose my workforce for more productive output. But in terms of headcounts, we are going to hire almost 7,000 in this year, 2026 - 27.

Mr. Ashwin Manikandan: Got it sir. Thank you so much. Thank you.

Moderator: Thanks Ashwin. We have a few more questions, but we are out of time. So, we will have to make this the last question. Thank you all for joining us this evening.

Mr. Debadatta Chand: Thank you very much. Thanks all.

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Bank of Baroda Analyst Meet for Quarter ended 30th June 2026
24th July 2026

Participating members from the Management Team of the Bank
➢ Dr. Debadatta Chand, Managing Director & CEO
➢ Mr. Lalit Tyagi, Executive Director
➢ Mr. Sanjay Vinayak Mudaliar, Executive Director

➢ Mr. Lal Singh, Executive Director
➢ Ms. Beena Vaheed, Executive Director
➢ Mr. I V L Sridhar , Chief Financial Officer (CFO)

Moderator: Good evening , everyone and welcome to Bank of Baroda's Analysts' Meet for our quarterly results , for the quarter ended 30th June 2026. Thank you for joining us. We have with us today our Managing Director and CEO , Dr. Debadatta Chand. He's joined by the Bank's Executive Directors and our CFO. We will start with brief introductions and a short presentation followed by opening remarks by Dr. Chand and then we will have the Q&A session. Chand Sir?

Dr. Debadatta Chand: Yeah, thanks Phiroza , and good evening to all my analyst friends here. Just to introduce the management team, I am D. Chand, MD and CEO of Bank of Baroda. With me , we have Mr. Lalit Tyagi , he is the Executive Director looking after corporate credit, international banking and treasury. With him Mr. Sanjay Mudaliar , he is Executive Director and h e looks after the IT function and more importantly the retail asset s of the Bank. We have Mr. Lal Singh , he is Executive Director and h e looks after HR function, recovery function and the M SME vertical of the Bank. And we have Madam Beena Vaheed , she is Executive Director , she looks after the control and assurance function and more importantly the retail liability function of the Bank. And we have the CFO , Mr. Sridhar. So , with this , I request the CFO to make a presentation and then I'll have my quick comments and then we'll go for the question and answer. Over to you , Mr. Sridhar.

Mr. I V L Sridhar: Thank you MD Sir. Good evening everyone. It is my privilege to present before you the financial highlights of Bank of Baroda for the quarter ended 30th June 2026. As at the end of Q1 FY 2027, the Bank 's global business stood at INR 30.5 lakh crore registering a YoY growth of 15.4 %. Our global advances have grown by 17.4 % YoY with domestic advances growing at 16.1 % and international at 23.3 %.

Within the advances book, the Bank has continued to focus on RAM advances. Our organic retail book grew by 18.4 %, agriculture by 18.7 % and organic MSME by 20. 3%. Corporate loans have grown by 15.3 % YoY. Within the retail segment, we have seen smart growth across the portfolio with education loan at 10.8 %, home loan by 14.7 %, auto loan by 25.3 % and mortgage loan by 27.4 % YoY.

Regarding the

deposit growth, our total deposits have grown by 13.8 % with international deposits growing by 8.9 % and domestic by 14.7 %. The domestic CASA deposits have grown by 10 % and term deposits have registered a growth of 17.8 % YoY. As of 30th June 2026, the Bank 's domestic credit deposit ratio stands at 83.31 %. The CASA ratio stands at 37.72 %.

With regard to our quarterly profitability m etrics, our operating profit for the quarter stands at INR 8,127 crores. As you are aware, the Bank entered into an out -of-court settlement to resolve a legacy litigation issue of an NMC group. The liability of the Bank in these proceedings is limited to the sum of USD 600 million, which was paid on 1st July 2026. The settlement amount has been debited to the profit and loss account for the quarter ended 30th June 2026. Therefore, our net profit for Q1 FY 2027, after absorbing the impact of the settlement, stands at INR 1,278 crores. Without the impact of this exceptional item, net profit for the quarter would have been INR 5,528 crores. Return on assets stands at 25 bps, excluding the impact of the exceptional item, RO A would have been 1.10 %. Return on equity similarly stands at 3.89 % for the quarter. If we do not include the impact of this exceptional item, return on equity would have been 16.57 %.

With regard to our key ratios, our yield on advances stands at 7.37 % for the quarter. Cost of deposits for the quarter stands at 4.66 %, reduced by 12 bps on a QoQ basis. Our Net Interest Margin stands at 2.77 % for the quarter.

Now we come to the asset quality which continues to remain robust. Our GNPA ratio has improved by

29 bps, YoY and stands at 1.99 %. Net NPA ratio is below 1 % at 50 bps, an improvement of 10 bps YoY. Our Provision Coverage Ratio including TW O is comfortable at 93.28 %. Our slippage ratio for Q1 FY 2027 has reduced by 25 bps YoY and stands at 91 bps. Credit cost for Q1 FY 2027 stands at 29 bps as against 55 bps in Q1 FY 2026.

Coming to our SMA and collection efficiency, our CRILC SMA 1 and 2 as a percentage of our standard advances reduced to 7 bps as of June 26 as against 40 bps for June 2025. Our collection efficiency excluding agriculture remains robust at 99.2 %.

In terms of capital adequacy, our capital position continues to be strong with the CET1 at 13.9 %, Tier1 at 14.41 % and CRAR at 16.30 %. Our quarterly average LCR remains healthy at approximately 127 %. Thank you. Over to you MD Sir.

Dr. Debadatta Chand: Thank you, Mr. Sridhar. Again, friends, Mr. Sridhar has said about all the financial numbers . You know better in terms of numbers , I will make a couple of comments here. The Bank's growth engines are all intact, growing strongly, kicking and rolling also. The numbers you have seen that the June quarter numbers have been better than the full year of March. And March 2026 for the full year, we had a very strong number. The credit growth in March was 16.2 % and June now is 17.4 %. The deposit growth in March was full year was 12 % and now it is 13.8 %. And the domestic is almost above 14 %. So, in terms of the growth engine, the Bank's ability to grow has been significantly or the capacity, it is all performing well, rather doing better than the system, I would believe.

I will only say asset quality, it is the benign asset quality continuing. The CRILC data, the slippage ratio, you would have seen, the collection efficiency is now all time high, above 99 %. I think the asset quality, the journey continues. In terms of YoY, the GNPA and net NPA, it has significantly gone down, but sequentially you would have seen a marginal uptick, that precisely because of the lower denominator , point one . And secondly, a conservative write -off that we have followed in this quarter as comp ared to the same quarter last year. The write -off last year, June quarter was almost 2200 crore, here it is 625 crore. So, in that way, th

e Bank s, the business growth, the asset quality continue s to be strong,
robust. And that is something is also getting reflected in the profitability, more particularly on the NII growth and also on the operating profit. I will come to net profit later.

In terms of guidance, the credit growth, we continue to have the same guidance of 12 to 14 %, although we are outperforming, but then geopolitical is something that allowing us to be slightly cautious at this point of time. The deposit growth, we again put it at 10 to 12 %, same as earlier we articulated. The credit deposit ratio, we used to operate between 84 to 86 %, as we carry a significant excess SLR.

The NIM, this quarter has been 2.77 %, but earlier guidance was 2.75 to 2.95 %. We continue to hold the same NIM guidance. The credit cost this quarter has been 0.29 %. It is less than the 0.6 % guidance we had given earlier. The slippage is also at 0.91 %, better than the Q1 of last year. And the guidance is 1 to 1.25 %, we continue to hold that. ROA for last 17 -18 quarters, we have been doing ROA in excess of 1%. This quarter, because of the full impact of the settlement has been taken in June quarter, the ROA is 0.25 %. But suppose you exclude that exceptional item, it is 1.10 %. Our ROA guidance we will hold on watch now. Possibly the full year guidance , we will give it after we migrate to the nex t quarter. But at least Q2, Q3 and Q4, we expect the ROA to be more than 1 %. Full year basis will give a guidance later. RO E, we continu e to have 15 to 16 %.

Let me come to the NMC case. Because of the silent period, we did not articulate the matter, post our announcement to the exchange on 2nd of July 2026 . As you know, the CFO also talked about it, we entered into an out -of-court settlement with a joint administrator. And the payment of USD 600 million was made on 1st of July 2026 and the exchange was notified on 2nd of July 2026 . This settlement resolves all the claim s. I repeat, the settlement resolves all the claim s between the parties without any admission of liability or wrongdoings. The Bank's liability in this proceeding, both the proceeding ADG M and the UK court is limited to USD 600 million. The terms of the agreement is confidential because the case is sub -judice vis-a-vis other defendant s. The claim against the Bank has already been discontinued in both the court. The financial impact has been fully absorbed in June. We have not touched the floating provision , that's continue s to be INR 2,500 crores. They are in the books. Typically, we are, I mean, t he ECL migration, we have kept the provision for that. This brings closure to a very complex and long -standing cross -border dispute, which is inherently complex in nature, involving multiple jurisdictions, different legal systems and extended legal processes. Commercial settlements are a well -established global practice for achieving certainty and finality in such matters.

The decision to settle the case was taken after careful assessment, based on the legal advice, and it is based on the commercial conside ration involved, including time, cost and the uncertainty of prolonged litigation. It's a commercially prudent decision taken without any admission of liability or wrongdoings. It allows us to close a legacy matter. I repeat, it allows us to close a legacy matter and focus on our customer, stakeholder and long -term sustainable growth. You would have seen those num bers in the June quarter itself. Bank of Baroda remains strong, well -capitalized and financially a resilient financial institution.

The Bank continues to hold the floating provision of INR 2,500 crores, which I said earlier. Our capital adequacy remains very strong. Rather, in June, it has improved vis -a-vis March, a stronger asset quality. And also, we have seen the growth momentum across all balance sheet parameters. We remain committed to high st

andards of governance, prudent risk management, and a strong
compliance framework across all our operations, both domestic and international. Thank you very much, and we are open to question s and answer s now.

Moderator: Thank you, sir. If you have a question, please raise your hand, or you may also type your question in the Q&A box. We request you to please limit yourself to two questions, and if we have time, we'll come back to you. The first question is from Mr. Ashok A jmera. Please unmute yourself.

Mr. Ashok Ajmera: Good evening, sir.

Dr. Debadatta Chand: Good evening Ajmera Sir!

Mr. Ashok Ajmera: Sir, even if you take out this , out-of-court settlement, you know, this one -time 600 million hit, if you see the quarterly result of June quarter, most of these parameters , we have a little bit faltered. Because if you see the credit growth, the deposit growth, the business growth, I think after many, many quarters, it is down than the previous quarter. I mean, the settlement may not be a reason for that. Having said that, even that asset quality you are s aying is robust. In this quarter, especially if you see it, both our gross NPA and net NPA have gone up in absolute terms, as well as in the percentage terms. Because there is no growth, even the percentage terms also, it is higher. Now, CRAR is comfortable because you have not done the credit. So naturally, CR AR will be, you say, comfortable. But sir, on the whole, I mean, we are a little bit disappointed. We have taken the hit. We have agreed. Okay. It may be a very good judgment, assessment from the management point of view. But otherwise, if you look at the quarter, because the provisions also reduced to see that the profit is at least there, 1,278 crore.

And secondly, even if you add this to the settlement, I think some part of settlement amount was anticipated and provided for also in the past. So even otherwise, the profit would have not been even equal to the last quarter. So on some of these things, si r, can you clarify, that why we have not only muted, but the negative growth in this quarter on many of these fronts.

And then going forward, when we say 12 to 14% credit growth, how do we then plan to achieve that? And in fact, even the ECL provision, yes, it cannot be touched because 2,500 floating is now basically earmarked for ECL provisioning. So on that front, what are our plans to take care of the remaining amount of the ECL because the assessment must have been over by now fully. And so, I mean, it's a very broad study. I mean, just we got the result a little late today. But if you can add something to it, because the treasury has added the, even that 1,278 is also big because of the treasury income going up to almost 900 crore as compared to only 43 crore in the last quarter. So operational wise, this quarter overall seems to be a little dismal, you know, a little disappointing to me personally.

Dr. Debadatta Chand: So, Ajmera Sir, I will just tell you, I am also slightly disappointed that, I mean, you have not read the numbers particularly. I just tell you why I am saying so I am disappointed. My credit growth for this quarter is 17.4%. My deposit growth is 13.8% glo bal and international is 14.5%. I mean, domestic is 14.7%. These are possibly one of the strongest growth not only for the Bank itself in all the quarters, but the strongest growth possibly in the industry itself when I am comparing wi th the large peers, large peers. So, the asset quality, the CRILC data, the SMA 1 and 2 more than 5 crore for the book as a whole, consisting of domestic and international. From 0.18 %, it has gone down to 0.07 %. The slippages have gone down. A treasury book of, I mean, almost 3,70,000 crore will have some treasury income and that treasury income is 893 crore, which is much less than the same quarter last year of 2,200 crore. So, I think there is not a single pa

rameter in the balance sheet on profitability
other than the net profit, which has been shown a decline trend or a lower growth or a lower profitability matrix. These are all very strong numbers. I request, earnestly request you to please have a relook on the numbers because the re are no count in any way, any of the number has given any negative vis -à-vis the last quarter. It is one of the strongest performance growth we have in all this quarter.

In terms of profitability, look, we said earlier in one of the earlier conversations I was telling, we cannot make a provision on a settlement case for a specific provision or a litigation case. We buffer the balance sheet floating provision looking at the floating provision would buffer for the ECL impact. That is why the full impact of the settlement, full impact has been given in this quarter. There is no earlier floating provision, any provision which has helped in terms of negating the impact of the 5, 680 crore that the impact on this quarter. On the ECL front, you said right .

The GNPA, net NPA, if you compare June over June 25, there is a significant dip. Sequentially, it has gone up because of the denominator, because the overall R WA has gone down, because June is typically slightly lower than that of March. Secondly, if you just look at one number therein, the write -off that we had in June 2025 was 2,200 crore. We have done a conservative write -off of 625 crore, and that is why we ar e looking at an absolute number of GNPA or NPA slightly higher. Had we gone for a similar write -off, the number would have been much, much lower. So, I do not think any count slightly, I am disappointed rather in terms of my sincere request would be, please have a look. We will be happy to further interact to clarify all your doubts. The Bank's financial strength, position, balance sheet growth are one of the strongest as on June.

Yes, this exceptional item impact has pulled down the net profit. But again, Q2, Q3, Q4, I am expecting ROA still above one. Full year ROA guidance, we will just see in the next quarter. But clearly, full year would be, may not be exceeding one, then we will give a guidance in the n ext quarter. I think the Bank is doing well, keep putting your confidence in the Bank and analyzing the Bank closely. I would be happy to interact more with you just to clarify some of the doubts here.

Mr. Ashok Ajmera: Anyway, so I stand corrected, sir, because the results ha d come very late and I could not have fully understood the numbers , as you are explaining. Sir, now, when this…

Dr. Debadatta Chand: I cannot hear you.

Mr. Ashok Ajmera: Is it over for everyone or you still have a claim on this? For any prospects of the…

Dr. Debadatta Chand: On this case you are referring, NMC case?

Mr. Ashok Ajmera: Sir, the case is over for once and for all?

Dr. Debadatta Chand : The case as far as the legal, in both the courts are all over. But our claim against the principal individual would continue both in India and outside.

Mr. Ashok Ajmera: Okay. So , there are chances of some recovery?

Dr. Debadatta Chand: Yeah, that is why I said the principal individual in this case, that is as per the agreement, we will continue both in India and outside.

Mr. Ashok Ajmera: Okay, sir. Thank you. Thank you very much.

Moderator: Thank you, sir. Next question is from Ri kin Shah.

Mr. Ri kin Shah: Hi, good evening, sir. Thanks for the opportunity. I actually had six questions, but short ones. The first one is on the duration of the investment book , the question here is that , the duration on the investment book has gone up both sharply Q oQ and Y oY. Curious to understand the thought process in the context that the next potential rate action by the Central Bank could be a rate hike, not imminent, but eventually. So , while the increasing duration aids the coupon

s right now, but in the
future , it can result in MTM losses. So just wanted to understand the thought process that is the first question.

Dr. Debadatta Chand: Okay , duration has gone up. Typically, you would have seen this quarter the peak yield was almost at 7 .13 - 7.14, I believe. Obviously, at a higher yield, the Bank would like to have a bit of , what you can say , investment over there , just to take upside of the yield movement. And precisely , that is the reason , why the book also would have seen an increase. But this book has been spread out in three components, AFS, HTM and also the FVTPL . So, if you look at this component therein and th e yield has now moved down to 6 .75 or 6 .80 kind of level. So , you would have anticipated the upside on those investments which we have made at a higher yield. At the same time, we have position in terms of all the three books in a manner where any impact of a rate hike consequently the yield going up, the Bank is adequately protected in that count. So, it is a very prudent decision to add bit of duration just to take advantage of the rate movement and which has come right for the Bank in terms of the subseq uent yield movement. But any rate upward movement, then we will be absolutely preparing in terms of how do you manage the duration there.

Mr. R ikin Shah: Got it. Understood, sir. So , the second question, happy to see that you have de -grown your corporate loans by 7% and still the overall loan growth is strong. Could you talk a bit more about the competitive intensity in the corporate loan segment? And also if you were able to shift some of the customers from the T -bill to MCLR rate in the quarter as you were mentioning last quarter?

Dr. Debadatta Chand: You are right, the corporate loan growth has been very strong but YTD there is a, I mean, that is the only component in the advance s book you would have seen there is a bit of de - growth. Otherwise, sequentially, all the advance book, whether it is Agri, Retail , MSME, there is a YTD positive. So rightly so, that is best strategy, wherein we wondered that in the corporate book itself, the non -MCLR link, which can be any benchmark link, considering the elevated cost structure on the deposi t side, we are trying to move them upward in that way. And that precisely resulted into let ting go, some of the very fine price d asset s. So, you are right on that, the strategy is bang on that, I mean, taking advantage of the change in interest rate structure in the industry and moving bit of non -MCLR book into be it an MCLR or near to MCLR book in that way.

Mr. Ri kin Shah: Got it, sir. So the third question is on commission exchange brokerage fee income, it is down almost 47% Y oY, not looking Q oQ given the seasonality, but even Y oY is down. So, what is dragging that down?

Dr. Debadatta Chand: That is one element actually , we need to optimize that . We need to focus more. Somewhere on our, I mean, the pricing strategy on the commission exchange, we need to, because somewhere sometimes we see on a higher growth on the advance s book, then you let go a couple of, I mean, at a lower processing, lower yield. So , these are all overall, all in yield concept. So, in terms of overall yields that you get on those accounts. But you are right, this is one element we need to focus more on, in the coming quarters.

Mr. Ri kin Shah: Got it. Sir, the next one is on the revaluation of investment gain of about 365 crore this quarter. Could you just provide some more color on that? What was that?

Dr. Debadatta Chand: Typically , because of the yield movement that happened, because then when you compare the March over the June. June closing vis -a-vis March, the yields were lower, that was the reason why there is a bit of a write back that is possible on that book.

Mr. Ri kin Shah: Okay, okay. And the second last question is, sir, you d

id mention that write offs were
lower in this quarter versus the last quarter, last year. But you did mention it's conservative. I mean, if the write -offs were higher, we would have seen even higher provisions in this quarter and the credit cost, right? So , I do understand that, you know, the GNP A and NNPA ratio going up because of lower write -offs, but should one expect the write -offs to be higher in the coming quarter and consequently higher credit cost?

Dr. Debadatta Chand: No, look, the write -off book is a book which is fully provided, 100% provided, right? And then out of the kitty, then you decide to based on write -off, technical write -off, not the actual write -off, don't get confused with that, depending upon, I mean, the ability to get recovery of this money within the time frame. So , this is all the banks would have seen this as an element in terms of finally impacting the GNPA and net NPA. So , this quarter, we have done a conservative write -off, so write -off won't increase your provision. Write -off rather would, I mean, your PCR, it impacts in terms of lowering the PCR rather the other way. So , we wanted to protect the provision coverage ratio and that's why we have gone for a conservative write off. That slightly marginally elevated the GNPA and

Net NPA on a sequential basis. Although our GNPA and NNPA in the system, if you compare, this is one of the good number s to have. And that has seen a significant fall from the GNPA and Net NPA of the June 202 5. So , in that way, I think it's prudent management. What comfort you should take out of the book as of today, I mean, as we speak, that the SMA CRILC data has seen a significant fall from 18 bps, it has gone down to 7 bps. The collection efficiency, excluding agriculture, which was at 98.9 %, it has gone past 99 %.

In terms of slippages that we have seen for this quarter, it is lower than the June quarter slippage because you can't compare with March because March is always a different quarter, productive quarter. So , the recovery, if you combine the recovery of NPA and the TWO, that amount is also higher

than that of June last year. So, in terms of asset quality story, I think things are quite, I mean, the strong and quality issue is something very benign in terms of the asset quality issue. As of today on the books, we do not see slightly, when we last interacted, possibly we were mindful of the geopolitical impact on the books. But rightly, the government came out with the ECLGS, particularly the segment of MSME has been protected well now. So in that way, we don't see any numbers at this point of time, which talks about a stress in the book, which is higher than that of the last quarter, a stress in the book, which is normally at a minimum level and which is comparable with rather lower than that of last quarter.

Mr. Ri kin Shah: Fair enough, sir. So , then that's my last question is on FCNR. If you could just talk about how much of the funds you have already mobilized, what is your target? And more importantly, you know, if you provide self -leverage on your balance sheet, how does that impact your margins and NI I and PAT? I mean, margins may potentially go down, but it aids your NI I and PAT. So just your thoughts on how it impacts your different financials as well. Thank you. That's all from me.

Dr. Debadatta Chand: Tyagi sahab , can you quickly take this last question quickly?

Mr. Lalit Tyagi : Yeah, thank you, sir. So , on FCNR (B), up till now, we have raised in excess of USD 600 million. And in terms of providing the facilities to the NRI depositors against their deposit, we are facilitating them with the loan against the FCNR (B) deposit. Apart from this, the normal NRI deposit flows are also there where the depositors are not opting for the loan against the deposit. We aim to get into the total flows of in excess of USD 4 to USD 5 billion, ballpark fi

gure of USD 5 billion, which
comprises of all three components, FCNR (B), OFCB and ECB routes also.

Mr. Ri kin Shah: Got it. And so how would you think about this FCNR impacting? I mean, how does that flow through in your margins & PAT? Because the self -leverage when you provide would be at a lower spread. So, does that dilute your NIM in the near term? And then, of course, as you deploy all of those funds, it flows down into NII PAT. How to think about that?

Mr. Lalit Tyagi : MD sir, if I can take?

Dr. Debadatta Chand : Ya, please take it.

Mr. Lalit Tyagi : So, you know, in terms of the Indian book, the deposit, Rupee deposit cost of these FCNR (B) deposit is quite competitive. We are offering the Rupee deposit rate of around 6.5 - 6.4%. And this will be our landed cost for Rupee resources. When the NRI depositors take loan against deposit at the overseas jurisdiction, they are provided by the overseas branches, according to their own cost of fund s, thus resulting in leaving margins at that end also. So, at both ends , the business is resulting in the margins.

Moderator: Thank you S ir. Next question before that, if everyone can please limit themselves to two questions, just in the interest of time. The next question is from Kunal Shah. Kunal, please unmute yourself. We will go to Gaurav Jani. Gaurav?

Mr. Kunal Shah: Yeah, am I audible?

Moderator: Yeah, Kunal, go ahead.

Dr. Debadatta Chand: Yeah, Kunal.

Mr. Kunal Shah: Yeah. So, few questions. Firstly, on this entire NMC case, in fact, in terms of the disclosure, even in the annual report, we just indicated that this case is pending but in terms of the liability amount given that it was so huge at almost 600 odd million , why there was no indication in terms of the liability which can accrue to us even closer to the settlement of the case and if you can just highlight , in terms of what actually has been the nature of the transaction ? Is it like obviously , this is not the lending one , this is something related to the trade finance and finally maybe there was some fraud and our Abu Dhabi branch has been , maybe it has , maybe people have said , like that's involved into i t. So if you can just highlight the nature of this entire case that is leading to this kind of a liability and you mentioned that out of the court settlement was better in terms of the time , quantum , everything involved . So would the liability have been much much higher ? Okay? Maybe had this not been settled out of the cour t? So that's the first question .

The second question is again on ECL. Was there…. Sorry, on fee income, was there any write back on account of this? Was any fee written back or something which is leading to the decline over there? Anything related to this particular transaction or not rea lly? So that's the second question.

And on ECL, maybe last time also you had indicated some impact but has there been any change in that after having gone through in detail? Any change in the ECL quantum? And margins, on the core basis, if we look at it, we have seen yield on advances fallin g lower than that of cost of deposits. So can we say that the core margins have behaved better and was there any interest on IT refund during the quarter?

Dr. Debadatta Chand: So Kunal, coming to the NMC case, the nature of transaction as I said in my statement, it's a confidential agreement and the case is still sub -judice as far as the other defendants are concerned. So , I am afraid that , we cannot articulate anything on the matter. In terms of the annual report and the settlement that you talked about, the annual report was based on the position at that point of time. The case has gone for advanced trial post -March and the settlement has b een done vis -a-vis the court litigation process, both for the Abu Dhabi Global Market court and also the UK court, based on a commercially prude

nt decision as advised by the legal counsel on the matter. As you know,
that the best of global legal firms were, I mean, engaged by the Bank. Similarly, the global individual also has a legal counsel therein. So that is a prudent call . But in terms of the query with regard to the case details, I am afraid I am not in a position to articulate anything at this point of time but a legacy

overhang issue , we were able to resolve that, and believe, there are two issues here. The underlying cause of the issue is an overseas jurisdiction. A payment has been made out of an overseas jurisdiction dipping into their own resources. The domestic book is insulated out of th is. The legal framework, the legal processes, these are different country to country. So , we need to be sensitive on those.

In terms of the fee income, the fee income is a composite of many factors. There are income out of that, there expenditure out of that. When a book growth has been very significant, you cannot load everything to the customer. Typically, in globally also, m any of the case in the advance s portfolio, look into all -in cost, all -in yield. So , these are the factors that impacted the fee income and we are trying to again say that, this is one element we need to look into to optimize.

ECL impact, earlier I said, the impact would be 125 bps minus a pullback of 50 bps but both the final guid elines have been issued. The pullback is now almost like 15 bps. So , the impact of the ECL would be almost 110 bps on the CRA R translating into something around INR 12,000 crore. We have the ECL provision, floating provision of roughly INR 2,500 crore for the balance to be spread over. We have a strong, although the CRAR is adequate, we have a strong capital raise plan. So , I think, the migration would be smooth, seamless.

The core income part of the, that is what I am telling. In spite of this condition, when you look into multiple banks' financial results , the NII growth is at 9.5 %. We are able to optimize both in terms of the earning potential of the book, at the same time, the expande d, the interest expanded part of the book. Obviously, that has not translated into operating profit because of the lower fee income but at the same time, the net profit has been impacted because the cost of the full settlement has been impac ted this year.

You also said that why the provision was not held earlier? As per the legal advice, on a case which is under litigation and negotiation, you can't have a specific provision there. Right? So these are the…. I think I answered all your query. Any further queries you can raise it before us. We'll clarify.

Mr. Kunal Shah: IT refund .

Dr. Debadatta Chand: IT refund ….. this…..it is something around 300 odd crore, I believe. CFO , what is the number?

Mr. I V L Sridhar: Yes, sir, INR 370 crore . Yeah.

Mr. Kunal Shah: Thanks. Thanks. That answers all the question. Thank you

Moderator: The next question is from Gaurav Jani.

Mr. Gaurav Jani: Thank you sir. So just taking ahead Kunal's question, just one simple question. Right on, on the NMC case. So why were we, why did we have to settle? I believe, we would be a creditor, right? Unless we are given a guarantee or something. So just a simple q uestion out there.

Secondly, I understand core margins sequentially would have gone up right. Adjusted for interest on IT refund. That's number two.

Third, if you can just quantify the one time impact in your staff, cost seems to be up by about 20 odd % sequentially. Right? And lastly, sir, you did quantify about the one time impact on capital of about 100 basis points. So , what would be the sustainable impact due to ECL? Right? One would be the one time….. so what would be the sustainable impact? Yeah. Those are my questions.

Dr. Debadatta Chand: So, NMC case, I mean, we have to differentiate the, the credi

t engagement and
the case itself, right? The settlement has been done based on the case. I mean, the case that was going on against the Bank in Abu Dhabi Global Market Court, in a similar case, which was pending but on hold at the UK court. So , you have to differentiate the credit engagement and the litigation that was going on. So the settlement has been done based on the advanced trial nature of the code, based on the legal advice to clear an overhang which was there for long. And again, it's a dated case, right? Dated overhang.

Core margin, last time also, when we had a 2.83 or 84 %, I believe, on the NIM, I guided the market at 2.75 to 2.95 %, meaning there were, there would be margin is under pressure. In spite of the fact that the NII has increased by 9.5%, obviously the average asset has increased higher than that, impacting the core margin to 2.77 % on that. The one-time impact on the ECL is an impact of 110 bps, which can be spread over as per the amortization plan therein. But per year impact can be something around 20-22bps. And we have a huge capital plan, as of today, we are highly capitalized. So , there is no impact on that.

Staff cost has gone up. In fact, this vis a vis March but if you look at the staff cost compared to the June, it is below that level, but over March, is because of the AS15 provision, which again tracks the yield movement. So in that way, that is the staf f cost. Otherwise we have a good control on the operating expenses. The operating expenses is contained. Rather it is flat to negative. The staff cost is also contained. I mean the increase that you are looking at the staff cost in June over March is preci sely because of, your AS15 provision, which is tracking the yield movement, right?

Mr. Gaurav Jani: So how much would that be? Can you quantify the AS15 amount, the one - time impact?

Dr. Debadatta Chand: I don't have data. Either Madam Beena or CFO, you have data? Otherwise you can share it. Madam Beena?

Ms. Beena Vaheed: Thank you sir. We'll share the d etails , sir.

Mr. Gaurav Jani: Yeah, that is it from mine. Thank you.

Dr. Debadatta Chand: Okay.

Moderator: The next question is from Bimal Panchal . He has typed in his questions saying congratulations for a robust performance. Two questions from my side. What is the IT budget of the Bank for the year? Any plans of raising funds through equity?

Dr. Debadatta Chand: Bimal , thank you very much. At least I got one congratulation s now. So , in terms of equity, I will just tell you before I hand it over to Mudaliar Sir on the IT budget. IT, we have already announced earlier . We intend to raise 8500 crore of equity over a medium term outlook , that's ending up to March 2028. So currently, as of today, 16.3 %, I do not feel there is an immediate requirement. But since, the Bank is growing strongly because 16 -17% advance s growth is something , sustaining that on the capital front is difficult. So Bank may raise capital, but that would depend upon the timing of that, our equity raise and the price at which we can raise the market. Right ? So that's w hat. On the IT budget, Mudaliar, c an you just take this question?

Mr. Sanjay Mudaliar: Yeah. Thank you sir. The IT budget is currently what we are having, both OPEX and Capex put together is in excess of INR 4000 crores.

Moderator: Yeah. Thank you. The next question is from Jai Mundra.

Mr. Jai Mundra: Yeah. Hi. Good evening sir and congratulations on a steady quarter , barring the NMC thing . Sir, on NMC, I wanted to chec k, have you internally fixed any responsibility, any disciplinary action sort of a thing , now that the matter is closed from your end.

Dr. Debadatta Chand: Okay. So , thanks for congratulation s. I think the Bank had a strong quarter and appreciated that well. O n the NMC, look for any staff side, every bank wh ich is a Government owned bank,

it has its own processes in terms of how do you take through all this accountability issue. So, in line with the guidelines that we have in place where the Government owned bank. Again, I repeat, what ever required to be done in terms of the staff , responsibilit y, anything , either would have been done or is going to be done . So, in that way. So that's internal to the Bank in terms of how do you look at the issue? Currently we ha ve a large overhang, legal overhang, which was going on for long, and we need to see the settlement vis a vis the court process itself rather than any creditor or any other relationship for that. And in terms of our, the claim against the principal individual will continue even if after the settlement. Right. So that's the point I want to mention.

Mr. Jai Mundra: Okay. Sure sir. And second is on the ECL. Now, if I heard you correctly, you said that the total transitional impact will be around 1.1% of RWA. If I remember correctly, then earlier it was a slightly lower amount, right? 0.6 -0.7%. So of course, at that time, maybe the guidelines were draft and now you have the final guidelines. So still, if you can elaborate, sir. This is only for credit or, you

know, there is something else on investment or any other, heads there or this is purely credit related provisions.

Dr. Debadatta Chand: Okay. Jai, actually earlier, maybe prior to the last quarter, I used to say, 125 bps is the impact, but there is a pullback of roughly 50 bps because of the project loan guidelines and the project loa n guidelines , when the final guidelines came, I mean, the pullback was not 50. It was something around 15 -20 bps. So in that way , the net impact is 110 bps. Now the calculation , the guidelines has been issued. The banks are trying to migrate to the new framework as early as possible so that we can have a parallel run. So the impact that we see one time is 110 bps, which can be spread over as allowed in the guidelines itself. You have this ECL or any other question you had ? I just missed it out, Jai.

Mr. Jai Mundra: No. No, sir. That was it on ECL and secondly, sir, on gold loan. So QoQ, there is a dip in both retail gold as well as agri gold. Of course , there were new rules which have had come in , but any color there ? Is this conscious or you are seeing any changes in internal policies, etc. to have such kind of a gold loan growth on QoQ basis.

Dr. Debadatta Chand: No, no, actually, I mean, there are two heads in the advances in gold loan and the corporate loan slightly. There is a , I mean , YTD negative, whereas remaining all is YTD positive. So this is typically seasonal , in terms of demand scenario. Right. So I mean particularly in the corporate loan book, we see , either we allow some of the fine price asset to go or there is a n inflow coming because of the corporate. We are now getting cash because of all these, I mean, release of their paymen t from different agency or different company. So it's typical seasonal. There is no strategy therein . We are growing at the same pace at which the gold and the book, in terms of asset quality continue to be strong. So absolutely, we intend to grow in this segment.

Mr. Jai Mundra: I was talking about gold loan. Sorry, corporate I understand.

Dr. Debadatta Chand: No, no. I mean , you would have seen the element of gold loan and also corporate. So sometime , these are seasonal in terms of , because normally June is a slack season . No? So in that way , these are seasonal. There is no strategy change in terms of slowing down or anything. That is what the point and the gold loan also, will continue to grow in the same manner. And the asset quality looks quite I mean, quite okay at this point of time.

Mr. Jai Mundra: Sorry sir. Just to come back on ECL question, sir, this 125 , 110 bps impact , again, is this gross or you know, you I mean, if you can just elaborat

e, if you are deducting, let us say, stage
three provisions because you have a very strong a PCR or you know, are you deducting any HT M or any sort of a gains that you have or is this a number 110 bps, the net number o r gross number. I understand this 15 b ps of…..

Dr. Debadatta Chand: I tell you, I give you the absolute impact on this. The net impact on the absolute is roughly around INR 12,000 crore, right. And 12,000 crore , we are holding floating provision to the

extent of INR 2500 crore. So almost a INR 9500 crore to 10,000 crore. You have to really give the impact on the capital. And that is spread over for the amortized time.

Mr. Jai Mundra: And last question, sir, on LCR. So last quarter was our LCR was also 127%. This quarter is also stable. During the quarter, we had, you know, LCR release. You would have heard from bulk deposits and, you know, some of the non -financial corporates. So any t houghts? Why did we not sort of see the LCR going up like other banks?

Dr. Debadatta Chand: You actually see , on a liquidity solvency front , we need to maintain LCR. Actually, that is what we can't maintain , a very high LCR because then that would drag on your income and the yield. So earlier also I said , we want to maintain at 120 % kind of a level. So it's not that we, we can go up because of the, the bulk issue, but then we need to manage the book in a manner where the LCR maintains around 120 %. So there is no other strategy on that.

Mr. Jai Mundra: But sir, after this guideline, you can actually borrow more from, more on bulk, right. Because we have this problem of quarte r…. Q1 corporate growth, corporate book growing, de - growing. And then you take advantage of bulk and then you grow corporate again. So , this new guidelines, does this help or is kind of a neutral from corporate group?

Dr. Debadatta Chand: What are the new guidelines you are referring ? Which one ?

Mr. Jai Mundra: Sir, on bulk deposit. So , now you have a lower run off , right ? So, you can actually …..

Dr. Debadatta Chand: Run off factor you mean to say ? No overall actually, look, we can manage, say as long as you maintain 120%, we have absolutely internal threshold is okay as far as 120%, right? So lower run off would help, but the bulk has again…. there are two factors. A bulk is also price sensitive. You must understand that. And it moves quite frequently along with the market change. Right. So we need to have a trade - off actually . Bulk as a component of the overall domestic deposit. We want to main tain that level. If our entire deposit is growing , then you need to maintain bulk at a certain percentage. So it's an overall issue , both maintaining the interest side of it and also the liquidity side of it. So , okay, the runoff is definitely going to help the LC R. We have grown in bulk actually, in case you have seen, the bulk is now almost like , bulk and CD together , it is two lakh thirty one. O ut of that , bulk is at two lakh eleven and the CD at one l akh 6 thousand . So in that way , we have grown on those segments. But then LCR will be maintaining almost 120 on this matter.

Mr. Jai Mundra: Sure sir, thank you and thanks for answering all these questions. Thank you.

Moderator: Thank you. Next question is from Param Subramanian. Param?

Mr. Param Subramaniam: Hi. Thank you so much. Congratulations on the quarter, sir. Firstly, on the interest on IT refund , just a data keeping question. What is the number this quarter ?

Dr. Debadatta Chand: I could not get you.

Mr. Param Subramaniam: Sir, the interest on IT refund, what was the number for this quarter and the last quarter? First that question .

Dr. Debadatta Chand: I think CFO, can you take this? You are on mute.

Mr. I V L Sridhar: This question , often we are getting from the analyst . Earlier also, management has articulated that don'

t see it as a separate line item. It's part of the regular interest income. Depending on the completion of the assessments , we keep getting these numbers. So please consider it as part of regular interest.

Mr. Param Subramaniam: So, would it suffice to say that the core margins are adjusted for this are stable quarter on quarter?

Mr. I V L Sridhar: Yeah. They're stable. That's why the guidance MD Sir has given. It is in line with this.

Mr. Param Subramaniam: Okay, sir. Fair enough. A second question on the ECL, sir. Sir, some of your public sector peers, the run rate impact they have called out say between 10 to 15 bps. So any reason are, you know, run rate impact when you said is 20 to 22 b ps should be higher, relative to your peers or are we being conservative ?

Dr. Debadatta Chand : Based on their book and their calculation , I have not read about other banks , what they have said, but I think our numbers are comparable with any other bank on the matter. Rather, we hold our INR 2500 crore of floating provision in the books. Not many banks are holding that provision. So , in that way, our ability to migrate is much better. And secondly, when all the factors we look into , the factor is the capital position of the Bank . As of today, it is almost at 16.3 %. And we do have a plan to raise capital. The impact on the credit cost side that you are referring, we are also at the same range of 15 to 20 bps on the credit cost. So we are very clearly articulating the impact , both on the CRA R and also on the credit cost. And I think these are consistent . The only statement which I made some time back earlier , couple of quarters is a ….otherwise is a project loan provisioning draft guidelines was giving a pullback of almost 50 bps. That's not going to happen this time. Actually , the fin al guidelines have been issued and the impact is coming for us roughly around 15 to 20 bps in terms of a …… so run rate , I have not seen of other banks for level comparison, but I think fairly the numbers are comparable with the market and also fairly based on our books that we have today . Rather in terms of the asset quality, would have seen the numbers that we have given in terms of rating and all. It's much better.

Mr. Param Subramaniam: Fair enough. So one question again on this ECL, sir. See, what I understand, the loans are generally priced as say your repo link rate RLLR plus the base spread plus the cost of risk, right. And if the cost of risk is going up because of ECL provisioning, shouldn't that reflect in your lending rates as well on both your back book as well as your incremental loans? Which means that, shouldn't the pricing take care of the ECL cost? This is something I wanted to understand Sir.

Dr. Debadatta Chand: See, there are a couple of guidelines on the retail loan while changing the spread , actually. W hat is the frequency at which you can change the spread or frequency , you can change the spread , in case there is a creditworthiness deterioration therein or a force majeure kind of thing. So , the ECL migration and consequent impact on the pricing, we have to take a call based on the regulatory guidelines at that point of time. But obviously, if the cost is coming to the bank, the bank would o bviously like to pass on to the customer to maintain the margin. But I mean, as of today, I can't comment. Is that pricing , the spread , we are going to change because of this , so to see the regulatory guidelines because there are certain conditions at which you can change the spread. Before that, three years norms that we have . So that , we have to see on that.

Mr. Param Subramaniam: And this should be, sir , this flexibility you will have on your back book as well?

Dr. Debadatta Chand: Obviously. Yeah.

Mr. Param Subramaniam: Okay. Okay. Perfect, sir. Very clear. Yeah, that would be my …..

Dr. Debadatta Chand: What is

your ability to pass on? Actually, that's a something , that also we have
to see . Bad book in the sense , you are talking about NPA or …...

Mr. Param Subramaniam: No, no, I mean your loans you have already given out , there you can increase the spread, the loans that you have already given out on your existing book.

Dr. Debadatta Chand: Yeah. Yeah, absolutely.

Mr. Param Subramaniam: Perfect, sir. Yeah. That's what I wanted to understand. Thank you so much. Congrats on the quarter .

Dr. Debadatta Chand: Thank you.

Moderator: Thank you. The last question is from Jayant Kharote.

Mr. Jayant Kharote: Thank you for the opportunity, sir and congrats on a good operating quarter. Sir, first question is on the margins. If I heard correctly, you mentioned last quarter, core NIMs were around 2.83 or 8 2% and which has come down to 2.77 %. Is that correct or did I misunderstand something? If that is correct, sir, then …..

Dr. Debadatta Chand: The last quarter , the NIM was higher than 2.77 %. I mean, the two points actually at that time itself I had given a guidance of 2.75 %. And so look, in terms of the pricing of asset liability, the NII growth tells you about the pricing of asset liability that we have prudently managed, but obviously the asset growth has been higher so that the N IM is getting impacted, right? So , in terms of the core N IM and look, we are on a higher international book and the international will operate at a much lower margin of 1.4 or 1.5 % therei n. Now it has improved slightly. So , the domestic N IM more particularly , it is at 2.93 % in excess of 2.90 %. And when I talk about the domestic NIM or even global NIM , you would have made comparison across many of the banks . In that way , we again say it's a top quartile. So, in that way , we are quite confident that we maintain the margin going forward, and the guidance range continues to be 2.75 to 2.9 5%.

Mr. Jayant Kharote: But why I was asking is, if sequentially if we had, let's say a small 5 -6bps contraction in core NIMs, then what gives you the confidence that we can arrest it at 2.77 % and not go down below our 2.75 % guidance? I'm talking about core NIM, including IT……excluding IT. And in this, what is giving you more confidence? Is it your actions on the asset yield side or is it the funding cost environment that is looking much better to you , to confidently guide for no more decline from here?

Dr. Debadatta Chand: So, two things you said, right? One is on the asset side because last two quarters, we have seen on the pricing on the asset. I'm talking about non -repo linked loans. It has been slightly, we are able to price in better particularly non MCLR corporate book, we are able to take them to near to MCLR or at MCLR. So that's a upside there in the books already. On the deposit, continue to be elevated. But one positive would have seen that the bulk deposit rates or the CD rates had gone down p ost the announcement of the FCNR (B) scheme. So , in terms of the incremental bulk deposit, I think the average cost is now lower than that of March now. So considering those two scenarios but the asset continue to grow faster, actually asset growth of 16 -17% would put pressure on margin and also on the capital adequacy which we are managing it well. So considering those scenario s, I think still we are upbeat that we'll be in a position to hold on to 2.75 to 2.95 %.

Mr. Jayant Kharote: Okay, sir. Second question was on ECL. Sorry to again bring this. This is a bit of confusion. In the previous answer you mentioned 15 to 20 bps, whereas I think before that, it was 20 to 22 bps. Which of the two number is the correct number sir? What the s teady state impact - is it 50 to 20 or 20 to 22?

Dr. Debadatta Chand: Look, there are two impacts. I think I would ask one of the ED to support me. Possibly , I'm not clarifying well. T he overall impact

is 110 bps on the CRAR. So that is going to spread
over. So in case you spread it over four years or five years in whichever manner will decide that is 20 - 22 bps, is the impact on the CRAR . Then there is impact on the credit cost . Credit cost, earlier we talked about, around 15 -20bps impact on the credit cost. Again, computation of the credit cost is going to be

evolving rather than the impact on the CRAR because CRAR you know the book has been frozen right.

So, credit cost would evolve with regard to the fresh flow of book happening after 1st April 2026. But as of today, as we speak, the impact can be 15 to 20 bps, slightly in those range. Madam Beena, anything to support .

Mr. Jayant Kharote: This is the case , if this is the case, sir, how do we then continue with 1% ROA if there is a 20 bps impact on our steady state credit cost?

Dr. Debadatta Chand: Honestly, I don't know. You are asking or somebody was asking, after ECL, whether you are going to price in asset in a manner which will pass on the ECL cost, right?

Mr. Jayant Kharote: That would have to be an industry move, right? That would have to be an industry move, right.

Dr. Debadatta Chand: It has to be. It has to be, obviously. Madam Beena, anything you want to support on the ECL?

Ms. Beena Vaheed: No Sir, it will be roughly between 15 to 20 bps, what you said is right.

Mr. Jayant Kharote: Okay. Thank you sir and congrats once again for a good operating quarter.

Dr. Debadatta Chand: Thank you very much.

Moderator: That's the last question we'll be able to take today. Would request CFO Sir to please deliver the vote of thanks.

Mr. I V L Sridhar: I would like to thank all the participants for joining us today for the announcement and discussion of our financial results. Should you have any further questions, please feel to reach out to me or my investor relations team. Thank you once again for your time and continued support. Have a great evening ahead and weekend. Thank you.

Dr. Debadatta Chand: Thank you very much. Thank you.

Moderator: Thank you everyone.

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